The Institute of Chartered Accountants of Bangladesh (ICAB)

Corporate Reporting

Volume III



Workbook
For CA Advanced Level Exams

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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The Institute of Chartered Accountants of Bangladesh

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

Chapter 21

Foreign currency translation and hyperinflation

Introduction

Learning outcomes

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Learning topics

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2 The functional currency

3 Reporting foreign currency transactions

4 Foreign currency translation of financial statements

5 Foreign currency and consolidation

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8 Reporting foreign currency cash flows

9 Reporting in hyperinflationary economies

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Answers to Self-test questions



Introduction

Learning outcomes

- Determine and calculate how exchange rate variations are recognised and measured and how they can impact on reported performance, position and cash flows of single entities and groups
- Demonstrate, explain and appraise how foreign exchange transactions are measured and how the financial statements of foreign operations are translated
- Justify and conclude for a particular scenario what comprises sufficient, appropriate audit evidence
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Demonstrate and explain, in the application of audit procedures, how relevant ISAs affect audit risk and the evaluation of audit evidence
- Appraise corporate reporting policies, estimates and measurements for single entities and groups in the context of an audit

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**Objective and scope of IAS 21** The management of foreign exchange risk is an important aspect of business operations. There are two aspects to IAS 21: • Buying and selling goods overseas priced in a foreign currency • Translating the financial statements of a foreign subsidiary before consolidation.	**Approach** This short section is an introduction to the topic. You must understand the difference between monetary and non-monetary items in this section. Pay particular attention to paragraph 1.3: summary of approach. **Stop and think** The first, but not the second of the two aspects identified, will be familiar to	This section would not be examined directly, but you would need to be able to **apply** the approach.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		you from your earlier studies.		
2	**The functional currency** In a working context you may have to establish the functional currency, and determine the accounting treatment of exchange differences on monetary and non-monetary items.	**Approach** Learn and try to remember the primary and secondary indicators of functional currency. Then carefully go through worked example 1. **Stop and think** The functional currency of an entity may not be obvious.	Functional currency comes up a lot, in the context of buying and selling goods overseas, group accounts and hedging. It has also come up in an audit context and in conjunction with deferred tax.	N/A There are no interactive questions in this section. However, you can test yourself by covering up the solution to worked example 2.
3	**Reporting foreign currency transactions** Importing and exporting goods introduces foreign exchange risk and results in earnings volatility with reporting implications on earnings and cash flow.	**Approach** You have covered this area in your FAR studies, but only at Level C. Read through Sections 3.1 (initial measurement), 3.2 (subsequent measurement) and 3.3 (recognition of exchange differences) focusing on the worked examples. **Stop and think** What is a monetary item?	While this topic comes up fairly regularly, in an exam you are more likely to get foreign currency transactions in the context of a group, since this was not covered at Professional Level.	**IQ2: Rumble plc** This question on buying and selling goods from a foreign supplier covers a similar transaction in four different scenarios.
4	**Foreign currency translation of financial statements** IAS 21 contains rules for the translation of financial statements of a foreign operation from the functional currency to the presentation currency.	**Approach** Focus on the translation rules in paragraph 4.1. You will need to learn these. Then learn the reasons for and treatment of exchange differences in paragraph 4.2. The worked example is comprehensive and needs to be studied carefully.	You may meet a situation where the wrong exchange rate has been used, and asked to give advice as to the correct one, possibly in an auditing or ethics context.	**IQ4: Translation of a foreign operation** An introductory question to practise the basics before going on to full consolidation.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		Stop and think What rate do you use to translate equity?		
5	**Foreign currency and consolidation** This section deals with the accounting requirements for reporting of foreign transactions, consolidation of foreign subsidiaries and goodwill and fair value adjustments.	**Approach** Remind yourself of the translation rules using the summary in 5.1. The main issue is what to do with the exchange differences on consolidation. The worked example Darius is very comprehensive. **Stop and think** Why do exchange differences arise? How is goodwill translated?	You may be required to prepare consolidated financial statements involving an overseas subsidiary, but you are also likely to have to adjust them. Remember that although the foreign currency aspect appears complex, these consolidations have much in common with ordinary consolidations.	N/A Although there are no full interactive questions in this section, you can use the worked examples by covering up the solution and also practise a full FX consolidation using self-test question 14.
6	**Disclosure** The disclosure requirements of IAS 21 are not particularly onerous.	**Approach** Read through and highlight. **Stop and think** What should be disclosed where there is a change in the functional currency?	Disclosures have not yet been examined.	N/A
7	**Other matters** The most important issue in this section is the treatment of non-controlling interest.	**Approach** Note that the calculation of non-controlling interest, including the exchange rate, varies according to whether full goodwill or partial goodwill is used. **Stop and think** How is the non-controlling interest in profit or loss arrived at?	This topic could come up as a discussion point, for example, the impact of any future changes in exchange rates on the consolidated financial statements.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
8	**Reporting foreign currency cash flows** This section covers the impact of foreign currency on statements of cash flows.	**Approach** The main point is that the cash flows and transactions should be translated into the entity's functional currency at the transaction date. **Stop and think** Although the translation of foreign currency amounts does not affect the cash flow of an entity, translation differences relating to cash and cash equivalents are part of the changes in cash and cash equivalents during a period.	Foreign currency cash flows are likely to be examined in the context of hedging (see Chapter 17).	N/A Although there are no full interactive questions in this section, you can practise this topic using self-test question 15.
9	**Reporting in hyperinflationary economies** Until recently the levels of general inflation in G7 and developed countries have been low, so the management and reporting of inflationary price rises has not been a major challenge to investors and the users of financial statements.	**Approach** Read through quickly and audit the worked example. Key point: the financial statements of a foreign operation operating in a hyperinflationary economy must be adjusted under IAS 29 before they are translated into the parent's reporting currency and then consolidated. **Stop and think** This topic is only examinable at Level D, so is not a major priority compared with IAS 21.	This standard has not yet been examined.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
10	**Audit focus** The audit of foreign subsidiaries was considered in Chapter 20. This section gives some further points and a full exam-style integrated question.	**Approach** Foreign subsidiaries introduce additional risks because the parent may have less control. Additional audit procedures are therefore needed. **Stop and think** Which calculations would you need to check/re-perform?	The integrated nature of the Corporate Reporting exam means that the audit may give rise to a financial reporting issue relating to IAS 21. Alternatively, the financial reporting of foreign currency transactions may give rise to a discussion of audit risk and procedures.	**IQ5: Overseas subsidiary** This question asks for the risks that the auditor must take into account, both with the financial statements of the overseas subsidiary and the group financial statements.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Objective and scope of IAS 21

Section overview

This section provides an overview of the objective, scope and main definitions of IAS 21, *The Effects of Changes in Foreign Exchange Rates*.

IAS 21 deals with two situations where foreign currency impacts financial statements:

(a) **An entity which buys or sells goods overseas, priced in a foreign currency**

A UK company might buy materials from Canada, pay for them in Canadian dollars, then sell its finished goods in Germany, receiving payment in euros or some other currency. If the company owes money in a foreign currency at the end of the accounting year or holds assets bought in a foreign currency, the assets and related liabilities must be translated into the local currency (in this case pounds sterling), in order to be shown in the books of account.

(b) **The translation of foreign currency subsidiary financial statements before consolidation**

A UK company might have a subsidiary abroad (ie, a foreign entity that it owns), and the subsidiary will trade in its own local currency. The subsidiary will keep books of account and prepare its annual financial statements in its own currency. However, at the year end, the parent company must 'consolidate' the results of the overseas subsidiary into its group accounts.

Therefore the assets and liabilities and the annual profits of the subsidiary must be translated from the foreign currency into pounds sterling.

If foreign currency exchange rates remained constant, there would be no accounting problem in either of these situations. However, foreign exchange rates are continually changing, sometimes significantly, between the start and the end of the accounting year. For example, in 2010 the British pound was strong against the euro, as a result of the problems in the Eurozone. It weakened in 2011, strengthened again by late 2012, then weakened in early 2013. By 2015 it had strengthened again.

1.1 Objective of IAS 21

An entity may carry on foreign activities in either of the two ways outlined above.

In either case, currency fluctuations will affect the financial position of the entity, when foreign currency transactions or items are translated into the entity's reporting currency.

The objective of IAS 21 is to produce rules that entities should follow in the translation of foreign currency activities.

1.2 Scope of IAS 21

IAS 21 applies in the following cases.

- In accounting for transactions and balances in foreign currencies except for those derivative transactions and balances that are within the scope of IFRS 9, *Financial Instruments*
- In translating the results and financial position of foreign operations that are included in the financial statements of the entity by consolidation or the equity method
- In translating an entity's results and financial position into a presentation currency

Definitions

Foreign currency: A currency other than the functional currency of the entity.

Functional currency: The currency of the primary economic environment in which the entity operates.

Presentation currency: The currency in which the financial statements are presented.

Exchange rate: The ratio of exchange for two currencies. **Closing rate:** The spot exchange rate at the reporting date. **Spot exchange rate:** The exchange rate for immediate delivery.

Exchange difference: The difference resulting from translating a given number of units of one currency into another currency at different exchange rates.

Monetary items: Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

Group: A parent and all its subsidiaries.

Foreign operations: Defined as any subsidiary, associate, joint venture or branch of a reporting entity, the activities of which are based or conducted in a country or currency other than those of the reporting entity.

Net investment in a foreign operation: The amount of the reporting entity's interest in the net assets of that operation.

1.3 Summary of approach required by the standard

For the preparation of financial statements, an entity needs to determine its **functional currency**. This is discussed in section 2 below. For group financial statements, there is no requirement for a group functional currency; each entity within a group can have its own functional currency.

When an entity enters into a transaction denominated in a currency other than its own functional currency, then it must translate the foreign currency items into its own functional currency according to IAS 21. This is covered in section 3.

When transactions create assets and liabilities that remain outstanding at the reporting date, then these items need to be translated into the entity's functional currency following the provisions of IAS 21. This is discussed in section 3.

Where a reporting entity comprises a number of individual entities, some of them with their own functional currencies, it is necessary for the constituent entities to translate their results into the **presentation currency** of the parent, in order to be included in the reporting entity's financial statements. This is covered in sections 4 and 5.

Section 6 deals with **disclosures** for foreign currency transactions.

2 The functional currency

Section overview

This section defines the functional currency of an entity and discusses the criteria that need to be met for a currency to be adopted by an entity as its functional currency.

2.1 Determining functional currency

Each entity, whether an individual company, a parent of a group, or an operation within a group (such as a subsidiary, associate or branch), should determine its **functional currency** and **measure its results and financial position in that currency**.

The functional currency is the currency of the primary economic environment in which the entity operates and it is normally the currency in which the entity primarily generates and expends cash.

Where an entity is registered in a particular national jurisdiction and the majority of its transactions take place there, that jurisdiction's currency will be the entity's functional currency. In practice, many entities operate internationally, with group entities or business divisions located worldwide. In such circumstances, management will be required to make a reasoned judgement in respect of each entity/division, based on the available facts.

Where the functional currency of an entity is not obvious, an explanation of why a particular currency was identified as being its functional currency would aid users' understanding of the business operations of the entity.

2.2 Indicators of functional currency

Under IAS 21, the management of a company needs to determine the functional currency of the company by assessing various indicators of the economic environment in which the company operates. IAS 21 provides **primary** and **secondary** indicators for use in the determination of an entity's functional currency, as summarised below.

Primary indicators

- The currency that mainly **influences sales prices** for goods and services (often the currency in which prices are denominated and settled)
- The currency of the **country whose competitive forces and regulations** mainly determine the sales prices of its goods and services
- The currency that mainly **influences labour, material and other costs** of providing goods or services (often the currency in which prices are denominated and settled)

Secondary indicators

- The currency in which **funds from financing activities** (raising loans and issuing equity) are generated
- The currency in which **receipts from operating activities** are usually retained

2.3 Functional currency of foreign operations

In addition to the five indicators mentioned above, four additional factors are considered in determining the functional currency of a foreign operation and whether its functional currency is the same as that of the reporting entity.

- Whether the foreign operation carries out its business as though it were an **extension of the reporting entity** rather than with a significant degree of autonomy
- Whether **transactions with the parent** are a high or low proportion of the foreign operation's activities
- Whether **cash flows** from the activities of the foreign operation **directly affect the cash flows of the parent** and are readily available for remittance to it
- Whether cash flows from the activities of the foreign operation are sufficient to service existing and normally expected debt obligations without funds being made available by the reporting entity

Worked example: Functional currency determination 1

Bogdankur, a small food processing company located in Denmark, is trading almost exclusively with Germany where the currency is the euro. The management of the company needs to decide on the functional currency of the company, ie, whether to use the Danish krone or the euro, and is using the following information (amounts are denominated in krone except as indicated).

		Denominated in €	Settled in €
	€m	%	%
Revenue			
Export sales	750	100	100
Domestic sales	250	0	0
Total revenues	1,000	75	75
Materials	450	15	
Energy and gas	80		
Staff costs	80		
Other production expenses	30		
Depreciation	40		
	€m	Denominated in € %	Settled in € %
Selling, general and administrative expenses	60	16	
Capital expenditure	70		
Dividends	180		

The main monetary assets and liabilities at 31 December 20X6 were as follows:

		Held in €	Expressed in €
	€m	%	%
Cash	120	90	
Total accounts receivable	140	80	
Trade payables	170	–	0
Borrowings	400	10	

Requirement

How might the management of the company determine the functional currency?

Solution

The management of the company has decided using the guidance provided by the IFRS to adopt the Danish krone as its functional currency, based on the fact that while the currency that influences sales prices is the euro, the domestic currency influences costs and financing.

Worked example: Functional currency determination 2

Entity A operates an oil refinery in Nigeria. All of the entity's income is denominated in US dollars, as oil trades in US dollars globally. About 20% of its operational expenses are dollar-denominated salaries and another 25% is imports of equipment denominated in US dollars. The remaining 55% of the operational expenses are incurred in Nigeria and are denominated in Naira. Depreciation costs are denominated in US dollars since the initial investment was in US dollars.

Requirement

What is the appropriate functional currency for Entity A?

Solution

The currency that mainly influences sales prices is the dollar. The currency that mainly influences costs is not clear, as 55% of the operational costs are in Naira and 45% are in US dollars. Depreciation should not be taken into account, because it is a non-cash cost, and the economic environment is where an entity generates and expenses cash.

Since the revenue side is influenced primarily by the US dollar and the cost side is influenced by both the dollar and the Naira, management will be justified on the basis of IAS 21 guidance to determine the US dollar as its functional currency.

Professional skills focus: Concluding, recommending and communicating

You may be required to determine the functional currency of an entity. It is important to communicate your arguments clearly, so that you will still get some credit even if you come to the wrong conclusion.

2.4 Change of functional currency

An entity's functional currency may change when its business operations change, leading to a different primary economic environment being identified. This is not a change in accounting policy, but instead results from a change in circumstances, and therefore the new functional currency should be adopted prospectively from the date of that change. The new functional currency is applied by retranslating all items and comparative amounts into the new currency at the date of the change in circumstances. The carrying amounts of non-monetary items translated into the new currency at the date of change should be deemed to be their historical translated amounts.

Worked example: Change in functional currency

An entity commenced trading many years ago in Belgium, using the euro (€) as its functional currency. After a number of years the entity started exporting its products to the UK, invoicing sales in UK pounds. Several years later the entity set up a branch in the UK as a small manufacturing function, incurring expenses and receiving sales proceeds in pounds sterling (£). With a fall in demand in Belgium by the end of 20X6 its activity in the UK came to represent 75% of the entity's activity.

Early in 20X7, the entity's management concluded that the UK was now its primary economic environment, with 1 January 20X8 being the date when the entity's functional currency changed from the euro to the pound.

The entity's equity and net assets at 31 December 20X7 were €80,000,000 and the exchange rate was £1: €1.59.

Requirement

How might the change be reflected in the financial statements?

Solution

The entity's equity and net assets were £50,314,465 when the pound sterling became its functional currency.

Where an entity's functional currency has changed as a result of changes in its trading operations during a period, the entity is required to disclose that the change has arisen, along with the reason for the change.

2.5 Functional currency of a hyperinflationary economy

If the functional currency is the currency of a hyperinflationary economy, the entity's financial statements are restated in accordance with IAS 29, *Financial Reporting in Hyperinflationary Economies* (covered later in this chapter). An entity cannot avoid restatement in accordance with IAS 29 by, for example, adopting as its functional currency a currency other than the functional currency determined in accordance with IAS 21.

3 Reporting foreign currency transactions



Section overview

This section deals with the IAS 21 rules governing the initial and subsequent recognition of items denominated in foreign currency.

Foreign currency transactions are transactions which are denominated in foreign currencies, rather than in the entity's functional currency. Such transactions arise when the entity:

- buys or sells goods or services whose price is denominated in a foreign currency;
- borrows or lends funds where the amounts payable or receivable are denominated in a foreign currency; and
- otherwise acquires or disposes of assets or incurs or settles liabilities denominated in a foreign currency.



Context example: Foreign currency translation

An entity trades in gold and has a US dollar functional currency, as most of its revenues and expenses are in US dollars. The entity is located in Frankfurt and as a result it also has significant transactions in euros. It has issued sterling-denominated share capital to its UK parent. Transactions with the parent are denominated in £. Which of the following transactions should management treat as foreign currency transactions?

- Euro transactions
- US dollar transactions
- Sterling transactions

The euro and sterling transactions are foreign currency transactions. The fact that the entity is located in Frankfurt does not preclude it from designating US dollars as its functional currency. All transactions which are not denominated in the entity's functional currency are foreign currency transactions.

3.1 Foreign currency transactions: initial recognition

An entity is required to recognise foreign currency transactions in its functional currency. The entity should achieve this by translating the foreign currency amount at the spot exchange rate between the functional currency and the foreign currency at the date on which the transaction took place.

The date of the transaction is the date on which the transaction first met the relevant recognition criteria.



Context example: Initial recognition

Albion Ltd is a UK manufacturing company with sterling as its functional currency. The company has ordered raw materials from a French supplier for €200,000. It recorded the transaction on 1 August 20X6, the date of the supplier's invoice. On that date the exchange rate was £1 = €1.72 and the amount recorded as purchase price is £116,279.

3.1.1 Average rate

Where an entity has a high volume of transactions in foreign currencies, translating each transaction may be an onerous task, so an average rate may be used. For example, a duty-free shop at Heathrow airport may receive a large amount of dollars and euros every day and may opt to translate each currency into sterling using an average weekly rate.

IAS 21 provides no further guidance on how an average rate should be determined, and therefore an entity should develop a method which is easily implemented with regard to limitations in its accounting systems. Application of an average monthly rate, based on actual daily rates, would seem a reasonable approach. Consistent application of the process for determining an appropriate average rate should be adopted each period.

However, as the average rate is an approximation of the rate of the day of the transaction, an average rate should not be adopted if exchange rates or underlying transactions fluctuate significantly (eg, due to seasonality), because in this case an average rate is not a good approximation.



Worked example: Use of average exchange rate

An entity, which has sterling as its functional currency, acquires a Ruritanian denominated bond on 1 January 20X1 for RU£1,000. The bond has five years to maturity and carries a variable market rate of interest which is currently 6%. Interest is accrued on a daily basis for a calendar year. Interest is paid on 31 January in the following calendar year (that is, interest for 20X1 will be paid on 31 January 20X2).

Management intends to hold the bond to maturity. The bond is therefore carried at amortised cost. The interest income and exchange differences are recognised in profit or loss. The exchange rate at the date of acquisition was RU£1 = £1.50.

At 31 December 20X1, the exchange rate was RU£1 = £2.00. The average rate for the period is RU£1= £1.75 (based on average rates published by the Central Bank of Ruritania, which are daily weighted average rates).

Requirement

What rate should management use for the translation of interest income that accrues on a daily basis when there is a significant fluctuation in the exchange rate?

Solution

Management should use the daily weighted average exchange rate published by the Central Bank of Ruritania. Interest income accrues evenly through the period and the weighted average rate will produce the same result as a daily actual rate calculation.

The use of an unweighted average rate would not be appropriate because exchange rates fluctuate significantly.

Recognition of interest receivable:

DEBIT	Investment in debt instrument	£105 (RU£60 × 1.75)	
CREDIT	Interest income		£105

3.1.2 Multiple exchange rates

It may be the case that a country operates a two (or more) rate system, such as one for capital transactions and another for revenue items. Where more than one exchange rate exists, the rate to be applied is the one at which the transaction or balance would have been settled if settlement had taken place at the measurement date. If there is a temporary lack of published exchange rates between two currencies, the entity should apply the next available exchange rate published.

3.1.3 Suspension of rates

On certain occasions, developing countries experience economic problems that affect the convertibility of their currency. There is no exchange rate to be used in this case to translate foreign currency transactions. The standard requires companies to use the rate on the first subsequent date at which exchanges could be made.

3.2 Subsequent measurement

A foreign currency transaction may give rise to assets or liabilities that are denominated in a foreign currency. These assets and liabilities will need to be translated into the entity's functional currency at each reporting date. How they will be translated depends on whether the assets or liabilities are monetary or non-monetary items.

3.2.1 Monetary items

The essential feature of a monetary item, as the definition implies, is the right to receive (or an obligation to deliver) a fixed or determinable number of units of currency. Examples of monetary assets include the following:

- Cash and bank balances
- Trade receivables and payables
- Loan receivables and payables
- Foreign currency bonds held as available for sale
- Foreign currency bonds held to maturity
- Pensions and other employee benefits to be paid in cash
- Provisions that are to be settled in cash
- Cash dividends that are recognised as a liability
- A contract to receive (or deliver) a variable number of the entity's own equity instruments or a variable amount of assets in which the fair value to be received (or delivered) equals a fixed or determinable number of units of currency

Foreign currency **monetary items** outstanding at the reporting date **shall be translated** using the **closing rate**. The difference between this amount and the previous carrying amount in functional currency is an exchange gain or loss (covered in more detail in section 3.3).

3.2.2 Non-monetary items

A non-monetary item does not give the right to receive or create the obligation to deliver a fixed or determinable number of units of currency. Examples of non-monetary items include the following:

- Amounts prepaid for goods and services (eg, prepaid rent)
- Goodwill
- Intangible assets
- Inventories
- Property, plant and equipment
- Provisions to be settled by the delivery of a non-monetary asset
- Investments in equity instruments
- Equity investments in subsidiaries, associates or joint ventures

Non-monetary items carried at historical cost are translated using the **exchange rate at the date of the transaction when the asset arose** (historical rate). They are **not subsequently retranslated** in the individual financial statements of the entity. The foreign currency carrying amount is determined according to appropriate accounting standards (eg, IAS 2 for inventories, IAS 16 for property, plant and equipment measured at cost).

Non-monetary items carried at **fair value** are translated using the exchange rate at the date **when the fair value was determined**. The foreign currency fair value of a non-monetary asset is determined by the relevant standards (eg, IAS 16 for property, plant and equipment and IAS 40 for investment property).



Interactive question 1: Initial recognition

A UK company lends €10 million to its Portuguese supplier of Port wine to upgrade its production facilities. At the time of the loan, in July 20X5, the exchange rate was £1 = €2. The loan is repayable on 31 December 20X5. Initially the loan will be translated and recorded in the UK company's financial statements at £5 million. The amount that the company will ultimately receive will depend on the exchange rate on the date when the loan is repaid.

At 31 December 20X5, the exchange rate was £1 = €2.50.

Requirement

Calculate the exchange gain or loss.

See **Answer** at the end of this chapter.

3.2.3 Issues in the measurement of non-monetary assets

(a) Subsequent **depreciation** should be translated on the same basis as the asset to which it relates, so the rate at the date of acquisition for assets carried at cost and the rate at the last valuation date for assets carried at revalued amounts. Application of the depreciation method to the translated amount will achieve this.

(b) The carrying amount of inventories is the lower of cost and net realisable value in accordance with IAS 2, *Inventories*. The carrying amount in the functional currency is determined by comparing:

(1) the cost, translated at the exchange rate at the date when that amount was determined; and

(2) the net realisable value, translated at the exchange rate at the date when that value was determined (eg, the closing rate at the reporting date).



Worked example: Translation of inventory acquired in a foreign currency

Entity J's functional currency is the pound sterling. Entity J acquired inventories for $300,000 on 1 July 20X5 when the exchange rate was $1.50: £1. At 31 December 20X5, its carrying amount is $300,000 and its net realisable value has risen to $340,000. The exchange rate at 31 December 20X5 is $1.80: £1.

Requirement

How should management translate the inventory acquired?

Solution

Expressed in dollars, the inventory value has gone up, its net realisable amount exceeding its carrying amount. In sterling, the carrying amount using the acquisition date rate is £200,000 ($300,000/1.5) and the net realisable amount using the closing rate is £189,000 ($340,000/1.8). Inventory is stated at the lower of cost and net realisable value in the functional currency and the carrying amount at 31 December 20X5 is £189,000.

Impairment testing of foreign currency non-monetary assets

Similarly in accordance with IAS 36, *Impairment of Assets*, the carrying amount of an asset for which there is an indication of impairment is the lower of:

- the carrying amount, translated at the exchange rate at the date when that amount was determined; and
- the recoverable amount, translated at the exchange rate at the date when that value was determined (eg, the closing rate at the reporting date).

The effect of this comparison may be that an impairment loss is recognised in the functional currency but would not be recognised in the foreign currency or vice versa.



Worked example: Translation of impaired non-monetary item

An entity whose functional currency is the pound sterling acquired on 30 September 20X4 a non- depreciable foreign currency asset costing $450,000. The exchange rate on 30 September 20X4 was
$1.50/£1 and the asset was recorded at the date of purchase at £300,000. There are indications that the non-current asset has been impaired during the year.

At 31 December 20X5, the reporting date, the asset's recoverable amount in foreign currency is estimated to be $400,000 when £1 = $1.25.

Requirement

How should the transaction be recorded?

Solution

Expressed in foreign currency, the asset has a carrying value of $450,000 and a recoverable amount of $400,000 and is therefore impaired.

However, when it is expressed in sterling, the asset is not impaired, because its recoverable amount exceeds its carrying amount. In sterling, the carrying amount, using the acquisition date rate, is £300,000 ($450,000/1.5) and the recoverable amount, using the closing rate, is £320,000 ($400,000/1.25). The depreciation of the foreign currency relative to pounds sterling

has offset the fall in the value of the asset due to impairment, therefore no impairment charge is required.

3.2.4 Measurement of financial assets Initial measurement

Financial assets can be **monetary** or **non-monetary** and may be carried at **fair value** or **amortised cost**. Where a financial instrument is denominated in a foreign currency, it is initially recognised at fair value in the foreign currency and translated into the functional currency at spot rate. The fair value of the financial instrument is usually the same fair value of the consideration given in the case of an asset or received in the case of a liability.

Subsequent measurement

At each year end, the foreign currency amount of financial instruments carried at **amortised cost** is translated into the functional currency using either the closing rate (if it is a monetary item) or the historical rate (if it is a non-monetary item). Financial instruments carried at **fair value** are translated to the functional currency using the closing spot rate.

Recognition of exchange differences

The entire change in the carrying amount of a non-monetary investment in equity instruments including the effect of changes in foreign currency rates, is reported as other comprehensive income (OCI) at the reporting date.

A change in the carrying amount of monetary financial assets on subsequent measurements is analysed between the foreign exchange component and the fair value movement. The foreign exchange component is recognised in profit or loss and the fair value movement is recognised as other comprehensive income.

The entire change in the carrying amount of financial instruments measured at fair value through profit or loss, including the effect of changes in foreign currency rates, is recognised in profit or loss.



Worked example: Translation of non-monetary asset

On 1 January 20X5 an entity whose functional currency is the pound sterling purchased a US dollar denominated equity instrument at its fair value of $500,000. (The entity has made an irrevocable election under IFRS 9 to record changes in the value of investments in equity instruments in other comprehensive income.) The exchange rate at acquisition date was $1.90/£. The exchange rates and the fair value of the instrument denominated in US dollars at different reporting dates are given below.

		Equity instrument value
	$/£1	**$**
31 December 20X5	1.80	480,000
31 December 20X6	1.60	450,000

Requirement

What is the fair value of the asset at 1 January 20X5, 31 December 20X5 and 31 December 20X6 in pounds sterling, and how will the changes in fair value be accounted for?

Solution

The asset is an investment in equity instruments, therefore a non-monetary financial asset. All exchange differences are reported in OCI.

	Exchange rate $/£1	Equity instrument value ($)	Equity instrument value (£)	Recognised in the current period *	Cumulative gains or losses *
1 January 20X5	1.9	500,000	263,158		
31 December 20X5	1.8	480,000	266,667	3,509	3,509
31 December 20X6	1.6	450,000	281,250	14,583	18,092

* Change in fair value recognised as other comprehensive income

3.3 Recognition of exchange differences

Exchange differences arise in the following circumstances:

- On retranslation of a monetary item at the year end
- When a monetary item is settled in cash (eg, a foreign currency payable is paid)
- Where there is an impairment, revaluation or other fair value change in a non-monetary item

3.3.1 Retranslation of monetary items

Where a monetary item arising from a foreign currency transaction remains outstanding at the reporting date, an exchange difference arises, being the difference between:

- Initially recording the item at the rate ruling at the date of the transaction (or when it was translated at a previous reporting date)
- The subsequent retranslation of the monetary item to the rate ruling at the reporting date

Such **exchange differences** should be reported as part of the **profit or loss for the year**.

3.3.2 Settlement of monetary items

Exchange differences arising on the settlement of monetary items (receivables, payables, loans, cash in a foreign currency) should be **recognised in profit or loss** in the period in which they arise.

There are two situations to consider.

(a) The transaction is **settled in the same period** as that in which it occurred: all the exchange difference is recognised in that period.

(b) The transaction is **settled in a subsequent accounting period**: an exchange difference is recognised in each intervening period up to the period of settlement, determined by the change in exchange rates during that period (as per section 3.3.1). A further exchange difference is recognised in the period of settlement.

Worked example: Recognition of exchange differences on monetary item settled in the same period

White Cliffs Co, whose year end is 31 December, buys some goods from Rinka SA of France on 30 September. The invoice value is €40,000 and is due for settlement on 30 November. The exchange rate moved as follows.

	€/£1
30 September	1.60
30 November	1.80

Requirement

State the accounting entries in the books of White Cliffs Co.

Solution

The purchase will be recorded in the books of White Cliffs Co using the rate of exchange ruling on 30 September.

DEBIT	Purchases	£25,000	
CREDIT	Trade payables		£25,000

Being the £ cost of goods purchased for €40,000 (€40,000 ÷ €1.60/£1)

On 30 November, White Cliffs must pay €40,000. This will cost €40,000 ÷ €1.80/£1 = £22,222 and the company has therefore made an exchange gain of £25,000 – £22,222 = £2,778.

DEBIT	Trade payables	£25,000	
CREDIT	Exchange gains: profit or loss		£2,778
CREDIT	Cash		£22,222



Worked example: Recognition of exchange differences on monetary item settled in a subsequent accounting period

White Cliffs Co, whose year end is 31 December, buys some goods from Rinka SA of France on 30 September. The invoice value is €40,000 and is due for settlement in equal instalments on 30 November and 31 January. The exchange rate moved as follows.

	€/£1
30 September	1.60
30 November	1.80
31 December	1.90
31 January	1.85

Requirement

State the accounting entries in the books of White Cliffs Co.

Solution

The purchase will be recorded in the books of White Cliffs Co using the rate of exchange ruling on 30 September.

DEBIT	Purchases	£25,000	
CREDIT	Trade payables		£25,000

Being the £ sterling cost of goods purchased for €40,000 (€40,000 ÷ €1.60/£1)

On 30 November, White Cliffs must pay €20,000 to settle half the payable (£12,500). This will cost €20,000 ÷ €1.80/£1 = £11,111 and the company has therefore made an exchange gain of £12,500 – £11,111 = £1,389.

DEBIT	Trade payables	£12,500	
CREDIT	Exchange gains: profit or loss		£1,389
CREDIT	Cash		£11,111

On 31 December, the reporting date, the outstanding liability of £12,500 will be recalculated using the rate applicable at that date: €20,000 ÷ €1.90/£1 = £10,526. A further exchange gain of £1,974 (£12,500 – £10,526) has been made and will be recorded as follows.

DEBIT	Trade payables	£1,974	
CREDIT	Exchange gains: profit or loss		£1,974

The total exchange gain of £3,363 will be included in the operating profit for the year ending 31 December.

On 31 January, White Cliffs must pay the second instalment of €20,000 to settle the remaining liability of £10,526. This will cost the company £10,811 (€20,000 ÷ €1.85/£1).

DEBIT	Trade payables	£10,526	
DEBIT	Exchange losses: Profit or loss	£285	
CREDIT	Cash		£10,811

3.3.3 Exceptions to the general rule

As set out above, exchange differences should normally be recognised as part of profit or loss for the period. This treatment is required in an entity's own financial statements even in respect of differences on certain monetary amounts receivable from, or payable to, a foreign operation. If the settlement of these amounts is neither 'planned nor likely to occur', they are in effect part of the entity's net investment in the foreign operation.

In the following cases the exchange differences on monetary items are not reported in profit or loss because hedge accounting provisions under IFRS 9 (or IAS 39 if the entity still applies this) overrule the regulations of IAS 21.

(a) A monetary item designated as a hedge of a net investment in consolidated financial statements. In this case any exchange difference that forms part of the gain or loss on the hedging instrument is recognised as other comprehensive income.

(b) A monetary item designated as a hedging instrument in a cash flow hedge. In this case any exchange difference that forms part of the gain or loss on the hedging instrument is recognised as other comprehensive income.

(c) Exchange differences arising in respect of monetary items which are part of the net investment are recognised in profit or loss in the individual financial statements of the entity or foreign operation as appropriate. However, in the consolidated statement of financial position the exchange differences are recognised in equity. This exemption arises only on consolidation and is dealt with in the section on consolidation.

3.3.4 Non-monetary items

Where a non-monetary item (eg, inventory or a non-current asset) is recognised at historical cost (and there is no impairment) then it is translated into the functional currency **at the exchange rate on the date of the transaction**. It is **not** then retranslated at subsequent reporting dates in the individual financial statements of the entity, and therefore no exchange differences arise.

However, exchange differences do arise on non-monetary items when there has been a change in their underlying value (eg, fair value changes, revaluations or impairments). These are recognised as follows.

(a) When a gain or loss on a non-monetary item is recognised **as other comprehensive income** (for example, where property denominated in a foreign currency is revalued) any **related exchange differences** should also be **recognised as other comprehensive income**.

(b) When a gain or loss (eg, fair value change) on a non-monetary item is recognised in profit or loss, any exchange component of that gain or loss is also recognised in profit or loss.

Several examples are given below to highlight the issues that arise in the recognition of exchange differences on non-monetary items.



Interactive question 2: Rumble plc

Rumble plc is a retailer of fine furniture. On 19 October 20X5 Rumble purchased 100 identical antique tables from a US supplier for a total of $3,600,000. Rumble has a year end of 31 December 20X5 and uses sterling as its functional currency.

Exchange rates are as follows.

19 October 20X5: £1 = $1.80

15 December 20X5: £1 = $1.90

20 December 20X5: £1 = $1.95

31 December 20X5: £1 = $2.00

Average rate for 20X5: £1 = $1.60

3 February 20X6: £1 = $2.40

Requirement

Determine, according to IAS 21, *The Effects of Changes in Foreign Exchange Rates,* the impact of the above transaction on the profits of Rumble for the year ended 31 December 20X5 and on the statement of financial position at that date under each of the following alternative assumptions.

Assumption 1: All the tables were sold on 20 December 20X5 and were paid for by Rumble on 15 December 20X5.

Assumption 2: All the tables were sold on 3 February 20X6 and were paid for by Rumble on 15 December 20X5.

Assumption 3: All the tables were sold on 15 December 20X5 and were paid for by Rumble on 3 February 20X6.

Assumption 4: 75 of the tables were sold on 15 December 20X5 with the remaining 25 tables being sold on 3 February 20X6. All the tables were paid for by Rumble on 3 February 20X6.

See **Answer** at the end of this chapter.



Worked example: Translation of investment property

An entity whose functional currency is the pound sterling holds an investment property in Singapore. The investment property is carried at fair value in accordance with IAS 40. The investment property had a fair value at 31 December 20X2 of S$10,000,000 and S$12,000,000 at 31 December 20X3. The exchange rates were as follows.

31 December 20X2: £1: S$1.65

31 December 20X3: £1: S$1.63

Requirement

How should management recognise the change in the value of this investment property?

Solution

Management should recognise the investment property at £6,060,606 and £7,361,963 at 31 December 20X2 and 31 December 20X3 respectively.

The change in value is calculated as:

31 December 20X2 (S$10,000,000/1.65)	£6,060,606
31 December 20X3 (S$12,000,000/1.63)	£7,361,963
Increase in fair value	£1,301,357

The increase in fair value of £1,301,357 should be recognised in profit or loss as a gain on investment property.

The investment property is a non-monetary asset. The movement in value attributable to movement in exchange rates £74,363 ($10,000,000/1.65) – ($10,000,000/1.63) should not be recognised separately because the asset is non-monetary.



Context example: Translation of property – revaluations

A UK-based entity with a sterling functional currency has a property located in Spain which was acquired at a cost of €6 million when the exchange rate was £1 = €1.50. At the reporting date the property was revalued to €8 million. The exchange rate on the reporting date was £1 = €1.60.

Ignoring depreciation, the amount that would be recognised as other comprehensive income is:

	€	€/£	£
Value at reporting date	8,000,000	1.6	5,000,000
Value at acquisition	6,000,000	1.5	4,000,000
Revaluation surplus recognised in equity			1,000,000

The revaluation surplus may be analysed as follows.

	€	€/£	£	£
Change in fair value	2,000,000	1.6		1,250,000
Exchange component of change				
	€	€/£	£	£
	6,000,000	1.6	3,750,000	
	6,000,000	1.5	4,000,000	
				(250,000)
Revaluation surplus recognised as other comprehensive income				1,000,000



Professional skills focus: Structuring problems and solutions

When presented with a problem like this it is important to break it down into its component parts. It is clear that the revaluation surplus is made up of two components – the change in fair value and the exchange movement.

Interactive question 3: Translation of land – revaluations

Entity A, incorporated in Muritania (local currency Muritania lira), is the treasury department of Entity B which has British pounds as its functional currency. The functional currency of Entity A is also the British pound, as it is not autonomous from its parent. Entity A's management follows the revaluation model in IAS 16 and measures its land and buildings at revalued amounts (based on periodic valuations as necessary but not less frequent than every three years). A piece of land was acquired on 1 June 20X4 and is not depreciated. It has been revalued on 31 December 20X5 and 31 December 20X6 respectively as follows.

	Muritania lira	Date	Exchange rate	£
Cost at acquisition	200,000	Bought on 1 June 20X4	M lira 1 = £1.30	260,000
Fair value	250,000	As at 31 December 20X5	M lira 1 = £1.00	250,000
Fair value	260,000	As at 31 December 20X6	M lira 1 = £1.20	312,000

Requirement

How should management translate the land held at fair value in accordance with IAS 16?

See **Answer** at the end of this chapter.

Worked example: Impairment in non-monetary item

A UK-based entity with a sterling functional currency has a property located in Spain which was acquired at a cost of €6 million when the exchange rate was £1 = €1.50. The property is carried at cost. At the reporting date the recoverable amount of the property as a result of an impairment review amounted to €5 million. The exchange rate at the reporting date was £1 = €1.60.

Requirement

Ignoring depreciation, determine the amount of the impairment loss that would be reported in profit or loss as a result of the impairment.

Solution

Impairment loss

	€	€/£	£	£
Carrying amount at reporting date	5,000,000	1.6	3,125,000	
Historical cost	6,000,000	1.5	4,000,000	
Impairment loss recognised in profit or loss			(875,000)	

The impairment loss may be analysed as follows.

	€	€/£	£	£
Change in value due to impairment	1,000,000	1.6		(625,000)
Exchange component of change	6,000,000	1.6	3,750,000	
	6,000,000	1.5	4,000,000	
				(250,000)
Impairment loss recognised in profit or loss				(875,000)

Worked example: Translation of financial instruments

Entity A, whose functional currency is the pound sterling, acquired on 30 September 20X4 two classes of dollar-denominated financial instruments. (Entity A's accounting year end is 31 December.)

(1) Investments in listed equity instruments for $10 million

(2) Investments in non-listed equity instruments for $10 million

At 31 December, management believe that the cost of the unlisted investments is still a reasonable approximation of their fair value. The fair value of the listed investments has increased to $14.4 million. An irrevocable election had been made under IFRS 9 to record changes in the value of investments in equity instruments in other comprehensive income.

Requirement

How should the relevant requirements of IFRS 9 and IAS 32 affect the translation of these financial instruments into the functional currency at 31 December 20X4?

Exchange rates

30 September 20X4	$1: £1
31 December 20X4	$1.20: £1

Solution

Management should recognise the financial instruments on 31 December 20X4 as follows.

(1) Listed equity instruments of £12 million. The listed shares are measured at fair value on 31 December 20X4, of $14.4 million and translated using the spot rate at the date of valuation, which is $1.20: £1. The gain of £2 million ($14.4m/1.2 – $10m/1.0) should be recorded as other comprehensive income.

(2) Non-listed equity instruments of £10 million. As the shares are recorded at their cost of $10 million, the foreign currency value should be translated to pounds sterling using the spot rate at the date of the transaction, which was $1: £1.

Context example: Translation of a branch into the functional currency

An entity based in the UK with the pound sterling as its functional currency operates a branch in Portugal where the functional currency is the euro. As the branch is an extension of the entity, the functional currency of the branch is also the pound sterling, but as a matter of convenience the branch records a number of transactions in euros. Assume that the €:£ exchange rates have been as follows.

1 January 20X3	€2.50: £1
1 January 20X4	€2.40: £1
30 June 20X5	€2.10: £1
30 September 20X5	€2.00: £1
31 December 20X5	€2.20: £1

Details of the branch balances at 31 December 20X5 requiring translation and the basis for calculating their sterling equivalents are as follows. The branch made all its sales on 30 September 20X5, and half of these were outstanding as trade receivables at the year end. All purchases were made on 30 June 20X5, and half of these are unpaid at 31 December 20X5.

Item	Basis	Balance €	Rate	£
Plant – acquired on 1 January 20X3				
Cost	Historical rate	50,000	€2.50: £1	20,000
Accumulated depreciation	Historical rate	(30,000)	€2.50: £1	(12,000)
Plant – acquired on 1 January 20X4		20,000		8,000
Cost	Historical rate	30,000	€2.40: £1	12,500
Accumulated depreciation	Historical rate	(12,000)	€2.40: £1	(5,000)
		18,000		7,500
Trade receivables	Closing rate	50,600	€2.20: £1	23,000
Trade payables	Closing rate	25,200	€2.20: £1	11,455
Revenue	Actual rate	101,200	€2.00: £1	50,600
Purchases	Actual rate	50,400	€2.10: £1	24,000
Depreciation charge for year				
1 January 20X3 plant	Historical rate	10,000	€2.50: £1	4,000
1 January 20X4 plant	Historical rate	6,000	€2.40: £1	2,500

Note that both the accumulated depreciation and the charge for the year are translated at the rate ruling when the relevant plant was acquired. Revenue and purchases are translated at the rate ruling when the transaction occurred, but the receivables and payables relating to them (which will have been initially recognised at those rates) are monetary items which are retranslated at closing rate at the end of the year.

4 Foreign currency translation of financial statements



Section overview

This section presents the rules for the translation of financial statements from the functional currency to the presentation currency.

We have discussed in the previous section the requirements of IAS 21 for the translation of foreign currency transactions. In this section we shall discuss the IAS 21 translation requirements when foreign activities are undertaken through foreign operations whose financial statements are based on a different functional currency than that of the parent company. More specifically in this section we shall discuss the appropriate exchange rate that should be used for the translation of the financial statements of the foreign operation into the reporting entity's presentation currency.

Although an entity is required to translate foreign currency items and transactions into its functional currency, it does not have to present its financial statements in this currency. Instead, IAS 21 permits an entity a completely free choice over the currency in which it presents its financial statements.

Where the chosen currency, the entity's presentation currency, is not the entity's functional currency, this fact should be disclosed in the financial statements, along with an explanation of why a different presentation currency has been applied.

The financial statements of a foreign operation operating in a hyperinflationary economy must be adjusted under IAS 29 before they are translated into the parent's reporting currency and then consolidated. When the economy **ceases to be hyperinflationary**, and the foreign operation ceases to apply IAS 29, the amounts restated to the price level at the date the entity ceased to restate its financial statements should be used as the historical costs for translation purposes.

4.1 Translation to the presentation currency when the functional currency is a non- hyperinflationary currency

The approach adopted for the translation into a presentation currency is also used for the preparation of consolidated financial statements where a parent has a foreign subsidiary. The process is set out below.

The following procedures should be followed to translate an entity's financial statements from its functional currency into a presentation currency.

(a) Translate all assets and liabilities (both monetary and non-monetary) in the current statement of financial position using the **closing rate** at the reporting date.

(b) Translate income and expenditure in the current statement of profit or loss and other comprehensive income using the exchange rates ruling at the transaction dates. An approximation to actual rate is normally used, being the **average rate**.

(c) Report the **exchange differences** which arise on translation as **other comprehensive income**; and where a foreign subsidiary is not wholly owned, allocate the relevant portion of the exchange differences to the non-controlling interest.

Note that the comparative figures are the presentation currency amounts as presented the previous year.

4.1.1 Translation of equity

No guidance is provided as to how amounts in equity should be translated. Using the closing rate would be consistent with the approach to the translation of assets and liabilities. Translation at historical rates may seem more appropriate, given the one-off, capital nature of such items such as share capital. As IAS 21 is not explicit in this respect, either approach may be adopted, although an entity should follow a consistent policy between periods.

4.2 Exchange differences

The exchange differences comprise:

(a) Differences arising from the translation of the statement of profit or loss and other comprehensive income at exchange rates at the transaction dates or at average rates and the translation of assets and liabilities at the closing rate.

(b) Differences arising on the opening net assets' retranslation at a closing rate that differs from the previous closing rate.

Resulting exchange differences are **reported as other comprehensive income** and classified as a separate component of equity, because such amounts have not resulted from exchange risks to which the entity is exposed, but purely through changing the currency in which the financial statements are presented. To report such exchange differences in profit or loss would distort the results from the trading operations, as shown in the functional currency financial statements, since these differences are unrelated to the foreign operation's trading performance or financial operation.

Worked example: Translation to presentation currency

XYZ, a UK-based company with sterling as its functional currency, has created a new subsidiary in the US on 1 January 20X5 with a share capital of US$55,000 subscribed in cash. The amounts in its 20X5 US dollar functional currency financial statements are shown below.

	US$
Statement of profit or loss	
Revenue	500,000
Costs	(200,000)
Profit	300,000
There was no other comprehensive income.	
Statement of financial position	
Initial share capital	55,000
Retained earnings (as above)	300,000
Equity = net assets	355,000

The entity owns no non-current assets (so there are no assets or depreciation charges to be translated at the rate ruling when the asset was acquired) and all transactions took place on 30 June (so that a single rate can be used for the statement of profit or loss transactions, rather than the various rates ruling when the transactions took place).

Assume that the following exchange rates are relevant. 1 January 20X5: £1 = US$2.75

30 June 20X5: £1 = US$2.50

31 December 20X5: £1 = US$2

The entity translates share capital at the rate ruling when the capital was raised.

Requirement

Translate the financial statements of the subsidiary into the pound sterling presentation currency.

Solution

The statement of profit or loss is translated using the actual rate on the transaction date.

Statement of profit or loss and other comprehensive income

	US$	Rate	£
Revenue	500,000	Actual	200,000
Costs	(200,000)	Actual	(80,000)
Profit	300,000		120,000
Other comprehensive income:			
Exchange gain on retranslation			37,500
Total comprehensive income			157,500

The net assets of the subsidiary are translated using the closing rate and the initial share capital using the opening rate. The statement of financial position is shown below.

Statement of financial position

	US$	Rate	£
Initial share capital	55,000	Opening	20,000
Retained earnings (as above)	300,000	Actual	120,000
Exchange differences			37,500
Equity = net assets	355,000	Closing	177,500

The exchange gain arising on consolidation has two components:

(1) An exchange gain arising on retranslating the opening net assets from the opening rate to the closing rate

	Rate	£
Opening net assets = initial share capital (US$55,000)	Closing	27,500
	Opening	20,000
		7,500
Retained earnings (US$300,000)	Closing rate	150,000
	Actual rate	(120,000)
		30,000
Total exchange differences		37,500

The inclusion of the exchange gain or loss makes the accounting equation balance since:

Closing net assets (translated at closing rate)	=	Opening net assets (translated at opening rate + exchange difference)	+	Profit (translated at the actual rate + exchange difference)

The calculation of the exchange difference is discussed in more detail in section 5.3.

4.3 Translation when the functional currency is a hyperinflationary currency

Where an entity's functional currency is that of a hyperinflationary economy and it uses a presentation currency which is different from its functional currency, all the functional currency amounts restated under IAS 29, *Financial Reporting in Hyperinflationary Economies* should be translated at the closing rate at the current reporting date. The one exception is that where the presentation currency used is that of a non-hyperinflationary economy, the comparative amounts should be as they were presented in the previous period. There is no IAS 29 adjustment for the effect of hyperinflation in the current period.

Interactive question 4: Translation of a foreign operation

A UK-based company, Petra Ltd, set up a foreign subsidiary, Hellenic Marble, in Greece on 30 June 20X6. Petra Ltd subscribed €24,000 for share capital when the exchange rate was €2 = £1. The subsidiary borrowed €72,000 and bought a non-monetary asset for €96,000. Petra Ltd prepared its accounts on 31 December 20X6 and by that time the exchange rate had moved to €3 = £1. No activity was undertaken by the subsidiary during the period and it had no profits or losses.

Requirement

Account for the above transactions.

See **Answer** at the end of this chapter.

5 Foreign currency and consolidation

Section overview

This section deals with the issues arising from consolidating financial statements and, in particular, the treatment of exchange differences and goodwill.

5.1 Translation of a foreign operation

A reporting entity with foreign operations needs to translate the financial statements of those operations into its own reporting currency before consolidation or inclusion through the equity method. The method of translation described in section 4 above should be applied to the financial statements of a foreign operation. The treatment is summarised here.

(a) **Statement of profit or loss and other comprehensive income**: translate using actual rates. An average for a period may be used, but not where there is significant fluctuation and the average is therefore unreliable.

(b) **Statement of financial position**: translate all assets and liabilities (both monetary and non-monetary) using closing rates.

(c) **Exchange differences** are reported as other comprehensive income.

5.2 Consolidation

The incorporation of the results and financial position of a foreign operation with those of the reporting entity follows normal consolidation procedures, such as the elimination of intra-group balances and intra-group transactions of a subsidiary. However, an intra-group monetary asset (or liability) whether short term or long term cannot be eliminated against the corresponding intra- group liability (or asset) without showing the results of currency fluctuations in the consolidated financial statements. This is because a monetary item represents a commitment to convert one currency into another and exposes the reporting entity to a gain or loss through currency fluctuations. Accordingly, in the consolidated financial statements of the reporting entity, such an exchange difference:

- continues to be recognised in profit or loss; or
- is classified as equity until the disposal of the foreign operations, if it is a monetary asset forming part of the net investment in a foreign operation.

Worked example: Consolidated financial statements

The abridged statements of financial position and profit or loss of Darius Co and its foreign subsidiary, Xerxes Inc, appear below.

Draft statement of financial position as at 31 December 20X9

		Darius Co		Xerxes Inc
	£	£	€	€
Assets				
Non-current assets				
Plant at cost	600		500	
Depreciation	(250)		(200)	
		350		300
Investment in Xerxes				
100 shares @ £0.25 per share		25		—
		375		300
Current assets				
Inventories	225		200	
Receivables	150		100	
		375		300
		750		600
Equity and liabilities				
Equity				
Ordinary £1/€1 shares	300		100	
Retained earnings	300		280	
		600		380
Long-term loans		50		110
Current liabilities		100		110
		750		600

Statements of profit or loss for the year ended 31 December 20X9

	Darius Co	Xerxes Inc
	£	€
Profit before tax	200	160
Tax	(100)	(80)
Profit after tax, retained	100	80

The following further information is given.

(1) Darius Co has had its interest in Xerxes Inc since the incorporation of the company.

(2) Depreciation is 8% per annum on cost.

(3) The carrying amount of equity of Xerxes at 31 December 20X8 was €300.

(4) There have been no loan repayments or movements in non-current assets during the year. The opening inventory of Xerxes Inc was €120. Assume that inventory turnover times are very short.

(5) Exchange rates:

(a) €4 to £1 when Xerxes Inc was incorporated

(b) €2.50 to £1 when Xerxes Inc acquired its long-term assets

(c) €2 to £1 on 31 December 20X8

(d) €1.60 to £1 average rate of exchange year ending 31 December 20X9

(e) €1 to £1 on 31 December 20X9

Requirements

1 Prepare the summarised consolidated statement of profit or loss and statement of financial position of Darius Co using the £ as the presentation currency.

2 Calculate the exchange difference and prepare a separate consolidated statement of profit or loss and other comprehensive income for the year.

Solution

1 **Statement of profit or loss of Xerxes for the year ended 31 December 20X9** translated using the average rate (€1.60 = £1)

	£
Profit before tax	100
Tax	(50)
Profit after tax, retained	50

Consolidated statement of profit or loss for the year ended 31 December 20X9

		£
Profit before tax	£(200 + 100)	300
Tax	£(100 + 50)	(150)
Profit after tax, retained	£(100 + 50)	150

The statement of financial position of Xerxes Inc at 31 December 20X9, other than share capital and reserves, should be translated at the closing rate of €1 = £1.

Summarised statement of financial position of Xerxes in £ at 31 December 20X9

	£	£
Non-current assets (carrying amount)		300
Current assets		
Inventories	200	
Receivables	100	
		300
		600
Non-current liabilities		110
Current liabilities		110
Equity = 600 – 110 – 110 = 380		380
		600

Since Darius Co acquired the whole of the issued share capital on incorporation, the post-acquisition reserves including exchange differences will be the value of shareholders' funds arrived at above, less the original cost to Darius Co of £25 (ie, €100 at the historical exchange rate of £1: €4). Post-acquisition increase in equity = £380 – £25 = £355.

Summarised consolidated statement of financial position as at 31 December 20X9

		£	£
Assets			
Non-current assets (NBV)	£(350 + 300)		650
Current assets			
Inventories	£(225 + 200)	425	
Receivables	£(150 + 100)	250	
			675
			1,325
Equity and liabilities			
Equity			
Ordinary £1 shares (Darius only)			300
Retained earnings	£(300 + 355)		655
			955
Non-current liabilities: loans	£(50 + 110)		160
Current liabilities	£(100 + 110)		210
			1,325

Note: It is quite unnecessary to know the amount of the exchange differences when preparing the consolidated statement of financial position.

2 **Calculation of exchange differences**

	£
Xerxes's equity interest at 31 December 20X9	380
Equity interest at 1 January 20X9 (€300/2)	(150)
	230
Less retained profit	(50)
Exchange gain	180

Consolidated statement of profit or loss and other comprehensive income for the year ended 31 December 20X9

	£
Profit after tax	150
Exchange difference on translation of foreign operations	180
Total comprehensive income for the year	330

Note: The post-acquisition reserves of Xerxes Inc at the beginning of the year must have been £150 – £25 = £125 and the post-acquisition reserves of Darius Co must have been £300 – £100 = £200. The consolidated post-acquisition reserves must therefore have been £325.

Professional skills focus: Assimilating and using information

While the information regarding exchange rates must be assimilated and used, it is important not to lose sight of the fact that foreign currency consolidation questions have standard group aspects that should not be rushed or overlooked.

5.3 Analysis of exchange differences

The exchange differences in the above exercise could be reconciled by splitting them into their component parts.

The total exchange difference arises from the following:

- Translating **income/expense items** using an average rate, whereas **assets/liabilities** are translated at the closing rate
- Translating the **opening net investment** (opening net assets) in the foreign entity at a closing rate different from the closing rate at which it was previously reported

Using the opening statement of financial position and translating at opening rate of €2 = £1 and the closing rate of €1 = £1 will produce the exchange differences as follows.

	€2 = £1 £	€1 = £1 £	Exchange difference £
Non-current assets at carrying amount	170	340	170
Inventories	60	120	60
Net current monetary liabilities	(25)	(50)	(25)
	205	410	205
Equity	150	300	150
Loans	55	110	55
	205	410	205

Translating the statement of profit or loss using average rate €1.60 = £1 and the closing rate €1 = £1 gives the following results.

	€1.60 = £1 £	€1 = £1 £	Exchange difference £
Profit before tax, depreciation and increase in inventory values	75	120	45
Increase in inventory values	50	80	30
	125	200	75
Depreciation	(25)	(40)	(15)
	100	160	60
Tax	(50)	(80)	(30)
Profit after tax, retained	50	80	30

The overall position is then:

	£
Gain on non-current assets (£170 – depreciation £15)	155
Loss on loan	(55)
Gain on inventories (£60 + £30)	90
Loss on net monetary current assets/liabilities (all other differences) (£45 – £30 – £25)	(10)
Net exchange gain: as above	180

This can be simplified as:

	£	£
Opening net assets of €300: at opening rate (€2: £1)	150	
at closing rate (€1: £1)	300	
		150 gain
Retained profits of €80: at average rate (€1.60: £1)	50	
at closing rate (€1: £1)	80	
		30 gain
		180 gain

This exchange difference is recorded as other comprehensive income.

(a) The group share is included within total comprehensive income attributable to the shareholders of the parent company (and so included in the group reserves calculation).

(b) The non-controlling interest share is included within total comprehensive income attributable to the non-controlling interest.

5.4 Goodwill and fair value adjustments

Goodwill arising under IFRS 3, *Business Combinations* from the acquisition of a foreign operation should initially be calculated in the functional currency of the subsidiary and then be treated as an asset of the foreign operation and translated at the **closing rate** each year. The exchange difference arising is recorded as other comprehensive income in the consolidated accounts and accumulated in group equity.

The carrying amount of goodwill in the presentation currency is therefore as affected by changes in exchange rates as any other non-current asset. This may result in goodwill being allocated to an entity for the purpose of foreign currency translation at a different level from that used for impairment testing, which should continue to be determined based on IAS 36.

Adjustments made to the fair values of assets and liabilities of a foreign operation under IFRS 3 should be treated in the same way as goodwill. The adjustments are recognised in the carrying amounts of the assets and liabilities of the foreign operation in its functional currency. The adjusted carrying amounts are then translated at the closing rate.

Context example: Goodwill adjustment

On 31 December 20X4, ABC acquired 80% of DEF for £10 million when the carrying amount of DEF's identifiable net assets was €8 million. The carrying amounts were the same as fair value except for land which is not subject to depreciation and had a fair value of €1 million higher than carrying amount. The carrying amount in DEF's financial statements was not altered.

The €/£ exchange rate was €2.40/£ at 31 December 20X4, and €2.50/£ at 31 December 20X5. The non-controlling interest is measured using the proportion of net assets method.

The goodwill arising on consolidation was:

	€'000
Consideration transferred	24,000
Non-controlling interest 20% × (€8m + €1m)	1,800
	25,800
Net assets of acquiree €8m + €1m)	(9,000)
Goodwill	16,800

The goodwill arising on acquisition is therefore €16.8m/2.4 = £7m. The fair value adjustment in sterling amounted to €1m/2.4 = £416,667.

At 31 December 20X5, the goodwill is restated to £6.72 million (€16.8m/2.5) and the fair value adjustment in sterling terms was £400,000 (€1m/2.5).

The requirement in an entity's own financial statements to recognise in profit or loss all exchange differences in respect of monetary items which are part of an entity's net investment in a foreign operation was dealt with earlier.

On consolidation, however, the differences should be recognised as other comprehensive income and recorded in a separate component of equity. This treatment is required because exchange differences arising from the translation of the operations' net assets will move in the opposite way. If there is an exchange loss on the net investment, there will be an exchange gain on the net assets, and vice versa. The two movements should be netted off, rather than one being recognised in profit or loss and the other as other comprehensive income.

5.5 Net investment in foreign operation

A parent company may have a monetary item that is payable to or receivable from a foreign operation, ie, an intragroup loan outstanding. In order to qualify as a net investment in a foreign operation, settlement must neither be planned, nor expected to occur in the foreseeable future. Such monetary items would include long-term loans or receivables, but not trade payables or receivables. When a monetary item is part of the net investment in a foreign operation (ie, there is an intra-group loan outstanding) then the following rules apply on consolidation.

(a) If the monetary item is denominated in the functional currency of the parent entity, the exchange difference will be recognised in the profit or loss of the foreign subsidiary.

(b) If the monetary item is denominated in the functional currency of the subsidiary, exchange differences will be recognised in the profit or loss of the parent entity.

(c) When the monetary item is denominated in the functional currency of either entity, on consolidation, the exchange difference will be removed from the consolidated profit or loss and it will be recognised as other comprehensive income and recorded in equity in the combined statement of financial position.

(d) If, however, the monetary item is denominated in a third currency which is different from either entity's functional currency, then the translation difference should be recognised as part of profit or loss. For example, the parent may have a functional currency of US dollars, the foreign operation a functional currency of euros, and the loan made by the foreign operation may have been denominated in UK sterling. In this scenario, the exchange difference results in a cash flow difference and should be recognised as part of the results of the group.

(e) A separate foreign currency reserve reported as part of equity may have a positive or negative carrying amount at the reporting date. Negative reserves are permitted under IFRS® Standards.

(f) If the foreign operation is subsequently disposed of, the cumulative exchange differences previously reported as other comprehensive income and recognised in equity should be reclassified and so included in the profit or loss on disposal recognised in the statement of profit or loss.



Context example: Exchange changes

Some years ago ABC, whose functional currency is pounds sterling, made a long-term loan of £100,000 to its wholly owned subsidiary, DEF, whose functional currency is the euro. At 31 December 20X4, the exchange rate was £1 = €3, and at 31 December 20X5 was £1 = €2.50. No settlement of the loan is planned or likely to occur in the foreseeable future.

At 31 December 20X4, €300,000 (£100,000 × 3) was a payable in DEF's financial statements. ABC carried the receivable at £100,000, so on consolidation the two amounts cancelled out.

At 31 December 20X5, only €250,000 (£100,000 × 2.5) was a payable in DEF's financial statements, so in 20X5 DEF made an exchange gain of €50,000 in its own financial statements. On consolidation DEF's payable still cancels out against ABC's £100,000 receivable.

However, on consolidation, the sterling equivalent of DEF's exchange gain (€50,000/2.5 = £20,000) is eliminated from consolidated profit or loss and shown as part of total exchange differences reported as other comprehensive income.

5.6 Consolidation when subsidiaries have different reporting dates

Where the reporting date of entities included in the consolidated financial statements of the group are different, and in accordance with IFRS 10 an earlier set of financial statements is used for consolidation purposes, there is an issue as to which exchange rate should be used; the one at the date of the earlier set of financial statements, or the one at the reporting date of the consolidated financial statements.

Under IAS 21, for all subsidiaries, associates and joint ventures which are consolidated or equity accounted, the relevant exchange rate is that ruling at the date to which the foreign operation's financial statements were prepared. This reflects the fact that the foreign operation's results are prepared to its reporting date and exchange differences should be calculated in a consistent way. However, IAS 21 goes on to state that, where the exchange rate has significantly changed in the period between the foreign operation's year end and that of the group, an adjustment should be made. This is consistent with the approach in IFRS 10 for significant events that have happened in this intervening period. The same approach is used in applying the equity method to associates and joint ventures in accordance with IAS 28, *Investments in Associates and Joint Ventures*.

5.7 Intra-group trading transactions

Where normal trading transactions take place between group companies located in different countries, the transactions give rise to monetary assets or liabilities that may either have been settled during the year or remain unsettled at the reporting date.



Context example: Intra-group trading

A UK parent company has a wholly owned subsidiary in the US. During the year ended 31 December 20X5, the US company purchased plant and raw materials to be used in its manufacturing process from the UK parent. Details of transactions are as follows.

	$/£
Purchase plant costing £500,000 on 30 April 20X5	1.48
Paid for plant on 30 September 20X5	1.54
Purchased raw materials costing £300,000 on 31 October 20X5	1.56
Balance of £300,000 outstanding at 31 December 20X5	1.52
Average rate for the year	1.55

The following exchange gains/losses will be recorded in the US subsidiary's profit or loss for the year ended 31 December 20X5.

	$	$
Plant costing £500,000 @ 1.48	740,000	
Paid £500,000 @ 1.54	770,000	
Exchange loss – settled transaction		(30,000)
Raw materials costing £300,000 @ 1.56	468,000	
Outstanding £300,000 @ 1.52	456,000	
Exchange gains – unsettled transaction		12,000
Net exchange loss recorded in profit or loss		(18,000)

5.8 Intercompany dividends

Dividends paid in a foreign currency during a period by a subsidiary to its parent may lead to exchange differences being reported in the parent's financial statements. This will be the case where the dividend is recognised at the transaction date, being the date on which the parent recognises the receivable, but receipt is not until a later date and exchange rates have moved during this period. As with other intra-group exchange differences, these amounts should not be eliminated on consolidation.

5.9 Disposal of a foreign operation

On the disposal of a foreign operation, the cumulative amount of exchange differences, which has been reported as other comprehensive income and is accumulated in a separate component of equity relating to the foreign operation, shall be recognised in profit or loss, along with gain or loss on disposal when it is recognised.

Disposal may occur either through sale, liquidation, repayment of share capital or abandonment of all, or part of, the entity. The payment of the dividend is part of a disposal only if it constitutes a return of the investment; for example, when the dividend is paid out of pre-acquisition profits. In the case of a partial disposal, only the proportionate share of the related accumulated exchange difference is included in the gain or loss. A write-down of the carrying amount of a foreign operation does not constitute a partial disposal. Accordingly, no part of the deferred foreign exchange gain or loss is recognised in profit or loss at the time of a write-down.

5.10 Tax effects of exchange differences

When there are tax effects arising from gains or losses on foreign currency transactions and exchange differences arising on the translation of the financial statements of foreign operations IAS 12, *Income Taxes* should be applied.

6 Disclosure



Section overview

This section presents the relevant disclosure requirements.

The disclosure requirements of IAS 21 are not particularly onerous and, assuming that an entity's functional currency has not changed during the period, and its financial statements are presented in its functional currency, it is only required to disclose the following:

- The amount of exchange differences reported in profit or loss for the period. This amount should exclude amounts arising on financial instruments measured at fair value through profit or loss under IFRS 9.
- The net exchange differences reported in other comprehensive income. This disclosure should include a reconciliation between the opening and closing amounts.

In addition, when the **presentation currency is different** from the functional currency, that fact should be stated and the functional currency should be disclosed. The reason for using a different presentation currency should also be disclosed.

Where there is a **change in the functional currency** of either the reporting entity or a significant foreign operation, that fact and the reason for the change in functional currency should be disclosed.

An entity may present its financial statements or other financial information in a currency that is different from either its functional currency or its presentation currency. For example, it may convert selected items only, or it may use a translation method that does not comply with IFRS Standards in order to deal with hyperinflation. In this situation the entity must:

- clearly identify the information as supplementary information to distinguish it from information that complies with IFRS Standards;
- disclose the currency in which the supplementary information is displayed; and
- disclose the entity's functional currency and the method of translation used to determine the supplementary information.

For publicity or other purposes, an entity may wish to display its financial statements using a currency which is neither its functional nor its presentation currency; such information is not presented in accordance with IFRS Standards, so IAS 21 requires that it should be clearly identified as being supplementary.

7 Other matters



Section overview

This section discusses a number of other matters, such as non-controlling interests and taxation.

7.1 Non-controlling interests

(a) The figure for **non-controlling interests in the statement of financial position** will be the appropriate proportion of the translated share capital and reserves of the subsidiary plus,

where the NCI is valued at fair value, its share of goodwill translated at the closing rate. In addition, it is necessary to show any dividend declared but not yet paid to the NCI at the reporting date as a liability. The dividend payable should be translated at the closing rate for this purpose.

(b) The **non-controlling interest in profit or loss** will be the appropriate proportion of profits available for distribution. If the functional currency of the subsidiary is the same as that of the parent, this profit will be arrived at **after** charging or crediting the exchange differences.

(c) The **non-controlling interest in total comprehensive income** includes the NCI proportion of the exchange gain or loss on translation of the subsidiary financial statements. Where the non- controlling interest is measured at fair value, exchange gains and losses arising on the retranslation of goodwill are included in total comprehensive income.



Worked example: Consolidated financial statements

Extracts from the summarised accounts of Camrumite Inc are shown below.

Statement of financial position as at 31 December 20X3

	€
Non-current assets	10,000
Net monetary assets	5,000
	15,000
Equity	
Ordinary share capital and reserves	15,000

Statement of profit or loss for the year ended 31 December 20X3

	€
Profit for the year	3,080

Statement of changes in equity for the year ended 31 December 20X3

	€
Profit for the year	3,080
Dividend payable	1,680
Retained profit for the year	1,400

60% of the issued capital of Camrumite Inc is owned by Bates Co, a company based in the UK. There have been no movements in long-term assets during the year.

The exchange rate has moved as follows.

1 January 20X3	€5 = £1
Average for the year ended 31.12.X3	€7 = £1
31 December 20X3	€8 = £1

Requirement

You are required to calculate the figures for the non-controlling interest to be included in the consolidated accounts of Bates Co.

The non-controlling interest is measured using the proportion of net assets method.

Solution

Translating the shareholders' funds using the closing rate as at 31 December 20X3 gives €15,000 ÷ 8 = £1,875.

The non-controlling interest in the statement of financial position will be 40% × £1,875 = £750.

The dividend payable translated at the closing rate is €1,680 ÷ 8 = £210. The amount payable to the non-controlling shareholders is 40% × £210 = £84.

The profit after tax translated at the average rate is €3,080 ÷ 7 = £440. The non-controlling interest in profit is therefore 40% × £440 = £176.

The non-controlling share of the exchange difference is calculated as:

	£	£
Opening net assets		
€15,000 – €1,400 = €13,600		
At opening rate of €5: £1	2,720	
At closing rate of €8: £1	1,700	1,020
Profits of €3,080		
At average rate of €7: £1	440	
At closing rate of €8: £1	385	55
Loss on retranslation of Camrumite's accounts		1,075
NCI share of loss £1,075 × 40%		430

Therefore the non-controlling interest in total comprehensive income is profit of £176 less exchange losses of £430 = £254 loss

The non-controlling interest can be summarised as follows.

	£
Balance at 1 January 20X3 (£2,720 × 40%)	1,088
Non-controlling interest in profit for the year	176
Non-controlling interest in exchange losses	(430)
	834
Balance at 31 December 20X3	750
Dividend payable to non-controlling interest	84
	834

7.2 Tax effects

The tax effects of gains and losses on foreign currency translations are addressed by IAS 12 and covered in later chapters.

7.3 First time adoption

IFRS 1, *First Time Adoption of International Financial Reporting Standards* includes an exemption that allows the cumulative translation difference on the retranslation of subsidiaries' net assets to be set to zero for all subsidiaries at the date of transition to IFRS.

This means that it does not have to be separately disclosed and recycled in profit or loss when the subsidiaries are disposed of.

However, translation differences arising from the date of transition would have to be separately disclosed as other comprehensive income, included in a separate component of equity and reclassified to profit or loss on the investment's disposal.

In addition, the requirement to retranslate goodwill and fair value adjustments does not have to be applied retrospectively to business combinations before transition to IFRS.

8 Reporting foreign currency cash flows

Section overview

This section addresses the treatment of foreign currency cash flows in the statement of cash flows.

Transactions in foreign currency

(a) Where an entity enters into foreign currency transactions which result in an inflow or outflow of cash, the entity should translate cash flows into its **functional currency** at the **transaction date**.

(b) Although transactions should be translated at the date on which they occurred, for practical reasons IAS 21 permits the use of an average rate where it approximates to actual.

Foreign subsidiaries

A similar approach is required where an entity has a foreign subsidiary. The transactions of the subsidiary should be translated into the reporting entity's **functional currency** at the transaction date.

Reporting translation differences

Although the translation of foreign currency amounts does not affect the cash flow of an entity, translation differences relating to cash and cash equivalents are part of the changes in cash and cash equivalents during a period. Such amounts should therefore form part of the statement of cash flows. IAS 7 requires the effect of foreign currency to be reported separately from operating, investing and financing activities. No specific location for the disclosure is provided; disclosure at the base of the statement of cash flows would seem an appropriate presentation.

Where an entity adopts the indirect method of calculating cash flows from operating activities and it has foreign currency amounts which have been settled during the period, no further adjustment is required at the period end. This is because any foreign exchange difference will already include the amount of the original foreign currency transaction and the actual settlement figure. An overseas purchase will be recorded using the purchase date exchange rate and a payable will be recorded. On settlement, any adjustment to the actual cash flow paid will be recognised in profit or loss as part of the entity's operating activities.

Unsettled foreign currency amounts in relation to operating activities, such as trade receivables and payables, are not adjusted at the period end because such amounts are retranslated at the reporting date and the exchange difference is reported in profit or loss already. Where an entity uses the indirect method for calculating its operating cash flows, it starts with the profit figure which will include the retranslation difference, and the movement in the period for receivables and payables will also include a similar amount. Since the two amounts effectively eliminate each other, no adjustment is required.

Further disclosures

It is important to note that the standard requires disclosure of significant cash and near-cash balances that the entity holds but which are not available to the group as, for example, under a situation in which exchange controls prohibit the conversion of cash transactions or balances.

Worked example: Foreign currency cash flows

On 15 November, an entity imported some plant and equipment costing $400,000 from an overseas supplier, with $250,000 being paid on 31 December 20X5 and $150,000 being paid on 31 January 20X6.

The $/£ spot exchange rates were as follows.

	$/£
15 November 20X5	2.0:1
31 December 20X5	1.9:1
31 January 20X6	1.8:1

Requirement

How should these transactions be reported within the statement of cash flows?

Solution

The purchase will initially be recorded at the rate ruling at the transaction date:

$400,000 / 2.0 = £200,000, with a trade payable of the same amount also being recognised.

At 31 December 20X5, the cash outflow will be recorded at the rate ruling at the transaction date: $250,000 / 1.9 = £131,579 and the remaining trade payable, being a monetary liability, is translated at the same rate:

$150,000 / 1.9 = £78,947

The plant and equipment, a non-monetary asset, is carried at the historical rate of £200,000.

Only cash flows appear in the statement of cash flows, so £131,579 will be shown within investing activities.

9 Reporting in hyperinflationary economies

Section overview

- **IAS 29** requires financial statements of entities operating within a hyperinflationary economy to be restated in terms of measuring units current at the reporting date.
- Financial statements should be **restated based on a measuring unit current** at the reporting date:
  - **Monetary assets/liabilities** do not need to be restated.
  - **Non-monetary assets/liabilities** must be restated by applying a general prices index.
  - **Items of income/expense** must be restated.
  - **Gain/loss on net monetary items** must be reported in profit or loss.

In a hyperinflationary economy, **money loses its purchasing power very quickly**. Comparisons of transactions at different points in time, even within the same accounting period, are misleading. It is therefore considered inappropriate for entities to prepare financial statements without making adjustments for the **fall in the purchasing power of money over time**.

IAS 29, *Financial Reporting in Hyperinflationary Economies* applies to the **primary financial statements** of entities (including consolidated accounts and statements of cash flows) whose functional currency is the currency of a hyperinflationary economy. In this section, we will identify the hyperinflationary currency as $H.

The standard does not define a **hyperinflationary economy** in exact terms, although it indicates the characteristics of such an economy; for example, where the cumulative inflation rate over three years approaches or exceeds 100%.



Context example: Indicators of hyperinflation

What other factors might indicate a hyperinflationary economy? These are examples, but the list is not exhaustive.

(a) The population prefers to retain its wealth in non-monetary assets or in a relatively stable foreign currency. Amounts of local currency held are immediately invested to maintain purchasing power.

(b) The population regards monetary amounts not in terms of the local currency but in terms of a relatively stable foreign currency. Prices may be quoted in that currency.

(c) Sales/purchases on credit take place at prices that compensate for the expected loss of purchasing power during the credit period, even if that period is short.

(d) Interest rates, wages and prices are linked to a price index.

The reported value of **non-monetary assets**, in terms of current measuring units, increases over time. For example, if a non-current asset is purchased for $H1,000 when the price index is 100, and the price index subsequently rises to 200, the value of the asset in terms of current measuring units (ignoring accumulated depreciation) will rise to $H2,000.

In contrast, the value of **monetary assets and liabilities**, such as a debt for $H300, is unaffected by changes in the prices index, because it is an actual money amount payable or receivable. If a customer owes $H300 when the price index is 100, and the debt is still unpaid when the price index has risen to 150, the customer still owes just $H300. However, the purchasing power of monetary assets will decline over time as the general level of prices goes up.

9.1 Requirement to restate financial statements in terms of measuring units current at the reporting date

In most countries, financial statements are produced on the basis of either of the following:

- **Historical cost**, except to the extent that some assets (eg, property and investments) may be revalued
- **Current cost**, which reflects the changes in the values of specific assets held by the entity

In a hyperinflationary economy, neither of these methods of financial reporting are meaningful unless adjustments are made for the fall in the purchasing power of money. IAS 29 therefore requires that the **primary financial statements** of entities in a hyperinflationary economy should be produced by restating the figures prepared on either a historical cost basis or a current cost basis in terms of **measuring units current at the reporting date**.

Definition

Measuring units current at the reporting date: This is a unit of local currency with a purchasing power as at the reporting date, in terms of a general prices index.

Financial statements that are not restated (ie, that are prepared on a historical cost basis or current cost basis without adjustments) may be presented as **additional statements** by the entity, but this is discouraged. The primary financial statements are those that have been restated.

After the assets, liabilities, equity and statement of profit or loss and other comprehensive income of the entity have been restated, there will be a **net gain or loss on monetary assets and liabilities** (the '**net monetary position**') and this should be recognised separately in profit or loss for the period.

9.2 Making the adjustments

IAS 29 recognises that the resulting financial statements, after restating all items in terms of measuring units current at the reporting date, will **lack precise accuracy**. However, it is more important that certain procedures and judgements should be applied consistently from year to year.

9.3 Statement of financial position: historical cost

Where the entity produces its accounts on a historical cost basis, the following procedures should be applied.

(a) Items that are not already expressed in terms of measuring units current at the reporting date should be restated, using a **general prices index**, so that they are valued in measuring units current at the reporting date.

(b) **Monetary assets and liabilities** are not restated, because they are already expressed in terms of measuring units current at the reporting date.

(c) Assets that are **already stated at market value or net realisable value** need not be restated, because they too are already valued in measuring units current at the reporting date.

(d) Any assets or liabilities **linked by agreement to changes in the general level of prices**, such as index-linked loans or bonds, should be adjusted in accordance with the terms of the agreement to establish the amount outstanding as at the reporting date.

(e) All **other non-monetary assets**, ie, tangible long-term assets, intangible long-term assets (including accumulated depreciation/amortisation), investments and inventories, should be restated in terms of measuring units as at the reporting date, by applying a general prices index.

The **method of restating** these assets should normally be to multiply the original cost of the assets by a factor: (prices index at reporting date/prices index at date of acquisition of the asset). For example, if an item of machinery was purchased for $H2,000 when the prices index was 400 and the prices index at the reporting date is 1,000, the restated value of the long-term asset (before accumulated depreciation) would be:

$H2,000 × [1,000/400] = $H5,000

If, in the above example, the non-current asset has been held for half its useful life and has no residual value, the **accumulated depreciation** would be restated as $H2,500. (The depreciation charge for the year should be the amount of depreciation based on historical cost, multiplied by the same factor as above: 1,000/400).

If an asset has been **revalued** since it was originally purchased (eg, a property), it should be restated in measuring units at the reporting date by applying a factor: (prices index at reporting date/prices index at revaluation date) to the revalued amount of the asset.

If the restated amount of a non-monetary asset **exceeds its recoverable amount** (ie, its net realisable value or market value), its value should be reduced accordingly.

The **owners' equity** (all components) as at the start of the accounting period should be restated using a general prices index from the beginning of the period.

9.4 Statement of profit or loss and other comprehensive income: historical cost

In the statement of profit or loss and other comprehensive income, all amounts of income and expense should be **restated in terms of measuring units current at the reporting date**. All amounts therefore need to be restated by a factor that allows for the change in the prices index since the item of income or expense was first recorded.

9.5 Gain or loss on net monetary position

In a period of inflation, an entity that holds monetary assets (cash, receivables) will suffer a fall in the purchasing power of these assets. By the same token, in a period of inflation, the value of monetary liabilities, such as a bank overdraft or bank loan, declines in terms of current purchasing power.

(a) If an entity has an **excess of monetary assets over monetary liabilities**, it will suffer a loss over time on its net monetary position, in a period of inflation, in terms of measuring units as at 'today's date'.

(b) If an entity has an **excess of monetary liabilities over monetary assets**, it will make a gain on its net monetary position, in a period of inflation.

10 Audit focus

Section overview

This section provides an overview of the particular issues associated with auditing foreign subsidiaries. The audit of group accounts in general is covered in earlier chapters.

The inclusion of one or more foreign subsidiaries within a group introduces additional risks, including the following:

- Non-compliance with the **accounting requirements** of IAS 21, *The Effects of Changes in Foreign Exchange Rates*
- Potential misstatement due to the effects of **high inflation**
- Possible difficulty in the parent being able to exercise **control**, for example due to political instability
- Currency restrictions limiting payment of profits to the parent
- There may be threats to **going concern** due to economic and/or political instability
- Non-compliance with local taxes or misstatement of local tax liabilities

Audit procedures

These would include the following:

- Confirm that the balances of the subsidiary have been appropriately translated to the group reporting currency:

- Assets and liabilities at the **closing rate** at the end of the reporting period.
- Income and expenditure at the **rate ruling at the transaction date**. An average would be a suitable alternative provided there have been no significant fluctuations.

- Confirm **consistency** of treatment of the translation of equity (closing rate or historical rate).
- Verify that the **consolidation process** has been performed correctly eg, elimination of intra-group balances.
- Recalculate the **non-controlling interest**.
- Confirm that **goodwill** has been translated at the closing rate.
- Verify the **disclosure of exchange differences** as a separate component of equity.
- Assess whether **disclosure requirements** of IAS 21 have been satisfied.
- If the foreign operation is operating in a **hyperinflationary economy** confirm that the financial statements have been adjusted under IAS 29, *Financial Reporting in Hyperinflationary Economies* before they are translated and consolidated.
- Involve a specialist tax audit team to review the calculation of tax balances against submitted and draft tax returns.

Interactive question 5: Overseas subsidiary

Saturn plc trades in the UK preparing accounts to 31 March annually. Several years ago Saturn plc acquired 80% of the issued ordinary share capital of Venus Inc which trades in Zorgistan. This country is experiencing hyperinflation and severe political instability as a result. The local currency is the zorg but Venus Inc has determined that its functional currency is the US$. The presentation currency of the group is £. Venus Inc is audited by a reputable local firm of auditors.

Requirement

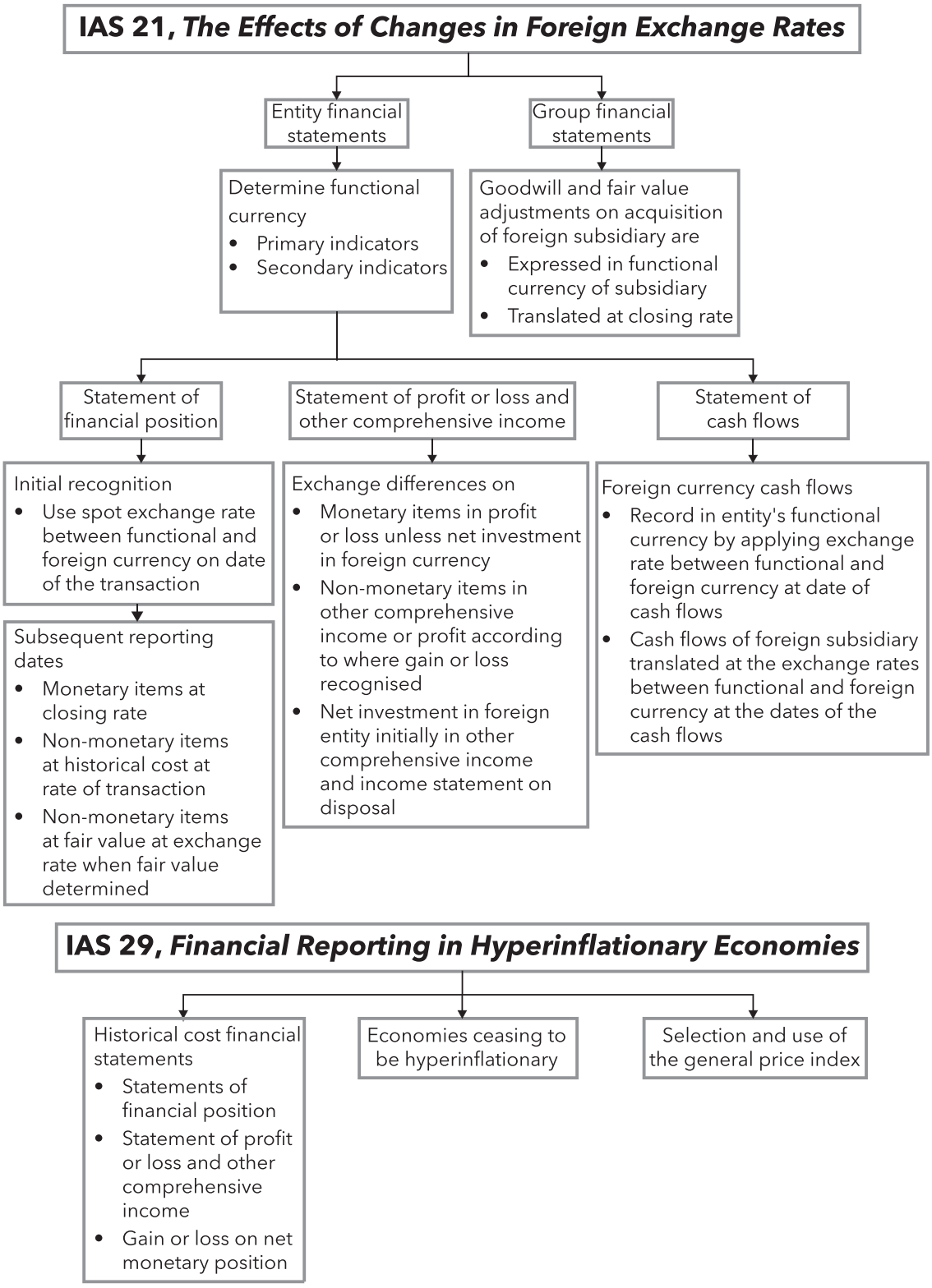
Identify the issues the auditor would need to consider in respect of the audit of the Saturn group financial statements.

See **Answer** at the end of this chapter.

Professional skills focus: Applying judgement

Judgement will need to be applied in this kind of question, as in real life. This is true despite the local audit firm being 'reputable' because there may be differences in local practices.

Summary


IAS 21, The Effects of Changes in Foreign Exchange Rates
Entity financial statements
Group financial statements
Determine functional currency
• Primary indicators
• Secondary indicators
Goodwill and fair value adjustments on acquisition of foreign subsidiary are
• Expressed in functional currency of subsidiary
• Translated at closing rate
Statement of financial position
Statement of profit or loss and other comprehensive income
Statement of cash flows
Initial recognition
• Use spot exchange rate between functional and foreign currency on date of the transaction
Subsequent reporting dates
• Monetary items at closing rate
• Non-monetary items at historical cost at rate of transaction
• Non-monetary items at fair value at exchange rate when fair value determined
Exchange differences on
• Monetary items in profit or loss unless net investment in foreign currency
• Non-monetary items in other comprehensive income or profit according to where gain or loss recognised
• Net investment in foreign entity initially in other comprehensive income and income statement on disposal
Foreign currency cash flows
• Record in entity's functional currency by applying exchange rate between functional and foreign currency at date of cash flows
• Cash flows of foreign subsidiary translated at the exchange rates between functional and foreign currency at the dates of the cash flows
IAS 29, Financial Reporting in Hyperinflationary Economies
Historical cost financial statements
• Statements of financial position
• Statement of profit or loss and other comprehensive income
• Gain or loss on net monetary position
Economies ceasing to be hyperinflationary
Selection and use of the general price index

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you determine an entity's functional currency in accordance with IAS 21? (Topic 2)
2.	How should foreign currency transactions be recognised initially and subsequently? (Topic 3)
3.	How are exchange differences on retranslation of monetary items reported under IAS 21? (Topic 3)
4.	Do you understand the rules for the translation of financial statements from the functional currency to the presentation currency? (Topic 4)
5.	What is the procedure for consolidating a foreign subsidiary? (Topic 5)
6.	How is goodwill on consolidation translated? (Topic 7)
7.	What are the issues for the auditor specific to auditing a foreign subsidiary? (Topic 10)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Zephyria	This is a very short question on which exchange rate to use when calculating goodwill on consolidation of a foreign subsidiary.
Soapstone	This tests the main calculations that will be needed for consolidation of a foreign subsidiary.
Jupiter	You are now ready to try this question, which is a full consolidated statement of financial position with a foreign subsidiary.
Winstanley	This is a typical Question 3 in the exam, approaching foreign currency from the auditors' point of view.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Earthstor (loan to Trayner only)	With regard to the loan, a sound understanding of both IAS 21 and IFRS 9 is required. You are also required to consider audit issues, particularly relating to risk.
Wadi	This question covers various financial reporting and auditing issues relating to an investment in a foreign subsidiary. As the question is highly integrated you should answer all parts of the question, paying particular attention to
	audit risk and the role of the component auditor.
Elac (trade receivables only)	This question requires you to translate the foreign trade receivables at the correct rate and calculate and present the exchange loss correctly.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

1 IAS 21, The Effects of Changes in Foreign Exchange Rates

Functional currency

- Currency that influences sales prices and costs – **IAS 21.9**

Initial recognition

- Foreign currency transaction to be recorded in functional currency at spot exchange rate at date of transaction – **IAS 21.21**

Reporting at subsequent reporting dates – IAS 21.23

- Foreign currency monetary items using the closing rate
- Foreign currency non-monetary items measured at historical cost in foreign currency translated at exchange rate at date of transaction
- Foreign currency non-monetary items measured at fair value in foreign currency translated at exchange rate at date when fair value determined

Recognition of exchange differences

- Exchange differences arising on settlement or translation of monetary items at rate different from those at which they were translated on initial recognition recognised in profit or loss in period in which they arise (unless these arise in relation to an entity's net investment in a foreign operation – see IAS 21.32 below) – **IAS 21.28**
- When gain or loss on a non-monetary item is recognised directly in other comprehensive income any exchange component of gain or loss should also be recognised in other comprehensive income – **IAS 21.30**
- Exchange differences arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation shall be recognised: – **IAS 21.32**
  - In profit or loss in the separate financial statements of reporting entity or the individual financial statements of foreign operation
  - In other comprehensive income (a separate component of equity) in the consolidated financial statements and reclassified from equity to profit or loss on disposal

Change in functional currency

- Translation procedures to be applied prospectively from date of change – **IAS 21.35**

Use of presentation currency other than the functional currency

- Translation into presentation currency for consolidation – **IAS 21.38–39**

Translation of foreign operation

- Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments shall be expressed in the functional currency of the foreign operation and translated at the closing rate – **IAS 21.44**

2 IAS 7, Statement of Cash Flows

Foreign currency cash flows – IAS 7.25–26

- Non-cash transactions
  - The statement of cash flows does not record non-cash transactions – **IAS 7.43**

- Disclosures – **IAS 7.50**
  - Components of cash and cash equivalents – **Appendix A**
  - Reconciliation of the amounts in the statement of cash flows with the equivalent balance in the statement of financial position
  - Information (together with a commentary) which may be relevant to the users

3 IAS 29, Financial Reporting in Hyperinflationary Economies

- Scope – **IAS 29.1**
- Restatement of financial statements – **IAS 29.5–10**
- Historical cost financial statements
  - Statement of financial position – **IAS 29.11–25**
  - Statement of profit or loss and other comprehensive income – **IAS 29.26**
  - Gain or loss on net monetary position – **IAS 29.27–28**
- Current cost financial statements
  - Statement of financial position – **IAS 29.29**
  - Statement of profit or loss and other comprehensive income – **IAS 29.30**
  - Gain or loss on net monetary position – **IAS 29.31**
- Taxes – **IAS 29.32**
- Statement of cash flows – **IAS 29.33**
- Corresponding figures – **IAS 29.34**
- Consolidated financial statements – **IAS 29.35**
- Selection and use of the general price index – **IAS 29.37**
- Economies ceasing to be hyperinflationary – **IAS 29.38**
- Disclosures – **IAS 29.39–40**

Self-test questions

Answer the following questions

1 Conversion versus translation

What is the difference between conversion and translation of foreign currency amounts?

2 Monetary items

Define 'monetary' items according to IAS 21.

3 Initial recognition

How should foreign currency transactions be recognised initially in an individual entity's accounts?

4 Functional currency

What factors must management take into account when determining the functional currency of a foreign operation?

5 Goodwill and fair value adjustments

How should goodwill and fair value adjustments be treated on consolidation of a foreign operation?

6 Change in functional currency

When can an entity's functional currency be changed?

7 Zephyria

The Zephyria Company acquired a foreign subsidiary on 15 August 20X6. Goodwill arising on the acquisition was N$175,000.

Consolidated financial statements are prepared at the year end of 30 September 20X6 requiring the translation of all foreign operations' results into the presentation currency of pounds sterling.

The following rates of exchange have been identified:

Historical rate at the date of acquisition	N$1.321:£
Closing rate at the reporting date	N$1.298:£
Average rate for Zephyria's complete financial year	N$1.302:£
Average rate for the period since acquisition	N$1.292:£

Requirement

In complying with IAS 21, *The Effects of Changes in Foreign Exchange Rates*, at what amount should the goodwill be included in the consolidated financial statements?

8 Cacomistle

The Cacomistle Company operates in the mining industry. It acquired an overseas mining subsidiary, The Vanbuyten Company, on 10 September 20X7. The functional currency of Vanbuyten is the N$.

An initial review of the assets of Vanbuyten immediately after the acquisition found that it was necessary to make a downward fair value adjustment to the carrying amount of one of its mines amounting to N$225,000, due to adverse geological conditions. The mine had been acquired by Vanbuyten on 4 October 20X3.

Cacomistle's consolidated financial statements were prepared to 31 December 20X7 and required translation into the presentation currency which was pounds sterling.

Exchange rates were as follows:

4 October 20X3 – N$1.292: £1

10 September 20X7 – N$1.321: £1

31 December 20X7 – N$1.298: £1

Average rate for 20X7 – N$1.302: £1

Requirement

At what amount should the fair value adjustment be recognised in Cacomistle's consolidated financial statements for the year ending 31 December 20X7 according to IAS 21, *The Effects of Changes in Foreign Exchange Rates*?

9 Longspur

The Longspur Company is an aircraft manufacturer and its functional currency is pounds sterling.

Longspur ordered an item of plant from an overseas supplier at an agreed invoiced cost of N$250,000 on 31 March 20X7.

The equipment was delivered and was available for use on 30 April 20X7. It has a 10-year life span and no residual value.

Exchange rates were as follows:

31 March 20X7 – £1: N$2.10

30 April 20X7 – £1: N$2.07

31 December 20X7 – £1: N$1.90

Average rate for 20X7 – £1: N$2.05

Requirement

At what amount should depreciation on the equipment be recognised in Longspur's financial statements for the year ending 31 December 20X7 under IAS 21, *The Effects of Changes in Foreign Exchange Rates*?

10 Orton

The Orton Company is a retailer of artworks and sculptures. Orton has a year end of 31 December 20X7 and uses pounds sterling as its functional currency. On 28 October 20X7, Orton purchased 10 paintings from a supplier for N$920,000 each, a total of N$9,200,000.

Exchange rates were as follows:

28 October 20X7 – £1: N$1.80

19 December 20X7 – £1: N$1.90

31 December 20X7 – £1: N$2.00

8 February 20X8 – £1: N$2.40

Orton sold seven of the paintings for cash on 19 December 20X7 with the remaining three paintings being sold on 8 February 20X8. All 10 of the paintings were paid for by Orton on 8 February 20X8.

Requirement

What exchange gain arises from the transaction relating to the paintings in Orton's financial statements for the year ended 31 December 20X7 according to IAS 21, *The Effects of Changes in Foreign Exchange Rates*?

11 Alder

On 1 January 20X7 The Alder Company made a loan of £9 million to one of its foreign subsidiaries, The Culpeo Company. The loan in substance is a part of Alder's net investment in that foreign operation. The functional currency of Culpeo is the R$.

Alder's consolidated financial statements were prepared to 31 December 20X7 and the presentation currency is pounds sterling.

Exchange rates were as follows:

1 January 20X7 – R$2.00: £1

31 December 20X7 – R$1.80: £1

Requirement

How would the exchange gain or loss on the intra-group loan be recognised in the consolidated financial statements of Alder for the year ending 31 December 20X7 according to IAS 21, *The Effects of Changes in Foreign Exchange Rates*?

12 Porcupine

The Porcupine Company has a wholly owned foreign subsidiary, The Jacktree Company, with net assets at 1 January 20X7 of N$300 million. Jacktree made a profit for the year ending 31 December 20X7 of N$150 million. The functional currency of Jacktree is the N$.

Porcupine's consolidated financial statements were prepared to 31 December 20X7 and the presentation currency is pounds sterling.

Exchange rates were as follows:

1 January 20X7 – N$2.00: £1

31 December 20X7 – N$3.00: £1

Average rate for 20X7 – N$2.50: £1

Requirement

How would the exchange gain or loss on the investment in Jacktree be recognised in the consolidated financial statements of Porcupine for the year ending 31 December 20X7 according to IAS 21, *The Effects of Changes in Foreign Exchange Rates*?

13 Soapstone

On 31 December 20X6 The Soapstone Company acquired 60% of the ordinary shares in The Frew Company for £700. Soapstone's functional currency is pounds sterling, while Frew's is the R$. The summarised financial statements of Frew and the £:R$ exchange rates are as follows.

	31 December 20X6	31 December 20X7
Identifiable assets less liabilities (= equity)	R$500	R$730
Exchange rate	£2.00: R$1	£3.00: R$1

The carrying amount of Frew's assets and liabilities are the same as their fair values and there has been no impairment of goodwill.

The average exchange rate during 20X7 was £2.50: R$1. There was no change in Frew's share capital during the year and it paid no dividends.

Requirements

Determine the following amounts that will appear in Soapstone's consolidated financial statements for the year ended 31 December 20X7 in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*.

(a) The carrying amount at 31 December 20X7 of the goodwill acquired in the business combination, assuming that the non-controlling interest is valued as a proportion of the net assets of the entity

(b) Soapstone's share of Frew's profit for the period

(c) The total foreign exchange gain reported as other comprehensive income in 20X7

14 Jupiter

Jupiter plc trades in the UK preparing accounts to 31 March annually.

On 31 December 20X6 Jupiter plc acquired 90% of the issued ordinary capital of Mars Inc which trades in Intergalatica where the currency is the Gal. At 31 March 20X7 the following statements of financial position were prepared.

	Jupiter plc	Mars Inc
	£'000	Gal'000
Property, plant and equipment	148,500	197,400
Financial asset investments	85,000	–
Net current assets	212,800	145,500
	446,300	342,900
Capital – ordinary £1/1 Gal	300,000	150,000
Retained earnings – at 31 March 20X7	53,300	132,900
	353,300	282,900
Long-term loans	93,000	60,000
	446,300	342,900

Relevant data is as follows.

(1) The profit of both companies accrues reasonably evenly throughout the year. Jupiter plc and Mars Inc had retained earnings of £18.9 million and 24.9 million Gal respectively for the year ended 31 March 20X7.

(2) The parent company's long-term loans include an amount borrowed from a Swiss bank (to build a new factory). 50.4 million Swiss francs were borrowed on 1 July 20X5 when the exchange rate was 2.1 francs = £1. The rate at 31 March 20X7 was 2.3 francs = £1. The loan is recorded at the historical amount received in the statement of financial position.

(3) When finalising the purchase price of Mars Inc it was agreed that non-current assets were already at fair value but that receivables required a write-down of 50,000,000 Gals. This has not been adjusted in the books of the subsidiary. These receivables were still outstanding at 31 March 20X7.

(4) The non-current assets of Mars were acquired as follows:

	Gal'000
5 May 20X5	100,400
1 February 20X7	97,000

(5) Rates of exchange were as follows:

	Gal = £1
5 May 20X5	6.0
31 December 20X6	5.4
1 February 20X7	4.7
31 March 20X7	4.2
Average for the three months to 31 March 20X7	4.8

(6) The company has determined that goodwill at the year end has been impaired by 10% of its value in Gals. The impairment event arose on 31 March 20X7.

(7) Jupiter measures the non-controlling interest using the proportion of net assets method.

Requirement

Prepare the consolidated statement of financial position of Jupiter group as at 31 March 20X7 in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*.

15 Cardamom

The Cardamom Company operates in the heavy engineering sector and has the pound sterling as its functional currency.

On 30 September 20X7 Cardamom imported a crane from an overseas supplier, The Venilia Company. The total cost of the crane was R$3,000,000. Under the terms of the contract Cardamom was to pay Venilia R$2,000,000 on 31 October 20X7 and R$1,000,000 on 31 March 20X8. Cardamom does not hedge its foreign currency cash flows.

The R$/£ spot exchange rates were as follows.

	R$/£
30 September 20X7	3.0: 1
31 October 20X7	2.5: 1
31 December 20X7	2.2: 1
31 March 20X8	2.0: 1

Requirement

What should be the cash outflow in the statement of cash flows of Cardamom for the year ending 31 December 20X7 under Investing Activities in respect of the purchases of the crane, in accordance with IAS 7, *Statement of Cash Flows*?

16 Rostock

The Rostock Company operates in Sidonia and its functional currency is the N$. The Sidonian economy has deteriorated to such an extent that it became necessary for Rostock to apply IAS 29, *Financial Reporting in Hyperinflationary Economies*, with effect from 1 January 20X7. At that date Rostock's statement of financial position was summarised as follows.

	N$		N$
Property, plant and equipment	27,600	Share capital	8,000
Trade receivables	10,800	Revaluation reserve	7,000
Cash	1,300	Retained earnings	11,300
Trade payables	(13,400)		
	26,300		26,300

The share capital was issued on the date the company was formed, 1 January 20X5. The property, plant and equipment was acquired on the same date and revalued on 30 September 20X5. The trade payables were acquired on 30 September 20X6 and the trade receivables on 31 December 20X6.

The general price index of Sidonia has been as follows.

	20X5	20X6	20X7
1 January	500	700	900
30 September	600	800	
31 December	700	900	
Average for the year	580	780	

Requirement

What amount should be recognised in the statement of financial position of Rostock at 1 January 20X7 in respect of retained earnings after the adjustments required by IAS 29?

17 Winstanley International Restaurants

Winstanley International Restaurants plc (WIR) is a listed company based in the UK which operates a chain of restaurants. While most of its activities are in the UK, WIR has significant,

and growing, operations in the Far East, Africa, North America and Europe. WIR's overseas activities are managed through an autonomous subsidiary in each country where WIR has restaurants.

You are a senior in the firm that audits WIR and you will be attending, in two days' time on 2 February 20X8, the final audit planning meeting in respect of the financial statements for the year ending 31 December 20X7.

The engagement Manager, Fiona Vood, has given you the following instructions ahead of the meeting:

"I realise that you have not had any previous contact with this client, but the senior who carried out the interim audit formed a personal relationship with the WIR finance director and has now left the firm. The finance director has also resigned. There are various issues with this client that worry me. I would like you to prepare a written summary of the most important concerns, as a basis for discussion at the planning meeting.

One of the areas of concern raised at the interim audit was the financial reporting treatment of foreign exchange issues. Unfortunately, a new finance director has not yet been appointed and WIR staff have little expertise in this area. The board also has some concerns about the impact that foreign exchange movements will have on the financial statements.

I would therefore like you to provide a written explanation for the audit planning meeting of the financial reporting treatment of the matters connected with foreign exchange outlined in briefing notes 1 and 2 that I have provided (see **Exhibit**), including relevant calculations of the impact on WIR's financial statements.

I am also concerned about the current position of Landran National Restaurants (LNR), which is one of the WIR group's largest subsidiaries. As you probably know, the country of Landra has been undergoing significant economic turmoil and I'm afraid that this may be impacting on LNR. I'd be grateful if you could let me have details of the possible financial reporting issues that may affect the group's consolidated financial statements. Further details about LNR are in briefing note 3.

I'm not satisfied with the explanations the last senior obtained from the finance director about certain large payments. Details of these explanations are in briefing note 4; I reckon we need to do further work on them.

As well as the tasks I've given you above, I would also like you, for each issue 1–4 in the briefing notes, to set out a schedule which briefly describes the key audit risks and audit procedures.

Lastly, I've had an email from the Chief Executive saying that the board has decided to include a social and environmental report in the group accounts for the first time. He's wondering if we can help the company prepare the report and report on it as part of our audit. I think it may be a good idea, but I need some notes on the issues so that I can respond to the Chief Executive."

Requirement

Respond to the instructions from the engagement manager.

Exhibit: Briefing notes

(1) WIR, the parent company, made an undated loan to one of its foreign subsidiaries, Rextex Inc, of $4.8 million on 1 March 20X7. The loan was denominated in $ which is the functional currency of Rextex. WIR has made it clear that the loan is part of a long-term commitment to financing the activities of this subsidiary. The exchange rate on 1 March 20X7 was £1:$2 and the exchange rate on 31 December 20X7 was £1:$1.6. Please cover both the treatment in the group financial statements and in the WIR parent company financial statements.

(2) On 30 September 20X7 WIR purchased a cold storage depot in Lanvia in order to store food purchased from the region. The transaction had been personally authorised and

dealt with by the finance director, with initial board approval. After the purchase was agreed, the finance director had visited Lanvia to take custody of the title documents. WIR does not have a subsidiary in Lanvia.

The depot contract was invoiced in Lanvian Crona (LCr) for LCr15 million. Payment was to be made in LCr in two equal instalments on 30 November 20X7 and on 31 January 20X8. As you may know, the LCr has appreciated significantly against the £ as a result of the Lanvian Government creating an independent Central Bank. Current and historical exchange rates are:

30 September 20X7 – LCr2.50/£1

30 November 20X7 – LCr2.10/£1

31 December 20X7 – LCr2.00/£1

31 January 20X8 (today) – LCr1.95/£1

During the interim audit the senior went to Lanvia to inspect the new depot and the purchase documentation.

(3) Landran National Restaurants is, in terms of revenue, WIR's second biggest subsidiary. It is a chain of high-quality restaurants, operating in the country of Landra. Over the last few years Landra has been affected by considerable economic uncertainty; inflation is currently running at 95% and is expected to go on rising rapidly for the next few years. Landra's local stock market is almost dormant; because of the impact of inflation, rich investors have preferred to invest in property in Landra or in overseas stock markets. The uncertainty has impacted significantly on LNR's business; it has been forced to link staff wages to the country's price index, and its suppliers are insisting that either LNR pays immediately in cash or, if it takes credit, that the payments are adjusted to take account of the price inflation between LNR purchasing supplies and the suppliers being paid.

LNR's financial statements have been prepared on an unmodified historical cost basis in accordance with local accounting practice.

(4) Several large payments have been made to unidentified agents and described as commissions in respect of obtaining large catering contracts. Most of these payments have been made in cash, some of which were in foreign currencies; however, some payments have been made by cheque. Inquiries relating to the payee of the cheque have revealed that they are in the name of a nominee and the beneficiary cannot be identified. There is no supporting documentation for any of the payments.

Before his departure the former finance director told the audit senior that such commissions are common practice and the agent represents valuable contacts whose identity must be kept confidential as otherwise WIR's competitors would be able to 'poach' work from them.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

The £ value of the loan is recorded as £4 million (€10/2.5). The UK company suffered an exchange loss of £1 million.

Answer to Interactive question 2

Assumption 1: All the tables were sold on 20 December 20X5 and were paid for on 15 December 20X5.

Statement of profit or loss

Purchases = $3,600,000 ÷ 1.8 = £2m

Purchases are recorded at the exchange rate on the date of the original transaction.

Exchange gain on settlement of payable = ($3,600,000 ÷ 1.8) – ($3,600,000 ÷ 1.9) = £105,263

The dollar has weakened between the date of the transaction and the date of settlement; so the cost of settling the trade payable in terms of pounds has reduced thereby producing an exchange gain which is recognised in profit or loss.

Statement of financial position

No balances are outstanding, as all the inventories have been sold and the trade payable is settled before the year end.

Assumption 2: All the tables were sold on 3 February 20X6 and were paid for on 15 December 20X5.

Statement of profit or loss

Purchases = $3,600,000 ÷ 1.8 = £2m

Exchange gain on settlement of payable = £105,263

The impact on profit or loss is as for Assumption 1, as the trade payable was settled on the same day.

Statement of financial position

Inventories = $3,600,000 ÷ 1.8 = £2m

All the purchases were held in inventory at the year end. As a non-monetary item, inventories remain at their original cost (ie, at the exchange rate at the date of the original purchase).

Assumption 3: All the tables were sold on 15 December 20X5 and were paid for on 3 February 20X6.

Statement of profit or loss

Purchases = $3,600,000 ÷ 1.8 = £2m

Exchange gain on year-end retranslation of payable = ($3,600,000 ÷ 1.8) – ($3,600,000 ÷ 2.0) = £200,000

The exchange gain is now determined with respect to the value of the trade payable at the year end (as a monetary item trade payables are translated at the year-end exchange rate). The dollar has weakened between the date of the transaction and the year end, so the cost of settling the trade payable in terms of pounds has reduced, thereby producing an exchange gain, which is recognised in profit or loss. The remainder of any exchange gain/loss between the year end and the date of eventual settlement is recognised in the 20X6 financial statements.

Statement of financial position

Inventories = Nil. All the inventory is sold during the year. Trade payables = ($3,600,000 ÷ 2.0) = £1,800,000

As a monetary item, trade payables are translated at the year-end exchange rate.

Assumption 4: 75 of the tables were sold on 15 December 20X5 with the remaining 25 tables sold on 3 February 20X6. All the tables were paid for on 3 February 20X6.

Statement of profit or loss

Purchases = $3,600,000 ÷ 1.8 = £2m

Exchange gain on year-end retranslation of payable = ($3,600,000 ÷ 1.8) – ($3,600,000 ÷ 2.0) = £200,000

The explanation of the exchange gain is as for Assumption 3.

Statement of financial position

Inventories = 25% × ($3,600,000 ÷ 1.8) = £500,000

25% of the purchases were still held in inventory at the year end. As a non-monetary item these inventories remain at their original cost (ie, at the exchange rate at the date of the original purchase).

Answer to Interactive question 3

Management should value the land at £312,000 at 31 December 20X6.

The land is initially recognised at its original cost translated at the spot rate between Muritania lira and the pound (ie, £260,000) on acquisition. The value remains unchanged at 31 December 20X4 because management determined there was no need for a revaluation in this period.

At 31 December 20X5, the land is valued at £250,000, which is the fair value as at 31 December 20X5 translated at the exchange rate on the same date, when the fair value was determined (IAS 21.23). Entity A recognises a loss of £10,000 profit or loss on 31 December 20X5, because a decrease of the carrying amount as a result of a revaluation is recognised in profit or loss (IAS 16.40).

At 31 December 20X6, the land is valued at £312,000. Entity A recognises a gain of £10,000 in profit or loss. The gain of £10,000 is the reversal of the revaluation decrease as at 31 December 20X5.

The revaluation surplus of £52,000 is recognised in equity (IAS 16.39).

Answer to Interactive question 4

Petra Ltd will record its initial investment at £12,000 which is the cost of the shares (€24,000) translated at the rate of exchange on the acquisition date. The statement of financial position of Hellenic Marble at 31 December 20X6 will be:

	€'000	Exchange rate	£'000
Non-monetary asset	96	3	32
Share capital and retained earnings	24		8
Loan	72	3	24
			32

The share capital and retained earnings is the balancing item and is reconciled as follows:

Translation of closing equity (€24,000 @ €3/£1)	£8,000
Translation of opening equity (€24,000 @ €2/£1)	£12,000
Loss therefore	£4,000

Answer to Interactive question 5

In relation to the financial statements of Venus Inc:

- The extent to which the work of the component auditors can be relied on. The indication is that the firm is reputable; however, differences in local practices will still need to be taken into account. Additional audit procedures may be required as a result to satisfy UK requirements.
- The accounting framework adopted and more specifically the accounting policies adopted by Venus.
- Whether the component auditors have considered the effect of the high inflation on the ability of the business to continue operating. While the functional currency of Venus is the US$, the company may not be completely immune from the effects of exchange rates for local transactions. In addition, extreme inflation may have resulted in falling sales if local sales have fallen dramatically due to lack of affordability.

In relation to the group accounts:

- The nature of the investment ie, whether the political instability in Zorgistan is such that control cannot be exercised and therefore the investment is not a subsidiary.
- Whether IAS 21 has been complied with in terms of the translation of the subsidiary's accounts into pounds.
- Materiality of the subsidiary to the group as a whole. This would be of particular relevance if the subsidiary were to face going concern issues.

Answers to Self-test questions

1 Conversion versus translation

Conversion is the process of physically exchanging one currency for another. Translation is the restatement of the value of one currency in another currency.

2 Monetary items

Money held and assets and liabilities to be received or paid in fixed or determinable amounts of money.

3 Initial recognition

Use the exchange rate at the date of the transaction. An average rate for a period can be used if the exchange rates did not fluctuate significantly.

4 Functional currency

Primary factors used in the determination of the functional currency include the currency of the country that influences sales price for goods and services, labour, material and other costs and whose competitive forces and regulations determine these prices and costs.

Secondary indicators include the currency in which funding and receipts from operating activities arise.

5 Goodwill and fair value adjustments

Treat as assets/liabilities of the foreign operation and translate at the closing rate.

6 Change in functional currency

Only if there is a change to the underlying transactions relevant to the entity.

7 Zephyria

£134,823

Goodwill is translated at the closing rate. Therefore N$175,000/1.298 = £134,823. See IAS 21 IN15 and 57.

8 Cacomistle

£173,344

Because IAS 21.47 treats fair value adjustments to the carrying amount of assets and liabilities arising on the acquisition of a foreign operation as assets and liabilities of the foreign operation, it requires them to be translated at the closing rate.

The correct answer is thus N$225,000/1.298 = £173,344.

9 Longspur

£8,052

IAS 21.21 and 22 require that an asset should be recorded initially at the date of the transaction, which is the date it first qualifies for recognition. For property, plant and equipment, this is when the asset is delivered, which in this case is 30 April 20X7.

The equipment is a non-monetary asset and thus its carrying amount stays at the original translated value per IAS 21.23(b). Depreciation on a non-monetary asset is charged from when it becomes available for use and is treated in the same way as the related assets, so there is no change from the exchange rate at initial recognition. The correct answer is therefore:

(N$250,000/10 years) × 8/12 = N$16,667 translated at £1:N$2.07 = £8,052.

10 Orton

£511,111

Exchange gain = (N$9,200,000/1.8) – (N$9,200,000/2.0) = £511,111

The exchange gain is determined with respect of the value of the trade payable at the year end (as per IAS 21.23(a) monetary items such as trade payables are translated at the year-end exchange rate). The N$ has weakened between the date of the transaction and the year end, so the cost of settling the trade payable in terms of £ has reduced, thereby producing an exchange gain.

There is no gain or loss in respect of the revenue for the paintings sold, which is recorded at the transaction date rate (IAS 21.21). There is no gain or loss on the paintings held in inventory which in the year-end statement of financial position are translated at the transaction date rate (IAS 21.23(b)).

11 Alder

The loan would initially be recorded in the financial statements of Culpeo at the rate ruling on the transaction date (IAS 21.21), so £9m × 2.0 = R$18m. Under IAS 21.23 the amount payable at the year end is £9m × 1.8 = R$16.2m. The difference is a gain (ie, reduction in a liability) of R$1.8 million in the financial statements of Culpeo.

This gain will be translated at the closing rate and is equal to £1.0 million (R$1.8m/1.8). Since the loan is part of the net investment, it is recognised as a separate component of equity as required by IAS 21.15 and IAS 21.32–33.

12 Porcupine

£60 million loss, recognised in equity

IAS 21.39 and 41 require that exchange differences in translation to the presentation currency are recognised directly in equity.

		£m	**£m**
Net assets at 1 January 20X7 at last year's rate	N$300 @ 2.0	150	
Net assets at 1 January 20X7 at this year's rate	N$300 @ 3.0	100	50 loss
Profit at average rate	N$150 @ 2.5	60	
Profit at 31 December 20X7	N$150 @ 3.0	50	10 loss
			60 loss

13 Soapstone

(a) The goodwill acquired is calculated as:

	R$
Consideration transferred (£700/2)	350
Non-controlling interest (R$500 × 40%)	200
	550
Net assets of acquiree	(500)
Goodwill	50
Translated at acquisition (R$50 × 2) =	£100
Retranslated at 31 December 20X7 (R$50 × 3) =	£150

(b) As there has been no change in Frew's share capital during 20X7, the (R$730 – R$500) = R$230 increase in equity represents Frew's profit for 20X7. This is translated at the £2.50: R$1 average rate as an approximation to the rates ruling at the date of each transaction, to give £575, of which Soapstone's 60% share is £345 (IAS 21.39(b)–40).

(c) The amount reported as other comprehensive income is made up of the exchange difference on the retranslation of Frew's accounts plus the exchange difference on the retranslation of goodwill:

Retranslation of Frew's accounts

		£	£
Net assets at 1 January 20X6 at opening rate	R$500 @ 2.0	1,000	
Net assets at 1 January 20X6 at closing rate	R$500 @ 3.0	1,500	500 gain
Profit at average rate	R$230 @ 2.5	575	
Profit at closing rate	R$230 @ 3.0	690	115 gain
			615 gain

Retranslation of goodwill

£150 – £100 = £50 gain (part (1))

The overall exchange gain recognised as other comprehensive income is therefore £615 + £50 = £665.

Of this:

- £615 × 40% = £246 is attributable to the non-controlling interest
- (£615 × 60%) + £50 = £419 is attributable to the shareholders of the parent

14 Jupiter

Consolidated statement of financial position as at 31 March 20X7

	£'000
Tangible non-current assets (148,500 + 47,000)	195,500
Goodwill (W4)	54,641
Net current assets (212,800 + 22,738)	235,538
	485,679

Share capital	300,000
Retained earnings (W5)	50,484
Foreign exchange reserve (W6)	24,451
	374,935
Non-controlling interest (W7)	5,545
Long-term loans (90,913 (W3) + 14,286)	105,199
	485,679

WORKINGS

(1) **Translation of the statement of financial position of Mars Inc**

	Gal'000	**Gal'000**	**Rate**	**£'000**
Tangible non-current assets		197,400	4.2 CR	47,000
Net current assets	145,500			
Less receivables w/d	50,000			
		95,500	4.2 CR	22,738
		292,900		69,738
Share capital		150,000	5.4 HR	27,778
Pre-acquisition reserves (W2)		76,675	5.4 HR	14,199
Post-acquisition reserves (24,900 × 3/12)		6,225	ß	13,475
(incl exchange differences to date)		232,900		55,452
Long-term liabilities		60,000	4.2 CR	14,286
		292,900		69,738

(2) **Pre-acquisition reserves**

	Gal'000
Balance at 31 March 20X7	132,900
Less earnings post-acquisition (24,900 × 3/12)	(6,225)
Reserves at 31 December 20X6	126,675
Less write-down of receivables	(50,000)
Pre-acquisition reserves	76,675

(3) **Jupiter plc loans (retranslated at closing rate)**

		£'000	£'000
Long-term liability per SFP			93,000
Revaluation of Swiss franc loan			
SF50.4m / 2.1		24,000	
SF50.4m / 2.3		(21,913)	
Gain on remeasurement			2,087
Remeasured long-term liabilities			90,913

(4) **Goodwill**

	Gal'000		£'000
Consideration transferred (£85m × 5.4)	459,000		
Non-controlling interest			
(Gal 150m + Gal 76.675m) × 10%	22,668		
	481,668		
Net assets of acquiree (150m + 76.675m)	(226,675)		
Goodwill	254,993	@ HR 5.4	47,221
Impairment	(25,499)	@ CR 4.2	(6,071)
Exchange gain (β)			13,491
Carrying value	229,494	@ CR 4.2	54,641

Proof of exchange gain:		£'000
Initial value of goodwill Gal 254,993,000	@ HR 5.4	47,221
	@ CR 4.2	60,712
Overall exchange gain		13,491

(5) **Consolidated retained earnings**

	£'000
Jupiter plc	53,300
Share of post-acquisition profits in Mars	
(90% × Gal 24.9m × 3/12m) @ AR 4.8	1,168
Gain on Swiss franc loan (W3)	2,087
Impairment of goodwill (W4) (25,499/4.2)	(6,071)
	50,484

(6) **Foreign exchange reserve**

	£'000
Exchange gain on goodwill (W4)	13,491
Group share of exchange gain on retranslation of subsidiary (W8)	10,960
	24,451

(7) **Non-controlling interest (from W1)**

	£'000
10% × (69,738 – 14,286)	5,545

(8) **Exchange difference on retranslation of subsidiary**

		£'000	£'000
Opening net assets (acquisition) Gal 226,675,000	@ HR 5.4	41,977	
	@ CR 4.2	53,970	Gain 11,993
Retained profits since acquisition			
Gal 24.9m × 3/12 = Gal 6.225m	@ AR 4.8	1,297	
	@ CR 4.2	1,482	Gain 185
			Gain 12,178
Group share £12,178,000 × 90%			10,960

15 Cardamom

£800,000

IAS 7.25 requires cash flows from foreign currency transactions to be recorded by reference to the exchange rate at the date of the cash flow.

Only the October 20X7 flow falls within the year ended 31 December 20X7, so the outflow is R$2,000,000 at 2.5 = £800,000

16 Rostock

N$25,700

The only asset requiring adjustment is the PPE, from date of revaluation to 1 January 20X7, so it is restated to N$41,400 (N$27,600 × 900/600) (IAS 29.18). The other assets and the trade payables are monetary items which require no adjustment (IAS 29.12). So the restated equity is N$40,100 (N$41,400 – N$27,600 + N$26,300).

At the beginning of the first period of application of IAS 29, share capital is restated from the date of contribution, the revaluation surplus is eliminated and retained earnings are the balancing figure (IAS 29.24). Retained earnings are N$25,700 (N$40,100 – N$8,000 × 900/500).

17 Winstanley International Restaurants

To Fiona Vood

From A Senior

Date 31 January 20X8

Subject Winstanley Audit – International transactions and balances

Parent company loan

(1) **Financial reporting**

Where a parent company makes a loan to a subsidiary then the amount outstanding is an intra- group monetary item. The entity with the currency exposure needs to recognise an exchange difference on the intra-group balance. In this case, as the loan is denominated in dollars, then the currency risk lies with WIR rather than Rextex.

(a) **Parent company financial statements**

The loan is a monetary item. The normal rules of IAS 21 apply in the case of the parent company accounts. Assuming that the £ is the functional currency of WIR (as 'most of its activities are in the UK') then the exchange difference should be recognised in profit or loss.

Specifically there is a foreign exchange gain on the loan receivable of £600,000 [($4.8m/2) – ($4.8m/1.6)]

The receivable will thus be recorded in the WIR individual company statement of financial position at £3 million.

It is possible that the loan may have been eligible to be treated as a fair value hedge of exchange rate risk of the investment, but it does not appear that adequate documentation was put in place at inception.

(b) **Consolidated financial statements**

In the consolidated financial statements the loan from a parent to a subsidiary can be regarded as part of a net investment in a foreign operation. This is only permitted by IAS 21 where settlement is neither planned nor likely to occur in the foreseeable future.

As the WIR loan is undated, and there is no intention for repayment in the short or medium term, it would therefore appear that the loan to Rextex qualifies as a net investment in a foreign operation.

As a consequence, IAS 21 requires that the exchange gain of £600,000 recognised in profit of the WIR parent company accounts must, on consolidation, be removed from consolidated profit or loss, recognised as other comprehensive income and recorded in equity in the combined statement of financial position.

(2) **Audit risk and audit procedures**

A key risk is that the loan from WIR to Rextex fails the IAS 21 test for a net investment in a foreign operation. The consequence of this would be that the loan would be a normal monetary item and the exchange gain taken to profit in the consolidated financial statements in the normal way.

The key audit risks are that:

- the loan might be improperly classified and thus the exchange gain on the loan wrongly recognised as other comprehensive income; and
- the company may wish the exchange gain to be recognised in profit or loss (rather than as other comprehensive income) and therefore change the terms of the loan before the year end in order to make it more temporary. It would thus not be treated as a net investment in a foreign subsidiary.

Other audit risks and audit procedures are as follows:

Audit risks	Audit procedures
Use of inappropriate exchange rates	Verify exchange rates by confirming dates of the initial loan agreement and funds transfer
Consider any impairment of loan	Review going concern of Rextex (budgets, liquidity, cash flow)
Review terms of loan for evidence of permanency or ability of WIR directors to change the terms of the loan in the near future	Review correspondence between WIR and Rextex and board minutes for evidence that the loan may be repayable in the near future Review the terms of the loan
Post year end changes in exchange rates affecting loan value	Verify exchange rates after the end of the reporting period. If material consider disclosure as a non-adjusting event per IAS 10

Purchase of warehouse

(1) **Financial reporting**

According to IAS 21 an entity is required to translate foreign currency items and transactions into its functional currency.

WIR initially records both the non-current asset and the liability at £6 million (LCr15m/2.5).

		£m	£m
DEBIT	Warehouse – non-current asset	6	
CREDIT	Liability		6

The non-current asset needs no further translating.

By the date of the first payment there has been an appreciation in the LCr against the £. As a result the actual amount in £s that WIR needs to settle the first instalment will increase, thereby resulting in an exchange loss.

Amount required to settle is LCr7.5m/2.1 = £3,571,429

The exchange loss is thus £571,429 (£3,571,429 – £3m)

The remainder of the liability is still outstanding at the year-end date. As a monetary liability, it needs retranslating at the rate of exchange ruling at the reporting date as £3.75 million (ie, LCr7.5m/2).

The resulting exchange loss of £750,000 (ie, LCr7.5m/2.5 – LCr7.5m/2) should be shown as part of profit or loss.

The settlement date and exchange rate on that date are not relevant for the financial statements of the year ending 31 December 20X7.

(2) **Audit risk and audit procedures**

Audit risks	Audit procedures
There are concerns over the role of the FD due to the following: • The resignation in the year	Interview other board members and finance staff to assess competence, integrity and degree of control exercised by the FD

Audit risks	Audit procedures
• The personal relationship with the last audit senior • Personal control over the acquisition of a major asset • The 'commissions' paid (discussed further below) • There is no replacement FD yet in post	Review samples of transactions authorised by the FD Review the measures taken to compensate for the absence of an FD
Internal controls over the transaction – given major involvement of FD	Review board minutes for authorisation Speak to members of the board and finance staff to assess role of the ex-FD in the contract (was there any meaningful segregation of duties?) Re-examine audit working papers of previous audit senior given personal involvement. Consider reperforming audit procedures
Timing of payments	Review contract to ascertain payment terms and dates. Verify actual payments made after they have occurred
Business risk – impairment	Given the doubts over the FD, ascertain the business case for warehouse (ie, why it was needed in this location) and assess its fair value on the basis of (i) any independent valuations carried out during purchase process (ii) utilisation of the warehouse since purchase (eg, amount of inventories held there).

Landra – hyperinflationary economy

(1) **Financial reporting issues**

Landra appears to have several of the characteristics of a hyperinflationary economy:

- Many of the richest people in Landra are accumulating wealth in property, or investing it in stable markets overseas.
- Suppliers are adjusting the credit payments required from LNR.
- The staff in Landran restaurants are having to be paid in amounts linked to a price index.
- Based on the information available, inflation is likely to exceed 100% over three years.

If Landra is judged to be a hyperinflationary economy, then the financial statements of LNR will have to be restated before they are translated into WIR's currency for consolidation purposes. The historical cost financial statements will have to be stated in terms of the measuring units current at the reporting date.

(2) **Audit risks and audit procedures**

The decision on whether the accounts should be translated because the Landran economy is hyperinflationary is not always straightforward. IAS 29 does not specify a cut-off point in terms of an exact rate but gives examples of indications that hyperinflation exists. IAS 29 also indicates that precise accuracy in restating amounts is not possible, but what is

important is consistent application of its principles. Thus if the accounts are restated, the expectation should be that they will be restated for a number of years. The adjustments required will need to be verified.

In addition, the poor economic conditions in the country may cast doubt on whether the subsidiary can continue to operate as a going concern. As an upmarket chain of restaurants, it may be badly hit by the economic problems.

Audit risks and audit procedures may include:

Audit risks	Audit procedures
Landra may be incorrectly treated as a hyperinflationary economy	Examine economic forecasts by bodies such as the Bank of England for information about future economic trends in Landra, particularly the rate of inflation Obtain information about the Landra Government's current economic policies, in particular any plans they have to reduce inflation Review reports and press coverage of the situation in Landra and attempt to ascertain whether the problems LNR is facing are widespread
Adjustments may be calculated wrongly	Assess whether the price index used to make IAS 29 adjustments is a reliable indicator of inflation, and ascertain the reasons for the choice made if index used is not Landran consumer prices index Assess whether the classification of statement of financial position items into monetary and non-monetary for the purposes of making adjustments is appropriate Ascertain whether non-monetary items in the statement of financial position, the statement of profit or loss and relevant items in the statement of cash flows have been adjusted into measuring units current at the end of the reporting period Reperform the adjustment calculations and verify the adjustments used to the price index Ensure that monetary items, and other assets stated at market value or net realisable value, have not been adjusted (already expressed in terms of the monetary unit current at the end of the reporting period) Reperform the calculation of monetary gain or loss Confirm that the comparative figures have been restated in line with current measuring units Confirm that the consolidated accounts fulfil the disclosure requirements of IAS 29
LNR may be wrongly treated as a going concern	Obtain budget and forecast information and review for signs of cash shortages Consider whether the assumptions take appropriate account of current economic difficulties in Landra Ascertain whether LNR directors' assessment of going concern extends to 12 months from the date of the financial statements and request assessment be extended to this length if not

Audit risks	Audit procedures
	Also consider the UK-specific requirement that the directors should disclose if their going concern assessment covered a period less than one year from the date of the approval of the financial statements, in which case this should be disclosed in the auditor's report Assess the availability of local finance if LNR is likely to require it Obtain written representations from WIR's directors of plans by WIR to provide financial support for LNR Assess the likely effectiveness of any other plans that LNR's directors have to deal with going concern difficulties Assess whether uncertainties that exist about the future of LNR are material in the context of the group financial statements Consider the need for adjustments to the figures consolidated if the going concern basis is not appropriate for LNR Consider the need for modification of the audit opinion on the grounds of material misstatement or the inclusion of a 'Material Uncertainty Related to Going Concern' section

Payments to agents

(1) **Audit risk and audit procedures**

Even if the commission payments are legal, the accounting records that relate to these payments are inadequate, and we only have the unsupported word of the ex-FD. This does not represent sufficient evidence by itself; we should expect to see stronger evidence in the form of proper payment records. Now that the FD has left, no one else may have any knowledge about what the payments are for.

In addition, what the FD described as commissions for obtaining work may in fact be bribes. The lack of documentation means that we cannot be certain that the payments are in fact commissions. They may represent a diversion of funds to the FD or possibly money laundering.

The fact that the FD was able to make these payments without anyone checking also casts doubt on how effective the rest of the board has been in monitoring the effectiveness of the internal control systems. Although as auditors we do not have to give an opinion on the effectiveness of internal controls, we do have to assess the review carried out by the directors. We also need to consider the strength of the evidence of representations by the board, since the failure to control the FD may indicate a lack of knowledge of key accounting areas.

The main audit risks and procedures include the following:

Risks	Audit procedures
Money paid to payees who have no entitlement to them	Ascertain details about the nominee payees, through internet searches or through international contacts Having gained the client's permission, attempt to contact the payees and ask for an explanation of these payments Discuss the legal position with the current directors, pointing out that the audit report may need to be qualified on the grounds of

Risks	Audit procedures
	failure to provide explanations If possible, obtain written representations from other directors; however, directors may not be able to provide those representations and even if they can, the representations by themselves will not be sufficient audit evidence Ask the directors to encourage other staff to disclose any knowledge they have of these payments, pointing out that auditors have an obligation to keep legitimate business matters confidential Consider issuing a qualified opinion or disclaimer on grounds of uncertainty because of an inability to obtain sufficient appropriate evidence. Also consider reporting by exception on failure to keep proper accounting records Consider issuing a qualified audit opinion on the grounds of material misstatement or an adverse opinion if the accounts do not fairly reflect what the payments appear to be
Bribery/money laundering	Ascertain whether payments can be linked to specific bookings or specific contracts Identify the countries to which the payments are being sent, and ascertain whether doubtful business practices are widespread there Examine expenditure in other categories where reasons for expenditure appear doubtful or payees are unclear Consider taking legal advice or reporting to the proper authority if there appears to be suspicion of illegal activity, or it is in the public interest to do so (clearly, tipping off should be avoided)
Corporate governance insufficiently/incorrectly described in accounts	Review board's statement about the review of internal control effectiveness (assuming one has been carried out) and consider whether it fairly reflects what has taken place Review disclosures of processes dealing with internal control problems such as the payments authorised by the finance director and consider whether disclosures fairly describe these processes Consider whether the directors have sufficient knowledge to be able to make representations required for audit

Social and environmental statement

(1) **Ethical issues**

Helping the client on the social and environmental report is likely to be recurring work. We should therefore first assess whether this work, together with the other work we do for the client, would earn us fees that are greater than 10% of total practice or partner fees, and would therefore be a self-interest threat. In addition we need to consider whether the provision of the non-audit work would breach the 70% benchmark in relation to average fees paid in the last three consecutive years.

Secondly, we should consider carefully the work we are being asked to do. Helping management to prepare a policy statement might constitute a threat to independence on a number of grounds. Even if our work was limited to preparing factual statements and analysis, we would still face a threat to independence. As auditors we would be checking the consistency of a statement we helped prepare against the financial statements. If we

had a more active role, helping management prepare commentary and statements of opinion, we could be accused of acting as the client's advocate.

Our work should therefore be confined to reporting on the statement that management prepares. However, we need to consider whether we have the knowledge and competence necessary to issue an opinion in the terms the client wants, and to carry out the work necessary to support that opinion.

In addition, the audit committee should have ultimate responsibility for deciding whether we can provide non-audit services, not the board. Part of the audit committee's remit under governance guidance is to assess annually the independence of the external auditors, and specifically assess for each non-audit service the competence of the audit firm to provide it and the safeguards in place to stop it compromising its independence.

(2) **Audit and assurance issues**

Reporting on the statement should not be considered as part of the audit. Instead we should treat it as an assurance engagement and issue a separate engagement letter in respect of it.

As auditors we are appointed to report on the financial statements. The social and environmental report is not part of the financial statements; instead it will be one of the documents issued with the financial statements. As such, our responsibility is to read it to identify any material inconsistencies with the financial statements. We are not required to express an opinion on the contents of this report.

Although social and environmental issues will have some impact on the audit, this is only insofar as they affect the financial statements. Possible impacts include contingent liabilities and provisions in respect of legal action, or expenditure on cleaning up sites. There are likely to be a number of other aspects of the report which will not impact on the financial statements and we therefore would not consider these.

We thus need to undertake additional work to be able to issue a full report on social and environmental issues. The work we do and the content of the report would depend on the terms of the engagement. The report is likely to include as a minimum:

- the objectives of the review
- opinions
- basis on which the opinions have been reached
- work performed

Chapter 22

Income taxes

Introduction

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Learning topics

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2 Deferred tax – an overview

3 Identification of temporary differences

4 Measurement of deferred tax assets and liabilities

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Introduction

Learning outcomes

- Explain, determine and calculate how current and deferred tax is recognised and appraise accounting standards that relate to current tax and deferred tax
- Justify and conclude for a particular scenario what comprises sufficient, appropriate audit evidence
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Demonstrate and explain, in the application of audit procedures, how relevant ISAs affect audit risk and the evaluation of audit evidence

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**Current tax revised** Taxation is a major expense for business entities and has a direct effect on cash flow and performance.	**Approach** This section gives a brief overview of the material that you have covered at Professional Level on current tax. **Stop and think** How should excess tax paid be reported?	It is important to study this section carefully in order to get you thinking about the differences between accounting and taxable profit, which you need to know about in order to calculate current tax. Current tax may be tested in its own right, for example in June 2020, and in addition, this thought process will be helpful to you in calculating deferred tax.	N/A
2	**Deferred tax – an overview** Corporate income taxes are a means by which governments provide incentives	**Approach** You have studied current tax at Professional Level, but deferred tax is new to Advanced	This overview could not be tested directly in an exam. Please note, before getting into the detail, that any tax	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
	for companies to act in a particular way, for example beneficial tax credits to encourage research and development and allowances to encourage investment. Therefore, although taxable profit is based on accounting profit, there are often important differences.	Level, so you should focus on deferred tax. Focus on the overview of the calculation in paragraph 2.3. **Stop and think** What are temporary differences?	rules will be given to you in an exam. You are not required, for the purposes of this exam, to know the UK tax rules or those of any other country.	
3	**Identification of temporary differences** Accounting for these types of differences is the major emphasis of this chapter.	**Approach** Read the introduction to identifying temporary differences, focusing on the summary table. Make sure you understand the definitions. **Stop and think** When is the tax base of an asset or liability equal to its carrying amount?	As you will have seen in previous chapters, IAS 12 can be examined in the context of other IFRS® Standards, for example on pensions, share-based payment, revaluations or leases.	**IQ1: Tax base** A series of short questions covering a number of the situations you are likely to meet.
4	**Measurement of deferred tax assets and liabilities** This section goes into more depth on the calculations.	**Approach** Focus on the worked examples, particularly the one on recovery/settlement. **Stop and think** What does 'substantively enacted' mean?	Deferred tax assets often come up in the context of pensions.	**IQ2: Recovery 1** This question contrasts recovery through continued use and recovery through sale.
5	**Recognition of deferred tax in the financial statements** There will be a deferred tax liability (usually) or asset in	**Approach** Study the worked example in section 5.1 and 5.2 (the deferred tax asset).	Occasionally you will get a scenario where a deferred tax asset has been wrongly calculated and you are	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
	the statement of financial position and a corresponding debit (usually) in profit or loss, other comprehensive income or goodwill.	**Stop and think** When can we be sure that sufficient taxable profit will be available to use against a deductible temporary difference?	required to correct this.	
6	**Common scenarios** Common scenarios in which a deferred tax asset or liability might arise include but are not limited to: • accelerated capital allowances • interest revenue • development costs • revaluations • retirement benefits • share-based payment	**Approach** The scenarios come with explanations and in most cases with a worked example. Work through them carefully. **Stop and think** Why do temporary differences arise in respect of retirement benefits?	Any of these scenarios could be examined, particularly share-based payment and retirement benefits, as these areas were not tested at Professional Level.	**IQ5: Share option scheme and deferred tax** This question revises your knowledge of IFRS 2, which you studied in Chapter 19, but also tests the deferred tax aspects.
7	**Group scenarios** Adjustments are made on consolidation to the carrying amounts of assets and liabilities which are not always reflected in the tax bases of those items, so temporary differences arise.	**Approach** You will be familiar with fair value adjustments on consolidation. Temporary differences arise on this, giving rise to deferred tax, which also affects goodwill. **Stop and think** When will deductible temporary differences arise in a group context?	The most common group deferred tax issue to be tested is fair value adjustments on consolidation.	**IQ10: Deferred tax scenarios** As well as testing deferred tax in a group context, this comprehensive question also tests other deferred tax issues, so is a priority, although ideally you should do all the interactive questions.
8	**Presentation and disclosure** This section gives the disclosures for both current and deferred tax.	**Approach** Read and highlight. **Stop and think** Why might deferred tax give rise to prior period adjustments?	Disclosures could be tested.	**IQ12: Tax adjustment** This question tests the interaction between IAS 12 and IAS 8.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
9	**Deferred tax summary and practice** This has been a long chapter so it is useful to have a section summarising what you have learned so far.	**Approach** Read through and absorb the table, going back to the body of the chapter if anything is unclear. Then try the interactive question. **Stop and think** When would you offset deferred tax assets and liabilities?	The exam-standard interactive question is indicative of how deferred tax will be tested in conjunction with other standards.	**IQ13: Exam-standard question** While deferred tax is tested extensively in this question, so are the scenarios where it arises, so the question revises your knowledge of other standards relating to those scenarios.
10	**Audit focus** As often with auditing, the focus is on risk. Management judgements are involved, and the auditor needs to check that these are reasonable.	**Approach** Read through this short section carefully, paying particular attention to the use of tax specialists. Focus on the case study, which gives this subject a practical relevance. **Stop and think** Why are foreign groups particularly risky?	You could get an integrated question in which deferred tax was minimised in order to make the gearing figure more favourable. This would give rise to ethical issues.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Current tax revised

Section overview

Current tax is the amount payable to the tax authorities in relation to the trading activities of the current period.

1.1 Background

Accounting for current tax is ordinarily straightforward. Complexities arise, however, when we consider the future tax consequences of what is going on in the financial statements now. This is an aspect of tax called deferred tax, which has not been covered in earlier studies and which we will look at in the next section. IAS 12, *Income Taxes* covers both current and deferred tax. The parts of this Workbook relating to current tax are fairly brief, as this has been covered at Professional Level.

1.2 Recognition of current tax liabilities and assets

Current tax is the amount payable to the tax authorities in relation to the current trading activities. IAS 12 requires any **unpaid tax** in respect of the current or prior periods to be recognised as a **liability**. Conversely, any **excess tax** paid in respect of current or prior periods over what is due should be recognised as an asset to the extent it is probable that it will be recoverable.

The tax rate to be used in the calculation for determining a current tax asset or liability is the rate that is expected to apply when the asset is expected to be recovered, or the liability to be paid. These rates should be based on tax laws that have already been enacted (are already part of law) or substantively enacted (have already passed through sufficient parts of the legal process that they are virtually certain to be enacted) by the reporting date.

1.3 Measurement

Measurement of current tax liabilities (assets) for the current and prior periods is very simple. They are measured at the **amount expected to be paid to (recovered from) the tax authorities**. The tax rates (and tax laws) used should be those enacted (or substantively enacted) by the reporting date.

1.4 Recognition of current tax

Normally, current tax is recognised as income or expense and included in the net profit or loss for the period. However, where tax arises from a transaction or event which is recognised **as other comprehensive income** or recognised **directly in equity** (in the same or a different period) rather than in profit or loss, then the related tax should also be reported within other comprehensive income or reported directly in equity. An example of such a situation is where, under IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*, an adjustment is made to the **opening balance of retained earnings** due to either a change in accounting policy that is applied retrospectively, or to the correction of a material error. Any related tax is therefore also recognised directly in equity.

1.5 Presentation

In the statement of financial position, **tax assets and liabilities** should be shown separately.

Current tax assets and liabilities may only be **offset** under the following conditions.

- The entity has a **legally enforceable right** to set off the recognised amounts.

- The entity intends to settle the amounts on a **net basis**, or to realise the asset and settle the liability at the same time.

The **tax expense (income)** related to the profit or loss from ordinary activities should be shown on the face of the statement of profit or loss and other comprehensive income as part of profit or loss for the period. The **disclosure requirements** of IAS 12 are extensive and we will look at these later in the chapter.

2 Deferred tax – an overview



Section overview

- Deferred tax is an accounting measure used to match the tax effects of transactions with their accounting impact and thereby produce less distorted results. It is not a tax levied by the Government that needs to be paid.
- You have studied current tax at Professional Level, but deferred tax is new to Advanced Level, so you should focus on deferred tax.

2.1 What is deferred tax?

When a company recognises an asset or liability, it expects to **recover or settle the carrying amount** of that asset or liability. In other words, it expects to sell or use up assets, and to pay off liabilities. What happens if that recovery or settlement is likely to make future tax payments larger (or smaller) than they would otherwise have been if the recovery or settlement had no tax consequences? In these circumstances, IAS 12 requires companies to recognise a **deferred tax liability** (or **deferred tax asset**).

Note: Deferred tax is not a tax that the entity pays. It is an **accounting measure**, used to match the tax effect of transactions with their accounting effect.

2.2 Accounting profits vs taxable profits

Although **accounting profits** form the basis for computing **taxable profits**, on which the tax liability for the year is calculated, **accounting profits** and **taxable profits** are often different for two main reasons:

(a) Permanent differences

(b) Temporary differences

2.2.1 Permanent differences

These arise when items of revenue or expense included in the accounting profit are excluded from the computation of taxable profits. For example, income or expense items that are not allowed by tax legislation e.g., fines or penalty and tax credits for some expenditures which directly reduce taxes. Note that IAS 12 does not refer to the term 'permanent differences'; this is a term used in GAAP.

2.2.2 Temporary differences

These arise when items of revenue or expense are included in both accounting profits and taxable profits, but not in the same accounting period. For example, both depreciation and capital allowances write off the cost of a non-current asset, though not necessarily at the same rate and over the same period.

Context example: Temporary differences 1

A company buys an item of machinery on the first day of the financial year, 1 January 20X0, at a cost of £100,000 and applies straight-line depreciation at a rate of 10%. Capital allowances are available at 20% reducing balance.

y/e 31 December	Depreciation (10% SL)	Capital allowances (20% RB)
20X0	£10,000	£20,000
20X1	£10,000	£16,000
20X2	£10,000	£12,800
20X3	£10,000	£10,240 and so on

Therefore in 20X0, accounting profits are reduced by £10,000 but taxable profits are reduced by £20,000, so providing one reason why the tax charge is not equal to the tax rate multiplied by the accounting profit.

At this point it could be said that the temporary difference is equal to the £10,000 difference between depreciation and capital allowances.

In the long run, the total taxable profits and total accounting profits will be the same (except for permanent differences). In other words, temporary differences which originate in one period will reverse in one or more subsequent periods.

Deferred tax is an accounting adjustment to smooth out the discrepancies between accounting profit and the tax charge caused by **temporary differences.**

2.3 Calculating and accounting for deferred tax

In order to calculate deferred tax, the following steps must be taken:

(a) Identify temporary differences.

(b) Apply the tax rate to the temporary differences to calculate the deferred tax asset or liability.

(c) Recognise the resulting deferred tax amount in the financial statements.

Identification of temporary differences

Above we have considered temporary differences as being the result of income or expenditure being recognised in accounting and taxable profit in different periods.

IAS 12, however, requires that a 'net assets approach' rather than an 'income statement approach' is taken to calculate temporary differences.

Applying this approach to the illustration seen above, we would simply compare the carrying amount and the tax written-down value rather than depreciation and capital allowances in order to calculate the temporary difference:

	£
Carrying amount (£100,000 – £10,000)	90,000
Tax written-down value (£100,000 – £20,000)	80,000
Temporary difference	10,000

The identification of temporary differences is covered in more detail in section 3.

Apply the tax rate to temporary differences to calculate deferred tax asset or liability

The tax rate to be used is not necessarily the current tax rate. It should be the rate which is expected to apply to the period when the asset is realised or liability settled.

This is covered in more detail in section 4.

Record deferred tax in the financial statements

Depending on the circumstances, a deferred tax asset or liability may arise in the statement of financial position. The corresponding entry is normally recorded in:

- the tax charge in profit or loss; or
- other comprehensive income.

This is covered in more detail in section 5.

3 Identification of temporary differences



Section overview

Temporary differences are calculated as the difference between the carrying amount of an asset or liability and its tax base. Temporary differences may be classified as:

- taxable
- deductible

3.1 Calculation of temporary differences

Temporary differences are calculated as the difference between:

- the **carrying amount** of the asset or liability in the statement of financial position; and
- the '**tax base'** of the asset or liability.

3.1.1 Tax base



Definition

Tax base: The amount attributed to an asset or liability for tax purposes.

Assets

The tax base of an asset is the value of the asset in the current period for tax purposes. This is either:

- the amount that will be tax deductible in the future against taxable economic benefits when the carrying amount of the asset is recovered; or
- if those economic benefits are not taxable, the tax base is equal to the carrying amount of the asset.

Liabilities

- The tax base of a liability is its carrying amount less any amount that will be tax deductible in the future.
- For revenue received in advance, the tax base of the resulting liability is its carrying amount less any amount of the revenue that will **not** be taxable in future periods.

IAS 12 guidance

IAS 12 states that in the following circumstances, the tax base of an asset or liability will be equal to its carrying amount:

- **Accrued expenses** that have already been deducted in determining an entity's tax liability for the current or earlier periods
- A **loan payable** that is measured at the amount originally received and this amount is the same as the amount repayable on final maturity of the loan
- **Accrued income** that will never be taxable

The table below gives some examples of tax rules and the resulting tax base.

Item	Carrying amount in the statement of financial position	Tax rule	Tax base (amount in 'tax accounts')
Item of PPE	**Carrying amount** = cost – accumulated depreciation	Attracts tax relief in the form of tax depreciation	**Tax written down value** = cost – accumulated tax depreciation
Accrued income	Included in financial statements on an accruals basis ie, when **receivable**	Chargeable for tax on a cash basis, ie when **received**	Nil
		Chargeable for tax on an accruals basis, ie, when **receivable**	Same as carrying amount in statement of financial position
Accrued expenses and provisions	Included in financial statements on an accruals basis ie, when **payable**	Attracts tax relief on a cash basis, ie, when **paid**	Nil
		Attracts tax relief on an accruals basis, ie, when **payable**	Same as carrying amount in statement of financial position
Income received in advance	When the cash is received, it will be included in the financial statements as deferred income ie, a liability	Chargeable for tax on a cash basis, ie, when **received**	Nil (For revenue received in advance, the tax base of the resulting liability is its carrying amount, less any amount of the revenue that will not be taxable in future periods)



Context example: Tax base 1

Current liabilities include accrued fines and penalties with a carrying amount of £100. These fines and penalties are not deductible for tax purposes.

The tax base of the accrued fines and penalties is £100 (ie, equal to the carrying amount because the amount which will be deducted for tax purposes in a future period is nil). As the tax base equals the statement of financial position carrying amount, there is no temporary difference and no deferred tax implications.



Context example: Tax base 2

Scenario 1 – An entity's current assets include insurance premiums paid in advance of £20,000, for which a tax deduction will be allowed in future periods.

The tax base of the insurance premiums is £20,000, because the whole carrying amount will be deductible for tax purposes in future periods.

Scenario 2 – An entity has recognised a current liability of £400,000 in respect of income received in advance, which will be taxed in future periods.

The tax base of the liability is its £400,000 carrying amount.

Scenario 3 – An entity has recognised a defined benefit liability of £500,000 in respect of a defined benefit retirement plan, but no tax deduction is allowed until contributions are paid into the plan.

The tax base of the liability is nil, because the whole carrying amount will be deductible for tax purposes in future periods.

Scenario 4 – Two years ago, an entity recognised a non-current asset at its £1 million cost. Tax depreciation is allowed on the full cost at 15% per annum on a straight-line basis.

The tax base of the non-current asset is £700,000. 15% of cost has been allowed for tax purposes in each of the two years; the tax base is therefore the 70% of cost which will be deductible for tax purposes in future periods.

Interactive question 1: Tax base

State the tax base of each of the following items.

1.1 Current liabilities include accrued expenses with a carrying amount of £1,000. The related expense will be deducted for tax purposes on a cash basis.

1.2 Current liabilities include interest revenue received in advance, with a carrying amount of £10,000. The related interest revenue was taxed on a cash basis.

1.3 Current assets include prepaid expenses with a carrying amount of £2,000. The related expense has already been deducted for tax purposes.

1.4 A loan payable has a carrying amount of £1 million. The repayment of the loan will have no tax consequences.

See **Answer** at the end of this chapter.

3.2 Types of temporary difference

IAS 12 makes a distinction between two types of temporary difference:

(a) Taxable temporary differences

(b) Deductible temporary differences

3.2.1 Taxable temporary differences

- Taxable temporary differences arise where the carrying amount exceeds the tax base.
- They result in a deferred tax liability.

Definitions

Taxable temporary differences: Temporary differences that will result in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

Deferred tax liabilities: The amounts of income taxes payable in future periods in respect of taxable temporary differences.

Context example: Temporary differences 2

Scenario 1 – An entity recognised a non-current asset at its £1 million cost two years ago. Tax depreciation is allowed on the full cost at 15% per annum straight line, while accounting depreciation is at 10% per annum straight line.

The tax base of the non-current asset is £700,000, but the carrying amount is £800,000. The taxable temporary difference is therefore the difference of £100,000.

Scenario 2 – An entity has issued £400,000 of debt redeemable in five years, incurring £20,000 of issue expenses. The issue expenses have been deducted from the liability and are being amortised over the five-year life of the debt. To date, £5,000 has been amortised, but the whole £20,000 has been allowed as a tax deduction.

The tax base of the liability is its £400,000 carrying amount less the £nil amount which is deductible for tax purposes in future periods. The carrying amount is £385,000 and the taxable temporary difference is therefore the difference of £15,000.

3.2.2 Deductible temporary differences

- Deductible temporary differences arise where the tax base exceeds the carrying amount.
- These result in a deferred tax asset.

Definitions

Deductible temporary differences: Temporary differences that will result in amounts that are deductible in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

Deferred tax assets: The amounts of income taxes recoverable in future periods in respect of:

- deductible temporary differences; and
- the carry forward of unused tax losses/unused tax credits.

Context example: Temporary differences 3

A factory was purchased for £4 million and has been given cumulative capital allowances of £1 million. It therefore has a tax base of £3 million.

Assumption 1	If the carrying amount of the factory in the statement of financial position is £3.5 million, then there is a taxable temporary difference of £500,000. (**Note:** Where capital allowances claimed are cumulatively greater than accounting depreciation, this is sometimes referred to as 'accelerated' as the tax allowances have been awarded sooner than accounting depreciation has been recognised.)
Assumption 2	If, instead, the carrying amount of the factory in the statement of financial position is £2 million, then there is a deductible temporary difference of £1 million.

3.2.3 Summary diagram

The following diagram may help you remember the distinction:

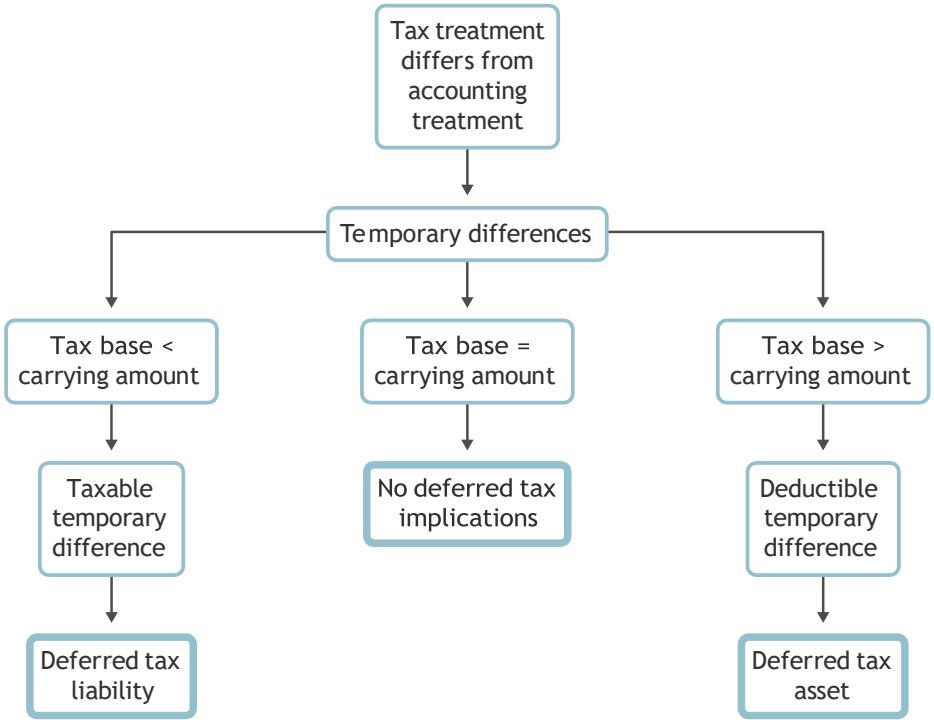


Figure 22.1: Temporary differences

3.3 Temporary differences with no deferred tax impact

A deferred tax liability or asset should be recognised for all taxable and deductible temporary differences unless they arise from:

- the initial recognition of goodwill; or
- the initial recognition of an asset or liability in a transaction which:
  - is not a business combination; and
  - at the time of the transaction, affects neither accounting nor taxable profit.

Examples of initial recognition of assets or liabilities with no deferred tax effect

Examples of initial recognition of assets or liabilities in a transaction which does not affect either accounting or taxable profit at the time of the transaction are:

(a) An intangible asset with a finite life which attracts no tax allowances. In this case, taxable profit is never affected, and amortisation is only charged to accounting profit after the transaction.

(b) A non-taxable government grant related to an asset which is deducted in arriving at the carrying amount of the asset. For tax purposes it is not deducted from the tax base.

Although a deductible temporary difference arises in both cases (on initial recognition in the second case, and subsequently in the first case), this is not permitted to be recognised as a deferred tax asset, as it would make the financial statements less transparent. The first of the two cases, an intangible asset with a finite life which attracts no tax allowances, only gives rise to a deferred tax asset if it has a chargeable gains cost. If it was acquired on consolidation, no deferred tax asset arises as the amortisation of the intangible just decreases consolidated retained earnings.

Worked example: Initial recognition

As another example of the principles behind initial recognition, suppose Petros Co intends to use an asset which cost £10,000 in 20X7 throughout its useful life of five years. Its residual value would then be nil. The tax rate is 40%. Any capital gain on disposal would not be taxable (and any capital loss not deductible). Depreciation of the asset is not deductible for tax purposes.

Requirement

State the deferred tax consequences in each of the years 20X7 and 20X8.

Solution

20X7

To recover the carrying amount of the asset, Petros will earn taxable income of £10,000 and pay tax
of £4,000. The resulting deferred tax liability of £4,000 would not be recognised because it results from the initial recognition of the asset.

20X8

The carrying value of the asset is now £8,000. In earning taxable income of £8,000, Petros will pay tax of £3,200. Again, the resulting deferred tax liability of £3,200 is not recognised, because it results from the initial recognition of the asset.

3.4 Summary

The following diagram summarises the calculation and types of temporary difference:

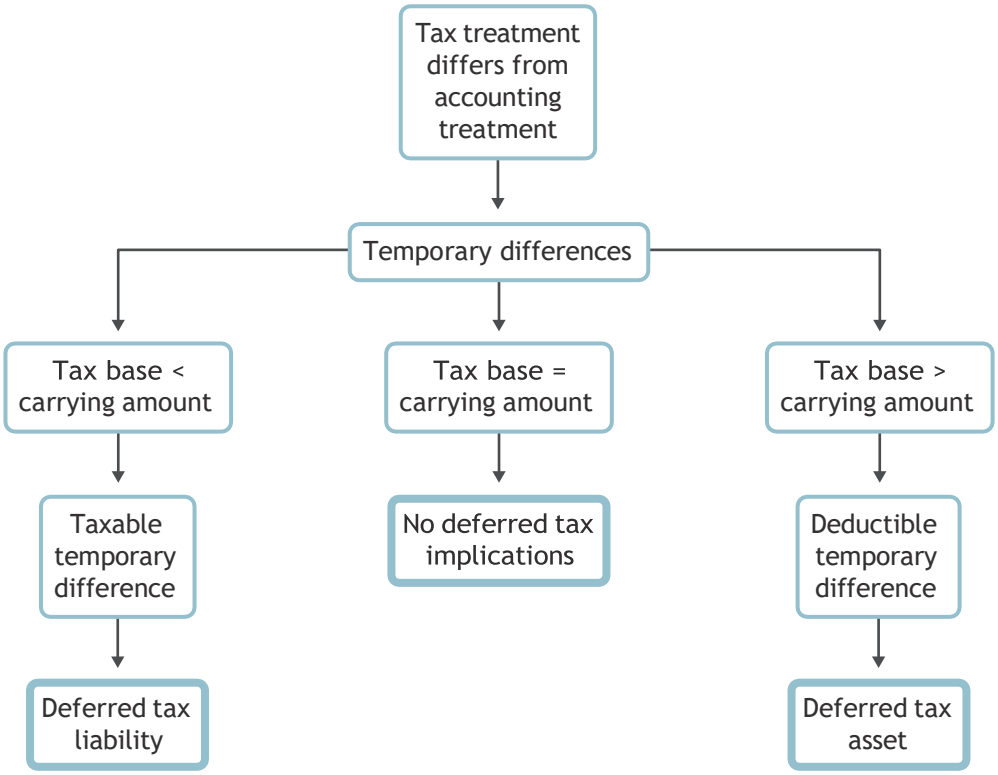


Figure 22.2: The calculation and types of temporary difference

Context example: Tax base of assets

(a) A machine cost £100,000. For tax purposes, capital allowances of £30,000 have already been deducted in the current and prior periods; and the remaining cost will be deductible in future periods. Assume that revenue generated by using the machine is taxable, any gain on disposal of the machine will be taxable and any loss on disposal will be deductible for tax purposes. The carrying amount of the machine for accounting purposes is £82,000.

The tax base of the machine is £70,000 as this remains to be deducted in future periods. There is a taxable temporary difference of £12,000 (ie, £82,000 – £70,000).

(b) Interest receivable has a carrying amount of £1,000. The related interest revenue will be taxed on a cash basis.

The tax base of the interest receivable is nil, as the accrual is not recognised for tax purposes. There is therefore a taxable temporary difference of £1,000.

(c) Trade receivables have a carrying amount of £10,000. Assume that the related revenue has already been included in taxable profit.

The tax base of the trade receivables is £10,000. (**Note:** The difference between this case and the previous example is that in this case the amount has been included in both the accounting profit and the taxable profit for the period, thus there is no future taxable impact.) As the tax base equals the carrying amount, there is no temporary difference and no deferred tax.

(d) A loan receivable has a carrying amount of £8,000. The repayment of the loan will have no tax consequences.

The tax base of the loan is £8,000, as there are no future tax consequences. Thus, as the tax base equals the carrying value, there is no temporary difference and no deferred tax.

Worked example: Tax base of liabilities

In the following cases show and explain:

(1) the tax base

(2) temporary differences:

Requirements

1 Current liabilities include accrued expenses with a carrying amount of £2,000. The related expense will be deducted for tax purposes on a cash basis.

2 Current liabilities include accrued expenses with a carrying amount of £3,000. The related expense has already been deducted for tax purposes.

3 A loan payable has a carrying amount of £5,000. The repayment of the loan will have no tax consequences.

4 Current liabilities include interest revenue received in advance, with a carrying amount of £7,000. The related interest revenue was taxed on a cash basis.

Solution

1 The tax base of the accrued expenses is nil. This is because the expenses have been recognised in accounting profit, but the tax impact is yet to take effect. There is therefore a deductible temporary difference of £2,000.

2 The tax base of the accrued expenses is £3,000, ie, the carrying value (£3,000) less the amount which will be deducted for tax purposes in future periods (nil, as relief has already been obtained). There is no temporary difference, and no deferred tax arises.

3 The tax base of the loan is £5,000, as there are no future tax consequences. Thus, as the tax base equals the carrying value, there is no temporary difference and no deferred tax.

4 The tax base of the interest received in advance is nil (ie, the carrying value (£7,000) less the amount which will not be taxable in future periods (£7,000, as it has all been charged already). As a result there is a deductible temporary difference of £7,000.

4 Measurement of deferred tax assets and liabilities



Section overview

The tax rate is applied to temporary differences in order to calculate the deferred tax asset or liability. The tax rate should be applied to temporary differences in order to calculate deferred tax:

- Taxable temporary differences × tax rate = deferred tax liability
- Deductible temporary differences × tax rate = deferred tax asset



Worked example: Calculation of deferred tax

A company purchased an asset costing £1,500. At the end of 20X8 the carrying amount is £1,000. The cumulative capital allowances are £900 and the current tax rate is 25%.

Requirement

Calculate the deferred tax liability for the asset.

Solution

The tax base of the asset is £1,500 – £900 = £600.

The carrying amount exceeds the tax base and therefore there is a taxable temporary difference of £1,000 – £600 = £400. The entity must therefore recognise a deferred tax liability of £400 × 25% = £100.

(In order to recover the carrying amount of £1,000, the entity must earn taxable income of £1,000, but it will only be able to deduct £600 as a taxable expense. The entity must therefore pay income tax of £400 × 25% = £100 when the carrying amount of the asset is recovered.)

4.1 Tax rate

The tax rates that should be used to calculate deferred tax are the ones that are expected to apply in the period when the asset is realised or the liability settled. The best estimate of this tax rate is the rate which has been enacted or substantively enacted by the reporting date.

For example, in the Summer Budget of 2015, the government announced legislation setting the Corporation Tax main rate (for all profits except ring fence profits) at 19% for the years starting on 1 April 2017, 2018 and 2019 and at 18% for the year starting 1 April 2020.

Note: The tax rates used in this chapter are assumptions or hypothetical rates rather than real rates.

Worked example: Tax rate

A Muldovian company enters into a long-term contract to build a motorway in that country. During the year ended 31 December 20X3, the entity recognises £4 million of income on this contract even though it is not expected to receive the related cash until the year ending 31 December 20X5.

Under the tax rules of Muldovia, companies are charged tax on a cash receipts basis.

The tax rate for companies in Muldovia was 30% in the year to 31 December 20X3, but their government has voted in favour of a reduction to 29% in 20X4. There is currently discussion of the rate dropping to 28% in 20X5, but as yet there is no agreement.

Requirement

What rate of tax should be used to determine the deferred tax balance?

Solution

A rate of 29% should be used. The rate is that expected to apply when the asset is realised, thus the rate of 30% in 20X3, when the temporary difference originated, is not relevant. The 28% would be used if it had been enacted or substantively enacted, but it is only under discussion. Thus, our best estimate of the rate applying in 20X5, based on laws already enacted or substantively enacted, is the rate for 20X4 (ie, the previous year) of 29%.

4.1.1 Progressive rates of tax

In some countries, different tax rates apply to different levels of taxable income. In this case, an **average rate** expected to apply to the taxable profit of the entity in the period in which the temporary difference is expected to reverse should be identified and used to calculate the temporary difference.

4.1.2 Different rates of tax

Some countries also apply different rates of tax to different types of income eg, one rate to profits and another to gains.

Where this is the case, the tax rate used to calculate the deferred tax amount should reflect the manner in which the entity expects to recover the carrying amount of assets or settle the carrying amount of liabilities.

Worked example: Manner of recovery/settlement

Richcard Co has an asset with a carrying amount of £10,000 and a tax base of £6,000. If the asset were sold, a tax rate of 20% would apply. A tax rate of 30% would apply to other income.

Requirements

State the deferred tax consequences making the following alternative assumptions:

(a) The entity sells the asset without further use

(b) The entity expects to retain the asset and recover its carrying amount through use

Solution

(a) A deferred tax liability is recognised of £(10,000 – 6,000) × 20% = £800.

(b) A deferred tax liability is recognised of £(10,000 – 6,000) × 30% = £1,200.

Interactive question 2: Recovery 1

Emida Co has an asset which cost £100,000. In 20X9 the carrying amount was £80,000 and the asset was revalued to £150,000. No equivalent adjustment was made for tax purposes. Cumulative depreciation for tax purposes is £30,000 and the tax rate is 30%. If the asset is sold for more than cost, the cumulative tax depreciation of £30,000 will be included in taxable income but sale proceeds in excess of cost will not be taxable.

Requirements

State the deferred tax consequences of the above, making the following alternative assumptions:

(a) The entity expects to recover the carrying amount through continued use of the asset.

(b) The entity expects to recover the carrying amount of the asset through sale.

See **Answer** at the end of this chapter.

The manner of recovery may also affect the tax base of an asset or liability. Tax base should be measured according to the expected manner of recovery or settlement.

Interactive question 3: Recovery 2

The facts are as in Recovery 1 above except that, if the asset is sold for more than cost, the cumulative tax depreciation will be included in taxable income (taxed at 30%) and the sale proceeds will be taxed at 40% after deducting an inflation-adjusted cost of £110,000.

Requirements

State the deferred tax consequences of the above, making the following alternative assumptions:

(a) The entity expects to recover the carrying amount through continued use of the asset.

(b) The entity expects to recover the carrying amount of the asset through sale.

See **Answer** at the end of this chapter.

Professional skills focus: Applying judgement

Judgement must be applied in the assumptions made about the manner of recovery or settlement. With deferred tax assets, judgement must be exercised in determining whether an entity will earn sufficient taxable profits in future periods to benefit from a reduction in tax payments.

4.2 Discounting

IAS 12 states that deferred tax assets and liabilities **should not be discounted** because the complexities and difficulties involved will affect reliability. Discounting would require detailed scheduling of the timing of the reversal of each temporary difference, but this is often impracticable. If discounting were permitted, this would affect comparability.

Note, however, that where carrying amounts of assets or liabilities are discounted (eg, a pension obligation), the temporary difference is determined based on a discounted value.

5 Recognition of deferred tax in the financial statements

Section overview

The deferred tax amount calculated is recorded as a deferred tax balance in the statement of financial position with a corresponding entry to the tax charge, other comprehensive income or goodwill.

5.1 Principles of recognition

As with current tax, deferred tax should normally be recognised as income or an expense amount within the tax charge, and included in the net profit or loss for the period. Only the movement in the deferred tax asset/liability on the statement of financial position is recorded:

DEBIT	Tax charge	X	
CREDIT	Deferred tax liability		X
or			
DEBIT	Deferred tax asset	X	
CREDIT	Tax charge		X

Note that the recognition of a deferred tax asset may be restricted (see next section).

Worked example: Deferred tax in the financial statements

An entity purchases a machine for £64,000 at the beginning of the year to 31 December 20X1. It has a useful life of five years, and on 31 December 20X5 the asset is disposed of at a zero residual value. The entity uses straight-line depreciation. The accounting year end is 31 December.

Assume that the machine qualifies for capital allowances, at a rate of 20% per annum on a reducing balance basis.

Assume that the rate of tax is 30%.

Requirement

Show the deferred tax balance in the statement of financial position and the deferred tax charge for each year of the asset's life.

Solution

Deferred tax

	20X1	20X2	20X3	20X4	20X5
	£	£	£	£	£
Carrying amount	51,200	38,400	25,600	12,800	0
Tax base	51,200	40,960	32,768	26,214	0
Taxable/(deductible) temporary difference	0	(2,560)	(7,168)	(13,414)	0

	20X1	20X2	20X3	20X4	20X5
	£	£	£	£	£
Opening deferred tax liability/(asset)	0	0	(768)	(2,150)	(4,024)
Deferred tax expense/(credit)	0	(768)	(1,382)	(1,874)	4,024
Closing deferred tax liability/(asset)	0	(768)	(2,150)	(4,024)	0

5.1.1 Exceptions to recognition in profit or loss

(a) Deferred tax relating to items dealt with as **other comprehensive income** (such as a revaluation) should be recognised as tax relating to other comprehensive income within the statement of profit or loss and other comprehensive income.

(b) Deferred tax relating to items dealt with **directly in equity** (such as the correction of an error or retrospective application of a change in accounting policy) should also be recognised directly in equity.

(c) Deferred tax resulting from a business combination is included in the initial cost of **goodwill** (this is covered in more detail later in the chapter).

Where it is not possible to determine the amount of current/deferred tax that relates to other comprehensive income and items credited/charged to equity, such tax amounts should be based on a reasonable **pro-rata allocation** of the entity's current/deferred tax.

5.1.2 Components of deferred tax

Deferred tax charges will consist of **two components**:

(a) Deferred tax relating to **temporary differences**

(b) Adjustments relating to **changes in the carrying amount of deferred tax assets/liabilities** (where there is no change in temporary differences) eg, changes in tax rates/laws, reassessment of the recoverability of deferred tax assets, or a change in the expected recovery of an asset

5.2 Deferred tax assets

A deferred tax asset must satisfy the recognition criteria given in IAS 12. These state that a deferred tax asset should only be recognised to the extent that it is probable that taxable profit will be available against which it can be used.

This is an application of prudence.

Worked example: Recognition of deferred tax asset

Pargatha Co recognises a liability of £10,000 for accrued product warranty costs on 31 December 20X7. Assume that these product warranty costs will not be deductible for tax purposes until the entity pays claims. The tax rate is 25%.

Requirement

State the deferred tax implications of this situation.

Solution

The carrying amount of the liability is (£10,000).

The tax base of the liability is nil (carrying amount of £10,000 less the amount that will be deductible for tax purposes in respect of the liability in future periods).

When the liability is settled for its carrying amount, the entity's future taxable profit will be reduced by £10,000 and so its future tax payments by £10,000 × 25% = £2,500.

The carrying amount of (£10,000) is less than the tax base of nil and therefore the difference of £10,000 is a deductible temporary difference.

The entity should therefore recognise a deferred tax asset of £10,000 × 25% = £2,500 provided that it is probable that the entity will earn sufficient taxable profits in future periods to benefit from a reduction in tax payments.

5.2.1 Future taxable profits

When can we be sure that sufficient taxable profit will be available, against which a deductible temporary difference can be used?

IAS 12 states that this is assumed when:

- there are sufficient taxable temporary differences;
- the taxable and deductible temporary differences relate to the same entity and same tax authority;
- the taxable temporary differences are expected to reverse either:
  - in the same period as the deductible temporary differences; or
  - in periods in which a tax loss arising from the deferred tax asset can be used.

Insufficient taxable temporary differences

Where there are insufficient taxable temporary differences, a deferred tax asset may only be recognised to the extent that:

(a) it is probable that taxable profits will be sufficient in the same period as the reversal of the deductible temporary difference (ignoring taxable amounts arising from future deductible temporary differences); and

(b) tax planning opportunities exist that will allow the entity to create taxable profit in the appropriate periods.

If an entity has a history of recent losses, then this is evidence that future taxable profit may not be available.

5.2.2 Reassessment of unrecognised deferred tax assets

For all unrecognised deferred tax assets, at each reporting date an entity should reassess the availability of future taxable profits and whether part or all of any unrecognised deferred tax assets should now be recognised. This may be due to an improvement in trading conditions which is expected to continue.

6 Common scenarios



Section overview

There are a number of common examples which result in a taxable or deductible temporary difference. However, this list is not exhaustive.

6.1 Taxable temporary differences

6.1.1 Accelerated capital allowances

- These arise when capital allowances for tax purposes are received before deductions for accounting depreciation are recognised in the statement of financial position (accelerated capital allowances).
- The temporary difference is the difference between the carrying amount of the asset at the reporting date and its tax written-down value (tax base).
- The resulting deferred tax is recognised in profit or loss.



Interactive question 4: Initial recognition

Jonquil Co buys equipment for £50,000 at the start of 20X1 and depreciates it on a straight-line basis over its expected useful life of five years. For tax purposes, the equipment is depreciated at 25% per annum on a straight-line basis. Tax losses may be carried back against the taxable profit of the previous five years. In 20X0, the entity's taxable profit was £25,000. The tax rate is 40%.

Requirement

Assuming nil profits/losses after depreciation in years 20X1 to 20X5, show the current and deferred tax impact in years 20X1 to 20X5 of the acquisition of the equipment.

See **Answer** at the end of this chapter.

6.1.2 Interest revenue

Please note the following key points.

- In some jurisdictions, interest revenue may be included in profit or loss on an accruals basis, but taxed when received.
- The temporary difference is equivalent to the income accrual at the reporting date, as the tax base of the interest receivable is nil.
- The resulting deferred tax is recognised in profit or loss.

6.1.3 Development costs

- Development costs may be capitalised for accounting purposes in accordance with IAS 38 while being deducted from taxable profit in the period incurred (ie, they receive immediate tax relief).
- The temporary difference is equivalent to the amount capitalised at the reporting date, as the tax base of the costs is nil since they have already been deducted from taxable profits.
- The resulting deferred tax is recognised in profit or loss.

6.1.4 Revaluations to fair value – property, plant and equipment

IFRS permits or requires some assets to be revalued to fair value, eg, property, plant and equipment under IAS 16, *Property, Plant and Equipment*.

Temporary difference

In some jurisdictions a revaluation will affect taxable profit in the current period. In this case, no temporary difference arises, as both carrying value and the tax base are adjusted.

In other jurisdictions, the revaluation does not affect taxable profits in the period of revaluation and consequently, the tax base of the asset is not adjusted. Hence a temporary difference arises.

This should be provided for in full based on the difference between carrying amount and tax base. An upward revaluation will therefore give rise to a deferred tax liability, even if:

- the entity does not intend to dispose of the asset; or
- tax due on any future gain can be deferred through rollover relief.

This is because the revalued amount will be recovered through use which will generate taxable income in excess of the depreciation allowable for tax purposes in future periods.

Manner of recovery

The carrying amount of a revalued asset may be recovered:

- through sale
- through continued use

The manner of recovery may affect the tax rate applicable to the temporary difference and/or the tax base of the asset. Interactive questions 2 and 3 of this chapter provide illustrations of this.

Recording deferred tax

As the underlying revaluation is recognised as other comprehensive income, so the deferred tax thereon is also recognised as part of tax relating to other comprehensive income. The accounting entry is therefore:

DEBIT	Tax on other comprehensive income	X	
CREDIT	Deferred tax liability		X

Non-depreciated revalued assets

SIC 21, *Income Taxes – Recovery of Revalued Non-Depreciable Assets* requires that deferred tax should be recognised even where non-current assets are not depreciated (eg, land). This is because the carrying value will ultimately be recovered on disposal.



Worked example: Revaluation

A building in the UK was acquired on 1 January 20X2 at a cost of £500,000. It has been depreciated at a rate of 2% straight line and has also attracted tax allowances at a rate of 4% straight line. On 31 December 20X6, the building is revalued to £650,000. The tax rate is 30%.

Requirement

What are the deferred tax implications of the revaluation?

Solution

Implications:

- The carrying amount of the building before the revaluation was £500,000 – (5 × 2% × £500,000) = £450,000.
- The tax base of the building before the revaluation was £500,000 – (5 × 4% × £500,000) = £400,000.
- The temporary difference of £50,000 would have resulted in a deferred tax liability of 30% × £50,000 = £15,000.
- As a result of the revaluation, the carrying amount of the building is increased to £650,000.
- The tax base does not change.
- The temporary difference therefore increases to £250,000 (£650,000 – £400,000), resulting in a total deferred tax liability of 30% × £250,000 = £75,000.

- As a result of the revaluation, additional deferred tax of £60,000 must therefore be recognised.
- This could also be calculated by applying the tax rate to the difference between carrying amount of £450,000 and valuation of £650,000.

6.1.5 Revaluations to fair value – other assets

IFRS Standards permit or require certain other assets to be revalued to fair value, for example:

- Certain financial instruments under IFRS 9, *Financial Instruments*
- Investment properties under IAS 40, *Investment Property*

Where the revaluation is recognised in **profit or loss** (eg, fair value through profit or loss instruments, investment properties) and the amount is taxable/allowable for tax, then no deferred tax arises as both the carrying value and the tax base are adjusted.

Where the revaluation is recognised as **other comprehensive income** (eg, many investments in equity instruments) and does not therefore impact taxable profits, then the tax base of the asset is not adjusted and deferred tax arises. This deferred tax is also recognised as other comprehensive income.

6.1.6 Retirement benefit costs

In the financial statements, retirement benefit costs are **deducted from accounting profit** as the service is provided by the employee. They are **not deducted in determining taxable profit** until the entity pays either retirement benefits or contributions to a fund. Thus a temporary difference may arise.

(a) A **deductible temporary difference** arises between the carrying amount of the net defined benefit liability and its tax base. The tax base is usually nil.

(b) The deductible temporary difference will normally **reverse**.

(c) A **deferred tax asset** is recognised for this temporary difference to the extent that it is recoverable; that is, sufficient profit will be available against which the deductible temporary difference can be used.

(d) If there is a net defined benefit asset, for example when there is a surplus in the pension plan, a **taxable temporary difference** arises and a **deferred tax liability** is recognised.

Under IAS 12, both current and deferred tax must be recognised outside profit or loss if the tax relates to items that are recognised outside profit or loss. This could make things complicated as it interacts with IAS 19, *Employee Benefits*.

IAS 19 requires recognition of remeasurement (actuarial) gains and losses in other comprehensive income in the period in which they occur.

It may be difficult to determine the amount of current and deferred tax that relates to items recognised in profit or loss or in other comprehensive income. As an approximation, current and deferred tax are allocated on an **appropriate basis**, often pro rata.

Context example: Defined benefit asset with a remeasurement loss

	Defined benefit asset	Current tax relief (28%)	Deferred tax liability (28%)
	£'000	£'000	£'000
Brought forward	1,000	–	(280)
Contributions	600	(168)	
Profit or loss: net pension cost	(500)	140	–
OCI: actuarial loss	(200)	28	28
	(700)	168	28
Carried forward	900	–	252

Context example: Defined benefit liability with a remeasurement loss

	Defined benefit liability	Current tax relief (28%)	Deferred tax asset (28%)
	£'000	£'000	£'000
Brought forward	(2,000)	–	560
Contributions	1,200	(336)	–
Profit or loss: net pension cost	(1,000)	280	–
OCI: actuarial loss	(400)	56	56
	(1,400)	336	56
Carried forward	(2,200)	–	616

Worked example: Deferred tax and retirement benefits

Note: Look back to Chapter 18 on employee benefits to refresh your memory of how to account for pensions. In this example we look at how employee benefits and deferred tax interact.

Operating expenses in the draft accounts for Celia include £405,000 relating to the company's defined benefit pension scheme. This figure represents the contributions paid into the scheme in the year. No other entries have been made relating to this scheme. The figures included on the draft statement of financial position represent opening balances as at 1 October 20X5:

	£
Pension scheme assets	2,160,000
Pension scheme liabilities	(2,530,000)
	(370,000)
Deferred tax asset	111,000
	(259,000)

After the year end, a report was obtained from an independent actuary. This gave valuations as at 30 September 20X6 of:

	£
Pension scheme assets	2,090,200
Pension scheme liabilities	(2,625,000)

Other information in the report included:

Yield on high-quality corporate bonds	10%
Current service cost	£374,000
Payment out of scheme relating to employees transferring out	£400,000
Reduction in liability relating to transfers	£350,000
Pensions paid	£220,000

All receipts and payments into and out of the scheme can be assumed to have occurred on 30 September 20X6.

Celia recognises any gains and losses on remeasurement of defined benefit pension plans directly in other comprehensive income in accordance with IAS 19.

In the tax regime in which Celia operates, a tax deduction is allowed on payment of pension contributions. No tax deduction is allowed for benefits paid. Assume that the rate of tax applicable to 20X5, 20X6 and announced for 20X7 is 30%.

Requirements

1 Explain how each of the above transactions should be treated in the financial statements for the year ended 30 September 20X6.

2 Prepare an extract from the statement of profit or loss and other comprehensive income showing other comprehensive income for the year ended 30 September 20X6.

Solution

1 **Pensions**

The contributions paid have been charged to profit or loss in contravention of IAS 19, *Employee Benefits*.

Under IAS 19, the following must be done:

- Actuarial valuations of assets and liabilities revised at the year end
- All gains and losses recognised

In profit or loss	Current service cost Transfers Net interest on net defined benefit liability
In other comprehensive income	Remeasurement gains and losses

Deferred tax must also be recognised. Tax deductions are allowed on pension contributions. IAS 12, *Income Taxes* requires deferred tax relating to items charged or credited to other comprehensive income (OCI) to be recognised in other comprehensive income hence the amount of the deferred tax movement relating to the losses on remeasurement charged directly to OCI must be split out and credited directly to OCI.

2 Amounts recognised in other comprehensive income (extract)

	£
Actuarial loss on defined benefit obligation (W1)	(38,000)
Return on plan assets (excluding amounts in net interest) (W1)	(70,800)
	(108,800)
Deferred tax credit relating to actuarial losses on defined benefit plan (W2)	32,640
Other comprehensive income for the year	(76,160)

WORKINGS

(1) **Pension scheme**

	Pension scheme assets £	Pension scheme liabilities £
At 1 October 20X5	2,160,000	2,530,000
Interest cost on obligation (10% × 2,530,000)		253,000
Interest on plan assets (10% × 2,160,000)	216,000	
Current service cost		374,000
Contributions	405,000	
Transfers	(400,000)	(350,000)
Pensions paid	(220,000)	(220,000)
Loss on remeasurement recognised in OCI	(70,800)	38,000
At 30 September 20X6	2,090,200	2,625,000

(2) **Deferred tax on pension liability**

	£	Current tax (P/L) £	OCI £	Deferred tax asset £	Note
Net pension liability at 30 September 20X6 (2,530,000 –2,160,000)	370,000			111,000	
Contribution	(405,000)	Cr (121,500)		(121,500)	1
Profit and loss debits service cost 374,000 + interest costs 37,000	411,000	Dr 123,300		123,300	1
Transfers (400,000 – 350,000)	50,000	Dr 15,000		15,000	3
Loss on remeasurement to OCI	108,800		32,640	32,640	
Profit or loss/OCI movement		**16,800**	**32,640**	**49,440**	
Net pension liability/ deferred tax asset at 30 September 20X6	534,800			160,440	

Notes

1 Tax relief now given in the current tax charge, so it makes sense for this element of the movement to be in profit or loss

2 Also makes sense that the costs results increase in the deferred tax asset so this should go to profit or loss too

3 Because the liability increases the deferred tax asset increases

6.2 Deductible temporary differences

6.2.1 Tax losses

Where tax losses arise, for example as trading losses or non-trading loan relationship deficits, then the manner of recognition of these in the financial statements depends on how they are expected to be used.

(a) If losses are **carried back** to crystallise a refund, then a receivable is recorded in the statement of financial position and the corresponding credit is to the current tax charge.

(b) If losses are **carried forward** to be used against future profits or gains, then they should be recognised as deferred tax assets to the extent that it is probable that future taxable profit will be available against which the losses can be used.

Unused tax credits carried forward against taxable profits will also give rise to a deferred tax asset to the extent that profits will exist against which they can be used.

Recognition of deferred tax asset

The existence of **unused tax losses** is strong evidence that future taxable profit may not be available. The following should be considered before recognising any deferred tax asset:

- Whether an entity has sufficient taxable temporary differences against which the unused tax losses can be offset
- Whether it is probable that the entity will have taxable profits before the unused tax losses expire
- Whether the tax losses result from identifiable causes which are unlikely to recur
- Whether tax planning opportunities are available to create taxable profit

Group tax relief

Where the acquisition of a subsidiary means that tax losses which previously could not be used can now be used against the profits of the subsidiary, a deferred tax asset may be recognised in the financial statements of the parent company. This amount is **not** taken into account in calculating goodwill arising on acquisition.

6.2.2 Provisions

- A provision is recognised for accounting purposes when there is a present obligation, but it is not deductible for tax purposes until the expenditure is incurred.
- In this case, the temporary difference is equal to the amount of the provision, since the tax base is nil.
- Deferred tax is recognised in profit or loss.

6.2.3 Share-based payments

Share-based transactions may be tax deductible in some jurisdictions. However, the amount deductible for tax purposes does not always correspond to the amount that is charged to profit or loss under IFRS 2.

In most cases it is not just the amount but also the timing of the expense allowable for tax purposes that will differ from that required by IFRS 2.

For example, an entity recognises an expense for share options granted under IFRS 2, but does not receive a tax deduction until the options are exercised. The tax deduction will be based on the share price on the exercise date and will be measured on the basis of the options' intrinsic value ie, the difference between market price and exercise price at the exercise date. In the case of share-based employee benefits under IFRS 2, the cost of the services as reflected in the financial statements is expensed and therefore the carrying amount is nil.

The difference between the carrying amount of nil and the tax base of share-based payment expense received to date is a deferred tax asset, provided the entity has sufficient future taxable profits to use this deferred tax asset.

The deferred tax asset temporary difference is measured as:

	£
Carrying amount of share-based payment expense	0
Less tax base of share-based payment expense	(X)
(estimated amount tax authorities will permit as a deduction in future periods, based on year-end information)	
Temporary difference	(X)
Deferred tax asset at X%	X

If the amount of the tax deduction (or estimated future tax deduction) exceeds the amount of the related cumulative remuneration expense, this indicates that the tax deduction also relates to an equity item.

The excess is therefore recognised directly in equity. The diagrams below show the accounting for equity-settled and cash-settled transactions.

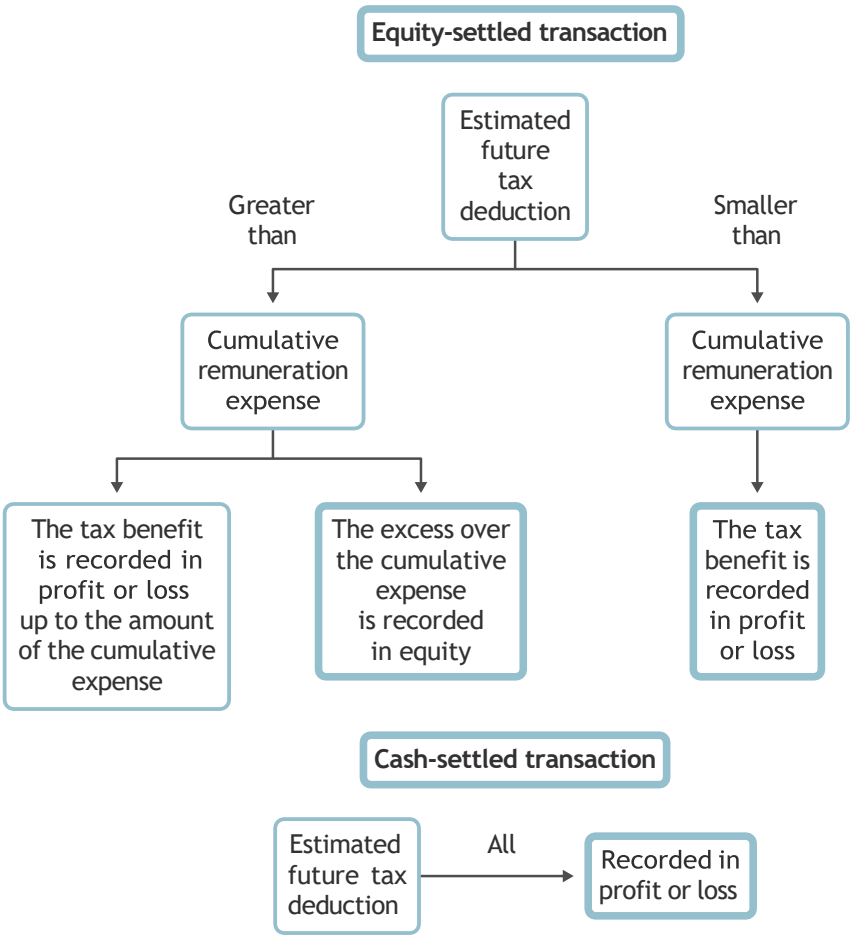


Figure 22.3: Accounting for equity-settled and cash-settled transactions

Worked example: Deferred tax

On 1 January 20X2, an entity granted 5,000 share options to an employee vesting two years later on 31 December 20X3. The fair value of each option measured at the grant date was £3.

Tax law in the jurisdiction in which the entity operates allows a tax deduction of the intrinsic value of the options on exercise. The intrinsic value of the share options was £1.20 at 31 December 20X2 and £3.40 at 31 December 20X3, on which date the options were exercised. Assume a tax rate of 30%.

Requirement

Show the deferred tax accounting treatment of the above transaction at 31 December 20X2, 31 December 20X3 (before exercise), and on exercise.

Solution

Deferred tax

	31 Dec 20X2	31 Dec 20X3 before exercise
	£	£
Carrying amount of share-based payment expense	0	0
Less tax base of share-based payment expense (5,000 × £1.2 ÷ 2)/(5,000 × £3.40)	(3,000)	(17,000)
Temporary difference	(3,000)	(17,000)
Deferred tax asset @ 30%	900	5,100
Deferred tax (Cr profit) (5,100 – 900 – (Working) 600)	900	3,600
Deferred tax (Cr Equity) (Working)	0	600

On exercise, the deferred tax asset is replaced by a current tax asset.

The double entry is:			£	
DEBIT	deferred tax (profit)	4,500		reversal
DEBIT	deferred tax (equity)	600		reversal
CREDIT	deferred tax asset		5,100	reversal
DEBIT	current tax asset	5,100		
CREDIT	current tax (profit)		4,500	
CREDIT	current tax (equity)		600	

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	£	£
Accounting expense recognised (5,000 × £3 ÷ 2)/(5,000 × £3)	7,500	15,000
Tax deduction	(3,000)	(17,000)
Excess temporary difference	0	(2,000)
Excess deferred tax asset to equity @ 30%	0	600

Interactive question 5: Share option scheme and deferred tax

Frost plc has the following share option scheme at 31 May 20X7:

Director's name	Grant date	Options granted	Fair value of options at grant date £	Exercise price	Vesting date
Edmund Houston	1 June 20X5	40,000	3.00	4.00	6/20X7
Kieran Bullen	1 June 20X6	120,000	2.50	5.00	6/20X9

The price of the company's shares at 31 May 20X7 is £8 per share and at 31 May 20X6 was £8.50 per share.

The directors must be working for Frost on the vesting date in order for the options to vest.

No directors have left the company since the issue of the share options and none are expected to leave before June 20X9. The shares can be exercised on the first day of the month in which they vest.

In accordance with IFRS 2 an expense of £60,000 has been charged to profits in the year ended 31 May 20X6 in respect of the share option scheme. The cumulative expense for the two years ended 31 May 20X7 is £220,000.

Tax allowances arise when the options are exercised and the tax allowance is based on the option's intrinsic value at the exercise date.

Assume a tax rate of 30%.

Requirement

What are the deferred tax implications of the share option scheme?

See **Answer** at the end of this chapter.

6.2.4 Recognition of deferred tax assets for unrealised losses

This amendment was issued in January 2016 in order to clarify when a deferred tax asset should be recognised for unrealised losses. For example, an entity holds a debt instrument that is falling in value, without a corresponding tax deduction, but the entity knows that it will receive the full nominal amount on the due date, and there will be no tax consequences of that repayment. The question arises of whether to recognise a deferred tax asset on this unrealised loss.

The IASB clarified **that unrealised losses on debt instruments measured at fair value and measured at cost for tax purposes give rise to a deductible temporary difference** regardless of whether the debt instrument's holder expects to recover the carrying amount of the debt instrument by sale or by use.

This may seem to contradict the key requirement that an entity recognises deferred tax assets only if it is probable that it will have future taxable profits. However, the amendment also addresses the issue of what constitutes future taxable profits, and clarifies the following:

(a) The carrying amount of an asset does not limit the estimation of probable future taxable profits.

(b) Estimates for future taxable profits exclude tax deductions resulting from the reversal of deductible temporary differences.

(c) An entity assesses a deferred tax asset in combination with other deferred tax assets. Where tax law restricts the utilisation of tax losses, an entity would assess a deferred tax asset in combination with other deferred tax assets of the same type.

The amendment is effective from January 2017.



Worked example: Deferred tax asset and unrealised losses

(Adapted from IAS 12, Illustrative Example 7)

Humbert owns a debt instrument with a nominal value of £2,000,000. The fair value of the financial instrument at the company's year end of 30 June 20X4 is £1,800,000. Humbert has determined that there is a deductible temporary difference of £200,000. Humbert intends to hold the instrument until maturity on 30 June 20X5, and expects that the £2,000,000 will be paid in full. This means that the deductible temporary difference will reverse in full.

Humbert has, in addition, £60,000 of taxable temporary differences that will also reverse in full in 20X5. The company expects the bottom line of its tax return to show a tax loss of £40,000.

Assume a tax rate of 20%.

Requirement

Discuss, with calculations, whether Humbert can recognise a deferred tax asset under IAS 12, *Income Taxes*.

Solution

The first stage is to use the reversal of the taxable temporary difference to arrive at the amount to be tested for recognition.

Under IAS 12 Humbert will consider whether it has a tax liability from a taxable temporary difference that will support the recognition of the tax asset:

	£'000
Deductible temporary difference	200
Reversing taxable temporary difference	(60)
Remaining amount (recognition to be determined)	140

At least £60,000 may be recognised as a deferred tax asset.

The next stage is to calculate the future taxable profit. Following the amendment, this is done using a formula, the aim of which is to derive the amount of tax profit or loss before the reversal of any temporary difference:

	£'000
Expected tax loss (per bottom line of tax return)	(40)
Less reversing taxable temporary difference	(60)
Add reversing deductible temporary difference	200
Taxable profit for recognition test	100

Finally, the results of the above two steps should be added, and the tax calculated:

Humbert would recognise a deferred tax asset of (£60,000 + £100,000) × 20% = £32,000. This deferred tax asset would be recognised even though the company has an expected loss on its tax return.

7 Group scenarios

Section overview

- In relation to business combinations and consolidations, IAS 12 gives examples of circumstances that give rise to taxable temporary differences and to deductible temporary differences in an appendix.
- As already mentioned, however, the initial recognition of goodwill has no deferred tax impact.

7.1 General principles

There are some temporary differences which only arise in a business combination. This is because, on consolidation, adjustments are made to the carrying amounts of assets and liabilities that are not always reflected in the tax base of those assets and liabilities.

The tax bases of assets and liabilities in the consolidated financial statements are determined by reference to the applicable tax rules. Usually tax authorities calculate tax on the profits of the individual entities, so the relevant tax bases to use will be those of the individual entities.

Deferred tax calculation

(IAS 12.11)

	$	
Carrying amount of asset/liability (consolidated statement of financial position)	X/(X)	Carrying amount in **consolidated** statement of financial position
Tax base (usually subsidiary's tax base)	(X)/X	Tax base depends on tax rules. Usually tax is
Temporary difference	X/(X)	charged on **individual entity profits**, **not**
Deferred tax (liability)/asset	(X)/X	group profits.

7.2 Taxable temporary differences

7.2.1 Fair value adjustments on consolidation

IFRS 3, *Business Combinations* requires assets acquired on acquisition of a subsidiary to be recognised at their fair value rather than their carrying amount in the individual financial statements of the subsidiary. The fair value adjustment does not, however, have any impact on taxable profits or the tax base of the asset. This is much like a revaluation in an individual company's accounts.

Therefore an upwards fair value adjustment made to an asset will result in the carrying value of the asset exceeding the tax base and so a taxable temporary difference will arise.

The resulting deferred tax liability is recorded in the consolidated accounts by:

DEBIT	Goodwill (group share)	X	
CREDIT	Deferred tax liability		X

Worked example: Fair value adjustments

On 1 September 20X8, Hunt acquired 80% of the ordinary share capital of Harrison for consideration totalling £150,000. At the date of acquisition, Harrison's statement of financial position showed net assets of £180,000, although the fair value of inventory was assessed to be £10,000 above its carrying amount.

Requirement

Explain the deferred tax implications, assuming a tax rate of 30%.

Solution

Implications:

- The carrying amount of the inventory in the group accounts is £10,000 more than its tax base (being carrying amount in Harrison's own accounts).
- Deferred tax on this temporary difference is 30% × £10,000 = £3,000.
- A deferred tax liability of £3,000 is recognised in the group statement of financial position.
- Goodwill is increased by (£3,000 × 80%) = £2,400.

7.2.2 Undistributed profits of subsidiaries, branches, associates and joint ventures

(a) The carrying amount of, for example, a subsidiary in consolidated financial statements is equal to the group share of the net assets of the subsidiary plus purchased goodwill.

(b) The tax base is usually equal to the cost of the investment.

(c) The difference between these two amounts is a temporary difference. It can be calculated as the parent's share of the subsidiary's post-acquisition profits which have not been distributed.

Worked example: Temporary difference in subsidiary holding

Askwith purchased 80% of the ordinary share capital of Embsay for £110,000 when the net assets of Embsay were £100,000, giving rise to goodwill of £30,000. At 31 December 20X6 the following is relevant:

(1) Goodwill has not been impaired.

(2) The net assets of Embsay amount to £120,000.

Requirement

What temporary difference arises on this investment at 31 December 20X6?

Solution

Temporary difference:

- The tax base of the investment in Embsay is the cost of £110,000. The carrying value is the share of net assets (80% × £120,000) + goodwill of £30,000 = £126,000.
- The temporary difference is therefore £126,000 – £110,000 = £16,000.
- This is equal to the group share of post-acquisition profits: 80% × £20,000 change in net assets since acquisition.

Recognition of deferred tax

A deferred tax liability should be recognised on the temporary difference unless:

- the parent/investor/venturer is able to control the timing of the reversal of the temporary difference; **and**
- it is probable that the temporary difference will not reverse (ie, the profits will not be paid out) in the foreseeable future.

This can be applied to different levels of investment as follows:

(a) **Subsidiary**

As a parent company can control the dividend policy of a subsidiary, deferred tax will not arise in relation to undistributed profits.

(b) **Associate**

An investor in an associate does not control that entity and so cannot determine its dividend policy. Without an agreement requiring that the profits of the associate should not be distributed in the foreseeable future, therefore, an investor should recognise a deferred tax liability arising from taxable temporary differences associated with its investment in the associate. Where an investor cannot determine the exact amount of tax, but only a minimum amount, then the deferred tax liability should be that amount.

(c) **Joint venture**

In a joint venture, the agreement between the parties usually deals with profit sharing. When a venturer can control the sharing of profits and it is probable that the profits will not be distributed in the foreseeable future, a deferred liability is not recognised.

7.2.3 Changes in foreign exchange rates

Where a foreign operation's taxable profit or tax loss (and therefore the tax base of its non-monetary assets and liabilities) is determined in a foreign currency, changes in the exchange rate give rise to taxable or deductible temporary differences.

These relate to the foreign entity's own assets and liabilities, rather than to the reporting entity's investment in that foreign operation, and so the reporting entity should recognise the resulting deferred tax liability or asset. The resulting deferred tax is charged or credited to profit or loss.

However, a deferred tax asset should **only** be recognised to the extent that both these are probable:

(a) That the temporary difference will **reverse** in the foreseeable future

(b) That **taxable profit** will be available against which the temporary difference can be used

7.3 Deductible temporary differences

7.3.1 Unrealised profits on intra-group trading

(a) From a tax perspective, one group company selling goods to another group company is taxed on the resulting profit in the period that the sale is made.

(b) From an accounting perspective no profit is realised until the recipient group company sells the goods to a third party outside the group. This may occur in a different accounting period from that in which the initial group sale is made.

(c) A temporary difference therefore arises equal to the amount of unrealised intra-group profit. This is the difference between the following:

(1) Tax base, being cost to the recipient company (ie, cost to selling company plus unrealised intra-group profit on sale to the recipient company)

(2) Carrying value to the group, being the original cost to the selling company, since the intra- group profit is eliminated on consolidation

(d) Deferred tax is provided at the **receiving** company's tax rate.

7.3.2 Fair value adjustments

IFRS 3 requires assets and liabilities acquired on acquisition of a subsidiary to be brought in at their fair value rather than the carrying amount. The fair value adjustment does not, however, have any impact on taxable profits or the tax base of the asset.

Therefore a fair value adjustment which increases a recognised liability or creates a new liability will result in the tax base of the liability exceeding the carrying value and so a deductible temporary difference will arise.

A deductible temporary difference also arises where an asset's carrying amount is reduced to a fair value less than its tax base.

The resulting deferred tax asset is recorded in the consolidated accounts by:

DEBIT	Deferred tax asset	X	
CREDIT	Goodwill		X

7.4 Deferred tax assets of an acquired subsidiary

Deferred tax assets of a subsidiary may not satisfy the criteria for recognition when a business combination is initially accounted for but may be realised subsequently.

These should be recognised as follows:

(a) If recognised within 12 months of the acquisition date and resulting from new information about circumstances existing at the acquisition date, the credit entry should be made to goodwill. If the carrying amount of goodwill is reduced to zero, any further amounts should be recognised in profit or loss.

(b) If recognised outside the 12-month 'measurement period' or not resulting from new information about circumstances existing at the acquisition date, the credit entry should be made to profit or loss.

Interactive question 6: Recognition

In 20X2 Jacko Co acquired a subsidiary, Jilly Co, which had deductible temporary differences of £3 million. The tax rate at the date of acquisition was 30%. The resulting deferred tax asset of £0.9 million was not recognised as an identifiable asset in determining the goodwill of £5 million resulting from the business combination. Two years after the acquisition, Jacko Co decided that future taxable profit would probably be sufficient for the entity to recover the benefit of all the deductible temporary differences.

Requirement

State the accounting treatment of the recognition of the deferred tax asset in 20X4.

See **Answer** at the end of this chapter.

Interactive question 7: Fair value adjustment

Oscar acquired 80% of the ordinary shares in Dorian Limited (Dorian) on 1 July 2005.

At acquisition, a property owned and occupied by Dorian had a fair value £30 million in excess of its carrying value. This property had a remaining useful life at that time of 20 years.

Oscar is preparing its financial statements as at 30 June 2015. The tax rate in the jurisdiction in which Oscar operates is 16%.

Requirements

7.1 How should this fair value difference be recorded in the consolidated financial statements at 30 June 2015?

7.2 What is the deferred tax implication of the fair value adjustment?

See **Answer** at the end of this chapter.



Worked example: Deferred tax and groups 1

In recent years, Morpeth Ltd has made the following acquisitions of other companies:

- On 1 January 20X6, it acquired 90% of the share capital of Skipton, resulting in goodwill of £1.4 million.
- On 1 July 20X6 it acquired the whole of the share capital of Bingley for £6 million. At this date the fair value of the net assets of Bingley was £4.5 million and their tax base was £4 million.

The following information is relevant to Morpeth Group's year ended 31 December 20X6:

Skipton

(1) Skipton has made a provision amounting to £1.8 million in its accounts in respect of litigation. This is tax allowable only when the cost is actually incurred. The case is expected to be settled within 12 months.

(2) Skipton has a number of investments classified as at fair value through profit or loss in accordance with IFRS 9, *Financial Instruments*. The remeasurement gains and losses recognised in profit or loss for accounting purposes are not taxable/tax allowable until such date as the investments are sold. To date the cumulative unrealised gain is £2.5 million.

(3) Skipton has sold goods to Morpeth in the year making a profit of £1 million. A quarter of these goods remain in Morpeth's inventory at the year end.

Bingley

(1) At its acquisition date, Bingley had unrelieved brought-forward tax losses of £0.4 million. It was initially believed that Bingley would have sufficient taxable profits to use these losses and a deferred tax asset was recognised in Bingley's financial statements at acquisition. Subsequent events have proven that the future taxable profits will not be sufficient to use the full brought- forward loss.

(2) At acquisition Bingley's retained earnings amounted to £3.5 million. The directors of Morpeth Group have decided that in each of the next four years to the intended listing date of the group, they will realise earnings through dividend payments from the subsidiary amounting to £600,000 per annum. Bingley has not declared a dividend for the current year. Tax is payable on remittance of dividends.

(3) £300,000 of the purchase price of Bingley has been allocated to intangible assets. The recognition and measurement criteria of IFRS 3 and IAS 38 do not appear to have been met; however, the directors believe that the amount is allowable for tax and have calculated the tax charge accordingly. It is believed that this may be challenged by the tax authorities.

Requirement

What are the deferred tax implications of the above issues for the Morpeth Group?

Solution

Acquisitions

Any fair value adjustments made for consolidation purposes will affect the group deferred tax charge for the year.

A taxable temporary difference will arise where the fair value of an asset exceeds its carrying value, and the resulting deferred tax liability should be recorded against goodwill.

A deductible temporary difference will arise where the fair value of a liability exceeds its carrying value, or an asset is revalued downwards. Again the resulting deferred tax amount (an asset) should be recognised in goodwill.

In addition, it may be possible to recognised deferred tax assets in a group which could not be recognised by an individual company. This is the case where tax losses brought forward, but not considered to be an asset, due to lack of available taxable profits to set them against, can now be used by another group company.

Goodwill

Goodwill arose on both acquisitions. According to IAS 12, however, no provision should be made for the temporary difference arising on this.

Skipton

(1) A deductible temporary difference arises when the provision is first recognised. This results in a deferred tax asset calculated as £540,000 (30% × £1.8m). The asset may, however, only be recognised where it is probable that there will be future taxable profits against which the future tax-allowable expense may be set. There is no indication that this is not the case for Skipton.

(2) A taxable temporary difference arises where investments are revalued upwards for accounting purposes but the uplift is not taxable until disposal. In this case the carrying value of the investments has increased by £2.5 million, and this has been recognised in profit or loss. The tax base has not, however changed. Therefore, a deferred tax liability should be recognised on the £2.5 million, and, in line with the recognition of the underlying revaluation, this should be recognised in profit or loss.

(3) This intra-group transaction results in unrealised profits of £250,000 which will be eliminated on consolidation. The tax on this £250,000 will, however, be included within the group tax charge (which is comprised of the sum of the individual group companies' tax charges). From the perspective of the group there is a temporary difference. Deferred tax should be provided on this difference using the tax rate of Morpeth (the recipient company).

Bingley

(1) Unrelieved tax losses give rise to a deferred tax asset only where the losses are regarded as recoverable. They should be regarded as recoverable only where it is probable that there will be future taxable profits against which they may be used. It is indicated that the future profits of Bingley will not be sufficient to realise all of the brought-forward loss, and therefore the deferred tax asset is calculated only on that amount expected to be recovered.

(2) Deferred tax is recognised on the unremitted earnings of investments, except where:

(a) The parent is able to control the payment of dividends

(b) It is unlikely that the earnings will be paid out in the foreseeable future

Morpeth controls Bingley and is therefore able to control its dividend payments; however, it is indicated that £2.4 million will be paid as dividends in the next four years. Therefore a deferred tax liability related to this amount should be recognised.

(3) The directors have assumed that the £300,000 relating to intangible assets will be tax allowable, and the tax provision has been calculated based on this assumption. However, this is not certain, and extra tax may have to be paid if this amount is not allowable. Therefore a liability for the additional tax amount should be recognised.

Interactive question 8: Intangible

Jenner Holdings (Jenner) operates in the recruitment industry. On 1 February 20X0, Jenner acquired 60% of Rannon. It is now 31 March 20X4, and the consolidated financial statements of Jenner are being prepared.

On the date of acquisition, £40,800,000 of the purchase consideration was allocated to the domain name 'www.alphabettajob.com' which Rannon had registered some years earlier. Alphabettajob.com is a popular job search website well known in the recruitment industry and as a result Jenner was able to establish a fair value using an income-based valuation method. The domain name is not recognised in Rannon's individual financial statements and has a tax base of nil.

The Jenner Group amortises acquired domain names over 10 years. The tax rate applicable to the profits of both companies is 17%.

Requirement

Prepare journals and explanations to show how this domain name should be treated in the consolidated financial statements of the Jenner Group as at 31 March 20X4.

See **Answer** at the end of this chapter.

Interactive question 9: Deferred tax and groups

Menston, a limited company, has two wholly owned subsidiaries, Burley, another UK company and Rhydding, which is located in Estomania. The following information is relevant to the year ended 31 August 20X8:

(1) Rhydding has made a tax-adjusted loss equivalent to £6.5 million. This loss can only be relieved through carry forward against future profits of Rhydding.

(2) During the year Burley has sold goods to Menston for £12 million, based on a 20% mark-up. Half of these goods are still in Menston's stock room at the year end.

Assume that the tax rate applicable to the group companies based in the UK is 30%; the Estomanian tax rate is 20%.

Requirement

What are the deferred tax implications of these issues?

See **Answer** at the end of this chapter.

Interactive question 10: Deferred tax scenarios

Angelo, a public limited company, has three 100% owned subsidiaries, Claudio, Lucio and Escalus SA, a foreign subsidiary.

(1) The following details relate to Claudio:

(a) Angelo acquired its interest in Claudio on 1 January 20X3. The fair values of the assets and liabilities acquired were considered to be equal to their carrying amounts, with the

exception of freehold property which was considered to have a fair value of £1 million in excess of its book value. The directors have no intention of selling the property.

(b) Claudio has sold goods at a price of £6 million to Angelo since acquisition and made a profit of £2 million on the transaction. The inventories of these goods recorded in Angelo's statement of financial position at the year end, 30 September 20X3, were £3.6 million.

(2) Lucio undertakes various projects from debt factoring to investing in property and commodities. The following details relate to Lucio for the year ended 30 September 20X3:

(a) Lucio has a portfolio of readily marketable government securities which are held as current assets for financial trading purposes. These investments are stated at market value in the statement of financial position with any gain or loss taken to profit or loss. These gains and losses are taxed when the investments are sold. Currently the accumulated unrealised gains are £8 million.

(b) Lucio has calculated it requires an allowance for credit losses of £2 million against its total loan portfolio. Tax relief is available when a specific loan is written off.

(c) Escalus SA has unremitted earnings of €20 million which would give rise to additional tax payable of £2 million if remitted to Angelo's tax regime. Angelo intends to leave the earnings within Escalus for reinvestment.

(d) Angelo has unrelieved trading losses as at 30 September 20X3 of £10 million.

Current tax is calculated based on the individual company's financial statements (adjusted for tax purposes) in the tax regime in which Angelo operates. Assume an income tax rate of 30% for Angelo and 25% for its subsidiaries.

Requirement

Explain the deferred tax implications of the above information for the Angelo group of companies for the year ended 30 September 20X3.

See **Answer** at the end of this chapter.



Interactive question 11: Foreign branch

Investa has a foreign branch which has the same functional currency as Investa (the pound sterling). The branch's taxable profits are determined in dinars. On 1 May 20X3, the branch acquired a property for 6 million dinars. The property had an expected useful life of 12 years with a zero residual value. The asset is written off for tax purposes over eight years. The tax rate in Investa's jurisdiction is 30% and in the branch's jurisdiction is 20%. The foreign branch uses the cost model for valuing its property and measures the tax base at the exchange rate at the reporting date.

Investa would like an explanation (including a calculation) as to why a deferred tax charge relating to the asset arises in the group financial statements for the year ended 30 April 20X4 and the impact on the financial statements if the tax base had been translated at the historical rate.

The exchange rate was 5 dinars: £1 on 1 May 20X3 and 6 dinars: £1 on 30 April 20X4.

Requirement

Provide the explanation and calculation requested.

See **Answer** at the end of this chapter.

8 Presentation and disclosure

Section overview

The detailed presentation and disclosure requirements for current and deferred tax are given below.

8.1 Disclosure requirements

The tax expense (income) related to profit (or loss) from ordinary activities should be presented on the face of the statement of profit or loss and other comprehensive income.

The following are the main items that should be disclosed separately:

(a) Current tax expense (income)

(b) Any adjustments recognised in the period for current tax of prior periods

(c) The amount of deferred tax expense (income) relating to temporary differences

(d) The amount of deferred tax expense (income) relating to changes in tax rates or the imposition of new taxes

(e) Prior period deferred tax or current tax adjustments

(f) The aggregate current and deferred tax relating to items that are charged or credited to equity

(g) An explanation of the relationship between tax expense (income) and accounting profit which can be done in either (or both) of the following ways:

  (1) A numerical reconciliation between tax expense and the product of accounting profit multiplied by the applicable tax rate(s), disclosing also the basis on which the applicable tax rate(s) is (are) computed

  (2) A numerical reconciliation between the average effective tax rate and the applicable tax rate, disclosing also the basis on which the applicable tax rate is computed

(h) An explanation of changes in the applicable tax rate(s) compared to the previous accounting period

(i) The amount of deductible temporary differences, unused tax losses and unused tax credits for which no deferred tax asset is recognised in the statement of financial position

8.2 The statement of financial position

Tax assets and tax liabilities should be presented separately from other assets and liabilities in the statement of financial position. Deferred tax assets and liabilities should be distinguished from current tax assets and liabilities.

Deferred tax assets (liabilities) should **not** be classified as current assets (liabilities). This is the case even if the deferred tax assets/liabilities are expected to be realised within 12 months.

There is no requirement in IAS 12 to disclose the tax base of assets and liabilities on which deferred tax has been calculated.

8.2.1 Offsetting

Where appropriate deferred tax assets and liabilities should be offset in the statement of financial position.

An entity should offset deferred tax assets and deferred tax liabilities if, and only if:

- the entity has a legally enforceable right to set off current tax assets against current tax liabilities; and
- the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority.

There is no requirement in IAS 12 to provide an explanation of assets and liabilities that have been offset.

8.2.2 Other disclosures

An entity should disclose any tax-related contingent liabilities, and contingent assets, in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*. Contingent liabilities and contingent assets may arise, for example, from unresolved disputes with the taxation authorities.

Similarly, where changes in tax rates or tax laws are enacted or announced after the reporting date, an entity should disclose any significant effect of those changes on its current and deferred tax assets and liabilities (see IAS 10, Events After the Reporting Period).

Interactive question 12: Tax adjustment

In the notes to the financial statements of Tacks for the year ended 30 November 20X2, the tax expense included an amount in respect of 'Adjustments to current tax in respect of prior years' and this expense has been treated as a prior year adjustment. These items related to adjustments arising from tax audits by the authorities in relation to previous reporting periods.

The issues that resulted in the tax audit adjustment were not a breach of tax law but related predominantly to transfer pricing issues, for which there was a range of possible outcomes that were negotiated during 20X2 with the taxation authorities. Further at 30 November 20X1, Tacks had accounted for all known issues arising from the audits to that date and the tax adjustment could not have been foreseen as at 30 November 20X1, as the audit authorities changed the scope of the audit. No penalties were expected to be applied by the taxation authorities.

Requirement

What is the correct treatment of the above issue in the financial statements for the year ended 30 November 20X2?

See **Answer** at the end of this chapter.

9 Deferred tax summary and practice

Section overview

- The calculation and recording of deferred tax can be set out in an eight-step process.
- Deferred tax at Advanced Level will be much more demanding than at Professional Level.

9.1 Summary

The following is a summary of the steps required to calculate and record deferred tax in the financial statements.

	Procedure	Comment
Step 1	Determine the carrying amount of each asset and liability in the statement of financial position.	This is merely the carrying value determined by other standards.
Step 2	Determine the tax base of each asset and liability.	This is the amount attributed to each asset or liability for tax purposes.
Step 3	Determine any temporary differences (these are based on the difference between the figures in Step 1 and Step 2).	These will be either: • taxable temporary differences; or • deductible temporary differences.
Step 4	Determine the deferred tax balance by multiplying the tax rate by any temporary differences.	The tax rate to be used is that expected to apply when the asset is realised or the liability settled, based on laws already enacted or substantively enacted by the statement of financial position date.
Step 5	Recognise deferred tax assets/liabilities in the statement of financial position.	Apply recognition criteria in IAS 12.
Step 6	Recognise deferred tax, normally in profit or loss (but possibly as other comprehensive income or in equity or goodwill).	This will be the difference between the opening and closing deferred tax balances in the statement of financial position.
Step 7	Offset deferred tax assets and liabilities in the statement of financial position where appropriate.	Offset criteria in IAS 12 must be satisfied.
Step 8	Comply with relevant presentation and disclosure requirements for deferred tax in IAS 12.	See relevant presentation and disclosure requirements sections above.

The method described is referred to as the liability method, or full provision method.

(a) The **advantage** of this method is that it recognises that each temporary difference at the reporting date has an effect on future tax payments, and these are provided for in full.

(b) The **disadvantage** of this method is that, under certain types of tax system, it gives rise to large liabilities that may fall due only far in the future.



Professional skills focus: Structuring problems and solutions

The step-by-step approach in the above table can be used to structure most problems relating to deferred tax.

9.2 Exam-standard question practice

Deferred tax is still an important topic. The interactive question below is exam-standard and, in addition to testing deferred tax in depth, also tests foreign currency translation of a non-monetary asset and impairment of a previously revalued asset, a financial instrument and a provision. Finally it asks for a re-draft of a statement of financial position following adjustments, which is a typical feature of Question 2 of the Corporate Reporting exam.

Professional skills focus: Assimilating and using information

The exam-standard question below requires assimilation of a great deal of information, not all of which relates to tax. Before launching into the question, it might be helpful to highlight the information that has deferred tax implications while the content of this chapter is fresh in your mind.

Interactive question 13: Exam-standard question

You are Richard Carpenter, a newly-qualified Chartered Accountant, working in the finance department at Chippy plc, a sportswear company with a number of subsidiaries in the UK and overseas. On 1 October 20X2, Chippy acquired 100% of the ordinary shares of Marusa Inc, a sportswear company based in Ruritania. The national currency of Ruritania is the krown (Kr).

You receive the following email from Ying Cha, the finance director of Chippy:

To: Richard Carpenter

From: Ying Cha

Date: 4 November 20X3

Subject: Marusa financial statements for the year ended 30 September 20X3 and advice on parent company transactions

Richard,

Marusa's finance director, Sian Parsons, has provided a draft statement of financial position which has been prepared using Ruritanian GAAP (**Exhibit 1**). This needs to be restated using IFRS before we consolidate Marusa's results. Marusa achieved break-even for the year and the company has no current tax liability.

Sian has also prepared some notes (**Exhibit 2**) that detail key transactions for the year ended 30 September 20X3.

There is no deferred tax under Ruritanian GAAP, but I am particularly concerned about the deferred tax implications of some of the key transactions under IFRS.

I would also like your advice regarding the deferred tax treatment of a UK subsidiary in the financial statements of Chippy, the parent company. I have prepared a note on the relevant issue (**Exhibit 3**).

I would like you to do the following:

- For each of the key transactions (Exhibit 2):
  - Explain any adjustments which need to be made to ensure that Marusa's financial statements comply with IFRS.
  - Prepare the journal entries needed to adjust Marusa's financial statements to IFRS.
- Prepare a revised statement of financial position for Marusa at 30 September 20X3 in accordance with IFRS, showing all workings clearly.
- Explain the deferred tax treatment relating to the subsidiary in the financial statements of Chippy.

Please prepare your figures to the nearest Kr'000.

Requirement

Respond to Ying Cha's instructions.

Exhibit 1: Marusa – Draft statement of financial position at 30 September 20X3

	Kr'000
Non-current assets	
Property, plant & equipment	61,600
Intangible assets	8,500
Financial investments	7,700
	77,800
Current assets	23,700
	101,500
Equity and liabilities Equity	
Share capital Kr1 shares	10,000
Retained earnings	42,600
Revaluation surplus	16,800
	69,400
Non-current liabilities	
Loans	10,000
Provisions	15,000
Current liabilities	7,100
	101,500

Exhibit 2: Notes prepared by Sian Parsons: Key transactions in the year ended 30 September 20X3

(1) **Purchase of machinery**

On 1 January 20X3 Marusa bought some specialist machinery from the USA for $30 million. Payment for the machinery was made on 31 March 20X3.

In accordance with local Ruritanian GAAP, I recognised the cost of the machinery on 1 January 20X3 at Kr10 million, using the opening rate of exchange at 1 October 20X2.

I have charged a full year's depreciation of Kr1.0 million in cost of sales, as Marusa depreciates the machinery over a 10-year life and it has no residual value. I have therefore included the machinery in the statement of financial position at Kr9 million.

An amount of Kr2.5 million has been debited to retained earnings. This is in respect of the difference between the sum paid to the supplier of Kr12.5 million on 31 March 20X3 and the cost recorded in non-current assets of Kr10 million.

The Kr/US$ exchange rates on relevant dates were:

	1 Kr =
1 October 20X2	$3.00
1 January 20X3	$2.50
31 March 20X3	$2.40
30 September 20X3	$2.00

In Ruritania the tax treatment of property, plant and equipment and exchange differences is the same as the IFRS treatment.

(2) **Impairment**

Marusa bought a warehouse on 1 October 20W3 for Kr36 million. The warehouse is being depreciated over 20 years with no residual value. On 1 October 20X2, due to a rise in property prices, the warehouse was revalued to Kr42 million and a revaluation surplus of Kr16.8 million was recognised. No transfers are made between the revaluation surplus and retained earnings under Ruritanian GAAP in respect of depreciation.

There has been a slump in the local property market recently, so an impairment review was undertaken at 30 September 20X3, and the warehouse was assessed as being worth Kr12 million. I have therefore charged Kr18 million to profit or loss to reflect the difference between the carrying amount of the warehouse of Kr30 million before 30 September 20X3 and the new value of Kr12 million.

(3) **Investment**

On 1 April 20X3, Marusa bought one million shares in a local listed company for Kr7.70 per share. This represents a 3% shareholding. The intention is to hold the shares until 31 December 20X3, and then sell them at a profit. I have recognised the shares at cost in the statement of financial position in accordance with Ruritanian GAAP. The market value of the shares at 30 September 20X3 was Kr12.50 per share.

Under Ruritanian tax rules, income tax is charged at 20% on the accounting profit recognised on the sale of the investment.

(4) **Provision**

On 1 October 20X2, Marusa signed an agreement with the Ruritanian government for exclusive rights for the next 20 years to the organic cotton grown on government-owned land. The cost of buying these rights was Kr8.5 million, which has been recognised in intangible assets in Marusa's statement of financial position. Under the terms of the rights agreement, Marusa has to repair any environmental damage at the end of the 20-year period.

There is a 40% probability of the eventual cost of environmental repairs being Kr15 million and a 60% probability of the cost being Kr10 million. To be prudent I have created a provision for Kr15 million, and debited this to operating costs. Marusa has a pre-tax discount rate of 8%. The environmental costs will be allowed for tax purposes when paid. The income tax rate is expected to remain at 20%.

Exhibit 3: Note prepared by Ying Cha: Key transactions in the year ended 30 September 20X3

Gemex, a limited liability company, is a wholly owned UK subsidiary of Chippy, and is a cash generating unit in its own right. The value of the property, plant and equipment of Gemex at 30 September 20X3 was £6 million and purchased goodwill was £1 million before any impairment loss. The company had no other assets or liabilities. An impairment loss of £1.8 million had occurred at 30 September 20X3. The tax base of the property, plant and equipment of Gemex was £4 million as at 30 September 20X3.

I would like to know how the impairment loss will affect the deferred tax liability for the year in the financial statements of Chippy. Impairment losses are not an allowable expense for taxation purposes. The corporation tax rate is 20%.

See **Answer** at the end of this chapter.

10 Audit focus

Section overview

- The provision for and related statement of profit or loss entries for deferred taxation are based on assumptions that rely on management judgements.
- Procedures should be adopted to ensure any assumptions are reasonable and the requirements of IAS 12 have been met.

10.1 Auditing tax

10.1.1 Audit risks

Until recently, tax accounting has been of secondary concern in the corporate group reporting process. The tax figures in the financial statements are, however, often material by their nature, and the increased public interest around tax avoidance now places greater pressure on companies and groups to get tax reporting right.

The following factors increase the audit risk in respect of current and deferred tax, particularly in a group reporting context:

- Lack of tax accounting knowledge: even in larger groups with in-house tax specialist resource, the board is often more interested in the cash cost of tax than in tax accounting, although getting the tax rate in line with analysts' expectations does still promote investor confidence.
- Lack of foreign tax knowledge: the tax figures of foreign operations are particularly at risk of misstatement, and auditing them may require specialist knowledge.
- Complex or unusual transactions: the tax implications of such transactions may be overlooked by management, but they can be complex and material.
- Lack of appropriate tax reporting processes: the basic processes (such as Excel file) used by many entities are unable to respond to complex tax reporting requirements. The use of manual input increases the risk of errors, and may render workings difficult to audit.

Professional skills focus: Applying judgement

Where there is risk, the application of judgement is needed; for example, whether to use a tax specialist or whether there is sufficient knowledge within the audit team.

10.1.2 Use of tax specialists

On the audit of larger or more complex entities, tax audit specialists are likely to be actively involved from the start of the audit as members of the audit team, using their tax accounting expertise to carry out the review of tax figures in the statement of financial position and statement of profit or loss. In such cases, the tax audit team will report their findings, including any identified misstatements and any areas of significant uncertainty, to the audit team. The tax team's workings papers must be included within the audit working papers file.

Note: In accordance with the revised Ethical Standard the provision of tax services by an audit firm for PIEs is prohibited.

Professional skills focus: Concluding, recommending and communicating

The language of financial reporting differs from that of tax. It is important that the tax team communicates its findings clearly to the audit team, since it is in essence providing a service to the audit team which the audit team will rely on.

10.1.3 Current tax: audit procedures

Auditors (or the tax specialists involved in the audit) should carry out audit procedures including the following:

- Obtain copies of the prior period tax computation.
- Inquire whether any tax enquiries have been raised by the tax authorities in the period.
- Inquire into the status of any unresolved tax enquiries, and obtain supporting correspondence with the tax authorities.
- Obtain copies of the current period tax computation, and evaluate whether:
  - the opening balances agree to the closing balances in the prior period tax computation;
  - the figures in the tax computation agree to figures in the financial statements;
  - estimates contained within the tax computation are based on reasonable assumptions; and
  - all tax rates and allowances are based on applicable tax legislation.
- Review details of tax payments made/refunds received in the period, and agree payments to the cash and bank account.

10.1.4 Deferred tax: audit procedures

The following procedures will be relevant:

- Assess whether it is appropriate for the company to recognise deferred tax (eg, is the company expected to make future taxable profits against which the deferred tax would unwind?).
- Obtain a copy of the deferred tax workings.
- Determine the arithmetical **accuracy** of the deferred tax working.
- Agree the **figures used** to calculate temporary differences to those on the **tax computation** and the **financial statements.**
- Review the assumptions made in the light of the auditor's knowledge of the business and any other evidence gathered during the course of the audit to ensure reasonableness.
- Agree the opening position on the deferred tax account to the prior year financial statements.
- Review the basis of the provision to ensure:
  - it is in line with accounting practice under IAS 12, *Income Taxes*; and
  - any changes in accounting policy have been disclosed.
- Verify that the rate of corporation tax at which the deferred tax asset/liability unwinds is appropriate and in line with current tax legislation.
- To test for **completeness** (understatement) the auditor should review the draft financial statements to identify items that would normally be expected to give a temporary difference and ensure they have been included.

10.1.5 Transfer pricing

Besides auditing current and deferred tax, transfer pricing is an important area over which sufficient appropriate audit evidence must be sought. When the entity's transfer pricing policies are challenged by the tax authorities, the effect on the company's current tax position over several years is likely to be material.

Please refer to Corporate Tax Planning workbook of professional level for a more detailed discussion of transfer pricing.



Context example: Petrofac plc

Petrofac Limited is a leading energy services company, listed on FTSE All-Share Index. In the group financial statements for the year ended 31 December 2022, tax accounting was identified as a key audit matter by the group auditor, Ernst & Young. The following excerpts from the auditor's report for the period describe the risk, and the audit team's responses to the risk. Materiality for the year of audit was set at US$10 million.

Accounting for uncertain tax positions

Risk

The Group operates in multiple tax jurisdictions where uncertain tax treatments may be challenged at a later date by the relevant authorities.

Liabilities of US$59 million (2021 restated: US$85 million) are held principally in respect of tax deductions previously taken, transfer pricing arrangements and ongoing tax audits. This is an area which requires management to exercise significant judgement as to the likelihood of an adverse outcome for the Group, and estimation as to the likely outflow in the event of such a finding.

We consider that the risk associated with this key audit matter has remained consistent with the prior year.

Our audit response to the risk

Our primary tax audit team based in the UK coordinated our audit approach to uncertain tax treatments. Local tax experts in relevant jurisdictions were involved as needed to provide input on specific local tax matters.

Completeness of identified exposures and claims:

- We assessed the design and implementation of key controls over management's process to identify and evaluate uncertain tax positions.
- We considered potential implications for new contracts entered into in existing or new jurisdictions for the Group.

Assessment of exposures and claims:

- We evaluated the risks associated with identified exposures and any claims or assessments made by tax authorities to date. We also inspected documentation, considering whether developments in any ongoing tax audits during the year necessitated a change in estimate on any provision.
- We also considered whether any interest or penalties should apply based on relevant legislation and historical experience with the authority in question.

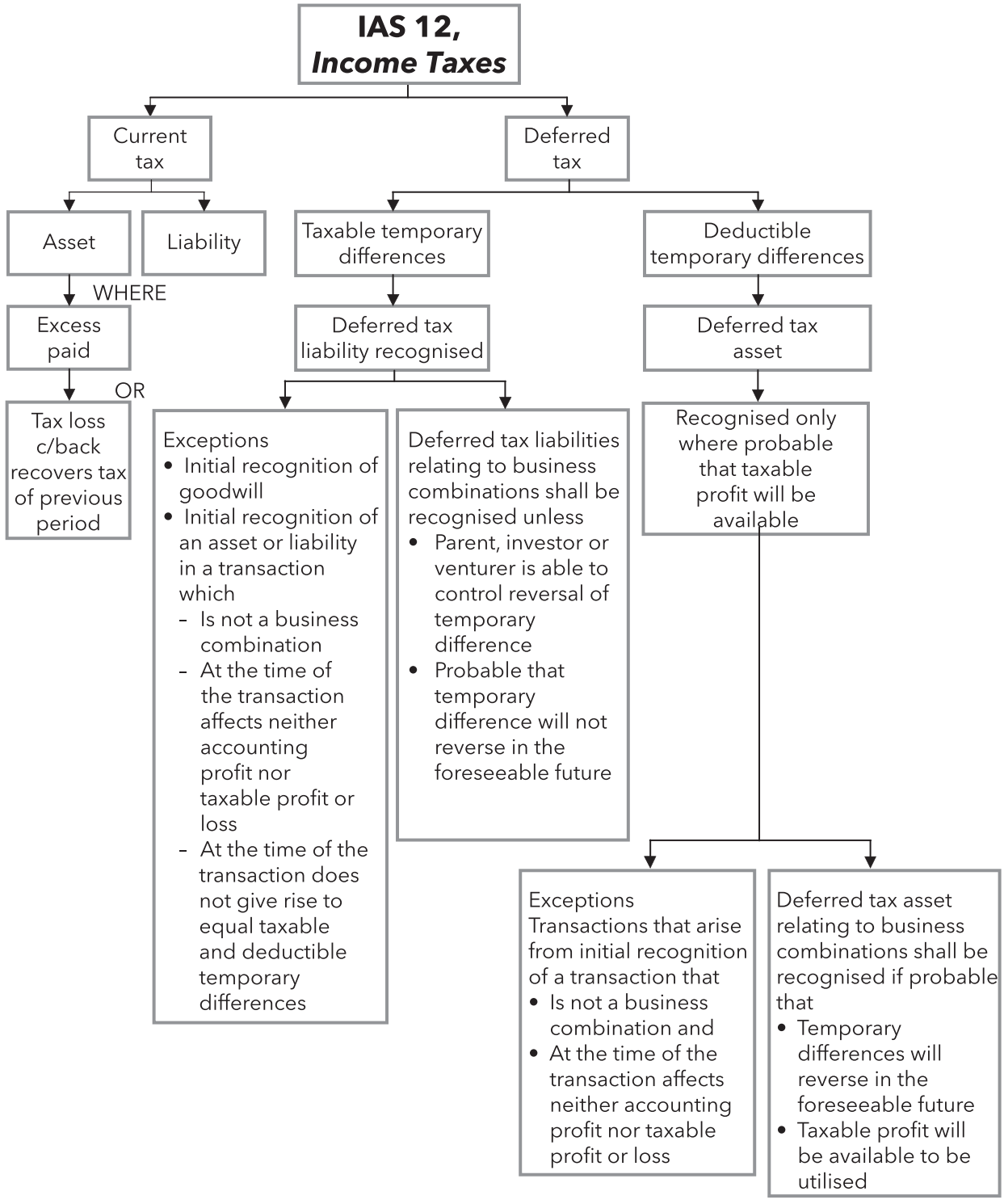
Disclosures:

- We have also reviewed the disclosures in Note 2 to the Group financial statements regarding the significant estimation uncertainties inherent in accounting for these items and have concluded that the disclosures are appropriate.

Key observations communicated to the Audit Committee

We are satisfied that the amounts recognised in respect of uncertain tax treatments have been accounted for in accordance with the requirements of IFRIC 23 *Uncertainty over Income Tax Treatments* and represent management's best estimate based on the Group's experience in the relevant jurisdictions and historical tax assessments concluded with the tax authorities.
(Petrofac, 2023)

Summary


IAS 12, Income Taxes
Current tax
Deferred tax
Asset
Liability
WHERE
Excess paid
OR
Tax loss c/back recovers tax of previous period
Taxable temporary differences
Deferred tax liability recognised
Exceptions
• Initial recognition of goodwill
• Initial recognition of an asset or liability in a transaction which
– Is not a business combination
– At the time of the transaction affects neither accounting profit nor taxable profit or loss
– At the time of the transaction does not give rise to equal taxable and deductible temporary differences
Deferred tax liabilities relating to business combinations shall be recognised unless
• Parent, investor or venturer is able to control reversal of temporary difference
• Probable that temporary difference will not reverse in the foreseeable future
Deductible temporary differences
Deferred tax asset
Recognised only where probable that taxable profit will be available
Exceptions
Transactions that arise from initial recognition of a transaction that
• Is not a business combination and
• At the time of the transaction affects neither accounting profit nor taxable profit or loss
Deferred tax asset relating to business combinations shall be recognised if probable that
• Temporary differences will reverse in the foreseeable future
• Taxable profit will be available to be utilised

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you understand what IAS 12 means by 'temporary differences'? (Topic 2)
2.	Can you identify the tax base resulting from various tax rules? (Topic 3)
3.	Can you calculate taxable and deductible temporary differences? (Topic 3)
4.	Can you measure the deferred tax liability or asset? (Topic 4)
5.	On what basis is deferred tax recognised in the financial statements? (Topic 5)
6.	How is deferred tax recognised in the context of retirement benefits and share-based payment? (Topic 6)
7.	What factors increase the audit risk in respect of current and deferred tax? (Topic 10)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question Name	Learning benefit from attempting this question
Situations	A straightforward warm-up question, this tests that you have grasped the basic concept behind deferred tax.
Parea	Focusing on property, this question deals with a number of calculations with both taxable and deductible temporary differences.
XYZ	This is a comprehensive deferred tax question requiring calculations and explanations in a group context.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question Name	Learning benefit from attempting this question
Billinge	This is a full deferred tax question, covering fair value adjustment, share options, intragroup trading, profit from foreign subsidiary, capital allowances and a lease.

Question Name	Learning benefit from attempting this question
Longwood	Another full deferred tax question, this one covers research and development, PPE, tax losses, deferred tax and pensions and deferred tax treatment of goodwill. A thorough understanding of the non-tax issues is required as well as deferred tax.
Telo (note 4 only)	This part of the question relates to gains on investment property being taxed at a different time from gains on PPE. Skim through the answer to note 3, which gives you the information you need about the property to answer the deferred tax part.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

1 IAS 12, *Income Taxes*

2 Tax base of an asset/liability – IAS 12.7, IAS 12.8

3 Current tax

- Unpaid current tax recognised as a liability – **IAS 12.12**
- Benefit relating to tax losses that can be carried back to recover previous period current tax recognised as asset – **IAS 12.13**

4 Taxable temporary differences

- Deferred tax liability shall be recognised on all taxable temporary differences except those arising from: – **IAS 12.15**

- Initial recognition of goodwill
- Initial recognition of an asset or liability in a transaction which:
  - is not a business combination; and
  - at the time of the transaction affects neither accounting profit nor taxable profit (tax loss).

5 Deductible temporary differences

- Deferred tax asset shall be recognised for all deductible temporary differences to the extent that taxable profit will be available to be used, unless asset arises from initial recognition of asset or liability in a transaction that: – **IAS 12.24**

- is not a business combination; and
- at the time of the transaction affects neither accounting profit nor taxable profit or loss.

6 Unused tax losses and unused tax credits

- Deferred tax asset may be recognised in respect of unused tax losses and unused tax credits to the extent that future taxable profits will be available – **IAS 12.34**

7 Deferred tax assets and liabilities arising from investments in subsidiaries, branches and associates and investments in joint ventures – IAS 12.39, IAS 12.44

8 Tax rates and manner of recovery

- Measurement of deferred tax at tax rates expected to apply when asset realised or liability settled to reflect tax consequences of manner of recovery – **IAS 12.47, 12.51**

9 Discounting

- Deferred tax assets and liabilities shall not be discounted – **IAS 12.53**

10 Annual review

- Carrying amount of deferred tax asset to be reviewed at each reporting date – **IAS 12.56**

Self-test questions

Answer the following questions

1 Torcularis

The Torcularis Company has interest receivable which has a carrying amount of £75,000 in its statement of financial position at 31 December 20X6. The related interest revenue will be taxed on a cash basis in 20X7.

Torcularis has trade receivables that have a carrying amount of £80,000 in its statement of financial position at 31 December 20X6. The related revenue has been included in its statement of profit or loss and other comprehensive income for the year to 31 December 20X6.

Requirement

According to IAS 12, *Income Taxes*, what is the total tax base of interest receivable and trade receivables for Torcularis at 31 December 20X6?

2 Situations

What will the following situations give rise to as regards deferred tax, according to IAS 12, *Income Taxes*?

(a) Development costs have been capitalised and will be amortised through profit or loss, but were deducted in determining taxable profit in the period in which they were incurred.

(b) Accumulated depreciation for a machine in the financial statements is greater than the cumulative capital allowances up to the reporting date for tax purposes.

(c) A penalty payable is in the statement of financial position. Penalties are not allowable for tax purposes.

3 Budapest

On 31 December 20X6, The Budapest Company acquired a 60% stake in The Lisbon Company. Among Lisbon's identifiable assets at that date was inventory with a carrying amount of £8,000 and a fair value of £12,000. The tax base of the inventory was the same as the carrying amount.

The consideration given by Budapest resulted in the recognition of goodwill acquired in the business combination.

Income tax is payable by Budapest at 25% and by Lisbon at 20%.

Requirement

Indicate whether the following statements are true or false, in respect of Budapest's consolidated statement of financial position at 31 December 20X6, in accordance with IAS 12, *Income Taxes*.

(1) No deferred tax liability is recognised in respect of the goodwill.

(2) A deferred tax liability of £800 is recognised in respect of the inventory.

4 Dipyrone

The Dipyrone Company owns 100% of the Reidfurd Company. During the year ended 31 December 20X7:

(1) Dipyrone sold goods to Reidfurd for £600,000, earning a profit margin of 25%. Reidfurd held 30% of these goods in inventory at the year end.

(2) Reidfurd sold goods to Dipyrone for £800,000, earning a profit margin of 20%. Dipyrone held 25% of these goods in inventory at the year end.

The tax base of the inventory in each company is the same as its carrying amount. The tax rate applicable to Dipyrone is 26% and that applicable to Reidfurd is 33%.

Requirement

What is the deferred tax asset at 31 December 20X7 in Dipyrone's consolidated statement of financial position under IAS 12, *Income Taxes* and IFRS 10, *Consolidated Financial Statements*?

5 Rhenium

The Rhenium Company issued £6 million of 8% loan stock at par on 1 April 20X7. Interest is payable in two instalments on 30 September and 31 March each year.

The company pays income tax at 20% in the year ended 31 December 20X7, but expects to pay at 25% for 20X8 as it will be earning sufficient profits to pay tax at the higher rate.

For tax purposes interest paid and received is dealt with on a cash basis.

Requirement

What is the deferred tax balance at 31 December 20X7, according to IAS 12, *Income Taxes*?

6 Cacholate

The Cacholate Company acquired a property on 1 January 20X6 for £1.5 million. The useful life of the property is 20 years, which is also the period over which tax depreciation is charged.

On 31 December 20X7, the property was revalued to £2.16 million. The tax base remained unaltered.

Income tax is payable at 20%.

Requirement

What is the deferred tax charge for the year ended 31 December 20X7, and where is it charged, under IAS 12, *Income Taxes*?

7 Spruce

Spruce Company made a taxable loss of £4.7 million in the year ended 31 December 20X7. This was due to a one-off reorganisation charge in 20X7; before that, Spruce made substantial taxable profits each year.

Assume that tax legislation allows companies to carry back tax losses for one financial year, and then carry them forward indefinitely.

Spruce's taxable profits are as follows.

Year ended	£'000
31 December 20X6	500
31 December 20X8 (estimate)	1,000
31 December 20X9 (estimate)	1,200
31 December 20Y0 and onwards	Uncertain

Spruce pays income tax at 25%.

Requirement

What is the deferred tax balance in respect of tax losses in Spruce's statement of financial position at 31 December 20X7, according to IAS 12, *Income Taxes*?

8 Bananaquit

At 31 December 20X6, The Bananaquit Company has a taxable temporary difference of £1.5 million in relation to certain non-current assets.

At 31 December 20X7, the carrying amount of those non-current assets is £2.4 million and the tax base of the assets is £1.0 million.

Tax is payable at 30%.

Requirement

Indicate whether the following statements are true or false, in accordance with IAS 12, *Income Taxes*.

(1) The deferred tax charge through profit or loss for the year is £30,000.

(2) The statement of financial position deferred tax asset at 31 December 20X7 is £420,000.

9 Antpitta

The Antpitta Company owns 70% of The Chiffchaff Company. During 20X7 Chiffchaff sold goods to Antpitta at a mark-up above cost. Half of these goods are held in Antpitta's inventories at the year end. The rate of income tax is 30%.

Requirement

Indicate whether the following statements are true or false according to IAS 12, *Income Taxes* and IFRS 10, *Consolidated Financial Statements*, when preparing Antpitta's consolidated and Chiffchaff's individual financial statements for the year ended 31 December 20X7.

(1) A deferred tax asset arises in the individual statement of financial position of Chiffchaff in relation to intra-group transactions.

(2) A deferred tax asset arises in Antpitta's consolidated statement of financial position due to the intra-group transactions.

10 Parea

In order to maximise its net assets per share, The Parea Company wishes to recognise the minimum deferred tax liability allowed by IFRS. Parea only pays tax to the Government of Gredonia, at the rate of 22%.

On 1 January 20X6 Parea acquired some plant and equipment for £30,000. In the financial statements it is being written off over its useful life of four years on a straight-line basis, even though tax depreciation is calculated at 27% on a reducing-balance basis.

On 1 January 20X3 Parea acquired a property for £40,000. Both in the financial statements and under tax legislation it is being written off over 25 years on a straight-line basis. On 31 December 20X7 the property was revalued to £50,000 with no change to its useful life, but this revaluation had no effect on the tax base or on tax depreciation.

Requirement

Determine the following amounts for the deferred tax liability of Parea in its consolidated financial statements according to IAS 12, *Income Taxes*.

(1) The deferred tax liability at 31 December 20X6

(2) The deferred tax liability at 31 December 20X7

(3) The charge or credit for deferred tax in profit or loss for the year ended 31 December 20X7

11 XYZ

XYZ, a public limited company, has decided to adopt the provisions of IFRS Standards for the first time in its financial statements for the year ending 30 November 20X1. The amounts of deferred tax provided as set out in the notes of the group financial statements for the year ending 30 November 20X0 were as follows:

	£m
Tax depreciation in excess of accounting depreciation	38
Other temporary differences	11
Liabilities for healthcare benefits	(12)
Losses available for offset against future taxable profits	(34)
	3

The following notes are relevant to the calculation of the deferred tax liability as at 30 November 20X1:

(1) XYZ acquired a 100% holding in a foreign company on 30 November 20X1. The subsidiary does not plan to pay any dividends for the financial year to 30 November 20X1 or in the foreseeable future. The carrying amount in XYZ's consolidated financial statements of its investment in the subsidiary at 30 November 20X1 is made up as follows:

	£m
Carrying amount of net assets acquired excluding deferred tax	76
Goodwill (before deferred tax and impairment losses)	14
Carrying amount/cost of investment	90

The tax base of the net assets of the subsidiary at acquisition was £60 million. No deduction is available in the subsidiary's tax jurisdiction for the cost of the goodwill.

Immediately after acquisition on 30 November 20X1, XYZ had supplied the subsidiary with inventories amounting to £30 million at a profit of 20% on selling price. The inventories had not been sold by the year end and the tax rate applied to the subsidiary's profit is 25%. There was no significant difference between the fair values and carrying amounts on the acquisition of the subsidiary.

(2) The carrying amount of the property, plant and equipment (excluding that of the subsidiary) is £2,600 million and their tax base is £1,920 million. Tax arising on the revaluation of properties of
£140 million, if disposed of at their revalued amounts, is the same at 30 November 20X1 as at the beginning of the year. The revaluation of the properties is included in the carrying amount above.

Other taxable temporary differences (excluding the subsidiary) amount to £90 million as at 30 November 20X1.

(3) The liability for healthcare benefits in the statement of financial position had risen to £100 million as at 30 November 20X1 and the tax base is zero. Healthcare benefits are

deductible for tax purposes when payments are made to retirees. No payments were made during the year to 30 November 20X1.

(4) XYZ Group incurred £300 million of tax losses in 20X0. Under the tax law of the country, tax losses can be carried forward for three years only. The taxable profits for the years ending 30 November were anticipated to be as follows:

20X1	20X2	20X3
£m	£m	£m
110	100	130

The auditors are unsure about the availability of taxable profits in 20X3, as the amount is based on the projected acquisition of a profitable company. It is anticipated that there will be no future reversals of existing taxable temporary differences until after 30 November 20X3.

(5) Income tax of £165 million on a property disposed of in 20X0 becomes payable on 30 November 20X4 under the deferral relief provisions of the tax laws of the country. There had been no sales or revaluations of property during the year to 30 November 20X1.

(6) Income tax is assumed to be 30% for the foreseeable future in XYZ's jurisdiction and the company wishes to discount any deferred tax liabilities at a rate of 4% if allowed by IAS 12.

(7) There are no other temporary differences other than those set out above. The directors of XYZ have calculated the opening balance of deferred tax using IAS 12 to be £280 million.

Requirement

Calculate the liability for deferred tax required by the XYZ Group at 30 November 20X1 and the deferred tax expense in profit or loss for the year ending 30 November 20X1 using IAS 12, commenting on the effect that the application of IAS 12 will have on the financial statements of the XYZ Group.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 The tax base of the accrued expenses is nil.

1.2 The tax base of the interest received in advance is nil.

1.3 The tax base of the prepaid expenses is nil.

1.4 The tax base of the loan is £1 million.

Answer to Interactive question 2

(a) The tax base of the asset is £70,000 (£100,000 – £30,000).

Recovery through continued use

Temporary difference of £150,000 – £70,000 = £80,000 is all taxed at 30% resulting in a deferred tax liability of £24,000.

(If the entity expects to recover the carrying amount by using the asset it must generate taxable income of £150,000, but will only be able to deduct depreciation of £70,000.)

(b) **Recovery through sale**

If the entity expects to recover the carrying amount by selling the asset immediately for proceeds of £150,000, the temporary difference is still £80,000. Of this, only the £50,000 excess of proceeds over cost is not taxable. Therefore the deferred tax liability will be computed as follows.

	Taxable temporary difference £	Tax rate	Deferred tax liability £
Cumulative tax depreciation	30,000	30%	9,000
Proceeds in excess of cost	50,000	Nil	
Total temporary difference	80,000		9,000

Answer to Interactive question 3

(a) **Recovery through continued use**

If the entity expects to recover the carrying amount by using the asset, the situation is as in Recovery 1 above in the same circumstances.

(b) **Recovery through sale**

If the entity expects to recover the carrying amount by selling the asset immediately for proceeds of £150,000, the entity will be able to deduct the indexed cost of £110,000. The net profit of £40,000 will be taxed at 40%. In addition, the cumulative tax depreciation of £30,000 will be included in taxable income and taxed at 30%. On this basis, the tax base is £80,000 (£110,000 – £30,000), there is a taxable temporary difference of £70,000 and there is a deferred tax liability of £25,000 (£40,000 × 40% plus £30,000 × 30%).

Answer to Interactive question 4

Jonquil Co will recover the carrying amount of the equipment by using it to manufacture goods for resale.

Therefore, the entity's current tax computation is as follows.

	20X1	20X2	20X3	20X4	20X5
	£	£	£	£	£
Taxable income*	10,000	10,000	10,000	10,000	10,000
Depreciation for tax purposes	12,500	12,500	12,500	12,500	0
Taxable profit (tax loss)	(2,500)	(2,500)	(2,500)	(2,500)	10,000
Current tax expense (income) at 40%	(1,000)	(1,000)	(1,000)	(1,000)	4,000

* ie, nil profit plus (£50,000 ÷ 5) depreciation add-back.

The entity recognises a current tax asset at the end of years 20X1 to 20X4 because it recovers the benefit of the tax loss against the taxable profit of year 20X0.

The temporary differences associated with the equipment and the resulting deferred tax asset and liability and deferred tax expense and income are as follows.

	20X1	20X2	20X3	20X4	20X5
	£	£	£	£	£
Carrying amount	40,000	30,000	20,000	10,000	0
Tax base	37,500	25,000	12,500	0	0
Taxable temporary difference	2,500	5,000	7,500	10,000	0
Opening deferred tax liability	0	1,000	2,000	3,000	4,000
Deferred tax expense (income): bal fig	1,000	1,000	1,000	1,000	(4,000)
Closing deferred tax liability @ 40%	1,000	2,000	3,000	4,000	0

The entity recognises the deferred tax liability in years 20X1 to 20X4 because the reversal of the taxable temporary difference will create taxable income in subsequent years. The entity's income statement is as follows.

	20X1	20X2	20X3	20X4	20X5
	£	£	£	£	£
Income	10,000	10,000	10,000	10,000	10,000
Depreciation	(10,000)	(10,000)	(10,000)	(10,000)	(10,000)
Profit before tax	0	0	0	0	0
Current tax expense (income)	(1,000)	(1,000)	(1,000)	(1,000)	4,000
Deferred tax expense (income)	1,000	1,000	1,000	1,000	(4,000)
Total tax expense (income)	0	0	0	0	0
Net profit for the period	0	0	0	0	0

Answer to Interactive question 5

The company will recognise an expense for the consumption of employee services given in consideration for share options granted, but will not receive a tax deduction until the share options are actually exercised. Therefore a temporary difference arises and IAS 12, *Income Taxes* requires the recognition of deferred tax.

A deferred tax asset (a deductible temporary difference) results from the difference between the tax base of the services received (a tax deduction in future periods) and the carrying value of zero. IAS 12 requires the measurement of the deductible temporary difference to be based on the intrinsic value of the options at the year end. This is the difference between the fair value of the share and the exercise price of the option.

If the amount of the estimated future tax deduction exceeds the amount of the related cumulative remuneration expense, the tax deduction relates not only to the remuneration expense, but also to equity. If this is the case, the excess should be recognised directly in equity.

Year to 31 May 20X6

Deferred tax asset:

	£
Fair value (40,000 × £8.50 × 1/2)	170,000
Exercise price of option (40,000 × £4.00 × 1/2)	(80,000)
Intrinsic value (estimated tax deduction)	90,000
Tax at 30%	27,000

The cumulative remuneration expense is £60,000, which is less than the estimated tax deduction of £90,000. Therefore:

- a deferred tax asset of £27,000 is recognised in the statement of financial position;
- there is deferred tax income of £18,000 (60,000 × 30%); and
- the excess of £9,000 (30,000 × 30%) goes to equity.

Year to 31 May 20X7

Deferred tax asset:

	£
Fair value	
(40,000 × £8)	320,000
(120,000 × £8 × 1/3)	320,000
	640,000
Exercise price of options	
(40,000 × £4)	(160,000)
(120,000 × £5 × 1/3)	(200,000)
Intrinsic value (estimated tax deduction)	280,000
Tax at 30%	84,000
Less previously recognised	(27000)
	57,000

The cumulative remuneration expense is £220,000, which is less than the estimated tax deduction of £280,000. Therefore:

- a deferred tax asset of £84,000 is recognised in the statement of financial position at 31 May 20X7;
- there is potential deferred tax income of £57,000 for the year ended 31 May 20X7;
- of this, £9,000 (60,000 × 30%) – (9,000) goes directly to equity; and
- the remainder (£48,000) is recognised in profit or loss for the year.

Answer to Interactive question 6

The entity recognises a deferred tax asset of £0.9 million (£3m × 30%) and, in profit or loss, deferred tax income of £0.9 million. Goodwill is not adjusted, as the recognition does not arise within the measurement period (ie, within the 12 months following the acquisition).

Answer to Interactive question 7

7.1 The fair value adjustment to the property reduces goodwill by £24 million (being 80% of the £30m FV adjustment).

As a result of the fair value uplift, the non-controlling interest must be adjusted up by £6 million (20% × £30m).

The journal to record the adjustments to property, goodwill and the NCI at the date of acquisition is:

DEBIT	Property	£30m	
CREDIT	Goodwill		£24m
CREDIT	NCI		£6m

The fair value uplift is subsequently depreciated such that by the reporting date its carrying value is £15 million (10/20 yrs × £30m). The journal to record the consolidation adjustment for extra depreciation is:

DEBIT	Group retained earnings (80% × £15m)	£12m	
DEBIT	NCI (20% × 15,000)	£3m	
CREDIT	Property – accumulated depreciation		£15m

7.2 At acquisition, property held within Dorian's accounts is uplifted by £30 million as a consolidation adjustment.

This results in a taxable temporary difference of £30 million, and so a deferred tax liability of £4.8 million (16% × £30m) at acquisition. This is recognised by:

DEBIT	Goodwill	£3.84m	
DEBIT	Non-controlling interest (20% × £4.8m)	£0.96m	
CREDIT	Deferred tax liability		£4.8m

By the reporting date, £15 million of this temporary difference has reversed and therefore a further journal is required to reduce the deferred tax liability by £2.4 million (16% × £15m):

DEBIT	Deferred tax liability	£2.4m	
CREDIT	Retained earnings (80% × £2.4m)		£1.92m
CREDIT	NCI (20% × £2.4m)		£0.48m

Answer to Interactive question 8

An intangible asset acquired in a business combination is recognised where it meets the definition of an asset and is identifiable ie, it is either separable or arises from contractual or legal rights. This is the case regardless of whether the acquiree recognises the asset on its individual statement of financial position.

The Jenner Group amortises domain names over a 10-year (120 month) period. Rannon was acquired 50 months before the reporting date, therefore the carrying amount of the domain name as at 31 March 20X4 is 70/120 × £40,800,000 = £23,800,000.

A deferred tax liability arises in respect of the fair value adjustment since this results in the carrying amount of the domain name exceeding its tax base of nil. The deferred tax liability is 17% × £23,800,000 = £4,046,000.

Amortisation since acquisition of 50/120 × £40,800,000 = £17,000,000 on the domain name and the £2,890,000 (£17,000,000 × 17%) movement in the associated deferred tax liability must also be accounted for and allocated between group retained earnings and the non-controlling interest:

(1)

DEBIT	Intangible assets	£40,800,000
CREDIT	Goodwill	£40,800,000

To recognise fair value adjustment on acquisition.

DEBIT	Retained earnings (60% × 17% × £40,800,000)	£4,161,600	
DEBIT	Non-controlling interest (40% × 17% × £40,800,000)	£2,774,400	
CREDIT	Deferred tax liability		£6,936,000

To recognise deferred tax liability on fair value adjustment at acquisition.

(2)

DEBIT	Retained earnings (60% × £17,000,000)	£10,200,000	
DEBIT	Non-controlling interest (40% × £17,000,000)	£6,800,000	
CREDIT	Intangible assets		£17,000,000

To recognise amortisation on the domain name since acquisition.

(3)

DEBIT	Deferred tax liability	£2,890,000	
CREDIT	Retained earnings (60% × £2,890,000)		£1,734,000
CREDIT	Non-controlling interest (40% × £2,890,000)		£1,156,000

To recognise the movement in deferred tax on the fair value adjustment since acquisition.

Answer to Interactive question 9

Implications:

(1) An unrelieved tax loss gives rise to a deferred tax asset; however, only where there are expected to be sufficient future taxable profits to use the loss.

There is no indication of Rhydding's future profitability, although the extent of the current year losses suggests that future profits may not be available. If this is the case then no deferred tax asset should be recognised.

If, however, the current year loss is due to a one-off factor, or there are other reasons why a return to profitability is expected, then the deferred tax asset may be recognised at 20% × £6.5m = £1.3 million.

(2) The intra-group sale gives rise to an unrealised year-end profit of £12m × 20/120 × ½ = £1m. Consolidated profit and inventory are adjusted for this amount.

This profit has, however, already been taxed in the accounts of Burley. A deductible temporary difference therefore arises which will reverse when the goods are sold outside the group and the profit is realised. The resulting deferred tax asset is £1m × 30% = £300,000.

This may be recognised to the extent that it is recoverable.

Answer to Interactive question 10

Implications:

(1)

(a) Fair value adjustments are treated in a similar way to temporary differences on revaluations in the entity's own accounts. A deferred tax liability is recognised under IAS 12 even though the directors have no intention of selling the property, as it will generate taxable income in excess of depreciation allowed for tax purposes. The deferred tax of £1m × 25% = £0.25m is debited to goodwill, reducing the fair value adjustments (and net assets at acquisition) and increasing goodwill.

(b) Provisions for unrealised profits are temporary differences which create deferred tax assets and the deferred tax is provided at the receiving company's rate of tax. A deferred tax asset would arise of (3.6 × 2/6) @30% = £360,000.

(2)

(a) The unrealised gains are temporary differences which will reverse when the investments are sold therefore a deferred tax liability needs to be created of (£8m × 25%) = £2m.

(b) The allowance is a temporary difference which will reverse when the currently unidentified loans go bad and the entity will then be entitled to tax relief. A deferred tax asset of (£2m at 25%) = £500,000 should be created.

(3) No deferred tax liability is required for the additional tax payable of £2 million, as Angelo controls the dividend policy of Escalus and does not intend to remit the earnings to its own tax regime in the foreseeable future.

(4) Angelo's unrelieved trading losses can only be recognised as a deferred tax asset to the extent they are considered to be recoverable. In assessing the recoverability there needs to be evidence that there will be suitable taxable profits from which the losses can be deducted in the future. To the extent Angelo itself has a deferred tax liability for future taxable trading profits (eg, accelerated tax depreciation) then an asset could be recognised.

Answer to Interactive question 11

Investments in foreign branches (or subsidiaries, associates or joint arrangements) are affected by **changes in foreign exchange rates**. In this case, the branch's taxable profits are determined in dinars, and changes in the dinar/pound exchange rate may give rise to temporary differences. These differences can arise where the carrying amounts of the non-monetary assets are translated at historical rates and the tax base of those assets are translated at the closing rate. The **closing rate** may be used to translate the tax base because the resulting figure is an **accurate measure of the amount that will be deductible in future periods. The deferred tax is charged or credited to profit or loss.**

The deferred tax arising will be calculated **using the tax rate in the foreign branch's jurisdiction**, that is **20%.**

	Dinars ('000)	Exchange rate	Pounds £'000
Property			
Carrying amount: Cost	6,000		1,200
Depreciation for the year	(500)		(100)
Carrying amount	5,500	5	1,100
Tax base:			
Cost	6,000		
Tax depreciation	(750)		
Carrying amount	5,250	6	875
Temporary difference			225
Deferred tax at 20%			45

The **deferred tax charge in profit or loss will therefore increase by £45,000.**

If the tax base had been translated at the historical rate, the tax base would have been £(5.25m ÷ 5) = £1.05 million. This gives a temporary difference of £1.1m – £1.05m = £50,000, and therefore a deferred tax liability of £50,000 × 20% = £10,000. This is considerably lower than when the closing rate is used.

Answer to Interactive question 12

According to IAS 12, *Income Taxes* the tax expense in the statement of profit or loss and other comprehensive income includes the tax charge for the year, any under or overprovision of income tax from the previous year and any increase or decrease in the deferred tax provision:

	£
Current tax expense	X
Under/overprovisions relating to prior periods	X/(X)
Increases/decreases in the deferred tax balance	X/(X)
	X

While the correction of an over or under provision relates to a prior period, this is **not a prior period adjustment** as defined in IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* and as assumed by Tacks. Rather, it is a **change in accounting estimate**.

Changes in accounting estimates result from new information or new developments and, accordingly, are **not corrections of errors**. A prior period error, which would require a prior period adjustment is **an omission or misstatement arising from failure to use reliable information** that was available or could have been obtained at the time of the authorisation of

the financial statements. This is **not the case here**. Tacks had accounted for all known issues at the previous year end (30 November 20X1), and could not have foreseen that the tax adjustment would be required. No penalties were applied by the taxation authorities, indicating that there were no fundamental errors in the information provided to them. Correction of an over- or under-provision for taxation is routine, since taxation liabilities are difficult to estimate.

The effect of a change in accounting estimate must be **applied by the company prospectively** by including it in profit or loss in the period of change, with separate disclosure of the adjustment in the financial statements.

Answer to Interactive question 13

Journal entries and explanations:

Machinery purchase

The plant is categorised as a non-monetary asset per IAS 21. As such it should be measured at the rate of exchange at the acquisition date of 1 January 20X3. Therefore the plant should originally have been included at cost of Kr12 million (US$30m/2.5) and a liability for that sum recognised too.

Depreciation should be charged over the useful life of the asset, which commences on 1 January, and so only nine months depreciation is required to 30 September 20X3. This gives a depreciation charge of Kr900,000 and a carrying amount of Kr11.1 million.

An exchange difference arises between 1 January and 31 March, when payment is made. This should be charged to the income statement instead of directly to equity.

The correct exchange difference is therefore a loss of Kr500,000 (Kr12.5m – Kr12m).

The relevant correcting journals are:

		Dr Kr million	Cr Kr million
DEBIT	PPE		
	Cost Kr12m – Kr10m	2	
CREDIT	Creditor		2
Being correct recording of cost of the machinery			
DEBIT	Creditor	2.5	
CREDIT	Retained earnings		2.5
Being journal to reverse original exchange difference (Kr12.5m – Kr10m)			
DEBIT	Profit or loss	0.5	
CREDIT	Creditor		0.5
Being correct exchange loss taken to profit or loss			
DEBIT	PPE	0.1	
CREDIT	Profit or loss		0.1
Being correction to depreciation charge (Kr1m – Kr0.9m)			

There are no deferred tax implications as the tax base and the carrying amount are the same.

Impairment

Per IAS 36 the impairment of Kr18 million should initially be offset against the revaluation surplus of Kr16.8 million, and the excess of Kr1.2 million charged in the income statement.

The journal is:

CREDIT	Profit or loss	Kr16.8m	
DEBIT	Revaluation surplus		Kr16.8m

Again there should be no deferred tax implications as the tax base and the carrying amount are the same.

Investment

The investment is classified as held for trading per IFRS because there is an intention to sell the shares at the end of the year. Therefore they should be measured at fair value and the gain/loss taken to the income statement.

At 30 September the increase in fair value is Kr4.8 million, and this is credited to the income statement.

DEBIT	Investments	Kr4.8m	
CREDIT	Profit or loss		Kr4.8m

A deferred tax liability of Kr 960,000 (20% × Kr 4.8m) should be created because the recognition of the increase in fair value represents a taxable temporary difference.

DEBIT	Profit or loss deferred tax	Kr960,000	
CREDIT	Deferred tax provision		Kr960,000

Provision

The provision should initially be based on a figure of Kr10 million per IAS 37, as this is the most likely outcome for the clean-up costs.

However the provision should then be discounted using the pre-tax discount rate of 8% over the 20- year period from 1 October 20X2. The initial provision should therefore be Kr2.145 million.

As the provision relates to the rights, the cost should be added to intangible assets.

The intangible asset should then be amortised in the income statement over the 20 years to when the rights expire.

The provision should be unwound over the period to when the clean-up costs are due.

		Dr Kr million	Cr Kr million
DEBIT	Intangible asset	2.145	
DEBIT	Provision	12.855	
CREDIT	Profit or loss		15
DEBIT	Profit or loss (Kr10.645m/20)	0.532	
CREDIT	Intangible asset		0.532
DEBIT	Profit or loss (finance costs) (Kr2.145m × 8%)	0.172	
CREDIT	Provision		0.172

Because the clean-up costs are tax deductible, a deferred tax asset should be created for the provision at 30 September 20X3.

The provision is Kr2.317 million (Kr2.145m + 0.172m) and so the deferred tax asset is Kr0.463 million.

		Dr Kr million	Cr Kr million
DEBIT	Deferred tax asset	0.463	
CREDIT	Profit or loss		0.463

Adjusted statement of financial position

Statement of financial position at 30 September 20X3

	Draft Kr'000	Plant Kr'000	Impair Kr'000	Invest Kr'000	Prov'n Kr'000	Total Kr'000
Non-current assets						
Property, plant & equipment	61,600	2,100				63,700
Intangible assets	8,500				1,613	10,113
Financial investments	7,700			4,800		12,500
Deferred tax	0				463	463
	77,800					86,776
Current assets	23,700					23,700
Total assets	101,500					110,476
Equity and liabilities						
Capital and reserves						
Issued Kr 1 shares	10,000					10,000
Retained earnings	42,600	2,100	16,800	3,840	14,759	80,099
Revaluation surplus	16,800		(16,800)			0
	69,400					90,099
Non-current liabilities						
Loans	10,000					10,000
Provisions	15,000				(12,683)	2,317
Deferred tax	0			960		960
Current liabilities	7,100					7,100
Total equity & liabilities	101,500					110,476

Note: The deferred tax asset can be offset against the deferred tax liability if both are due to the same tax authority.

Impairment loss: Gemex

The impairment loss in the financial statements of Gemex **reduces the carrying value** of property, plant and equipment, but is **not allowable for tax**. Therefore the **tax base** of the property, plant and equipment **is different from its carrying value** and there is a **temporary difference**.

Under IAS 36, *Impairment of Assets* the impairment loss is allocated first to goodwill and then to other assets:

	Goodwill £m	Property, plant and equipment £m	Total £m
Carrying value at 30 September 20X3	1	6.0	7.0
Impairment loss	(1)	(0.8)	(1.8)
	-	5.2	5.2

IAS 12 states that **no deferred tax should be recognised on goodwill** and therefore **only the impairment loss relating to the property, plant and equipment affects the deferred tax position.**

The effect of the impairment loss is as follows:

	Before impairment £m	After impairment £m	Difference £m
Carrying value	6	5.2	
Tax base	(4)	(4.0)	
Temporary difference	2	1.2	0.8
Tax liability (20%)	0.4	0.24	0.16

Therefore the impairment loss reduces the deferred tax liability by £160,000.

Answers to Self-test questions

1 Torcularis

£nil and £80,000

IAS 12.7 Examples 2 and 3 show that:

- For interest receivables the tax base is nil.
- The tax base for trade receivables is equal to their carrying amount.

2 Situations

(a) Deferred tax liability

'Development costs' lead to a deferred tax liability.

(b) Deferred tax asset

(c) No deferred tax implications

'A penalty payable' has no deferred tax implications.

3 Budapest

Statements:

(1) True

(2) True

Under IAS 12.19 the excess of an asset's fair value over its tax base at the time of a business combination results in a deferred tax liability. As it arises in Lisbon, the tax rate used is 20% and the liability is £800 ((£12,000 – £8,000) × 20%).

The recognition of a deferred tax liability in relation to the initial recognition of goodwill is specifically prohibited by IAS 12.15(a).

4 Dipyrone

£25,250

Under IFRS 10, intra-group profits recognised in inventory are eliminated in full and IAS 12 applied to any temporary differences that result. This profit elimination results in the tax base being higher than the carrying amount, so deductible temporary differences arise. Deferred tax assets are measured by reference to the tax rate applying to the entity who currently owns the inventory.

So the deferred tax asset in respect of Dipyrone's eliminated profit is £14,850 (£600,000 × 25% × 30% × 33% tax rate) and in respect of Reidfurd's eliminated profit is £10,400 (£800,000 × 20% × 25% × 26% tax rate), giving a total of £25,250.

5 Rhenium

£30,000 asset

The year-end accrual is £120,000 (£6m × 8% × 3/12). Because the £120,000 year-end carrying amount of the accrued interest exceeds its nil tax base, under IAS 12.5 there is a deductible temporary difference, of £120,000. Under IAS 12.24 a deferred tax asset must be recognised.

The deferred tax asset is the deductible temporary difference multiplied by the tax rate expected to exist when the tax asset is realised (IAS 12.47). This gives a deferred tax asset of (£120,000 × 25%) =
£30,000.

6 Cacholate

£162,000

Because the £2.16 million year-end carrying amount of the asset exceeds its £1.35 million (£1,500,000 × 18/20) tax base, under IAS 12.5 there is a taxable temporary difference, of £810,000. Under IAS 12.15 a deferred tax liability must be recognised, of £162,000 (£810,000 × 20%). As there was no such liability last year (the carrying amount and the tax base were the same), the charge in the current year is for the amount of the liability.

Because the revaluation surplus is recognised as other comprehensive income and accumulated in equity (IAS 12.62), the deferred tax charge is recognised as tax on other comprehensive income and also accumulated in equity, under IAS 12.61.

7 Spruce

£550,000

A deferred tax asset shall be recognised for the carry forward of unused tax losses to the extent that future taxable profits will be available for offset (IAS 12.34). The loss incurred in the current year is a one-off, and the company has a history of making profits and expects to do so over the next two years. So it is likely that there will be future profits to offset.

£500,000 of the loss will be relieved by carry back, leaving £4,200,000 for carry forward. But the carry forward is limited to the likely future profits, so £2.2 million.

At the 25% tax rate, the deferred tax asset is £550,000.

8 Bananaquit

Statements:

(1) False

(2) False

The deferred tax figure in profit or loss is the difference between the opening and closing deferred tax liabilities. At the start of the year the liability was £450,000 (£1.5m × 30%). The amount of the change is £30,000, but it is a deferred tax credit, not charge to profit or loss.

At the end of the year the £2.4 million carrying amount of the assets exceeds their £1.0 million tax base, so under IAS 12.5 there is a taxable temporary difference, of £1.4 million. Under IAS 12.15 a deferred tax liability (not asset) of £420,000 (£1.4m × 30%) must be recognised.

9 Antpitta

Statements:

(1) False

(2) True

There is an unrealised profit relating to inventories still held within the group, which must be eliminated on consolidation (IFRS 10). But the tax base of the inventories is unchanged, so it is higher than the carrying amount in the consolidated statement of financial position and there is a deductible temporary difference (IAS 12.5).

10 Parea

Deferred tax liability:

(1) £132

(2) £3,743

(3) £349 credit

At 31 December 20X6 the carrying amount of the plant is £30,000 × (1 – 25%) = £22,500, while the tax base is £30,000 × (1 – 27%) = £21,900. The taxable temporary difference is £600 and the deferred tax liability is 22% thereof, £132.

At 31 December 20X7 the carrying amount of the plant is £30,000 × (1 – (25% × 2)) = £15,000, while the tax base is £30,000 × $(1 – 27\%)^2$ = £15,987, leading to a deductible temporary difference of £987. A deferred tax asset should be recognised in relation to this.

Before its revaluation, the property's carrying amount is £40,000 – (5 years at 4%) = £32,000 and the tax base is the same. The revaluation to £50,000 creates a taxable temporary difference of £18,000.

As Parea pays all its tax to a single authority, it must offset deferred tax assets and liabilities (IAS 12.74). At 31 December 20X7 there is a deferred tax liability of £(–987 + 18,000) = £17,013 × 22% = £3,743.

The change in deferred tax liability over the year is £3,743 – £132 = £3,611. Of this, £18,000 × 22% = £3,960 relates to the property revaluation and is recognised in other comprehensive income. This leaves £3,611 – £3,960 = £(349) to be credited to profit or loss (IAS 12.58).

11 XYZ

Liability for deferred tax required by the XYZ Group at 30 November 20X1

	Carrying amount £m	Tax base £m	Temporary differences £m	Rate %	XYZA/ (XYZA) £m
Goodwill (Note 1)	14	–	–		
Subsidiary (Note 1)	76	60	16	25	4
Inventories (Note 2)	24	30	(6)	25	(1.5)
Property, plant and equipment (Note 3)	2,600	1,920	680	30	204
Other temporary differences			90	30	27
Liability for healthcare benefits	(100)	0	(100)	30	(30)
Unrelieved tax losses (Note 4)			(100)	30	(30)
Property sold – tax due 30.11.20X4 (165/30%)			550	30	165
			1,130		*338.5
Deferred tax liability b/d (given)			280		
Deferred tax attributable to subsidiary to goodwill (from above)			4		
Deferred tax expense for the year charged to P/L (balance)			54.5		
Deferred tax liability c/d (from above)			*338.5		
*Deferred tax asset (1.5 + 30 + 30)			(61.5)		
Deferred tax liability (balance)			400		
			338.5		

Notes

1 As no deduction is available for the cost of goodwill in the subsidiary's tax jurisdiction, then the tax base of goodwill is zero. Paragraph 15(a) of IAS 12 states that XYZ Group should not recognise a deferred tax liability of the temporary difference associated with the goodwill. Goodwill will be increased by the amount of the deferred tax liability of the subsidiary ie, £4 million.

2 Unrealised group profit eliminated on consolidation is provided for at the receiving company's rate of tax (ie, at 25%).

3 The tax that would arise if the properties were disposed of at their revalued amounts which was provided at the beginning of the year will be included in the temporary difference arising on the property, plant and equipment at 30 November 20X1.

4 XYZ Group has unrelieved tax losses of £300 million. This will be available for offset against current year's profits (£110m) and against profits for the year ending 30 November 20X2 (£100m). Because of the uncertainty about the availability of taxable profits in 20X3, no deferred tax asset can be recognised for any losses which may be offset against this amount. Therefore, a deferred tax asset may be recognised for the losses to be offset against taxable profits in 20X2. That is £100 million × 30% ie, £30 million.

Comment

The deferred tax liability of XYZ Group will rise in total by £335.5 million (£338.5m – £3m), thus reducing net assets, distributable profits and post-tax earnings. The profit for the year will be reduced by £54.5 million which would probably be substantially more under IAS 12 than the old method of accounting for deferred tax. A prior period adjustment will occur of £280m – £3m as IAS are being applied for the first time (IFRS 1) ie, £277 million. The borrowing position of the company may be affected and the directors may decide to cut dividend payments. However, the amount of any unprovided deferred tax may have been disclosed under the previous GAAP standard used. IAS 12 brings this liability into the statement of financial position but if the bulk of the liability had already been disclosed the impact on the share price should be minimal.

Chapter 23

Financial statement analysis 1

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Users and user focus

2 Accounting ratios and relationships

3 Statements of cash flows and their interpretation

4 Economic events

5 Business issues

6 Accounting choices

7 Ethical issues

8 Industry analysis

9 Non-financial performance measures

10 Limitations of ratios and financial statement analysis

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Analyse and evaluate the performance, position, liquidity, efficiency and solvency of an entity through the use of ratios and similar forms of analysis including using quantitative and qualitative data
- Compare the performance and position of different entities allowing for inconsistencies in the recognition and measurement criteria in the financial statement information provided
- Evaluate the performance of an entity using accounting information in data analytics software using appropriate data analysis tools, including excel, to interpret and present conclusions
- Construct adjustments to reported earnings in order to determine underlying earnings and compare the performance of an entity over time
- Compare and appraise the significance of accruals basis and cash flow reporting

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**Users and user focus** The annual financial statements provide users with a comprehensive source of financial information about an entity. The financial statements are prepared in a conventionalised way. They provide substantial amounts of narrative and numerical information.	**Approach** So far your financial reporting studies have been focused on preparation of financial statements. The focus of the next two chapters changes to that of users. **Stop and think** From the Corporate Reporting standpoint, the most important users are investors and credit analysts.	The analysis and interpretation of financial statements is a significant portion of the Corporate Reporting examination and could account for approximately 10% of the total marks in an exam if the single-silo FR question is on financial analysis. You would not be asked to list the users in this section, but an understanding of their needs, particularly the needs of investors and credit analysts, should inform your financial analysis.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
2	**Accounting ratios and relationships** A key skill is to be able to analyse the information the financial statements provide so that past performance can be analysed and future performance predicted. In this section we look at the main accounting ratios and relationships that are important to users.	**Approach** Make sure you understand the purpose of and can calculate ratios relating to: • Performance • Short-term liquidity • Long-term solvency • Efficiency (asset and working capital) • Investors' (or stock market) ratios **Stop and think** Why should caution be exercised when using the current and quick ratios?	Questions will not give you a list of ratios to calculate. You may, as part of a longer scenario question, be required to analyse the performance of a potential acquisition target. You will probably be required to make adjustments to the figures, correcting the accounting treatment, before going on to do the analysis.	**IQ1 to 5** You should answer **all** these interactive questions. They are very short, and cover the main accounting ratios.
3	**Statements of cash flows and their interpretation** While most ratios follow accruals-based accounting, cash flow ratios are important too. This is because many businesses fail through lack of cash rather than lack of profits.	**Approach** Pay particular attention to cash from operating activities. If this is significantly lower than profit, this may indicate liquidity problems. Read through the paragraphs on the other cash flows, paying attention to which cash flows are discretionary and which are not. **Stop and think** Equity dividends paid are discretionary in theory, but in practice there may be considerable pressure to pay them.	The context where you might meet cash flow ratios could be a report to a bank as part of an application for a loan, as was required in a recent exam question.	**IQ10: Calculation of cash flow ratios** The title is self-explanatory – you are given a statement of cash flows and required to calculate six cash flow ratios.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
4	**Economic events** It is important in interpretation scenarios to take account of both economic factors affecting all businesses and the specific industry the business is operating in.	**Approach** This is a short section about the wider economic environment. **Stop and think** When considering the current state of the economy, the impact of the Covid- 19 pandemic will be considerable.	A financial analysis question might involve using IFRS 8, *Operating Segments,* which you met in an earlier chapter.	N/A
5	**Business issues** You may need to calculate a range of ratios and to provide some explanation for their movements from previous periods or their comparability to industry averages.	**Approach** The key point of this section is to compare like with like. If a business diversifies or acquires or disposes of a subsidiary, then year-on-year comparisons will be less meaningful. **Stop and think** Sometimes the figures need to be adjusted for the effect of a change to make them comparable.	An exam question might ask you to analyse the impact of an acquisition on key performance targets for the current and future year, as happened a few years ago.	**IQ11: The effect of business issues on financial reporting** Though shorter than an exam question, this is a useful exercise to get you thinking as you have to pick the IFRS® Standard yourself. Your answer may differ from the one in the chapter, but you would still get credit in an exam if you backed up your choice.
6	**Accounting choices** Management may be influenced in their choice of accounting policies and the judgement they make in determining accounting estimates by the way the information may affect a user's view of the business.	**Approach** There is not as much choice as there once was; choice is limited to three different areas: • Asset revaluation • Cost or fair value model for investment properties • Classification of financial assets	You may get an ethical dilemma, where an audit client wishes to change accounting policy in order to make the figures look better rather than because it provides more relevant and reliable information.	**IQ12: Asset revaluation** This question illustrates the impact on reported results and net assets of a choice to revalue.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		Stop and think How might different accounting policies affect the interpretation of financial statements?		
7	**Ethical issues** Ethical issues are an important part of the Corporate Reporting syllabus, as seen in the previous section.	**Approach** Look carefully at the reasons why management might try to improve the appearance of the financial information, and how they might try to do it. **Stop and think** What is meant by professional scepticism?	Ethical dilemmas may arise in an auditing context, where a client is motivated by a bonus to overstate profits.	**IQ13: Changing payment dates** Ethical issues are generally tested by narrative questions, but this one is numerical, and shows how the figures can be manipulated. **IQ14: Ethical pressures** This is a more typical question presenting several ethical dilemmas.
8	**Industry analysis** Analytical skills are essential in a wide range of work areas from audit planning to desk-top analysis of competitors and acquisition targets.	**Approach** This section is concerned with practical examples of specific industries. **Stop and think** Can you think of others?	Exam questions are set in a wide variety of industries. While specialised knowledge of any particular industry is not required, it does no harm to read the financial press and think about how they vary and why key performance indicators for one industry might not work for another.	N/A
9	**Non-financial performance measures** Non-financial performance measures, for example, sales volume, market share or target delivery times, are important	**Approach** Read through all of this section. **Stop and think** Increasingly companies provide information about environmental or diversity targets.	Non-financial performance measures are not tested as frequently as financial performance measures. However, they were examined in Question 1 in	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
	and ultimately feed into financial performance.		November 2015 and 2019.	
10	**Limitations of ratios and financial statement analysis** It is important that you understand the limitations of ratio analysis.	**Approach** Read through this list and reflect on how the various issues covered in this chapter will impact upon how you interpret financial information. **Stop and think** Despite increasingly specific IFRS, there is still scope for interpretation and 'creative accounting', which we look at in the next Chapter.	You are more likely to be asked to explain the limitations of a specific financial analysis than in general terms.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Users and user focus

Section overview

- Different groups of users of financial statements will have different information needs.
- The focus of an investigation of a business will be different for each user group.

1.1 Information needs

You have covered external users and their information needs in your Professional Level studies and they were touched on again in earlier Chapters of this Workbook. The following table summarises the main groups of users of financial statements and the information they need.

Users	Need information to:
Present and potential investors	Make investment decisions, therefore need information on the following: • Risk and return on investment • Ability of entity to pay dividends
Employees	• Assess their employer's stability and profitability • Assess their employer's ability to provide remuneration, employment opportunities and retirement and other benefits
Lenders	Assess whether loans will be repaid, and related interest will be paid, when due
Suppliers and other trade creditors	Assess the likelihood of being paid when due
Customers	• Assess whether the entity will continue in existence – important where customers have a long-term involvement with, or are dependent on, the entity, for example where there are product warranties or where specialist parts may be needed • Assess whether business practices are ethical
Governments and their agencies	• Assess allocation of resources and, therefore, activities of entities • Help with regulating activities • Assess taxation • Provide a basis for national statistics
The public	Assess trends and recent developments in the entity's prosperity and its activities – important where the entity makes a substantial contribution to a local economy, for example by providing employment and using local suppliers

An entity's management also needs to understand and interpret financial information, both as a basis for making management decisions and also to help in understanding how external users might react to the information in the financial statements.

1.2 User focus

The primary focus of users of the financial statements differs according to their interests. Examples are as follows:

(a) Customers and suppliers are most interested in current liquidity, but also focus on overall pre-tax profitability and net worth of the business in their evaluation of likely future liquidity.

(b) Lenders focus on liquidity, longer-term solvency and ability to service and repay debts.

(c) Shareholders' main concern is with risk and return. They therefore focus mainly on gearing and dividend cover to measure the risk, and on post-tax returns and the overall net worth of the business to measure return. However, they are also interested in solvency, as they will be the first to lose out in the event that the company runs into financial difficulties. Finally, shareholders are interested in liquidity, as this affects the security of their dividends.

1.3 User focus: Corporate Reporting

We will consider all types of users in our studies of financial analysis. However, in the context of Corporate Reporting, the main standpoints are those of:

- investor (or potential investor)
- credit analyst

1.3.1 Investor

An investor uses financial analysis to determine whether an entity is stable, solvent, liquid, or profitable enough to be invested in. When looking at a specific company, the financial analyst will often focus on the statement of profit or loss and other comprehensive income, the statement of financial position and the statement of cash flows.

In addition, certain accounting ratios are more relevant to investors than to other users. These are discussed in section 2.7.

One key area of financial analysis involves extrapolating the company's past performance into an estimate of the company's future performance.

1.3.2 Credit analyst

A credit analyst may have a similar perspective to a lender, although he/she may be advising a lender rather than doing the lending. As the name suggests, credit analysts are experts in evaluating the creditworthiness of individuals and businesses. They determine the likelihood that a borrower will be able to meet financial obligations and pay back a loan, often by reviewing the borrower's financial history and determining whether market conditions will be conducive to repayment.

Credit analysts are likely to use ratios, including cash flow ratios (see section 3.2) when reviewing the financial history of a potential borrower. They focus on determining whether the borrower will have sufficient cash flows by comparing ratios to industry standards, other borrowers and historical trends.



Professional skills focus: Concluding, recommending and communicating

Information needs to be tailored to the user. If information is provided that is not relevant to the user's needs, it can obscure the information that is relevant.

1.4 Financial position and performance

Different users usually require different information. However, there is overlap, as all potential users are interested in the financial performance and financial position of the company as a whole.

The next section examines how accounting ratios can be used to help assess financial performance and position. The additional perspective provided by analysis of the statement of cash flows is covered later in this chapter.

2 Accounting ratios and relationships



Section overview

- Ratios are commonly classified into different groups according to the focus of the investigation.
- Ratios can help in assessing performance, short-term liquidity, long-term solvency, efficiency and investor returns.

2.1 Introduction to ratios

Accounting ratios help to summarise and present financial information in a more understandable form. They help with assessing the performance of a business by identifying significant relationships between different figures. The term 'accounting ratios' is used loosely, to cover the outcome of different types of calculation; some ratios measure one amount as a ratio of another (such as 2:1) whereas others measure it as a percentage of the other (such as 200%).

Ratios are of no use in isolation. To be useful, a basis for comparison is needed, such as the following:

- Previous years
- Other companies
- Industry averages
- Budgeted or forecast vs actual

Ratios do not provide answers but help to focus attention on important areas, therefore minimising the chance of failing to identify a significant trend or weakness.

Ratios divide into the following main areas:

- Performance
- Short-term liquidity
- Long-term solvency
- Efficiency (asset and working capital)
- Investors' (or stock market) ratios

2.1.1 Which figures to use?

Many accounting ratios are calculated using one figure from the statement of profit or loss and other comprehensive income (which covers a period of time, usually a year) and one from the statement of financial position (which is a snapshot at a point in time, usually the year end). The result may be distorted if the statement of financial position (snapshot) amounts are not typical

of the amounts throughout the period covered by the statement of profit or loss and other comprehensive income.

Consider a toy retailer with a 31 December year end: over half its annual sales may well be made in the three months leading up to Christmas, while its inventory levels at 31 December will probably be at their lowest point throughout the year, and certainly much lower than at their highest point which might be some time in October in the run up to Christmas. To calculate a relationship between cost of sales for 12 months and the 31 December level of inventories and then use it as a measure of management's efficiency in managing inventory levels (as does the inventory turnover ratio in section 2.5.2 below) runs the risk of a major distortion. The calculation should really be done using the statement of profit or loss and other comprehensive income amount and the average inventory holding throughout the year, calculating the average every month or more frequently.

But monthly statement of financial position amounts are not made available to financial statement users. Sometimes half-yearly (or quarterly) statements of financial position are published, in which case they may well result in useful averages. But averaging the amounts at the current year end and the previous year end may well be no better than just using current year-end amounts, since the result may only be to average two unrepresentative amounts.



Professional skills focus: Assimilating and using information

In approaching financial analysis questions, and interpretation of financial statements in real life, you will be faced with a great deal of information. It is particularly important to sift out the key information – for example, a company that is expanding may benefit from analysis of ratios relating to cash flow.

2.2 Performance

2.2.1 Significance

Performance ratios measure the rate of return earned on capital employed, and analyse this into profit margins and use of assets. These ratios are frequently used as the basis for assessing management effectiveness in utilising the resources under their control.

2.2.2 Key ratios

Return on capital employed (ROCE)

This measures the overall efficiency of a company in employing the resources available to it; that is, its capital employed.

(Return ÷ Capital employed) × 100

(Source: SPLOCI ÷ Source: SFP)
where: Return = profit before interest and tax (PBIT) + associates' post-tax earnings

Capital employed = equity + net debt, where net debt = interest-bearing debt (non-current and current) minus cash and cash equivalents

Remember:

- Equity includes irredeemable preference shares and the non-controlling interests.
- Net debt includes redeemable preference shares.

Many different versions of this ratio are used but all are based on the same idea: identify the long- term resources available to a company's management and then measure the financial return earned on those resources.

In the version used in this Workbook, the total resources available to a company are the amounts owed to shareholders who receive dividends, plus the amounts owed to those who provide finance only on the condition that they receive interest in return. So interest-bearing debt, both long term and short term (for example bank overdrafts), are included but trade payables (which are an interest- free source of finance) are not. But to cope with companies which move from one month to another between positive and overdrawn bank balances, holdings of cash and cash equivalents (but not any other 'cash' current assets which management does not describe as cash equivalents) are netted off, to arrive at 'net debt'.

The return is the amount earned before deducting any payments to those who provide the capital employed. So it is the profits before both dividends and interest payable. Because interest is tax- deductible, the profit figure is also before taxation. The PBIT (profit before interest and tax) tag is well established term which is used in ratio calculations although in the statement of profit or loss and other comprehensive income layout used in this Workbook the description given to this figure is 'profit/(loss) from operations'.

To allow valid comparisons to be made with other companies, the return must also include the earnings from investments in associates, because some groups carry out large parts of their activities through associates, rather than the parent or subsidiaries.

Strictly speaking, it is the associates' pre-tax earnings which should be included, but under IAS 28 only the post-tax amount is shown. In practice, some users adjust this figure using an estimated tax rate for the associates to establish a pre-tax return.

Like profit, capital employed is affected by the accounting policies chosen by a company. For example, a company that revalues its PPE will have higher capital employed than one which does not. The depreciation expense will be higher and profits will be reduced as a result of the policy. The accounting adjustments will reduce ROCE.

Return on shareholders' funds (ROSF)

This measures how effectively a company is employing funds that parent company shareholders have provided.

Profit attributable to owners of a parent ÷ Equity minus non-controlling interest (Source:

SPLOCI ÷ Source: SFP)

It is the return on the funds provided by the parent company's shareholders that is being analysed here, so it is their equity which goes on the bottom of the fraction. This is the equity used in the ROCE calculation minus the non-controlling interest.

The return is the profit for the year attributable to those shareholders.

Analysis usually focuses on ROCE, as opposed to ROSF, because the issue is management's ability to generate return from overall resources rather than how those resources are financed.



Worked example: Calculating ROCE and ROSF

Consider two companies without subsidiaries in the same industry with different capital structures:

	Company 1 £m	Company 2 £m
Statement of financial position		
Equity (A)	80	20
Loans at 10%	20	80
Capital employed (B)	100	100

Statement of profit or loss and other comprehensive income

PBIT (C)	20	20
Loan interest at 10%	(2)	(8)
Profit before tax	18	12
Tax at 30%	(5)	(4)
Profit after tax (for owners) (D)	13	8

Solution ROCE/ROSF

	Company 1	Company 2
	%	%
ROCE (C) as % of (B)	20	20
ROSF (D) as % of (A)	16	40

ROCE is the same, so the companies are equally good in generating profits. But with different capital structures, ROSF is very different.

If it wished, Company 1 could achieve the same capital structure (and therefore the same ROSF) by borrowing £60 million and using it to repay shareholders.

It is often easier to change capital structures than to change a company's ability to generate profits. Hence the focus on ROCE.

Note that Company 2 has much higher gearing and lower interest cover (these ratios are covered later in this chapter).



Interactive question 1: ROCE and ROSF

Name five considerations that you should consider when drawing conclusions from ROCE and ROSF calculations.

ROCE and ROSF

(1)	
(2)	
(3)	
(4)	
(5)	

See **Answer** at the end of this chapter.

Gross profit percentage/margin

This measures the margin earned by a company on revenue, before taking account of overhead costs.

(Gross profits ÷ revenue) × 100

(Source: SPLOCI ÷ Source: SPLOCI)

Interactive question 2: Gross profit percentage

List four possible reasons for changes in the year-on-year gross profit percentage.

Gross profit percentage

(1)	
(2)	
(3)	
(4)	

See **Answer** at the end of this chapter.

Operating cost percentage

This measures the relationship of overheads (fixed and variable, which usually comprise distribution costs and administrative expenses) to revenue.

(Operating costs/overheads ÷ Revenue) × 100

(Source: SPLOCI ÷ Source: SPLOCI)

Ideally this should be broken into variable overheads (expected to change with revenue) and fixed overheads. However, such information is not usually published in financial statements.

Interactive question 3: Operating cost percentage

List two considerations that could account for changes in the operating cost percentage.

Operating cost percentage

(1)	
(2)	

See **Answer** at the end of this chapter.

Operating profit margin/net margin

This shows the profit margin after all operating expenses.

(PBIT ÷ Revenue) × 100 or (Profit from operations ÷ Revenue) × 100

(Source: SPLOCI ÷ Source: SPLOCI)

2.2.3 Commentary

ROCE measures the return achieved by management from assets that they control, before payments to providers of financing for those assets (lenders and shareholders).

For companies without associates, ROCE can be further subdivided into net profit margin and asset turnover (use of assets).

(Net profit margin × Net asset turnover) = ROCE

(PBIT ÷ Revenue) × (Revenue ÷ Capital employed) = (PBIT ÷ Capital employed)

(Source: SPLOCI ÷ Source: SPLOCI), (Source: SPLOCI ÷ Source: SFP), (Source: SPLOCI ÷ Source: SFP) This subdivision is useful when comparing a company's performance from one period to another.

While ROCE might be identical for the two periods, there might be compensating changes in the two components; that is, an improvement in margin might be offset by a deterioration in asset utilisation. The subdivision might be equally useful when comparing the performance of two companies in the same period.

Although associates' earnings are omitted, it will probably be worth making this subdivision even for groups with earnings from associates, unless those earnings are very substantial indeed.

Net profit margin is often seen as a measure of quality of profits. A high profit margin indicates a high profit on each unit sold. This ratio can be used as a measure of the risk in the business, since a high margin business may remain profitable after a fall in margin while a low margin business may not.



Context example: Net profit margin

Two companies with a revenue of £200 have net profit margins of 30% and 4%. If each company discounts their sale prices by 5%, compute revised net profit margins.

	Base	5% price discount	Revised
Company 1	**£**	**£**	**£**
Revenue	200	(10)	190
Costs	(140)		(140)
Profit	60	(10)	50
Net profit margin	30%		26%
	Base	**5% price discount**	**Revised**
Company 2	**£**	**£**	**£**
Revenue	200	(10)	190
Costs	(192)		(192)
Profit	8	(10)	(2)
Net profit margin	4%		–1%

By contrast, net asset turnover (considered further under efficiency ratios in section 2.5.2 below) is often seen as a quantitative measure, indicating how intensively the management is using the assets.

A trade-off often exists between margin and net asset turnover. Low margin businesses, for example food retailers, usually have high asset turnover. Conversely, capital-intensive manufacturing industries usually have relatively low asset turnover but higher margins, for example electrical equipment manufacturers.

Gross profit is useful for comparing the profitability of different companies in the same sector but less useful across different types of business, as the split of costs between cost of sales and other expense headings varies widely according to the nature of the business. Even within companies competing within the same industry distortions can be caused if companies allocate individual costs to different cost headings.

Particular care must be taken when calculating, and then considering the implications of, these ratios if the company concerned is presenting both continuing and discontinued operations. In the statement of profit or loss and other comprehensive income layout used in this Workbook, the amounts for revenue, gross profit, operating costs and profit from operations all relate to continuing operations only. Although amounts relating to the discontinued operations' revenue, total costs and profit from operations are made available in the notes, it is probably not worth adding them back into the continuing operations' amounts, for the simple reason that the results of continuing operations form the most appropriate base on which to project future performance.

2.3 Short-term liquidity

2.3.1 Significance

Short-term liquidity ratios are used to assess a company's ability to meet payments when due. In practice, information contained in the statement of cash flows is often more useful when analysing liquidity.

2.3.2 Key ratios

Current ratio

This measures the adequacy of current assets to cover current liabilities. (Current assets ÷ Current liabilities) (usually expressed as X:1)

(Source: SFP ÷ Source: SFP)

Quick (acid test or liquidity) ratio

Inventories, often rather slow moving, are eliminated from current assets, giving a better measure of short-term liquidity. This is appropriate for those types of business that take significant time to convert inventories into cash, such as an aircraft manufacturer.

((Current assets – inventories) ÷ Current liabilities) (usually expressed as X:1)

(Source: SFP ÷ Source: SFP)



Interactive question 4: Current and quick ratios

Suggest a conclusion that may be drawn from high and low current and quick ratios.

What factors should be considered when investigating changes in short-term liquidity ratios?

See **Answer** at the end of this chapter.

2.3.3 Commentary

The current ratio is of limited use as some current assets, for example inventories, may not be readily convertible into cash, other than at a large discount. Hence, this ratio may not indicate whether or not the company can pay its debts as they fall due.

As the quick ratio omits inventories, this is a better indicator of liquidity but is subject to distortions. For example, retailers have few trade receivables and use cash from sales quickly, but finance their inventories from trade payables. Hence, their quick ratios are usually low, but this is in itself no cause for concern.

A high current or quick ratio may be due to a company having excessive amounts of cash or short- term investments. Though these resources are highly liquid, the trade-off for this liquidity is usually a low return. Hence, companies with excessive cash balances may benefit from using them to repay longer-term debt or invest in non-current assets to improve their overall returns.

Therefore, both the current and quick ratios should be treated with caution and should be read in conjunction with other information, such as efficiency ratios and cash flow information.

In the statement of financial position layout used in this Workbook, any non-current assets held for sale will be presented immediately below the subtotal for current assets. In classifying them as held for sale, the company is intending to realise them for cash, so it will usually be appropriate to combine this amount with current assets when calculating both the current and quick ratios.

2.4 Long-term solvency

2.4.1 Significance

Gearing ratios examine the financing structure of a business. They indicate to shareholders and lenders the degree of risk attached to the company and the sensitivity of earnings and dividends to changes in profitability level.

2.4.2 Key ratios

Gearing ratio

Gearing measures the relationship between a company's borrowings and its risk capital. (Net debt (per ROCE) ÷ Equity (per ROCE)) × 100

(Source: SFP ÷ Source: SFP)

Alternatively, the ratio may be computed as follows:

(Net debt ÷ (Net debt + Equity)) × 100



Context example: Gearing

The following are the summarised statements of financial position for two companies. Calculate the gearing ratios and comment on each.

	Company 1 £m	Company 2 £m
Non-current assets	7	18
Inventory	3	3
Trade receivables	4	3
Cash	1	2
	15	26
Equity	10	10
Trade payables	3	4
Borrowings	2	12
	15	26
Gearing = Net debt ÷ Equity	10% ((2 – 1) ÷ 10)	100% ((12 – 2) ÷ 10)

Both companies have the same equity amount. Company 1 is lower risk, as its borrowings are lower relative to equity. This is because interest on borrowings and capital repayments of debt **must** be paid, with potentially serious repercussions if they are not. Dividend payments on equity instruments are an optional cash outflow for a business.

Company 2 has a high level of financial risk. If the borrowings were secured on the non-current assets, then the assets available to shareholders in the event of a winding up are limited.

Interactive question 5: Gearing

When drawing conclusions from gearing ratios suggest two matters that should be considered.

Gearing

(1)	
(2)	

See **Answer** at the end of this chapter.

Interest cover

Profit before interest payable (ie, PBIT + investment income) ÷ Interest payable

(Source: SPLOCI ÷ Source: SPLOCI)

In calculating this ratio, it is standard practice to add back into interest any interest capitalised during the period.

2.4.3 Commentary

Many different measures of gearing are used in practice, so it is especially important that the ratios used are defined.

Note that under IAS 32, *Financial Instruments: Presentation* redeemable preference shares should be included in liabilities (non-current or current, depending on when they fall due for redemption), while the dividends on these shares should be included in the finance cost/interest payable.

It is also the case that IAS 32 requires compound financial instruments, such as convertible loans, to be split into their components for accounting purposes. This process allocates some of such loans to equity.

Notes

1. Interest on debt capital generally must be paid irrespective of whether profits are earned – this may cause a liquidity crisis if a company is unable to meet its debt capital obligations.
2. Loan capital is usually secured on assets, most commonly non-current assets – these should be suitable for the purpose (not fast-depreciating or subject to rapid changes in demand and price).

High gearing usually indicates increased risk for shareholders as, if profits fall, debts will still need to be financed, leaving much smaller profits available to shareholders. Highly geared businesses are therefore more exposed to insolvency in an economic downturn. However, returns to shareholders will grow proportionately more in highly geared businesses where profits are growing.

The gearing ratio is significantly affected by accounting policies adopted, particularly the revaluation of PPE. An upward revaluation will increase equity and capital employed. Consequently it will reduce gearing.

Context example: Impact of gearing on earnings

A company has an annual profit before interest of £200. Its interest on non-current debt is fixed at £100 per annum.

Consider the effects on net profits if the profits before interest were to decrease or increase by £100 per annum.

	(1)	(2)	(3)
	£	£	£
Profit before interest	200	100	300
Interest on non-current debt	(100)	(100)	(100)
Profit available to shareholders (earnings)	100	-	200
Compared to situation (1):			
Change in profits before interest		–50%	+50%
Change in earnings		–100%	+100%

Note: The above example could benefit from using excel, particularly if more figures were involved which did not change.

Low gearing provides scope to increase borrowings when potentially profitable projects are available. Low-geared companies will usually be able to borrow more easily and cheaply than already highly geared companies.

However, gearing can be too low. Equity finance is often more expensive in the long run than debt finance, because equity is usually seen as being more risky. Therefore an ungeared company may benefit from adjusting its financing to include some (usually cheaper) debt, thus reducing its overall cost of capital.

Gearing is also significant to lenders, as they are likely to charge higher interest, and be less willing to lend, to companies which are already highly geared, due to the increased default risk.

Interest payments are allowable for tax purposes, whereas dividends are not. This is another attraction of debt.

Interest cover indicates the ability of a company to pay interest out of profits generated. Relatively low interest cover indicates that a company may have difficulty financing the running costs of its debts if its profits fall, and also indicates to shareholders that their dividends are at risk, as interest must be paid first, even if profits fall.

2.5 Efficiency

2.5.1 Significance

Asset turnover and the working capital ratios are important indicators of management's effectiveness in running the business efficiently, as for a given level of activity it is most profitable to minimise the level of overall capital employed and the working capital employed in the business.

2.5.2 Key ratios

Net asset turnover

This measures the efficiency of revenue generation in relation to the overall resources of the business. As the amount of net assets equals the amount of capital employed and as capital employed is used in the ROCE calculation, it is easiest to calculate net asset turnover as:

Revenue ÷ Capital employed

(Source: SPLOCI ÷ Source: SFP)

Note that net asset turnover can be further subdivided by separating out the non-current asset element to give non-current asset turnover:

Revenue ÷ Non-current assets

(Source: SPLOCI ÷ Source: SFP)

This relates the revenue to the non-current assets employed in producing that revenue.

Asset turnover is sometimes known as 'sweating the assets'. It is a reference to management's ability to maximise the output from each £ of capital that the company uses within the business.

Inventory turnover

The inventory turnover ratio measures the efficiency of managing inventory levels relative to demand. A business needs inventory to meet the needs of customers, but inventories are not generating revenues until they are physically sold, and tie up capital during this period. Like all management decisions, a delicate path has to be followed between keeping too much and too little inventory.

Cost of sales ÷ Inventories
(Source: SPLOCI ÷ Source: SFP)
(= number of times inventories are turned over each year – usually the higher the better)
or
(Inventories ÷ Cost of sales) × 365

(= number of days on average that an item is in inventories before it is sold – usually the lower the better)

Ideally the three components of inventories should be considered separately:

- Raw material to volume of purchases
- WIP to cost of production
- Finished goods to cost of sales

Interactive question 6: Inventory turnover

State two implications of high and low inventory turnover rates.

Inventory turnover

(1)	
(2)	

See **Answer** at the end of this chapter.

Professional skills focus: Applying judgement

Judgement is needed in deciding which ratios to calculate and also to understand their implications. As well as the industry in which the business operates, there are other factors such as the state of the economy which may make comparisons difficult.

Trade receivables collection period

This measures in days the period of credit taken by the company's customers. (Trade receivables ÷ Revenue) × 365

(Source: SFP ÷ Source: SPLOCI)

To obtain a full picture of receivables collection, it is best to exclude from the revenue figure any cash sales, since they do not generate receivables. This may be difficult, because published financial statements do not distinguish between cash and credit sales. Strictly speaking, VAT should be removed from receivables (revenue excludes VAT), but such adjustments are rarely made in practice.



Interactive question 7: Trade receivables collection period Suggest three matters that a change in the ratio could indicate. **Trade receivables collection period**

(1)	
(2)	
(3)	

See **Answer** at the end of this chapter.

Trade payables payment period

This measures the number of days' credit taken by the company from suppliers. (Trade payables ÷ Credit purchases) × 365

(Source: SFP ÷ Source: SPLOCI)

This should be broadly similar to the trade receivables collection period, where a business makes most sales and most purchases on credit. If no figures are available for credit purchases, use cost of sales.



Interactive question 8: Trade payables payment period

Suggest two matters that a high and increasing trade payables payment period may indicate.

Trade payables payment period

(1)	
(2)	

See **Answer** at the end of this chapter.

Working capital cycle/cash operating cycle

These last three ratios are often brought together in the working capital cycle (alternatively the cash operating cycle), calculated as inventory days plus trade receivables collection period minus trade payables payment period.

Any increase in the total working capital cycle may indicate inefficient management of the components of working capital.

2.5.3 Commentary

Net asset turnover enables useful comparisons to be made between businesses in terms of the extent to which they work their assets hard in the generation of revenue.

Inventory turnover, trade receivables collection period and trade payables payment period give an indication of whether a business is able to generate cash as fast as it uses it. They also provide useful comparisons between businesses, for example on effectiveness in collecting debts and controlling inventory levels.

Efficiency ratios are often an indicator of looming liquidity problems or loss of management control. For example, an increase in the trade receivables collection period may indicate loss of credit control. Declining inventory turnover may suggest poor buying decisions or misjudgement of the market. An increasing trade payables payment period suggests that the company may be having difficulty paying its suppliers; if they withdraw credit, a collapse may be precipitated by the lack of new supplies.

If an expanding business has a positive working capital cycle, it will need to fund this extra capital requirement, from retained earnings, an equity issue or increased borrowings. If a business has a negative working capital cycle, its suppliers are effectively providing funding on an interest-free basis.

As with all ratios, care is needed in interpreting efficiency ratios. For example, an increasing trade payables payment period may indicate that the company is making better use of its available credit facilities by taking trade credit where available. Therefore, efficiency ratios should be considered together with solvency and cash flow information.

2.6 Non-current asset analysis

Analysts of financial statements use the information provided to understand future performance. For capital-intensive companies it is essential that they understand the capital expenditure policies and efficiency of non-current assets.

2.6.1 Capital expenditure to depreciation

Capital expenditure (additions) ÷ Depreciation

This ratio highlights whether a company is expanding its non-current assets. A ratio below one would indicate that it is not even maintaining its operating capacity. A ratio in excess of one would indicate that the company is expanding operating capacity. But PPE price changes should be taken into account: if they are rising, a ratio of more than one may still indicate a reduction in capacity, unless significant operating efficiencies are being generated from the new assets.

This ratio should include all additions, including those acquired under leases.

It is often helpful to review this ratio over a number of years to identify trends. In the short-term, capital expenditure can be discretionary.

2.6.2 Ageing of non-current assets

Accumulated depreciation ÷ Gross carrying amount of non-current assets

This ratio identifies the proportion of the useful life of PPE that has expired. It should be calculated for each class of PPE. It helps identify:

- assets that are nearing the end of their useful life that may be operating less efficiently or may require significant maintenance; and
- the need to invest in new PPE in the near term.

Obviously both of these ratios are influenced by the depreciation policies adopted by management.



Worked example: Capital expenditure

The following is an extract from the financial statements of Raport Ltd for the year ended 31 December 20X4.

Note 1	Plant and equipment £'000
Cost	
At 1 January 20X4	2,757
Additions	137
Disposals	(94)
At 31 December 20X4	2,800
Accumulated depreciation	
At 1 January 20X4	1,922
Depreciation	302
Disposals	(60)
At 31 December 20X4	2,164
Carrying amount 1 January 20X4	835
Carrying amount 31 December 20X4	636

Note 2	20X4 £'000	20X3 £'000
Profit from operations is stated after charging		
Depreciation	302	289
Loss on disposal of plant and equipment	25	32

Requirement

Provide an analysis of the plant and equipment of Raport Ltd.

Solution

Analysis as follows:

- Capital expenditure represents 45% ((137 ÷ 302) × 100%) of the depreciation expense for the year. This suggests that management is not maintaining capacity.
- Accumulated depreciation represents 77% ((2,164 ÷ 2,800) × 100%) of the cost of the assets.

This has increased from 70% ((1,922 ÷ 2,757) × 100%) in the previous year.

This confirms that plant and equipment is ageing without replacement. On average the plant and equipment is entering the last quarter of its useful life. This could indicate that the plant is becoming less efficient.

- The accounting policies should be reviewed, because the losses on disposal could indicate that depreciation rates are too low and that useful lives have been overestimated. This would confirm that the plant and equipment is aged and raise further concerns about its renewal and efficiency.

2.7 Investors' ratios

2.7.1 Significance

Different investors' ratios (also known as stock market ratios) help different investors:

- Price/earnings ratio will be important to those investors looking for capital growth.
- Dividend yield, dividend cover and dividends per share will be important to those investors seeking income.

Because all economic decisions relate to the future, not the past, investors should ideally use forecast information. In practice only historical figures are usually available from financial statements, but investment analysts devote substantial amounts of time to making estimates of future earnings and dividends which they publish to their clients.

Investors' ratios are only meaningful for quoted companies as they usually relate, directly or indirectly, to the share price.

2.7.2 Key ratios

Dividend yield

(Dividend per share ÷ Current market price per share) × 100

The market price per share is a forward-looking value, since a buyer of a share buys into the future, not past, performance of the company. So the most up to date amount for the dividend per share needs to be used; using information in financial statements, the total dividend will be the interim for the year recognised in the statement of changes in equity plus the final for the year disclosed in the notes to the accounts.

Dividend yield may be more influenced by dividend policy than by financial performance. A high yield based on recent dividends and the current share price may come about because the share price has fallen in anticipation of a future dividend cut. Rapidly growing companies may exhibit low yields based on historical dividends, especially if the current share price reflects anticipated future growth, because such companies often retain cash in the business, through low dividends, to finance that growth.

Dividend cover

Earnings per share ÷ Dividend per share

A quoted company is required by IAS 33, *Earnings per Share* to disclose an amount for its earnings per share (EPS).

The dividend cover ratio shows the extent to which a current dividend is covered by current earnings. It is an indication of how secure dividends are, because a dividend cover of less than one indicates that the company is relying to some extent on its retained profits, a policy that is not sustainable in the long term.

Price/earnings (P/E) ratio

Current market price per share ÷ Earnings per share

The P/E ratio is used to indicate whether shares appear expensive or cheap in terms of how many years of current earnings investors are prepared to pay for. The P/E ratio is often used to compare companies within a sector, and is published widely in the financial press for this purpose.

A high P/E ratio calculated on historical earnings usually indicates that investors expect significant future earnings growth and hence are prepared to pay a large multiple of historical earnings. (Remember that the share price takes into account market expectations of **future** profits, whereas EPS is based on **past** levels of profit.) Low P/E ratios often indicate that investors consider growth prospects to be poor.

Net asset value

Net assets (equity attributable to owners of parent company) ÷ Number of ordinary shares in issue.

This calculation results in an approximation to the amount shareholders would receive if the company were put into liquidation and all the assets were realised for, and all the liabilities were paid off at, their statement of financial position amounts. In theory it is the amount below which the share price should never fall because, if it did, someone would acquire all the shares, liquidate the company and take a profit through distributions totalling the net asset value.

But the statement of financial position does not measure non-current assets at realisable value (many would sell for less than their carrying amount but some, such as freehold and leasehold properties, might realise more) and additional liabilities, such as staff redundancy payments and liquidation fees, would need to be recognised. But there might be cash inflows on liquidation relating to items such as intangible assets, which can be sold but were not recognised in the statement of financial position because they did not meet the recognition requirements.

So net asset value is only an approximation to true liquidation values, but it is still widely regarded as a solid underpinning to the share price.

2.8 Other indicators

Ratios are a key tool of analysis but other sources of information and comparisons are also available.

2.8.1 Absolute comparisons

Absolute comparisons can provide information without computing ratios, for example comparing statement of financial position or statement of profit or loss and other comprehensive income amounts between this year and last and identifying changes.

Such comparisons may help to explain changes in ratios; if, for example, the statement of financial position shows that new shares have been issued to repay borrowings or finance new investment, this may explain a change in gearing and ROCE.

2.8.2 Background information

Background information supplied about the nature of the business may help to explain changes or trends, for example you may be told that the business has made an acquisition, disposal or entered a new market. The type of business itself has a major impact on the information presented in the financial statements.

2.8.3 Cash flow information

The statement of cash flows provides information as to how a business has generated and used cash so that users can obtain a fuller picture of liquidity and changes in financial position. Interpretation of cash flow information is covered in the next section.



Interactive question 9: Calculations

Now try this comprehensive example to practise the calculation of various ratios that could be required in the examination.

Ltd Group

Summarised consolidated statement of financial position at 31 December 20X1

	£	£
Non-current assets		2,600
	£	£
Current assets		
Inventories	600	
Trade receivables	900	
Investments	40	
Cash and cash equivalents	60	
		1,600
		4,200

Equity		
Ordinary share capital (£1)		1,000
Retained earnings		650
Attributable to owners of Ltd		1,650
Non-controlling interest		150
Equity		1,800
Non-current liabilities Borrowings	1,400	
Redeemable preference shares	200	
Current liabilities		1,600
Trade payables	750	
Bank overdraft	50	
		800
		4,200

Summarised consolidated statement of profit or loss and other comprehensive income for the year ended 31 December 20X1

	£	£
Revenue		6,000
Cost of sales		(4,000)
Gross profit		2,000
Operating expenses		(1,660)
Profit from operations		340
Interest on borrowings	(74)	
Preference share dividend	(10)	
		(84)
Income from investments		5
Profit before tax		261
Tax		(106)
Profit after tax		155
	£	**£**
Attributable to:		
Owners of Ltd	140	
Non-controlling interest		15
		155

Requirement

Calculate the ratios applicable to Ltd.

Calculations

(1) **Return on capital employed (ROCE)**		
	=	
(2) **Return on shareholders' funds (ROSF)**		
	=	
(3) **Gross profit %**		
	=	
(4) **Net profit margin**		
	=	
(5) **Net asset turnover**		
	=	
(6) **Proof of ROCE**		
ROCE	= Net profit margin	× Net asset turnover
	=	×
(7) **Non-current asset turnover**		
	=	
(8) **Current ratio**		
	=	
(9) **Quick ratio**		
	=	
(10) **Inventory turnover**		
	=	
(11) **Inventory days**		
	=	
(12) **Trade receivables collection period**		
	=	
(13) **Trade payables payment period**		
	=	
(14) **Gearing**		
	=	
(15) **Interest cover**		
	=	

See **Answer** at the end of this chapter.

Note: In an exam it is unlikely you will only be calculating ratios and more likely that you will be putting through adjustments which then alter a significant ratio; for example, gearing when applying for a bank loan. Excel file can be useful here – you need only set the calculation up once and can then copy the formula (relatively) for a comparative year or company. You can also set up the ratio formulae to copy from your adjusted figures.

3 Statements of cash flows and their interpretation



Section overview

- The analysis of the statement of cash flows is essential to an understanding of business performance and liquidity of individual companies and groups.
- Cash flow ratios provide crucial information as a part of financial statement analysis.

The ratios examined so far relate to information presented in the statement of financial position and statement of profit or loss and other comprehensive income. The statement of cash flows provides valuable additional information, which facilitates more in-depth analysis of the financial statements.

The importance of the statement of cash flows lies in the fact that businesses fail through lack of cash, not lack of profits:

(a) A profitable but expanding business is likely to find that its inventories and trade receivables rise more quickly than its trade payables (which provide interest-free finance). Without adequate financing for its working capital, such a business may find itself unable to pay its debts as they fall due.

(b) An unprofitable but contracting business may still generate cash. If, for example, a statement of profit or loss and other comprehensive income is weighed down with depreciation charges on non-current assets but the business is not investing in any new non-current assets, capital expenditure will be less than book depreciation.

IAS 7, *Statement of Cash Flows* therefore requires the provision of information about changes in the cash and cash equivalents of an entity, as a basis for the assessment of the entity's ability to generate cash inflows in the future and its needs to use such cash flows. Cash flow information, when taken with the rest of the financial statements, helps the assessment of:

- changes in net assets
- financial structure
- ability to affect timing and amount of cash flows

Cash flow information also facilitates comparisons between entities, because it is unaffected by different accounting policies – to this extent it is often regarded as more objective than accrual-based information.

3.1 Types of cash flow

3.1.1 Operating activities

Operating cash flows may be compared with profit from operations. The extent to which profits are matched by strong cash flows is an indication of the quality of profit from operations in that, while profit from operations represents the earnings surplus available for dividend distribution, operating cash flows represents the cash surplus generated from trading, which the company can then use for other purposes.

However, caution is required where there are significant non-current assets, because depreciation is included in operating profit, but not operating cash flow. Depreciation could therefore be excluded from operating profit for comparison with cash flows, as the cash flows for non-current asset replacement are presented under investing, not operating, activities.

If operating cash flows are significantly lower than profit from operations, this may indicate that the company is in danger of running out of cash and encountering liquidity problems. In such cases, particular attention needs to be paid to the liquidity and efficiency ratios.

Significant operating cash outflows are unsustainable in the long run. If operating cash flow is negative, this needs to be investigated. Possible reasons include the following:

(a) Building up inventory levels due to expansion of the business, which tends to increase cash paid to suppliers but does not produce profit from operations because costs are included in inventories

(b) Declining revenue or reduced margins

Rapid expansion of a business is often associated with operating cash outflows. In the short term, this need not be a problem provided that sufficient finance is available.

Payments to service debt finance are non-discretionary, in that the terms of loan agreements usually require finance to be serviced, even if the business is not profitable.

If operating cash flows are insufficient to cover the interest cash flows, the company is likely to be in serious financial trouble, unless there is an identifiable non-recurring cause for the shortfall or new equity finance is forthcoming, for example to reduce interest-bearing debts.

Taxation cash flows are also non-discretionary. They tend to lag behind tax charges recognised in the statement of profit or loss and other comprehensive income. In growing businesses, tax cash outflows will often be smaller than tax charges.

Note: Cash payments to manufacture or acquire, and cash receipts on the sale of, assets held for rental to others are cash flows from operating (not investing) activities.

3.1.2 Investing activities

This heading in the statement of cash flows includes cash flows relating to property, plant and equipment. In the short term, these cash flows are discretionary, in that the business will normally survive even if property, plant and equipment expenditure is delayed for some months, or even years.

Significant cash outflows indicate property, plant and equipment additions, which should lead to the maintenance or enhancement of operating cash flows in the long term. However, such investment must be financed, either from operating cash flows or from new financing.

Net outflows on property, plant and equipment replacement can also be compared with the depreciation expense in the statement of profit or loss and other comprehensive income. A significant shortfall of capital spend compared to depreciation may indicate that the company is not replacing its property, plant and equipment as they wear out, or might suggest that depreciation rates are wrongly estimated.

3.1.3 Financing activities

Financing cash flows show how the company is raising finance (by debt or shares) and what finance it is repaying.

The reasons underlying financing cash flows need to be analysed. For example, inflows may be to finance additions to property, plant and equipment to expand the business or renew assets. New share finance may be used to repay debt, thus reducing future interest costs. Alternatively, new financing may be necessary to keep the company afloat if it is suffering significant operating and interest cash outflows. This last situation is unsustainable in the long term, as the company will eventually become insolvent.

3.1.4 Equity dividends paid

Equity dividends paid are, in theory, a discretionary cash flow. However, companies are often under significant investor pressure to maintain dividends even where their profits and cash

flows are falling. Equity dividends paid should be compared to the cash flows available to pay them. If a company is paying out a significant amount of the available cash as dividends, it may not be retaining sufficient funds to finance future investment or the repayment of debt.

It is common policy among private equity companies, which own a number of well-known companies, both in the UK and overseas, to not pay dividends and focus instead on debt minimisation.

3.2 Cash flow ratios

Traditional ratios are based on information in the statement of profit or loss and other comprehensive income and statement of financial position. Some of these can be adapted to produce equivalent ratios based on cash flow.

3.2.1 Cash return on capital employed

(Cash return (see below) ÷ Capital employed) × 100 (Source: SCF ÷ Source: SFP)

Cash return is computed as:

Cash generated from operations	X
Interest received (from investing activities)	X
Dividends received (from investing activities)	X
	X

Capital employed is the same as that used in ROCE.

The cash return is an approximate cash flow equivalent to profit before interest payable. As capital expenditure is excluded from the cash return, care is needed in comparing cash ROCE to traditional ROCE which takes account of depreciation of non-current assets.

3.2.2 Cash from operations/profit from operations

(Cash generated from operations ÷ Profit from operations) × 100 (Source: SCF ÷ Source: SPLOCI)

This measures the quality of the profit from operations. Many profitable companies have to allocate a large proportion of the cash they generate from operations to finance the investment in additional working capital. To that extent, the profit from operations can be regarded as of poor quality, since it is not realised in a form which can be used either to finance the acquisition of non-current assets or to pay back borrowings and/or pay dividends. So the higher the resulting percentage, the higher the quality of the profits from operations.

3.2.3 Cash interest cover

(Cash return (as above) ÷ Interest paid) × 100

(Source: SCF ÷ Source: SPLOCI)

This is the equivalent of interest cover calculated based on the statement of profit or loss and other comprehensive income. Capital expenditure is normally excluded on the basis that management has some discretion over its timing and amount. Caution is therefore needed in comparing cash interest cover with traditional interest cover, as profit from operations is reduced by depreciation. Cash interest cover will therefore tend to be slightly higher.

3.2.4 Investors' ratios

Cash flow per share

(Cash flow for ordinary shareholders (= cash return as above) – Interest paid – Tax paid) ÷ Number of ordinary shares

(Source: SCF ÷ Source: SFP)

This is the cash flow equivalent of earnings per share. It is common practice to exclude capital expenditure from this measure, because of the discretion over the timing of such expenditure. Therefore caution needs to be exercised in comparing cash flow per share with traditional EPS, as earnings do take account of depreciation.

Cash dividend cover

Cash flow for ordinary shareholders (as above) ÷ Equity dividends paid

This is the cash flow equivalent of dividend cover based on earnings. Similar comments apply regarding exclusion of capital expenditure as are noted under cash flow per share.



Interactive question 10: Calculation of cash flow ratios

The following is a statement of cash flows for a company.

	Year ended 31 March 20X6	
	£'000	£'000
Cash flows from operating activities		
Cash generated from operations (Note)		12,970
Interest paid		(360)
Tax paid		(4,510)
Net cash from operating activities		8,100
Cash flows from investing activities		
Purchase of property, plant and equipment	(80)	
Dividends received	20	
Proceeds on sale of property, plant and equipment	810	
Net cash from investing activities		750
Cash flows from financing activities		
Dividends paid	(4,500)	
Borrowings	(1,000)	
Net cash used in financing activities		(5,500)
Change in cash and cash equivalents		3,350
Cash and cash equivalents brought forward		2,300
Cash and cash equivalents carried forward		5,650

Note

Reconciliation of profit before tax to cash generated from operations

	£'000
Profit before tax	8,410
Finance cost	340
Amortisation	560
Depreciation	2,640
Loss on disposal of property, plant and equipment	160
Decrease in inventories	570
Decrease in receivables	340
(Decrease) in trade payables	(50)
Cash generated from operations	12,970

The profit from operations for 20X6 is £8,750,000 and the capital employed at 31 March 20X6 was £28,900,000. There were 15 million ordinary shares in issue throughout the year.

Requirement

Calculate the cash flow ratios listed below for 20X6.

Calculation of cash flow ratios

(1) **Cash return**	
Cash generated from operations Interest received Dividends received	= = =
(2) **Cash return on capital employed**	
(Cash return (from above) ÷ Capital employed) × 100	=
(3) **Cash from operations/profit from operations**	
(Cash generated from operations ÷ Profit from operations) × 100	=
(4) **Cash interest cover**	
Cash return ÷ Interest paid	=
(5) **Cash flow per share**	
Cash flow for ordinary shareholders ÷ Number of ordinary shares	=
(6) **Cash dividend cover**	
Cash flow for ordinary shareholders ÷ Equity dividends paid	=

See **Answer** at the end of this chapter.

4 Economic events

Section overview

Economic factors can have a pervasive effect on company performance and should be considered when analysing financial statements.

The economic environment that an entity operates in will have a direct effect on its financial performance and financial position. The economic environment can influence management's strategy but in any event will influence the business performance.

Examples of economic factors that should be considered when analysing financial statements could include:

(a) **State of the economy**

If the economy that a company operates in is depressed then it will have an adverse effect on the ratios of a business. When considering economic events it is important to consider the different geographical markets that a company operates in. These may provide different rates of growth, operating margins, future prospects and risks. An obvious current example is the contrast in the economies of Greece and Germany. Other examples could include emerging markets versus those in recession. Some businesses are more closely linked to economic activity than others, especially if they involve discretionary spending, such as holidays, eating out in restaurants and so on.

(b) **Interest rates and foreign exchange rates**

Increases in interest rates may have adverse effects on consumer demand particularly if the company is involved in supplying products that are discretionary purchases or in industries, such as home improvements, that are sensitive to such movements. Highly geared companies are most at risk if interest rates increase or if there is an economic downturn; their debt still needs to be serviced, whereas ungeared companies are less exposed. Changes in foreign exchange rates will have a direct effect on import and export prices with direct effects on competitiveness.

(c) **Government policies**

Fiscal policy can have a direct effect on performance. For example, the use of trade quotas and import taxes can affect the markets in which a company operates. The availability of government export assistance or a change in levels of public spending can affect the outlook for a company.

(d) **Rates of inflation**

Inflation can have an effect on the comparability of financial statements year on year. It can be difficult to isolate changes due to inflationary aspects from genuine changes in performance.

In analysing the effect of these matters on financial statements, the disclosures required by IFRS 8,
Operating Segments are widely regarded as necessary to meet the needs of users.

5 Business issues



Section overview

The nature of the industry in which the company operates and management's actions have a direct relationship with business performance, position and cash flow.

The information in financial statements is shaped to a large extent by the nature of the business and management's actions in running it. These factors influence trends in the business and cause ratios to change over time or differ between companies.

Examples of business factors influencing ratios are set out below.

(a) **Type of business**

This affects the nature of the assets employed and the returns earned. For example, a retailer may have higher asset turnover but lower margins than a manufacturer and a services business may have very little property, plant and equipment (so low capital employed and high ROCE) while a manufacturer may have lots of property, plant and equipment (so high capital employed and low ROCE).

(b) **Quality of management**

Better managed businesses are likely to be more profitable (and have improved working capital management) than businesses where management is weak. Where management is seen as high quality then this can have a favourable effect.

(c) **Market conditions**

If a market sector is depressed, this is likely to affect companies adversely and make most or all of their ratios appear worse. Diverse conglomerates may operate in a number of different business sectors, each of which is affected by different market risks and opportunities.

(d) **Management actions**

These will be reflected in changes in ratios. For example, price discounting to increase market share is likely to reduce margins but increase asset turnover; withdrawing from unprofitable market sectors is likely to reduce revenue but increase profit margins.

(e) **Changes in the business**

If the business diversifies into wholly new areas, this is likely to change the resource structure and thus impact on key ratios. An acquisition near the year end will mean that capital employed will include all the assets acquired but profits from the acquisition will only be included in the statement of profit or loss and other comprehensive income for a small part of the year, thus tending to depress ROCE. But this can be adjusted for, because IFRS 3, *Business Combinations* requires acquirers to disclose by way of note, total revenue and profit as if all business combinations had taken place on the first day of the accounting period.



Context example: Acquisition during year

A group's revenue for the current period was £10 million (previous year £8 million) and its period end trade receivables were £1.6 million (previous year £900,000). During the year a new subsidiary was acquired which carried trade receivables of £300,000 at the acquisition date.

At first sight there appears to be a very disproportionate increase in trade receivables, up by almost 78% ((1,600/900) – 1) when revenue is up by 25%. But if the previous year receivables are increased by the acquired receivables of £300,000, the increase in receivables is 33% ((1,600/1,200) – 1), more comparable with the revenue increase.

Notes

1. The acquisition renders the period-end trade receivables collection period non-comparable with that for the previous period.
2. The consolidated statement of cash flows will present the trade receivables component in the working capital adjustments as the amount **after** the acquired receivables have been added on to the group's opening balance.
3. IFRS 3 requires disclosure in respect of each acquisition of the amounts recognised at the acquisition date for each class of assets and liabilities and the acquiree's revenue and profit or loss recognised in consolidated profit or loss for the year. In addition, there should be disclosure of the consolidated revenue and profit or loss as if the acquisition date for all acquisitions had been the first day of the accounting period. This allows users to understand the impact of the acquired entity on the financial performance and financial position as evidenced in the consolidated financial statements.

Professional skills focus: Structuring problems and solutions

In approaching a question like this, it is best to adjust the financial statements of the entity that has undertaken the acquisition (or disposal) to make the two accounting periods comparable, so that a meaningful analysis can be carried out.

Context example: Impact of type of business

Set out below are example ratios for two quoted companies:

		Heavy manufacturing	Advertising and media
Return on capital employed	PBIT ÷ Capital employed	13.9%	36.6%
Net margin	PBIT ÷ Revenue	13.2%	3.1%
Net asset turnover	Revenue ÷ Capital employed	1.05 times	11.8 times
Current ratio	Current assets ÷ Current liabilities	1.35:1	0.84:1
Quick ratio	(Current assets – Inventories) ÷ Current liabilities	0.96:1	0.78:1
Gearing	Net debt ÷ Equity	38.4%	104.1%
Interest cover	(PBIT + Investment income) ÷ Interest payable	4.1 times	5.9 times
Inventory turnover	Cost of sales ÷ Inventories	4.5 times	58.8 times
Trade receivables collection period	(Trade receivables ÷ Revenue) × 365	63 days	30 days

This illustration shows that very different types of business can have markedly different ratios. A heavy manufacturing company has substantial property, plant and equipment and work in progress and earns a relatively high margin. An advertising and media company generates a very high ROCE, mainly because its asset base, as reflected in the financial statements, is small. Most of the 'assets' of such a business are represented by its staff, the value of whom is not recognised in the statement of financial position.

In analysing the effect of business matters on financial statements, the segment disclosures required by IFRS 8, *Operating Segments* provide important information that allows the user to make informed judgements about the entity's products and services.

One of the complications in analysing financial statements arises from the way IFRS Standards are structured:

- IAS 1, *Presentation of Financial Statements* sets down the requirements for the format of financial statements, containing provisions as to their presentation, structure and content; but
- the recognition, measurement and disclosure of specific transactions and events are all dealt with in other IFRS Standards.

So preparers of financial statements must consider the possible application of several different IFRS Standards when deciding how to present certain business transactions and business events and users must be aware that details about particular transactions or events may appear in several different parts of the financial statements.

Interactive question 11: The effect of business issues on financial reporting

A listed company operating in the electronics manufacturing sector has decided that due to cost pressures it will downsize its in-country operations. A number of manufacturing facilities will close and the activities will be outsourced to South-East Asian countries.

Requirement

Identify six IASs/IFRS Standards that may need to be considered and briefly give examples of why.

IASs/IFRS Standards

(1)	
(2)	
(3)	
(4)	
(5)	
(6)	

See **Answer** at the end of this chapter.

6 Accounting choices

Section overview

- IFRS Standards include scope for choices in accounting treatment.
- Management make estimates on judgemental matters such as inventory obsolescence that can have a significant effect on the view given.

6.1 Accounting policy choices

The scope for making choices in accounting treatment has been narrowed significantly in recent years due to the development of more prescriptive accounting standards.

Nevertheless, significant choices still exist in a number of areas, for example:

(a) **Asset revaluation**

Revaluation of property, plant and equipment is particularly significant because it affects the total amounts recognised as depreciation expense in profit or loss over the life of an asset. Revaluation also has a significant impact on gearing and ROCE. If assets are revalued

upwards, this increases equity and total net assets but does not alter debt. Therefore, the gearing ratio will fall. Asset revaluations also increase capital employed without a pound (£) for pound (£) effect on profits, so the ROCE will fall. Because depreciation is based on the revalued amount, it will rise, further depressing ROCE.

(b) **Cost or fair value model for measurement of investment property**

Where the cost model is used, the asset should be depreciated over its useful life. This produces a systematic expense in profit or loss. The use of the fair value model potentially introduces volatility into profit or loss and capital employed. Key ratios such as ROCE will be more difficult to predict if the fair value model is adopted.

(c) **Classification of financial assets**

Financial assets can be classified in up to four different ways. The classification affects their measurement in the statement of financial performance and the presentation of the gains or losses. This will have a direct effect on profit and capital employed.

The disclosure of accounting policies within the financial statements allows users to understand those policies and adjust financial statements to a different basis, if desired.



Interactive question 12: Asset revaluation

On 1 January 20X1, Tiger Ltd bought for £120,000 an item of plant with an estimated useful life of 20 years and no residual value. Tiger Ltd depreciates its property, plant and equipment on a straight-line basis. Tiger Ltd's year end is 31 December.

On 31 December 20X3, the asset was carried in the statement of financial position as follows:

	£'000
Non-current asset at cost	120
Accumulated depreciation (3 × (120,000 ÷ 20))	(18)
	102

Situation A

The asset continues to be depreciated as previously at £6,000 per annum, down to a carrying amount at 31 December 20X6 of £84,000.

On 1 January 20X7, the asset is sold for £127,000, resulting in a profit of £43,000.

Situation B

On 1 January 20X4, the asset is revalued to £136,000, resulting in a gain of £34,000. The total useful life remains unchanged. Depreciation will therefore be £8,000 per annum; that is, £136,000 divided by the remaining life of 17 years.

On 1 January 20X7, the asset is sold for £127,000, resulting in a reported profit on disposal of £15,000.

Requirement

Ignoring the provisions of IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, summarise the impact on reported results and net assets of each of the above situations for the years 20X4 to 20X7 inclusive.

See **Answer** at the end of this chapter.

6.2 Judgements and estimates

Even though accounting standards set out detailed requirements in many areas of accounting, management still needs to exercise judgement and make significant estimates in preparing the financial statements.

Examples of judgements and estimates required of management include:

Financial statement area	Judgement or estimation required
Property, plant and equipment	• Depreciation methods • Residual values • Useful lives • Revaluations/impairments
Intangible assets	• Allocation of consideration in a business combination • Future cash flows for impairment tests • Amortisation periods
Financial assets	• Classification • Measurement of expected credit loss
Inventories	• Inclusion of overheads and the normal level of activity • Inventory valuation methods
Lease transactions	• Whether the arrangement constitutes a lease under IFRS 16
Provisions	• Probability of outflow of economic benefits • Measurement of liabilities
Contracts in which performance obligations are satisfied over time	• Estimates of future costs • Estimation of stage of completion • Whether performance obligation(s) are satisfied
Trade receivables	• Collectability and impairment
Segment analysis	• Allocation of common costs to segments • Setting of transfer prices between segments

The increasing use of cash flow analysis by users of financial statements is often attributed to the issues surrounding the inappropriate exercise of judgement in the application of accounting policies.

In certain areas business analysts adjust financial statements to aid comparability to facilitate better comparison. These adjustments are often termed 'coping mechanisms'.

Professional skills focus: Structuring problems and solutions

The use of excel in financial statement analysis can be of considerable value. For example, an excel file can be set up comparing two companies' performance to the previous year and to each other, with formulae calculating percentage increases/decreases, and any significant ratios. This excel file can also be used to consider potential effects of projected changes, for example in revenue or costs. It may be fiddly to set up in the first place, but will save a lot of time in the long run.

7 Ethical issues

Section overview

Ethical issues can arise in the preparation of financial statements. Management may be motivated to improve the presentation of financial information.

The preparation of financial statements requires a great deal of judgement, honesty and integrity. Therefore, Chartered Accountants should employ a degree of professional scepticism when reviewing financial statements and any analysis provided by management.

The financial statements and the associated ratio analysis could be affected by pressure on the preparers of those financial statements to improve the financial performance, financial position or both. Managers of organisations may try to improve the appearance of the financial information to:

- increase their level of bonus pay or other reward benefits;
- deliver specific targets such as EPS growth to meet investors' expectations;
- reduce the risk of corporate insolvency, such as by avoiding a breach of loan covenants;
- avoid regulatory interference, for example where high profit margins are obtained;
- improve the appearance of all or part of the business before an initial public offering or disposal, so that an enhanced valuation is obtained; and
- understate revenues and overstate expenses to reduce tax liabilities.

Users of financial statements must be wary of the use of devices which improve short-term financial position and financial performance. Such inappropriate practices can be broadly summarised into three areas:

(a) **Window dressing of the year-end financial position**

Examples may include the following:

(1) Agreeing with customers that receivables are paid on shorter terms around year end, so that the trade receivables collection period is reduced and operating cash flows are enhanced

(2) Modifying the supplier payment cycle by delaying payments normally made in the last month of the current year until the first month of the following year; this will improve the cash position

(3) Offering incentives to distributors to buy just before year end rather than just after

(b) **Exercise of judgement in applying accounting standards**

Examples may include the following:

(1) Unreasonable cash flow estimates used in justifying the carrying amount of assets subject to impairment tests

(2) Reducing the percentage of outstanding receivables for which full provision is made

(3) Reducing the obsolescence provisions in respect of slow-moving inventories

(4) Extending useful lives of property, plant and equipment to reduce the depreciation charge

(c) **Inappropriate transaction recording**

Examples may include the following:

(1) Additional revenue can be pushed through in the last weeks of the accounting period, only for returns to be accepted and credit notes issued in the next accounting period

(2) Intentionally failing to correct a number of accounting errors which individually are immaterial but are material when taken together

(3) Deferring revenue expenses, such as repairs and maintenance, into future periods

Actions such as these will not make any difference to financial performance over time, because all they do is to shift profit to an earlier period at the expense of the immediately following period. Financial position can be improved by measures such as these only in the short term. But there may well be short-term benefits to management if these improvements keep the business within its banking covenants or if performance bonuses are to be paid to management if certain profit levels are achieved.



Interactive question 13: Changing payment dates

A company prepares a budget for the months of December 20X5 and January 20X6 and the position at 31 December 20X5 which includes the following:

	£'000
Supplier payments in each of December 20X5 and January 20X6	300
Current assets at 31 December 20X5	
Trade receivables	700
Cash	400
	1,100
Inventories	500
	1,600
Current liabilities at 31 December 20X5	1,000

Requirement

Calculate the current and quick ratios under the following options:

Option 1: Per the budget

Option 2: Per the budget, except that the supplier payments budgeted for December 20X5 are made in January 20X6

Option 3: Per the budget, except that the supplier payments budgeted for January 20X6 are made in December 20X5

Changing payment dates

		Current ratio	Quick ratio
Option 1			
Option 2			
Option 3			

See **Answer** at the end of this chapter.

Finance managers who are part of the team preparing the financial statements for publication must be careful to withstand any pressures from their non-finance colleagues to indulge in reporting practices which dress up short-term performance and position. Financial managers must be conscious of their obligations under the ethical guidelines of the professional bodies of which they are members and in extreme cases may find it useful to seek confidential guidance from ICAB. For members of ICAB, guidance can be found in the Code of Ethics.

Interactive question 14: Ethical pressures

You are the financial controller of Haddock plc. A new Managing Director (MD) with a strong domineering character has recently been appointed by Haddock plc. She has decided to launch an aggressive acquisition strategy and a target company has been identified. You have drafted a report for Haddock plc's management team that identifies several material fair value adjustments which would increase the carrying amount of the acquired assets if the acquisition occurs. The MD has demanded that you revise your report on the fair value adjustments so that the carrying amounts of the acquired assets are materially reduced rather than increased.

Requirement

Identify the motivations of the MD and discuss the actions that you should consider.

Ethical pressures Motivations

(1)	
(2)	
(3)	
(4)	

Actions to consider

(1)	
(2)	
(3)	
(4)	

See **Answer** at the end of this chapter.

8 Industry analysis

Section overview

Industry-specific performance measures can be extremely useful when analysing financial statements.

8.1 Introduction

Some industries are assessed using specific performance measures that take into consideration their specific natures. This is often the case with industries that are relatively young and growing rapidly, for which the traditional finance-based performance criteria do not show the full operational performance.

Many professional analysts use non-financial performance measures when valuing companies for merger and acquisition (M&A) purposes. The M&A industry uses sophisticated tools that

combine a variety of figures, both financial and non-financial in nature, when advising clients on the appropriate price to pay for a company.

8.2 Specific industries

Mobile phone operators often quote their growth in subscriber numbers and the average spend per customer per year. This is because such companies have high fixed costs, such as the cost of the communications licence and the maintenance of the mobile mast network; this high operational gearing magnifies the profit effect of increases in customers. Satellite television companies similarly are keen to quote increases in their customer base.

Context example: BSkyB

BSkyB added more than 70,000 TV customers in the three months to the end of March 2014 – its highest rate in five years. BSkyB said that a focus on marketing its TV products, which include cheaper internet service Now TV, had paid off, with 74,000 new subscribers in the period taking the total TV base to 10.6 million.

BSkyB often quotes the 'churn' rate, which is the percentage of customers who cancel their subscriptions. It is closely monitored by industry analysts, to see whether the growth in subscribers is being offset by existing customers leaving.

Service companies with a finite number of places to offer, such as airlines and hotels, will quote their seat/bed occupancy rates. This is viewed by industry analysts as a measure of the individual success of the company and is compared to both industry averages and competitors.

Retailers are often assessed on sales per square metre of floor space. Such information can be used by external users to compare the performance of retailers operating within the same industry, and also internally by management to identify poorly performing stores operated by the organisation.

Retailers will also quote 'like for like' sales. This is the growth in sales revenues, after stripping out the impact of new stores that have opened during the year. The reason for this is that they can demonstrate to users that they are increasing revenues both organically from existing outlets as well as by expanding their operations. Analysts may also look at like for like sales to arrive at a less optimistic picture, as in the example below.

(Source: Sweney, M. (1 May 2014) BSkyB's TV customers rise by 74,000, but broadband growth slows. *The Guardian*. [Online]. Available from: www.theguardian.com/media/2014/may/01/bskyb-tv- broadband-now-tv [Accessed 7 October 2022])

Context example: J Sainsbury plc

From The Motley Fool website:

March 2014 saw Sainsbury's underlying sales rise by 2.8%, although like for like sales only gained 0.2%.

(Source: Oscroft, A. (22 September 2014) The best reason to buy J Sainsbury plc. *The Motley Fool*. [Online]. Available from: www.fool.co.uk/investing/2014/09/22/the-best-reason-to-buy-j-sainsbury- plc/ [Accessed 7 October 2022])

Context example: Professional service companies

Some of the specific performance measures used in professional service companies include the following:

- Fees per partner (or director)
- Chargeability percentage of staff – this could be calculated as the total hours billed to clients divided by the total number of available hours
- Employee turnover – this could be calculated as the number of voluntary resignations and terminations, divided by the total number of employees at the beginning of the period
- Average fee recovery per hour – this could be calculated as the total fee income divided by the number of hours incurred
- Days of unbilled inventory

9 Non-financial performance measures



Section overview

Non-financial performance measures can often be as important as financial performance measures in analysing financial statements.

9.1 Profit-seeking entities

Company performance can be measured in terms of volume growth as well as financial growth. Some companies will therefore present non-financial information in the form of growth in the level of sales in terms of units. An oil company might quote barrels of oil produced, a games console company the units sold at launch. This is especially important if the price for the product is erratic, such as oil or raw materials.

Market share is also an important benchmark of success within an industry. This can be used as a benchmark of the success of an individual product line, or used as the basis to increase other types of revenues.



Context example: Market shares

A web traffic analysis firm reported that in April 2012 Microsoft had a 50% share of the web browser market (April 2011: 55%). In the same month Mozilla Firefox had a 19% share (down in the year from 22%), followed by Google's Chrome at 17% (up from 12%) and Apple's Safari at 9% (up from 7%).

(Source: Yung-Hui, L. (6 April 2012) Internet Explorer Fightback: Q&A with IE Lead of Microsoft Asia Jonathan Wong. *Forbes*. [Online]. Available from: www.forbes.com/sites/limyunghui/2012/04/06/internet-explorer-fightback-qa-with-ie-lead-of-microsoft-asia-jonathan-wong/#71a778187263 [Accessed 7 October 2022])

Other interested parties can also make use of the financial statements. For example, there may be information relating to the number of employees working at an entity. Such information can be used to assess employment prospects, as a company that is increasing its number of staff probably has greater appeal to prospective employees. Staff efficiency can also be calculated by calculating the average revenue per employee.

However, as with all performance measures, care must be taken to make sure the information means what it says. For example, a company might outsource a significant number of its functions, such as HR, IT, payroll after-sales service and so on. Thus it would appear to have a relatively low employee base compared to a competitor who operated such functions in-house. Comparability would be distorted.

9.2 Not for profit entities

Not all entities are profit-seeking. Schools, hospitals, charities and so on may all have objectives that are not financially based. However, they may be assessed by interested parties and present information alongside their financial statements.

Institution	Performance measure
Hospital	Speed at attending to patients, success rates for certain types of operation, length of waiting lists
School	Exam pass rates, attendance records of pupils, average class sizes
Charity	Percentage of income spent on administrative expenses, speed of distribution of income

10 Limitations of ratios and financial statement analysis

Section overview

Below is a summary of the limitations of ratios and financial statement analysis.

Financial statement analysis is based on the information in financial statements so ratio analysis is subject to the same limitations as the financial statements themselves.

(a) Ratios are not definitive measures. They provide clues to the financial statement analysis but qualitative information is invariably required to prepare an informed analysis.

(b) Ratios calculated on the basis of published, and therefore incomplete, data are of limited use. This limitation is particularly acute for those ratios which link statement of financial position and income statement figures. A period-end statement of financial position may well not be at all representative of the average financial position of the business throughout the period covered by the income statement.

(c) Ratios use historical data, which may not be predictive, as it ignores future actions by management and changes in the business environment.

(d) Ratios may be distorted by differences in accounting policies between entities and over time.

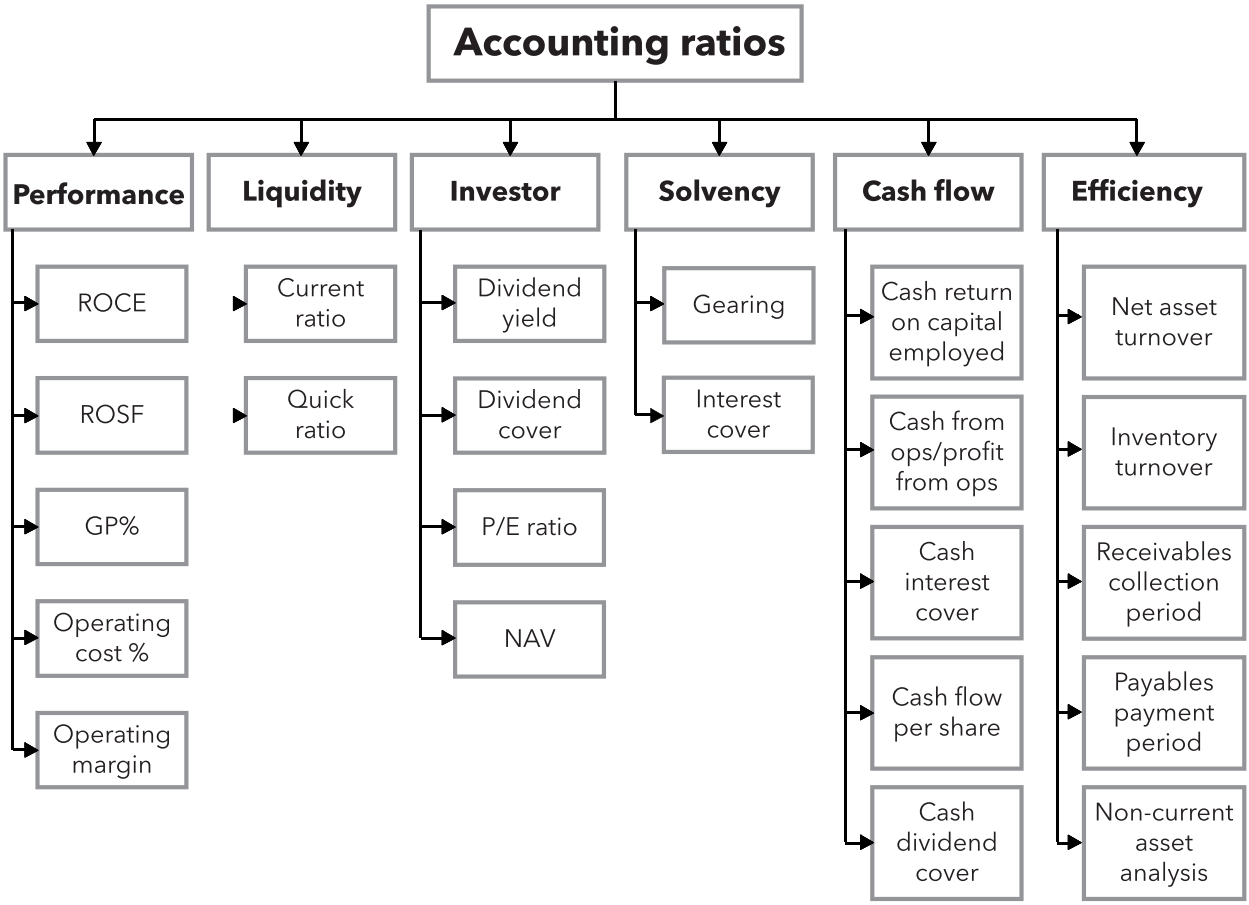
(e) Ratios are based on figures from the financial statements. If there is financial information that is not captured within the financial statements (such as changes to the company reputation), then this will be ignored.

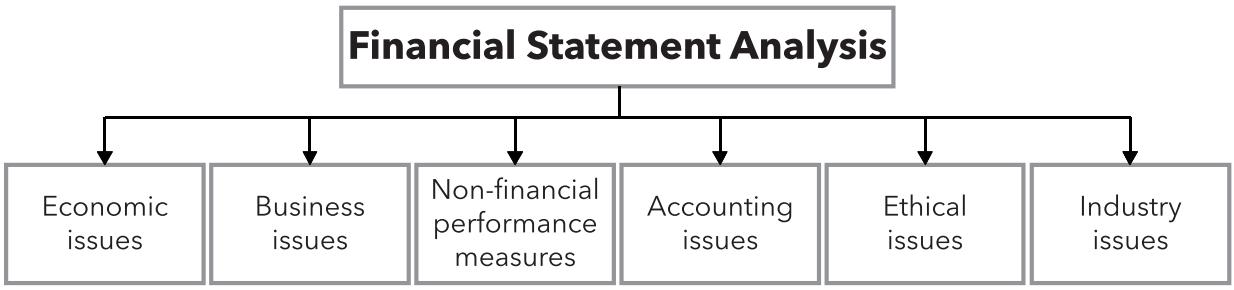
(f) Comparisons between different types of business are difficult because of differing resource structures and market characteristics. However, it may be possible to make indirect comparisons between businesses in different sectors, by comparing each to its own sector averages.

(g) Window dressing and creative practices can have an adverse effect on the conclusions drawn from the interpretation of financial information.

(h) Price changes can have a significant effect on time-based analysis across a number of years.

Summary


Accounting ratios
Performance
ROCE
ROSF
GP%
Operating cost %
Operating margin
Liquidity
Current ratio
Quick ratio
Investor
Dividend yield
Dividend cover
P/E ratio
NAV
Solvency
Gearing
Interest cover
Cash flow
Cash return on capital employed
Cash from ops/profit from ops
Cash interest cover
Cash flow per share
Cash dividend cover
Efficiency
Net asset turnover
Inventory turnover
Receivables collection period
Payables payment period
Non-current asset analysis


Financial Statement Analysis
Economic issues
Business issues
Non-financial performance measures
Accounting issues
Ethical issues
Industry issues

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	How would an investor or potential investor use financial analysis? (Topic 1)
2.	How is ROCE calculated and used? (Topic 2)
3.	What are the drawbacks of the current ratio? (Topic 2)
4.	What are the drawbacks of the gearing ratio? (Topic 2)
5.	Can you analyse a statement of cash flows? (Topic 3)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Wild Swan	Individual ratio calculation practice was provided within the chapter, so the first self-test question has a full set of financial statements for you to interpret. Comments are as important as calculations.
Brass	Another comprehensive question, this time with notes to the financial statements and prior year ratios calculated
Trendsetters	This question requires calculations of cash flow ratios and interpretation of a statement of cash flows.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted the self-test questions, you can continue your studies by moving onto the next chapter. In later chapters, we will recommend questions from the Question Bank for you to attempt.

Self-test questions

Answer the following questions

1 Wild Swan

The following extracts have been taken from the financial statements of Wild Swan Ltd, a manufacturing company.

Statements of financial position as at 31 December

		20X3		20X2
	£'000	£'000	£'000	£'000
Assets				
Non-current assets				
Property, plant and equipment		4,465		2,819
Current assets				
Inventories	1,172		1,002	
Trade and other receivables	2,261		1,657	
Cash and cash equivalents	386		3	
		3,819		2,662
Total assets		8,284		5,481
Equity and liabilities				
Ordinary share capital		522		354
Preference share capital (irredeemable – 8%)		150		150
Revaluation surplus		1,857		–
Retained earnings		2,084		2,094
Equity		4,613		2,598
Non-current liabilities				
Borrowings		105		–
Current liabilities				
Trade and other payables	1,941		1,638	
Taxation	183		62	
Bank overdraft	1,442		1,183	
		3,566		2,883
Total equity and liabilities		8,284		5,481

Statements of profit or loss and other comprehensive income for year ended 31 December

	20X3	20X2
	£'000	£'000
Revenue	24,267	21,958
Cost of sales	(20,935)	(19,262)
Gross profit	3,332	2,696
Net operating expenses	(2,604)	(2,027)
Profit from operations	728	669
Net finance cost payable	(67)	(56)
Profit before tax	661	613
Taxation	(203)	(163)
Profit for the year	458	450
Other comprehensive income for the year		
Revaluation of property, plant and equipment	1,857	
Total comprehensive income for the year	2,315	450

Statements of changes in equity for the year ended 31 December (total columns)

	20X3	20X2
	£'000	£'000
Balance brought forward	2,598	2,400
Total comprehensive income for the year	2,315	450
Issue of ordinary shares	168	–
Final dividends on ordinary shares	(300)	(180)
Interim dividends on ordinary shares	(156)	(60)
Dividends on irredeemable preference shares	(12)	(12)
Balance carried forward	4,613	2,598

Statement of cash flows for the year ended 31 December 20X3

	£'000	£'000
Cash flows from operating activities		
Cash generated from operations		1,208
Interest paid		(67)
Tax paid		(82)
Net cash from operating activities		1,059
Cash flows from investing activities Purchases of non-current assets	(1,410)	
Proceeds on sale of property, plant and equipment	670	
Net cash used in investing activities Cash flows from financing activities		(740)
Dividends paid	(468)	

	£'000	£'000
Proceeds from borrowings	105	
Issue of shares	168	
Net cash used in financing activities		(195)
Net change in cash and cash equivalents		124
Cash and cash equivalents brought forward (3 – 1,183)		(1,180)
Cash and cash equivalents carried forward (386 – 1,442)		(1,056)

Reconciliation of profit before tax to cash generated from operations

	£'000
Profit before tax	661
Depreciation charge	965
Profit on disposal of property, plant and equipment	(14)
Finance cost	67
Increase in inventories	(170)
Increase in trade and other receivables	(604)
Increase in trade and other payables	303
Cash generated from operations	1,208

Key ratios

	20X3	20X2
Gross profit percentage	13.7%	12.3%
Net margin	3.0%	3.0%
Net asset turnover	4.2 times	5.8 times
Trade receivables collection period	34 days	28 days
Interest cover	10.9	11.9
Current ratio	1.1	0.9
Quick ratio	0.7	0.6

Cash flow ratios (20X3 only)

Cash return on capital	22.1%
Cash interest cover	18 times

Requirements

1.1 Calculate return on capital employed and gearing (net debt/equity) for both years.

1.2 Comment on the financial performance and position and on the statement of cash flows of Wild Swan Ltd in the light of the above information.

2 Reapson

Statement of changes in equity extract for the year ended 31 December 20X4

Attributable to the owners of Reapson plc	Revaluation surplus £m	Retained earnings £m
Balance brought forward	–	800.00
Total comprehensive income for the year	350.00	222.90
Transfer between reserves	(17.50)	17.50
Dividends on ordinary shares		(81.75)
Balance carried forward	332.50	958.65

As well as revaluing property, plant and equipment during the year (incurring significant additional depreciation charges) Reapson plc incurred £40 million of costs relating to the closure of a division.

Reapson plc has £272.5 million of 50p ordinary shares in issue. The market price per share is 586p.

Requirement

(1) Dividend per share			= 15p
(2) Earnings per share	= Profit before ordinary dividends ÷ No. of ordinary shares in issue	= 222.9 ÷ 545	= 40.9p
(3) Dividend cover	= EPS ÷ Dividend per share	= 40.9 ÷ 15	= 2.7
(4) Dividend yield	= Dividend per share ÷ Current market price per share	= 15 ÷ 586	= 2.6%
(5) Price/earnings ratio	= Current market price per share ÷ EPS	= 586 ÷ 40.9	= 14.3

Explain the above statistics from a financial journal referring to Reapson plc and relate them to the above information.

3 Verona

Verona plc is a parent company. The Verona plc group includes two manufacturers of kitchen appliances. One of these companies, Nice Ltd, serves the North of England and Scotland. The other company, Sienna Ltd, serves the Midlands, Wales and Southern England. Each of the two companies manufactures an identical range of products.

Verona plc has a quarterly reporting system. Each group member is required to submit an abbreviated set of financial statements to head office. This must be accompanied by a set of ratios specified by the board of Verona plc. All manufacturing companies, including Nice Ltd and Sienna Ltd, are required to calculate the following ratios for each quarter:

- Return on capital employed
- Trade receivables collection period
- Trade payables payment period
- Inventory turnover (based on average inventories)

The financial statements for the three months (that is, 89 days) ended 30 April 20X3, submitted to the parent company, were as shown below.

Statements of profit or loss and other comprehensive income for the quarter ended

		Nice Ltd		Sienna Ltd
	£'000	£'000	£'000	£'000
Revenue		3,000		4,400
Opening inventories	455		684	
Purchases	1,500		2,100	
	1,955		2,784	
Closing inventories	(539)		(849)	
Cost of materials	1,416		1,935	
Wages and salaries	700		960	
Depreciation	128		83	
Cost of sales		(2,244)		(2,978)
Gross profit		756		1,422
Marketing	450		570	
Administration	147		238	
Loan interest	10		–	
Overdraft interest	-		5	
		(607)		(813)
Profit for the period		149		609

Statements of financial position at 30 April 20X3

		Nice Ltd		Sienna Ltd
	£'000	£'000	£'000	£'000
Assets				
Non-current assets				
Property		2,000		1,300
Plant and equipment		1,700		1,100
Current assets		3,700		2,400
Inventories	539		849	
Trade and other receivables	1,422		1,731	
Cash and cash equivalents	71		-	
		2,032		2,580
Total assets		5,732		4,980
Equity and liabilities				
Equity				
Ordinary share capital		1,745		479
Revaluation surplus		700		–
Retained earnings		2,049		3,309
Equity		4,494		3,788
Non-current liabilities				
Borrowings		800		

	£'000	Nice Ltd £'000	£'000	Sienna Ltd £'000
		5,294		3,788
Current liabilities				
Trade and other payables	438		1,062	
Overdraft	-		130	
		438		1,192
Total equity and liabilities		5,732		4,980

The managing director of Nice Ltd feels that it is unfair to compare the two companies on the basis of the figures shown above, even though they have been calculated in accordance with the group's standardised accounting policies. The reasons he puts forward are as follows.

- Verona plc is in the process of revaluing all land and buildings belonging to group members. Nice Ltd's properties were revalued up by £700,000 on 1 February 20X3 and this revaluation was incorporated into the company's financial statements. The valuers have not yet visited Sienna Ltd and that company's property is carried at cost less depreciation.

  The Verona group depreciates property on a quarterly basis, calculated at a rate of 4% per annum.

- Nice Ltd's new production line costing £600,000 became available for use during the final week of the period under review. The cost of purchase was borrowed from a bank and is included in the figures for non-current borrowings.

  The managing director of Nice Ltd believes the effect of the purchase of this machine should be removed, as it happened so close to the period end.

  The Verona group depreciates machinery at a rate of 25% of cost per annum.

- Nice Ltd supplied the Verona group's hotel division with goods to the value of £300,000 in October 20X2. This amount is still outstanding and has been included in Nice Ltd's trade receivables figure. Nice Ltd has been told that this balance will not be paid until the hotel division has sufficient liquid funds.

- Nice Ltd purchased £400,000 of its materials, at normal trade prices, from a fellow member of the Verona group. This supplier had liquidity problems and the group's corporate treasurer ordered Nice Ltd to pay for the goods as soon as they were delivered.

Requirements

3.1 Calculate the ratios required by the Verona group for both Nice Ltd and Sienna Ltd for the quarter, using the figures in the financial statements submitted to the holding company.

3.2 Explain briefly which company's ratio appears the stronger in each case.

3.3 Explain how the information in the notes above has affected Nice Ltd's return on capital employed, trade receivables collection period and trade payables payment period.

3.4 Explain how the calculation of the ratios should be adjusted to provide a fairer basis for comparing Nice Ltd with Sienna Ltd.

4 Brass Ltd

You are the financial accountant of Brass Ltd, a company which operates a brewery and also owns and operates a chain of hotels and public houses. Your managing director has obtained a copy of the latest financial statements of Alliance Breweries Ltd, a competitor, and has gained the impression that, although the two companies are of a similar overall size, Alliance's performance is rather better than that of Brass Ltd.

He is also concerned about his company's ability to repay a £20 million loan. The statements of profit or loss and other comprehensive income and statements of financial position of the two companies for the year to 31 December 20X2 and extracts from the notes are set out below.

Statements of profit or loss and other comprehensive income

		Brass Ltd	Alliance Breweries Ltd	
Revenue	**£'000**	**£'000**	**£'000**	**£'000**
		157,930		143,100
Cost of sales		(57,400)		(56,500)
Gross profit				
Distribution costs	27,565	100,530	21,502	86,600
Administrative expenses (Note 2)	53,720		29,975	
		(81,285)		(51,477)
Profit from operations		19,245		35,123
Finance cost		(2,000)		
Profit before tax		17,245		35,123
Tax		(5,690)		(11,590)
Profit for the year		11,555		23,533

Statements of financial position

		Brass Ltd	Alliance Breweries Ltd	
	£'000	**£'000**	**£'000**	**£'000**
Assets				
Non-current assets				
Property, plant and equipment (Note 3)		71,253		69,570
Intangibles (Note 2)				3,930
Current assets		71,253		73,500
Inventories	7,120		4,102	
Trade and other receivables	28,033		22,738	
Cash and cash equivalents	5,102		-	
		40,255		26,840
Total assets		111,508		100,340
Equity and liabilities				
Equity				
Ordinary share capital		30,000		50,000
Revaluation surplus		15,253		–
Retained earnings		16,775		32,080
		62,028		82,080
Non-current liabilities (10% loan)		20,000		–
Current liabilities (Note 4)		29,480		18,260
Total equity and liabilities		111,508		100,340

Notes

1 Intangible assets – Alliance Breweries Ltd. Intangible assets include brand names and trademarks purchased from Odlingtons Breweries Ltd in 20X0, which are being amortised over their useful lives.

2 Administrative expenses including the following:

	Brass Ltd	Alliance Breweries Ltd
	£'000	£'000
Directors' remuneration	2,753	1,204
Advertising and promotion	10,361	2,662

3 The company's freehold land and buildings were revalued during 20X0 by the directors (see tables below).

4 Current liabilities

	Brass Ltd	Alliance Breweries Ltd
	£'000	£'000
Trade payables	23,919	7,875
Taxation	5,561	10,235
Bank overdraft	-	150
	29,480	18,260

5 Non-current liabilities: The 10% loan is redeemable in June 20X4.

6 Both companies have similar accounting policies apart from depreciation where the policies are as the tables below.

Land and building revaluation

Brass Ltd – Property, plant and equipment

	Freehold land and buildings £'000	Motor vehicles £'000	Plant and machinery £'000	Total £'000
Cost or valuation 1 January 20X2	113,712	655	3,397	117,764
Additions	3,150	125	523	3,798
Cost or valuation 31 December 20X2	116,862	780	3,920	121,562
Provision for depreciation 1 January 20X2	(43,239)	(272)	(2,548)	(46,059)
Charge for year	(3,506)	(156)	(588)	(4,250)
Provision for depreciation 31 December 20X2	(46,745)	(428)	(3,136)	(50,309)
Carrying amount 31 December 20X2	70,117	352	784	71,253

Alliance Breweries Ltd – Property, plant and equipment

	Freehold brewery	Freehold hotels and public houses	Motor vehicles	Plant and machinery	Total
	£'000	£'000	£'000	£'000	£'000
Cost 1 January 20X2	5,278	80,251	874	5,612	92,015
Additions		8,920	79	489	9,488
Cost 31 December 20X2	5,278	89,171	953	6,101	101,503
Provision for depreciation 1 January 20X2	(2,771)	(23,291)	(477)	(3,838)	(30,377)
Charge for year	(96)	(490)	(238)	(732)	(1,556)
Provision for depreciation 31 December 20X2	(2,867)	(23,781)	(715)	(4,570)	(31,933)
Carrying amount 31 December 20X2	2,411	65,390	238	1,531	69,570

Accounting policies Brass Ltd – Depreciation

Depreciation is provided by the company to recognise in profit or loss the cost of property, plant and equipment on a straight-line basis over the anticipated life of the assets as follows.

	%
Freehold buildings	4
Motor vehicles	20
Plant and equipment	10-33

Freehold land is not depreciated.

Leasehold property is amortised over the term of the lease.

Alliance Breweries Ltd – Depreciation

Property, plant and equipment are depreciated over their useful lives as follows.

	%
Motor vehicles	25
Plant and equipment	10-25
Freehold land	Nil
Freehold buildings	1

The following ratios have been calculated for Brass Ltd for the year ended 31 December 20X2.

(1) ROCE = Profit before interest and tax ÷ Capital employed = 19,245 ÷ (62,028 + 20,000 – 5,102) = 25%

(2) Asset turnover = Revenue ÷ Capital employed = 157,930 ÷ (62,028 + 20,000 – 5,102) = 2.05

(3) Net profit margin = Profit before interest and tax ÷ Revenue = 19,245 ÷ 157,930 = 12.2%

(4) Gross profit percentage = Gross profit ÷ Revenue = 100,530 ÷ 157,930 = 63.7%

(5) Current ratio = Current assets ÷ Current liabilities = 40,255 ÷ 29,480 = 1.37

(6) Quick ratio = (Current assets – Inventories) ÷ Current liabilities = 33,135 ÷ 29,480 = 1.12

(7) Trade receivables collection period = Trade receivables ÷ Revenue = (28,033 ÷ 157,930) × 365 = 65 days

(8) Inventory turnover = Cost of sales ÷ Inventory = 57,400 ÷ 7,120 = 8.1

Requirements

4.1 Prepare a report to the managing director comparing the profitability and liquidity of Brass Ltd with Alliance Breweries Ltd, using the ratios given for Brass Ltd and appropriate accounting ratios for Alliance Breweries Ltd and suggest possible reasons for the differences between the results of the two companies.

4.2 State briefly what adjustments would be necessary to the financial statements of the companies for a more relevant comparison of their relative performance.

5 Caithness plc

Caithness plc, a parent company, requires sets of management information, including key ratios, from all its subsidiaries. The most recent sets of information for two of its subsidiaries, Sutherland Ltd and Argyll Ltd, two manufacturing companies, show the following.

	Sutherland Ltd	Argyll Ltd
Return on capital employed (ROCE)	5%	13%
Gross profit percentage	30%	35%
Net margin	13%	10%
Current ratio	2.5:1	3:1
Quick ratio	1.8:1	2.7:1
Trade receivables collection period	60 days	45 days
Trade payables payment period	40 days	50 days
Inventory turnover	60 days	20 days
Gearing (debt/equity)	55%	100%
Interest cover	4 times	2 times
Cash return on capital employed (cash ROCE)	7%	8%

Additional information:

(1) Each company is treated as a mainly autonomous unit, although they share an accounting function and Caithness plc does determine the dividend policy of the two subsidiaries. Companies in the group must use the same accounting policies.

(2) It is group policy to record all assets at cost less accumulated depreciation and impairment losses. However, Sutherland Ltd has revalued its freehold property and included the results in the recent management information above.

(3) Argyll Ltd has recently leased a specialised item of plant and machinery. In the management information above the lease rentals have been recognised as an expense in profit or loss, but the managing director has been told by the financial controller that this is not permitted under IFRS 16, *Leases,* and the group directors are aware that the year-end published financial statements will need to reflect the correct treatment.

(4) Sutherland Ltd and Argyll Ltd trade with other companies in the group. At the instigation of Argyll Ltd, Sutherland Ltd has supplied one of the other companies in the group with goods with a selling price of £200,000. These are no longer in group inventories but Sutherland Ltd has been told that the goods will not be paid for until the liquidity problems of the other company are resolved.

Requirements

5.1 Comment on the relative financial performance and position of Sutherland Ltd and Argyll Ltd from the above information.

5.2 Identify what further information you would find useful to help with your commentary in (5.1), providing reasons.

5.3 It transpires that the managing director of Argyll Ltd, who was previously head of the accounting function for both companies, was aware, at the time of preparing the above information, that Caithness plc is considering selling its stake in one of these companies and that Caithness plc intends to use the information to help it in making its decision.

Comment on the information above in the light of this and set out any additional information which would help you to form a view on the situation.

6 Trendsetters Ltd

Trendsetters Ltd is a long-established chain of provincial fashion boutiques, offering mid-price clothing to a target customer base of late teens/early twenties. However, over the past eighteen months, the company appears to have lost its knack of spotting which trends from the catwalk shows will succeed on the high street. As a result, the company has had to close a number of its stores just before its year end of 31 December 20X2.

You have been provided with the following information for the years ended 31 December 20X1 and 20X2.

Statement of cash flows for the year ended 31 December

	20X2 £'000	20X1 £'000
Cash flows from operating activities		
Cash generated from operations	869	882
Interest paid	(165)	(102)
Tax paid	(13)	(49)
Net cash from operating activities	691	731
Cash flows from investing activities		
Dividends received	–	55
Proceeds from sales of investments	32	–
Proceeds from sale of property, plant and equipment	1,609	12
Net cash from investing activities	1,641	67
Cash flows from financing activities		
Dividends paid	–	(110)
Borrowings taken out	500	100
Net cash from/(used in) financing activities	500	(10)
Net change in cash and cash equivalents	2,832	788
Cash and cash equivalents brought forward	910	122
Cash and cash equivalents carried forward	3,742	910

Reconciliation of profit before tax to cash generated from operations

	20X2 £'000	20X1 £'000
Profit before tax	2,293	162
Investment income	–	(55)
Finance cost	165	102
Depreciation charge	262	369
Loss on disposal of investments	101	–
Profit on disposal of property, plant and equipment	(1,502)	(2)
Increase in inventories	(709)	(201)
Increase/decrease in trade and other receivables	(468)	256
Increase in trade and other payables	727	251
Cash generated from operations	869	882

Extracts from the statement of profit or loss and other comprehensive income and statement of financial position for the same period were as follows.

	20X2 £'000	20X1 £'000
Revenue	2,201	3,102
Equity and liabilities		
Equity		
Ordinary share capital	100	100
Retained earnings	7,052	4,772
Long-term liabilities	7,152	4,872
Borrowings	1,500	1,000
Current liabilities		
Trade and other payables	1,056	329
	9,708	6,201

Requirements

6.1 Comment on the above information, calculating three cash flow ratios to help you in your analysis.

6.2 You have now learnt that the financial controller of Trendsetters Ltd has been put under severe pressure by his operational directors to improve the figures for the current year.

Discuss how this pressure might have influenced both the above information and other areas of the financial statements, and suggest what actions the financial controller should consider in responding to these pressures.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

ROCE and ROSF

(1)	Target return on capital (company or shareholder)
(2)	Real interest rates
(3)	Age of plant
(4)	Leased/owned assets
(5)	Upward revaluations of non-current assets, which increase capital employed, increase depreciation charges and reduce ROCE/ROSF

Answer to Interactive question 2

Gross profit percentage

(1)	Change in sales prices
(2)	Change in sales mix
(3)	Change in purchase/production costs
(4)	Inventory obsolescence

Answer to Interactive question 3

Operating cost percentage

(1)	Change in the amount of sales – investigate whether due to price or volume changes
(2)	Non-recurring costs

Answer to Interactive question 4

Current and quick ratios

Low and high ratios could suggest the following:

- Liquidity problems (low ratio)
- Poor use of shareholder/company funds (high ratio)

Two possible factors to investigate would be as follows:

- Constituent components of ratio: inventory obsolescence (in case of current ratio), recoverability of receivables (in case of both ratios)
- Manipulation – if company has positive cash balances and a ratio greater than 1:1, payment of current liabilities such as trade payables just before the year end will improve ratio

Answer to Interactive question 5

Gearing

(1)	Upward revaluations of non-current assets increase shareholders' funds and decrease gearing.
(2)	Whether carrying amounts of non-current assets are likely to be volatile.

Answer to Interactive question 6

Inventory turnover

(1)	High inventory turnover rate – may be efficient but the risk of running out of inventory is increased
(2)	Low inventory turnover rate – inefficient use of resources and potential obsolescence problems

Remember: the inventory turnover rate can be affected by seasonality. The year-end inventory position may not reflect the average level of inventory.

Answer to Interactive question 7

Trade receivables collection period

(1)	Bad debt/collection problems
(2)	Change in nature of customer base (new customer is big but is a slow payer)
(3)	Change in settlement terms

Remember: the year-end receivables may not be representative of the average over the year.

Answer to Interactive question 8

Trade payables payment period

(1)	High figure may indicate liquidity problems
(2)	Potential appointment of receiver by aggrieved suppliers

Remember: the year-end payables may not be representative of the average over the year.

Answer to Interactive question 9

Calculations

(1) **Return on capital employed (ROCE)**	
(Profit before interest and tax ÷ Capital employed) × 100	= (340 ÷ (1,800 + 1,600 + 50 – 60)) × 100 = 10%
(2) **Return on shareholders' funds (ROSF)**	
Profit attributable to owners of a parent company ÷ (Equity – non-controlling interest)	= (140 ÷ (1,800 – 150)) × 100 = 8.5%

(3) **Gross profit %**		
(GP ÷ Revenue) × 100	= (2,000 ÷ 6,000) × 100 = 33.33%	
(4) **Net profit margin**		
(Profit before interest and tax ÷ Revenue) × 100	= (340 ÷ 6,000) × 100 = 5.7%	
(5) **Net asset turnover**		
Revenue ÷ Capital employed	= (6,000 ÷ (1,800 + 1,600 + 50 – 60)) = 1.8 times	
(6) **Proof of ROCE**		
ROCE	= Net profit margin	× Net asset turnover
10%	= 5.7%	× 1.8 times
(7) **Non-current asset turnover**		
Revenue ÷ Non-current assets	= (6,000 ÷ 2,600) = 2.3 times	
(8) **Current ratio**		
Current assets ÷ Current liabilities	= (1,600 ÷ 800) = 2 times	
(9) **Quick ratio**		
Current assets less inventories ÷ Current liabilities	= ((1,600 – 600) ÷ 800) = 1.25 times	
(10) **Inventory turnover**		
Cost of sales ÷ Inventories	= (4,000 ÷ 600) = 6.66 times	
(11) **Inventory days**		
(Inventories ÷ Cost of sales) × 365	= (600 ÷ 4,000) × 365 = 55 days	
(12) **Trade receivables collection period**		
(Trade receivables ÷ Revenue) × 365	= (900 ÷ 6,000) × 365 = 55 days	
(13) **Trade payables payment period**		
(Trade payables ÷ Cost of sales) × 365	= (750 ÷ 4,000) × 365 = 68 days	
(14) **Gearing**		
(Net debt ÷ Equity) × 100	= ((1,600 + 50 – 60) ÷ 1,800) × 100 = 88.3%	
(15) **Interest cover**		
(PBIT + Investment income) ÷ Interest payable	= (340 + 5) ÷ 84 = 4.1 times	

Answer to Interactive question 10

Calculation of cash flow ratios

(1) **Cash return**	
Cash generated from operations Interest received Dividends received	= 12,970 = – = 20
	12,990
(2) **Cash return on capital employed**	
(Cash return (from above) ÷ Capital employed) × 100	= (12,990 ÷ 28,900) × 100 = 44.9%
(3) **Cash from operations/profit from operations**	
(Cash generated from operations ÷ Profit from operations) × 100	= (12,970 ÷ 8,750) × 100 = 148%
(4) **Cash interest cover**	
Cash return ÷ Interest paid	= 12,990 ÷ 360 = 36 times
(5) **Cash flow per share**	
Cash flow for ordinary shareholders ÷ Number of ordinary shares	= (12,990 – 360 – 4,510) ÷ 15,000 = 54p per share
(6) **Cash dividend cover**	
Cash flow for ordinary shareholders ÷ Equity dividends paid	= (12,990 – 360 – 4,510) ÷ 4,500 = 1.8 times

Answer to Interactive question 11

IASs/IFRS Standards

(1)	IAS 7's requirements as to disclosure within investing activities of the cash flows resulting from disposals
(2)	IAS 10's requirements as to events occurring after the end of the reporting period, whether they are adjusting events (that is, confirmation of the carrying amounts of assets/liabilities) or non-adjusting events (for example, the disclosure of a decision to restructure)
(3)	IFRS 8's requirements as to segment reporting – a disposal could well affect the segments which are reportable
(4)	IFRS 5's requirements – a decision to restructure a major part of the business is likely to lead to disclosures of both discontinued operations in the statement of profit or loss and other comprehensive income and non-current assets held for sale in the statement of financial position
(5)	IAS 36's requirements as to impairment of assets – impairment will almost certainly result from a restructuring decision

(6)	IAS 37's requirements as to provisions – liabilities which previously were only contingent may well now require recognition and provisions for restructuring costs may need to be recognized

The effect of business issues on financial reporting

Decisions to dispose of a group company or to close down a business activity within the group result in restructurings. The decision to restructure a major part of the business will require consideration of the above IASs/IFRS Standards.

Other standards such as IAS 2, *Inventories* may also be relevant. Any surplus or excess inventory may require disposal at below cost. In addition, the presentation of these events may need the consideration of IAS 1, *Presentation of Financial Statements*.

Answer to Interactive question 12

Asset revaluation

Situation A – Asset is not revalued

Statement of profit or loss and other comprehensive income

	20X4	20X5	20X6	20X7
	£'000	£'000	£'000	£'000
Profit from operations				
Includes depreciation of	(6)	(6)	(6)	–
Profit on disposal of property, plant and equipment	–	–	–	43

Total impact on reported profit for 20X4 to 20X7 = £25,000 = proceeds of £127,000 less carrying amount of £102,000 at 1 January 20X4

Statement of financial position

	20X4	20X5	20X6	20X7
	£'000	£'000	£'000	£'000
Carrying amount of asset at year end (included in capital employed)	96	90	84	–

Situation B – Asset is revalued

Statement of profit or loss

	20X4	20X5	20X6	20X7
	£'000	£'000	£'000	£'000
Profit from operations				
Includes depreciation of	(8)	(8)	(8)	–
Profit on disposal of property, plant and equipment	–	–	–	15

Total impact on reported profit for 20X4 to 20X7 = £(9,000)

Other comprehensive income

	20X4 £'000	20X5 £'000	20X6 £'000	20X7 £'000
Gain on revaluation of property, plant and Equipment	34	-	-	-
Gain is not reported as part of profit Therefore not included in earnings for any year				

Statement of financial position

	20X4 £'000	20X5 £'000	20X6 £'000	20X7 £'000
Carrying amount of asset at year end (included in capital employed)	128	120	112	-

Summary

	Situation A No revaluation £'000	Situation B Revaluation £'000
Aggregate impact on earnings (20X4 to 20X7)	25	(9)

Answer to Interactive question 13

Changing payment dates

		Current ratio	Quick ratio
Option 1	(1,600 ÷ 1,000) and (1,100 ÷ 1,000)	1.60:1	1.10:1
Option 2	((1,600 + 300) ÷ (1,000 + 300)) and ((1,100 + 300) ÷ (1,000 +300))	1.46:1	1.08:1
Option 3	((1,600 – 300) ÷ (1,000 – 300)) and ((1,100 – 300) ÷ (1,000 – 300))	1.86:1	1.14:1

Answer to Interactive question 14

Ethical pressures Motivations

(1)	The new Managing Director (MD) is motivated to try to maximise the post-acquisition earnings from the target company. This will help to increase EPS and the acquisition may be perceived as more successful
(2)	If asset carrying amounts are reduced at the date of acquisition, then goodwill will be increased by the same amount. Goodwill is not amortised and, assuming no impairment occurs in the immediate post-acquisition period, the effect on earnings from increasing goodwill will be nil
(3)	By reducing the asset carrying amounts, the depreciation and amortisation expense related to non-current assets will be reduced in the post-acquisition period, as will inventory amounts charged to cost of sales. If asset carrying amounts were increased, the opposite would occur and post-acquisition earnings would be adversely affected

(4)	Accounting standards such as IFRS 3 and IFRS 13 are clear in the determination and treatment of the fair values of the acquired assets, liabilities and contingent liabilities. However, judgement is still required in determining fair values. It is essential that an unbiased approach be used in applying the judgement necessary. IFRS 13 has eliminated some of the subjectivity.

Actions to consider

(1)	The MD should be made aware of the issues involved, including the potential professional and legal issues. The requirements of the relevant accounting standards should be explained to her.
(2)	It may be appropriate to discuss and explain the situation to other members of the board of directors and to seek their opinions. They may be able to add support.
(3)	If the MD continues to try to dominate and exert influence on the contents of the report, then it would be appropriate to consult the ethical handbook, the local district society support member and/or the confidential ethics helpline
(4)	The approach of the MD may raise concerns about her ethical approach to business in areas other than financial reporting. It is important to remain alert to other potential areas of inappropriate practice. Ultimately the domineering approach of the MD may lead to the conclusion that alternative employment should be sought.

Answers to Self-test questions

1 Wild Swan

1.1 Capital employed and gearing

Calculations of ratios	20X3	20X2
ROCE = Profit before interest and tax ÷ Capital employed	728 ÷ (4,613 + 105 + 1,442 – 386) = 12.6%	669 ÷ (2,598 + 1,183 – 3) = 17.7%
Gearing = Net debt ÷ Equity	(105 + 1,442 – 386) ÷ 4,613 = 25.2%	(1,183 – 3) ÷ 2,598 = 45.4%

1.2 Commentary on financial performance and position

Profitability

The overall profitability of the company has remained stable, with a constant net margin and a slightly increased gross margin offset by increased overhead costs. Revenue growth of 10.5% ((24,267/21,958) – 1) has been achieved without an adverse effect on the net margin.

The drop in ROCE from 17.7% to 12.6% is due to the asset revaluation in 20X3. If the revaluation surplus is removed, the comparison between the years is much more valid.

Asset turnover and ROCE may be artificially high due to the company's plant being old and therefore heavily depreciated. This is suggested by the large depreciation charge on plant (as a percentage of carrying amount). Alternatively, this together with the major investment in replacing assets could indicate that plant has a relatively short life.

Liquidity and working capital management

For a manufacturer the trade receivables collection period appears satisfactory, though it has increased by six days compared with 20X2. This may be due to the increased sales volume, possibly encouraged by easier credit terms.

The current and quick ratios both appear low, though they have improved compared with 20X2. This appears to be due mainly to the large and increasing bank overdraft and to trade payables, which have increased by 18% compared with revenue growth of 10.5%.

Seasonal factors may have distorted the liquidity position, for example because the business has built up inventory to meet a sales peak shortly after the year end. This would tend to increase trade payables and overdrafts. Interest expense amounts to only 6% of the average overdraft, which suggests that the year-end balance is high relative to the year as a whole.

The decision to hold large amounts of cash, when the company has a bank overdraft equating to 25% of net assets, appears to lack business logic, unless the amounts for some reason cannot be set off against each other.

Long-term solvency

The company made a share issue for £168,000 in the year. It has very little non-current debt, having issued only £105,000 in 20X3 and having none in issue in 20X2, but it does have significant overdrafts. Although the gearing ratio of 25.2% appears acceptable, it has been reduced by the asset revaluation.

Even if the debt was issued just before the year end (and therefore would not have had much effect on the amount of interest charged), the group has high interest cover and could finance more non-current debt. If the business does need debt financing on an ongoing basis (rather than as a result of seasonal factors), it would probably be cheaper to obtain this via long-term loans, rather than maintaining a large overdraft. This would also improve the company's short-term liquidity position.

Cash flow analysis

Operating cash inflows of £1,208,000 compare favourably with operating profits of £728,000. If non-current asset replacement cash flows are deducted, the resulting net operating cash inflow falls to £468,000 (1,208 – 740). This is still more than adequate to finance £82,000 taxation, £67,000 interest and £12,000 preference dividends, leaving £307,000 available for more discretionary use.

£468,000 was paid out in equity dividends, representing 147% of available cash flows before financing (468 as a percentage of (1,059 – 740)). The excess was funded by the share issue/borrowings. This level of dividends places an unnecessary strain on the company's cash position and, if maintained, may lead to insufficient reinvestment to maintain operations.

The gearing of 25.2% is unlikely to threaten long-term solvency but the company would nevertheless benefit from reducing its overdraft in favour of less costly forms of finance.

The cash flow ratios given help analyse the cash amount of:

- return on capital employed
- interest cover

These cash flow ratios eliminate non-cash items such as accruals from the traditional ratios.

The 22.1% cash return on capital employed (cash ROCE) for 20X3 is greater than the 12.6% traditional ROCE. In other words, the net assets generate more cash than profit. This is because the quality of profits is good (net cash inflow is greater than operating profit). Care should be taken in comparing these two ratios. Traditional ROCE includes depreciation, whereas cash ROCE excludes it, as it is non-cash. Depreciation is £965,000 which, if taken into account, more than counteracts this advantage.

Cash interest cover of 18 in 20X3 again compares favourably with the traditional interest cover of 10.9. Cash interest cover would be expected to be slightly higher, as it is also based on net cash flow from operating activities. Interest paid and payable in 20X3 both amount to £67,000 so there are no opening/closing accruals to consider.

Overall it would appear that Wild Swan Ltd has plenty of cash to cover its interest payments at the current time. Interest payable will increase next year if the borrowings were made just before the year end. Given the carrying amount of the non-current liabilities of £105,000 at 31 December 20X3 the interest payable next year should not dent either the interest cover or cash interest cover sufficiently to cause concern.

2 Reapson

Explanation:

(1) **Dividend – 15p per share**

This should be the cash amount of total dividends paid per share (in pence) in the most recent financial year. It ties in with the information provided, as it is the total dividend per the statement of changes in equity divided by the number of shares in issue, that is:

£81.75m ÷ (2 × 272.5m) = 15p per share

This is the absolute amount of the per share dividend paid out by the company. To be of any real meaning, it should be related to some other amount – see below.

(2) **Earnings per share**

This is the measure of the amount earned by the company on behalf of each ordinary share. Its amount is not influenced by the dividend distribution policy of the company, being a measure of earning capacity.

(3) **Dividend cover**

This gives an indication of the security of the dividend flow from the company, measured by reference to its current year profits. (In practice a company can cover dividends out of retained earnings.) If dividend cover is high, then the company is likely to be able to maintain the level of dividend payments even if earnings fall.

Dividend cover is calculated as earnings per share divided by net dividends per share. The impact of the exceptional closure costs (£40 million) and the increase in depreciation resulting from the current year revaluation (£17.5 million reserve transfer) has been to reduce earnings by £57.5 million. If these are added back, the earnings per share would become:

(£222.9m + £57.5m) ÷ 545m = 51.4p

Revised dividend cover would therefore be:

51.4p ÷ 15p = 3.4 times

(4) **Dividend yield**

This gives an indication of the income return that an investor might expect on his or her shares. Because it is based on dividends, it too reflects distribution policy rather than earnings and performance.

The investor could use this to compare with returns on alternative investments.

(5) **Price/earnings ratio**

This is a way of measuring how highly investors value the earnings a company produces. It is therefore not affected by dividend policy.

Investors will pay more for shares now if they expect earnings to rise in the future, as these earnings will be reflected in future dividends and/or capital appreciation.

Using the adjusted EPS figure calculated above the ratio would be:

P/E ratio = Market price per share ÷ Earnings per share = 586p ÷ 51.4p = 11.4 times

3 Verona

3.1 Ratios using figures from the financial statements

	Nice Ltd	Sienna Ltd
Return on capital employed (ROCE)		
(Profit before interest and tax ÷ Capital employed) × 100	((149 + 10) ÷ (4,494 + 800 – 71)) × 100 = 3%	((609 + 5) ÷ (3,788 + 130)) × 100 = 16%
Trade receivables collection period		
(Trade receivables ÷ Revenue) × 89	(1,422 ÷ 3,000) × 89 = 42 Days	(1,731 ÷ 4,400) × 89 = 35 days

Trade payables payment period		
(Trade payables ÷ Purchases) × 89	(438 ÷ 1,500) × 89 = 26 days	(1,062 ÷ 2,100) × 89 = 45 days
Inventory turnover		
Cost of materials ÷ Average inventory	1,416 ÷ ((455 + 539) ÷ 2) = 2.8 times	1,935 ÷ ((684 + 849) ÷ 2) = 2.5 times

3.2 **Comparison of the two companies**

(1) **ROCE**

The managers of Nice Ltd are generating a far smaller return on the resources under their control than are the managers of Sienna Ltd. Sienna Ltd has produced a greater percentage return for each pound invested in the company than has Nice Ltd. This suggests that Sienna Ltd is using its net assets more effectively than Nice Ltd.

(2) **Trade receivables collection period**

Generally, the management of any company will try to obtain payment from credit customers as soon as possible. Sienna Ltd again outperforms Nice Ltd by receiving cash from customers seven days sooner on average.

(3) **Trade payables payment period**

In this case companies usually prefer to put off paying creditors for as long as possible to aid cash flow. Sienna Ltd has successfully managed to pay creditors an average of nineteen days later than Nice Ltd.

(4) **Inventory turnover**

As a further means of improving cash flow, companies try to turn over inventory as quickly as possible, avoiding working capital being tied up in slow-moving lines. Here, Nice Ltd is performing approximately 10% better than Sienna Ltd.

3.3 **Effect of information on Nice Ltd's ratios**

ROCE

This will be affected by the revaluation and the purchase of new machinery.

The revaluation will have had a twofold effect on ROCE. It will increase capital employed by

£700,000 and reduce profit before interest and tax by additional depreciation of £7,000 (700,000 × 4% × 3/12).

Overall this will have reduced ROCE.

The purchase of the machinery will also have reduced ROCE due to capital employed increasing. The depreciation charge for just the last week of the period will not be sufficiently large as to distort comparisons.

Trade receivables collection period

The £300,000 receivable at some point in the future has artificially increased both trade receivables and the related collection period.

Trade payables payment period

The £400,000 will have been included in purchases used in the calculation of the trade payables payment period but as it was paid immediately it will not have been included in trade payables. The payment period will appear lower than it otherwise would have been.

3.4 **Adjusted ratios**

For ratio analysis to be meaningful, it is important to compare like with like. The managing director of Nice Ltd has good reason to feel that the ratio analysis carried out on the two sets of adjusted accounts results in misleading figures.

The group is intending to revalue the property of all group members. Until such time as figures are available for all the companies, an adjustment should be made to exclude revaluations from the ratios. Revaluation of property can result in a marked change in ROCE (as well as other asset-based ratios). The additional depreciation charge should also be added back to net profit.

The trade receivables collection period is normally used to analyse trade receivable payment profiles. Debts due from group companies, especially the holding company, may be subject to constraints outside the control of the receiving company, as in this case. As the holding company can dictate when the debt is paid, the directors of Nice Ltd should not be held answerable for this. Trade receivables should be reduced by £300,000.

The trade payables payment period should be calculated based on the ratio of trade payables to credit purchases. As the payment was made as soon as the goods were delivered, this amount should be treated as a cash purchase and excluded from the calculation.

4 Brass Ltd

4.1 Report as follows:

To: Managing Director

From: Financial Accountant

Date: 9 June 20X3

Subject: Comparative analysis of results with Alliance Breweries Ltd

I set out below my comments on the profitability and liquidity of Brass Ltd compared with those of our competitor, Alliance Breweries Ltd (Alliance). Equivalent accounting ratios to those already calculated for Brass Ltd have been calculated for Alliance and are set out in the Appendix.

Profitability

The fundamental profitability ratio ROCE for Brass Ltd is 25% and for Alliance 42.7%. It does therefore at first sight appear that Alliance has a better overall performance. Further analysis throws light on the reasons for this performance differential.

The ROCE can be subdivided into its two components: asset turnover and net profit margin.

The asset turnovers of Brass Ltd and Alliance are fairly similar (2.05 and 1.74 respectively). This ratio indicates how well a business is utilising its assets. Brass Ltd appears to be making slightly better use of its assets; that is, generating more revenue per pound of assets. This comparison assumes that the assets of the two businesses are comparable and, in particular, that the property, plant and equipment are comparable.

The major reason for the differing ROCE of the two companies would seem to be their different net profit margins. The net profit margin of Brass Ltd is 12.2% while that of Alliance is

24.5%. This is despite the fact that Brass Ltd has the better gross profit margin of 63.7% compared with 60.5% for Alliance. Since both companies operate in the same business, the gross profit percentage should be fairly similar and in fact the cost of sales figures are very similar. Brass Ltd appears to be able to sell its beer at higher prices. Possible reasons for this might include the following:

- A greater proportion of premium beer sales, such as real ale and more expensive lagers
- A greater proportion of higher added value goods, such as meals and accommodation
- A greater proportion of sales to the free trade at a higher margin (indicated by higher receivables)
- A better reputation and more longstanding customer base

This favourable differential in the gross profit percentage is more than negated by Brass Ltd's substantially higher overheads which cause our company to have a considerably inferior net profit margin.

Reasons for the differences in administrative and distribution costs include the following:

- Low depreciation (1%) of freehold hotels and public houses by Alliance (see below)
- Higher expenditure on advertising and promotion to establish the brands of Brass Ltd
- Directors of the two businesses earning substantially different salaries

In conclusion, Brass Ltd should be the more profitable business because of its higher gross margin. Overheads need to be carefully reviewed and reduced so that this is reflected in the net profit.

In particular, we must carefully review our advertising and promotion expenditure in comparison with Alliance. Currently Alliance spends considerably less than Brass Ltd because it has invested a substantial amount in the acquisition of well-established brands.

Liquidity

Brass Ltd has a current ratio of 1.4 and a quick ratio of 1.1, whereas Alliance has a current ratio of 1.5 and a quick ratio of 1.2. This would suggest that Alliance has slightly better liquidity; however, the figures may not be strictly comparable due to the different trading strategies.

Brass Ltd has inventory turnover of 8.1 compared with 13.8 for Alliance. This suggests that either Brass Ltd is overstocked or possibly that we hold a greater number of inventory lines. This greater range of products may to some extent account for our higher prices and gross margin. In either case, a serious review of stockholding policy is necessary to remedy any deficiency and to optimise the strategy.

The trade receivables collection period for Brass Ltd stands at 65 days, about a week slower than Alliance at 58 days. This is probably due to our higher proportion of customers buying on credit.

Brass Ltd has a £20 million loan in issue which is due for repayment in 18 months. As you are aware, that is why we are accumulating our cash balance which currently stands at

£5,102,000. Hopefully, by the redemption date, we will have sufficient cash to redeem the debt.

In summary, the liquidity positions of the two companies appear fairly similar except that Brass Ltd has to be able to generate sufficient funds to repay its loan in 18 months. To facilitate this the company needs to reduce its inventory levels so that the inventory turnover ratio is closer to that of Alliance, and also to improve credit control to reduce the trade receivables collection period. Improved cost control, as mentioned above under profitability, should also have positive benefits.

4.2 **Adjustments required to the financial statements of the two companies for a more relevant comparison of their relative performance**

(1) **Depreciation of freehold buildings**

The freehold buildings of Alliance Breweries Ltd are being depreciated over 100 years as opposed to our 25 years. This has a significant impact on the depreciation charge and therefore on profit. We should review our depreciation policy for buildings.

(2) **Revaluation of land and buildings**

Either eliminate the revaluation and associated depreciation from the Brass Ltd accounts, or revalue the land and buildings of Alliance Breweries on a similar basis. Either adjustment would have the effect of improving the ROCE of Brass Ltd relative to that of Alliance.

(3) **Intangibles**

Write off the intangibles and associated amortisation from the accounts of Alliance. This would have the effect of reducing the ROCE of Alliance.

The net effect of the three adjustments would be to improve the ROCE of Brass Ltd relative to that of Alliance Breweries Ltd.

Appendix – Ratio analysis for Alliance Breweries Ltd

(1) ROCE = Profit before interest and tax ÷ Capital employed = 35,123 ÷ (82,080 + 150) = 42.7%

(2) Asset turnover = Revenue ÷ Capital employed = 143,100 ÷ (82,080 + 150) = 1.74

(3) Net profit margin = Profit before interest and tax ÷ Revenue = 35,123 ÷ 143,100 = 24.5%

(4) Gross profit percentage = Gross profit ÷ Revenue = 86,600 ÷ 143,100 = 60.5%

(5) Current ratio = Current assets ÷ Current liabilities = 26,840 ÷ 18,260 = 1.47

(6) Quick ratio = Current assets ÷ Current liabilities = 22,738 ÷ 18,260 = 1.25

(7) Trade receivables collection period = Trade receivables ÷ Revenue = (22,738 ÷ 143,100) × 365 = 58 days

(8) Inventory turnover = Cost of sales ÷ Inventory = 56,500 ÷ 4,102 = 13.8

5 Caithness plc

5.1 **Commentary on relative financial performance and position**

Manufacturing companies tend to have a lower return on their capital employed (ROCE) than non-manufacturing, due to their higher capital base.

However, Sutherland Ltd's ROCE is significantly lower than that of Argyll Ltd. The revaluation of Sutherland Ltd's freehold property will be a factor if it resulted in an uplift of asset values. This would:

- increase the depreciation charge and reduce the return; and
- increase capital employed.

However, Argyll Ltd's ROCE will probably decrease once the lease has been properly accounted for; the right-of-use asset will probably increase capital employed by a greater relative amount than the replacement of lease rentals by depreciation will increase profit. (The finance cost element of a lease is presented within finance charges, below the profit before interest and tax.)

Although the gross profit percentage of Sutherland Ltd is less than that of Argyll Ltd:

- the net margin is higher – indicating overhead costs are higher in Argyll Ltd; but
- Argyll Ltd's rental costs with regard to the lease are recognised at present in profit or loss, which is not permitted under IFRS 16.

The current and quick ratios look healthy, as they are all well in excess of 1:1. Sutherland Ltd appears to hold more inventories than Argyll Ltd. This is evident from:

- the higher number of days in inventories; and
- the fall from the current to the quick ratio for Sutherland Ltd is greater than for Argyll Ltd.

Sutherland Ltd has more money invested in working capital than Argyll Ltd. This is evident from:

- a higher trade receivables collection period (although this is artificially high, as another group company accounts for £200,000);
- a lower trade payables payment period; and
- a higher inventory turnover period – though Argyll Ltd's inventory looks very low for a manufacturing company.

Argyll Ltd has a higher gearing ratio than Sutherland Ltd and, probably as a consequence of this, a lower interest cover. Both these ratios will worsen once the lease is correctly accounted for.

Argyll Ltd could have raised some finance in the year, though this might be unlikely given that Argyll Ltd has leased equipment recently.

Cash ROCE relates operating cash flow to the same capital as in ROCE. It would appear that Sutherland Ltd is more efficient than Argyll Ltd at turning operating profits into cash, as cash ROCE is higher than ROCE for Sutherland Ltd and lower for Argyll Ltd.

However, it is not clear what the effect of the lease capitalisation will be on Argyll Ltd's cash ROCE. The cash generated from operations (the numerator in the calculation) will rise as the lease payments are added back, but so will capital employed (the denominator). The effect on cash ROCE depends on the relative changes in each.

Short-term liquidity may be more of an issue for Sutherland Ltd, given its higher working capital ratios.

The effect of dividend policy also needs to be considered, as this could affect a number of ratios.

5.2 **Further information needed with reasons**

- The particular manufacturing sector in which the group operates – would help to provide sector comparatives.
- Comparatives for the same period in the previous year – would help to provide a benchmark for each company.
- Actual statements of comprehensive income and of financial position for each company – to judge the effect of the revaluation, the lease and the £200,000 receivable. Specific amounts would be needed for the revaluation and the lease.
- Cash flow information to establish:
  - whether Sutherland Ltd may have short-term liquidity problems from high working capital ratios; and
  - whether Argyll Ltd has raised any finance in the year.
  - Details of any dividend distribution.

5.3 **Commentary in the light of the managing director's knowledge**

Certain facts regarding the managing director of Argyll Ltd now appear to be suspicious.

- He was previously the head of the (combined) accounts department and may still be in a position to exert influence.
- Once Argyll Ltd's lease has been correctly recognised, its ROCE will decrease but its gross profit percentage and net margin will increase. Although at the moment its ROCE and gross profit percentage compare favourably with Sutherland Ltd, its net profit percentage does not.
- Sutherland Ltd appears to be taking longer to collect its debts than Argyll Ltd – this is in part because of the inter-group sale arranged at the instigation of Argyll Ltd.

The following information would be useful to confirm the legitimacy of items listed under Additional information (2) to (4).

- The reasons behind the revaluation
- The details of the lease, for example whether there are lease incentives or deposits which should be included in the value of the right-of-use asset
- Whether the inter-group sale really was to the benefit of Sutherland Ltd (for example sale made at a profit) or a transaction engineered by Argyll Ltd's managing director
- Whether the managing director of Argyll Ltd has any other motive to improve Argyll Ltd's figures (shareholding, bonus, and so on)

6 Trendsetters Ltd

6.1 **Cash flow ratios**

	20X2	20X1
Cash ROCE		
(Cash return ÷ Capital employed) × 100	869 ÷ (7,152 + 1,500 – 3,742)	(882 + 55) ÷ (4,872 + 1,000 – 910)
	= 869 ÷ 4,910 = 17.7%	= 937 ÷ 4,962 = 18.9%
(Cash from operations ÷ Profit from operations) × 100	869 ÷ (2,293 + 165)	882 ÷ (162 + 102 – 55)
	= 35.4%	= 422%
Cash interest cover		
Cash return ÷ Interest paid	869 ÷ 165 = 5.3 times	(882 + 55) ÷ 102 = 9.2 times

Commentary

- The slight fall in the cash ROCE from 18.9% to 17.7% shows that the company's efficiency is falling. This is confirmed by a more dramatic fall in the net asset turnover from 0.63 (3,102/(4,872 + 1,000 – 910)) to 0.45 (2,201/(7,152 + 1,500 – 3,742)).
- Although on the face of it the company has made a much higher profit before tax in 20X2 (£2,293,000) compared with 20X1 (£162,000), this 20X2 profit before tax includes a one-off £1,502,000 profit on disposal of PPE.

- This is further illustrated by the decline in the ratio of cash from operations to profit from operations, which has fallen from 422% to 35.4%. The quality of Trendsetters Ltd's profits is clearly falling.
- Cash interest cover has fallen from 9.2 to 5.3. This is partly because the cash return has fallen slightly (from £937,000 to £869,000) but mainly because of the increase in interest paid from £102,000 in 20X1 to £165,000 in 20X2.
- Interest paid has increased by 62% over the year, yet borrowings have increased by only 50%. It may be that the company is now having to pay higher interest rates to compensate lenders for increased risk, perhaps due to shorter-term or unsecured borrowings.
- The disposal of stores, which has led to a profit of £1,502,000 (presumably because of low carrying amounts and properties held for some years), may indicate the presence of a well thought out restructuring plan which could save the company. However, this seems unlikely as the company's interpretation of fashion trends is likely to be equally well or badly received whatever the location of its stores.
- The sale of the stores therefore looks to be a short-term measure to boost the company's cash resources. Whether this will help the company in 20X3 and beyond depends on how the proceeds of sale are used. If the proceeds are used to acquire a more successful chain of stores or more up to date expertise, the company's real profitability could improve.
- Other factors indicate similar short-termism.
  - Long-term investments have been sold, boosting cash in 20X2 by £32,000 but at the expense of dividends received of £55,000. This sale also made a loss of £101,000, indicating that the original investments were bought when stock markets were higher.
  - The statement of cash flows shows that trade and other payables have risen very substantially during 20X2 (and by a lesser amount in 20X1). This indicates either an inability to pay suppliers (the cash injection from the sale of stores was close to the year end and opening cash only £122,000) or an unwillingness to do so. Pressing suppliers for extended credit terms could lead to a loss of goodwill and ultimately a refusal to supply.
  - No dividends were paid in 20X2, indicating that the company's cash resources were low.
  - Inventories have increased significantly over the year. This may indicate the holding of obsolete inventories which should be written down.
  - Overall, the company appears to be struggling to survive long term, despite the substantial cash balances, and investors should be looking for a change in leadership of the design department to take the company forward with a smaller number of stores.

6.2 **Pressure to improve the figures**

There are several short-term devices which improve short-term performance and/or position, many of which could have been used at Trendsetters Ltd.

- A company could 'window-dress' its cash position by taking out borrowings just before the year end, which it then repays early in the next accounting period.
- The sale of assets (as here, with the disposal of stores) just before the year end will improve the cash position in the short term but the impact of selling any profit generating assets will not have a detrimental effect on profits until the following year.
- Borrowings taken out close to the year end will not impact on interest payable and profit until the following period.

- In areas where management have to make judgements, for example the level of inventory, the recoverability of receivables or the level of impairments in respect of tangible or intangible assets, it is always possible for an unscrupulous manager to justify lower write-offs than are really needed.
- The timing of payments to suppliers can improve the trade payables payment period.
- Sales may be made in the last few weeks of the year, but no provision made for returns (a provision which should be made in Trendsetters Ltd if it allows customers to return for refunds, as many fashion stores do).

Actions

In response to such pressures, the financial controller should:

- consider his own professional position and the ethics of the situation;
- outline the issues to the operational directors and propose solutions that comply with laws and standards; and
- contact the ethical helplines maintained by the professional bodies.

Chapter 24
Financial statement analysis 2

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Objectives and scope of financial analysis

2 Business strategy analysis

3 Accounting analysis

4 Accounting distortions

5 Improving the quality of financial information

6 Financial ratios interpretation

7 Forecasting performance

8 Data and analysis

9 Management commentary

10 Summary

11 Audit focus on fraud

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Appraise the nature and validity of financial and non-financial information included in published financial statements including how these correlate with an understanding of the entity
- Evaluate and appraise the nature and validity of information disclosed in annual reports, including integrated reporting and other voluntary disclosures, including those relating to natural capital sustainability and climate-related risks and opportunities
- Appraise the limitations of financial analysis
- Analyse and evaluate the performance, position, liquidity, efficiency and solvency of an entity through the use of ratios and similar forms of analysis including using quantitative and qualitative data
- Interpret the potentially complex economic environment in which an entity operates and its strategy based upon financial and operational information contained within the annual report (for example: financial and business reviews; reports on operations by management, corporate governance disclosures, financial summaries and sustainability disclosures (including Task Force on Climate-related Financial Disclosures (TCFD) and IFRS® Sustainability Disclosure Standards)
- Appraise the significance of inconsistencies and omissions in reported information in evaluating performance, including using audit data analytics software
- Compare the performance and position of different entities allowing for inconsistencies in the recognition and measurement criteria in the financial statement information provided
- Evaluate the performance of an entity using accounting information in data analytics software using appropriate data analysis tools, including spreadsheets, to interpret and present conclusions
- Construct adjustments to reported earnings in order to determine underlying earnings and compare the performance of an entity over time
- Analyse and evaluate business risks and assess their implications for corporate reporting
- Analyse and evaluate financial risks (for example financing, currency and interest rate risks) and assess their implications for corporate reporting
- Determine analytical procedures, where appropriate using appropriate data analysis tools, at the planning stage using technical knowledge of corporate reporting, data analytics software and skills of financial statement analysis
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Evaluate, quantitatively and qualitatively, using analytical procedures and appropriate data analysis tools, the results and conclusions obtained from audit procedures

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**Objectives and scope of financial analysis** As an ICAEW Chartered Accountant you need to appreciate the importance of disaggregated information as a basis for financial analysis, performance evaluation and decision making.	**Approach** This is a short chapter overview – read it quickly.	This topic is not examined.	N/A
2	**Business strategy analysis** This chapter brings together elements of your study from your whole Workbook, aspects of financial management and business strategy and your study of financial ratios from Chapter 23.	**Approach** This material should be familiar to you from your Professional Level studies of business strategy. **Stop and think** The emphasis in this section is on competitiveness.	This material is for background only. It has not been examined to date.	N/A
3	**Accounting analysis** This section builds on the material in Chapter 23, but looks at it from a different angle. For example, choice of accounting policy is discussed in terms of whether it is compatible with business strategy.	**Approach** Focus on paragraph 3.1.3, which shows the spectrum of creative accounting from legitimate to outright fraud. **Stop and think** Why would creative accounting be used?	Creative accounting can come up in an integrated question in the context of audit, for example potential window dressing.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
4	**Accounting distortions** You should be aware of the difficulties in interpreting financial information as a result of the flexibility afforded by certain standards and the potential misrepresentatio n of such information.	**Approach** Distortions occur mainly in assets, but also liabilities and equity. The scope for distortion has been restricted by recent standards, but not eliminated. **Stop and think** Which recent standards have reduced scope for accounting distortions?	Now that the scope for distorting revenue has been restricted by IFRS 15, you may get a question where IFRS 15 has not been followed.	N/A
5	**Improving the quality of financial information** Having shown how financial information can be distorted in the previous section, we go on in this section to show ways of undoing the distortion by making key adjustments.	**Approach** Key adjustments are made to undo distortions and standardise the financial statements. These include adding back off balance sheet items and revaluing assets to fair value. **Stop and think** Assets may be understated as well as overstated.	As mentioned in the previous chapter, you may need to adjust financial statements of a potential acquisition to achieve comparability and to make an informed decision as to whether to go ahead.	N/A
6	**Financial ratios interpretation** Building on material in Chapter 23, this section goes into more depth regarding problems with interpreting financial ratios.	**Approach** Pay particular attention to the paragraphs on 'profit margin – the base data' and the factors that determine the line-items that go into the ratio. Finally we revisit cash flows in depth.	In an exam you are much more likely to be given financial ratios to interpret or correct in the light of adjustments you have made.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		Stop and think This is where strategy and accounting meet.		
7	**Forecasting performance** This section considers how we forecast financial statements and analyse the impact of business decisions on the value of a company.	**Approach** Forecasting will never be an exact science, but it is helped by: Analysing and re-stating the existing accounts where necessary. Understanding the business model. **Stop and think** Again, this is where strategy and accounting interact.	It is unlikely that the emphasis will be on preparing forecasts in an exam. However, you may need to adjust an existing forecast in the light of corrections made to the current period's financial statements.	**IQ1: Forecasting revenue** A short question, presupposing that the assumptions are correct. **IQ2: Forecasting capital expenditure** This question asks for your judgement on which financial ratio to use.
8	**Data and analysis** This section introduces the topic of data and analysis. In a later chapter, this is looked at more formally in the context of data analytics, a specialised aspect of data analysis.	**Approach** Focus on the worked example, which has ratios already calculated. You can test yourself by **Stop and think** Is it possible to have too much data?	You may be given several years' worth of data to analyse. Data analytics (see later chapters) has started to be examined recently.	N/A
9	**Management commentary** The limitations of financial statements and financial ratios led to the requirement for a management commentary.	**Approach** Read through the whole of this short section. **Stop and think** The management commentary is a link between past and future performance.	A recent exam question tested the management commentary in the context of analytical procedures to identify the risks of misstatement.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
10	**Summary** This has been a long chapter, so a summary is provided to help you put the issues in perspective.	**Approach** Read and highlight – you can use this for revision. **Stop and think** How can accounting ratios help with forecasting?	This summary section would not be specifically examined.	N/A
11	**Audit focus on fraud** Following on from the creative accounting issues raised in this chapter, this section deals with fraud. Not all creative accounting practices are fraudulent, but most can be considered 'red flags' and should alert the auditor to potential fraud.	**Approach** Learn the definition of fraud. It is not the same thing as sharp practice. Focus on the section on aggressive earnings management, which links in with creative accounting discussed earlier. **Stop and think** Why would management try to manipulate profits to appear lower than they are?	This is a likely topic, because it links financial reporting, audit and ethics.	**IQ4 and 5** These questions are interlinked. Having raised issues at the audit planning meeting regarding the risk of fraud, the auditor has to consider the information it wants from the client. Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

Once you have worked through this guidance you are ready to attempt the Further question practice included at the end of this chapter.

1 Objectives and scope of financial analysis

Section overview

Financial analysis is the process through which the stakeholders of a company, such as shareholders, debt holders, government and employees, are able to assess the historical performance of the company and form a view about its future prospects and value.

Financial analysis involves the following:

- The evaluation of a firm's business strategy, risks and profit potential
- The assessment of a firm's accounting policies and its conformity to its business strategy
- The evaluation of a firm's current and future performance and its long-term prospects
- The prediction of a firm's future performance

2 Business strategy analysis

Section overview

This section analyses the business strategy of a firm by looking at the industry in which the firm operates, the competitive positioning of the company and the organisational structure and wealth creation potential.

2.1 Business strategy analysis

A company can claim to create value if the rate of ROCE exceeds its weighted average cost of capital (WACC). The WACC is the return that the capital contributors to a company, ie, its equity and bond holders, require and is determined in the financial markets. Thus the WACC is largely exogenous to the management of a firm. (This has been discussed in your Strategic Business Management Workbook.)

The ROCE, on the other hand, is largely determined by the management of the company and is a reflection of the decisions that management has made with regard to investment, production and pricing policies, as well as the structure of the industry in which the company operates. A company that operates in a highly competitive industry has less freedom to raise prices than a company that operates in a less competitive industry. Similarly, investment in research and development will allow a firm to produce more innovative products, to create patents and so on.

The various aspects of the operation of a firm that determine its return on capital will be investigated in three stages. The first stage involves the investigation of the profit potential of the industry in which a firm operates. The second stage will investigate the competitive positioning of a firm within a given industry. The third stage investigates the sources of value of a particular firm.

2.2 Industry analysis

It is a fact of life that different industries have different rates of profitability. Industry analysis deals with the analysis of the factors that determine the profit potential of a particular industry.

Since profit is the difference between revenues and costs, and since price setting in the output or input markets depends on the competitive structure of each market, industry analysis explains the profitability of an industry by the degree of competition in the industry. The degree of competition within an industry depends on:

- the degree of rivalry between the firms of an industry;
- the barriers to entrance into the industry;
- the substitutability of the industry's products;
- the price elasticity of the industry's products; and
- the structure of the input markets.

2.2.1 Degree of rivalry

In some industries such as retailing, firms compete aggressively by cutting prices, whereas in other industries such as those involving services, there is less aggressive competition through prices, and the competition takes the form of branding or some other distinctive product differentiation. An example of a company that does not compete on price, but on product differentiation would be a company that makes bespoke hand-crafted furniture. The factors that determine the degree of rivalry are as follows:

(a) **The growth rate of the industry**: If the demand for the products of an industry grows rapidly, then revenues can grow through expanding production, without the need to cut prices. If on the other hand the growth in demand for the products of the industry grows slowly, then firms may be inclined to compete on price. Similarly, in a low growth situation, excess capacity in the industry may force prices down.

(b) **The number and relative size of the firms in the industry**: The number of firms in an industry determines the ability of firms to collude, as it is easier to co-ordinate price fixing when the number of players is small. In addition, where there is a small number of equally sized companies, then the companies can simply collude to divide up the market without any pressure on the prices. When an industry consists of a large number of different sized companies, then price competition is more likely. In general the airline industry is a good example of a fragmented market with high degree of price competition.

(c) **The degree of product differentiation in the industry**: Industries which allow product differentiation at low costs will also tend to compete on non-price terms, as differentiated products are imperfect substitutes and therefore less sensitive to price changes.

(d) **The existence of scale economies**: Scale economies exist when average production costs fall as the scale of operation of a company increases. Thus larger firms can reduce costs because of larger cost efficiencies and in order to achieve this larger size they may have to cut prices to increase production.

(e) **The degree of operating leverage**: The operating leverage of a firm measures the ratio of fixed costs to variable costs at a given level of output. When the degree of operating leverage is high companies may be inclined to reduce prices to expand the operations and thus use more the fixed factors of production that give rise to fixed costs.

(f) **Capital specificity**: If there is excess capacity in an industry, an alternative to cutting prices is for a company to leave the industry and move into a different industry. However, the ability to do this may be limited by the specificity of the capital (human and physical) to an industry and the heavy costs of converting the existing capital for a different use.

2.2.2 Barriers to entrance

Barriers to entrance make it difficult for new entrants to enter an industry and to increase competition. The main barriers to entrance are as follows:

(a) The **minimum size of operation**: In many industries there is a minimum size of operation that only a small number of firms can attain.

(b) **Early entry advantage**: In certain industries the first entrant generates an advantage that makes it difficult for other entrants. An example is a company that has secured for a number of years the supply of material.

(c) **Distribution channels**: In certain industries distribution channels are controlled by competitors and it is therefore difficult for the products to reach the consumer.

(d) **Regulation and legal constraints**: There may be regulations that prevent the entry into a specific industry of companies unless they meet certain requirements.

2.2.3 Product substitutability

For a number of industries there are substitute goods and the degree of substitutability affects the price-setting behaviour of the entire industry. While there is some degree of substitutability between cars and bicycles, it is unlikely that many car users will switch to cycling. Public transport on the other hand is a closer substitute and it is much easier for motorists to switch to public transport.

2.2.4 Price elasticity

The price elasticity of the demand for the products of an industry is also an important factor in the determination of the industry structure. The price elasticity measures the sensitivity of demand changes in the price of a product. When demand is highly sensitive to price changes, then companies may not be able to increase revenues by raising prices, since this will be offset by a fall in the demand.

The price sensitivity of a product also depends on the number of buyers of the product. Where the number of buyers is small, a firm may be in a weak position. Firms that sell their products to the public sector are in a particularly weak position, as there is no alternative market for their products.

2.2.5 The structure of the input markets

The structure of the input markets determines the price that firms pay for their inputs. In markets where there is a larger number of suppliers it is easier for a firm to negotiate lower prices.

2.3 Competitive analysis

In the previous section we analysed the factors that affect the structure and consequently the profitability of an industry. In this section we shall discuss the factors that determine the positioning of a firm within a given industry.

There are basically two options that a firm has in deciding where to position itself relative to the industry in order to create a competitive advantage. The first option is to produce at a lower cost than the other firms in the industry. The second option is to produce products that are sufficiently differentiated so as to be less sensitive to prices.

2.3.1 Low cost strategy

A low cost strategy can be achieved by a company through the following:

(a) **Economies of scale**: As we discussed above, economies of scale exist when the cost of production per unit of output decreases as the level of production increases. Thus companies which reach a certain size may be able to follow a low cost strategy.

(b) **Economies of scope**: Economies of scope exist when the average cost per product decreases as the number of products produced by the company increases. This is due to the existence of fixed factors of production which can be used more efficiently when used

by a larger number of products. The attainment of economies of scope is sometimes the main reason for the merger of companies.

(c) **Efficient organisation and production**: The efficient organisation of a company which reduces duplication of responsibilities, and reduces operational costs, as well as the adoption of more efficient production methods may also lead to lower costs.

(d) **Lower input costs**: If a firm can achieve lower input costs because it has for instance monopsonistic power, then the firm can achieve lower costs of production.

2.3.2 Product differentiation

The second strategy for the creation of competitive advantage is through **product differentiation**. As we already discussed in the previous section, product differentiation reduces the competitive pressure on a firm and thus it allows for greater profitability.

Product differentiation can take several forms, such as branding, product quality, product appearance, delivery timing, terms of purchase or service, after-sales service and so on.

2.3.3 Assessing a competitive strategy

An understanding of a company's strategy will require, among other things, an appreciation of its key success factors and risks. One aim of financial analysis is to evaluate how well the company is managing these factors.

For example, in the pharmaceutical industry, a key factor for success might be the number of new drugs brought to the market through the research and development (R&D) process. Expenditure on R&D might be one factor to indicate the extent of the R&D process. While expenditure does not guarantee successful products, any changes in expenditure might be indicative of longer-term commitment.

Further examples might be the level of bad debt write-offs on loans for banks and the level of warranty provisions for any company where product quality is a key indicator.

A key factor in financial analysis is evaluating a company not just in isolation but by comparison with its competitors. Where companies in the same industry adopt different accounting policies, analysts may need to apply adjustments to the financial statements in order to compare like with like.

This does not, however, mean that all companies in the same industry should have the same accounting policies, and the same measurement bases. Similarly, a company might make lower warranty provisions or bad debt write-offs than other companies in the industry. This might be through imprudent accounting, or because the company in question has better quality products and better credit management. An analyst's judgement and wider knowledge of the company is needed rather than a blanket adjustment to adopt the same accounting policies for all companies in the industry.

2.4 Corporate strategy and sources of value

The third step of business analysis deals with the investigation of the sources of value of the firm. We have already discussed that value is created when the ROCE exceeds the WACC, and the factors that affect an industry's ROCE which is in a sense a constraint but also an estimate of the ROCE for an individual firm. We have also covered the two strategies which firms adopt in order to maximise their ROCE. In this last session of competitive analysis, we look at how the structure of a firm and its corporate strategy affects its ability to create value.

2.4.1 The structure of a firm

A firm will be able to create value only if it is efficiently organised. The exact organisation of a company will depend on the transaction costs which are incurred in carrying out transactions

which are related to the operations of a firm. The theory that underpins this view of corporate organisation is the transaction costs theory of the firm which postulates that firms are formed because transaction costs within an organisation are lower than the costs of transacting through the markets. Depending on the nature of the business, an organisation may reduce its transaction costs by engaging in multiproduct production instead of producing a single product. This rationale underpins the diversification of, for example, the banking industry into other areas such as insurance and securities trading.

2.4.2 Assessing value creation ability

How do we assess whether the organisational structure of a particular firm generates value? The fundamental test is whether transaction costs within a firm are higher than in the market. An example of a situation where value is created by resorting to the market is outsourcing. A second test is the existence of scope economies which can be exploited to reduce costs and create value. Economies of scope are generated by the more intensive use of a fixed factor of production. Such a fixed factor of production could be a brand name, a unique delivery channel etc. The third test is the existence in a company of mechanisms that reduce agency costs. If a company passes all three tests then it is highly likely that the company has the ability to generate value.

3 Accounting analysis

Section overview

This section analyses the sources of financial information that are needed for the financial analysis of a company and the steps that need to be taken in order to identify potential problems and resolve them.

3.1 Scope of accounting analysis

The second stage of financial analysis is the evaluation of the accounting policies of the company and their conformity with the business strategy of the firm. Accounting analysis involves the following steps:

- Evaluation of key accounting policies
- Evaluation of disclosure quality
- Identification of 'red flags'
- Elimination of accounting distortions

3.1.1 Evaluation of key accounting policies

An assessment needs to be made as to whether the accounting policies adopted attempt to inflate or deflate earnings and asset values in a systematic way. If, where options for accounting policies exist, the directors have always selected the option that inflates profits, then there may be concerns over the quality of the reported earnings measure and whether it reflects (or distorts) underlying cash flows and economic circumstances.

Companies also have to exercise judgement and make assumptions in the application of accounting policy. Assumptions include, for example, figures for employee turnover, mortality rates and future increases in salaries (if these will affect the eventual size of future benefits such as pension payments).

3.1.2 Evaluation of disclosure quality

Good quality disclosure makes it easier for valid financial analysis to take place. While GAAP sets a minimum level of disclosure, there is nothing to prevent companies disclosing more than the minimum. Indeed, many would expect a management keen on accessing capital markets to provide full disclosures of key information, whether or not these were required by accounting standards.

Consideration might be given to the following:

- Whether any disclosure is made in addition to the minimum required by accounting regulations
- Whether the company has taken advantage of any exemptions from disclosure in accounting standards, or produced the bare minimum disclosure
- Whether additional disclosure is quantitative and detailed; or alternatively qualitative and only indicative
- Whether the information is disclosed in the notes to the financial statements and thus subject to a statutory audit; or only in the accompanying information in the annual report and therefore only subject to review
- The details in the supplementary statements, which are largely unregulated (such as in the operating and financial review) and whether they provide an adequate explanation of current performance
- Where alternative performance measures are used, clear explanations of the reconciling items to the amounts in the financial statements
- Whether unusual items and policies are adequately explained and justified
- Clear explanations of any uncertainties and assumptions used in arriving at the amounts recognised in the accounts
- The level of detail and relevance of segmental disclosure, where management has significant discretion as to the method of analysis
- Whether non-accounting disclosures during the year have been consistent with the picture presented in the financial statements

3.1.3 Identification of 'red flags'

The information contained in the financial statements will be used for the analysis of the historical performance of a company or as the basis for the formation of expectations about the future performance of the company and the estimate of its value. The validity of all three tasks will depend on the reliability of the information derived from the financial statements. If the information is misleading then it may lead to erroneous conclusions about the past and future performance of a company. Thus the information contained in the financial statements should, as a first step, be assessed for its quality. There are three basic aspects that need to be taken into account when interpreting financial ratios, namely compliance of financial statements with the GAAP, the quality of audit and the presence of creative accounting. Of the three, creative accounting is by far the main way of manipulating information and for this reason we devote more attention to it.

Creative accounting is the active manipulation of accounting results for the purpose of creating an altered impression of the underlying financial position or performance of an enterprise by using accounting rules and guidance in a spirit other than that which was intended when the rules were written.

The spectrum of creative accounting practices may include the following (commencing with the most legitimate):

- Exercise of normal accounting policy choice within the rules permitted by regulation (eg, first in, first out (FIFO) or average cost for inventory valuation)
- Exercise of a degree of estimation, judgement or prediction by a company within reasonable bounds (eg, non-current asset lives)
- Judgement concerning the nature or classification of a cost (eg, expensing or capitalising development costs)
- Systematic selection of legitimate policy choices and estimations to alter the perception of the position or performance of the business in a uniform direction
- Systematic selection of policy choices and estimations that fall on the margin of permitted regulation (or are not subject to regulation) in order to alter materially the perception of the performance or position of the business, for example the timing of revenues and receivables
- Setting up of artificial transactions to create circumstances where material accounting misrepresentation can take place
- Fraudulent activities

The following have been put forward as incentives for companies/managers engaging in creative accounting:

a. **Income smoothing**: Companies normally prefer to show a steady trend of growth in profits, rather than volatility with significant rises and falls. Income smoothing techniques (eg, declaring higher provisions or deferring income recognition in good years) contribute to reducing volatility in reported earnings.
b. **Achieving forecasts**: Where forecasts of future profits have been made, reported earnings may be manipulated to tie in with these forecasts.
c. **Profit enhancement**: This is where current year earnings are boosted to enhance the short-term perception of performance.
d. **Maintain or boost share price**: Where markets can be made to believe that increased earnings represents improved performance, then share price may rise, or at least be higher than it would be in the absence of creative accounting.
e. **Accounting-based contracts**: Where accounting-based contracts exist (eg, loan covenants, profit-related pay) then any accounting policy that falls within the terms of the contract may significantly impact on the consequences of that contract. For example, the breach of a gearing- based debt covenant may be avoided by the use of off balance sheet financing.
f. **Incentives for directors**: There may be personal incentives for directors to enhance profit in order to enhance their remuneration. Examples might include: bonuses based on earnings per share (EPS), share incentive schemes and share option schemes. Directors may also benefit more indirectly from creative accounting by increasing the security of their position. Incentives such as bonuses are not limited to incentives for directors and may be incentives for management who also have the ability to manipulate results on a day-to-day basis.
g. **Taxation**: Where accounting practices coincide with taxation regulations there may be an incentive to reduce profit in order to reduce taxation. In these circumstances, however, it may be necessary to convince not only the auditor, but also the tax authorities.
h. **Regulated industries**: Where an industry is currently, or potentially, regulated then there may be an incentive to engage in creative accounting to influence the decisions of the regulator. This may include utilities where regulators may curtail prices if it is perceived that excessive profits are being earned. It may also be relevant to avoid a reference to the Competition Commission.

i. **Internal accounting**: A company as a whole may have reason to move profits from division to division (or subsidiary to subsidiary) in order to affect tax calculations or justify the closure/expansion of a particular department.

j. **Losses**: Companies making losses may be under greater pressure to enhance reported performance.

k. **Commercial pressures**: Where companies have particular commercial pressures to enhance the perception of the company there is increased risk of creative accounting. For example, a takeover bid, and the raising of new finance.

Questionable accounting policies and inadequate disclosures may be regarded as warning signs that there are undue pressures on management to improve performance or that there is poor corporate governance. This might be reflected in both accounting policies and estimates adopted, but also by manipulation of underlying transactions that might be revealed by financial statement information, or hidden by inadequate disclosure.

'Red flags' and detection

The best detection techniques for creative accounting are a good knowledge of financial accounting regulation and a good understanding of the business. There may, however, be more general techniques and indicators that can suggest that a company is engaging in creative accounting practice. These include:

a. **Cash flows**: Operating cash flows are systematically out of line with reported profits over time.

b. **Reported income and taxable income**: Is financial reporting income significantly out of line with taxable income with inadequate explanation or disclosure?

c. **Acquisitions**: Where a significant number of acquisitions have taken place there is increased scope for many creative accounting practices.

d. **Financial statement trends**: Indicators include: unusual trends, comparing revenue and EPS growth, atypical year-end transactions, flipping between conservatism and aggressive

e. accounting from year to year, level of provisions compared to profit indicating smoothing, EPS trend and timing of recognition of exceptional items.

f. **Ratios**: Ageing analyses revealing old inventories or receivables, declining gross profit margins but increased net profit margins, inventories/receivables increasing more than sales, gearing changes.

g. **Accounting policies**: Consider if there is the minimum disclosure required by regulation, changes in accounting policies, examine areas of judgement and discretion. Consider risk areas of: off balance sheet financing, revenue recognition, capitalisation of expenses and significant accounting estimates.

h. **Changes of accounting policies and estimates**: Is the nature, effect and purpose of these changes adequately explained and disclosed?

i. **Management**: Estimations proved unreliable in the past, minimal explanations provided.

j. **Actual and estimated results**: Culture of always satisfying external earnings forecasts, absence of profit warnings, inadequate or late profit warnings leading to 'surprises', interim financial statements out of line with year-end financial statements.

k. **Incentives**: Management rewarded on reported earnings, profit-orientated culture exists, other reporting pressures eg, a takeover.

l. **Audit qualifications**: Are they unexpected and are any auditors' adjustments specified in the audit report significant?

m. **Related party transactions**: Are these material and how far are the directors affected?

The above is not a comprehensive list, but merely includes some main factors. Also, it is not suggested that the above practices necessarily mean there is creative accounting but, where a number of these factors exist simultaneously, further investigations may be warranted. Any review of such 'red flags' as warning signs needs to be seen within the bigger picture of the current commercial situation of the company, and the strategy it is adopting.

3.1.4 Elimination of accounting distortions and restatement

The final step of the accounting analysis is the elimination of the distortions from the financial statements and their restatement with the correct information. We shall devote a whole section to this topic later.



Professional skills focus: Assimilating and using information

Note the importance of using the data analytics software to bridge the gap between financial reporting and auditing. The data analytics software can be used to identify risky transactions for additional testing, for example unusual transactions or trends.

3.2 Sources and problems of accounting information

Accounting information is contained in the financial statements of a firm, namely:

- the statement of financial position;
- the statement of profit or loss and other comprehensive income or separate statement of profit or loss and separate statement of comprehensive income disclosing other comprehensive income;
- the statement of changes in equity; and
- the statement of cash flows.

These are in addition to the notes to the financial statements and market values or prices.

Unfortunately, the accounting information contained in the above sources can be manipulated by the management of a company, for a variety of reasons. For even when a company follows closely the accounting standards, there may be some discretion afforded in the presentation of the accounts.

That is why the first two aspects of the financial analysis process, as defined in the previous section, deal with the assessment and correcting of financial information.

Every financial statement produced by a corporate entity should be produced according to some accounting standard. All EU member states, and many other countries outside the EU, have adopted the International Financial Reporting Standards (IFRS® Accounting Standards) for listed companies. The adoption of common accounting standards restricts the freedom of management to record the same transaction in different ways. The uniformity of accounting standards makes comparison between firms and across time easier. However, this comes at the expense of flexibility in the accounting treatment of genuinely different businesses.

One example where such a rigidity and lack of management discretion may lead to distortion of accounting figures is IAS 38, *Intangible Assets* which requires firms to recognise assets for development expenditure when they are likely to produce future economic benefits, but also requires firms to expense the preceding research outlays when they are incurred. Development expenditures are those incurred for the actual development of a new product. Research expenditures on the other hand are not directly associated with any product, although some research expenditure will give rise to a future product. IAS 38 does not allow

firms to distinguish between research and development expenditure in the early stages leading to a systematic distortion of reported results.

The IASB has tried to reconcile consistency with rigidity and in many cases the standards define general principles rather than specific rules. However, the direction of travel in some of the recent standards is towards clear guidance. A good example of this approach is IFRS 16 on leasing, which gives the directors little discretion at the margin to decide which arrangements constitute a lease.

Another source of potential distortion of accounting information is the requirement that management predict the future outcome of current transactions. When a firm makes a sale on credit, accrual accounting principles require that managers estimate the probability of collecting the future payments from the customer. If the probability is high the transaction is treated as a sale creating trade receivables on its statement of financial position. Managers then have to make an estimate of the receivables that will be collected, which may differ from the realised payments.

The broad-based approach of the IASB which affords a certain degree of discretion to the management of a company, and the nature of accrual accounting imposes an additional burden of interpretation and judgement on the auditor and the user of the financial information.

3.3 Audit and financial statement quality

The first verification of the integrity of any financial statements produced by a company is performed by the external independent auditors of the company. In the EU, minimum auditing standards are laid down by the Eighth Company Law Directive, which among other provisions specifies that audits should be carried out in accordance with the International Standards on Auditing (ISAs).

Although auditing presents an independent assessment of the firm's financial statements, auditing is not sufficient to prevent fraudulent presentation of the financial health of a company by management which, as the cases of Enron and Parmalat show, might not be detected by the auditors.

These failures of the auditing processes may be due to inadequate adherence to auditing rules, lack of understanding of the business, or simply connivance on the part of the auditing team. Given these auditing failures, the audited accounts of a company should not be accepted uncritically as the basis for drawing conclusions on a company's historical or predicted performance.

In the following section we look at some of the areas of the financial statements and the accounting policies that may give rise to distortions of the financial information.

4 Accounting distortions

Section overview

This section discusses the most common distortions in the accounting information contained in the financial statements.

In the previous section we discussed the potential for distortion of accounting information. In this section we discuss the most common distortions and how these may arise.

4.1 Distortions in assets

Distortion in assets takes the form of overstating assets which is reflected in increased reported earnings (increased revenue or reduced expenses) or understating assets which is reflected in deflated earnings (reduced revenue or increased expenses).

The main reason for the distortion of assets is due to the ambiguity or the freedom of accounting reporting rules. We look at some of the most salient examples of the international accounting standards and how they can give rise to this kind of distortion.

Asset distortion can be the result of earnings smoothing where earnings are overstated or understated so as to eliminate volatility and present a smooth pattern over time.

4.1.1 Depreciation and amortisation of non-current assets

The using over time of non-current assets must be recorded in profit or loss. The depreciation of a non-current asset should match the decline in its remaining economic life, which needs to be estimated. The salvage value of the asset at the end of its economic life also needs to be estimated. Thus the depreciation expenditure recognised in profit or loss is partly at the discretion of the management. Two different companies operating in the same industry may end up with different depreciation schedules because of the different assumptions on economic life and residual values. Lufthansa for example assumes a shorter economic life for its aeroplanes than British Airways but the interpretation of this accounting policy difference may be unclear.



Context example: British Airways and Lufthansa

The German airline Lufthansa reported in its financial statements that it depreciates its aircraft over 12 years on a straight-line basis using an estimated residual value of 15% of the original cost.

By contrast, British Airways reported in its financial statements that it depreciates its aircraft over 20 years on a straight-line basis using an estimated residual value of 8% of the original cost.

The difference could lie as much in the companies' asset replacement policies as in their depreciation policies.

The difference might be one of mere accounting policy choice where financial analysis would need to make adjustments to compare like with like when interpreting the underlying performance of the two companies. Alternatively, there may be differences of commercial substance that would make a different depreciation policy acceptable as reflecting commercial reality, in which case no adjustment would be needed.

Possible commercial explanations to justify the different depreciation treatment would be: different utilisation of aircraft, different types of aircraft being used, different maximum speeds, more long- or short-haul flights, different levels of maintenance and use of older planes.

In fact, any difference is likely to be a mix of accounting and commercial differences and any analysis needs to exercise careful judgement in making relevant adjustments. An understanding of management motivations may also help. In the case of Lufthansa the depreciation rates were used for tax purposes whereas this was not the case with British Airways.

(Source: Palepu, K.G., Healy, P.M., Bernard, V.L., Peek, E. (2007) Business & Economics. London: Thomson Learning)

4.1.2 Capitalisation of development costs and intangible assets

The growth of internet, telecommunications and service companies has made the measurement of intangibles a key issue, even though it is difficult to measure precisely their value. With financial statements treating many intangibles as off-balance sheet assets, there may be little information to make such valuations within the financial statements.

In many traditional industries such as the pharmaceutical industry where research and development expenditure plays an important role, the non-recognition of research and development as capital due to the uncertainty of future benefits may lead to valuable assets being ignored or overlooked.

The impact of ignoring intangible assets or not valuing them properly on all ratios that involve the use of asset estimates can be significant. Profitability ratios such as the return on assets or activity ratios will be overstated, making it difficult to analyse historical performance, to forecast performance or to value a company.

4.1.3 Leased assets

Until recently, the main issue regarding leased assets was whether lease payments should be recognised as capital costs and hence capitalised and depreciated, or whether lease payments should be treated as an expense. In the first case the lease was a finance lease, whereas in the second case it was an operating lease. Despite strict classification criteria, there was still scope for discretion on the part of management leading to an understatement of assets classified as held under finance leases and therefore of the total assets of the company.

The introduction of IFRS 16, *Leases* (covered in Chapter 14) will make such distortions much more difficult to achieve. IFRS 16, which is effective for periods beginning on or after 1 January 2019, requires that lessees recognise all leases in the statement of financial position except for short leases and leases of low-value assets. For lessors the distinction between finance and operating leases still applies.

Now that the option of operating leases is no longer available for lessees, entities wishing to avoid capitalising lease payments may attempt to demonstrate that the transaction is not a lease. IFRS 16 contains many examples that demonstrate clearly whether a transaction is or is not a lease, covered in detail in Chapter 14, and this could form the basis of part of a question, possibly in the context of ethics.

This will affect the gearing ratio where leases are treated as part of long-term debt. Research shows that putting leases in the statement of financial position has significant effects on gearing and other key ratios.

4.1.4 Sale and leaseback transactions

Some companies use sale and leaseback transactions (see Chapter 14) as a means of raising finance. This is a common feature of certain industries such as retailing and hotels where the entity may have a significant number of high value properties.

Before IFRS 16 (see above), where a sale and leaseback transaction resulted in an operating lease and the transaction is established at fair value, any profit or loss was recognised immediately.

However, this treatment is no longer available under IFRS 16. Under IFRS 16, only the gain that relates to the rights transferred may be recognised. In addition, such transactions must meet the criteria under IFRS 15, *Revenue from Contracts with Customers* to be recognised as a sale, based on the satisfaction of IFRS 15 requirements on performance obligations. Should the transaction not meet these criteria, the entity must continue to recognise the asset 'sold' and a financial liability equal to the 'sale' proceeds by applying IFRS 9. Fewer transactions are likely to qualify than formerly, so there will be less incentive to undertake such an arrangement.

Context example: Shipping industry

On 4 July 2019, Moore Stephens published an online report *Sale and Leaseback Transactions and IFRS 16 Implications,* which discusses the effect of IFRS 16 in the context of the shipping industry:

"The implementation of the new standard may have a substantial impact on gearing ratios of shipping companies that charter in a substantial number of vessels under an operating lease, as the

new treatment will increase both gross assets and liabilities. Total debt will be higher and this may have an impact with loan covenants based on total debt levels as it may lead to breaches due to the upcoming accounting changes.

The changes could also impact profitability. Under the current treatment, costs are spread evenly over the period of the operating lease. Under the new standard, there are two elements determinant:
1) the depreciation of the vessel; and 2) the interest charge. The depreciation will be accounted for using the straight line method but the interest charge will be weighted towards the earlier part of the lease. Although the total lease charge will be the same over the charter period, it will be more front- loaded, with higher charges in the earlier years."

(Drakoulakos, 2016)

4.1.5 Mergers and acquisitions

Accounting for mergers and acquisitions follows two approaches: the pooling of interests method (merger accounting) and the acquisition method (acquisition accounting).

Under the acquisition method, the cost of merger for the acquiring firm is the actual value that was paid for the acquisition of the target company's shares. If the price paid plus the value of the non- controlling interest is above the value of the acquiree's net assets, then the excess is recorded as goodwill on the acquiring firm's statement of financial position.

While the pooling of interests method is not permitted by IFRS 3, *Business Combinations*, there is no requirement for retrospective adjustment of previous mergers. This creates problems when financial ratios are used for the evaluation of the historical performance of a company. To standardise the method of consolidation, the pooling of interests needs to be reversed and replaced by the acquisition method, which requires fair value adjustments and recognition of goodwill.

4.1.6 Revenue recognition

Managers sometimes have incentives to recognise future revenues overstating earnings and receivables. This will, of course, be followed by a decline in the earnings in subsequent years, so unless a company experiences a consistent growth in earnings, early revenue recognition will not help the long-term performance of the company. IFRS 15, *Revenue from Contracts with Customers,* in force since January 2018, is much more specific than its predecessor about the amount and timing of recognition.

4.1.7 Allowances

Management may sometimes find it to its advantage to underestimate the expected default loss from receivables and thus to underestimate allowances and overstate earnings and assets.

4.1.8 Discounted receivables

Companies may sell their receivables in order to boost their liquidity. There are two options for the recording of such a sale. The first is for the transaction to be recorded as a sale. The

second is for the transaction to be recorded as a loan with the receivables being collateral. Such a transaction will be recorded as a sale if the IFRS 9, *Financial Instruments* criteria for derecognition are met and the buyer undertakes all the risks and rewards of the receivables.

4.2 Distortions in liabilities

The most common distortion on the liability side involves:

- provisions
- unearned revenues
- post-employment benefit obligations

4.2.1 Provisions

A firm that expects a future outflow of cash due to a contractual obligation but whose exact amount is not known will need to make a provision for such a liability. Firms, however, have the discretion to estimate these future liabilities and the possibility to understate them on their statement of financial position.

4.2.2 Unearned revenues

Unearned revenues arise when a company receives payments in advance of selling the good or service. Such unearned revenues create liabilities that need to be recognised. Companies may understate such a liability.

4.2.3 Post-employment benefit obligations

Under IFRS Accounting Standards, firms that provide pension benefits or other post-employment benefits to their employees need to recognise the present value of future payments net of the assets that are dedicated to the payment of these future benefits. The company needs to adjust these liabilities every year in the light of current service costs, interest costs, actuarial gains and losses, past service costs and benefits paid.

4.3 Distortions in equity

Distortions in equity arise either from contingent claims or the recycling of gains and losses (reclassification from equity to profit or loss). Contingent claims take the form of stock options or conversion options.

Stock options

Stock options give the right to employees to buy a company's shares at a predetermined price within a specific period of time. IFRS 2, *Share-based Payment* requires that firms should report the cost of options as an expense in profit or loss using the fair value of the option, which can be estimated using option valuation models. However, such models are not very accurate, as they depend on the volatility of share prices which is not observable and has to be estimated from market data. Thus it is possible that the cost of stock options may not be stated correctly.

Conversion options

Convertible bonds can be considered as being made up of an ordinary bond and a call option on the shares of the company. IFRS 9 requires that the company values the ordinary bond component separately from the call option component.

Reclassification (recycling) of gains and losses

Gains or losses on some items may be recorded as other comprehensive income and accumulated in equity, and later reclassified to profit or loss. Gains or losses on other items may not be reclassified to profit or loss. (IAS 1, *Presentation of Financial Statements* now distinguishes between these two types of gains/losses.)

5 Improving the quality of financial information

Section overview

This section suggests ways of undoing the accounting distortions in the financial statements, and produces a measure of sustainable earnings. The possibility of using cash flow data instead of earnings is also discussed.

5.1 Undoing accounting distortions

If financial analysis reveals that a company's financial statements are deemed to be inadequate, misleading or atypical of the industry, then it is important that adjustments are made to undo the inadequate policies, as far as possible, in order to produce 'standardised' accounts which can form the basis for decision-making, forecasting future performance on a comparable and valid basis and, ultimately, contribute to an appropriate valuation.

It should be noted that accounting manipulation and 'red flags' could arise not only where management are attempting to inflate profit. Overconservative accounting, or excessive prudence, may be as much of an issue as aggressive earnings management when attempting to forecast future earnings from a current earnings basis.

Key information as a starting point to make such adjustments is disclosed in the notes to the financial statements, and the statement of cash flows. Other information in the public domain about the company should also be used.

The following sections give examples of specific adjustments that can be made to the statement of financial position and the statement of profit or loss (and other comprehensive income) as part of the process of standardisation.

5.2 Statement of financial position adjustments

The statement of financial position shows the assets, liabilities and equity of a company. The two major issues arising from accounting policies, even when they are in full compliance with GAAP, are:

- the amounts at which assets and liabilities are measured may differ significantly from their economic values; and
- some valuable assets and significant liabilities may not be recognised at all.

Any forecast based on accounting information which is to be used for cross-sectional comparison purposes, or as an input into a valuation model, first needs to address these issues by making appropriate adjustments by:

- remeasuring assets and liabilities at fair market values;
- adding back (ie, recognising) off balance sheet liabilities and assets with commercial value; and
- adding back assets that have been previously written off (goodwill, impairment reviews etc).

In practice, most acquirers and investors determine firm value by calculating the sum of the market value of the debt and the equity invested in the business. In this case, a separate valuation of individual operational assets and liabilities rarely takes place. A large proportion of firm value is likely to be related to the present value of future growth opportunities, and is not represented by current earnings or assets.

In contrast, lenders calculate firm value from the worst-case perspective. They often estimate the fair value of assets in place assuming a break-up, to check that the capital of their loan is secure.

5.3 Adjusting the assets

If the carrying amount (ie, 'book value') of assets is either understated, or overstated, by comparison with their economic values and with those of comparable companies, this can have important implications for forecasting and valuation. As an example, some companies may wish to state assets at cost rather than a revalued amount as, although revaluation 'improves' the statement of financial position, it does so at the cost of higher depreciation and lower reported profit. This may affect some companies (eg, those with profit-related remuneration schemes or with earnings-based covenants) more than others. Some examples and motivations were discussed in the previous section.

Non-current assets

There are a number of areas that affect the recognition and recording of non-current assets, such as fair value recognition, depreciation and amortisation, inflation, impairment and interest capitalisation. In order to adjust the financial statements, financial analysis will be required to do the following:

(a) Revalue to fair value non-current assets which are currently recognised in accordance with the cost model and/or assets which have not been revalued recently

(b) Standardise the depreciation method

(c) Review asset lives compared with competitors and recent replacement policy (eg, consider profit/loss on disposal, readjustments of asset lives). See the 'British Airways and Lufthansa' illustrative example above

(d) Review residual values (eg, a weakness in the market for second-hand aircraft caused a significant depreciation adjustment by EasyJet in 2004)

(e) Impact of foreign currency – for non-monetary assets no adjustments are made under IAS 21, *The Effects of Changes in Foreign Exchange Rates* for exchange rate movements after purchase (although there will be an impact of foreign currency changes over time if there are consistent asset replacements)

(f) Look for evidence of adequacy of impairment charges (eg, poor trading conditions, decline in fair values, previous recent revaluations, rival companies' recognition of impairment in similar assets)

(g) Impact of general inflation or sector inflation

(h) Capitalisation of interest policy to be standardised with comparable companies, normally by treating the interest as an expense and deducting it from the asset value

Intangible assets

There are two general approaches to resolving the problems generated with the accounting treatment of intangibles. The first approach is to leave the accounting numbers as they are, but in analysing historical performance and in forecasting the analyst should be aware that the rate of return is understated and that it represents the lower end of the estimates. The second approach involves recognition of the intangible asset and amortisation over their expected life.

(a) Revalue at fair value intangible assets which are currently recognised in accordance with the cost model, or that have not been revalued recently. This process may be very difficult in some circumstances, and could amount to valuing the company as a whole. However, if the purpose of adjustments is to forecast firm values, then the process becomes circular.

(b) Recognise internally generated intangible assets at fair value where IAS 38 and other asset recognition criteria are not satisfied, but the assets have commercial value. (For many 'asset- light' companies the statement of financial position would be largely meaningless unless unrecognised intangibles are reinstated at some estimated value.)

(c) Consider capitalisation of the commercial value of unrecognised R&D costs, particularly where these are significant, and a key factor for success such as in the pharmaceuticals industry.

(d) Review the amortisation policy for intangible assets for consistency and comparability, in terms of both asset life and residual value.

(e) Look for evidence of adequacy of impairment charges.

(f) Consider changes in the fair value of goodwill on acquisitions.

Leased assets

Whether an arrangement constitutes a lease or not affects the statement of financial position and the profit or loss and hence a large number of key ratios. IFRS 16, *Leases* makes it very clear whether or not an arrangement is a lease and requires recognition of all leases (except short leases and leases of low-value items) in the lessee's statement of financial position. But even if the standard's strict criteria have been applied, it may be sensible to do the following:

- Consider, and if necessary recompute, the method of allocating finance charges on leases over the period of the lease, in particular having regard to whether the interest rate implicit in the lease has been used correctly (or, if this is not available, the lessee's incremental borrowing rate).
- Review depreciation policy and asset lives as for owned assets.

Inventories

(a) Standardise for the effects of different inventory identification policy choices, including FIFO, average cost and standard cost.

(b) Consider specific price changes in the industry.

(c) Consider adequacy of write-downs to net realisable value, particularly where inventory volumes have increased, or where prices have fallen.

(d) To the extent of available disclosure, consider the impact of overheads being included in inventories on a reasonable basis, particularly where inventory volumes have changed in the year.

(e) Impact of foreign currency – as inventories are a non-monetary asset, no adjustments are made under IAS 21 for exchange rate movements after purchase (although there will be an impact of foreign currency changes over time as there are consistent inventory replacements).

Receivables

(a) Consider adequacy of bad debt write-offs (eg, compared with competitors, prior experience, known insolvencies among customer base, increases in receivables days ratio).

(b) Consider the likely timing of any bad debt recovery, and how it might affect liquidity.

(c) Consider impact if any factoring has taken place.

Long-term assets

- If stated at fair value, consider valuation method used if disclosed, and any post year end changes.
- Review companies on the border of control and significant influence. Equity accounting would take only net assets into consideration, and would take an associate's liabilities off

the consolidated statement of financial position. The restatement of an associate on a full consolidation basis may be appropriate where significant influence borders on *de facto* control. This may significantly affect reported consolidated figures for highly geared associates. The information would be available to the analyst on the basis of the disclosure in the financial statements of the individual companies.

5.4 Adjusting liabilities

The main adjustments to liabilities are:

Long-term debt

The liability may not reflect its fair value if stated at amortised cost. The appropriate adjustment is to review the value of the liability eg, where interest rates or the credit rating of the company have changed.

Also financial instruments containing equity and debt elements, such as convertibles, would need to be reviewed for likelihood of conversion, and any changes in the fair value of the instruments since issue.

Deferred tax

(a) Here we should consider how much, if any, of the provision is likely to crystallise and thus create a future cash outflow. All will reverse on individual assets. However, we must consider the different reversal horizons (eg, there may collectively be no reversals if there is a constantly expanding pool of non-current assets).

(b) Estimate the effects of likely changes in future tax rates which have not been recognised.

(c) Discount future cash flows arising from reversals, and calculate the present value benefit of paying tax later.

(d) Assess recoverability of deferred tax assets (eg, on losses).

Employee benefits

(a) The present value of future obligations can be very sensitive to the assumptions made. Adjustments to the value of the obligation may be required if the assumptions are considered unreasonable.

IAS 19 requires that the assets and liabilities are valued using the rate applicable to 'high-quality corporate bonds'. This has the effect of automatically overstating the present value of liabilities in pension funds.

(b) Stock options under IFRS 2 only reflect the market value at the granting date. The future value sacrifice from strongly in the money employee options may therefore be far greater than is reflected in the financial statements if share prices have risen since the options were granted.

In contrast, gains arising from pension scheme curtailments should result in immediate recognition in profit or loss and a reduction in the present value of the defined benefit obligation.



Context example: British Airways

UK airline British Airways recognised a credit of £396 million in its income statement for the year ended 31.3.07, with respect to changes in a pension scheme. The recognition of £396 million represents 65% of pre-tax profit.

The changes made to the pension scheme included a restriction in future pension increases to movements in the Retail Price Index and an increase in the retirement age to 65.

British Airways plc

Year end	31.3.07	31.3.06
	£m	£m
Turnover	8,492	8,213
Profit before tax	611	616

(British Airways, 2008)

Provisions

Assess probability of provision crystallising, and consider including expected values based on probabilities.

Contingent liabilities

Consider recognition on the basis of expected values based on possibility of occurrence of certain events.

5.5 Adjustments in the statement of profit or loss (and other comprehensive income)

In the same way that reported statement of financial position items need to be restated into a standardised format that reflects their fair value, income and expense items need to be adjusted on a similar basis to improve the quality of earnings. The main adjustments needed are as follows:

(a) The removal of 'non-operating items' from reported income, in order to provide a better measure of operating earnings that are driven by sales to make more valid like for like inter- period comparisons, and to highlight sales margins on a consistent basis.

(b) The removal of non-recurring elements of operating earnings, in order to gain a measure of sustainable earnings. This provides better profit forecasts and improved valuations. The most common non-recurring elements are:
- exceptional items
- discontinued operations
- acquisitions
- elements recognised as other operating income

(c) The adjustment of costs and revenues to a fair value basis, so that they better reflect the fair value of resources consumed and earned in the period. Frequently, this is the other side of the coin to the statement of financial position adjustments highlighted above, but this can also involve correcting for aggressive earnings management.

The above distinctions are not always clear, and different judgements may be formed as to what 'normal' earnings are, and what might be termed 'noise'. Moreover, even where there is agreement as to a transaction having a non-recurring element, there is not always sufficient disclosed information in order to make adjustments with any precision. In such cases, estimates would need to be made on the basis of Keynes's dictum that it is better to be roughly right, than precisely wrong!

It might be worth noting, however, that in normal operating contexts, historical cost measures have been shown by empirical evidence to be both good predictors of current performance and significant valuation tools.

Exceptional items

As exceptional items would not normally recur, they would not form part of future earnings, and thus should be removed. However, while any one type is unusual, exceptional items are generally very common, and are likely to recur in some form in years to come. Indeed, it might be said that the only exceptional thing about such costs is that it is extraordinary for companies not to have them. Care, therefore, needs to be exercised in judging whether an item disclosed separately is, in fact, unlikely to recur.

It is also important not always to accept the judgement of management as to what is exceptional and what is part of normal recurring activities. One view is that exceptional costs are more likely to be separately disclosed by management than exceptional income.

IAS 1, *Presentation of Financial Statements* requires that, where items of income or expenditure are material, their nature and amount should be disclosed separately. These are sometimes called 'exceptional items', although IAS 1 does not use that phrase. The following list illustrates some such items:

- Write-downs of inventories or of non-current assets
- Reversals of previous asset write-downs
- Restructuring costs and provisions
- Disposal of major non-current assets
- Disposals of major investments
- Litigation settlements
- Foreign currency exchange losses or gains
- Government grants
- Significant changes in the fair values of investment properties

Presentation requirements are that the items must:

- appear as a separate line item;
- be presented 'above the line' (ie, as part of pre-tax profit); and
- be presented as part of continuing activities (unless specifically covered by IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*).

IAS 1 expressly forbids the presentation of 'extraordinary items' (ie, items presented 'below the line').

In 2013, Standard & Poor produced a report titled *How Exceptional Accounting Items Can Create Misleading Earnings Metrics,* in which the author Sam C Holland argues:

"The separation of exceptional or special items that companies consider are one-off or non-recurring in nature can lead financial statement users to focus on companies' subjective, adjusted profit measures, rather than on the unadjusted figures that the International Accounting Standards Board (IASB) mandates companies to disclose.

The reported amount of revenues and other income items of profit-making companies exceeds the reported amount of debits or costs. Therefore there is no prima facie reason why one would expect exceptional costs to have a higher reported value than exceptional credit items. However, in order to show the adjusted operating performance in the most flattering light, companies may identify the exceptional items that hindered business performance rather than those that helped."

Operating Profit for Sample of 10 Non financial FTSE 100 Companies

Company	Description of adjusted operating profit measure	No. of years where adjusted operating profit is more than IFRS operating profit	Restructuring costs or impairments in at least three of four years
Bristish American Tobacco PLC	Adjusted profit from operations	4	Yes
Smiths Group PLC	Headline operating profit	3	Yes
Unilever PLC	Underlying operating profit	3	Yes
Whitbread PLC	Underlying operating profit	3	Yes
Shire Pharmaceuticals Group PLC*	Non GAAP operating income	4	Yes
GKN Holdings PLC	Trading profit	3	Yes
BG Group PLC	Business Performance	3	Yes
Associated British Foods PLC	Adjusted operating profit	4	No
The Sage Group PLC	Non GAAP EBITDA	4	No
Serco Group PLC	Adjusted operating profit	4	No

*Shire reports under U.S GAAP

The report argues that these companies' adjusted operating profits often exclude costs related to restructuring, for example impairment of goodwill, that are in fact recurring.

Discontinued operations

A discontinued operation is a component of a company which, according to IFRS 5:

- Has been disposed of in the current period; or
- Is classified as held-for-sale, where there would normally be a co-ordinated plan for disposal in the following period

The component might, for example, be a major line of business, operations in a particular geographical area, or a subsidiary.

The profit or loss after tax from discontinued operations is disclosed as a single figure on the face of the statement of profit or loss and other comprehensive income or statement of profit or loss. An analysis should be disclosed (normally in the notes to the financial statements) to show the revenue, expenses, pre-tax profit or loss, related income tax expense, and the profit or loss on asset disposals.

These items will not form part of sustainable future earnings, and should be removed when forecasting future performance.

In addition, for a discontinued operation, the company should disclose the net cash flows attributable to the operating, investing and financing activities of that operation.

Acquisitions

Where a company has made an acquisition of a subsidiary, or an associate, during the period, only the post-acquisition profit or loss will have been included in the consolidated statement of profit or loss (and other comprehensive income) of the period. In determining sustainable profit, consideration needs to be given to the fact that in subsequent years a full year's profit or loss will be consolidated and, therefore, a time adjustment will need to be made.

However, a series of other factors will also need to be considered, including:

- restructuring costs;
- profit or loss on sale of redundant assets;
- new transfer pricing arrangements;

- other costs of integration;
- changes in accounting policies to make subsidiary consistent with group policies; and
- change in accounting year end to make subsidiary coterminous with the group.

Some of these items will be disclosed, but in other cases analysts would need to make a 'best guess' on the basis of any information that is available.

Elements recognised as other comprehensive income

IAS 1 requires certain items to be recorded as other comprehensive income and accumulated in equity. These are as follows:

- Revaluations of tangible and intangible non-current assets (IAS 16, *Property, Plant and Equipment* and IAS 38)
- Particular gains and losses arising on translating the financial statements of a foreign operation (IAS 21)
- Gains and losses on remeasuring investments in equity instruments, where an irrevocable election has been made to do so (IFRS 9)
- Gains and losses on cash flow hedges (IFRS 9)
- Tax (including deferred tax) on items recognised as other comprehensive income (IAS 12, *Income Taxes*)

In addition, certain items are recognised directly in reserves and disclosed in the statement of changes in equity. These are as follows:

- Equity dividends (IAS 1)
- The correction of errors from prior periods (IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*)
- The effects of changes in accounting policies (IAS 8)

While some of these items might reasonably be expected to recur, they are likely to do so in a random and uncertain manner, with varying effects. Overall, therefore, their non-predictability needs to be considered in evaluating future performance based on current period financial reporting. Note that these items will not affect EPS and reporting earnings directly, but they do form part of a wider measure of comprehensive income achieved by a company.

Accounting estimates

The preparation of financial statements requires many estimates to be made on the basis of the latest available, reliable information.

Key areas in which estimates are made include the following:

- The recoverability of amounts owed by customers
- The obsolescence of inventories
- The useful lives of non-current assets
- The values of non-current assets

As more up to date information becomes available, estimates should be revisited to reflect this new information. These are changes in estimates and are not changes in accounting policies or the correction of errors.

Changes in estimates are recognised in the period in which the change arises. The effect of a change in an accounting estimate is, therefore, recognised prospectively, ie, by recognising the change in accounting estimate in current and future periods affected by the change. As a consequence, such items should not normally result in large one-time charges, but may cause

a reassessment of management's ability and willingness to make reasonable estimates elsewhere in the financial statements.

Prior period errors

A prior period error is an error that has occurred even though reliable information was available. Examples of such errors are:

- mathematical errors
- mistakes in applying an accounting policy
- oversights, or misinterpretation, of facts
- fraud

It should be noted that auditing standards clearly distinguish between fraud and errors, in that fraud is intentional and errors are not. It is normally important to distinguish between misstatements, errors and frauds, but the retrospective accounting treatment is the same in this instance in accordance with IAS 8.

As such, errors may relate to a number of reported periods. IAS 8 requires that these errors are to be adjusted in those past periods rather than in the current period. They will not, therefore, affect current earnings, but may cause doubt about the efficiency of internal controls and raise the possibility that other similar undisclosed errors may have been made.

Re-estimating costs and revenues to fair values

It is necessary to adjust costs and revenues to a fair value basis, so that they better reflect the fair value of resources consumed and earned in the period. This might include making adjustments that correspond to those for the statement of financial position, but also correcting for aggressive earnings management.

Examples of this type of adjustment might include the following:

- Adjustment of historical cost depreciation to a fair value basis
- Adjustment of historical cost amortisation of intangibles to a fair value basis
- Expensing of capitalised interest
- Adjustment for the impact of share-based payments, such as stock options, to the extent that they do not reflect fair value changes since issue (as required by IFRS 2)
- Consideration of how much, if any, of the provision for deferred tax charged in the period is actually likely to reverse, and thus create a future cash outflow
- Adjustment for revenue recognition if there is evidence of aggressive earnings management through accounting policies and estimates, or through unduly advancing actual transactions

5.6 Normalising earnings

Both basic and diluted earnings can be manipulated by the management of a company directly or indirectly. In order to render the earnings figure into a meaningful piece of information the earnings figure needs to be adjusted to reflect the true potential and sustainable earnings of a company. The end result of the standardisation process is a normalised/sustainable earnings schedule which not only adjusts for the differences in recognition and measurement, but also provides a template for standardising presentation, terminology and categorisation.

The following table represents a pro forma, although this is likely to vary with differences between analysts and between the reporting regimes under which the companies being analysed operate.

	£'000	£'000
Sustainable operating income		X
Sustainable revenue		(X)
Sustainable cost of sales		X
Sustainable gross profit		(X)
Sustainable operating expenses		XX
Sustainable operating profit before tax		
Income tax as reported	(X)	
Tax benefit from finance costs	X	
Tax on exceptional items	X	
Tax on other sustainable operating income	X	
Element of deferred tax charge unlikely to crystallise	X/(X)	
Tax on sustainable operating profit		(X)
Sustainable operating profit from sales	X	XX
Sustainable other operating income	(X)	
Tax on sustainable other operating income		X
Sustainable other operating income after tax		XX
Sustainable operating profit after tax		
Non-recurring and unusual items		
Profit from discontinued operations	X	
Changes in estimates	X/(X)	
Profit/losses on sale of non-current assets Impairment charges	X/(X)	
Start-up costs expensed Restructuring costs expensed Redundancy costs	X/(X)	
Unusual provisions Changes in fair values	(X)	
Foreign currency gains/(losses)	(X)	
Other unusual charges and credits	(X)	
Tax on unusual items	X/(X)	
Non-recurring and unusual items after tax	X/(X)	
Profit for the period before finance charges	X/(X)	
	(X)	XX

Note: The above items are stated after standardisation adjustments to individual costs and revenues.

5.7 Statement of profit or loss (and other comprehensive income) adjustments for comparison

The items adjusted above are primarily concerned with determining a comparable trend in operating earnings over time for one company. A key part of financial analysis is also comparing the performance of companies in the same industry.

Such a process will involve normalising accounting policies and estimates across companies as well as over time. As the above illustrative example on British Airways and Lufthansa illustrates, however, this does not mean merely applying the same policy mindlessly to all companies irrespective of circumstances. It may be that different policies and estimates are appropriate to the different economic circumstances of different companies.

A particular difficulty of comparisons arises internationally, where two companies report under different GAAP. For instance, it might be necessary to compare one company reporting under US GAAP with another reporting under IFRS. In these circumstances, there are differences not only in accounting policy selection within a given set of GAAP, but also between the two sets of GAAP. Further adjustments have to be made but any comparisons may be weakened.

Items adjusted as part of pre-tax profit under any of the above headings will also require estimates to be made of the taxation effects, including deferred tax. In so doing, the marginal rate of tax will need to be used where this differs from the average rate.

5.8 Cash flow alternatives to earnings

One solution to the quality of earnings problems sometimes put forward is to examine cash flows instead – the 'cash is king' view. It may be argued that operating cash flows are at least hard figures which are independent of judgement and accounting manipulation. In particular, it may seem as though operating cash flows are recurring and sustainable. Such a view would be inappropriate in many circumstances.

Depreciation and free cash flow

First, operating cash flow adds back depreciation as an accounting number that does not involve a movement of cash. Further down the statement of cash flows, however, there is likely to be a significant outflow under investment activities on the acquisition of non-current assets. Such expenditure, to sustain the asset base of the business, should be regarded as part of recurring cash outflows, as without it the business would decline. Thus, while an arbitrary depreciation figure is excluded, a figure of cash outflows on non-current assets which is under the discretion of management replaces it. R&D expenditures would be a particular example of an item where there is significant management discretion over cash flow expenditure.

Timing of payments

Management may have significant discretion over the timing of some types of payment. In the period leading up to the reporting date, cash payments can be delayed to reduce cash outflows on operations, and increase cash balances. Arguably, there is more discretion on the timing of payments in the statement of cash flows than there is over the timing of the transactions themselves in the statement of profit or loss and other comprehensive income.

Unusual items

Exceptional items are normally included in operating profit. They need to be distinguished from recurring items in cash terms in the statement of cash flows, as well as in accruals terms in the statement of profit or loss and other comprehensive income.

Smoothing and the long term

Some costs are recognised in profit or loss, but will not be cash transactions for some time into the future, and thus would not appear in the current year's statement of cash flows. Examples would include provisions under IAS 37 where the statement of profit or loss and other comprehensive income recognises a future cash flow in the current period as an early warning signal. It is only identified in the statement of cash flows at a much later stage.

A more extreme example is decommissioning costs which are a cash flow, perhaps a long time into the future, but are recognised in present value terms in the statement of profit or loss and other comprehensive income as each year passes.

In both these examples, the statement of profit or loss and other comprehensive income provides a better guide to future forecast cash flows than the historical statement of cash flows.

Non-cash costs

Some costs are recognised in the statement of profit or loss and other comprehensive income but will never be recognised in the statement of cash flows. Share-based payments under IFRS 2 involve an annualised cost of share-based payments, such as employee share options. Such a cost may be inaccurate, being based on the market value at the grant date, but the statement of cash flows does not recognise this cost of equity-settled share-based payments at all. As such, the statement of cash flows fails to capture an important element in assessing performance that is recognised in accruals- based statements.

Bringing forward receipts

Companies can manipulate cash flow from receivables in a number of ways, including settlement discounts, factoring, invoice discounting and securitisation. Such manipulation is at the discretion of the directors in the same way, if not to the same extent, as revenue recognition in the statement of profit or loss and other comprehensive income. Both practices have the problem of 'sustainability', but they can artificially inflate short-term measures of performance.

Assessing the quality of cash flows is perhaps as difficult as assessing the quality of earnings, although for different reasons. Forecasting **future** cash flows is key to financial analysis and corporate valuation. However, historical cash flows are not necessarily any better than historical earnings in achieving this – and in many cases they are worse. In any case, restatement and normalisation is as difficult as it is necessary.

From a valuation perspective, the normalised cash flow and earnings figures are used together to estimate the free cash flows of a business. It is the free cash flow that is discounted to deduce an enterprise value for the business.

6 Financial ratios interpretation



Section overview

This section discusses issues of interpretation of ratios, including those based on cash flow data.

Ratio analysis is the most potent tool of financial analysis. Ratios reduce the dimensionality of the information provided in the financial statements by summarising important information in relative terms. Ratios are based primarily on financial information from the financial statements which, as we have already discussed, can be manipulated by the management of a company. Attention should therefore be paid to the accounting quantities that determine the financial ratios.

6.1 Interpretation of ratios

Some of the ratios that are used in financial analysis, beyond the accounting problems that have been identified, convey very little information if the underlying business operation is not well understood. Good examples are both the trade receivables and the trade payables ratios. A large sale, or a large receipt, immediately before the year end may distort the trade receivables ratio.

Furthermore, the year-end receivables figure is likely to depend far more on the sales in the final month of the year rather than the average. If the final month is unusual (eg, owing to seasonality or growth), the ratio may convey very little information.

The trade payables ratio can be extremely misleading, as it is purchases that generate payables rather than cost of sales. Even if a purchases figure is used, however, this is only possibly valid for retail companies. For manufacturing companies, cost of sales includes not only raw material costs but also production labour costs and overheads, many of which are unrelated to trade payables. This is, thus, a poor ratio to use for manufacturing companies.

A second example is the gearing ratio. It has already been discussed that both non-current assets and liabilities should reflect fair values. In addition, this ratio can be useless as a relative measure unless the operation of the company is well understood. For example, many service-based companies may be 'asset light'. This might include, for instance, IT and internet companies which may have intangibles such as intellectual property rights, but would normally borrow primarily on the strength of their tangible asset base. This may give the impression that the risk of insolvency is higher than in reality and shows that to assess solvency, much more information is needed, such as: the realisable value of assets on sale; timing of debt redemption; conversion rights; replacement or additional financing capacity.

In what follows we concentrate on the problems that arise when the return on invested capital is calculated.

Return on capital employed (ROCE)

It is common for the return on invested capital to be decomposed into its constituent parts using the so-called DuPont analysis, as follows

ROCE = Profits ÷ Capital employed = (Profits ÷ Revenue) × (Revenue ÷ Capital employed) = Profit margin × Asset turnover

To understand what determines the ROCE we need to understand what determines the profit margin and the asset turnover. There are two issues here that need to be assessed. The first is the source of the return on capital, ie, whether it comes from a high profit margin or a high asset turnover. This distinction is important when comparing companies. The second issue is the understanding of the problems associated with the construction and interpretation of the constituent ratios. As was discussed already in strategic analysis, beyond the accounting issues, the financial ratios need to be seen in the context of the overall strategy of a firm both in the medium and the short term.

Profit margin in retailing and manufacturing

A key figure in all the profit margin ratios is cost of sales. This figure is, however, rather different for retailing companies and manufacturing companies. For retailing companies, most of the cost of sales is made up of the cost of buying goods which are later sold in the same condition. One might, therefore, expect issues such as pricing policy, product mix and purchasing activity to affect gross profit margin, but otherwise this figure should be reasonably comparable for companies in the same industry operating in similar markets.

For manufacturing companies, however, the 'cost of sales' figure is more difficult to assess, as it includes all costs in bringing goods to their final location and condition. This includes costs of production, as well as the costs of raw materials. As a result, the gross profit margin for manufacturing companies needs to consider additional factors to those of retail companies that relate to operating efficiency. In particular, it is important to consider the increased possibility of manipulation of inventory value and gross profit through allocations of overheads.

Profit margins – the base data

While profit margins, in effect, consider the relationship between two figures, it is important to understand the individual 'line items' that make up these ratios. Without this, it is difficult to answer such fundamental questions as why revenue has decreased.

Part of the story is in understanding the type of industry, as in the previous section but, in addition, it is necessary to understand the strategy that drives the numbers and the accounting rules that dictate the way they are recognised.

The following is a guide to the factors to consider in determining operating profit.

Revenue

- How is revenue changing – is there a consistent pattern over time? At what rate is revenue increasing/decreasing?
- Is the change in revenue consistent with announced price changes?
- Has sales volume been a factor eg, new competitor, industry trends, cycles, production capacity constraints, inventory accumulation?
- Has the sales mix changed between high-margin and low-margin products?
- Have new products been launched?
- Effect of disposals or acquisitions?
- Effects of currency translation on revenue?

Cost of sales

- Retail or manufacturing
- Impact of raw-material price changes
- Foreign currency changes
- Labour changes – wages rates or quantity of labour
- Impact of overhead costs
- Changes in inventories between opening and closing can affect overhead allocation between profit and closing inventory

Other costs

- What are key costs (eg, R&D for pharmaceuticals, bad debts for banks)?
- Marketing and advertising costs – are these related to revenue changes?
- What proportion of costs is fixed (eg, administration)?

Fixed costs versus variable costs

Fixed costs are those that do not change significantly when sales volumes change. Variable costs are costs that tend to change in line with sales volumes. Unfortunately, IAS 1 does not require companies to disclose which costs are fixed and which are variable. However, certain costs may be regarded as fixed (eg, long-term lease rentals, depreciation and, perhaps, even labour costs in the medium term). Other costs, such as raw materials, are likely to be variable.

It is clear that some industries have high fixed costs, eg, hotels and leisure, airlines, train and bus operators, and heavy industry processes such as glass and steel manufacture. These types of company have high 'operating gearing', which means that profits are sensitive to changes in sales volumes.

This topic of sensitivity is dealt with in more detail below, but for now it is important to appreciate that the relationship between revenue and profit is not linear as revenue changes. Financial analysis should, therefore, expect profit margin changes with sales volumes, and should expect differences in comparing large companies with smaller companies because of efficiency in the use of the asset base.

Intercompany comparisons of profit margins

Any assessments of the value of the ratios are only valid after comparisons with industry norms, or similar competitor companies, as cost structures will vary significantly from industry to industry, so there are few absolute benchmarks.

Rivals will often be similar but they are unlikely to be identical, and many types of differences can occur. These may include differences in:

- size
- product mix
- market positioning, or market strategy
- cost structures
- accounting treatments that have not been possible to standardise precisely
- timings in product life cycles, or business life cycles

While it is important to identify inter-firm differences when calculating profit margin ratios, it is necessary to treat such figures with care.

Activity ratios

Asset turnover ratio

The main activity ratio is the asset turnover ratio, which has been defined in section 1 as revenue over capital employed. However, as activity ratios measure the efficiency with which the assets have been used in generating revenue, the relationship between assets and revenue is only valid for the types of assets which help to generate revenue ie, 'operating assets'. These include: non-current assets, intangibles, inventory and receivables. Investments do not generate revenue, so no logical relationship exists with respect to this type of asset. Thus a more appropriate asset turnover ratio might be a ratio that is based on non-current assets.

Non-current asset turnover ratio = Revenue ÷ Non-current assets

This is one of the most problematic ratios in comparing different companies because companies in different industries vary vastly in terms of the proportion of their assets in the statement of financial position that gives rise to revenues. For a large number of companies in the service industries, such as advertising or financial services, there may be few assets, with revenue being generated by off balance sheet 'assets' such as human resources. In this case, there is likely to be a weak and largely meaningless relationship between revenue and non-current assets. Conversely, in heavy industries such as engineering, non-current assets and their efficient use are key to generating revenue and profits, and thus a much more meaningful relationship exists.

Some problems which arise when we use the non-current asset to turnover ratio are as follows:

- Assets must be revalued to compare like with like.
- Assets added late in the year will contribute little to revenue, so the average of opening and closing non-current assets should be used.

Inventory turnover ratio

The inventory turnover ratio should also be applied with caution. A high number of inventory days may indicate that sales forecasts are not being met, or that there are other marketing-based problems that mean inventories are not being sold as planned. This might be a cause of concern for analysts if it is out of line with competitors or with previous periods.

The ratio is also useful as an inventory-efficiency measure. If the number of inventory days is high, then it might raise the question of whether inventory is being managed appropriately, although the precise level will vary from industry to industry. Industries that have just in time

supplying, or make goods to order, are likely to have the lowest inventory days. Moreover, some industries sell at a high profit margin but only sell infrequently. Other companies sell at a low profit margin but, as a result, aim to turn inventory around quickly.

Where a business is growing, it might be appropriate to take the average of opening and closing inventories, rather than the closing inventories alone.

Problems with this ratio include:

- it can be easily managed as inventories can be run down towards the year end, but maintained at high levels the rest of the year; and
- if a business is seasonal, then inventories will vary at different times of the year, and the ratio may say little.

6.2 Cash flow ratios

As the discussion so far has shown, there are potentially serious problems with the use of accounting-based ratios. An alternative set of ratios based on data from the statement of cash flows have been proposed, known as cash flow ratios.

As the name suggests, these are ratios that are based not on accounting data from the statements of financial position or comprehensive income but on cash data. Although these ratios are free of the vagaries of accounting figures, one must be cautious of cash flow ratios in much the same way as accruals-based ratios taken from financial statements. While cash flows may not be subject to the same type of manipulation as accounting data, they can be distorted by management, as noted above.

More importantly, understanding cash flow is about understanding the inflows and outflows over time. Capturing a snapshot in a ratio is potentially misleading without an understanding of the underlying dynamics of the business. Nevertheless, cash flow ratios may at least highlight some issues and raise questions even if they do not provide many answers.

6.2.1 EBITDA

Earnings before interest, taxes, depreciation and amortisation (EBITDA) is perhaps the most commonly quoted figure that attempts to bridge the profit–cash gap. It is a proxy for operating cash flows, although it is not the same. It takes operating profit and strips out depreciation, amortisation and (normally) any separately disclosed items such as exceptional items.

EBITDA is not a cash flow ratio as such, but it is a widely used, and sometimes misused, approximation. Particular reservations include the following:

(a) EBITDA is not a cash flow measure and, while it excludes certain subjective accounting practices, it is still subject to accounting manipulation in a way that cash flows would not be. Examples would be revenue recognition practice and items that have some unusual aspects but are not disclosed separately and, therefore, not added back.

(b) EBITDA is not a sustainable figure, as there is no charge for capital replacement such as depreciation in traditional profit measures or capital expenditure (CAPEX) as in free cash flow.

6.2.2 EBITDA/Interest

This is a variant of the interest cover ratio referred to in your earlier studies and the overview. It uses EBITDA instead of operating profit on the grounds that EBITDA is a closer approximation to sustainable cash flows generated from operations.

6.2.3 Total Debt/EBITDA

This ratio looks at how difficult a company finds it to service its debt commitments from operations. This figure is often used as the basis of a lending covenant by a bank to a company. The higher the ratio, the higher the perceived risk of default on the loan.

6.2.4 Operating cash flows

This shows the ability to generate cash from assets. Again this is similar to calculating the ratio of operating profit to revenue or to total assets.

Operating cash flows = (Net operating cash flows ÷ Revenue) × 100%

This ratio is the amount of cash generated relative to sales. Revenues can also be adjusted by opening and closing receivables so that both the numerator and the denominator are in cash terms. Essentially, this is the cash flow equivalent of 'operating profit/revenue', but it should be greater as operating profit is stated after depreciation whereas there is no equivalent charge for non-current assets in net operating cash flows.

An alternative ratio to look at is:

Operating cash flows = (Net operating cash flows ÷ Total assets) × 100%

6.2.5 Investment cash flows

Investment cash flows = (Net operating cash flows ÷ CAPEX) × 100%

This is a ratio showing CAPEX cover, ie, the number of times CAPEX is covered by operating cash flow. In a service industry this ratio would be high, whereas in a capital-intensive industry a lower ratio would be expected in most years. Where CAPEX is variable from year to year, the ratio is likely to be volatile, so it is particularly important to look at a trend over a number of years.

6.2.6 Financing cash flows

'Financing cash flows' normally concern the availability of cash to repay debt (ie, the free cash flow). This can be defined in a number of ways, and free cash flow measures (eg, net operating cash flows less CAPEX) would be one proxy.

Debt repayments (in years) = Total debt ÷ Free cash flow

This ratio shows the potential to repay debt in a given time, rather than when debt will actually be repaid.

Cash flow interest cover = Free cash flow ÷ Interest payments

As noted above, this shows the number of times interest payments are covered, but after replacing non-current assets.

Debt servicing = Free cash flow ÷ (Interest + Principal payments)

This shows the number of times interest and capital repayments (where debt is repayable by instalments) are covered, after replacing non-current assets.

6.2.7 Market to book ratio

This is not a cash flow ratio but the market value element is free of accounting distortions. The market to book ratio shows the relationship between the going concern value of the company, and the carrying amount of its net assets. It thus reflects asset backing. This ratio is likely to be highest for companies with unrecognised intangible assets, such as IT companies. If non-current assets have not been revalued, this would also increase this ratio. A ratio of less than 1:1 is common in some industries such as investment trusts, but otherwise it may indicate going concern issues or, possibly, asset-stripping potential.

Market to book ratio = Market value of equity shares ÷ Carrying value of equity (ie, net assets)

7 Forecasting performance

Section overview

This section presents a number of methodologies for forecasting the future performance of a company and discusses the various issues involved, such as aggregate versus disaggregated forecasts and the forecasting of the effects of discrete events such as mergers and acquisitions.

Once the data from the financial statements of the company have been adjusted and through the analysis of the firm's business strategy the drivers of sustainable earnings have been identified, then the future performance may be predicted taking into account the future macroeconomic and industry conditions.

7.1 The production of forecasts

The production of financial forecasts is based on a model of business operation which attempts to identify the long-term drivers of growth of a company. To identify these drivers, a historical analysis of the company should be undertaken based on the financial information derived from company accounts and market data. To obtain the right picture we need to follow the steps of accounting analysis and possible restatement of the accounts as explained in the previous section. We also need to perform a strategic, competitive and corporate analysis in order to assess the underlying economic conditions of the company.

Growth drivers and business strategy

The growth drivers are the factors that affect the revenues and costs of an enterprise and hence its earnings. To understand these drivers, and how they will change over time, it is essential that the analyst understands a company's business model. This includes understanding:

- the main strategies available to the company
- its product or service
- its manufacturing technology and production methods
- its marketing strategy
- its knowledge and skills base
- the competitive and industry environment within which it operates
- its competitive advantage within an industry (if any)
- the durability of that competitive advantage
- the regulatory and other constraints on the company

The analysis of the business strategy would explain certain characteristics of the firm, for example high profit margins due to competitive advantages. Similarly, higher efficiency will be reflected in better activity ratios. However, forecasting is not a mere extrapolation of the past. The future industry conditions as well as the future macroeconomic environment will be a significant factor in the determination of performance.

Industry conditions

The industry conditions that may affect the performance of a company include:

- price competition
- product/service innovation
- marketing and distribution innovation
- technology, and cost reduction

- quality improvement
- imitation
- new entrants
- diversification
- mergers and acquisitions

7.2 Forecasting revenues

Revenue is normally the starting point in setting up a forecasting model. As in the case of earnings, though, we need to find the sustainable revenue figure to forecast. Revenues can be forecast either for the whole company or according to IFRS 8, *Operating Segments* for each business or geographical segment.

Segment reporting allows separate revenue and profit margin forecasts to be made for each segment, together with a separate analysis of risk. These could then be aggregated to produce a more accurate company-wide performance forecast. There are many methods to forecast revenues, and we shall review some of them below.

7.2.1 Market share method

In the market share method, the assumption made is that the share of a company's sales in the industry remains stable. Forecasting takes place in two stages. In the first stage, the sales for the whole industry are forecast. In the second stage the revenue of a specific company may be predicted using its market share.

Industry revenue can be predicted by postulating a relationship between industry sales and some macroeconomic aggregates such as gross domestic product (GDP), inflation rate, interest rates or tax rates.

An alternative method of forecasting industry revenue is to identify microeconomic factors that affect the demand and price of the products of an industry. These include factors such as the price and income elasticity of demand for the products of the industry, seasonality in demand and any other factors which are particular to the industry.

Interactive question 1: Forecasting revenue

You are given the following information on GeroCare, a company operating for the last 10 years in the healthcare industry.

Year	Industry sales	GeroCare sales
	£m	£m
20X2	1,200	180
20X3	1,325	198
20X4	1,450	218
20X5	1,600	240
20X6	1,780	264

Requirement

If industry sales are expected to grow by 20% in 20X7, what is a reasonable forecast for the GeroCare sales in 20X7?

See **Answer** at the end of this chapter.

Note: The above example is fairly simple for illustrative purposes, but were a forecasting exercise to have many variables, spreadsheets could be used so that all the figures did not have to be recalculated when one or more item changes.

7.2.2 Modelling company-specific revenue

An alternative approach to forecasting revenues, which may be more appropriate for a company which does not have a stable market share, is to construct a model for a specific company, which makes revenues a function of various factors. The factors that affect revenue generation normally are:

CAPEX

In stable markets, revenue growth comes from expanding the volume of sales and this comes either from increased productivity, or more commonly from new investment for replacement of existing capital or expansion. Thus CAPEX is a key variable that impacts on revenue. Where a company is expanding its non-current asset base by engaging in CAPEX in excess of that needed merely to sustain its asset base, one might expect additional revenues to be generated.

The impact of this increase needs to be modelled by the relationship between non-current assets and revenue. The existing relationship is captured as we have seen in earlier sections by the non- current asset turnover ratio. The key question in modelling this is whether this ratio remains fairly constant over time.

The acquisition of intangibles

The acquisition of intangibles would clearly impact on revenue forecasts. If a company were to acquire a valuable brand, then revenue might be expected to increase as a result, independently of any other factors. However, as IAS 38, *Intangible Assets* stands, it creates problems of recognition and measurement of intangible assets. Indeed, the problem is not so much assessing the revenue impact of recognised intangibles as attempting to model the impact and value of off balance sheet intangibles.

7.3 Forecasting costs

The key factor in modelling costs is to determine the profit margin. This involves establishing a relationship between costs and revenues.

Fixed costs and variable costs

One possible approach is to separate out cash costs from accounting costs. To the extent possible on the basis of public information, the cash costs should then be separated into fixed costs and variable costs. This is because revenue grows over time (if indeed it does), but not all costs behave linearly, and it is important to have a clear idea how costs are to change in relation to revenues.

Non-cash items in recurring earnings include depreciation and amortisation. These may be regarded as fixed costs, and are dealt with in more detail below.

In terms of other costs, the standard line by line presentation in published financial statements does not make a ready distinction between fixed and variable costs, so estimates need to be made.

While all costs tend to be variable in the longer term, for large changes in revenue, there are some costs which do not vary proportionally with sales in the short run. This is not to say that they do not change at all, as inflationary and other factors may impact on them. They should be adjusted independently of other variable costs, and using separate considerations.

Potentially the largest fixed costs are employment costs, although much will depend on how employees are paid and the company's current policy on recruitment or redundancies, but this comes back to an analyst's knowledge of the business. Fortunately, employee costs are separately disclosed under IAS 19, so these costs can be estimated separately.

One difficulty is that, for a manufacturing company, cost of sales includes fixed cost and variable cost estimates, and it is not always clear which employee costs are included and what proportion of employee costs has been rolled into inventories.

The major variable cost is often raw materials, although this varies from industry to industry. For retail companies, the assumption that cost of sales is entirely variable is normally reasonable, and there are fewer problems.

Operating leverage

The separation of fixed and variable costs in forecasting helps these costs to be separately modelled according to the factors that drive them, but it also has another purpose. The relationship between fixed and variable costs, once established, can be used to estimate a company's operating gearing, and this has important implications for risk assessment.

In essence, operating gearing means that the greater the level of fixed costs, then the more variable the profit margin as revenue changes. Thus high operating gearing means high risk from revenue changes.

As a result, for high operating gearing firms in particular, profit margin is unlikely to be proportional to revenues where there is growth, or a decline. For example, a manufacturing company with high fixed costs will more than double profits if sales double, as fixed costs do not increase with the extra sales.

Structural changes

In modelling cost structures, care needs to be taken that there are not structural changes in the company, or the industry, within the planning horizon, that will alter the overall level of costs or the balance of fixed and variable costs.

These changes may be difficult to foresee, but may include:

- technology changes
- sale and leaseback arrangements
- shifts in the product mix – perhaps identified in segment disclosures
- increased CAPEX to replace labour

Any known disclosure by the company or trends should be considered in this respect.

7.4 Forecasting non-current assets, depreciation and CAPEX

The significance of non-current assets varies from industry to industry. For some service industries, they are immaterial, and thus very simple assumptions will suffice. For heavy manufacturing industries, where there are cycles, there are many more problems.

It is not just the level of non-current assets that matters. Some companies have a large number of small items, while other companies may have a small number of large items (eg, oil rigs). Similarly, one non-current asset may be acquired as a unit, but be replaced and depreciated in several components.

As already noted, the relationship between non-current assets and revenue is important. The impact is likely to vary from industry to industry, but it needs to be established whether the company is growing, the demands this will make on CAPEX, and the nature of the non-current asset turnover ratio in measuring the efficiency with which non-current assets generate revenue.

The simplest assumption – that revenue and non-current assets will vary linearly (ie, the ratio is constant) – may be reasonable in many cases. If so, it gives us a CAPEX forecast, as well as helping with a revenue forecast. However, caution must be exercised in this assumption.

Thus, if we can forecast depreciation, then we can forecast the CAPEX to sustain non-current assets, and the additional CAPEX necessary to accommodate growth. For this to be valid, however, depreciation will need to be based on fair values rather than historical cost, but this should have resulted from our earlier standardisation process.

A key forecasting error can be to obtain reasonable profit projections but underestimate the CAPEX required to sustain and grow the business. Given that free cash flow is essentially calculated as cash from earnings less CAPEX less working capital changes, then this can result in an overvaluation of a business. Thus, a valid depreciation forecast is crucial in this respect, even though it is not, of itself, a cash flow.

Depreciation can be difficult to forecast, as different assets are depreciated at different rates and, although IAS 16 requires disclosures, they are frequently ranges of asset lives rather than for each individual asset.

Estimates can be made from the gross asset values where straight-line depreciation is used, but this assumes that no assets are already fully depreciated. Alternative methods are to estimate average lives for each type of asset or remaining lives.

If asset lives are not too long, we can retrace the additions to each type of non-current asset from previous years' financial statements, then attempt to model forward separate depreciation charges, disposals and other types of derecognition. Any disclosed profit or loss on disposal may give an indication of whether depreciation policies are proving inadequate or overprudent.

In terms of CAPEX, to grow the business – rather than merely compensate for depreciation – it is important to develop growth or no-growth scenarios over the planning horizon. More obviously, however, for the forthcoming 12 months companies may disclose, in the notes to the financial statements, the level of capital commitments entered into, and this can be used as an element of a short-term CAPEX forecast.

Intangibles amortisation can be forecast in the same way, although in this case there needs to be more care with unrecognised expenditure under IAS 38. Although unrecognised as an asset, such expenditure may have important implications for future revenue, and costs and will need to be modelled separately.



Interactive question 2: Forecasting capital expenditure

SouthWest Electric is an electricity supplier in England. Revenues have been stable for the last five years and all the capital expenditure has been dedicated to updating its network. Approval for the creation of a new town of 50,000 people has been given by the Government and SouthWest Electric expects sales to increase by 15% over the next five years.

Requirement

Which of the financial ratios will you use to get a rough idea of the capital requirements of SouthWest Electric, and what are the factors that may affect its accuracy?

See **Answer** at the end of this chapter.

7.5 Forecasting working capital needs

Working capital is needed to sustain the business, and constantly needs to be replaced. If the business is not growing, then the cost of circulating working capital is already included in the profit forecast. If, however, the business is growing, then it is likely that more investment in

working capital will be needed. For example, if revenue is increasing, then more inventories are normally needed to supply customers, and more receivables will usually arise from increased sales. The increase in working capital as a business grows can thus be viewed as an additional cash expenditure on financing the incremental working capital. Conversely, if a business is declining, then working capital is released, generating additional cash.

The simplest way to forecast changes in working capital requirements is to assume a linear relationship between changes in working capital and changes in revenues. This can be achieved using an appropriate financial ratio. Using the historical ratio values and revenue changes as the driver, non-cash working capital needs can be estimated. These then become part of our forecast free cash flow estimation.

There are other components of working capital such as prepayments and accruals, but these normally have little causal relationship with revenue drivers and should therefore be considered on the basis of individual circumstances.

7.6 Forecasting equity

The simplest forecast model is the so-called 'clean surplus' model, according to which any changes in equity result merely from retained profits. Equity at the end of a period is equal to the beginning of period value plus earnings minus dividend payments. With dividends being determined by management, equity is simply determined by earnings.

The 'dirty surplus' model, on the other hand, assumes that equity is affected by items of other comprehensive income. These items are likely to prove difficult to estimate, unless there are some known or systematic effects (eg, with the currency translation of a foreign subsidiary). Much will depend on understanding the particular circumstances of individual companies in this case.

In addition, changes in equity include capital items such as new share issues and share buybacks. These changes in the equity capital of a company should be considered when forecasting statements of financial position, as they change the financial structure of the company.

Unfortunately, unless the company has announced a share buyback or a share issue, then any attempt to forecast these is largely guesswork. Even if a share issue, or a share buyback, seems likely within the forecasting horizon, the timing is at best uncertain. Similarly, the pricing of any issue or buyback is unknown, as the current share price is unlikely to be a good predictor of future price, which is itself uncertain.

Interactive question 3: Forecasting equity

At the reporting date of 31 December 20X6, equity capital for Granthar plc was £50 million. The company predicts earnings of £27 million for 20X7 and has announced a dividend for 20X7 of 20p per share. There are 40 million shares issued.

Requirement

Using the clean surplus model what is your prediction of the level of the company's equity at 31 December 20X7?

See **Answer** at the end of this chapter.

7.7 Forecasting funding requirements

Forecasting funding requirements is equivalent to forecasting the needs of the company in long- term debt, short-term debt and cash. Some models simply forecast net debt as a single

item which arises from the operating and investment activities and working capital needs of the company. This simple approach leaves open the question of how, specifically, the funding will be put in place, and loses key pieces of information available in the financial statements, such as maturity dates on existing debt.

One approach is, therefore, to consider how long-term debt will be raised, and how it will mature. Long-term debt is thus the independent variable. Short-term debt and cash are therefore the residuals (or the dependent variables) needed to match the funding needs from other forecasts.

7.8 Forecasting and acquisition and consolidation

In most situations of financial analysis of listed companies it will be necessary to evaluate not an individual company, but a group of companies. In order to do this it is necessary to understand the impact of consolidation on performance forecasting, and the potential for value creation (or value destruction) in mergers and acquisitions.

The following table provides a summary and reminder of the different types of investment and the required accounting for them:

Investment	Criteria	Required treatment in group accounts
Subsidiary	Control (> 50% rule)	Full consolidation (IFRS 10)
Associate or joint venture	Significant influence (20% + rule)/joint arrangement where parties with joint control have rights to net assets	Equity accounting (IAS 28)
Joint operation	Joint arrangement where parties with joint control have rights to assets and obligations for liabilities	Line-by-line recognition of assets, liabilities, revenues and expenses (IFRS 11)
Investment which is none of the above	Asset held for accretion of wealth	As for single company accounts (per IFRS 9)

IAS 28 requires that associates and joint ventures should normally be accounted for using the 'equity method'. Equity accounting is sometimes called 'one-line consolidation', as there is only one amount shown for an associate in profit or loss (being the parent company's share of the associate's profit), and one amount shown in the statement of financial position (being the cost of investment plus share of post-acquisition reserves).

As the statement of cash flows begins with profit before tax, it already includes the parent's share of the associate's profit. It is, therefore, necessary to adjust the associate's profit so that only the dividends from associates are recognised.

In terms of modelling the associate's contribution to the group, it is normal to consider the associate separately, as it is likely to be affected by different factors from other group revenue and group margins.

7.9 Forecasting the impact of mergers and acquisitions

Modelling would normally assume that there are no major structural changes. Thus, when a merger, acquisition, disposal or spin-off takes place, the forecasting model needs to be amended to take account of these changes. For a company that acquires another company,

there are two major effects that need to be incorporated in the forecasting model. These are synergies and the financing of acquisition.

There are three types of synergies that must be modelled:

(a) Synergies that lead to revenue enhancement

(b) Synergies that lead to cost reduction

(c) Synergies that lead to capital efficiency

Revenue enhancement

Revenue enhancement can come from a range of beneficial factors including increased market presence; enhanced market power; cross-selling opportunities; reduced price competition; and improved ability to service customers.

It might be noted, however, that most of these factors refer to horizontal integration where the acquisition is made in a similar or overlapping market. Where there is vertical integration, such as where a company buys a major customer or supplier, then there is a perverse effect that consolidated revenue in the financial statements may fall. This is because sales from one group company to another are not external sales, and are not reported as revenue. Cost of sales to the purchasing company will also fall, and so – because of this accounting treatment – profit will not change. However, the profit margin would appear much greater in the consolidated accounts than it was in the sum of the two previously independent companies.

A further note of caution in assessing post-acquisition performance is that where an acquisition takes place during a year, only the post-acquisition element of profit or loss items is consolidated.

Cost reduction

The most obvious cost reductions are common costs, eg, head office and functions such as marketing, administration, treasury and distribution. Other areas include reductions in management and, perhaps, procurement economies in terms of discounts.

In modelling such costs, an assessment will need to be made of the proportion of total costs that can be eliminated in the merged entity.

A word of warning, however, may be necessary. In the period immediately following the merger, there may be reorganisation and integration costs such that, in the short term, costs may actually increase compared with the two independent entities. However, such costs are transitory and do not form part of the normalised earnings of the combined entity. If fully disclosed separately they should be reversed but, if not, an estimate will need to be made.

Capital efficiency

The combined entity may be able to use non-current assets more efficiently, thus enabling some disposals to take place or at least reductions in CAPEX in the short term. Similarly, there may be more efficient use of inventories where there is some overlap of product ranges, resulting in greater working capital efficiency. This might well be a significant value driver for forecast synergies.

Financing the acquisition

It is important to separate out the investment decision from the finance decision in modelling any acquisition.

An extreme case is a leveraged buy-out where most of the cash to make the acquisition is borrowed in the expectation that future operating profits will be sufficient to repay the debt and interest. In these circumstances there is likely to be a significant increase in financial risk, due to increased financial gearing. As such, the financing cash flows and net debt need to be

considered carefully, as does the discount rate that must be used in relation to forecast operating flows.

7.10 Forecasting the impact of reorganisation and reconstructions

Companies periodically tend to change the scope and nature of their existing activities as part of strategic change projects. This can involve reconstructing, reorganising, downsizing, cost reduction exercises and similar schemes. The intention of such schemes is normally to improve profitability in the short or long run and, ultimately, to add value to the business.

When such schemes are announced, however, analysts need to estimate the impact of these changes on value. Financial analysis, and financial disclosures, are part of the jigsaw in making such estimates of value creation (if any) arising from the changes.

If a closure, withdrawal or reconstruction relates to a separate segment which is separately disclosed under IFRS 8, then the impact, at least historically, is isolated. Reasonable predictions can then be made of the consequences of the closure, withdrawal or reconstruction. Unfortunately, such happy coincidences are rare, and it is more likely that financial statements will provide only some general clues as to the consequences of reconstructions, even when used alongside other available information.

Nevertheless, the above performance forecasting methodology can be used to estimate changes in future profits arising from a reconstruction and thereby help to assemble a revised valuation for the company.

Moreover, in the set of financial statements published after any material reconstruction, financial reporting disclosures can provide additional, if retrospective, information about the consequences of any reconstruction (eg, exceptional items under IAS 1). Any initial forecasts can then be amended to re-evaluate longer-term valuation consequences.

Key point summary

- When a merger, acquisition, disposal or spin-off takes place, there are important effects that will need to be reassessed by forecasting performance in the context of the proposed changes in ownership, structure and financing.
- Synergies enhance value: These may include revenue enhancement, cost reduction and capital efficiency.
- Financing the acquisition: It is important to separate out the investment decision from the finance decision as, in modelling any acquisition, these will have separate effects.
- Operating decisions impact on value creation: Two key value drivers are profit margins and asset activity. These can be analysed by the use of accounting ratios.
- Financial reporting information, alongside other sources of information, can help estimate the impact of reorganisations and reconstructions on corporate value.

7.11 Forecasting the effects of funding policy

Financial statement analysis can help analysts measure and model some of the consequences of financing decisions for valuation. In so doing, financial statements can act as one input into valuation models to assess how corporate values are affected by financing decisions.

Raising equity finance in a perfectly efficient capital market should not impact on value. Economic theory tells us that it is operating and investing activities, not financing decisions, that impact on value. The reason for this is that value creation is not about increasing the value of the company: it is about increasing the wealth of the shareholders. Raising new equity at market value in an efficient market will increase the value of the company, but only by the value of the share issue, leaving shareholder wealth constant. Share price would be constant if the shares were issued at market value.

However, to the extent that markets are not efficient, financing can impact on shareholder value. If, on the basis of inside information, directors perceive that market prices are in excess of the intrinsic value of shares, then a share issue may add to the wealth of existing shareholders.

Conversely, if directors perceive that market prices are lower than the intrinsic value of shares, then a share repurchase may add to the wealth of existing shareholders.

This is not the same as saying that, when a share issue is announced, share prices may change. This will depend on the 'news' value on the announcement day, and any perceived positive net present value from the project that is being financed by the share issue.

The role of financial statement analysis is that the new shares, the new cash flows from any project, and any changes in financial or operating risk can be built into a model to provide new forecasts of the value creation of the new financing and associated operations.

7.12 Forecasting scenarios and sensitivity analysis

Having made a range of individual forecasts, it might seem logical to assume that the overall outcome will be reasonable. Unfortunately, this is not necessarily the case.

The estimates are likely to be single values, or 'point estimates', which only really represent our 'best guess' from a range of possible outcomes in each case. Once these point estimates have been put together, however, it is necessary to test the reasonableness of the whole picture to ensure that, for instance, we have not estimated revenues at one end of a reasonable range and CAPEX at the other end of its reasonable range, producing an unreasonable and inconsistent result.

One way to test the reasonableness and consistency of the forecast figures is to recompute the basic ratios based on the forecast figure, to see if they make sense.

Another feature of checking reasonableness is to consider various scenarios and see if the modelled figures change significantly when the scenarios change. This might include some strategic effects, such as a new entrant into the industry, declining industry demand perhaps due to new substitutes, or suppliers forcing price increases for raw materials.

7.13 Risk assessment

In order to assess the impact of estimation errors, sensitivity analysis is a useful tool, but it does not say how probable the alternative outcomes are, and does not of itself measure risk.

Consideration should, however, be given to risk and the potential for variation in the estimate that has been forecast. Consideration can be given to the following:

(a) How well diversified is the company (eg, does it depend on one product or service)?

(b) Volatility of earnings can be specifically measured using standard deviations.

(c) If the business is cyclical, do the variations change according to the economic business cycle and is the risk largely systematic? If so, an accounting beta can be estimated by plotting the covariance of a company's earnings against an index such as market earnings of FTSE 100 companies, or even GDP variation.

(d) If the business is risky, is it appropriate to make prudent estimates of variables in forecasting performance? This may, however, just result in a pessimistic forecast without regard for upside variation.

If the risk is default risk, then an assessment of the company's liquidity arrangements, including contingent funding, may be appropriate. Credit rating agencies, such as Standard & Poor's, or Moody's, may also give an indication of default risk.

7.14 Cash flow forecasting and valuation

The end product of forecasting is normally the valuation of an enterprise based on discounting future cash flows. The forecasting process has, therefore, taken earnings and figures in the statement of financial position and produced a free cash flow forecast. From this, appropriate risk-adjusted discount rates can be used to determine value, or test the value creation of various strategic and corporate finance decisions. The internal rate of return can also be used, based on cash flows, as the economic equivalent of ROCE.

The end product of financial analysis is the understanding of how value is created and how forecasting earnings can be built into valuation models to assess the impact of different operating, investment and financing decisions. The last issue requires the use of spreadsheet models that capture the relationship between drivers and value.

Value creation can be affected by a variety of investment, operating and financing decisions taken by a company. This section looks at examples of some of these decisions, and considers the role of financial analysis in assessing the consequences of such decisions for value creation by those external to the company concerned.

Having made forecasts, then other cash flow measures such as payback can also be used or, similarly, other expressions of profit and adjustments thereto can be made such as economic value added (or EVA™).

Although we have concentrated so far on forecasting individual figures for the statement of profit or loss and other comprehensive income or the statement of financial position, the most common use of forecasting financial statements is to produce a valuation of the entity.

The quantity that is forecast for valuation purposes is the free cash flow to the firm defined as
FREE CASH FLOW = FCFF = EARNINGS BEFORE INTEREST AND TAXES (EBIT)
Less: TAX ON EBIT

Plus: NON-CASH CHARGES Less: CAPITAL EXPENDITURES
Less: NET WORKING CAPITAL INCREASES Plus: SALVAGE VALUES RECEIVED
Plus: NET WORKING CAPITAL DECREASES

The future FCFF will need to be discounted using an appropriate discount factor that will be consistent with the risk of the cash flow.

8 Data and analysis



Section overview

Professional accountants have to use their common sense and judgement when they analyse data. They are often required to draw conclusions or make recommendations on the basis of information in business reports and financial statements. The analysis of such data is normally both quantitative and qualitative. It is important that accountants should be aware of the limitations of any data they are using when they make such conclusions or recommendations.

8.1 What is data?

The word 'data' has several meanings. It is commonly associated with input to a computer, or 'raw data' which is processed to obtain meaningful information. For the purpose of this chapter, a useful definition of data is: 'Facts from which other information may be inferred'.

Professional accountants are often presented with reports and statements, from which they are expected to identify issues and draw conclusions. In other words, they have to analyse the data and consider its implications. Analysis of data is also relevant to the auditor. The auditor will analyse data in the financial statements in order to draw a conclusion which will form the basis of the auditor's report.

Reports and statements vary in nature. They may be **internally produced** business reports or financial reports, as well as externally published financial statements.

8.2 Characteristics of data

A useful starting point is an appreciation of the characteristics or qualities of data. Information should be reliable; but data often **lacks reliability**, for any of the following reasons.

(a) **Incomplete**. Data is often incomplete, in the sense that it does not tell the user everything that he or she needs to know. Incomplete information is a source of evidence, but not enough for the evidence to be conclusive. The user should want to learn more before reaching a conclusion.

Incompleteness of data can be a particular problem with external reports, whose purpose may be only indirectly related to the interests and concerns of the report user.

(b) **Lacks neutrality**. Information may lack neutrality. A report may contain opinions and recommendations that reflect the opinions and bias of the report writer. Professional scepticism may need to be applied in interpreting such data or placing reliance on it.

(c) **Inaccurate**. The data in a report or statement may be inaccurate, or the user of the report or statement may suspect that it is inaccurate. Alternatively, data may be insufficiently accurate for the requirements of the user. Without confidence in the accuracy of data, the user cannot make reliable conclusions.

(d) **Unclear**. Information may lack clarity, especially when it comes from an external source. Lack of clarity may be due to:

(1) **poor expression of ideas** in an external report by the report author, or lack of clarity about the assumptions on which information in the report is based; or

(2) **deliberate lack of transparency** by the information provider. An example of this might be press releases by a competitor organisation, whose statements about a particular item of news may be deliberately obscure without being untruthful

(e) **Historical**. Historical data may be used to make forecasts or conclusions about the future. However, any historical-based prediction is inevitably based on the assumption that what has happened in the past is a valid guide to what will happen in the future. This may not be the case.

(f) **Not up to date**. When events in the business environment are changing rapidly, information may get out of date very quickly. There is a risk that any data in a report or statement is no longer accurate because it is no longer up to date.

(g) **Not verifiable**. Some data or information may not be verifiable. Management may want corroboration of a fact or allegation, but there may not be an alternative source for checking its accuracy. This is often the case in employment disputes at work: two individuals may contest claims made by the other, and there may be no way of checking whose allegations are correct.

(h) **Source**. Information may come from a source that is not entirely reliable. This may be a particular problem with secondary data from external sources.

Accountants must use the data that is available to them, even though it is not 100% reliable. They may have to qualify their opinions or judgements according to their view about how much reliance they can place on it. A major problem is often incompleteness.

Data may **lack relevance** as well as reliability.

(a) There may be a risk of drawing unjustified conclusions from available data, and interpreting data in ways that the facts do not properly justify. The data user may imagine that there is evidence to justify a conclusion, when the evidence from the data is not at all conclusive.

(b) With financial data, there may be a risk of using financial statements prepared under the accruals concept to make conclusions when cash flows and incremental costs should be used.

An accountant may want to use data to make comparisons, such as comparing the performance of different companies or different segments of a business. Unfortunately, data may not be properly comparable. For example, comparing sets of data about the performance of two rival companies may not be entirely reliable because the available data for the two companies:

- has been collected in different ways;
- is based on different assumptions; or
- is presented differently, under different headings.

8.3 Financial data analysis

You could be expected to analyse financial data about any of the following areas:

(a) The financial markets. You may be asked to comment on data about conditions in the financial markets, such as interest rates or exchange rates, and implications of changes in market conditions for the organisation

(b) Revenue, profitability and costs – and pricing

(c) Cash flow or liquidity

(d) Capital structure

If you are given financial data for analysis, you should consider the adequacy or limitations of the information and be aware of what the information does not tell you. What is missing could be more important than what the report or statement contains.

(a) Data about profitability may present product profitability, when you should be more concerned with customer profitability, distribution channel profitability or market segment profitability.

(b) Data about profitability may be provided, when you should be more concerned about cash flow and funding.

(c) Cost and management accounting information may be presented in a traditional format, such as an absorption costing or marginal costing statement, when you may consider that another approach to presenting information is needed – for example, an activity-based costing statement, or information about particular aspects of cost that traditional statements do not analyse, such as quality costs.

The challenge with analysing financial information may be not so much to demonstrate your knowledge of financial analysis as to demonstrate your understanding of the limits of financial analysis when insufficient or inappropriate data is available.

Worked example: Financial data

Wizard Ltd is a specialist component manufacturer for the aerospace industry employing 54 people. It has two main customers located in North America. The relative success of Wizard over the last few years has attracted interest from a number of potential industry buyers. One

of Wizard's main customers, Draco plc, is now considering making a bid for the entire share capital of Wizard, effectively bringing Wizard's services in-house. Draco is concerned that the specialist products that Wizard supplies it with allow it to charge, in the words of the Draco purchasing manager, 'outrageous prices'.

The financial adviser to Draco has obtained the following information relating to Wizard.

Extracts from the financial statements of Wizard for 20X5

	$'000
Revenue	14,730
Cost of sales	8,388
Other costs	5,202
Profit before tax	1,140
Profit after tax	798
Dividend paid	390
Non-current assets	5,364
Inventories	1,392
Receivables	876
Cash	192
Payables	1,464
Equity share capital	600
Retained earnings	5,760

Information obtained from the Aeronautical Trade Association

Average P/E ratio (for quoted companies)	9.0
Average annual growth in reported post-tax profits (20X4–20X5)	3.0%
Average pre-tax profit margin	5.1%
Average pre-tax ROCE	13%
Average receivables days	78
Average payables days	34
Average revenue per employee	$154,200

The finance director of Draco has provided the following summary of Draco's recent performance:

	20X5	**20X4**	**20X3**	**20X2**
	$m	**$m**	**$m**	**$m**
Revenue	58.75	55.60	50.30	50.50
Pre-tax profit	4.40	7.15	7.75	10.05
Dividend paid	0.40	2.50	2.50	2.50

Requirement

Analyse the financial position and performance of Wizard as at the end of 20X5.

Solution

Wizard performance

Measure	Industry	Wizard	Workings
Gross ROCE		99.7%	(14,730 – 8,388) / (600 + 5,760)
Pre-tax ROCE	13%	17.9%	1,140 / (600 + 5,760)
Gross profit rate		43.1%	(14,730 – 8,388) / 14,730
Pre-tax profit rate	5.1%	7.7%	1,140 / 14,730
Non-current assets turnover		2.75	14,730 / 5,364
Receivables days	78	22	(876 / 14,730) × 365
Payable days	34	64	(1,464 / 8,388) × 365
Inventory days		61	(1,392 / 8,388) × 365
Revenue per employee $	154,200	272,778	(14,730 / 54) × 1,000
Pre-tax profit per employee $	7,864	21,111	(1,140 / 54) × 1,000
Dividend cover		2.05	798 / 390
Current ratio		1.68	(1,392 + 876 + 192) / 1,464
Quick ratio		0.73	(876 + 192) / 1,464

Analysis

Pre-tax ROCE and pre-tax profit rate – These are 38% and 51% higher than industry average, which supports the view that Wizard is able to charge high prices. This would appear to be a result of the specialism of the services that Wizard provides. Additionally, there may be strict cost control within Wizard, further allowing it to generate higher margins. Should Wizard be acquired by Draco, then the products will be available at 'cost', thereby saving Draco money, while allowing it to potentially benefit from the premium prices it can charge to Wizard's other main customer.

Receivables days – At 22, these are exceptionally low compared to the industry average. This is probably due to the fact that Wizard only has two main customers, making it possible to form close working relationships. Given the specialism that Wizard provides, it is likely that its customers do not want to sour this relationship by delaying payment. There is no reason to believe that this will change if Draco acquires the company.

Payables days – At 64, this is almost twice the industry average and reflects either a strict cash management policy within Wizard, or potentially a cash flow problem. Given the high profitability within Wizard, and its healthy balance sheet, it would appear that Wizard has squeezed its suppliers quite hard. Once acquired by Draco, this strategy may need to change to bring it in line with company policy.

Inventory days – At 61, this indicates the time that inventory is held by Wizard. This demonstrates that the production process within Wizard is about two months and may be a reflection of the complexity of the manufacturing process that it undertakes. It may be a result of the safety checks, which are a key feature of supply in the aerospace industry, and the time taken to do this may contribute to the 61-day figure.

Revenue and profit per employee – These are, respectively, 77% and 168% higher than industry average, which is a further reflection of the profitability and revenue generation

abilities of Wizard. This is further evidence of its ability to charge high prices and possibly control costs. Interestingly, we are told nothing about the salaries within Wizard and it may be that as a smaller firm, their salaries may be different to those within Draco. Should Wizard's salaries be higher than Draco's, this could lead to demands for higher wages among Draco's workforce. In terms of costs, it may well be that once Wizard is acquired, the greater purchasing power which a larger company would have may lead to further economies of scale and even cheaper supplies.

Dividend cover – As Wizard is not a listed company, its dividend ratio is not strictly comparable with Draco's. What is relevant is that it evidences Wizard's ability to pay dividends and hence generate cash. This is potentially good news for Draco as it has recently cut its own dividends, which will have disappointed shareholders.

Liquidity ratios – Without industry statistics, these are in themselves fairly meaningless. However, the current ratio is greater than one, indicating good liquidity, and the quick ratio is close to one. Allied with its low receivables and high payables days, this indicates that Wizard does not appear to have cash flow problems.

Overall – It would appear from the above analysis that Wizard is a profitable company that does not appear to have any liquidity or working capital concerns.

The type of analysis performed above may also be performed by the auditor as part of the analytical procedures at the risk assessment stage of the audit. The use of data analytics tools allows this analysis to be carried out at a more granular level than has historically been the case.



Professional skills focus: Assimilating and using information

In approaching a question like this, where there is a great deal of information, it is important to read the background detail carefully before looking at the ratios. This will tell you if you are comparing like with like.

8.4 Approach to analysing financial data

If you are given financial data for analysis, you should expect to carry out some numerical analysis. You will have to decide yourself how to do the analysis.

(a) If you are given data for more than one year, you should measure changes over time. If you are given financial data about a competitor, you should try to make a comparative analysis.

(b) There may be value in carrying out cost-volume-profit analysis (breakeven analysis) on data that you are given, but you will need to state your assumptions about fixed and variable costs.

(c) If you are given information about historical performance and targets, you should try to carry out numerical analysis of the extent to which the organisation is on track for meeting its targets.

Show all your numerical workings and state clearly the assumptions you have made.



Professional skills focus: Structuring problems and solutions

The above approach can be used to structure your solutions to financial analysis questions. Turn data into information and information into analysis and conclusions.

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9 Management commentary

Section overview

Some of the limitations of financial statements may be addressed by a **management commentary**. The IASB has issued a practice statement on a **management commentary** to supplement and complement the financial statements.

9.1 Need for a management commentary

Financial statements alone are not considered sufficient without an **accompanying explanation of the performance**, eg, highlighting a restructuring that has reduced profits or the cost of developing a new business channel in the current period which will generate profits in the future.

Perhaps more importantly, a good management commentary not only talks about the past position and performance, but also about how this will translate **into future financial position** and performance.

The *Conceptual Framework for Financial Reporting* acknowledges that 'general purpose financial reports do not and cannot provide all of the information that existing and potential investors, lenders and other creditors need. Those users need to consider pertinent information from other sources, for example, general economic conditions and expectations, political events and political climate, and industry and company outlooks.' (para 1.6).

Typically, larger companies are already making disclosures similar to a management commentary, eg, as a 'Directors' Report', but the aim of the IASB is **to define internationally what a management commentary** should contain. For example, a good commentary should be balanced and not just highlight the company's successes.

A management commentary would also address **risks and issues** facing the entity that may not be apparent from a review of the financial statements, and how they will be addressed.

9.2 IFRS Practice Statement

The main objective of the IFRS Practice Statement, *Management Commentary* is that the IASB can **improve the quality of financial reports** by providing guidance "for all jurisdictions, in order to promote comparability across entities that present management commentary and to improve entities' communications with their stakeholders". In preparing this guidance, the IASB team has reviewed existing requirements around the world, such as the Operating and Financial Review in the UK (now replaced by the Strategic Report), Management's Discussion and Analysis (MD&A) in the US and Canada, and the German accounting standard on Management Reporting.

9.3 Scope

The IASB has published a Practice Statement rather than an IFRS on management commentary. This 'provides a broad, non-binding framework for the presentation of management commentary that relates to financial statements that have been prepared in accordance with IFRS Accounting Standards'.

This guidance is designed for publicly traded entities, but it would be left to regulators to decide who would be required to publish management commentary.

This approach avoids the adoption hurdle ie, that the perceived cost of applying IFRS Accounting Standards might increase, which could otherwise dissuade jurisdictions/countries not having adopted IFRS Accounting Standards from requiring their adoption, especially where requirements differ significantly from existing national requirements.

9.4 Definition of a management commentary

The following preliminary definition is given in the Practice Statement:



Definition

Management commentary: A **narrative report** that provides a context within which to interpret the financial position, financial performance and cash flows of an entity. It also provides management with an opportunity to explain **its objectives and its strategies** for achieving those objectives. (IFRS Practice Statement)

9.5 Principles for the preparation of a management commentary

When a management commentary relates to financial statements, then those financial statements should either be provided with the commentary or the commentary should clearly identify the financial statements to which it relates. The management commentary must be clearly distinguished from other information and must state to what extent it has followed the Practice Statement.

Management commentary should follow these principles:

(a) To provide **management's view** of the entity's performance, position and progress

(b) To **supplement and complement** information presented in the financial statements

(c) To include **forward-looking information**

(d) To include information that possesses the **qualitative characteristics** described in the *Conceptual Framework*

9.6 Elements of a management commentary

The Practice Statement says that to meet the objective of management commentary, an entity should include information that is essential to an understanding of the following:

(a) The **nature of the business**

(b) Management's **objectives and its strategies** for meeting those objectives

(c) The entity's most significant **resources, risks and relationships**

(d) The **results** of operations and **prospects**

(e) The critical **performance measures and indicators** that management uses to evaluate the entity's performance against stated objectives

The Practice Statement does not propose a fixed format, as the nature of management commentary would vary between entities. It does not provide application guidance or illustrative examples, as this could be interpreted as a floor or ceiling for disclosures. Instead, the IASB anticipates that other parties will produce guidance.

However, the IASB has provided a table relating the five elements listed above to its assessments of the needs of the primary users of a management commentary (existing and potential investors, lenders and creditors).

Element	User needs
Nature of the business	The knowledge of the business in which an entity is engaged and the external environment in which it operates.
Objectives and strategies	To assess the strategies adopted by the entity and the likelihood that those strategies will be successful in meeting management's stated objectives.
Resources, risks and relationships	A basis for determining the resources available to the entity as well as obligations to transfer resources to others; the ability of the entity to generate long-term sustainable net inflows of resources; and the risks to which those resource-generating activities are exposed, both in the near term and in the long term.
Results and prospects	The ability to understand whether an entity has delivered results in line with expectations and, implicitly, how well management has understood the entity's market, executed its strategy and managed the entity's resources, risks and relationships.
Performance measures and indicators	The ability to focus on the critical performance measures and indicators that management uses to assess and manage the entity's performance against stated objectives and strategies.

9.7 Advantages and disadvantages of a compulsory management commentary

Advantages	Disadvantages
Entity • Promotes the entity, and attracts investors, lenders, customers and suppliers • Communicates management plans and outlook	Entity • Costs may outweigh benefits • Risk that investors may ignore the financial statements
Users • Financial statements not enough to make decisions (financial information only) • Financial statements backward looking (need forward-looking information) • Highlights risks • Useful for comparability to other entities	Users • Subjective • Not normally audited • Could encourage companies to de-list (to avoid requirement to produce MC) • Different countries have different needs

The IASB is working to update and improve the Management Commentary, and an Exposure Draft is expected in due course.



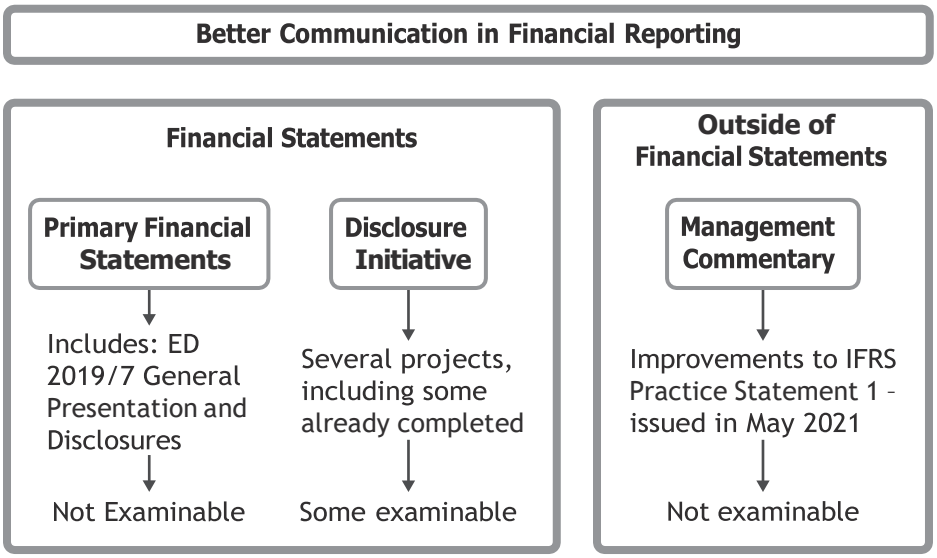
Professional skills focus: Applying judgement

There is generally more subjectivity and exercise of judgement in preparing a management commentary or strategic report than there is when preparing financial statements, which have over the years considerably narrowed the choices available.

9.8 Better Communication in Financial Reporting

Since 2015, a major theme of the IASB's work has been to improve communication in financial reporting. This is in response to feedback from users of financial statements that financial statements can be poorly presented, making it time-consuming and difficult for users to identify useful information.

The IASB has grouped together several projects under the heading 'Better Communication in Financial Reporting'.



10 Summary

Section overview

This section provides a summary of the areas covered so far in this chapter. Financial statements can help analysts in evaluating a company's activities by:

- providing disclosures about a firm's current financial position and historical performance;
- providing information from which financial models can be constructed to forecast future performance and position; and
- helping to evaluate the value creation potential of financial decisions using valuation models.

While financial statements may have other uses for other users, for the analyst the key link is that between financial statements and the valuation process. This is not to suggest that financial statements provide a valuation. Rather, they are an input, along with other sources of information, into valuation models.

This chapter has attempted to provide a methodology for how the raw financial reporting information contained in the financial statements of a company can be interpreted, adjusted and standardised and then used for analysis, decision-making, forecasting and valuation. In this way the information will help with the assessment of the impact on value of key operating, investment and financing decisions.

The chapter considered how weaknesses of financial reporting information, such as weaknesses inherent in accounting practice, as well as any 'creativity' by management, can distort the usefulness of such information. Any forecasting or valuation model, no matter how sophisticated, is likely to be of little worth if it uses inappropriate information. The quality of earnings and of other accounting information was thus considered in order to normalise earnings as a prerequisite for any consistent forecasting of sustainable earnings and valuation modelling.

Accounting ratios then considered how the adjusted figures could be interpreted by examining ratios and other relationships against predetermined benchmarks to highlight unusual features and changes. This analysis helps us understand the current financial position and historical performance of the company. Also, however, to the extent that the relationships represented by ratios are sustainable over time, they can be built into valuation models in order to predict the consequences of changing one variable for other variables.

Forecasts of future earnings were examined based on adjusted financial information. In this context, forecasting depends on many sources of information, of which financial statements are only one. For financial statements to be useful, however, it is necessary to:

- understand their integrated nature;
- recognise how separate components interact; and
- comprehend the many pages of detailed supporting information presented in an annual report.

Moreover, it is necessary to understand the strategic and behavioural context within which financial reporting is taking place, in order to forecast future performance on the basis of financial reporting information.

Some of the defects of financial statement analysis have been addressed in the IASB's *Management Commentary,* and, in the UK, the FRC's guidance on the Strategic Report.



Professional skills focus: Assimilating and using information

In an exam scenario, you may be faced with information from the *Management Commentary* that someone at the client has drawn your attention to. While this information will be useful, it is important to consider the potential for subjectivity in the Management Commentary, and to use this information wisely, placing more emphasis on information assimilated from elsewhere in the question, such as the financial statements themselves, perhaps drilling down, in a Data Analytics Software question, to the underlying transactions. (Inflo is the data analytics software used in the exam.)

11 Audit focus on fraud



Section overview

- It is important for auditors to understand their responsibilities for detecting fraud and plan their audit to maximise the chance of detection and ultimately control audit risk.
- In this section we will look at the following:
  - An introduction as to why fraud is a difficult area for both business and auditor
  - What fraud means

- The types of fraud that a business can suffer
- The types of risk factor that the auditor should look out for when planning an audit
- How the auditor should then address the risk of fraud occurring
- How fraud should be reported, if at all
- The ongoing debate of the expectation gap and the role of the auditor in the detection of fraud

11.1 Introduction

In section 3 above, we looked at the manipulation of information in the financial statements by creative accounting, and some of the 'red flags' that may indicate creative accounting practice.

Creative accounting can be one form of fraudulent financial reporting. While some creative accounting practices are clearly fraudulent, others are, strictly, allowable, but nevertheless show a less than ethical attitude on the part of the company directors.

In this section, we will look at the auditor's responsibilities in respect of not just creative accounting, but fraud in general. This is the scope which has been adopted by the ISAs.

The **Global Economic Crime and Fraud Survey** by PwC has monitored levels of fraud for over 20 years: in 2022, it reported that 46% of its 1,296 respondents had experienced some form of fraud or economic crime in the last 24 months, continuing the downward trend from 2020 (47%) and 2018 (49%). As in 2020, the top three areas of fraud were:

(a) Cybercrime

(b) Customer fraud

(c) Asset misappropriation

However, while the headline numbers may be falling, the threats are still emerging and show no signs of disappearing. Key points from the report:

- Almost 10% of companies with global annual revenues in excess of $10 billion experienced fraud during the last 2 years with a financial impact of over $50 million
- Within the energy, utilities and resources industry, the top category of fraud committed is procurement fraud
- Nearly 70% of organisations experiencing fraud reported that the most disruptive incident came via an external attack or collusion between internal and external sources (the top three external perpetrators are hackers, customers and organised crime groups)
- Four out of every ten frauds involves some kind of digital platform (social media, e-commerce or online services such as ridesharing or accommodation)
- Emerging risks identified by PwC include anti-embargo fraud (companies or countries attempting to break trade embargoes or sanctions), ESG reporting (manipulating an entity's position to look more favourable) and supply chain fraud

(PwC, 2022)

11.2 What is fraud?

ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* provides guidance for the auditor. ISA 240 provides the following definitions.

Definitions

Fraud: An intentional act by one or more individuals among management, those charged with governance, employees or third parties, involving the use of deception to obtain an unjust or illegal advantage.

Fraud risk factors: Events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. (ISA 240.12)

Fraud may be perpetrated by an individual, or colluded in with people internal or external to the business. It is a contributing factor to business risk.

It is the fact that fraud is a form of deceit that makes its prevention and detection difficult for both business and the auditor. The perpetrator of the fraud does not want to be detected and will go out of their way to be successful. **Fraud should be distinguished from error** where the latter arises from a **genuine mistake** with no intention to deceive. The deliberate nature of fraud creates a higher risk of misstatement which the auditor needs to factor into the audit approach. (ISA 240.6)

While management may be concerned with different levels of fraud, it is only fraud that results in a material misstatement in the financial statements that is of concern to the auditor.

Specifically, there are two types of fraud causing material misstatement in financial statements:

(a) **Fraudulent financial reporting**

(b) **Misappropriation of assets**

11.3 Fraudulent financial reporting

This fraud has a **direct impact on the financial statements** and will arise from any of the following:

- Manipulation, falsification (including forgery) or alteration of accounting records/supporting documents from which the financial statements are prepared
- Misrepresentation (or intentional omission) of events, transactions or other significant information in the financial statements
- Intentional misapplication of accounting principles (ISA 240.A3)

Such fraud may be carried out by overriding controls that would otherwise appear to be operating effectively, for example by recording fictitious journal entries or improperly adjusting assumptions or estimates used in financial reporting.

You will recall in the Parmalat example in Chapter 6 that the scenario also raises the question as to whether auditors can simply rely on bank confirmations when they relate to substantial sums of assets. Do these confirmations constitute sufficient and appropriate audit evidence?

Note: As a result of the IAASB Disclosures Project, the revised ISA emphasises that fraudulent financial reporting can result from omitting, obscuring or misstating disclosures. (ISA 240.A4)

11.3.1 Aggressive earnings management

Aggressive earnings management is an example of **creative accounting**. It occurs when management alters the financial statements in order to mislead stakeholders about the financial position or performance of the business or to influence the outcome of contracts. It usually involves the artificial enhancement of revenue and profit. Businesses are likely to be at risk of this when:

(a) there has been an adverse market reaction and so management may want to present a healthier picture about the company than is in fact the case;

(b) management bonuses are tied into targets and there may be a personal conflict between what management want for themselves and what is good for the company;

(c) the business wants to reduce its tax liabilities and in this case profits may be deliberately reduced; or

(d) the business needs to remain within certain financial parameters (limits, ratios) in order to achieve new funding or so as not to be in breach of loan covenants. Profit overstatement could be an issue, as well as understatement of liabilities and overstatement of assets.

Auditors should be on the alert for issues such as unsuitable revenue recognition, unnecessary accruals, reduced liabilities, overstatement of provisions, reserves accounting and large numbers of immaterial breaches of financial reporting requirements to see whether together, they constitute fraud.

11.4 Misappropriation of assets

This is the theft of the entity's assets (for example, cash, inventory). Employees may be involved in such fraud in small and immaterial amounts; however, it can also be carried out by management for larger items who may then conceal the misappropriation, for example by:

- Embezzling receipts (for example, diverting them to private bank accounts)
- Stealing physical assets or intellectual property (inventory, selling data)
- Causing an entity to pay for goods not received (payments to fictitious vendors)
- Using assets for personal use

(ISA 240.A5)

11.5 Responsibilities with regard to fraud

The business

Management and those charged with governance in an entity are primarily responsible for **preventing and detecting fraud**. It is up to them to put a strong emphasis within the company on fraud prevention. We have already covered the principles of this in Chapter 3.

The auditor

Auditors are responsible for carrying out an audit **in accordance with international auditing standards**.

11.6 The auditor's approach to the possibility of fraud

11.6.1 General

The objectives of the auditor in this area are set out early in ISA 240.11:

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement due to fraud, including:

(1) identifying and assessing the risks of material misstatement of the financial statements due to fraud;

(2) obtaining sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; and

(b) To respond appropriately to fraud or suspected fraud identified during the audit.

An overriding requirement of the ISA is that auditors are aware of the possibility of there being misstatements due to fraud.

As we have seen in Chapter 6, the auditor shall maintain an attitude of **professional scepticism** throughout the audit. They must recognise the possibility that a material misstatement due to fraud could exist, notwithstanding the auditor's past experience of the honesty and integrity of management and those charged with governance.

This requires that the auditor continue to question the sufficiency and appropriateness of the evidence collected during the audit. As seen in Chapter 3, threats to auditor independence could impact on the auditor's ability to maintain such scepticism.

Members of the engagement team should discuss the susceptibility of the entity's financial statements to material misstatements due to fraud.



Interactive question 4: The possibility of fraud

You are an audit partner of Dupi Ltd. The company operates a chain of sandwich bars throughout the south of England. The company is owned by three directors. At your last meeting with the client, you were informed that the company was hoping to expand and open up some shops in the north of England. The directors had not yet formalised the strategy for the expansion or its financing.

You have received the following letter:

"I have been an employee of this company for a number of years. Unfortunately, I have come across some information which I am not sure what to do about. There have been a number of journals relating to revenue for which I have not been able to obtain an explanation. The effect of these journals is to increase revenue substantially. Not sure if this is relevant to you."

The planning meeting with the audit team for this year's audit is scheduled for next week.

Requirement

What are the issues that you would raise at the planning meeting?

See **Answer** at the end of this chapter.

11.6.2 Accountancy Sector Fraud Charter

During 2021, the UK government published a charter that explains how it will work with the accountancy profession in order to reduce the fraud risks that accountants (and by association, society in general) may be exposed to. According to the charter, fraud now makes up more than a third of all crime in the UK.

The charter is structured around four main actions that are designed to address vulnerabilities that fraudsters may attempt to exploit:

Vulnerabilities that could be exploited	Actions to tackle fraud in the accountancy sector
The transparency of fraud threats across the accountancy sector is inadequate for suitable action to be taken.	A government-led joint initiative between law enforcement bodies and the accountancy sector will help to educate practitioners more effectively about relevant fraud threats.
Across the accountancy sector, the threats presented by fraud are not always able to be countered by sufficient resources and training.	A toolkit of training, red-flags and other useful information will be created by the accountancy profession which is accessible to all accountants.

Fraudsters use their association with accountants and information recorded within Companies House as a way of legitimising their operations.	Greater collaboration between government, accountants and Companies House, which will improve the reliability of this information.
A lack of awareness of fraud risks among clients and the general public has meant that fraud goes unnoticed.	Multi-stakeholder approach, including the accountancy profession, to share information and improve levels of fraud awareness and education.

(UK Government, 2021)

11.7 Risk assessment procedures

As discussed in Chapter 5, the auditor will undertake **risk assessment procedures** as set out in ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement* which will include assessing the risk of fraud. These procedures will include the following:

- Inquiries of management and those charged with governance (eg, as to whether there have been any incidences of actual, suspected or alleged fraud, the nature of the fraud and the outcome)
- Consideration of when fraud risk factors are present (some businesses are more susceptible to fraudulent activity than others eg, poor control environment, cash-based business, dominant senior management, poor staff relations, need for more finance, increased competition, poor market performance)
- Consideration of results of analytical procedures (eg, any unusual fluctuations in business year-on- year ratios and also those compared to industry norm)
- Consideration of any other relevant information (eg, press reports)

In identifying the risks of fraud, the auditor is required by the ISA to carry out some specific procedures.

The auditor must:

- make inquiries of management regarding their assessment of the risk and their processes for identifying and responding to the risks of fraud;
- make inquiries of management, those charged with governance and others within the entity (and the internal audit function where there is one), to determine whether they have knowledge of any actual, suspected or alleged fraud;
- obtain an understanding of how those charged with governance exercise oversight of management's processes for identifying and responding to the risks of fraud;
- consider whether other information obtained by the auditor indicates risks of material misstatement due to fraud; and
- evaluate whether the information obtained from other risk assessment procedures and related activities indicates fraud risk factors exist. (ISA 240.17–.24)

Interactive question 5: Finding out about suspected fraud

Following on from Dupi Ltd (Interactive question 4), outline the information that the auditor would seek from the client.

See **Answer** at the end of this chapter.

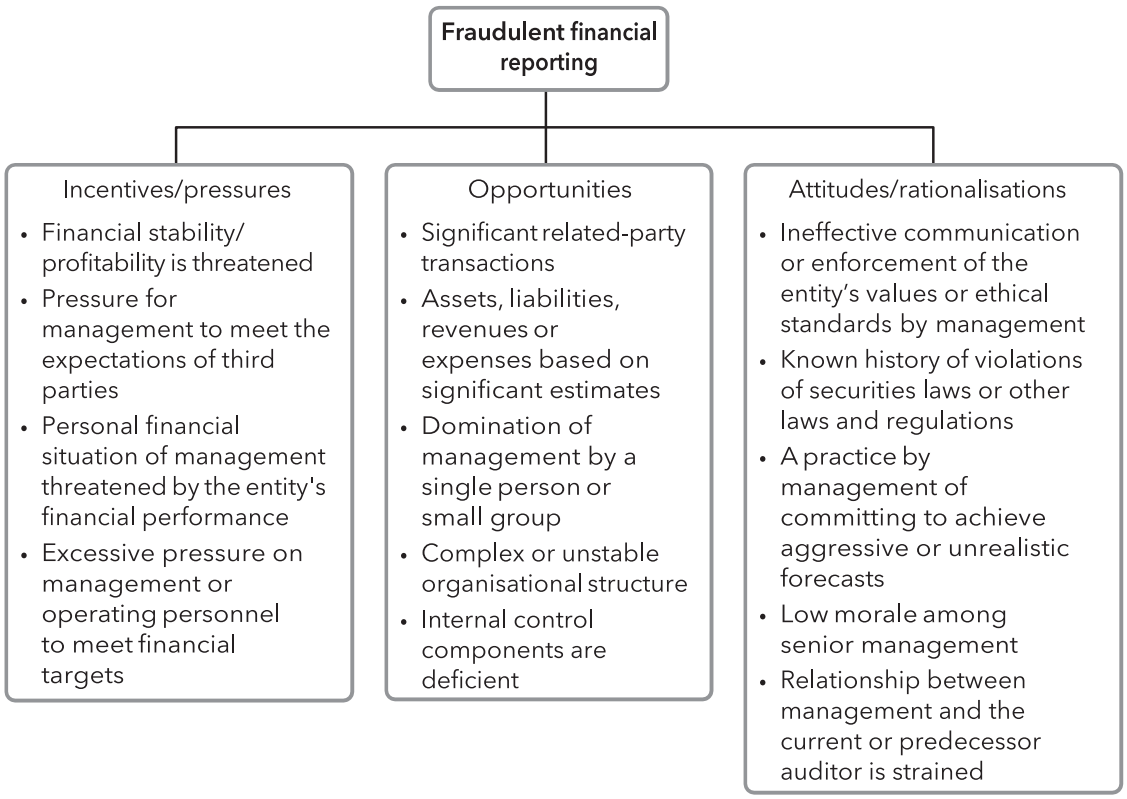
11.8 Examples of fraud risk factors

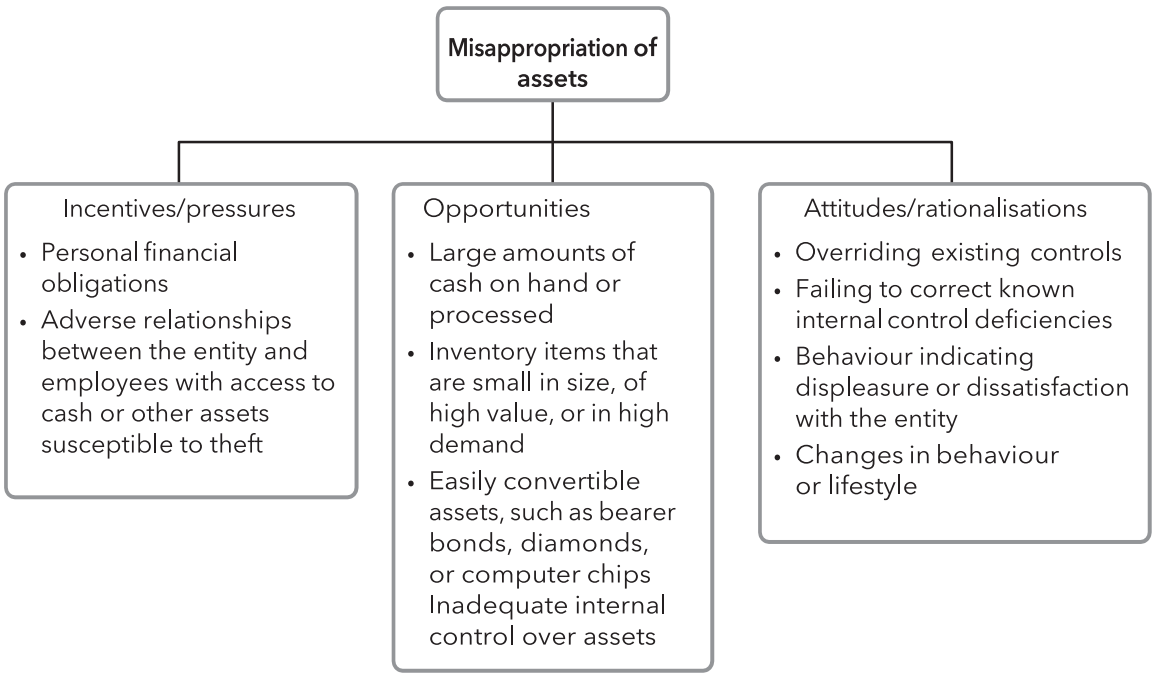
Appendix 1 to ISA 240 provides further analysis of the two types of fraud depending on the conditions that exist in the client's business community:

- **Incentives/pressures**
- **Opportunities**
- **Attitudes/rationalisations**

The following diagrams illustrate some of the key areas of each category:

Figure 24.1: Fraud risk factors





In addition, remember that some specific 'red flags' indicating creative accounting are set out in section 3.

When identifying and assessing the risks of material misstatement at the financial statement level, and at the assertion level for classes of transactions, account balances and disclosures, the auditor must identify and assess the risks of material misstatement due to fraud. Those assessed risks that could result in a material misstatement due to fraud are significant risks and accordingly, to the extent not already done so, the auditor must obtain an understanding of the entity's related controls, including control activities relevant to such risks (ISA 240.28).

The auditor:

- identifies fraud risks;
- relates this to what could go wrong at a financial statement level; and
- considers the likely magnitude of potential misstatement.

Note: When identifying and assessing fraud risk there is a presumption that there are risks of fraud in revenue recognition. (ISA 240.27)

Interactive question 6: Sellfones

You are an audit manager for Elle and Emm. You are carrying out the planning of the audit of Sellfones plc, a high street retailer of mobile phones in the UK, for the year ending 30 September 20X7. The notes from your planning meeting with Pami Desai, the financial director, include the following:

(1) One of Sellfones's main competitors ceased trading during the year due to the increasing pressure on margins in the industry and competition from online retailers.

(2) A new management structure has been implemented, with 10 new divisional managers appointed during the year. The high street shops have been allocated to these managers, with approximately 20 branch managers reporting to each divisional manager. The divisional managers have been set challenging financial targets for their areas with substantial bonuses offered to incentivise them to meet the targets. The board of directors have also decided to cut the amount that will be paid to shop staff as a Christmas bonus.

(3) In response to recommendations in the prior year's Report to Management, a new inventory system has been implemented. There were some teething problems in its first months of operation but a report has been submitted to the board by Steven MacLennan, the chief accountant, confirming that the problems have all been resolved and that information produced by the system will be accurate. Pami commented that the chief accountant has had to work very long hours to deal with this new system, often working at weekends and even refusing to take any leave until the system was running properly.

(4) The company is planning to raise new capital through a share issue after the year end in order to finance expansion of the business into other countries in Europe. As a result, Pami has requested that the auditor's report is signed off by 15 December 20X7 (six weeks earlier than in previous years).

(5) The latest board summary of results includes:

9 Months to 30 June 20X7 (unaudited)		**Year to 30 September 20X6 (audited)**	
	£m		**£m**
Revenue	320	Revenue	280
Cost of sales	215	Cost of sales	199
Gross profit	105	Gross profit	81
Operating expenses	(89)	Operating expenses	(70)
Exceptional profit on sale of properties	30		
Profit before tax	46		11

(6) Several shop properties owned by the company were sold under sale and leaseback arrangements.

Requirements

6.1 Identify and explain any fraud risk factors that the audit team should consider when planning the audit of Sellfones plc.

6.2 Link the fraud risk to what could go wrong in the financial statements of Sellfones.

See **Answer** at the end of this chapter.

11.9 Responding to assessed risks

Having identified risk factors, the auditor must then come up with responses to the assessed risks. The auditor needs to assess if the fraud potentially has a material impact on the financial statements and how best to address it. In particular the auditor must:

- ensure that personnel with the required skill and ability are assigned to the audit;
- test the appropriateness of journal entries recorded in the general ledger and other adjustments made in the preparation of the financial statements;
- review accounting estimates for biases and evaluate whether the circumstances producing the bias, if any, represent a risk of fraud; and
- evaluate for significant transactions that are outside the normal course of business whether the business rationale (or lack of) suggests fraudulent financial reporting or misappropriation of assets.

Interactive question 7: Specific audit procedures

Following on from Interactive questions 4 and 5, outline the steps that the auditor should now integrate into the audit procedures for Dupi Ltd.

See **Answer** at the end of this chapter.

11.10 Evaluation of audit evidence

The auditor evaluates the audit evidence obtained to ensure it is consistent and that it achieves its aim of answering the risks of fraud. This will include a consideration of results of **analytical procedures** and other misstatements found. The auditor must also consider the **reliability of written representations by management**.

The auditor must obtain written representation that management accepts its responsibility for the prevention and detection of fraud and has made all relevant disclosures to the auditors.

(ISA 240.40)

11.11 Documentation

The auditor must document the following:

- The significant decisions as a result of the team's discussion of fraud
- The identified and assessed risks of material misstatement due to fraud
- The overall responses to assessed risks
- Results of specific audit tests
- Any communications with management

(ISA 240.45–.48)

11.12 Reporting

There are various reporting requirements in ISA 240.

If the auditor has identified a fraud or has obtained information that indicates a fraud may exist, the auditor must communicate these matters as soon as practicable (unless prohibited by law or regulation) to the **appropriate level of management**.

If the auditor has identified fraud involving:

(a) management;

(b) employees who have significant roles in internal control; or

(c) others, where the fraud results in a **material misstatement** in the financial statements, then the auditor must communicate these matters to those charged with governance as soon as practicable. (ISA 240.40-.41)

The auditor should also make relevant parties within the entity aware of **significant deficiencies** in the design or implementation of controls to prevent and detect fraud which have come to the auditor's attention, and consider whether there are any other relevant matters to bring to the attention of those charged with governance with regard to fraud.

The auditor may have a statutory duty to report fraudulent behaviour to regulators outside the entity. For example, in Bangladesh, the Money Laundering Prevention Act, 2012 identifies accountants as reporting agency. The Money Laundering Prevention Rule, 2019 specifically mentions chartered accountants as reporting agency. These regulations legislation imposes a duty on auditors to report suspected money laundering activity. The auditor may take legal advice in assessing any reporting responsibilities under these regulations.

Professional skills focus: Concluding, recommending and communicating

A situation where fraud is suspected will test the auditor's communication skills considerably. All communication on the subject must be clear and neutral in tone.

11.12.1 PIEs

For audits of the financial statements of PIEs, when the auditor suspects fraud the auditor must inform the entity (unless prohibited by law or regulation) and invite it to investigate. If the entity does not investigate the matter the auditor must inform the relevant authorities.

(ISA 240.42-1 & .44-1)

11.13 Withdrawal from the engagement

The auditor should consider the need to withdraw from the engagement if the auditor uncovers exceptional circumstances with regard to fraud. (ISA 240.39)

Context example: Auditor resignation

In April 2023, it was announced that Scottish firm Johnston Carmichael were no longer the auditors of the Scottish National Party (SNP) after more than a decade of being responsible for auditing the finances of the ruling political party in Scotland. Although the story broke in April, the firm had actually resigned six months earlier after undertaking a review of its clients.

The announcement happened around the time police arrested a number of senior political figures in Scotland including its former First Minister Nicola Sturgeon and her husband, former SNP Chief Executive Peter Murrell. The arrests were part of ongoing police investigations into the SNP's finances over allegations that political donations to the party had not been used for their intended purpose.
Between 2017 and 2020, the SNP raised over £660,000 to fund another Scottish independence referendum campaign but in 2021, the party's financial statements showed only £97,000 in its bank account and total assets of around £272,000. During 2022, Mr Murrell loaned £100,000 to the SNP to ease cash-flow issues, around half of which is still understood to be due to him. In 2023, Mr Murrell resigned as SNP Chief Executive due to misleading statements he had made about the numbers of supporters that the SNP actually had.

Johnston Carmichael was quoted as saying that due to its obligations on client confidentiality, it would not discuss client business. In May 2023, AMS Accountants Group was appointed as the SNP's new auditor.

(BBC, 2023; Aberdeen and Grampian Chamber of Commerce, 2023)

Remember that the auditor has the **right to resign** from office at any time. This is a way of preserving independence and integrity as well as a way of addressing threats to independence.

11.14 The expectation gap

As we have seen, fraud is a sensitive issue. When it happens, the question that is always asked is 'who's to blame?' The answer can only be one of two: management or the auditor? Management's responsibilities for prevention and detection of fraud are set out in governance and the auditor's in ISA 240, but the public are still not clear about the division of responsibility. The expectation gap arises from a difference in opinion as to what the public perceive the role of the auditor to be and what the auditor actually does.

There continues to be much discussion as to what could be done to narrow this gap, with the auditing profession taking the lead. This is being done with a view to protecting its members.

11.14.1 Narrowing the expectation gap

The expectation gap could, theoretically, be narrowed in two ways.

Educating users

The auditor's report as outlined in ISA 700 includes an explanation of the auditor's responsibilities including that relating to fraud. A further suggestion is that auditors could highlight circumstances where they have had to rely on directors' representations.

Suggestions for expanding the auditor's role have included the following:

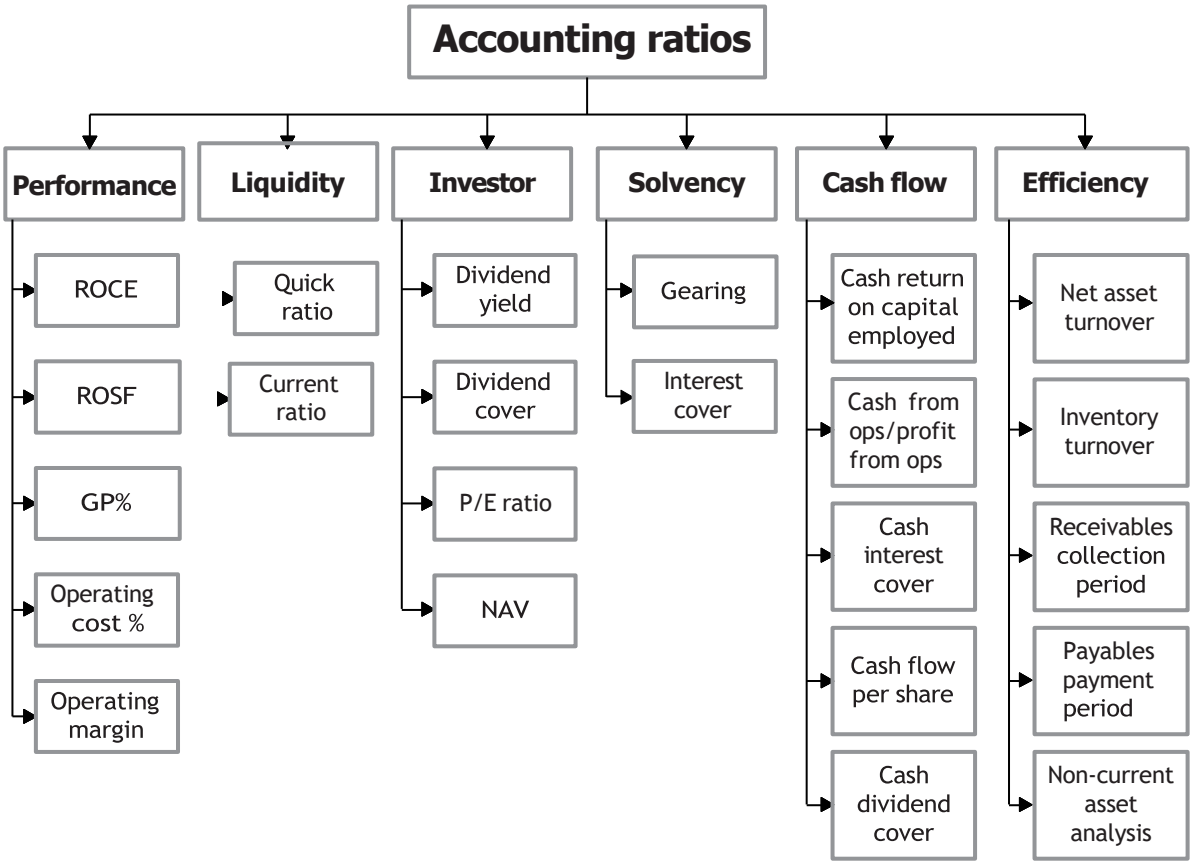
- Requiring auditors to report to boards and audit committees on the adequacy of controls to prevent and detect fraud (For statutory audits of PIEs the auditor is required to report in the additional report to the audit committee any significant matters involving actual or suspected non-compliance with laws and regulations including those related to fraud. (ISA 240.A65-1)
- Encouraging the use of targeted forensic fraud reviews
- Increasing the requirement to report suspected frauds

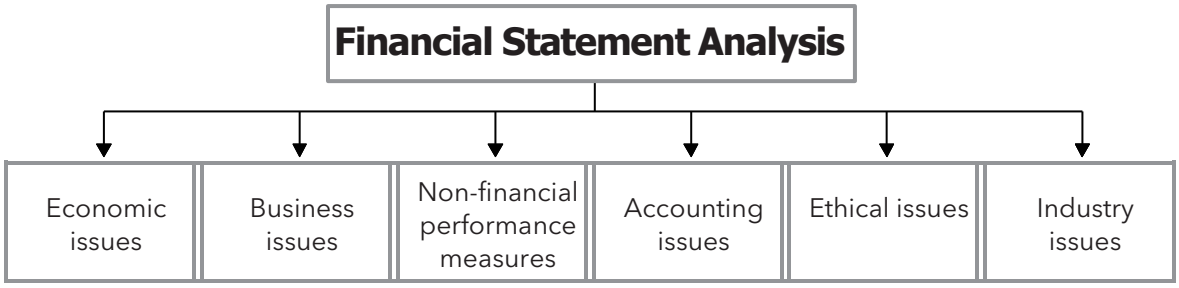
Extending the auditor's responsibilities

Research indicates that extra work by auditors with the inevitable extra costs is likely to make little difference to the detection of fraud because:

- most material frauds involve management;
- more than half of frauds involve misstated financial reporting but do not include diversion of funds from the company;
- management fraud is unlikely to be found in a financial statement audit; and
- far more is spent on investigating and prosecuting fraud in a company than on its audit.

Summary


Accounting ratios
Performance
ROCE
ROSF
GP%
Operating cost %
Operating margin
Liquidity
Quick ratio
Current ratio
Investor
Dividend yield
Dividend cover
P/E ratio
NAV
Solvency
Gearing
Interest cover
Cash flow
Cash return on capital employed
Cash from ops/profit from ops
Cash interest cover
Cash flow per share
Cash dividend cover
Efficiency
Net asset turnover
Inventory turnover
Receivables collection period
Payables payment period
Non-current asset analysis


Financial Statement Analysis
Economic issues
Business issues
Non-financial performance measures
Accounting issues
Ethical issues
Industry issues

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	What is the scope of accounting analysis? (Topic 3)
2.	Can you define 'creative accounting'? (Topic 3)
3.	What form do accounting distortions take? How did the recent standard IFRS 16 eliminate a potential accounting distortion? (Topic 4)
4.	How can financial statements be made more comparable? (Topic 5)
5.	Can you explain the purpose of the Management Commentary? (Topic 9)
6.	What are the auditors' responsibilities in respect of fraud? (Topic 11)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Digicom	In keeping with the broader types of financial analysis covered in this chapter, this question goes into more depth about the industry in which the company operates.
CD Sales	This question deals with ethical issues in relation to the financial reporting treatment of certain transactions, and the issue of fraud.
Mackie	The focus on fraud continues with this question which requires a discussion of responsibility for preventing and detecting fraud and the auditors' responsibility in relation to fraud.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Kenyon	The analysis in this question is from the point of view of the potential investor. As well as ratio analysis, there is a separate issue of the impact of a contingent liability.
Precision Garage Access	Financial analysis often arises in an audit context. In this question some inadequate analytical procedures have been performed and you are required to produce revised, improved analytical procedures.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

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1 ISA 240

- Auditor's objectives relating to fraud – **ISA 240.10**
- Assess risk of material misstatement – **ISA 240.16–.27**
- Responding to assessed risks – **ISA 240.28–.33**
- Reporting fraud – **ISA 240.40–.43-1**

2 ISA 315

- Risk assessment procedures – **ISA 315.13–.18**

Self-test questions

Answer the following questions.

1 Digicom Distributors Ltd

You are Paula Jones, a manager of John Mills and Co. Your client, Digicom Distributors Ltd, has for several years been a family-owned company selling telephones and answering machines through its own dealer network in the south of England. In May 20X0 the company was bought by two brothers, Peter and Charles Brown.

Shortly thereafter the company acquired the exclusive UK distribution rights to a revolutionary new video mobile phone, manufactured in South Korea, which sells for about half the price of competitive products and is fully compatible with all British mobile telephone networks.

During the year ended 31 August 20X1 expansion has been rapid under the new management. The following points should be noted.

(1) The distribution rights for the South Korean phone cost £850,000. The rights were acquired for a period of 10 years, and the directors of Digicom Distributors Ltd decided to capitalise the initial cost and amortise it over the 10-year period on a straight-line basis. The current carrying amount is £744,000. The new phone received extensive media acclaim during October and November 20X0, accompanied by regional television advertising campaigns. Since then monthly sales have increased from £500,000 to £1,600,000.

(2) The advertising campaign cost the company £1,000,000. The directors believe that it will have long-term benefits for the sales of the phone and, consequently, they decided to capitalise the advertising cost and amortise it over the same period as the distribution rights. The current carrying amount for the advertising expenditure is £925,000.

(3) Sales of the new phone now account for 75% of the company's revenue. The level of credit sales has remained constant at 30% of total sales.

(4) The company has purchased dealer networks from three other companies and is negotiating to purchase two more, which will then complete its national coverage.

(5) Employee numbers have increased rapidly from 40 to 130. This includes administration staff at head office, where numbers have risen from 12 to 28.

(6) In June 20X1 the central distribution and servicing department moved from head office into larger premises in Milton Keynes. The total cost of the relocation was £625,000, which has been included in administrative expenses.

The move was necessary to handle not only the increased inventory and pre-delivery checks, but also the rising level of after-sales warranty work caused by manufacturing defects in the new phone.

The company has maintained its warranty policy of providing for 1% of revenue each year. The movements in the warranty provision for the current year are as follows.

	£'000
At 31 August 20X0	262
Provision for year	160
Provision used	(94)
At 31 August 20X1	328

Draft accounts of Digicom Distributors Ltd as at 31 August 20X1 were as follows:

Statement of profit or loss and other comprehensive income for the year ended 31 August 20X1

	20X1	20X0
	£'000	£'000
Revenue	16,000	5,200
Cost of sales	(12,400)	(4,264)
Gross profit	3,600	936
Distribution costs	(837)	(425)
Administrative expenses	(2,253)	(609)
Operating profit/(loss)	510	(98)
Finance costs	(320)	(35)
Profit/(loss) before tax	190	(133)
Tax on profit or loss	(15)	(10)
Profit/(loss) for the period	175	(143)
Other comprehensive income		
Revaluation surplus	400	
Total comprehensive income	575	(143)

Statement of financial position as at 31 August 20X1

		20X1		20X0
	£'000	£'000	£'000	£'000
Non-current assets				
Intangible assets		1,669		829
Property, plant and equipment		6,623		2,564
		8,292		3,393
Current assets				
Inventories	778		520	
Receivables	814		215	
Cash and cash equivalents	250		400	
	1,842		1,135	
Current liabilities				
Bank overdrafts	975		150	
Trade payables	2,734		678	
	3,709		828	
Net current assets/(liabilities)		(1,867)		307
Total assets less current liabilities		6,425		3,700
Non-current liabilities				
Bank loan		(2,084)		–
Provisions		(328)		(262)
Capital and reserves		4,013		3,438
Share capital		100		100
Revaluation reserve		900		500
Retained earnings		3,013		2,838
		4,013		3,438

Requirement

Assess the profitability, liquidity and solvency of the company.

2 CD Sales plc

CD Sales plc, a listed company, was a growth-orientated company that was dominated by its managing director, Mr A Long. The company sold quality music systems direct to the public. A large number of salespersons were employed on a commission-only basis. The music systems were sent to the sales agents who then sold them direct to the public using telephone sales techniques. The music systems were supplied to the sales agents on a sale or return basis and CD Sales recognised the sale of the equipment when it was received by the sales agents. Any returns of the music systems were treated as repurchases in the period concerned.

The company enjoyed a tremendous growth record. The main reasons for this apparent expansion were as follows.

(1) Mr A Long falsified the sales records. He created several fictitious sales agents who were responsible for 25% of the company's revenue.

(2) At the year end, Mr Long despatched nearly all of his inventories of music systems to the sales agents and repurchased those that they wished to return after the year end.

(3) 20% of the cost of sales was capitalised. This was achieved by falsification of the purchase invoices with the co-operation of the supplier company. Suppliers furnished the company with invoices for non-current assets but supplied music systems.

(4) The directors of the company enjoyed a bonus plan linked to reported profits. Executives could earn bonuses ranging from 50% to 75% of their basic salaries. The directors did not query the unusually rapid growth of the company, and were unaware of the fraud perpetrated by Mr A Long.

Mr A Long spent large sums of money in creating false records and bribing accomplices in order to conceal the fraud from the auditor. He insisted that the auditor should sign a 'confidentiality' agreement which effectively precluded the auditor from corroborating sales with independent third parties, and from examining the service contracts of the directors. This agreement had the effect of preventing the auditor from discussing the affairs of the company with the sales agents.

The fraud was discovered when a disgruntled director wrote an anonymous letter to the stock exchange concerning the reasons for the CD Sales growth. The auditor was subsequently sued by a major bank that had granted a loan to CD Sales on the basis of interim financial statements. These financial statements had been reviewed by the auditor and a review report issued.

Requirements

2.1 Explain the key audit procedures which would normally ensure that such a fraud as that perpetrated by Mr A Long would be detected.

2.2 Discuss the implications of the signing of the 'confidentiality' agreement by the auditor.

2.3 Explain how the 'review report' issued by the auditor on the interim financial statements differs in terms of its level of assurance from the auditor's report on the year-end financial statements.

2.4 Discuss whether you feel that the auditor is guilty of professional negligence in not detecting the fraud.

3 Makie Ltd

You are the audit manager for the audit of Makie Ltd, a UK company operating in the manufacturing sector.

During the audit this year, the audit junior identified that the stores manager had been creating false purchases, creating suppliers on the purchase ledger with his own bank account details.

He had attempted to conceal the fraud by creating false orders, goods received notes and purchase invoices. The fraud was identified when this supplier was selected for creditor circularisation. It is apparent that this fraud took place over a period of at least three years.

The finance director estimates that the fraud has cost the company £500,000 which is material to the financial statements.

The MD is blaming the auditors for not detecting this fraud and is threatening to sue the firm for negligence.

Requirements

3.1 Draft a letter to the MD explaining the following:

- The responsibilities of directors and auditors relating to fraud
- The procedures required by professional standards in relation to fraud

3.2 Draft an email to the audit partner giving your opinion as to whether the firm is negligent.

4 Redbrick plc

Redbrick plc is a listed company operating in the civil engineering business generating an annual revenue of £350 million. Your firm has been the auditors of this company for many years.

The assignment partner received the following letter from the chair of the audit committee of Redbrick plc.

It has come to light that the MD and FD of one of our smaller subsidiaries, Tharn Ltd, have been engaging in fraudulent activities for some years. This has included use of Redbrick plc's assets on contracts for their own benefit. (They set up their own company particularly for this purpose.)

Also it looks as if there has been accounting manipulation that has caused profits and revenue to be recognised inappropriately thus enhancing the performance of Tharn Ltd, although there is no suggestion of misappropriation of assets in this case.

Quite frankly I am not sure why we have been paying you as auditors all these years when you cannot discover such obvious fraud as this appears to be. I do not expect a detailed evaluation of the matter at this stage but I would like some explanation of why this problem has not been discovered and reported by you.

The revenue of Tharn Ltd was £12 million in the last financial year. Tharn Ltd specialises in drainage construction, enhancement and clearance.

Requirement

As an audit senior, draft a response for the assignment partner to the letter from the chair of the audit committee of Redbrick plc.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Industry revenues are expected to grow by 20% in 20X7 to reach £2,136 million. The market share of GeroCare has been stable at about 15% for the last five years. Assuming the market share remains the same in 20X7, the forecast revenues for GeroCare are £320 million (= 0.15 × £2,136m).

Answer to Interactive question 2

The asset turnover ratio defined as (Revenue ÷ Non-current assets) will produce a rough estimate of the assets required to produce the new level of sales. The factors that will affect the accuracy of this ratio are: (a) its stability over time (b) the mix between new capital expenditure for expansion and replacement and (c) the level of capital efficiency.

Answer to Interactive question 3

According to the clean surplus model, equity is determined solely by retained earnings. For 20X7 the predicted earnings are £27 million and dividend payments £8 million. Retained earnings therefore for 20X7 amount to £19 million and adding this amount to the value of equity at 31 December 20X6 yields the level of equity for 31 December 20X7, namely £69 million.

Answer to Interactive question 4

In this situation the issues that should be raised are as follows:

(1) The audit is likely to be higher risk than in previous years due to the receipt of the anonymous letter.

(2) The letter that has been received must be treated with the strictest confidence.

(3) There will need to be a thorough review of journal activity and any unusual ones should be brought to the attention of the audit manager for discussion with the client.

(4) Given that the company is hoping to expand, the team need to be made aware of the fact the company will be under pressure to present a strong financial performance and position in order to acquire the necessary finance.

(5) Incidences of management override of controls will need to be noted as they may indicate fraud.

Answer to Interactive question 5

Management may not be aware of the letter and so the auditor will have to proceed with caution (plus there may be money laundering implications, so 'tipping off' would be avoided if the auditor said nothing about the letter for now).

There will be some general queries that the auditor should make. These will need to be ascertained from the client management, internal audit and employees.

- How management identify and address fraud
- Whether or not they are aware of any incidences of actual, suspected or alleged fraud
- If so, what the fraudulent activity was and what impact, if any, it had on the financial statements. What controls, if any, have been implemented to address the deficiencies of the system

The auditor will also have to link the findings of the above inquiries to the anonymous letter to ascertain its validity.

The auditor should ask for draft accounts to review revenue for reasonableness. The reason for any unusual fluctuations should be discussed with management and validated. The auditor should also ascertain whether or not there have been any changes in accounting policy, as this may validate the journals.

The auditor should also ascertain whether there have been any changes in key personnel and the reasons behind the change. It may be possible that the person who wrote the letter was sacked by the company for querying the journal entries.

In addition, the auditor should ascertain the trading conditions of the client and identify any pressures that management may be under to misstate the financial statements.

(Check the following sections in ISA 240 if you struggled to answer this question: ISA 240.17-19, ISA 240.32, ISA 240.A42–.A45.)

Answer to Interactive question 6

In this scenario there are a large number of factors that should alert the auditors to the possibility of misstatements arising from fraudulent financial reporting, and others that could indicate a risk of misstatements arising from misappropriation of assets.

(1) **Operating conditions within the industry**

The failure of a competitor in a highly competitive business sector highlights the threat to the survival of a business such as Sellfones and this could place the directors under pressure to overstate the performance and position of the company in an attempt to maintain investor confidence, particularly given the intention to raise new share capital.

Financial statement issue

This could mean that revenue may be overstated and costs understated. In addition, the appropriateness of going concern as a basis for the preparation of the financial statements will need to be questioned. This will be a particular issue if there is no alternative source of finance for the expansion. The shareholders may be unwilling to purchase more shares if the market is struggling.

(2) **Management structure and incentives**

It is not clear in the scenario how much involvement the new divisional managers have in the financial reporting process but the auditors would need to examine any reports prepared or reviewed by them very carefully, as their personal interest may lead them to overstate results in order to earn their bonuses.

Financial statement issue

Revenue may be overstated and bonuses may not be calculated correctly or properly accrued for.

(3) **New inventory system/chief accountant**

The problems with the implementation of the new inventory system suggest that there may have been control deficiencies and errors in the recording of inventory figures.

Misstatements, whether deliberate or not, may not have been identified. The amount of time spent by the chief accountant on the implementation of the new inventory system could be seen as merely highlighting the severity of the problems, but the fact that he has not taken any leave should also be considered as suspicious and the auditors should be alert to any indication that he may have been involved in any deliberate misstatement of figures.

Financial statement issue

Inventory may not be correctly stated and this will impact on profit and current assets. In addition, inventory may not be appropriately valued, as net realisable value could be lower given the collapse of the main competitor and cheaper products being available on the internet.

(4) **Results**

The year on year results look better than might be expected given the business environment. The gross profit margin has increased to 32.8% (20X6 28.9%) and the operating profit margin has increased to 5% (20X6 3.9%). This seems to conflict with what is known about the industry and should increase the auditors' professional scepticism in planning the audit.

Financial statement issue

This links up with overstatement of revenue, understatement of costs, manipulation of the inventory figure and the incentive for the branch managers to misstate performance.

(5) **Exceptional gain**

The sale and leaseback transaction may involve complex considerations relating to its commercial substance. It may not be appropriate to recognise a gain or the gain may have been miscalculated.

Financial statement issue

The transaction may not have been correctly accounted for. For example IFRS 16 stipulates that the transfer must meet the performance criteria in IFRS 15 to be accounted for as a sale, otherwise the asset cannot be derecognised and a liability must be recognised for the 'sale' proceeds. This could mean that non-current assets and more importantly liabilities may be understated.

(6) **Time pressure on audit**

The auditors should be alert to the possibility that the tight deadline may have been set to reduce the amount of time the auditors have to gather evidence after the end of the reporting period and this may have been done in the hope that certain deliberate misstatements will not be discovered.

Financial statement issue

The pressure may lead to an increased chance of errors creeping into the financial statements.

(7) **Risk of misappropriation of assets**

The nature of the inventories held in the shops increases the risk that staff may steal goods. The risk is perhaps increased by the fact that the attitude of the staff towards their employer is likely to have been damaged by the cut in their Christmas bonus. The problems with the new inventory recording system increase the risk that any such discrepancies in inventory may not have been identified. A manual inventory count should be considered for the year end and a review of the results of any reconciliations between physical inventory and that recorded on the system will be important.

Financial statement issue

Once again, inventory may be misstated, especially if the new system is relied on.

Overall, this year's audit will be a high risk one given the changes to the business, the market conditions, the bonus issues for divisional managers and the potential lack of completeness and accuracy of the inventory records.

Answer to Interactive question 7

Having assessed the audit of Dupi Ltd as high risk, the following steps will now need to be taken.

(1) It is likely that staff who are familiar with the client and who have experience of high risk audits should be assigned to this audit.

(2) The letter states that revenue could be misstated and as a result further work on the relevance of the accounting policy and appropriateness of any changes will need to be carried out. The team should also look out for potential understatement of expenses. Cut-off will be a risky area and one that could easily be manipulated in order to overstate performance.

(3) The auditor should consider whether it is worth performing surprise visits. This may be of use when looking at the area of internal controls in the revenue cycle, especially where there are instances of management override. The auditor will need to focus on the results of any tests of control in the revenue cycle and the reasons behind any breakdown in the controls. The level of substantive testing may need to be increased as a result of lack of reliance on control procedures.

(4) Test the appropriateness of journal entries recorded in the general ledger and other adjustments made in the preparation of the financial statements. Reasons for journal entries to revenue should be ascertained and corroborated with other audit evidence. It is unlikely that revenue can simply be overstated without impacting on other areas of the financial statements – are there any recoverability issues with receivables? This could indicate false sales.

(5) Detailed post year end work on cut-off and reversal of journal entries should be carried out to identify any window dressing transactions. Credit notes may have been issued after the year end to reverse out the revenue increase.

Finally, the auditor's knowledge of the client will also be a factor in determining the audit procedures for Dupi Ltd. The auditor will need to check whether or not there have been any issues with management integrity or incompetence in previous audits. This would indicate that a lesser degree of reliance can be placed on written representations by management and more reliance will be required from external third-party evidence.

Answers to Self-test questions

1 Digicom Distributors Ltd

Assessments Profitability

The company's gross profit margin is strengthening due to the South Korean phone, which can be purchased at very competitive prices and still be sold at half the price of competitive products. This can be further illustrated by comparing the 207% increase in revenue with a 285% increase in gross profit.

Similarly, overheads have only increased by 199%, even including one-off relocation expenses. Therefore, costs are being controlled despite the expansion, and the net margin is also strengthening. However, the overheads do not include all charges for advertising (see below). If these were included net profit would clearly fall. In addition, the company's warranty provisions do not appear to be calculated correctly and the expense is probably understated.

Return on capital employed has improved on the previous year, as the company has turned from a loss-making position to a profit. However, ROCE may be misleading, as there is some doubt as to the suitability of capitalising advertising expenditure and/or the cost of distribution rights. If these were charged as expenses, the company would continue to be in a loss-making position.

The improving profitability of the company is very reliant on the continued success of the South Korean phone and, in a rapidly changing industry, this cannot be guaranteed.

Liquidity

Liquidity has deteriorated in the period, as evidenced by both the current and quick ratios. The company has insufficient current assets from which to meet its current liabilities as they fall due.

This is coupled with very clear signs of overtrading, whereby the inventory turnover ratio has increased dramatically on the previous year. The company is holding very low levels of inventory compared to its increased levels of revenue, which may result in stock-outs and loss of goodwill. This low level of inventory appears to be caused by insufficient funds to finance the purchase of inventory. The company must raise further long-term finance if serious liquidity problems are to be avoided.

Solvency

The company is highly geared. Moreover, the gearing ratio in the appendix does not include the excessive overdraft included in current liabilities. Hence, actual gearing is even higher. Similarly, interest cover at 1.6 times is poor.

The company must raise more funds to survive, particularly if further expansion is to continue. However, lenders will see Digicom Distributors Ltd as a high risk investment and will therefore expect a high return.

Appendix: Accounting ratios

	Year ended 31 August	
	20X1	**20X0**
Profitability		
Return on capital employed		
= Operating profit ÷ (Total assets – Current liabilities)	510 ÷ 6,425 = 7.9%	(98) ÷ 3,700 = (2.6)%
Gross profit margin		
= Gross profit ÷ Revenue	3,600 ÷ 16,000 = 22.5%	936 ÷ 5,200 = 18.0%
Efficiency		
Asset turnover		
= Revenue ÷ (Total assets – Current liabilities)	16,000 ÷ 6,425 = 2.5 times	5,200 ÷ 3,700 = 1.4 times
Inventory turnover		
= Cost of sales ÷ Inventories	12,400 ÷ 778 = 15.9 times	4,264 ÷ 520 = 8.2 times
Receivables collection period		
= (Receivables ÷ Credit sales) × 365	(814 ÷ (16,000 × 30%)) × 365 = 62 days	(215 ÷ (5,200 × 30%)) × 365 = 50 days
Payables payment period		
= (Payables ÷ Cost of sales) × 365	(2,734 ÷ 12,400) × 365 = 80 days	(678 ÷ 4,264) × 365 = 50 days
Liquidity		
Current ratio		
= Current assets ÷ Current liabilities	1,842 ÷ 3,709 = 0.50	1,135 ÷ 828 = 1.37
Quick ratio		
= (Current assets – Inventory) ÷ Current liabilities	(1,842 – 778) ÷ 3,709 = 0.29	(1,135 – 520) ÷ 828 = 0.74
Solvency		
Debt/equity ratio		
= Long-term debt ÷ Capital and reserves	2,084 ÷ 4,013 = 0.52	
Interest cover		
= Operating profit ÷ Interest	510 ÷ 320 = 1.6	

2 CD Sales plc

2.1 There are various key audit procedures which would have uncovered the fraud perpetrated by Mr A Long. Note that the first two tests would bring to the attention of the auditor the substantial inherent and control risk surrounding the accounts of CD Sales, thus increasing the perceived audit risk, and putting them on their guard.

Analytical procedures

The auditor should perform analytical procedures in order to compare the company's results with those of other companies in the same business sector. In particular, the audit should look at sales growth rates and gross profit margins, but also inventory holding levels, non-current assets and return on capital. This should indicate that the company's results are unusual for the sector, to a great extent.

Review of service contracts

The auditor should examine the directors' service contracts. It is unusual for all directors to be paid such substantial bonuses, although the payment of bonuses of some sort to directors is common business practice. It is the size of the bonuses in proportion to the directors' base salaries which is the problem here. It increases both the inherent and control risk for the auditor because it reduces the directors' objectivity about the performance of the company. Audit risk is thus increased.

Testing of sales, purchases and inventories

(1) The main audit test to obtain audit evidence for sales would be to require direct confirmations from the sales agents. These confirmations would also provide evidence for the balance owed to CD Sales at the year end and the inventories held by the agent at the year end. Replies to such confirmations should be sent direct to the auditor who would agree the details therein to the company's records or reconcile any differences. Where replies are not received, alternative procedures would be carried out which might include visits to the agents themselves to examine their records.

(2) A selection of agents should, in any case, be visited at the year end to confirm the inventories held on sale or return by physical verification. The auditor should count such inventories and consider obsolescence, damage etc.

(3) Fictitious agents might be discovered by either of test (1) or (2), but a further specific procedure would be to check authorisation of and contracts with all sales agents. Correspondence could also be reviewed from throughout the year.

(4) The practice of 'selling' all the inventories to the agents and then repurchasing it after the year end should be detected by sales and purchases cut-off tests around the year end. All transactions involving inventory items returned after the year end should be examined.

Testing of non-current assets

Non-current asset testing should help to identify inventory purchases which have been invoiced as non-current assets.

(1) Samples of additions to non-current assets can be checked to the non-current asset register and to the asset itself.

(2) Physical verification will ensure that an asset is being used for the purposes specified, and this should be relatively straightforward to check as the assets will each have individual identification codes.

(3) Where the assets cannot be found, then it may be possible to trace the asset to inventories, perhaps via the selling agents' confirmation, or to sales already made.

Related parties

The level of collusion with suppliers makes detection of fraud difficult, but the auditor may be put on guard if he discovers that the suppliers are related parties to CD Sales. A related party review would normally take place as part of an audit.

2.2 The type of 'confidentiality agreement' signed by the auditor of CD Sales reduces the scope of the audit to such an extent that it has become almost meaningless.

While it is understandable that companies would wish to protect sensitive commercial information, the auditor has the right to any information he feels is necessary in the performance of his duties. This agreement clearly circumvents that right. Moreover, such information would still be protected if released to the auditor, because the auditor is under a duty of confidentiality to the client.

In reducing the scope of the audit to this extent, the agreement prevents the auditor obtaining sufficient appropriate evidence to support an audit opinion. The auditor's report should therefore be modified on the grounds of insufficient evidence, possibly to the extent of a full disclaimer.

In failing to issue such a modification, the auditor may well have acted negligently and even unlawfully in signing such an agreement.

2.3 A review of interim accounts is very different from an audit of year-end financial statements. In an auditor's report a positive assurance is given on the truth and fairness of the financial statements. The level of audit work will be commensurate with the level of assurance given; that is, it will be stringent, testing the systems producing the accounts and the year-end figures themselves using a variety of appropriate procedures.

In the case of a review of interim financial statements, the auditor gives only negative assurance, that he has not found any indication that the interim accounts are materially misstated. The level of audit work will be much less penetrating, varied and detailed than in a full audit. The main audit tools used to obtain evidence will be analytical procedures and direct inquiries of the company's directors.

2.4 It is not the duty of the auditor to prevent or detect fraud. The auditor should, however, conduct the audit in such a way as to expect to detect any material misstatements in the financial statements, whether caused by fraud or error. The auditor should undertake risk assessment procedures in order to assess the risk that fraud is occurring both at the financial statement and the assertion level and plan his procedures accordingly. Where fraud is suspected or likely, the auditor must carry out additional procedures in order to confirm or deny this suspicion.

Even if a fraud is uncovered after an audit, the auditor will have a defence against a negligence claim if it can be shown that auditing standards were followed and that no indication that a fraud was taking place was received at any time.

Application of principles

In this particular case, Mr A Long has taken a great deal of trouble to cover up his fraudulent activities, using accomplices, bribing people, cooking up fictitious documents etc. When such a high-level fraud is carried out, the auditor might find it extremely difficult to uncover the true situation or even realise anything was amiss. The auditor is also entitled to accept the truth of representations made to him and documents shown to him which purport to come from third parties.

On the other hand, the auditor should have a degree of professional scepticism. The auditor should be aware of the risks pertaining to actions. The suspicions of the auditor should have been aroused by the rapid growth rate of the company and fairly standard audit procedures on cut-off and non-current assets should have raised matters which required explanation.

Where the auditor has been most culpable, however, is in signing the confidentiality agreement. This restricted the scope of the audit to such an extent that the auditor should have known that there was insufficient evidence to support their opinion. The auditor will therefore find it difficult to defend a negligence claim.

3 Makie Ltd

3.1 To whom it may concern,

Fraud at Makie Ltd

I refer to the recently discovered fraud during the audit for this year. I appreciate your feelings on this subject and thought it might be helpful if I could summarise the auditors' and directors' responsibilities in this area.

In addition, as I am sure you are aware, auditors must follow professional standards and I thought you might find a summary of these rules useful.

Responsibility for fraud

The responsibility for preventing and detecting fraud lies with those charged with governance of Makie Ltd (the management). Fraud is normally prevented by implementing internal controls which should be regularly reviewed for robustness and errors by those charged with governance. The auditor considers the risk of material misstatement in the financial statements whether due to fraud or error, and adapts the audit procedures as necessary to reduce risk to an acceptably low level.

The auditor cannot be held responsible for the prevention of fraud under any circumstances. If a fraud is uncovered, the auditor will assess its materiality and may carry out additional tests. The detection of fraud is not the objective of the audit as stated in the engagement letter, so the auditor cannot be held responsible.

Professional standards

An auditor considers the risk of fraud and error in the financial statements, and aims for the financial statements to be free of material misstatements whether caused by fraud or error. If a fraud is detected, we are required to investigate the matter further. We managed to investigate in this case and revealed the full extent of the fraud, which was well concealed and complex.

We are also required to consider the risk of fraud when planning an audit as part of our risk assessment procedures, including understanding how management assess risk of fraud and the systems and controls they have put in place to detect and prevent it.

In addition, we consider whether any specific factors exist that may increase the risk of a fraud occurring and design the nature, timing and extent of our audit procedures to give us the best chance of detecting material fraud or errors.

We also consider that, regardless of management integrity in previous years, it is possible that a fraud could still be committed by management or senior staff.

Having said this, it can never be guaranteed that an audit will detect a fraud, and there is a chance that even material frauds will be missed, perhaps due to them not appearing in our samples or due to their complexity.

I hope the above points help you to appreciate our respective responsibilities in this area, but if further clarification is needed I would be delighted to meet you to discuss this further.

Yours faithfully Audit Manager

3.2 Email as follows:

To: Audit Partner

From: Audit Manager

Subject: Makie fraud

I have written to the MD of Makie summarising our respective responsibilities for preventing and detecting fraud, and the work required by our professional standards in this area.

I hope this letter resolves the scenario, but the MD is threatening to sue the firm for negligence.

In order to prove negligence, the MD would have to prove that the firm didn't follow professional standards. As the standards clearly state that the responsibility for prevention and detection lies with management, this should not be an issue, although we do have a duty of care and a loss has been suffered.

I feel it is very unlikely that a claim would succeed in court but, due to negative publicity this would attract, we may wish to consider an out of court settlement if the situation escalates.

I will keep you informed of all developments.

Audit Manager

4 Redbrick plc

Email as follows:

To: The chair of the audit committee of Redbrick plc

From: Audit senior

Subject: Draft response to letter concerning Tharn Ltd

Thank you for your letter regarding the matters that have occurred in Tharn Ltd. This response only sets out our general responsibilities as auditors in respect of the discovery of fraud and error.

ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* is the auditing standard which deals with auditors' responsibilities in these cases.

The definition of fraud in ISA 240.11a is:

"Fraud is an intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage."

It would appear on the basis of your letter as though the MD and FD of Tharn Ltd may have committed two types of fraud:

- Intentional misstatements resulting from fraudulent financial reporting (this can include misstated measurements resulting in the overstatement of revenue as you suggest the MD and FD have done)
- Intentional misstatements resulting from misappropriation of assets (this can include using business assets for personal use as in this case)

The responsibilities of those charged with governance and management in the context of fraud

The primary responsibility for the prevention and detection of fraud rests with both those charged with governance and management. This is likely to include the audit committee. Management should therefore have put in place appropriate procedures to prevent and detect fraud which may include the following:

- A culture of honesty
- Ethical behaviour policy and corporate guidelines
- Appropriate internal controls
- Appropriate policies for hiring, training and promoting employees

Inherent limitations of an audit in the context of fraud

ISAs recognise that there are inherent limitations in an audit whereby material misstatements may arise even where an audit is properly carried out. As a result, only reasonable assurance can be given, not absolute assurance.

You do not suggest the value of the fraudulent activity but, given the size of Tharn Ltd in the context of the Redbrick group, the materiality may be relatively small in the group financial statements, if not in Tharn's own financial statements, although this matter would need to be ascertained.

The risk of a material misstatement is higher from fraud than it is from error, as fraud can be complex and sophisticated and, by its nature, it is likely to be concealed to a greater or lesser extent. If there was any collusion between the MD and the FD then the concealment may be greatest. This is particularly the case given the seniority of their positions and thus their ability to override internal controls.

The probability of detection in the audit process will also depend on:

- the skill of the perpetrator(s)
- the scale of the fraud
- the frequency of the fraud
- the internal controls of the company

The responsibilities of the auditor for detecting material misstatement due to fraud

An auditor is required to obtain reasonable assurance that the financial statements, taken as a whole, are free from material misstatement whether caused by fraud or error. Absolute assurance is not possible therefore the discovery of fraud after the event does not of itself indicate that the audit has not been carried out in accordance with ISAs.

Audit evidence is persuasive, rather than conclusive; thus, for instance, normal reasonable reliance on internal controls can be rendered invalid by collusion.

Further evidence

Further evidence should be obtained as a matter of urgency to ascertain the nature, scope and materiality of the fraud. At that stage we can provide a more detailed response to the specific matters you raise.

Chapter 25
Assurance and related services

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Assurance

2 Engagements to review financial statements

3 Due diligence

4 Reporting on prospective financial information (PFI)

5 Agreed-upon procedures

6 Compilation engagements

7 Forensic audit

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain the nature of a range of different assurance engagements, including those relating to environmental and sustainability disclosures
- Evaluate the evidence necessary to report at the appropriate level of assurance
- Evaluate risk in relation to the nature of the assurance engagement and the entity or process for a given scenario
- Design and determine procedures necessary to attain the relevant assurance objectives in a potentially complex scenario
- Appraise and explain the nature and purpose of forensic audit and prepare and plan procedures required to achieve a range of differing objectives
- Explain the roles and responsibilities that auditors may have with respect to a variety of different types of information and design procedures sufficient to achieve agreed objectives
- Explain the nature and purposes of due diligence procedures (for example: financial, commercial, operational, legal, tax, human resources) and plan procedures required to achieve a range of differing financial objectives

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Assurance** Use this section as a reminder of the work a firm does that is NOT audit-driven. Note how many different types of engagement there are.	**Approach** Work through each engagement and try to remember where you have met them before. **Stop and think** If required, would you be able to find these in your open book? Can you tell what's different about the UK-specific version of the standard?	If asked to perform an engagement such as an assurance report at a service organisation, you will need to explain the firm's responsibilities and how they will be addressed by stating specific procedures and actions.	**IQ1: Assurance engagement (1)** This is a good starting point for revising assurance engagements but note how similar the acceptance procedures are to those in place for an audit. **IQ2: Assurance engagement (2)** This is a more practical test of your ability to describe suitable procedures for a

Topic	Practical significance	Study approach	Exam approach	Interactive questions
				particular scenario.
2	**Engagements to review financial statements** These so-called 'mini-audits' are often preferred by companies exempt from audit – what benefits do you think they would provide?	**Approach** At all stages of the work, compare and contrast the approach used in reviews with those used in an audit. **Stop and think** Do you think this is as good as an audit? Does it depend on who it is being done for? Note the issue of a UK-specific version of the standard – what do you think will have contributed to this?	Beyond acceptance, planning and risk assessment, you will most likely be asked to generate suitable procedures – remember that these are going to be enquiry and analytical procedures, so consider how they could be used to best effect in the situation presented. Note that interim reviews are more likely for listed companies to satisfy the expectations of the stock market.	N/A
3	**Due diligence** The 'used car problem' is a good way of explaining why due diligence is so important for organisations and how it is relied upon.	**Approach** Work through each part of the process and consider how it might actually be completed. **Stop and think** Have you or anyone you work with been involved in such an engagement?	Consider the different types of due diligence (beyond the basic financial aspects) and try to think of all the various questions that a potential purchaser would want to ask – how do you think you would answer them?	**IQ3: Due diligence** This is a great opportunity to put into practice what you have learned so far about due diligence – why does each of these issues matter?
4	**Reporting on prospective financial information (PFI)** Firms are often approached to examine financial forecasts for reasonableness – in	**Approach** You met this type of work earlier in your studies. **Stop and think** Can you remember how you would have interrogated	As ever, you will be assessed on your ability to apply knowledge to the situation presented in the scenario. You may need to consider acceptance procedures or	**IQ4: Prospective financial information** Be as creative as you can and work methodically through all the items that you would expect to

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	this case though, it may not be shareholders or directors who you are working for.	such forecasts in previous questions?	describe the work you would do to evaluate either the preparation of the forecasts or the assumptions underpinning them.	see in the forecasts given the information in the scenario.
5	**Agreed-upon procedures** No assurance is offered here – simply a statement of what was required. You should be familiar with any recent developments in this area.	**Approach** While reading through the section, consider what work this could include. **Stop and think** Does the lack of assurance make this work any less valuable to the client?	Make sure you understand the issues surrounding acceptance, planning, completion and communicating your findings.	N/A
6	**Compilation engagements** This is the application of accounting skills only and also offers no assurance.	**Approach** You should remember this from your earlier studies. **Stop and think** Have you ever been involved in this kind of work?	As with agreed-upon procedures, this will be practical but still require good awareness of the various stages of the work to be undertaken.	N/A
7	**Forensic audit** This is perhaps the most topical of all these non-audit engagements given the ongoing application of technology as a solution to a complex series of problems.	**Approach** The word 'forensic' may create images of criminal investigators wearing masks and gloves at a crime scene. However, the process of using tiny fragments of evidence to piece together the full story applies just as much to accountants as it does to the police.	Clearly, you cannot undertake such an engagement as part of your exam but you may still need to explain procedures that could be used to search for vital clues.	**IQ5: Forensic auditing** Use your knowledge of how inventory counts should work and then consider how this could be abused in the context of the question.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		Stop and think Search online for the term 'forensic audit' and you will be rewarded with many examples!		

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Assurance

Section overview

- You have covered the concept of assurance and the principles in ISAE 3000 (Revised) in your earlier studies. This section provides a brief summary.
- ISAE 3402 and ISAE 3410 apply ISAE 3000 (Revised) to an engagement to report on controls at a service organisation and engagements to report on greenhouse gas statements.
- ISAE 3420 concerns reporting on the pro forma information contained in a prospectus.

1.1 Introduction

You have been introduced to the concept of Assurance and International Standard on Assurance Engagements via ISAE 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information* in the Assurance and Audit & Assurance papers at the Professional Level. The remainder of section 1 provides revision of the key points.

Note: The most recent versions of ISAEs are available in the Bangladesh FRC Website.

1.2 Concept of assurance

Definition

Assurance engagement: An assurance engagement is one in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

The most common type of assurance engagement is the audit. This has been covered earlier in this Workbook.

1.3 Assurance engagements other than audits or reviews of historical financial information

ISAE 3000 (Revised) establishes **basic principles and essential procedures** for the performance of assurance engagements. It does not concern audits or reviews of historical financial information which are covered by ISAs and International Standards on Review Engagements (ISREs).

ISAE 3000 (Revised) distinguishes between the two types of assurance engagement:

- **Reasonable assurance engagements** aim to reduce assurance engagement risk to an **acceptably low level** in the circumstances of the engagement as the basis for the assurance practitioner's conclusion. The practitioner's conclusion is expressed in a form that conveys the practitioner's opinion on the outcome of the measurement or evaluation of the underlying subject matter against criteria.
- **Limited assurance engagements** give a **lower level of assurance**. The nature, timing and extent of the procedures carried out by the practitioner in a limited assurance engagement would be limited compared with what is required in a reasonable assurance engagement. Nevertheless, the procedures performed should be planned to obtain a level of assurance

which is **meaningful**, in the practitioner's professional judgement. To be meaningful, the level of assurance obtained by the practitioner is likely to enhance the intended users' confidence about the subject matter information to a degree that is clearly more than inconsequential.

Some of the salient points here may be summarised thus.

Assurance	Level of risk	Conclusion	Procedures	Example
Reasonable	Low	Positive expression – opinion expressed	High	"The management has operated an effective system of internal controls"
Limited	Acceptable in the circumstances	Negative expression – whether matters have come to attention indicating material misstatement	Limited, but still provides a meaningful level of assurance	"Nothing has come to our attention that indicates significant deficiencies in internal control"

Notes

1 The statutory audit is an example of a reasonable assurance engagement.

2 Remember the negative expression of opinion provides assurance of something in the absence of any evidence arising to the contrary. In effect the auditor is saying, 'I believe that this is reasonable because I have no reason to believe otherwise'.

Assurance engagements performed by professional accountants are normally intended to **enhance the credibility of information** about a subject matter by evaluating whether the subject matter conforms in all material respects with suitable criteria, thereby improving the likelihood that the information will meet the needs of an intended user. In this regard, the level of assurance provided by the professional accountant's conclusion conveys the degree of confidence that the intended user may place on the credibility of the subject matter.

There is a broad range of assurance engagements, which may include any of the following areas:

(a) Engagements to report on a wide range of subject matters covering financial and non-financial information

(b) **Attestation engagements** (where the underlying subject matter has not been measured or evaluated by the practitioner, and the practitioner concludes whether or not the subject matter information is free from material misstatement) and **direct engagements** (where the underlying subject matter has been measured and evaluated by the practitioner, and the practitioner then presents conclusions on the reported outcome in the assurance report)

(c) Engagements to report internally and externally

(d) Engagements in the private and public sector

Specific examples of assurance assignments include the following:

- Assurance attaching to special purpose financial statements
- Adequacy of internal controls
- Reliability and adequacy of IT systems
- Environmental and social matters
- Risk assessment
- Regulatory compliance
- Verification of contractual compliance

Elements of an assurance engagement

An assurance engagement will normally exhibit the following elements.

(a) A **three-party relationship** involving:

  (1) a practitioner (the auditor or member of the engagement team)

  (2) a responsible party (the client company)

  (3) an intended user (eg, investors, regulators)

(b) **Subject matter** (ie, the information or issue to be attested)

(c) **Suitable criteria** (ie, standards or benchmarks to evaluate the subject matter)

(d) **Evidence** (sufficient appropriate evidence needs to be gathered to support the required level of assurance)

(e) An **assurance report** (a written report containing the practitioner's assurance conclusion is issued to the intended user, in the form appropriate to a reasonable assurance engagement or a limited assurance engagement)

Ethical requirements

As a minimum practitioners should comply with the IESBA Code or any ethical standards issued by their own institute if considered more demanding.

Acceptance and continuance

The practitioner must consider a number of factors before accepting or continuing an assurance engagement. These include whether:

- there is any reason to believe that relevant ethical requirements will not be satisfied;
- the practitioner is satisfied that the team have the appropriate competence and capabilities; and
- the basis on which the engagement is to be performed has been agreed.

The practitioner must also establish whether the preconditions for an assurance engagement are present.

Planning and performing the assurance engagement

Planning an assurance engagement will normally include consideration of the following:

- Terms of the engagement
- The expected timing and nature of the communication required
- Characteristics of the subject matter and the identified criteria
- The engagement process
- Understanding the entity, the environment and the risks
- Identifying intended users and their needs
- The extent to which the risk of fraud is relevant
- Resource requirements to complete the assignment
- The impact of the internal audit function

The practitioner should also:

- plan and perform the engagement with professional scepticism;
- obtain an understanding of the subject matter;
- assess the suitability of the criteria to evaluate or measure the subject matter; and
- consider materiality and engagement risk.

Quality management

As a minimum, the requirements of ISQM 1 should be followed for both the appointment of an engagement partner and the assignment of an appropriate team. The engagement partner will be responsible for satisfactory completion of the engagement, including direction, supervision, consultation and documentation. If required, the practitioner will also need to appoint a suitable engagement quality reviewer.

Obtaining evidence

The practitioner should obtain sufficient appropriate evidence on which to base the conclusion. The practitioner must consider risk and appropriate responses to those risks depending on whether the assurance engagement is a limited assurance engagement or a reasonable assurance engagement. The practitioner may also:

- obtain representations from responsible parties;
- consider the effect of subsequent events; and
- consider the effect of work performed by a practitioner's expert or an internal auditor.

Conclusions

The professional accountant must express a conclusion in writing that provides a level of assurance as to whether the subject matter conforms in all material respects with the identified suitable criteria.

The ISAE **does not require a standardised format for reporting**. However, it states that the assurance report will normally include the following elements:

- A title that indicates the report is an independent assurance report
- An addressee
- An identification or description of the **level of assurance** obtained by the practitioner
- The **subject matter information** (the outcome of the measurement or evaluation of the underlying subject matter against the criteria; for example, 'The company's internal controls operated effectively in terms of criteria X in the period')
- When appropriate, identification of the **underlying subject matter** (the phenomenon that is measured or evaluated; for example, the interim financial statements for the six months ended 31 March 20X5 in a review of interim financial statements)
- An identification of the **applicable criteria** (assertions, measurement methods, interpretations, regulations)
- A description of **significant inherent limitations** (for example, noting that a historical review of internal controls does not provide assurance that the same controls will continue to operate effectively in the future)
- When the applicable criteria are designed for a **specific purpose**, a statement alerting readers to this fact and that, as a result, the subject matter information may not be suitable for another purpose
- Responsible parties and their **responsibilities**, and the practitioner's responsibilities
- Statement that the work was performed **in accordance with ISAE 3000 (July 2020)** (or another subject matter specific ISAE, where relevant)
- A statement that the firm of which the practitioner is a member **applies appropriate quality standards**
- A statement that the practitioner complies with the **independence and other ethical requirements** of the FRC Revised Ethical Standard and the practitioner's own institute for public interest assurance engagements; otherwise, as a minimum, the IESBA Code and the practitioner's own institute's requirements have been followed

- An **informative summary of work performed** (including, for limited assurance engagements, a statement that the nature, timing and extent of work performed is different from that carried out for a reasonable assurance engagement, and therefore a substantially lower level of assurance is provided)
- Conclusion
- Signature
- Report date
- Location of practitioner giving the report

The practitioner's conclusion provides a level of assurance about the subject matter. **Absolute assurance is generally not attainable** as a result of such factors as:

- the use of selective testing;
- the inherent limitations of control systems;
- the fact that much of the evidence available to the practitioner is persuasive rather than conclusive;
- the use of judgement in gathering evidence and drawing conclusions based on that evidence; and
- in some cases, the characteristics of the subject matter.

Therefore, practitioners ordinarily undertake engagements to provide one of only two distinct levels: reasonable assurance and limited assurance. These engagements are affected by various elements; for example, the degree of precision associated with the subject matter, the nature, timing and extent of procedures, and the sufficiency and appropriateness of the evidence available to support a conclusion.

Unmodified and modified conclusions

An unmodified opinion is expressed when the practitioner concludes the following:

- In the case of a reasonable assurance engagement, that the subject matter information is prepared, in all material respects, in accordance with the applicable criteria
- In the case of a limited assurance engagement, that, based on the procedures performed and the evidence obtained, no matters have come to the attention of the practitioner that causes them to believe that the subject matter information is not prepared in all material respects, in accordance with the applicable criteria.

A modified conclusion will be issued where the above does not apply.

1.3.1 Conforming amendments

A number of conforming amendments have previously been made to ISAE 3000 (Revised) resulting from the changes made to ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* by the IAASB following the conclusion of its NOCLAR (non-compliance with laws and regulations) project. These became effective for periods beginning on or after 15 December 2017. The key points are as follows.

Planning and performing the engagement

The practitioner may have additional responsibilities under law, regulation or ethical requirements regarding non-compliance with laws and regulations which differ or go beyond responsibilities under ISAE 3000.

Communication with management and those charged with governance

Issues surrounding the requirement to communicate suspected non-compliance with laws and regulations may be complex. For example in some jurisdictions communication may be restricted or prohibited. The practitioner may consider it appropriate to obtain legal advice.

Reporting to an appropriate authority outside the entity

This may be appropriate for the following reasons:

(a) Law, regulation or ethical requirements require it

(b) The practitioner has determined that reporting is an appropriate action in the circumstances

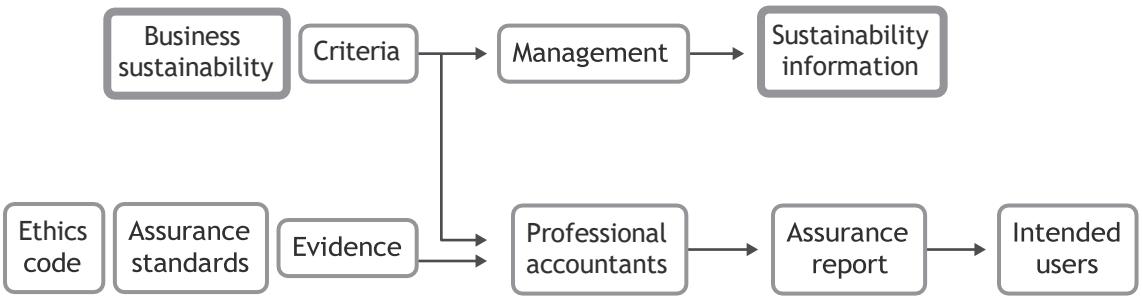
(c) Law, regulation or ethical requirements provide the practitioner with the right to do so

In some instances reporting to authorities outside the entity may give rise to confidentiality issues. The practitioner may consult internally, obtain legal advice or consult with a regulator or professional body in order to understand the implications of different courses of action.

1.4 ICAEW Publication

The ICAEW publication *Sustainability Assurance: Your Choice* summarises the IAASB approach to assurance as follows:

Figure 25.1: IAASB approach to assurance engagements



Interactive question 1: Assurance engagement (1)

You are the auditor of Knoll plc. Investors in the company have recently expressed concern regarding the company's compliance with corporate governance requirements. As a result you have been asked by the directors to undertake an assurance engagement to assess the risk management procedures adopted by Knoll plc.

Requirements

1.1 Explain why the investors would require assurance regarding risk management procedures.

1.2 Identify the elements in the above scenario normally exhibited by an assurance engagement.

1.3 Explain the matters you would consider before accepting this engagement.

See **Answer** at the end of this chapter.

Interactive question 2: Assurance engagement (2)

One of your audit clients, Kelly plc, has borrowed £30 million from Bond Bank plc. The lending agreement requires that the company meets certain covenants and that the directors of Kelly plc provide the bank with an annual statement of compliance. Your firm has been asked to report on this statement and the bank have requested that the report should be made directly to them.

Requirements

2.1 To whom should the letter of engagement be addressed?

2.2 List the key issues which the letter of engagement should cover.

2.3 Outline the procedures which the auditor would perform in order to report on the compliance statement.

See **Answer** at the end of this chapter.

1.5 Assurance reports on controls at a service organisation

1.5.1 Introduction

ISAE 3402, *Assurance Reports on Controls at a Service Organisation* expands on how ISAE 3000 (Revised) is to be applied in a reasonable assurance engagement to report on controls at a service organisation. It deals with assurance engagements carried out by a practitioner to provide a report for user entities and their auditors on the controls at a service organisation. It only applies when the service organisation is responsible for, or otherwise able to make a statement about, the suitable design of controls. This means that it does not apply where the assurance engagement is to:

(a) Report only on whether controls at the service organisation operated as described; or

(b) Report on controls at a service organisation other than those related to a service that is likely to be relevant to user entities' internal control as it relates to financial reporting

Note: Minor conforming amendments have been made to ISAE 3402 resulting from the changes made to ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* made by the IAASB following the conclusion of its NOCLAR (non-compliance with laws and regulations) project.

1.5.2 Objectives

ISAE 3402 states that the objectives of the service auditor are as follows:

(a) To obtain reasonable assurance about whether, in all material respects, based on suitable criteria:

  (1) The service organisation's description of its system fairly presents the system as designed and implemented throughout the specified period or as at a specified date

  (2) The controls related to the control objectives stated in the service organisation's description of its system were suitably designed throughout the specified period

  (3) Where included in the scope of the engagement, the controls operated effectively to provide reasonable assurance that the control objectives stated in the service organisation's description of its system were achieved throughout the period

(b) To report on the matters in (a) above

1.5.3 Requirements

ISAE 3402 requires the service auditor to carry out the following procedures:

- Consider acceptance and continuance issues
- Assess the suitability of the criteria used by the service organisation
- Consider materiality with respect to the fair presentation of the description, the suitability of the design of controls and, in the case of a type 2 report, the operating effectiveness of

controls

- Obtain an understanding of the service organisation's system
- Obtain evidence regarding:
  - The service organisation's description of its system
  - Whether controls implemented to achieve the control objectives are suitably designed
  - The operating effectiveness of controls (when providing a type 2 report)
- Determine whether, and to what extent, to use the work of the internal auditors (where there is an internal audit function)

Notes

1 A 'type 1' report is a report on the description and design of controls at a service organisation.

2 A 'type 2' report is a report on the description, design and operating effectiveness of controls at a service organisation.

1.5.4 Written representations

The service auditor must request the service organisation to provide the following written representations in the form of a representation letter addressed to the service auditor:

(a) Reaffirmation of the statement accompanying the description of the system

(b) That it has provided the service auditor with all relevant information and access

(c) That it has disclosed to the service auditor any of the following of which it is aware:

(1) Non-compliance with laws and regulations, fraud or uncorrected deviations

(2) Design deficiencies in controls

(3) Instances where controls have not operated as described

(4) Subsequent events

1.5.5 Content of the service auditor's assurance report

Note: This standard was issued prior to the adoption of the quality management standards in 2021 when ISQC 1 and the terms 'quality control' and 'engagement quality control review' were still in use – however, in this instance you can assume that these practices are referring to what you understand to be quality management and engagement quality reviews respectively under ISQM 1.

ISAE 3402 requires the report to contain the following basic elements:

(a) A title that clearly indicates that the report is an independent service auditor's assurance report

(b) An addressee

(c) Identification of:

(1) the service organisation's description of its system, and the service organisation's statement; and

(2) those parts of the service organisation's description of its system that are not covered by the service auditor's opinion (if any)

(d) Identification of the applicable criteria, and the party specifying the control objectives

(e) A statement that the report is intended only for user entities and their auditors

(f) A statement that the service organisation is responsible for:

(1) preparing the description of its system, and the accompanying statement;

(2) providing the services covered by the service organisation's description of its system;

(3) stating the control objectives; and

(4) designing and implementing controls to achieve the control objectives stated in the service organisation's description of its system

(g) A statement that it is the service auditor's responsibility to express an opinion on the service organisation's description, on the design of controls related to the control objectives, and in the case of a type 2 report on the operating effectiveness of those controls

(h) A statement that the firm applies ISQC 1

(i) A statement that the practitioner complies with the IESBA Code or other professional requirements

(j) A statement that the engagement was performed in accordance with ISAE 3402 A summary of the service auditor's procedures

(k) A statement of the limitations of controls

(l) The service auditor's opinion expressed in a **positive** form Date

(m) Name of the service auditor

1.5.6 Auditor's opinion

For a type 1 report the service auditor will express their opinion as to whether the description fairly presents the service organisation's system and that the controls related to the control objectives stated in that description were suitably designed.

In addition to the above for a type 2 report the auditor will also express an opinion as to whether the controls tested operated effectively throughout the specified period.



Professional skills focus: Applying judgement

It will be far from straightforward determining the operation of an outsourced service organisation's internal controls. You need to display strong judgement to evaluate what obstacles exist in your mission to issue an appropriate opinion.

1.5.7 Modified opinions

Where the auditor cannot agree with the details of the report or is unable to obtain sufficient appropriate evidence, a modified report must be issued.

1.6 Assurance engagements on greenhouse gas statements

1.6.1 Background

In June 2012, the IAASB issued ISAE 3410, *Assurance Engagements on Greenhouse Gas Statements*.

Note: Minor conforming amendments have been made to ISAE 3410 resulting from the changes made to ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* by the IAASB following the conclusion of its NOCLAR (non-compliance with laws and regulations) project.

Definitions

Greenhouse gas statement: A statement setting out constituent elements and quantifying an entity's greenhouse gas emissions for a period (sometimes known as an emissions inventory) and, where applicable, comparative information and explanatory notes including a summary of significant quantification and reporting policies.

Greenhouse gases (GHGs): Carbon dioxide (CO_2) and any other gases required by the applicable criteria to be included in the GHG statement, such as: methane; nitrous oxide; sulphur hexafluoride; hydrofluorocarbons; perfluorocarbons; and chlorofluorocarbons.

All businesses emit GHGs either directly or indirectly. Recently the demand for companies to publish information about their emissions has increased. As a result the public require confidence that GHG statements are reliable. ISAE 3410 aims to enhance this confidence. Reasons for preparing a GHG statement include the following:

- It may be required under a regulatory disclosure regime.
- It may be required as part of an emissions trading scheme.
- A company may wish to make voluntary disclosures.

1.6.2 Assurance

An engagement performed in accordance with ISAE 3410 must also comply with the requirements of ISAE 3000 (Revised). Depending on the circumstances the engagement may provide limited or reasonable assurance about whether the GHG statement is free from material misstatement, whether due to fraud or error. ISAE 3410 does not specify the circumstances under which a reasonable or limited assurance engagement will be performed. This will normally be determined by law or regulation or based on the reason behind the performance of the engagement.

1.6.3 Process

The key stages for this type of engagement are similar to those for any assurance assignment. These are as follows:

- Plan the engagement
- Obtain an understanding of the entity and its internal control
- Identify and assess the risks of material misstatement
- Design overall responses to the assessed risk of material misstatement and further procedures
- Obtain written representations
- Form an assurance conclusion

The detail of the ISAE adopts a 'two column approach' detailing specific issues which apply to a limited assurance engagement and those which apply to a reasonable assurance engagement. For example:

Understanding the entity

The understanding required to perform a limited assurance engagement will be less than that required for a reasonable assurance engagement. In particular, for a limited assurance engagement there is no requirement to:

- obtain an understanding of control activities relevant to the engagement (although an understanding of other aspects of internal control should be obtained); or
- evaluate the design of controls and determine whether they have been implemented.

Identifying and assessing risk

Risk assessment procedures will be less extensive in a limited assurance engagement. For example, the assessment of the risks of material misstatement with respect to material types of emissions and disclosures does not need to be performed at the assertion level.

Overall responses and further procedures

ISAE 3410 identifies varied procedures depending on the assurance provided. In particular, the nature and extent of procedures will depend on the nature of the assignment. For example, analytical procedures for a reasonable assurance engagement should be assertion based.

1.6.4 Reporting

Note: This standard was issued prior to the adoption of the quality management standards in 2021 when ISQC 1 and the terms 'quality control' and 'engagement quality control review' were still in use – however, in this instance you can assume that these practices are referring to what you understand to be quality management and engagement quality reviews respectively under ISQM 1.

ISAE 3410 requires the assurance report to include the following basic elements:

a) A title which clearly indicates that the report is an independent assurance report
b) The addressee
c) Identification and description of the level of assurance, either reasonable, or limited
d) Identification of the GHG statement
e) A description of the entity's responsibilities
f) A statement that the GHG quantification is subject to inherent uncertainty
g) If the GHG statement includes emissions deductions that are covered by the practitioner's conclusion, identification of those emissions deductions, and a statement of the practitioner's responsibility with respect to them
h) Identification of the applicable criteria
i) A statement that the firm applies ISQC 1
j) A statement that the practitioner complies with the IESBA Code or other professional requirements
k) A description of the practitioner's responsibility including:
    i. a statement that the engagement was performed in accordance with ISAE 3410; and
    ii. a summary of the work performed as the basis of the practitioner's conclusion. In the case of a limited assurance engagement, this must include a statement that the procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.
l) In a reasonable assurance engagement the conclusion shall be expressed in a positive form. In a limited assurance engagement the conclusion must be expressed in a form that conveys whether a matter(s) has come to the practitioner's attention to cause the practitioner to believe that the GHG statement is not prepared, in all material respects in accordance with applicable criteria.
m) If the practitioner expresses a conclusion that is modified, the report must include a section that provides a description of the matter giving rise to the modification and a section containing the modified opinion.
n) The practitioner's signature

o) The date of the assurance report
p) The location and jurisdiction where the practitioner practises

Appendix 2 of ISAE 3410 includes illustrative examples of reports for both reasonable and limited assurance engagements.

1.7 Reporting on information contained in a prospectus

1.7.1 Reporting on the compilation of pro forma financial information

Assurance assignments relate to a wide range of engagements, the nature of which is likely to be determined by contract as well as by statute. They include major investment, divestment, financing and restructuring strategies where additional credibility is needed for one or more of the contracting parties. In December 2011 the IAASB issued ISAE 3420, *Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*. The project was undertaken in the context of the increasing globalisation of capital markets that has made it important for the financial information used in capital market transactions to be understandable across borders and for assurance to be provided to enhance users' confidence in how such information is produced. The key points to note are as follows:

- Pro forma financial information is defined as financial information shown together with adjustments to illustrate the impact of an event or transaction on unadjusted financial information as if the event had occurred or the transaction had been undertaken at an earlier date selected for the purposes of illustration. This is achieved by applying pro forma adjustments to the unadjusted financial information.
- The practitioner's sole responsibility is to report on whether the pro forma financial information has been compiled in all material respects by the responsible party on the basis of applicable criteria. The practitioner has no responsibility to compile the pro forma information.
- The practitioner must perform procedures to assess whether the applicable criteria used in the compilation of the pro forma information provide a reasonable basis for presenting the significant effects directly attributable to the event or transaction. The work must also involve an evaluation of the overall presentation of the pro forma financial information.
- To maximise its applicability globally ISAE 3420 prescribes the wording of the opinion although it allows two alternative forms:
  - The pro forma financial information has been compiled, in all material respects, on the basis of the (applicable criteria).
  - The pro forma financial information has been properly compiled on the basis stated.

2 Engagements to review financial statements



Section overview

- A review is a type of assurance service which provides a reduced degree of assurance concerning the proper preparation of financial statements.
- One specific example is the review of interim financial information that may be performed by the independent auditor.
- Where no material matters come to the attention of the auditor an expression of negative assurance should be given.

2.1 Nature of a review engagement

The objective of a review of financial statements is to enable a practitioner/auditor to state **whether anything has come to the practitioner/auditor's attention** that causes the practitioner/auditor to believe that the financial statements are not prepared, in all material respects, in **accordance with an identified financial reporting framework**.

An **external review** is an exercise similar to an audit, which is designed to give a **reduced degree of assurance** concerning the proper preparation of historical financial information. **Negative assurance** is given on review assignments.

Guidance is provided for this International Standard on Review Engagements using ISRE 2400 (Revised), *Engagements to Review Historical Financial Statements.* This ISRE applies to reviews of historical financial statements by a practitioner other than the entity's auditors. It does not address a review of an entity's financial statements or interim financial information performed by the auditor of the entity.

The revised ISRE aims to describe the review as a distinct assurance engagement which is different from an audit in key respects, including the performance of the engagement and reporting. It has been issued in response to an increased demand for services other than audit. This has been driven by the fact that in many jurisdictions there are exemptions from the mandatory audits of financial statements. In the UK, for example, companies which meet the small company criteria are exempt from statutory audits. These small companies, as well as unincorporated businesses, may want their financial statements to be reviewed by chartered accountants, despite not being required to have an audit.

Notes

1 Conforming amendments have been made to ISRE 2400 (Revised), resulting from the changes made to ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* by the IAASB following the conclusion of its NOCLAR (non-compliance with laws and regulations) project.

2 This ISRE has not been adopted in the UK.

2.2 Engagement quality

ISRE 2400 (Revised) highlights a number of factors to ensure that engagement quality is maintained. These include the following:

- Compliance with ethical standards including independence requirements.
- Planning and performing the engagement with professional scepticism.
- Exercising professional judgement in the performance of the review engagement. In a review this judgement is essential particularly regarding decisions about the procedures which need to be performed and assessing the sufficiency and appropriateness of evidence obtained.
- Requiring the engagement partner to take overall responsibility for the engagement, including direction, supervision, planning and performance in compliance with professional standards and the firm's quality management policies. The engagement partner must also ensure that the team has the appropriate competence and capabilities including assurance skills.

2.3 Acceptance and continuance

One of the important aspects of the revised ISRE is that it includes safeguards to ensure that a review engagement is not undertaken unless it is appropriate to the circumstances. For example, if the practitioner believes that an audit would be more appropriate, this should be

recommended to the client. In other cases where circumstances preclude an assurance engagement, a compilation engagement or other accounting service may be suggested.

The terms of the engagement should be recorded in an engagement letter or other written agreement. It should include the following matters:

(a) The intended use and distribution of the financial statements and any restrictions on use
(b) Identification of the applicable financial reporting framework
(c) The objectives and scope of the review engagement
(d) The responsibilities of the practitioner
(e) The responsibilities of management (including the responsibility to provide the practitioner with all information required)
(f) A statement that the engagement is not an audit and that the practitioner will not express an audit opinion
(g) Reference to the expected form and content of the report to be issued (and a statement that the report may differ from this)

2.4 Materiality

The practitioner should apply similar materiality considerations as would be applied if an audit opinion on the financial statements were being given. ISRE 2400 (Revised) requires the practitioner to determine materiality for the financial statements as a whole and apply this in designing procedures and evaluating results. Although there is a greater risk that misstatements will not be detected in a review than in an audit, the judgement as to what is material is made by reference to the information on which the practitioner is reporting and the needs of those relying on that information, not to the level of assurance provided.

2.5 Procedures

In overview the work performed by the practitioner is as follows:

(a) Inquiry and analytical procedures are performed to obtain sufficient appropriate audit evidence to come to a conclusion about the financial statements as a whole. These must address all material items in the financial statements including disclosures and must address areas where material misstatements are likely.
(b) If sufficient appropriate evidence has not been obtained by these procedures, further procedures are performed.
(c) Additional procedures are performed where the practitioner becomes aware of matters that indicate that the financial statements may be materially misstated.

2.5.1 Understanding the business

The practitioner is required to obtain an understanding of the business including:

- Relevant industry
- Nature of the entity (eg, operations, ownership structure)
- Accounting systems and accounting records
- Selection and application of accounting policies

2.5.2 Inquiry

Inquiry is one of the key techniques used by the practitioner in a review. Evaluating the responses is an integral part of the process. Specific inquiries include the following matters:

- How management makes significant accounting estimates
- Identification of related parties and related party transactions

- Whether there are significant, unusual or complex transactions, events or matters that have affected or may affect the financial statements (eg, significant changes in the entity's business, changes to terms of finance or debt covenants, significant transactions near the end of the reporting period)
- Actual, suspected or alleged fraud, illegal acts or non-compliance with laws and regulations
- Whether management has identified and addressed events after the reporting period
- Basis for management's assessment of the entity's ability to continue as a going concern
- Events or conditions that cast doubt on the entity's ability to continue as a going concern
- Material commitments, contractual obligations or contingencies
- Material non-monetary transactions or transactions for no consideration in the reporting period

2.5.3 Analytical procedures

Analytical procedures can help the practitioner with:

- obtaining or updating an understanding of the entity and its environment;
- identifying inconsistencies or variances from expected trends, values or norms;
- providing corroborative evidence in relation to inquiry or other analytical procedures; and
- serving as additional procedures when the practitioner becomes aware of matters that indicate that the financial statements may be materially misstated.

  In designing analytical procedures ISRE 2400 (Revised) requires the practitioner to consider whether the data available is adequate for these purposes.

2.5.4 Other procedures

The practitioner must obtain evidence that the financial statements agree with, or reconcile to, the underlying accounting records.

Written representations will be sought stating that management have fulfilled their responsibilities and that certain matters have been disclosed (eg, re related parties, fraud, going concern).

2.5.5 Procedures to address specific circumstances

ISRE 2400 (Revised) identifies three areas which must be addressed specifically:

- related parties
- fraud and non-compliance with laws and regulations
- going concern

2.5.6 Related parties

The practitioner is required to remain alert for circumstances which might indicate the existence of related-party relationships or transactions. Where transactions outside the entity's normal course of business are identified the practitioner must discuss them with management, in particular inquiring about the nature of the transactions, whether related parties are involved and the business rationale (or lack of) of those transactions.

2.5.7 Fraud and non-compliance with laws and regulations

Where there is an indication of fraud or non-compliance with laws and regulations, the practitioner must:

- communicate the matter to the appropriate level of management/those charged with governance;
- request management's assessment of the effects if any on the financial statements;
- consider the implications for the practitioner's report;
- determine whether law, regulation or ethical requirements require that the matter should be reported to a third party outside the entity; and
- determine whether law, regulation or ethical requirements establish responsibilities under which reporting to an authority outside the entity may be appropriate.

When making decisions about reporting identified or suspected non-compliance with laws and regulations to an appropriate authority outside the entity the practitioner may have to consider complex issues. The practitioner may consult internally, obtain legal advice or consult with a regulator or professional body in order to understand the implications of different courses of action.

2.5.8 Going concern

If the practitioner becomes aware of conditions (financial, operating or other) which cast significant doubt on the entity's ability to continue as a going concern, he/she must ask management about plans for future actions that might have a bearing on this. The feasibility of any plans should also be assessed. The practitioner must evaluate whether management's responses are sufficient to determine whether the going concern assumption still applies and should assess responses in the light of all other information obtained during the review.

2.6 Conclusions and reporting

ISRE 2400 (Revised) states that the practitioner must express an unmodified conclusion on the financial statements as a whole when the practitioner has obtained limited assurance to be able to conclude that nothing has come to the practitioner's attention that causes them to believe that the financial statements are not prepared in all material respects in accordance with the applicable financial reporting framework.

The following is an example of a report with an unmodified opinion taken from ISRE 2400 (Illustration 1):

Independent Practitioner's Review Report

(Appropriate addressee)

Report on the financial statements

We have reviewed the accompanying financial statements of ABC Company, which comprise the statement of financial position as at December 31, 20X1, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Practitioner's Responsibility

Our responsibility is to express a conclusion on the accompanying financial statements. We conducted our review in accordance with International Standard on Review Engagements (ISRE) 2400 (Revised), Engagements to Review Historical Financial Statements. ISRE 2400 (Revised) requires us to conclude whether anything has come to our attention that causes us to believe that the financial statements, taken as a whole, are not prepared in all material respects in accordance with the applicable financial reporting framework. This Standard also requires us to comply with relevant ethical requirements.

A review of financial statements in accordance with ISRE 2400 (Revised) is a limited assurance engagement. The practitioner performs procedures, primarily consisting of making enquiries of management and others within the entity, as appropriate, and applying analytical procedures, and evaluates the evidence obtained.

The procedures performed in a review are substantially less than those performed in an audit conducted in accordance with International Standards on Auditing. Accordingly, we do not express an audit opinion on these financial statements.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the financial statements do not present fairly, in all material respects (or do not give a true and fair view of) the financial position of ABC Company as at December 31, 20X1, and (of) its financial performance and cash flows for the year then ended, in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities.

Date

PRACTITIONER
Address

For financial statements prepared using a compliance framework (as opposed to a fair presentation framework) the following alternative opinion is allowed:

"Based on our review, nothing has come to our attention that causes us to believe that the financial statements are not prepared, in all material respects, in accordance with the applicable financial reporting framework."

If it is necessary to modify their conclusion, the practitioner must use an appropriate heading ie, Qualified Conclusion, Adverse Conclusion or Disclaimer of Conclusion. A description of the matter must also be given in a basis for conclusion paragraph immediately before the conclusion paragraph.

The practitioner may conclude that the financial statements are materially misstated. The matters may have the following effects.

Impact	Effect on report
Material	Express a qualified conclusion of negative assurance
Pervasive	Express an adverse conclusion that the financial statements do not give a true and fair view

The practitioner may feel that there was an inability to obtain sufficient appropriate evidence (there has been a limitation in the scope of the work they intended to carry out for the review). If so, they should describe the limitation. The limitation may have the following effects.

Impact	Effect on report
Material to one area	Express a qualified conclusion of negative assurance due to amendments which might be required if the limitation did not exist
Pervasive	Do not provide any assurance

2.7 Review of interim financial information performed by the independent auditor of the entity

This subject is covered by ISRE 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity* which gives guidance on the specific review engagements that fall outside the scope of ISRE 2400 (ie, because they are performed by the entity's auditor). The key distinction between the two standards is that ISRE 2410 is written on the basis that the independent auditor will be able to make use of the knowledge of the entity that has been obtained during the audit in performing the review, while this knowledge is not available to a practitioner who is not the entity's auditor.

Note: The IAASB issued a revised international version of ISRE 2410 in 2007, which was subsequently adopted by the FRC for the UK and Ireland. However, as a result of the need to understand the role that interim financial information plays in the assessment of going concern, the FRC decided to revise the standard in 2021 with the aim of clarifying the difference between audit work required by ISA 570 (Revised) and review work undertaken as part of the assurance engagement under ISRE 2410.

ISRE 2410, *Review of Interim Financial Information performed by the Independent Auditor of the Entity* was issued by the FRC in May 2021 and will be used to illustrate the type of work that such a review might include and how conclusions would be communicated. The listing rules in the UK do not require such interim financial information to be reviewed, but if such a review is conducted, the work should follow ISRE 2410 and the review report must be published.

The following sections are based on ISRE 2410 from May 2021.

2.7.1 Procedures

The procedures outlined below follow the same pattern as an audit but, because this is a review not an audit, which gives a lower level of assurance, they are not as detailed as audit procedures.

However, the auditor is still expected to comply with the same ethical and quality management requirements, and to plan and perform the engagement with an attitude of professional scepticism. The auditor should also agree the terms of the engagement to manage any expectation gap issues, including those relevant to going concern.

The auditor should possess sufficient understanding of the entity and its environment to understand the types of misstatement that might arise in interim financial information and to plan the relevant procedures (mainly inquiry and analytical review) to enable them to ensure that the financial information is prepared in accordance with the applicable financial reporting framework. This will usually include the following:

- Reading last year's audit and previous review files
- Considering any significant risks that were identified in the prior year audit
- Reading the most recent and comparable interim financial information
- Considering materiality
- Considering the nature of any corrected or uncorrected misstatements in last year's financial statements
- Considering significant financial accounting and reporting matters of ongoing importance
- Considering the results of any interim audit work for this year's audit
- Considering the work of internal audit
- Reading management accounts and commentaries for the period
- Considering any findings from prior periods relating to the quality and reliability of management accounts
- Asking management what their assessment is of the risk that the interim financial statements might be affected by fraud
- Asking management whether there have been any significant changes in business activity and, if so, what effect they have had
- Asking management about any significant changes in internal controls and the potential effect on preparing the interim financial information
- Asking how the interim financial information has been prepared and the reliability of the underlying accounting records
- As part of understanding the entity and its environment, the auditor should consider the possible existence of events or conditions that might cast significant doubt on the entity's ability to continue as a going concern, including any areas of material uncertainty identified as part of the auditor's application of ISAs 315 (Revised) and 570 (Revised).

Note: *During consultation for ISRE 2410, the FRC observed that there were reservations expressed by some practitioners who felt that the alignment of the interim review and the final audit in relation to going concern assessments was becoming too close, and that users of the review report might conclude that any going concern assessment drawn from interim information would carry equivalent weight to that communicated as part of the final audit. The FRC concluded that although the ISRE 2410 guidance on going concern assessment refers to similar audit procedures under ISAs this is for guidance only and should support auditors when undertaking review work as part of a limited assurance engagement.*

A recently appointed auditor should obtain an understanding of the entity and its environment, as it relates to both the interim review and final audit.

The key elements of the review will be as follows:

- **Inquiries** of accounting and finance staff
- **Analytical procedures**

Ordinarily, procedures would include the following:

- Reading the minutes of meetings of shareholders, those charged with governance and other appropriate committees

- Considering the effect of matters giving rise to a modification of the audit or review report, accounting adjustments or unadjusted misstatements from previous audits
- If relevant, communicating with other auditors auditing different components of the business
- Performing analytical procedures designed to identify relationships and unusual items that may reflect a material misstatement
- Reading the interim financial information and considering whether anything has come to the auditors' attention indicating that it is not prepared in accordance with the applicable financial reporting framework
- Agreeing the interim financial information to the underlying accounting records
- For group interim financial information, reviewing consolidation adjustments for consistency
- Reviewing relevant correspondence with regulators

Auditors should make inquiries of members of management responsible for financial and accounting matters about the following:

- Whether the interim financial information has been prepared and presented in accordance with the applicable financial reporting framework
- Whether there have been changes in accounting policies
- Whether new transactions have required changes in accounting principles
- Whether there are any known uncorrected misstatements
- Whether there have been unusual or complex situations, such as disposal of a business segment
- Significant assumptions relevant to fair values
- Whether related-party transactions have been accounted for and disclosed correctly
- Significant changes in commitments and contractual obligations
- Significant changes in contingent liabilities including litigation or claims
- Compliance with debt covenants
- Matters about which questions have arisen in the course of applying the review procedures
- Significant transactions occurring in the last days of the interim period or the first days of the next
- Knowledge or suspicion of any fraud
- Knowledge of any allegations of fraud
- Knowledge of any actual or possible non-compliance with laws and regulations that could have a material effect on the interim financial information
- Whether all events up to the date of the review report that might result in adjustment in the interim financial information have been identified
- Whether management has changed its assessment of the entity being a going concern and if so, consider whether such a change is appropriate in line with other evidence collected during the review

When comparative interim financial information is presented the auditor should consider whether accounting policies are consistent and whether the comparative amounts agree with the information presented in the preceding interim financial report.

The auditor should evaluate discovered misstatements individually and in aggregate to see if they are material. The amount designated by the auditor, below which misstatements that have come to the auditor's attention need not be aggregated, is the amount below which the auditor believes misstatements are clearly trivial.

The auditor should obtain **written representations** from management that it acknowledges its responsibility for the design and implementation of internal control, that the interim financial information is prepared and presented in accordance with the applicable financial reporting framework and that the effect of uncorrected misstatement is immaterial (a summary of these should be attached to the representations). Written representation should also state that all **significant facts** relating to **frauds or non-compliance with laws and regulations** and all **significant subsequent events** have been disclosed to the auditor. Should future action be necessary to address any going concern issues, management should submit their plan for this action and include its feasibility.

The auditor should read the other information accompanying the interim financial information to ensure that it is not inconsistent with it.

If the auditors believe a matter should be adjusted in the interim financial information, they should **inform management** as soon as possible. If management does not respond within a reasonable time, then the auditors should inform those charged with governance. If they do not respond, then the auditor should consider whether to modify the report or to withdraw from the engagement and the final audit if necessary. If the auditors uncover fraud or non-compliance with laws and regulations, they should communicate that promptly with the **appropriate level of management**. The auditors should communicate matters of interest arising to those charged with governance.



Professional skills focus: Structuring problems and solutions

Standards like this may appear intimidating, especially if there are long lists of procedures that you are not entirely sure you can always remember. The good news is that examinable standards are all available for you to use in the open book permitted text (remember that the supporting information with paragraphs that start with an "A" contain lots of detail that may be helpful).

2.7.2 Reporting

The auditor should not date the review report earlier than the date on which the financial information is approved by management and those charged with governance. Refer to Appendix 4, 5, 6 and 7 for example review reports on interim financial information.

3 Due diligence



Section overview

- Due diligence is a type of review engagement.
- There are a number of different types of due diligence report.
  - Financial due diligence
  - Commercial due diligence
  - Operational due diligence
  - Technical due diligence
  - IT due diligence
  - Legal due diligence
  - Human resources due diligence

3.1 Introduction

Businesses need adequate, relevant and reliable information in order to take decisions. However, problems may arise where one party to the transaction has more or better information than the other party (this is sometimes called information asymmetry). This problem is made worse by the fact that frequently there is an incentive to use this superior position to gain an unfair advantage in a deal. The situation can be highlighted by the following illustration.



Context example: The used car problem

In selling a used car the owner (the seller) has more information than the potential buyer, and has the incentive to use this information to gain an advantage. Thus, if it is a good car the seller will say so, but if it is a bad car the seller will probably still say it is good.

The buyer is at a disadvantage, as they have less information. They have difficulty in distinguishing a good car from a bad car and may be reluctant to purchase.

There is thus a role for assurance here in the form of an AA or RAC survey to equalise information and encourage trading. As a result, both parties may benefit.

The situation for many types of corporate transformation arrangement is similar to the used car example. However, statutory audited financial statements may not be sufficient to narrow the information gap, often because they are prepared for a different purpose.

A greater, and more specific, level of assurance may therefore be needed for acquisitions, mergers, joint ventures and management buy-outs (MBOs). The most common type of assurance in this context is a **'report of due diligence'**.

3.2 The nature of due diligence

A due diligence review is a specific type of review engagement.

While it can apply to many types of corporate transformation arrangement, this section discusses due diligence in terms of an **acquisition**.

As noted above, an external party in a refinancing or acquisition scenario normally has to rely on the information provided by the other party.

Due diligence is a means of **attesting that information**, normally on behalf of a **prospective bidder**. It can take place at different stages in the negotiations, although the timing is likely to affect the nature of the due diligence process. It may, for example, be pre-acquisition due diligence or it may be retrospective.

There are several different forms of due diligence, some of which are carried out by accountants and financial consultants, while other aspects require the expertise of other specialist skills.

Due diligence will thus attempt to achieve the following:

- Confirm the accuracy of the information and assumptions on which a bid is based
- Provide the bidder with an independent assessment and review of the target business
- Identify and quantify areas of commercial and financial risk
- Give assurance to providers of finance
- Place the bidder in a better position for determining the value of the target company

However, the precise aims will depend on the types of due diligence being carried out.

3.3 Potential liabilities and due diligence

If those involved in due diligence do not act properly there is significant potential for one of the parties to suffer loss as a consequence and **seek legal redress**.

As a general rule, the principle of *caveat emptor* (let the buyer beware) applies. The seller has no general duty to disclose information to the purchaser (there may, however, be a specific contractual duty depending on the terms of the agreement).

Thus auditors and other experts **can be held liable for damages** caused by their failure to uncover potential or actual liabilities or other problems during the due diligence process.

Similarly, the requirements of **corporate governance** could render directors personally liable if adequate due diligence has not been carried out.

3.4 Types of due diligence report

Financial due diligence

Financial due diligence is a review of the target company's **financial position, financial risk and projections**. It is not the same as a statutory audit in a number of ways.

- Its nature, duties, powers and responsibilities are normally determined **bycontract or financial regulation** rather than by statute.
- Its purposes are **more specific** to an individual transaction and to particular user groups.
- There is normally a specific focus on **risk and valuation**.
- Its nature and scope is **more variable from transaction to transaction**, as circumstances dictate, than a statutory audit.
- The information being reviewed is likely to be different and **more future orientated**.
- The **timescale available is likely to be much tighter** than for most statutory audits.

The information which is subject to financial due diligence is likely to include the following:

- Financial statements
- Management accounts
- Projections
- Assumptions underlying projections
- Detailed operating data
- Working capital analysis
- Major contracts by product line
- Actual and potential liabilities
- Detailed asset registers with current sale value/replacement cost
- Debt/lease agreements
- Current/recent litigation
- Property and other capital commitments

Commercial due diligence

Commercial due diligence work complements that of financial due diligence by considering the target company's **markets and external economic environment**.

Information may come from the target company and its business contacts. Alternatively, it may come from external information sources.

Evidence suggests that about half the financial and commercial due diligence for large companies is carried out by accountants. It is important that those carrying out commercial due diligence have a **good understanding of the industry in which the target company operates**.

The information which is relevant to commercial due diligence is likely to include the following:

- Analysis of main competitors
- Marketing history/tactics
- Competitive advantages
- Analysis of resources
- Strengths and weaknesses
- Integration issues
- Supplier analysis
- Market growth expectations
- Ability to achieve forecasts
- Critical success factors
- Key performance indicators
- Exit potential
- Management appraisal
- Strategic evaluation

Such information is useful not only for valuing a target company but also for advance planning of an appropriate post-acquisition strategy.

Operational due diligence

Operational due diligence considers the operational risks and possible improvements which can be made in a target company. In particular it will:

- validate vendor-assumed operational improvements in projections; and
- identify operational upsides that may increase the value of the deal.

The full scope of operations will normally be considered, including the supply chain, logistics and manufacturing. The following areas will typically be considered:

- Procurement costs and cost synergies
- Growth drivers
- Potential risk areas
- Business relationships
- Supplier and distribution channels
- Balance of sales networks
- Inventory levels/flexibility
- Size of operational footprint
- Utilisation of business assets
- Effectiveness of back office functions

Technical due diligence

In many industries the potential for future profitability, and thus the value of the company, may be largely dependent upon developing **successful new technologies**.

A judgement therefore needs to be made as to whether the promised technological benefits are likely to be delivered. This is very common in a whole range of different industries, including electronics, IT, pharmaceuticals, engineering, biotechnology and product development.

Such technological judgements are beyond the scope of accounting expertise, but nevertheless the credibility of technological assumptions may be vital to the valuation process. Reliance will thus need to be placed upon the **work of relevant experts**.

Information technology due diligence

IT due diligence assesses the suitability of and risks arising from **IT factors** in the target company. These risks are likely to be relevant to most companies, but have **particular significance** where the target company operates in the IT sector.

The functions which are relevant to IT due diligence are likely to include the following:

- A risk assessment of embedded systems
- IT security
- Evaluation of synergies, gaps and duplication
- Evaluation of IT compatibility post-acquisition
- IT skills audit
- Process management review
- Post-acquisition rationalisation strategy

Legal due diligence

Legal issues arising on an acquisition are likely to be relevant to the following:

- **Valuation** of the target company – eg, hidden liabilities, uncertain rights, onerous contractual obligations
- The **acquisition process** – eg, establishing the terms of the takeover (the investment agreement); contingent arrangements; financial restructuring; rights, duties and obligations of the various parties
- The **new group** – eg, new articles of association, rights of finance providers, restructuring

Reliance will need to be placed on lawyers for this process.

Human resources due diligence

Protecting and developing the **rights and interests of human resources** may be key to a successful acquisition. There may also be associated **legal obligations**.

The functions which are relevant to HR due diligence are likely to include the following:

- Human resource audit
- Employment contracts review
- Personnel files
- Obligations under the pension scheme
- Training
- Representation and communication policy
- Evaluation of synergies, gaps and duplications in numbers and skills
- Review of potential redundancies and cost savings post-acquisition
- Legal compliance

Tax due diligence

Information will need to be provided to allow the potential purchaser to form an assessment of the **tax risks and benefits** associated with the company to be acquired. Purchasers will wish to assess the robustness of tax assets, and gain comfort about the position re potential liabilities (including a possible latent gain on disposal due to the low base cost).

- An explanation of the reason for the disposal structure, including an analysis of the base cost position and a full technical analysis of the tax position (eg, degrouping charges, transfer of losses)
- Corporation tax reference details
- Copies of all previous tax computations, agreed and submitted
- Copies of HMRC correspondence on corporation tax and VAT

- Details and proof of pre-disposal VAT grouping position
- Details of corporation tax group payment arrangements
- Details of any transactions with connected parties outside the UK
- Details of payroll arrangements, plus copies of correspondence regarding PAYE and NICs

Information re **tax warranties** that the vendor might offer should also be made available with the due diligence report as part of the 'marketing' information. This should generally not form a part of the due diligence itself though.

Professional skills focus: Structuring problems and solutions

Working your way methodically through the various types of due diligence required (such as financial, operational and even legal) will ensure that the work you do is thorough and does not overlook any hidden issues for your client.

3.5 Warranties

Due diligence may not be able to answer all the questions of the buyer. Warranties are therefore usually given by the sellers of the company as a **type of insurance**. If the warranties are breached the buyer may be able to claw back some of the sale proceeds. The specific nature of the warranties will depend on the individual circumstances; however, they may include the following:

- All details regarding contracts of employment have been disclosed.
- Sales contracts exist and are current.
- All contingent liabilities have been disclosed.
- Tax has been paid or accrued for.

Interactive question 3: Due diligence

Hill Ltd is in the process of acquiring Lee Ltd, a contract cleaning business. The accountants are performing the due diligence and have identified the following issues:

(1) They have been unable to obtain the personnel files and employment contracts of two sales managers.

(2) They have been unable to review the service contract with one of Lee Ltd's major customers.

(3) The finance director does not own any shares in Lee Ltd and has indicated that he is unwilling to sign any warranties.

Requirement

Explain the implications of 1 to 3 above.

See **Answer** at the end of this chapter.

4 Reporting on prospective financial information (PFI)

Section overview

- Prospective financial information (PFI) includes forecasts and projections.
- It is difficult to give assurance about PFI because it is highly subjective.
- Procedures could include:
  - analytical procedures
  - verification of projected expenditure to quotes or estimates
- An opinion may be given in the form of negative assurance.

4.1 Introduction

Prospective financial information means financial information based on **assumptions about events that may occur in future and possible actions by an entity**.

PFI can be of two types (or a combination of both):

A forecast: PFI based on assumptions as to future events which management expects to take place and the actions management expects to take (best-estimate assumptions).

A projection: PFI based on hypothetical assumptions about future events and management actions, or a mixture of best-estimate and hypothetical assumptions.

Increasingly, company directors are producing PFI, either voluntarily or because it is required by regulators, for example, in the case of a public offering of shares.

Markets and investors need PFI that is **understandable, relevant, reliable and comparable**. Some would say that PFI is of **more interest** to users of accounts than historical information which, of course, auditors do report on in the statutory audit. It is highly subjective in nature and its preparation requires the **exercise of judgement**.

This is an area, therefore, in which the auditors can provide an alternative service to audit, in the form of a review or assurance engagement.

Reporting on PFI is covered by ISAE 3400, *The Examination of Prospective Financial Information*.

4.2 Accepting an engagement

ISAE 3400 states that the auditor should **agree the terms of the engagement** with the directors, and should withdraw from the engagement if the assumptions made to put together the PFI are unrealistic. It also lists the following factors which the auditor should consider:

- The intended use of the information
- Whether the information will be for general or limited distribution
- The nature of the assumptions; that is, whether they are best estimate or hypothetical assumptions
- The elements to be included in the information
- The period covered by the information

The auditor should have **sufficient knowledge** of the business to be able to evaluate the significant assumptions made.

A firm must also consider practical matters, such as the time available to them, their experience of the staff member compiling the information, any limitations on their work and the degree of secrecy required beyond the normal duty of confidentiality.

4.3 Procedures

When determining the nature, timing and extent of procedures, the auditor should consider the following:

- The likelihood of material misstatement
- The knowledge obtained during any previous engagements
- Management's competence regarding the preparation of PFI
- The extent to which PFI is affected by the management's judgement
- The adequacy and reliability of the underlying data

The auditor should obtain sufficient appropriate evidence as to whether:

(a) management's best-estimate assumptions on which the PFI is based are **not unreasonable** and, in the case of hypothetical assumptions, such assumptions are **consistent** with the purpose of the information;

(b) the PFI is **properly prepared** on the basis of the assumptions;

(c) the PFI is **properly presented** and all material assumptions are adequately disclosed, including a clear indication as to whether they are best-estimate assumptions or hypothetical assumptions; and

(d) the PFI is prepared on a **consistent basis with historical financial statements**, using appropriate accounting principles.

4.4 Specific procedures

The key issues which projections relate to are **profits, capital expenditure and cash flows**. The following list of procedures provides examples of procedures which may also be relevant when assessing PFI. The auditor should undertake the review of procedures discussed above in addition to these.

Profit forecasts

(a) Verify projected income figures to suitable evidence. This may involve:
  (1) comparison of the basis of projected income to similar existing projects in the firm; or
  (2) review of current market prices for that product or service; that is, what competitors in the market charge successfully.

(b) Verify projected expenditure figures to suitable evidence. There is likely to be more evidence available about expenditure in the form of:
  (1) quotations or estimates provided to the firm;
  (2) current bills for things such as services which can be used to reliably estimate market rate prices, for example, for advertising;
  (3) interest rate assumptions can be compared to the bank's current rates; and
  (4) costs such as depreciation should correspond with relevant capital expenditure projections.

Capital expenditure

The auditor should check the capital expenditure for reasonableness. For example, if the projection relates to buying land and developing it, it should include a sum for land.

(a) Projected costs should be verified to estimates and quotations, where possible.

(b) The projections can be reviewed for reasonableness, including a comparison of prevailing market rates where such information is available (such as for property).

Cash forecasts

(a) The auditors should review cash forecasts to ensure the timings involved are reasonable (for example, it is not reasonable to say the building will be bought on day 1, as property transactions usually take longer than that).

(b) The auditor should check the cash forecast for consistency with any profit forecasts (income/expenditure should be the same, just at different times).

(c) If there is no comparable profit forecast, the income and expenditure items should be verified as they would have been on a profit forecast.

4.5 Expressing an opinion

It is clear that as PFI is subjective information, it is impossible for an auditor to give the same level of assurance regarding it, as they would on historical financial information. In this instance, the limited assurance is expressed in a **negative form**.

The ISAE suggests that the auditor express an opinion including the following:

- A statement of negative assurance as to whether the assumptions provide a reasonable basis for the PFI
- An opinion as to whether the PFI is properly prepared on the basis of the assumptions and the relevant reporting framework
- Appropriate caveats as to the achievability of the forecasts

In accordance with ISAE 3400 the report by an auditor on an examination of prospective financial information should contain the following:

- Title
- Addressee
- Identification of the PFI
- A reference to the ISAE or relevant national standards or practices applicable to the examination of PFI
- A statement that management is responsible for the PFI including the assumptions on which it is based
- When applicable, a reference to the purpose and/or restricted distribution of the PFI
- A statement of negative assurance as to whether the assumptions provide a reasonable basis for the PFI
- An opinion as to whether the PFI is properly prepared on the basis of the assumptions and is presented in accordance with the relevant financial reporting framework
- Appropriate caveats concerning the achievability of the results indicated by the PFI
- Date of the report which should be the date procedures have been completed
- Auditor's address
- Signature

Example of an extract from an unmodified report on a forecast

We have examined the forecast in accordance with the International Standard on Assurance Engagements applicable to the examination of prospective financial information.
Management is responsible for the forecast including the assumptions set out in note X on which it is based.
Based on our examination of the evidence supporting the assumptions, nothing has come to our attention which causes us to believe that these assumptions do not provide a reasonable basis for the forecast. Further, in our opinion the forecast is properly prepared on the basis of the assumptions and is presented in accordance with ….

Actual results are likely to be different from the forecast since anticipated events frequently do not occur as expected and the variation may be material.

When the auditor believes that the presentation and disclosure of the PFI is not adequate, the auditor should express a **qualified or adverse opinion** (or withdraw from the engagement).

When the auditor believes that one or more significant assumptions do not provide a reasonable basis for the PFI, the auditor should **express an adverse opinion** (or withdraw from the engagement).

When there is a scope limitation the auditor should either withdraw from the engagement or disclaim the opinion.



Professional skills focus: Concluding, recommending and communicating

Reports on PFI require strong communication skills to explain the difference between the limited assurance given on the assumptions used in the forecast and the reasonable assurance given on the preparation of the forecast based on those assumptions.



Interactive question 4: Prospective financial information

A new client of your practice, Peter Lawrence, has recently been made redundant. He is considering setting up a residential home for old people, as he is aware that there is an increasing need for this service with an ageing population (more people are living to an older age). He has seen a large house, which he plans to convert into an old people's home. Each resident will have a bedroom, there will be a communal sitting room and all meals will be provided in a dining room. No long-term nursing care will be provided, as people requiring this service will either be in hospital or in another type of accommodation for old people.

The large house is in a poor state of repair, and will require considerable structural alterations (building work), and repairs to make it suitable for an old people's home. The following will also be required:

- New furnishings (carpets, beds, wardrobes and so on for the residents' rooms; carpets and furniture for the sitting room and dining room)
- Decoration of the whole house (painting the woodwork and covering the walls with wallpaper)
- Equipment (for the kitchen and for helping disabled residents)

Mr Lawrence and his wife propose to work full time in the business, which he expects to be available for residents six months after the purchase of the house. Mr Lawrence has already obtained some estimates of the conversion costs, and information on the income and expected running costs of the home.

Mr Lawrence has received about £50,000 from his redundancy. He expects to receive about £130,000 from the sale of his house (after repaying his mortgage). The owners of the house he proposes to buy are asking £250,000 for it, and Mr Lawrence expects to spend £50,000 on conversion of the house (building work, furnishing, decorations and equipment).

Mr Lawrence has prepared a draft capital expenditure forecast, a profit forecast and a cash flow forecast which he has asked you to check before he submits them to the bank, in order to obtain finance for the old people's home.

Requirements

Describe the procedures you would carry out on:

(a) The capital expenditure forecast
(b) The profit forecast
(c) The cash flow forecast

See **Answer** at the end of this chapter.

5 Agreed-upon procedures



Section overview

- The terms of the engagement must be clearly defined.
- The procedures conducted will depend on the nature of the engagement.
- No assurance is given. The report identifies the practitioner's findings.

5.1 Objective

Agreed-upon procedures assignments use International Standard on Related Services – in this case ISRS 4400 (Revised), *Agreed-Upon Procedures Engagements* which was issued by IAASB in April 2020.

In an engagement to perform agreed-upon procedures, a practitioner is engaged to carry out procedures that have been agreed between the practitioner and the engaging party (and if relevant, other parties) and to report on the procedures performed and any related findings. The recipients of the report **must draw their own conclusions** from the report produced by the practitioner. The report is restricted to those parties that have agreed to the procedures to be performed since others, unaware of the reasons for the procedures, may misinterpret the results.

Agreed-upon procedures are sometimes referred to as AUP. They could include anything agreed between the practitioner and the engaging party including information, documents, measurements or even compliance with laws and regulations. Subject matter could be of a **financial nature** (such as the eligibility of expenditure to be claimed as part of the funding arrangements of a grant) or **non-financial nature** (such as the observation of the destruction of items as required to be reported to a regulatory authority).

5.2 Defining the terms of the engagement

ISRS 4400 (Revised) states that the practitioner should **agree the terms of the AUP with the engaging party and record them in an engagement letter or other equivalent written agreement**. Matters to be agreed should include the following:

- The subject matter on which the AUP will be performed
- The stated purpose and the intended users of the AUP report
- Acknowledgement of appropriate ethical and independence requirements
- Nature, timing and extent of the specific procedures to be applied
- Acknowledgement by all relevant parties that AUP work is appropriate under the circumstances
- Identification of the addressee of the AUP report and the expected form and content of the report

Professional skills focus: Assimilating and using information

You will need to make sure you read the scenario carefully if agreed-upon procedures are being considered. Have you taken everything into consideration when determining what this work will require?

5.3 Procedures

The **procedures performed** will depend upon the terms of the engagement. The ISRS states that if any additional expertise is required (in other words, **a practitioner's expert**) their competence, capabilities and objectivity should be evaluated and their work assessed to ensure it is consistent with the terms of the engagement.

5.4 Reporting

The report of factual findings should contain the following:

- A title that clearly identifies the work as an AUP engagement
- Addressee to reflect what was agreed in the terms of the engagement
- Identification of specific subject matter on which the AUP are performed (plus an acknowledgement that the AUP report may not be suitable for any other purpose)
- When relevant, a statement that the practitioner is not independent of the entity but that in any event, the practitioner has complied with IESBA Code
- Acknowledgement that ISQM was followed
- A listing of the specific procedures performed
- A description of the practitioner's findings including sufficient details of any exceptions found
- A statement that the procedures performed do not constitute either an audit or a review and, as such, no assurance is expressed
- A statement that had the practitioner performed additional procedures, an audit or a review, other matters might have come to light that would have been reported
- Date of the report
- Practitioner's address
- Practitioner's signature

Notes

1 **No assurance is expressed**. The practitioner only reports their **findings**.

2 This standard was issued prior to the adoption of the quality management standards in 2021 when ISQC 1 and the terms 'quality control' and 'engagement quality control review' were still in use – however, in this instance you can assume that these practices are referring to what you understand to be quality management and engagement quality reviews respectively under ISQM 1.

Appendix 2 of ISRS 4400 (Revised) includes the following example of an AUP report:

Example of Agreed-Upon Procedures Report on Procurement of [XYZ] Products

To [Addressee]

Purpose of this Agreed-Upon Procedures Report

Our report is solely for the purpose of assisting [Engaging Party] in determining whether its procurement of [xyz] products is compliant with its procurement policies and may not be suitable for another purpose.

Responsibilities of the Engaging Party and the Responsible Party

[Engaging Party] has acknowledged that the agreed-upon procedures are appropriate for the purpose of the engagement.

[Responsible Party], as identified by [Engaging Party], is responsible for the subject matter on which the agreed-upon procedures are performed.

Practitioner's responsibilities

We have conducted the agreed-upon procedures engagement in accordance with the International Standard on Related Services (ISRS) 4400 (Revised), *Agreed-Upon Procedures Engagements*. An agreed-upon procedures engagement involves our performing the procedures that have been agreed with [Engaging Party], and reporting the findings, which are the factual results of the agreed-upon procedures performed. We make no representation regarding the appropriateness of the agreed-upon procedures.

This agreed-upon procedures engagement is not an assurance engagement. Accordingly, we do not express an opinion or an assurance conclusion. Had we performed additional procedures, other matters might have come to our attention that would have been reported.

Professional ethics and quality control

We have complied with the ethical requirements in [describe the relevant ethical requirements]. For the purpose of this engagement, there are no independence requirements with which we are required to comply.

Our firm applies International Standard on Quality Management, *Quality Management for Firms that Perform Audits and Reviews of Financial Statements, and other Assurance and Related Services Engagements*, and accordingly, maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Procedures

(a) Obtain from management of [Responsible Party] a listing of all contracts signed between [January 1, 20X1] and [December 31, 20X1] for [xyz] products ("listing") and identify all contracts valued at over $25,000.

(b) For each identified contract valued at over $25,000 on the listing, compare the contract to the records of bidding and determine whether the contract was subject to bidding by at least 3 contractors from [Responsible Party]'s "pre-qualified contractors list".

(c) For each identified contract valued at over $25,000 on the listing, compare the amount payable per the signed contract to the amount ultimately paid by [Responsible Party] to the contractor and determine whether the amount ultimately paid is within $100 of the agreed amount in the contract.

Findings

(a) We obtained from management a listing of all contracts for [xyz] products which were signed between [January 1, 20X1] and [December 31, 20X1]. Of the 125 contracts on the listing, we identified 37 contracts valued at over $25,000.

(b) We inspected the records of bidding related to the 37 contracts valued at over $25,000. We found that all of the 37 contracts were subject to bidding by at least 3 contractors from the [Responsible Party]'s "pre-qualified contractors list".

(c) We obtained the signed contracts for the 37 contracts valued at over $25,000 on the listing and compared the amounts payable in the contracts to the amounts ultimately paid by [Responsible Party] to the contractor. We found that the amounts paid were within $100 of the agreed amounts in all of the 37 contracts with no exceptions noted.

[Practitioner's signature]

[Date of practitioner's report]

[Practitioner's address]

6 Compilation engagements



Section overview

- A compilation engagement is one in which the accountant compiles information.
- The information must contain a reference making it clear that it has not been audited.
- No assurance is expressed on the financial information.

6.1 Compilations

In a compilation engagement, the accountant is engaged to use **accounting expertise**, as opposed to auditing expertise, to collect, classify and compile financial information.

Definition

Compilation engagement: An engagement in which a practitioner applies accounting and financial reporting expertise to help management with the preparation and presentation of financial

information of an entity in accordance with an applicable financial reporting framework, and reports as required by the relevant ISRS.

Examples include preparation of:

- historical financial information;
- pro forma financial information; and
- prospective financial information including financial budgets and forecasts.

The international guidance on compilation engagements is found in ISRS 4410 (Revised), *Compilation Engagements*. The IAASB issued a revised ISRS in March 2012. This resulted from the growing demand from small and medium-sized enterprises (SMEs) for services other than audit, particularly in jurisdictions where exemptions for certain entities from the requirement to have an audit have been introduced.

Conforming amendments have been made to ISRS 4410 (Revised) resulting from the changes made to ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements* by the IAASB following the conclusion of its NOCLAR (non-compliance with laws and regulations) project.

In particular these amendments provide guidance regarding the reporting of identified or suspected non-compliance with laws and regulations to an appropriate authority outside the entity.

This may be appropriate for reasons we discussed earlier.

In some instances reporting to authorities outside the entity may give rise to confidentiality issues. The practitioner may consult internally, obtain legal advice or consult with a regulator or professional body in order to understand the implications of different courses of action.

6.2 Procedures

6.2.1 Engagement acceptance

In accordance with the revised ISRS, the work must be carried out in accordance with ethical and quality management requirements. The practitioner must agree the terms of the engagement, in an engagement letter or other suitable form of written agreement, with the management or the engaging party if different including the following:

(a) The intended use and distribution of the financial information, and any restrictions on its use or distribution

(b) Identification of the applicable financial reporting framework

(c) The objective and scope of the engagement

(d) The responsibilities of the practitioner, including the requirement to comply with relevant ethical requirements

(e) The responsibilities of management for the financial information, the accuracy and completeness of the records and documents provided by management for the compilation engagement and the judgements needed in the preparation and presentation of the financial information

(f) The expected form and content of the practitioner's report

6.2.2 Performing the engagement

The practitioner is required to obtain an understanding of the entity's business and operations including the accounting system and accounting records and the applicable financial reporting framework. The practitioner then compiles the information using the records, documents, explanations and other information provided by management. The specific nature of the work will depend on the nature of the engagement. Before completion the practitioner must read the compiled information in the light of the understanding obtained of the entity's business and operations and the applicable financial reporting framework. If the practitioner becomes aware that the information provided by management is incomplete, inaccurate or otherwise unsatisfactory the practitioner must bring this to the attention of management and request additional or corrected information. If management fail to provide this information and the engagement cannot be completed or management refuse to make amendments proposed by the practitioner, the practitioner must withdraw from the engagement and inform management and those charged with governance.

The practitioner must obtain an acknowledgement from management or those charged with governance that they take responsibility for the final version of the information.

6.3 Reporting

The practitioner's report must clearly communicate the nature of the compilation engagement. ISRS 4410 (Revised) stresses that the report is not a vehicle to express an opinion or conclusion on the financial information in any form. The report on a compilation engagement must be in writing and must contain the following:

- Title
- Addressee
- A statement that the practitioner has compiled the financial information based on information provided by management
- A description of the responsibilities of management, or those charged with governance in relation to the compilation engagement
- Identification of the applicable financial reporting framework and, if a special purpose financial reporting framework is used, a description or reference to the description of that special purpose financial reporting framework in the financial information
- Identification of the financial information, including the title of each element of the financial information (if it comprises more than one element) and the date of the financial information
- A description of the practitioner's responsibilities in compiling the financial information, including that the engagement was performed in accordance with ISRS 4410 (Revised) and that the practitioner has complied with relevant ethical requirements
- A description of what a compilation engagement entails
- Explanation that as the compilation engagement is not an assurance engagement, the practitioner is not required to verify the accuracy or completeness of the information provided by management for the compilation

- Explanation that the practitioner does not express an audit opinion or a review conclusion on whether the financial information is prepared in accordance with the applicable financial reporting framework
- If the financial information is prepared using a special purpose framework an explanatory paragraph that describes the purpose of the financial information and the intended users and draws the readers' attention to the fact that the information may not be suitable for other purposes
- Date of the report
- Practitioner's address
- Practitioner's signature

Appendix 2 of ISRS 4410 (Revised) contains a number of examples of a compilation report. The following extract is based on Illustration 1.

Example of a Report on an Engagement to Compile Financial Statements

PRACTITIONER'S COMPILATION REPORT

[To Management of ABC Company]

We have compiled the accompanying financial statements of ABC Company based on information you have provided. These financial statements comprise the statement of financial position of ABC Company as at December 31, 20X1, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

We performed this compilation engagement in accordance with International Standard on Related Services 4410 (Revised), *Compilation Engagements*.

We have applied our expertise in accounting and financial reporting to help you with the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards for Small and Medium-sized Entities (IFRS for SMEs). We have complied with relevant ethical requirements, including the principles of integrity, objectivity, professional competence and due care.
These financial statements and the accuracy and completeness of the information used to compile them are your responsibility.

Since a compilation engagement is not an assurance engagement, we are not required to verify the accuracy or completeness of the information you provided to us to compile these financial statements. Accordingly, we do not express an audit opinion or a review conclusion on whether these financial statements are prepared in accordance with IFRS for SMEs.

7 Forensic audit



Section overview

Forensic auditing can be applied to a wide variety of situations, including fraud and negligence investigations.

7.1 Introduction

Definitions

Forensic auditing: The process of gathering, analysing and reporting on data, in a predefined context, for the purpose of finding facts and/or evidence in the context of financial or legal disputes and/or irregularities and giving preventative advice in this area.

Forensic investigation: Undertaking a financial investigation in response to a particular event, where the findings of the investigation may be used as evidence in court or to otherwise help resolve disputes.

Forensic investigations are carried out for civil or criminal cases. These can involve fraud or money laundering.

Forensic audit and accounting is a rapidly growing area. The major accountancy firms all offer forensic services, as do a number of specialist companies. The demand for these services arises partly from the increased corporate governance focus on company directors' responsibilities for the prevention and detection of fraud, and partly from government concerns about the criminal funding of terrorist groups.

Context example: Forensic accounting

The range of assignments in this area is vast, so to give specific definitions for each is not always practicable. As an illustration, the ICAEW website explains what you can expect if you choose a career working in forensic accounting:

"Forensic accountants use their expertise in finance to investigate fraud and other financial misrepresentation. They work analysing financial information to enable lawyers to prosecute criminals, such as those funding illegal activities, and with insurance companies and other clients to resolve disputes."

"Forensic accountants are trained to look beyond the numbers and deal with the business realities of situations. This enables them to identify criminal activities, such as money laundering activities and the illegal sale of arms."

"Analysis, interpretation, summarisation and the presentation of complex financial and business related issues are prominent features of the profession."

"A forensic accountant will be familiar with legal concepts and procedures, and must be able to communicate financial information clearly and concisely in the courtroom."

(ICAEW, 2024)

7.2 Applications of forensic auditing

7.2.1 Fraud

Forensic accountants can be engaged to investigate fraud. This could involve:

- quantifying losses from theft of cash or goods;
- identifying payments or receipts of bribes;
- identifying intentional misstatements in financial information, such as overstatement of revenue and earnings and understatement of costs and expenses; or
- investigating intentional misrepresentations made to auditors.

Forensic accountants may also be engaged to act in an advisory capacity, to help directors with developing more effective controls to reduce the risks from fraud.

7.2.2 Negligence

When an auditor or accountant is being sued for negligence, either or both parties to the case may employ forensic accountants to investigate the work done to provide evidence as to whether it did in fact meet the standards required. They may also be involved in establishing the amount of loss suffered by the plaintiff.

7.2.3 Insurance claims

Insurance companies often employ forensic accountants to report on the validity of the amounts of losses being claimed, as a means of resolving the disputes between the company and the claimant.

This could involve computing losses following an insured event such as a fire, flood or robbery. If a criminal action arises over an allegation that an insured event was deliberately contrived to defraud the insurance company, the forensic accountant may be called upon as an expert witness (see section 7.2.6 below).

7.2.4 Other disputes

Forensic accountants can be involved in the investigation of many other types of dispute:

- Shareholder disputes
- Partnership disputes
- Contract disputes
- Business sales and purchase disputes
- Matrimonial disputes, including:
  - valuing the family business
  - gathering financial evidence
  - identifying 'hidden' assets
  - advising in settlement negotiations

7.2.5 Terrorist financing

Governments are increasingly turning to forensic accountants as part of their counterterrorism strategy.

Gordon Brown, who was the UK Chancellor of the Exchequer at the time, said in a speech in October 2006:

[…] forensic accounting of transaction trails across continents has been vital in identifying threats, uncovering accomplices, piecing together company structures, and ultimately providing evidence for prosecution. Most recently, forensic accounting techniques have tracked an alleged terrorist bomb maker, using multiple identities, multiple bank accounts and third parties and third world countries to purchase bomb making equipment and tracked him to and uncovered an overseas bomb factory.

7.2.6 The forensic accountant as expert witness

The preceding sections have identified a number of circumstances where the forensic accountant may be involved as an expert witness in civil or criminal cases. For civil cases in England and Wales, the duties of expert witnesses are set out in the **Civil Procedure Rules**.

(a) Experts always owe a duty to **exercise reasonable skill and care** to those instructing them, and to comply with any relevant professional code of ethics.

However, as expert witnesses in civil proceedings, they have an **overriding duty to help the court** on matters within their expertise.

(b) Experts should be aware of the overriding objective that courts deal with cases **justly**. Experts are under an obligation to help the court so as to enable them to deal with cases in accordance with the overriding objective.

However, experts have no obligations to act as mediators between the parties or require them to trespass on the role of the court in deciding facts.

(c) Experts should provide opinions which are **independent**, regardless of the pressures of litigation. In this context, a useful test of 'independence' is that the expert would express the same opinion if given the same instructions by an opposing party. Experts should not take it upon themselves to promote the point of view of the party instructing them or engage in the role of **advocates**.

(d) Experts should confine their opinions to matters which are **material to the disputes** between the parties and provide opinions only in relation to matters which lie **within their expertise**. Experts should indicate without delay where particular questions or issues fall outside their expertise.

7.3 Procedures and evidence

7.3.1 Planning

The broad process of conducting a forensic audit bears some similarity to an audit of financial statements, in that it will include a planning stage, a period when evidence is gathered, a review process, and a report to the client. However, forensic investigations are not all of the same sort, and it is essential that the investigation team considers carefully exactly what it is that they have been asked to achieve in this particular investigation, and that they plan their work accordingly. Professional judgement will be required to do the following:

- Identify the objectives of the engagement
- Obtain sufficient understanding of the circumstances and events surrounding the engagement
- Obtain sufficient understanding of the context within which the engagement is to be conducted (eg, any relevant laws or regulations)
- Identify any limitation on the scope of the engagement (eg, where information is not available)
- Evaluate the resources necessary to complete the work, and identify a suitable engagement team

In order to meet these requirements, the engagement plan should include the following.

- Develop hypotheses to address the circumstances and context of the engagement
- Decide on the best approach to meet the engagement objectives within constraints such as cost and time
- Identify the financial (and other) information needed, and develop a strategy to acquire it
- Determine the impact of the nature and timing of any reporting requirements

One key difference in emphasis from an audit of financial statements is that the forensic accountant is stepping into an arena that is defined by conflict. It is thus essential that the investigator obtains an understanding of the background and context to the engagement as well as of any limitations on its scope, as these will affect the extent of the conclusions that can be drawn. In the case of a matrimonial dispute, for example, the investigator would need to take a sceptical attitude towards all the information they are provided with, as it may be biased, false or incomplete.

Many forensic investigations involve investigating potential frauds. The objectives of a fraud investigation would include the following:

- Identifying the type of fraud that has been operating, how long it has been operating for, and how the fraud has been concealed
- Identifying the fraudster(s) involved
- Quantifying the financial loss suffered by the client
- Gathering evidence to be used in court proceedings
- Providing advice to prevent the recurrence of the fraud

The investigators should then consider the best way to gather evidence in the light of these objectives.



Context example: Post Office Horizon IT scandal

Second Sight is a firm of forensic accountants who were employed by the Post Office in 2012 to investigate shortfalls that had arisen at numerous UK post offices. Despite their conclusion that the cause of these shortfalls was actually the Horizon IT system itself and not, as the Post Office maintained, widespread systematic fraud among sub-postmasters and sub-postmistresses, Second Sight were removed from their position by the senior leadership team at the Post Office. However, their evidence was eventually corroborated and has been used to help quantify the scope and scale of this scandal as it moves towards financial restitution for those affected by the scandal and cover-up.

(BBC, 2024; Second Sight Investigations, 2024)

7.3.2 Audit procedures

The specific procedures which would be performed as part of a forensic audit will depend on the specific nature of the investigation. However, using a fraud investigation as an example, the following would normally apply.

- Develop a profile of the entity under investigation including its personnel
- Identify weaknesses in internal control procedures and basic recordkeeping eg, bank reconciliations not performed
- Perform trend analysis and analytical procedures to identify significant transactions and significant variations from the norm
- Identify changes in patterns of purchases/sales, particularly where a limited number of suppliers/customers are involved
- Identify significant variations in consumption of raw materials and consumables, particularly where consumption appears excessive
- Identify unusual accounts and account balances eg, closing credit balances on debit accounts and vice versa
- Review accounting records for unusual transactions and entries, eg, large numbers of accounting entries between accounts, transactions not executed at normal commercial rates
- Review transaction documentation (eg, invoices) for discrepancies and inconsistencies
- Once identified trace the individual responsible for fraudulent transactions
- Obtain information regarding all responsibilities of the individual involved
- Inspect and review all other transactions of a similar nature conducted by the individual
- Consider all other aspects of the business which the individual is involved with and perform further analytical procedures targeting these areas to identify any additional discrepancies

Interactive question 5: Forensic auditing

You are a manager in the forensic investigation department of an audit firm. The financial director of Benji Co approached you with a request to investigate a fraud. He has identified a number of discrepancies between inventory records and the half-year physical inventory counts which are performed. Furthermore, the discrepancy always relates to the same product line and approximately the same number of items appear to be missing each time.

Requirement

Explain the procedures you would perform to determine whether a fraud has taken place and to quantify the loss suffered by the company.

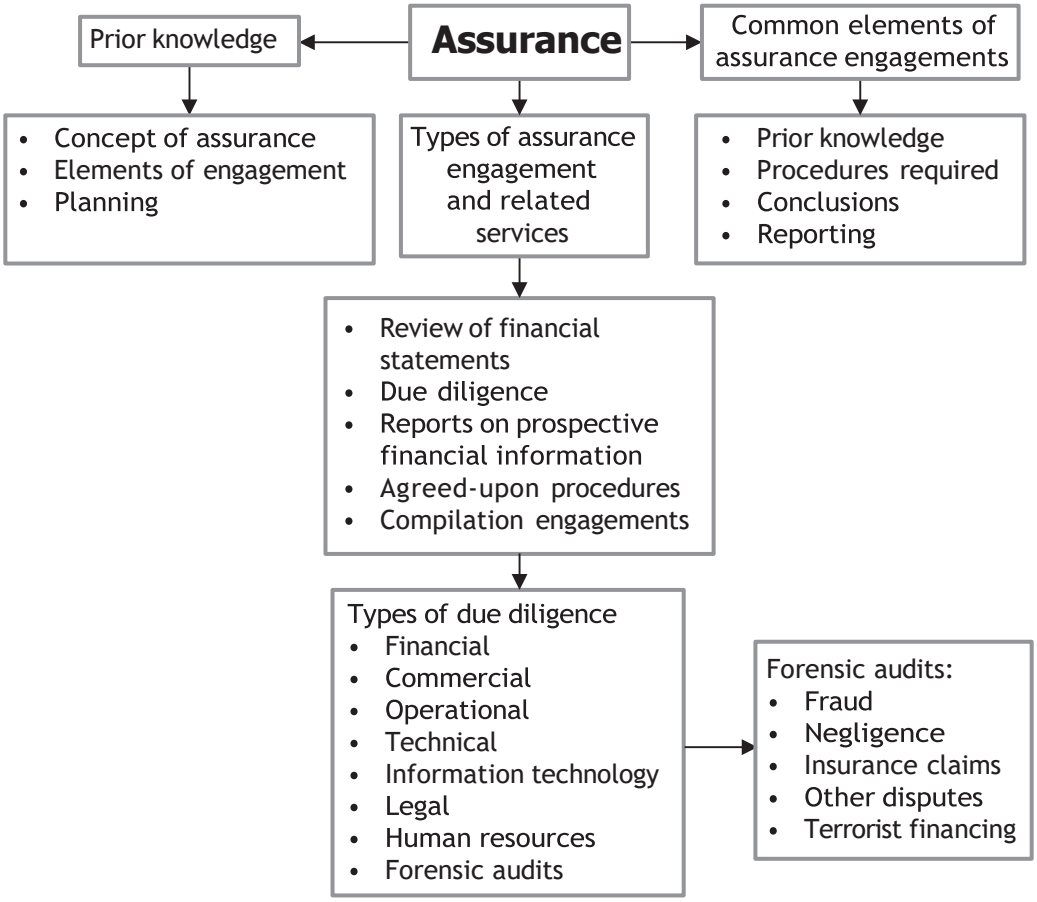
See **Answer** at the end of this chapter.

7.3.3 A different approach

While many of the techniques used in a forensic investigation will be similar to those used in an audit, the different objectives and risks involved will require some differences in approach.

Materiality	There may be no materiality threshold.
Timing	Less predictable than audit – often by necessity.
Documentation	Needs to be reviewed more critically than on an audit.
Interviews	It may be appropriate to interview a suspected fraudster. Doing so requires a high level of experience and skill, and awareness of legal issues (including risk of prosecution for defamation).
Automated tools and techniques (ATTs)	Data mining is key to many investigation processes, allowing the accountant to access and analyse large numbers of transactions. Specific characteristics can be checked ie, date, time, amount, approval, payee. If possible, data should be gathered before the initial field visit to reduce the risk of the data being compromised.

Summary


Assurance
Prior knowledge
Common elements of assurance engagements
Concept of assurance
Elements of engagement
Planning
Types of assurance engagement and related services
Prior knowledge
Procedures required
Conclusions
Reporting
Review of financial statements
Due diligence
Reports on prospective financial information
Agreed-upon procedures
Compilation engagements
Types of due diligence
Financial
Commercial
Operational
Technical
Information technology
Legal
Human resources
Forensic audits
Forensic audits:
Fraud
Negligence
Insurance claims
Other disputes
Terrorist financing

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain what assurance is and when you might be required to report using different extents of assurance?
2.	Could you advise a client of the differences between an audit and a review of a set of financial statements?
3.	Do you understand the various types of due diligence and can you explain why each would be required?
4.	Are you comfortable working your way through a forecast and interrogating each line to make sure you understand all the relevant assumptions?
5.	Do you know what agreed-upon procedures are and when you might use them?
6.	Can you explain what a firm would do if asked to perform a compilation engagement?
7.	Do you know what forensic auditing means and can you name some examples of the type of work it might include?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Travis plc	This is a great opportunity to interrogate a limited scenario and consider how due diligence would apply in a practical setting.
Upstarts Ltd	This is much more challenging and illustrates how you might be asked to consider assurance work in the context of other responsibilities for the same client and what you should do in response.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Precision Garage Access requirement (2)	You can see from this question that certain key financial reporting issues may be present for companies that create interim financial statements, so use this as experience of how this might be examined.
KK requirement (3)	To illustrate the integrated nature of this exam, this is a good way of showing how content from this chapter could be tested in a larger scenario.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries.

Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

1 Assurance engagements

- Planning – **ISAE 3000.40-45**
- Obtaining evidence – **ISAE 3000.48-51**
- Reporting – **ISAE 3000.67-77**
- UK-specific issues on independence – **ISA 3000 (July 2020)** paras. 19-1 and 69(j)

2 Assurance reports at service organisations

- Objectives – **ISAE 3402.8**
- Reporting – **ISAE 3402.53-55**

3 Assurance engagements on greenhouse gas statements

- Objective – **ISAE 3410.13**
- Reporting – **ISAE 3410.76 & Appendix 2**

4 Review of historical financial information

- Nature – **ISRE 2400.5-8**
- Quality control – **ISRE 2400.24-25**
- Agreeing terms – **ISRE 2400.37**
- Procedures – **ISRE 2400.43-57**
- Reporting – **ISRE 2400.86-92 & Illustrations**

5 Review of interim financial information

- Assurance provided – negative – **ISRE 2410.7**
- Procedures – **ISRE 2410.12-29**
- Reporting – **ISRE 2410.43-63 & Appendices 5, 6 and 9**

6 Prospective financial information

- Acceptance – **ISAE 3400.10-12**
- Procedures – **ISAE 3400.17-25**
- Reporting – **ISAE 3400.27-33**

7 Agreed-upon procedures

- Defining the terms – **ISRS 4400 (Revised).24**
- Subject matter – **ISRS 4400 (Revised).A1-2**
- Reporting – **ISRS 4400 (Revised).30 & Appendix 2**

8 Compilation engagements

- Defining terms – **ISRS 4410.17**
- Procedures – **ISRS 4410.28-37**
- Reporting – **ISRS 4410.39-41 & Appendix**

9 Additional references

BBC (2024) *Post Office accused of cover-up over secret Horizon documents* [Online]. Available at: https://www.bbc.co.uk/news/business-68079300 [Accessed 11 June 2024].

ICAEW (2024) *A career in forensic accounting.* [Online]. Available from: https://careers.icaew.com/why-a-career-in-chartered-accountancy/the-work-you-can-do/forensic-accounting [Accessed 18 September 2024].

Second Sight Investigations (2024) *Solving the "unsolvable"* [Online]. Available at: https://www.secondsightinvestigations.com/ [Accessed 11 June 2024].

Self-test questions

Answer the following questions.

1 Travis plc

Travis plc is an international hotel company which is looking to expand and diversify via acquisition. Two potential target companies have been identified.

(1) Bandic AB operates over 100 hotels throughout Scandinavia, an area where Travis plc currently has no hotel. This acquisition would give it a fast entry into this new geographical market. Approximately half of Bandic AB's hotels target the luxury/business end of the market, where Travis plc currently focuses; the remainder are more downmarket.

(2) Macis plc has several hotels throughout the British Isles with a high proportion in Scotland, where Travis plc currently has only limited coverage. So far Travis plc has acquired 4% of the share capital of Macis plc in several relatively small purchases.

Requirements

1.1 If the acquisition of Bandic AB is to go ahead, explain four key business risks the directors should consider.

1.2 Explain the purpose of a due diligence exercise if one of these purchases were to go ahead.

2 Upstarts Ltd

You are a senior in the corporate services department of your firm which has been approached by GP Sidney Wittenburg Global Fund Managers (GPSWGFM), the venture capital arm of a leading investment bank. GPSWGFM is investigating a management buy-out (MBO) of Upstarts Ltd (Upstarts).

Upstarts was formed as a start-up three years ago, as a wholly owned subsidiary of an IT hardware supplier, DatLinks plc (DatLinks). DatLinks and Upstarts both operate entirely within the UK. The group's accounting year end is 30 September. Upstarts provides a 'one stop service' for client extranets to the financial services industry (ie, intranets which can be securely accessed by customers to obtain information, pay bills etc). Upstarts provides hardware, which is sourced exclusively from its parent company DatLinks, plus software, support, web design and security services.

It was initially successful, but some highly publicised problems surrounding security breaches in similar products, together with cash flow problems, have resulted in a severe breakdown in the relationship between Upstarts's management team and the directors of DatLinks. DatLinks is therefore keen to divest itself of its interest in Upstarts.

The proposed deal would involve GPSWGFM providing the funding for the MBO. Its exit route will be via a planned flotation of Upstarts in two to four years' time. GPSWGFM has worked with Upstarts's management to produce a detailed business plan and financial projections up to the date of the flotation under a variety of scenarios.

Your firm has been asked to quote for the full range of advisory services, including the following:

- Due diligence on the MBO
- Review of the business plan and the financial projections
- Tax structuring advice on the acquisition
- Upstarts's audit and advisory work on an ongoing basis
- Advisory work on the planned flotation of Upstarts

Performance management

The gross assets of Upstarts are £9.5 million. The acquisition price is estimated at this stage to be in the region of £45 million, although this will depend on the outcome of the due diligence work and the review of the financial projections.

GPSWGFM informs you that the price looks very attractive, since it is based upon historical earnings levels which have been depressed by DatLinks's group accounting policies. Discussions with

Upstarts's management team have revealed that the vendor group's transfer pricing policies had the effect of reducing the results of its subsidiaries and inflating the results of the parent. Upstarts's finance director has provided GPSWGFM with revised financial statements, together with detailed reconciliations which reverse the effects of these policies and restate Upstarts's historical results on a 'standalone' basis. These would indicate a true market value in the region of £60 million.

GPSWGFM believes that, in addition to an early cash injection, the success of Upstarts depends upon the retention of its key asset – the design team. The deal depends upon the retention of up to 25 identified individuals, at least until GPSWGFM's exit on flotation. To this end, and to protect its investment, GPSWGFM wishes to grant share options, with current values per employee ranging from £50,000 to £100,000, to be exercisable in two to four years' time – depending on how quickly the flotation takes place. The poor relationship between the management teams of Upstarts and DatLinks means that access to DatLinks's management team during the due diligence process will be restricted. A data room containing detailed financial, legal and commercial information will be provided at the premises of DatLinks's lawyers. Upstarts's management team will, however, be freely available to answer questions and provide any information that might be requested. DatLinks has indicated that it will not provide any warranties in respect of the acquisition.

The engagement partner from your firm is meeting GPSWGFM shortly to discuss the potential assignment. He has asked you to provide him with a briefing note that will assess the risks associated with the assignment including the due diligence, the business plan review and the ongoing audit.

Requirement

Prepare the briefing note for the engagement partner.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Investors will be concerned about risk management, as the risk that the company enters into has a direct impact on the risk of the investment. Stakeholders need assurance that the risk taken by the company is acceptable to them and that the returns that they receive are in accordance with that level of risk.

1.2 An assurance engagement normally exhibits the following elements:

(1) A three-party relationship:

(a) A practitioner, in this case the auditor

(b) A responsible party, in this case Knoll plc

(c) An intended user, in this case the directors and shareholders of Knoll plc

(2) Subject matter, in this case the risk management procedures

(3) Suitable criteria, which in this case will depend on the specific needs of the company

(4) Evidence gathered

(5) An assurance report

1.3 The matters to be considered would be as follows:

(1) Whether there is any conflict of interest as a result of performing the statutory audit as well as this assignment and whether the firm would be able to perform the engagement in accordance with the FRC Revised Ethical Standard

(2) The level of assurance required by the client and the form of the report to be issued

(3) The specific recipients of any report and the use which will be made of the report

(4) The terms of the engagement and in particular the criteria by which the risk management procedures are to be measured. These could include UK Corporate Governance Code and/or the management's policy on risk management. As there are no universally recognised criteria for evaluating the effectiveness of an entity's risk evaluation, assurance is likely to be limited to whether evaluation is properly carried out

(5) The risk to the audit firm of performing the assurance engagement and whether this can be reflected adequately in the fee chargeable

Answer to Interactive question 2

2.1 As the report is to be sent directly to the bank, the engagement is with the bank and not Kelly plc. Therefore the engagement letter should be addressed to the bank.

2.2 The matters to be addressed in the letter of engagement include the following:

- The nature of the work which is being conducted ie, in accordance with the terms of the lending agreement
- The respective responsibilities. The directors are responsible for ensuring that the company complies with the terms of the loan agreement, both in terms of the covenants and the preparation of the statement of compliance. The auditors are responsible for reporting to the bank on the statement of compliance
- The basis of the report. This would include:
  - the standards to which the work is performed, such as ISQM 1 and ISAE 3000;
  - the extent of the procedures to be performed;

- any limitations in the work to be performed ie, what the work will not cover; and
- restrictions on the use of the report ie, for use by the bank in respect of the loan agreement and not for use by other third parties.

2.3 Procedures would include:

- reading the statement of compliance and obtaining an understanding of the way in which it was compiled through inquiry of management;
- comparison of the financial information in the statement and the source information from which it has been taken; and
- re-computation of the calculations and comparison of the results with those of the client and the requirements of the loan agreement.

Tutorial Note

Depending on the precise nature of the engagement and the terms set out in the engagement letter the auditor may also be required to review or verify the financial information which has provided the source for the calculations in the statement.

Answer to Interactive question 3

Implications:

(1) The ongoing costs and liabilities of the target company may be understated if the terms of the sales managers' contracts have not been correctly reflected in the information provided to the accountants. For example, the sales managers may have been promised bonuses which have not been accrued for. Without a proper review of the terms of their employment the accountants are not able to establish whether this is the case or not. If the documentation cannot be provided the shareholders may be required to provide a warranty on this issue.

(2) The ability of the target company to generate profits in future will have an impact on the valuation of the business. As the accountants have not been able to review a major sales contract they will not be able to confirm:
   (a) the number of years remaining on the contract before it may go out to tender;
   (b) whether the contract is transferable; or
   (c) whether there are any liabilities associated with the contract which have not been disclosed. Again, warranties may need to be sought on this issue.

(3) Warranties may be provided by the sellers of a business as a 'guarantee' that they have disclosed all the relevant information about the target company. As the finance director does not own any shares and apparently therefore will not benefit from the sale of Lee Ltd, it is understandable that he does not wish to warrant the transaction. However, as he is in the position of finance director, this fact may undermine the confidence of Hill Ltd in the sale process and affect the share price. A potential solution would be to incentivise the finance director by offering him a bonus on completion of the sale in exchange for the warranties.

Answer to Interactive question 4

(a) All three of the forecasts to be reviewed should be prepared on a monthly basis and the following work would be required in order to consider their reasonableness.

Capital expenditure forecast

(1) Read estate agent's details and solicitors' correspondence and compare to the capital expenditure forecast to ensure that all expenditure (including sale price, surveyors' fees, legal costs, taxes on purchase) is included.

(2) Confirm the estimated cost of new furnishings by agreeing them to supplier price lists or quotations.

(3) Verify any discounts assumed in the forecast are correct by asking the suppliers if they will apply to this transaction.

(4) Confirm projected building and decoration costs to the relevant suppliers' quotation.

(5) Confirm the projected cost of specialist equipment (and relevant bulk discounts) to suppliers' price lists or websites.

(6) In the light of experience of other such ventures, consider whether the forecast includes all relevant costs.

(b) **Profit forecast**

As a first step it will be necessary to recognise that the residential home will not be able to generate any income until the bulk of the capital expenditure has been incurred in order to make the home 'habitable'. However, while no income can be anticipated, the business will have started to incur expenditure in the form of loan interest, rates and insurance.

The only income from the new building will be rent receivable from residents. The rentals which Mr Lawrence is proposing to charge should be assessed for reasonableness in the light of rental charged to similar homes in the same area. In projecting income it would be necessary to anticipate that it is likely to take some time before the home could anticipate full occupancy and also it would perhaps be prudent to allow for some periods where vacancies arise because of the 'loss' of some of the established residents.

The expenditure of the business is likely to include the following.

(1) **Wages and salaries**. Although Mr and Mrs Lawrence intend to work full time in the business, they will undoubtedly need to employ additional staff to care for residents, cook, clean and tend to the gardens. The numbers of staff and the rates of pay should be compared to similar local businesses of which the firm has knowledge.

(2) **Rates and water rates**. The estimate of the likely cost of these confirmed by asking the local council and/or the estate agents dealing with the sale of property.

(3) **Food**. The estimate of the expenditure for food should be based on the projected levels of staff and residents, with some provision for wastage.

(4) **Heat and light**. The estimates for heat, light and cooking facilities should be compared to similar clients' actual bills.

(5) **Insurance**. This cost should be verified to quotes from the insurance broker.

(6) **Advertising**. The costs of newspaper and brochure advertising costs should be checked against quotes obtained by Mr Lawrence.

(7) **Repairs and renewals**. Adequate provision should be made for replacement of linen, crockery and such like and maintenance of the property.

(8) **Depreciation**. The depreciation charge should be recalculated with reference to the capital costs involved being charged to the capital expenditure forecast.

(9) **Loan interest and bank charges**. These should be checked against the bank's current rates and the amount of the principal agreed to the cash forecast.

(c) **Cash flow forecast**

(1) Check that the timing of the capital expenditure agrees to the cash flow forecast by comparing the two.

(2) Compare the cash flow forecast to the details within the profit forecast to ensure they tie up, for example:

- Income from residents would normally be receivable weekly/monthly in advance.

- The majority of expenditure for wages etc, would be payable in the month in which it is incurred.
- Payments to the major utilities (gas, electricity, telephone) will normally be payable quarterly, as will the bank charges.
- Rates and taxes are normally paid half-yearly.
- Insurance premiums will normally be paid annually in advance.

(3) Re-perform the additions on the cash forecast and check that figures that appear on other forecasts are carried over correctly.

Answer to Interactive question 5

Procedures would involve the following:

To establish whether a fraud has taken place

- Obtain an understanding of the business and in particular the roles and responsibilities of those involved in processing inventory transactions and those in the warehouse.
- Discuss with management the method adopted for conducting the quarterly inventory count and review the detail of the count instructions. Any weaknesses in the controls should be identified and considered as a possible explanation for the discrepancies eg, double counting of this particular line of inventory.
- Obtain confirmation of whether inventory is held at more than one location. If so confirm that this has been included in the physical inventory counts.
- Review procedures for the identification of obsolete and damaged items and in particular the disposal of such items. Determine who is responsible for making the decision and the procedures for updating records for these adjustments. If items have been disposed of but records not maintained this could explain the discrepancy.
- Obtain an understanding of the system for the processing and recording of despatches and in particular consider the effectiveness of controls regarding completeness of despatches. Trace transactions from order to despatch in respect of the inventory line in question to confirm that all goods out have been recorded.
- Obtain an understanding of the system for the processing and recording of goods received for this inventory line. Controls over the initial booking in of inventory should be reviewed. If inventory is double counted at this stage this could account for the discrepancy.
- Review the system for subsequent processing of goods received, in particular the controls and procedures regarding the accuracy of input. If goods in are processed more than once this would give rise to a discrepancy between the book records and actual inventory.
- Assess the existence of general controls affecting access to the warehouse and inventory.

To quantify the loss

The evidence obtained above should enable the auditor to determine the accuracy of the book records and the accuracy of the physical inventory records. A reconciliation of the two figures should provide the number of units missing. The cost of each unit should be agreed to recent purchase invoices.

Tutorial Note

In this particular case, the approach taken is likely to involve elimination of legitimate reasons why the discrepancies may have arisen.

Answers to Self-test questions

1 Travis plc

1.1 **Key business risks (only four required) Risk with diversification**

Scandinavia would be a new geographical area to the directors of Travis.

The culture and expectations of a Scandinavian workforce and Scandinavian business/holiday travellers may be very different to that in other areas where Travis operates.

Regulatory environment

The directors of Travis will need to ensure that the company quickly gains knowledge of regulations in the Scandinavian countries to ensure that local laws are not breached by future decisions eg, local health and safety rules, local employment legislation.

Change measurement

The takeover of Bandic will be potentially unsettling for the Bandic workforce.

- Head office staff may think their jobs are at risk, as control may be subsumed within the head office function of Travis.
- Hotel staff may be concerned about the future of the hotel in which they work.

This uncertainty is demotivating and can have serious performance consequences if decisions are not made quickly and communicated effectively.

Financing

Travis must ensure that it does not overstretch itself when making an acquisition. A balance must be struck between using existing resources and raising new finance via debt and/or equity that the new entity is comfortably able to service.

Systems

Computer systems in Bandic will need to be integrated so that:

- reporting to the Travis board can be carried out, especially when integrating results for overall control; and
- if the group wants standard booking/check-in procedures etc, Bandic's systems will need more thorough integration.

1.2 **Due diligence**

When bidding for the shares in its chosen company, Travis and its advisers will have only limited access to financial information on that company.

A due diligence exercise is carried out by Travis once it has identified the target company. This would usually be performed by the purchasing company together with its external advisers, and would give a much more detailed review of the assets, liabilities, contracts in progress, risks, etc, of the acquired company, to confirm that the original information relied on by Travis was accurate.

An acquisition deal will not become unconditional until after satisfactory completion of a due diligence exercise.

2 Upstarts Ltd

Email as follows:

To: The engagement partner
From: Senior in corporate services
Date: Today
Subject: Potential assignment at GPSWGFM

Associated risks

The most important issue here is that our client, GPSWGFM, seems to have a somewhat naïve approach to this assignment. The buy-out is in a generally high risk area (see below), but the information we have indicates that the client is placing reliance upon the management team of Upstarts, without reference to the vendor.

This is exacerbated by the fact that the directors of Upstarts claim that its previous audited, filed accounts significantly understate its profits, and further still by the limits upon our due diligence work and by the vendor's refusal to provide any warranties.

A list of the risk factors associated with the transaction is set out below.

- The previous filed accounts are being restated, beneficially, by Upstarts, apparently without any means to verify this with the vendor
- Previous problems within Upstarts, in particular the breakdown in relations with DatLinks and its cash flow problems
- The overwhelming reliance upon management, who have a vested interest in overstating results – particularly in view of the share options which are being proposed
- The lack of warranties from the vendor
- The fact that the company is in a high technology sector which carries a high level of (inherent) risk
- Industry-wide problems (eg, the publicised security breach)
- The dependence upon key individuals remaining with the business – how likely is this?
- The potential adjustments to the accounts might well increase the company's statement of financial position, such that the EMI scheme no longer applies
- The planned Initial Public Offering will exacerbate the incentive to overstate results, as will the proposed share option scheme

Performance management

- The main supplier of hardware to Upstarts is the parent company DatLinks. Therefore new suppliers may need to be sourced, thereby increasing the risk of stock-outs and interruptions in supply and quality of supply.

Additionally, the following factors will affect our firm's own risk profile.

- The reliance by GPSWGFM on our due diligence work
- The potential conflict of interest – it might be perceived that the availability of ongoing work might prejudice our approach to the due diligence exercise (ie, it may be perceived that we have a vested interest in seeing the deal go through).
- The Initial Public Offering will increase our exposure still further, since the public will rely upon our work.

Many of the above-mentioned risks are pervasive across the whole range of advisory services we are considering offering. A summary of the key risks associated with each work stream is as follows.

- **Due diligence** – Reliance upon management; lack of management information; lack of warranties; previous financial difficulties; reliance upon our work by GPSWGFM; incentives to optimism by managers.
- **Business plan review** – The business plan and financial projections are an extension of the due diligence work ie, projecting forwards to calculate profitability. The risks will be as above, but with added risk because the integrity of projections in a relatively volatile market will need to be tested.
- **Tax structuring** – This relies upon the numbers in the financial projections. As Upstarts has suffered from cash flow problems recently, it will be important to determine the amount of any unpaid tax liabilities, as these could impact the company's valuation. If any losses have been incurred, how these unused losses can be preserved for offset against future profits needs to be considered. This is especially important in the light of the group's transfer pricing policies – there may be a risk of HMRC requiring transfer pricing adjustments, therefore increasing previous years' tax liabilities. How to structure the share option scheme, and the amount of any degrouping charges arising in Upstarts, also must be considered.
- **Audit** – Audit risk should be regarded as high: this is a new client to the firm, in an inherently risky market sector, with a history of financial problems. The reliance upon key staff will also affect audit risk, since the ability of Upstarts to continue as a going concern is dependent upon the retention of key personnel. Depending on the nature of the future listing ethical restrictions may apply in respect of the provision of both audit and other services.
- **Flotation** – This will extend the audit risk, since levels of reliance upon our work will be increased throughout the general public. The proposed share options will potentially motivate management to overstate results.

Overall, the deal should at this stage be regarded as very high risk – both for our client and for ourselves. There may be significant ethical issues in future.

For ourselves, we should seriously consider not quoting for any of these services, or quoting for only some parts of the work to avoid the potential conflict of interest noted above.

Chapter 26
Environmental and social considerations

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Introduction

2 Sustainability reporting

3 Implications for the statutory audit

4 Social audits

5 Implications for assurance services

6 Integrated reporting

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain and evaluate corporate reporting and assurance issues in respect of social responsibility, sustainability and climate change issues for a range of stakeholders

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction** Organisations now focus on explaining their role in more than just financial terms and this section explains why.	**Approach** Note the impact of this type of responsibility on corporate reputation. **Stop and think** Can you think of any other examples of policies that consider social and environmental factors?	Questions on this topic will require you to have a working knowledge of what companies say and how they say it, so be prepared to offer advice if required on how to set up similar types of disclosure.	N/A
2	**Sustainability reporting** This is an area that is in a state of change and companies will need to be aware of their reporting responsibilities.	**Approach** Make sure you read all the various illustrations and can compare and contrast them. **Stop and think** Remember that many of these should be revision for you!	You may be required to consider how a model such as the Global Reporting Initiative (GRI) or the UN Sustainability Goals might be applied to an organisation in a scenario.	**IQ1: BTSJ Ltd** In order to score well here, answers to this question need to be very practical and draw on the facts presented to provide an answer that is contextual.
3	**Implications for the statutory audit** How might social and environmental issues create audit risk within a set of financial	**Approach** Work through this section and consider how social and environmental issues could have an impact on each	Should a question ask for the implications of either a social or environmental matter on the audit, remember to use	**IQ2: Provisions** This is a great way of applying your corporate reporting knowledge in the context of accounting for an

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	statements?	stage of the audit. **Stop and think** The long term nature of such issues may make the financial statements more subject to risk of misstatement.	the same approach for planning and collecting evidence as you would for purely financial issues.	environmental issue.
4	**Social audits** Companies may be required to demonstrate that they have met certain social targets.	**Approach** While you read through this section, consider the work that a firm would do if asked to carry out such an audit. **Stop and think** How would you collect the necessary evidence here?	You need to be prepared to advise either a client or colleague on what these audits are for and how they work.	N/A
5	**Implications for assurance services** There are always opportunities for firms to offer additional services to their clients - social and environmental matters are no exception.	**Approach** Read the various approaches discussed and consider how they could be applied. **Stop and think** Does your employer offer services of this kind?	You may be presented with an offer to review something similar to the report shown in the worked example – if so, treat it like any other form of assurance and consider a step-by-step approach to how an engagement should be conducted.	**IQ3: Assurance services** Despite being set in a market you are probably unfamiliar with, this question should be approached like any other engagement.
6	**Integrated reporting** Stakeholders are increasingly alert to the need to understand how value is created from finite	**Approach** There is a lot to get through in this section but the worked example demonstrates how various resources can create value.	As usual, the biggest challenge in questions of this type is how you would perform an engagement to review such information – remember to stay	**IQ4: Auditing performance information** Don't forget to consider both absolute and relative measures and also to take any

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	resources – integrated reports aim to communicate this by reference to the value of the various resources or capitals used and the corresponding value they create.	**Stop and think** Can you differentiate between the various capitals? And can you see how integrated reporting has been carried over into subsequent frameworks such as TCFD?	focused on the practical aspects of the data and how it can be assessed.	qualitative factors into account as part of your analysis. **IQ5: Procedures** Your answers need to be very precise here.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Introduction

Section overview

Many corporations are now compiling and issuing annual reports that provide details about their environmental, social and governance (ESG) behaviour. There are many terms in place – we will try and cover as many as possible to give you a broad range of examples so you can understand the issues involved a little better.

1.1 *How corporate responsibility was replaced by ESG*

Before the term ESG was adopted to consider the enterprise level impacts and dependencies from ESG issues, a number of other terms (such as corporate responsibility) were used to try and discuss an emerging shift in corporate reporting. Traditionally, management (and auditors) have been primarily concerned with one set of stakeholders, the shareholders on whose behalf they operate the business and to whom they report, in order to demonstrate the value that the entity was creating.

Gradually, other stakeholders emerged and became part of a broader and more diverse group, and the company would need to remember that in the pursuit of making money, their actions might lead to a series of events for which they may need to display some additional form of responsibility.

*The pressure to widen the scope of **corporate public accountability** has come from the increasing expectations of these other stakeholders, in particular those concerning the environment, society and employees.*

The environment	The environment is directly impacted by many corporate activities today. For example, a company can cause harm to natural resources in various ways, including: • exhausting natural resources such as coal and gas; and • emitting harmful toxins which damage the atmosphere. This impact is regulated by environmental legislation and consumer opinion.
Society	Society, from the point of view of the company, is made up of consumers or potential consumers. As recognised above, consumers increasingly have opinions about environmentally friendly products and will direct their purchasing accordingly. They are concerned with harm to natural resources as they and their children have to live on the planet and may suffer direct or indirect effects of pollution or waste. Society will also, through lobby groups, often speak out on behalf of the environment as it cannot speak out itself.
Employees	Employees have a relationship with the company in their own right, in terms of their livelihood and also their personal safety when they are at work. However, from the company's perspective, they are also a small portion of society at large, as they may purchase the products of the company or influence others to do so.

Corporate responsibility has evolved to become part of the ESG conversation but where did it come from? ICAEW (in *An Overview of Corporate Responsibility*) defined it as the 'actions, activities and obligations of business in achieving sustainability'. If a business is to be sustainable in the long run, then the resources it uses must be sustainable. This includes raw materials and energy and so on but also includes less tangible resources including:

- human and intellectual capital; and
- relationships with communities, governments, consumers and other stakeholders (in other words, social and governance).

The business argument is that companies that are responsible will, in the long term, be more successful. This gives rise to both:

- risk eg, reputational risk as a result of poor behaviour; and
- opportunity eg, companies that use energy efficiently will reduce cost.

You will remember that we have covered topics such as environmental, social and governance (ESG) factors and sustainability earlier in these materials. In this chapter, we are trying to draw it all together.



Context example: BP and Deepwater Horizon

In 2010, an explosion destroyed an oil rig operated by BP in the Gulf of Mexico called the Deepwater Horizon. The resultant marine oil spill was considered the largest in US history and led to the company eventually paying out around $65 billion in fines and compensation. The financial and reputational fallout from this disaster was enough to cut the share price of the company almost in half during 2010. Did it lead to the end of the company altogether though?

Analysis performed for an article in New Scientist in 2022 suggested that despite the fallout of the Deepwater Horizon disaster, the long term value of the company's shares has not been affected. Like many companies, the value of BP was drastically affected by the Covid pandemic in 2020, but apart from this, the value of its shares has reflected the market around it. The company's revenues are still expected to be in the 100s of billions.

The authors of the article also tracked the company's reputation over this time. The authors used a number of companies (including rival Shell) to create a synthetic version of BP which did not suffer the Deepwater Horizon disaster. The authors then used brand index data over time to determine where BP's reputation would have been without the disaster. Interestingly, although the real BP dropped 50 brand points below its proxy soon after the events in the Gulf of Mexico occurred, by 2017 the real BP score was back up to a position where it was only 17 points below the proxy's score, suggesting that it had gradually repaired a significant part of its damaged reputation.

Ultimately, BP would undoubtedly have rather not experienced the Deepwater Horizon disaster, and the fines and penalties have been a way of being held accountable for its actions, but the effects of the disaster have not been anywhere near as existential as they were feared they would be.

(New Scientist, 2022)

2 Sustainability reporting

Section overview

- *In Bangladesh, the Central Bank has issued a guideline for banks and finance companies on disclosures for the sustainability and climate-related risk based on IFRS S1 and IFRS S2 in phases starting from 2024.*
- *Many companies are voluntarily producing sustainability reports, either separately or integrated as part of the main annual report.*
- *There are many different frameworks that could be used to reflect such matters such as the UN SDGs and the GRI.*

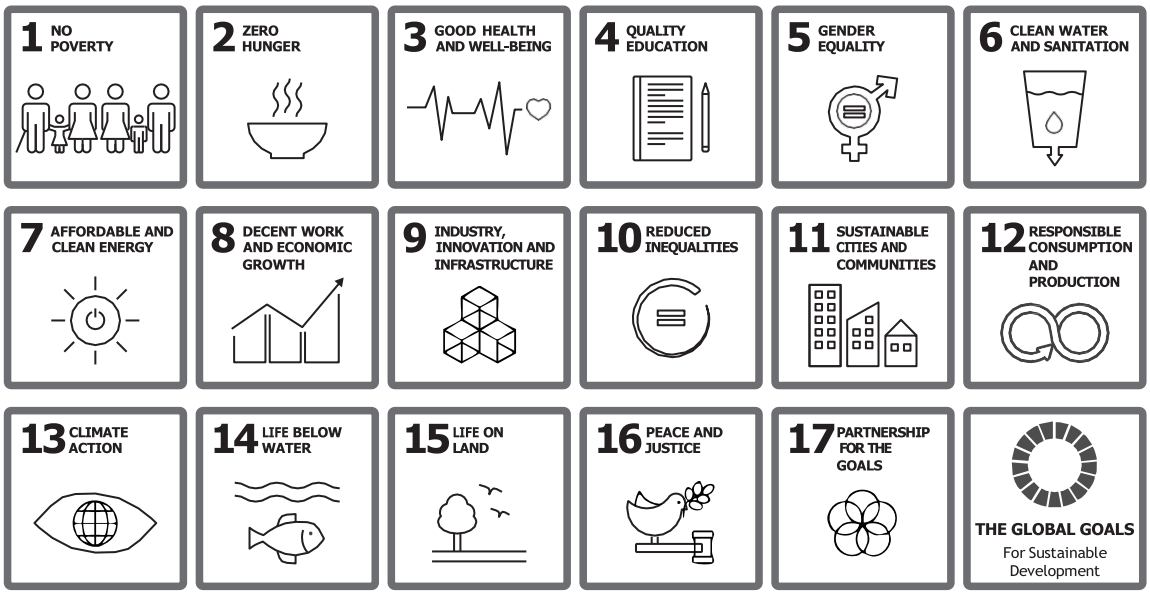
2.1 UN Sustainable Development Goals

The UN Global Goals for Sustainable Development aim to transform our world by 2030. ICAEW supports the global goals.

The Global Goals aim to end poverty, combat climate change and fight injustice and inequality. Their vision is a world of strong economies and the Global Goals illuminate this: it is one of prosperous, inclusive and resilient economies, based on fair and just societies, delivered within what nature can afford and underpinned by good governance and strong partnerships.

(UN, 2024)

The diagram below shows the 17 Global Goals, illustrating what the UN perceives to be the most important issues here.



ICAEW believes it has a vital role to play in this:

- The actions businesses take will be critical to translating this vision into a new reality.
- As countries measure progress on the goals, the accountancy profession will have a major role in aligning measurement systems.

- The profession has a proven record of building strong local institutions – essential for achieving the goals.

(ICAEW, 2019)



Context example: Britvic sustainability report

Britvic plc is a UK soft drinks supplier with a history of products that deliver vitamins to consumers. Famous brands manufactured by Britvic include Fruit Shoot, J2O and Tango – the company is also licensed to make, market and sell PepsiCo products such as 7UP, Pepsi MAX and Lipton Ice Tea. This health-conscious focus has no doubt prompted the company to produce a sustainability report which reassures its stakeholders that its products are continuing to live up to its healthy reputation while also supporting the UN SDGs. The initiative is known as 'Healthier People, Healthier Planet'.
Below is an extract from the summary of performance published within the 2023 annual report.

***Note:** The numbered Sustainable Development Goals shown in the table below all refer to the 17 UN SDGs covered in an earlier section.*

Healthier People

Focus area	*Sustainable Development Goals*	*2025 targets*	*Progress to 2025 targets*
Give consumers healthier choices to enjoy everyday moments	*3 Good health and well-being*	*< 30 calories per 250 ml serve*	*Exceeded (21.7 calories in 2023 per 250 ml serve)*
Make a meaningful contribution to the communities in which we operate	*11 Sustainable cities and communities* *17 Partnerships for the goals*	*Double employee community days (vs 2020 baseline)*	*Exceeded (788 days in 2023 vs target of 326 days)*
Our employees are empowered to be their best selves to deliver great performance	*4 Quality education* *5 Gender equality* *8 Decent work and economic growth* *10 Reduced inequalities* *17 Partnerships for the goals*	*Upper quartile employee engagement score*	*78 (2022 score = 77)*
Our employees feel physically and psychologically well	*3 Good health and well-being*	*Upper quartile employee wellbeing score*	*73 (2022 score = 72)*

***Note:** The equivalent 2022 report had different targets for engagement and wellbeing (85 and 80 respectively) so although Britvic can report that their scores have improved over the last 12 months, they appear to be finding these targets more challenging to achieve.*

Healthier Planet

Focus area	*Sustainable Development Goals*	*2025 targets*	*Progress to 2025 targets*
Create a world where great packaging never becomes waste	*9 Industry, Innovation and Infrastructure* *11 Sustainable cities and communities* *12 Responsible consumption and production* *13 Climate action* *14 Life below water* *15 Life on land* *17 Partnerships for the goals*	*Packaging 100% recyclable in Great Britain* *All bottles in Great Britain and Ireland to be made from 50% rPET and/or sustainably sourced PET*	*Not yet achieved:* • *Percentage of rPET in bottles across Great Britain and Ireland has increased from 22% to 26%* • *99.6% of packaging in Great Britain and Ireland is recyclable*
Understand the environmental (water and biodiversity) and social footprint of our supply chain and drive efficient use of natural resources	*6 Clean water and sanitation* *9 Industry, Innovation and Infrastructure* *12 Responsible consumption and production* *13 Climate action* *14 Life below water* *15 Life on land* *17 Partnerships for the goals*	*Reduce manufacturing water intensity ratio (m_3/ tonne production) by 20%* *(vs 2020 baseline)*	*Not yet achieved - target was 1.60 and 2023 performance was 2.05 (2022 = 2.00)*
Transition to a net zero economy by maximising energy efficiency and using renewable energy sources	*9 Industry, Innovation and Infrastructure* *11 Sustainable cities and communities* *12 Responsible consumption and production* *13 Climate action 15 Life on land* *17 Partnerships for the goals*	*Reduce Scope 1 and 2 carbon emissions by 50% by 2025 (vs 2017 baseline)* *Reduce Scope 3 carbon emissions by 35% by 2025 (vs 2017 baseline)*	*Not yet achieved:* • *Scope 1 and 2 emissions reduced by 32.6% since 2017* • *Actual Scope 3 reduction since 2017 not explicitly stated but elsewhere the report suggests a reduction of only 25% so far*

Note: *Other changes since 2022 include the removal of a commitment to reduce packaging per serve by 20% (vs 2020 baseline) and halving the target for the proportion of rPET in bottles from 100% to 50% (although there is a note to explain that this is to ensure the best quality food grade rPET is used).*

Overall, while Britvic is making good progress in many areas, the company is clearly finding the achievement of its targets challenging.

(Britvic, 2023)

2.2 Regulation and best practice

There is currently **no consensus** on the type of information that should be disclosed in a sustainability report, although you have learned about the ISSB and the IFRS Sustainability Disclosure Standards in an earlier chapter, so we are expecting this to change. Historically companies whose activities have the greatest social and environmental **impacts and dependencies** have been the most active in developing this type of reporting, for example companies within the oil and gas industry like Shell. In more recent years **sustainability reporting has become more common** but guidance is still not fully defined. In this section we will look at both regulation and guidance.

2.2.1 *Voluntary codes - Global Reporting Initiative (GRI)*

Prior to having a regulated approach (such as the TCFD approach now required for listed and larger UK companies) there were a number of voluntary approaches, many of which were used as the building blocks for the approach we will see more of in the future.

*A number of companies including Mercedes-Benz, H&M and Nestle have followed guidance issued by the **Global Reporting Initiative**. The GRI aims to develop **transparency, accountability, reporting and sustainable development**. Its vision is that reporting on economic, environmental and social impact should become as routine and comparable as financial reporting.*

This approach includes three universal standards which are to be used by every organisation that prepares a sustainability report under the GRI:

- *GRI 1: Foundation 2021*

  This sets out the way that GRI reporting is supposed to be undertaken.
- *GRI 2: General Disclosures 2021*

  This is used to report contextual information about an organisation and its sustainability reporting practices. This includes information about an organisation's activities and workers, governance, strategy, policies and practices and stakeholder engagement.
- *GRI 3: Material Topics*

  This is used to report information about how an organisation manages a material topic, including the process to determine material topics, a list of material topics and the management of material topics.
- *GRI 11 to 13 on sectors that include oil and gas, coal and agriculture, aquaculture and fishing*
- *GRI 201 to 207 on topics that include procurement practices, anti-corruption and tax*
- *GRI 301 to 308 on topics that include energy, emissions and waste*
- *GRI 401 to 418 on topics that include employment, child labour and the rights of indigenous peoples*

The following is a summary of the core aspects of GRI 1, Foundation 2021:

GRI 1: Foundation 2021 - Overview of process for reporting in accordance with the GRI Standards

a) Apply the reporting principles (listed below)

b) Report the disclosures in GRI 2: General Disclosures 2021 Determine material topics

c) Report the disclosures in GRI 3: Material Topics 2021

d) Report disclosures from the GRI Topic Standards for each material topic

e) Provide reasons for omissions for disclosures and requirements that the organisation cannot comply with

f) Publish a GRI Content index Provide a statement of use Notify GRI

GRI 1: Foundation 2021 - Reporting principles for defining high quality sustainability reporting

- ***Accuracy**: The organisation shall report information that is correct and sufficiently detailed to allow an assessment of the organisation's impacts.*
- ***Balance**: The organisation shall report information in an unbiased way and provide a fair representation of the organisation's negative and positive impacts.*
- ***Clarity**: The organisation shall present information in a way that is accessible and understandable.*
- ***Comparability**: The organisation shall select, compile and report information consistently to enable an analysis of changes in the organisation's impacts over time and an analysis of these impacts relative to those of other organisations.*
- ***Completeness**: The organisation shall provide sufficient information to enable an assessment of the organisation's impacts during the reporting period.*
- ***Sustainability context**: The organisation shall report information about its impacts in the wider context of sustainable development.*
- ***Timeliness**: The organisation shall report information on a regular schedule and make it available in time for information users to make decisions.*
- ***Verifiability**: The organisation shall gather, record, compile and analyse information in such a way that the information can be examined to establish its quality.*

(GRI, 2024)

> ***Prominent Note***
>
> *Although the GRI remains in force, it is expected that International Sustainability Standards Board (ISSB) IFRS S1 and IFRS S2 will become the prime method for sustainability and climate-related disclosures, in conjunction with the adoption of the Task Force on Climate-related Financial Disclosures (TCFD) methodology within statutory reporting for many of the largest UK companies. However, their approaches are slightly different (GRI focuses on a broader range of materiality factors that impact economy, environment and people, while IFRS S1 and S2 focus more on an entity's prospects from its general purpose financial reports) making them complementary to each other as opposed to competitors.*

Professional skills focus: Assimilating and using information

Having a framework such as that used by the GRI is very helpful in delivering a thorough and comprehensive view of an organisation's sustainability credentials. Note how this could be applied to almost any organisation in its own context.

2.2.2 *Voluntary codes – Accounting for Sustainability (A4S)*

The Accounting for Sustainability project was launched in the UK in 2006 by King Charles when he was Prince of Wales with an overall aim 'to help ensure that sustainability … is not just talked and worried about, but becomes embedded in organisations' "DNA"'. The Connected Reporting Framework that was produced as a result of this project was not designed as a new reporting standard, but rather to build upon and improve the frameworks already issued by the GRI and DEFRA and other organisations. Since then, Accounting For Sustainability (A4S) has continued to work to inspire action by finance leaders to drive a fundamental shift towards resilient business models and a sustainable economy. To do this A4S has three core aims:

(a) *Inspire finance leaders to adopt sustainable and resilient business models.*

(b) *Transform financial decision making to enable an integrated approach, reflective of the opportunities and risks posed by environmental and social issues.*

(c) *Scale up actions across the global finance and accounting community.*

A4S currently has a number of ongoing projects which are split into four main themes:

(a) *Lead the way: Developing a strategic response to macro sustainability trends*

(b) *Transform your decisions: Integrating material sustainability factors into decision making*

(c) *Measure what matters: Developing measurement and valuation tools*

(d) *Access finance: Engaging with finance providers on the drivers of sustainable value*

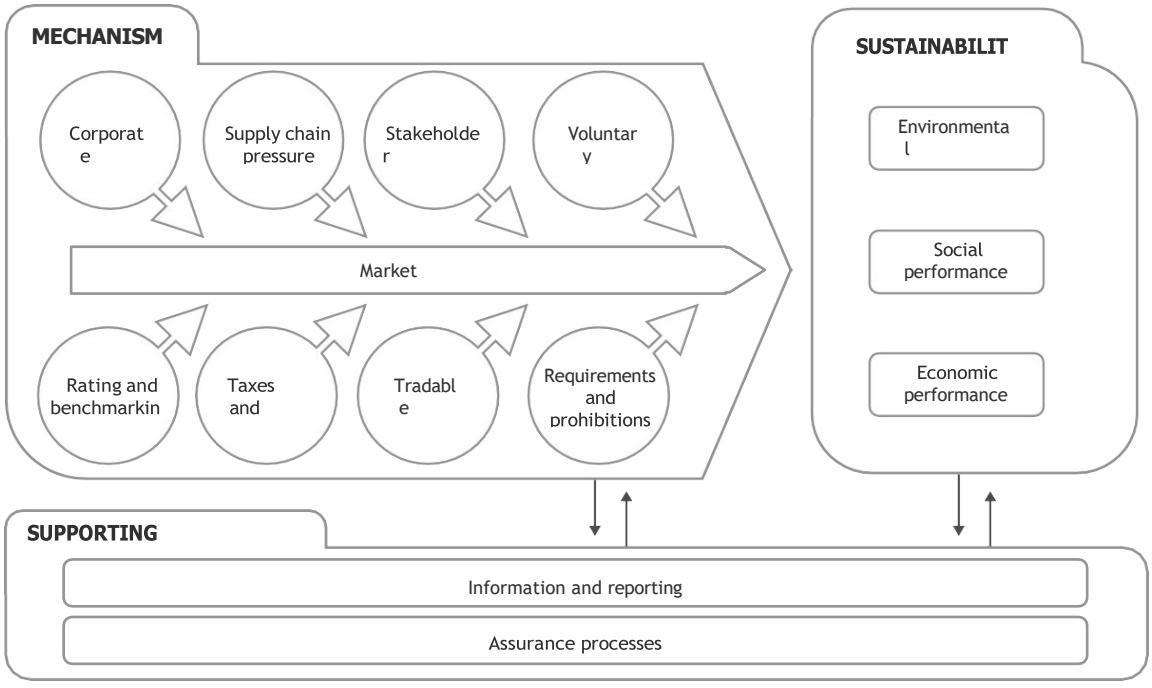
A series of guides has also been produced which are designed to inspire action by the financial community.

2.3 *ICAEW and sustainability reporting*

The ICAEW website defines sustainability as 'maintaining the world's resources rather than depleting or destroying them. This will ensure they support human activity now and in the future. Sustainable business is the actions, activities and obligations of business in achieving sustainability. It involves reconnecting business, society and the environment and recognising their interdependence.' In its paper Sustainability: the Role of the Accountant, ICAEW suggests that there are a number of mechanisms which can be used by individuals, societies and governments to enhance sustainability supported by reliable information on which assurance has been provided by the accountant.

The paper summarises this as follows:

Figure 26.1: A market-based approach to sustainability



Note: *The ICAEW paper and the supporting diagram mentions voluntary codes and requirements and prohibitions. Since the publication of this document, there has been a far greater role played by regulation in this area – consider the various regulatory mechanisms that*

are now intrinsically considered a part of sustainability disclosures, representing far more of a 'must have' rather than a 'would like' form of reporting. This will be considered in the next section.

As shown in the diagram above, sustainability can be seen to have three key aspects:

Economic	*Information provided goes beyond that required by law. It should demonstrate how a company generates value in a wider sense eg, by creating human capital*
Environment	*This may provide information about the impact and dependencies of products and organisations on the environment eg, emissions, waste, scarce resources*
Social	*Information may be provided on a range of social issues, including ethnic and gender diversity, child labour, working hours and wages*

*As well as adopting social and environmental policies it is important that companies **communicate these policies** to stakeholders. Increasingly companies are providing information on **sustainability**. This type of report typically includes information about these three aspects of performance and is sometimes referred to as **triple bottom line reporting**.*

Interactive question 1: BTSJ Ltd

BTSJ Ltd is a medium-sized UK company that specialises in producing and supplying fuel and other petrochemical-based automotive products for commercial and domestic customers both domestically and outside the UK. It is currently considering its strategy and whether its growth plans might result in the company needing to seek a listing on the London Stock Exchange. At a recent board meeting, the finance director explained that seeking additional finance to support the company's long-term strategy would be increasingly difficult without access to some form of stock market. The company's founder, who is also its managing director, stated the following:

'Becoming listed would be a good way of securing the company's future, especially as there is so much negative press surrounding both the oil and the car industries. It's a chance for us to control the narrative on these so-called green issues and convince our customers of how much they still need our products, now and forever.'

On the subject of disclosures, the finance director pointed out that the additional reporting responsibilities that would result from becoming a quoted company were significant and that BTSJ should be prepared to start reporting to its stakeholders on how it manages environmental impacts. The managing director concluded the discussion by reminding the finance director that:

'I think you got that wrong – surely you meant to say shareholders not stakeholders - they are the only people that really matter!'

Requirement

You work in the finance department of BTSJ Ltd as an accountant. In preparation for the next board meeting, the finance director has asked you to produce some briefing notes that consider the following:

(a) *Explain the advantages and disadvantages to BTSJ of disclosing how it manages environmental matters in its annual report.*

(b) *Evaluate the statements made by the founder and managing director of BTSJ that the company would be able to 'control the narrative' by reporting how it manages environmental matters and that shareholders 'are the only people that really matter'.*

*See **Answer** at the end of this chapter.*

Professional skills focus: Applying judgement

In the exam, you will be expected to be able to relate issues to any given business environment. Applying judgement requires you to appraise sustainability, public interest and regulatory issues – the pace of change (and the work still to be done) in the rapidly-evolving area of sustainability reporting is one such area where you will need to maintain your focus to ensure you stay up to date.

3 Implications for the statutory audit

Section overview

- The auditor will need to consider the implications of social and environmental matters on the audit of the financial statements particularly at the following stages of the audit:
  - Planning
  - Substantive procedures
  - Audit review

3.1 Introduction

As we have seen above, social and environmental matters are becoming significant to an increasing number of entities and may, in certain circumstances, have a **material impact on their financial statements**.

When these matters are significant to an entity, there may be a risk of material misstatement (including inadequate disclosure) in the financial statements. In these circumstances the auditor needs to give consideration to these issues in the audit of the financial statements. In Bangladesh, policy and regulatory initiatives are still limited. Bangladesh Bank issued green banking guidelines in 2011. As part of this guidelines all banks are required to prepare a standalone sustainability report effective from 2015. Dhaka Stock Exchange issued a sustainability reporting guideline in 2020 in collaboration with Global Reporting Initiatives (GRI). The aim is to encourage Bangladeshi companies to engage in sustainability reporting practices. Similar guidance on the audit work required was provided in 2015 by ICAEW and the Environment Agency in a publication called *Environmental issues and UK annual reporting*. Since this date, there has been guidance on assurance for ESG content published by the World Business Council for Sustainable Development (WBCSD) including:

- Guidance on improving the quality of ESG information for decision-making (June 2019)
- A buyer's guide to assurance on non-financial information (also published in 2019 in conjunction with ICAEW)

3.2 The consideration of environmental matters in the audit of financial statements

Examples of environmental matters affecting the financial statements could include the following:

- The introduction of environmental laws and regulations may involve an **impairment of assets** and consequently a need to write down their carrying value.

- Failure to comply with legal requirements concerning environmental matters, such as emissions and waste disposal, or changes to legislation with retrospective effect, may require **accrual of remediation, compensation or legal costs**.
- Some entities, for example in the extraction industries (oil and gas exploration or mining), chemical manufacturers or waste management companies may incur **environmental obligation** as a direct by-product of their core businesses.
- **Constructive obligations** that stem from a voluntary initiative, for example an entity may have identified contamination of land and, although under no legal obligation, it may have decided to remedy the contamination, because of its concern for its long-term reputation and its relationship with the community.

Increasing levels of legislation relating to climate and the environment, and broader strategies such as **net zero targets** may impose additional obligations on companies in respect of cleaning up their operations.

Additionally, many companies are **communicating their green targets** and are therefore creating **constructive obligations** relating to their activities. You should note however that it is only obligations that exist independently of an entity's future actions and for which future expenditure cannot be avoided that meet the definition of a provision. For example, a company might announce that, in two years' time, it will fit air filters to its factory to reduce the debris and contaminants that enter into the atmosphere. This announcement does not give rise to an obligation as the company can avoid the future expenditure by changing its future operations (regardless of how practical or otherwise that might be).

- An entity may need to disclose in the notes the existence of a **contingent liability** where the expense relating to environmental matters cannot be reasonably estimated.
- In extreme situations, non-compliance with certain environmental laws and regulations may affect the continuance of an entity as a **going concern** and consequently may affect the disclosures and the basis of preparation of the financial statements.



Context example: What progress are we actually making?

In November 2020, the UK FRC published findings of a review which asked a series of questions to understand what's currently being done by major stakeholders in governance, reporting and audit to address climate-related issues. Here are the five questions asked:

(a) How are boards taking account of climate-related challenges?

(b) How are companies developing their reporting on climate-related challenges?

(c) How are auditors taking account of climate-related challenges?

(d) How are professional bodies and audit regulators taking account of climate change in their regulatory responsibilities?

(e) What do investors want to see?

Sadly, the answers to the first four questions are uninspiring. Climate-related issues still do not appear to be considered an integral part of an organisation's strategy and although there has been some progress in narrative reporting of climate issues in financial statements, such information is still very much seen as an optional extra (and probably will be until there is a legal requirement to disclose). The responses to climate-related challenges from auditors, professional bodies and regulators also appear to be mixed and undertaken in an ad hoc manner, all of which adversely affects progress in this area.

Taking all these points into consideration, the answer to the fifth question does not seem all that surprising. Investors clearly want **more** done in relation to disclosure around the impact of climate- related issues on organisations, especially the financial implications of such matters in order to be in a position to make informed financial decisions.

Note: *While it is encouraging that the FRC has undertaken this analysis on climate-related matters, it is important to note that this is just one subset of the wider ESG and sustainability picture and other factors are just as relevant (for example, social issues such as diversity and inclusion). In addition, since the publication of this review, there have been further initiatives (such as the formation of the ISSB and the IAASB project on assurance in sustainability reporting) which demonstrate the ongoing evolution of this topical issue.*

(FRC, 2020)

3.2.1 The impact of climate-related and sustainability risks on the statutory audit

Beyond the more traditional view of environmental impacts on the audit, the launch of the International Sustainability Standards Board (ISSB) has **refined** how both **sustainability** and **climate- related risks** could affect organisations in a variety of ways.

In the context of the ISSB standards IFRS S1 and IFRS S2, such risks can vary as follows:

- Climate-related physical risks (either acute or chronic, as described below)
  - Acute risks (immediate events such as forest fires)
  - Chronic risks (longer-term systemic risks such as rising sea-levels)
- Climate-related transition risks (caused by the adaptation of an entity to a more sustainable form of economy)

Setting these in context, we can see that a chain of events has been triggered:

Factor	Impact
Extreme temperatures	These can have acute consequences (events such as forest fires or a more serious threat to life for vulnerable individuals) as well as more chronic effects (droughts contribute to increasingly lower water levels in reservoirs that service hydro-electric dams which can in turn lead to diminished power generation for communities).
Rising sea-levels	Global warming is melting polar ice-caps, leading to increased sea volumes and tidal swells which can affect coastal communities.
Shortage of resources	Adverse weather can also affect crop yields (such as wheat, potatoes and coffee) leading to supply chain issues that affect both quality and price.
Pricing issues	Shortages of key resources can increase prices which have an adverse effect on consumers and can have a strategic impact on the viability of certain industries, suppliers and retailers.
Changes in consumer tastes	Consumers changing their buying habits as a result of sustainability or climate-related factors may also have a strategic impact on certain industries or retailers (switching to a more sustainable product or service, such as replacing a car that uses petrol with an electric car, could become a more significant transition risk for a motor manufacturer). Inevitably, should an entity pursue a course of action that is at odds with the values of its stakeholders (such as failing to curb emissions or continuing with single-use plastics) this could ultimately lead to going concern problems.

Clearly, this is just scratching the surface of the problems faced by organisations as they attempt to navigate the 21st century. For auditors, these challenges are just as acute when

tasked with identifying the risk of material misstatement in a set of financial statements. The IAASB audit practice alert **The Consideration of Climate-Related Risks in an Audit of Financial Statement** (IAASB, 2020) outlines some of the auditing standards that could be affected by climate-related risks and opportunities:

- ISA 315 on **risk assessments** – this is a fundamental standard for auditors as it drives the audit approach, focusing on climate-related risks that are relevant to the entity (including its supply chain) and any components.

The standard also requires auditors to consider how **climate-related risks** might be present within the **industry** itself (such as the innovation required to respond to consumer demand for alternatives to plastic bottles in the drinks industry), the **regulatory framework** (such as the need to meet the requirements of the Paris Accord) and other **external factors** (such as the requirements to secure green finance).

In some extreme cases, when applying ISA 570, a climate-related risk could give rise to an event or condition that may cast significant doubt on the entity's ability to continue as a **going concern**.

- ISAs 320 and 450 – **qualitative materiality factors** may be affected by the demands of users of financial statements with increased focus on climate-related risks and opportunities, leading to changes in what is now considered to be material and what they might wish to see highlighted as significant when making decisions which rely on climate-related factors.
- ISA 250 A on **laws and regulations** which are now enhanced since the launch of the ISSB and other reporting methodologies (although there is no mandatory assurance of ESG information for now).
- ISA 540 (Revised) regarding **estimation uncertainty** over valuations and liabilities affected by climate-related risks and opportunities for assets such as mineral resources and reserves and PPE.

Accounting estimates may become more **complex** due to climate change (for example, the valuation of a pension fund may be affected by the adequacy or otherwise of climate-related disclosures) or more **subjective** if longer time frames are required or use different data to what was originally used.

- ISA 620 may require the appointment of even more **specialised forms of expert** especially if operating in an industry where ESG issues are more relevant (such as coal, oil or gas).
- Reporting using ISAs 700, 701 and 720 that reflects the **new disclosure landscape** as well as those items that may now be considered **key audit matters** (for example, for clients in the energy industry, auditors might need to deploy significant levels of judgement when considering any planned transition to renewable sources or the impact on valuations for stranded assets).

It should also be noted that as audit clients add increasing amounts of disclosures to their annual reports, the amount of audit effort required for the auditor to read and evaluate this **other information** becomes greater in order to identify any material inconsistencies.

(IAASB, 2020)

3.3 Planning the audit

Social and environmental issues impact on the planning of the audit in two ways:

- **Understanding the entity**
- **Inherent risk assessment**

As part of their knowledge of the business, the auditor should ensure they are competent by possessing an awareness of any environmental regulations the business is subject to, and any key social issues arising in the course of the business.

Questions which the auditor may need to ask include the following:

- Does the entity operate in an industry that is exposed to significant environmental risk that may adversely affect the financial statements of the entity?
- What are the environmental issues in the entity's industry in general?
- Which environmental laws and regulations are applicable to the entity?
- Have any regulatory actions been taken or reports been issued by enforcement agencies that may have a material impact on the entity and its financial statements?
- Is there a history of penalties and legal proceedings against the entity or its directors in connection with environmental matters? If so, what were the reasons for such actions?

The auditor may also be able to obtain knowledge of this aspect of the business by reading the entity's procedures manual or reviewing any quality control documentation they have relating to standards. The auditor may be able to review the results of any environmental audits undertaken by the company.

This information will then form part of the assessment of **inherent risk**.

3.4 Substantive procedures

Social and environmental issues, particularly environmental issues, may impact on the financial statements in a number of ways. Some examples are given below.

- **Provisions** (for example, for site restoration, fines/compensation payments)
- **Contingent liabilities** (for example, in relation to pending legal action)
- **Asset values** (issues may impact on impairment or purchased goodwill/products)
- **Capital/revenue expenditure** (costs of clean up or meeting legal standards)
- **Development costs** (new products)
- **Going concern issues** (considered below under audit reviews)

The auditor will have to bear in mind the effects of social or environmental issues on the financial statements when designing **audit procedures**. We will now look at some potential audit procedures that would be relevant in three of the key areas above.

3.4.1 Asset values

The key risk that arises with regard to valuation is that assets might be impaired. IAS 36, *Impairment of Assets*, which you have covered in your Financial Reporting studies, requires an impairment review to be undertaken with regard to non-current assets if certain indicators of impairment exist. IAS 36 gives a list of indicators that an impairment review is required. The indicator relevant in this instance is a **significant change in the technological market, legal or economic environment of the business in which the assets are employed**.

The following procedures to identify asset impairments may be used:

- Inquire about any **planned changes in capital assets**, for example, in response to changes in environmental legislation or changes in business strategy, assess their influences on the valuation of these assets or the company as a whole.
- Inquire about **policies and procedures** to assess the need to write-down the carrying amount of an asset in situations where an asset impairment has occurred due to environmental matters.
- Inquire about **data gathered** on which to base estimates and assumptions developed about the most likely outcome to determine the write-down due to the asset impairment.
- **Inspect documentation** supporting the amount of the possible asset impairment and discuss such documentation with management.
- For any asset impairments related to environmental matters that existed in previous periods, consider whether the assumptions underlying a write-down of related carrying values **continue to be appropriate**.

Other procedures might also include the following:

- **Review of the board minutes** for indications that the environmental regulatory environment has changed
- **Review of relevant trade magazines or newspapers** to assess whether any significant adverse changes have taken place

If an impairment review has been undertaken, and the valuation of the asset has been adjusted accordingly, the auditor should **audit the impairment review**.

3.4.2 Provisions and contingencies

Guidance on accounting for provisions and contingencies is provided in IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* which you have studied in Financial Reporting.

The IAS provides some helpful examples of environmental issues that result in **provisions** being required. These include circumstances where the company has:

- **an environmental policy such that the parties would expect the company to clean up contamination; or**
- **broken current environmental legislation.**

The auditor needs to be aware of any circumstances that might give rise to a provision being required, and then apply the recognition criteria to it.

Social and environmental issues may also give rise to **contingencies**. In fact, a contingent liability is likely to arise as part of a provisions review, where items highlighted do not meet the recognition criteria for a provision.

The following procedures may be performed to assess the **completeness** of liabilities, provisions and contingencies arising from environmental matters:

- Inquire about policies and procedures implemented to help **identify** liabilities, provisions and contingencies.
- Inquire about events or conditions that may give rise to liabilities, provisions or contingencies, for example:
  - violation of environmental laws and regulations;
  - penalties arising from violations of environmental laws and regulations; and
  - claims and possible claims for environmental damage.
- If site clean-up costs, future removal or site restoration costs or penalties have been identified, inquire about **any related claims or possible claims**.
- Inquire about, read and evaluate correspondence from regulatory authorities.
- For property abandoned, purchased or closed during the period, inquire about requirements for site clean-up or intentions for future removal and site restoration.
- Perform **analytical procedures** and consider the relationships between financial information and quantitative information included in the entity's environmental records (for example the relationship between raw material consumed or energy used, and waste production or emissions, taking into account the entity's liabilities for proper waste disposal or maximum emission levels).



Interactive question 2: Provisions

Mole Mining Company Ltd carries out quarrying activities. It has recently obtained planning permission to mine at a new location. A condition of the planning consent is that environmental damage caused by the opening of the mine must be remedied on completion of quarrying. The company must also remedy any damage caused by the subsequent mineral extraction.

At the year end the mine has been opened but no mining has taken place.

Requirement

What are the factors which the auditor needs to consider in respect of any possible provision for environmental damage?

See **Answer** at the end of this chapter.

3.5 Audit reviews

Key issues include:

- going concern
- non-compliance with laws and regulations

Environmental and social issues can impact on the ability of the company to continue as a **going concern**. ISA 570 (Revised), *Going Concern* is covered in Chapter 8.

The auditors' responsibility with regard to laws and regulations is set out in ISA 250, *Consideration of Laws and Regulations in an Audit of Financial Statements*. You have studied this topic in Audit and Assurance at Professional Level.

In the context of environmental and social auditing, environmental obligations would be core in some businesses (for example, oil and chemical companies); in others they would not. ISA 250 talks of laws that are **'central'** to the entity's ability to carry on business.

Clearly, in the case of a company which stands to lose its operating licence to carry on business in the event of non-compliance, environmental legislation is central to the business.

In the case of social legislation, this will be a matter of **judgement** for the auditor. It might involve matters of employment legislation, health and safety regulation, human rights law and such matters which may not seem core to the objects of the company, but which permeate the business due to the needs of employees.

Note: A number of points in section 3 are based on the IAASB's IAPS 1010 *The Consideration of Environmental Matters in the Audit of Financial Statements.* Although IAPS 1010 has now been withdrawn, these points offer useful guidance.

Professional skills focus: Structuring problems and solutions

Systematically working through all the various elements of a set of financial statements will help you identify the implications of both social and environmental factors for the auditor.

4 Social audits

Section overview

- Social audits determine whether the company is acting in a socially responsible manner and in accordance with objectives set by management.
- Assurance on social audits is not likely to be part of the financial audit, but assurance on such information may still be appropriate, although there is no defined methodology to follow.

4.1 Social audits

The content of sustainability reports varies and may include environmental, social, and governance matters. At present there is no set sustainability assurance framework to follow

(although the IAASB project on 'Assurance on Sustainability Reporting' is working to address this), but there are several voluntary frameworks available to auditors.

As you have already seen, the learning materials contain plenty on this matter for the 'E' of ESG and we have also seen how governance reporting mechanisms work to address the 'G': what can be done specifically to address the 'S' in ESG?

In its 2022 document 'Restoring trust in audit and corporate governance' BEIS (now split into the DBT, DSIT and DESNZ) observed the following:

'…successive sudden and major corporate collapses have caused serious economic and social damage in the UK, calling aspects of the corporate reporting and governance system into question.'

While the idea of **understanding the social impact of companies on society** is nothing new, the fact that companies are still causing social damage which may have systemic root causes means that it is still relevant to us in reporting terms. In its report, the UK government believes that better transparency leads to increased accountability, meaning that companies must be supported in **regularly reviewing** their social impact and **reporting** this for the public to be able to see.

This reporting can be undertaken in a variety of ways. Often this takes the form of setting objectives and using metrics and targets to determine performance which can then be reported, either in an annual report or in a separate document. The process of **confirming whether a company has achieved its targets** may fall within a **social audit** that a company carries out, either as a **standalone engagement** or as **part of something broader**. We have already discussed the importance of assurance for ESG reporting and this is another illustration of how such assurance could add to the credibility of the ESG information in the public domain.



Context example: Hong Kong Listing Rules – Environmental, Social and Governance Reporting Guide

*Companies subject to the listing requirements in Hong Kong are required to follow an approach for disclosing their ESG information which starts with a section on **mandatory disclosures** regarding the following:*

- ***Governance** structure (how the board oversees ESG issues, how such matters are managed by the board and the board's progress against ESG goals and targets)*
- *Confirmation of the company's reporting principles on how it determines what is **material**, the methodology for reporting **quantitative** data and information about any changes to aid **consistency** of comparison*
- *Narrative reporting of the **boundaries** that govern the information disclosed (again, including changes to aid comparison)*

The guidance then includes a summary of environmental and social areas including general disclosures and KPIs which are not mandatory but are required to follow a 'comply or explain' approach (in other words, if something has not been disclosed, the reason for this non-disclosure needs to be reported instead and users can make up their own minds).

Environmental matters to be addressed are as follows:

- *Emissions and other waste*
- *Resource usage including energy, water and packaging*
- *Climate-related issues which have an impact on the company and what the company is doing to manage these issues*

There are many more social categories that the guidance requires to be addressed – the following table shows the KPIs that accompany the general information to be disclosed on the company's policies and procedures for each aspect (although it is worth noting that some disclosures are purely narrative, such as those relating to descriptions of steps or measures taken in relation to certain initiatives).

Category	***Aspect***	***Disclosure***
Employment and labour practices	*Employment*	*Total workforce by gender, employment type (for example, full- or part-time), age group and geographical region.* *Employee turnover rate by gender, age group and geographical region.*
	Health and safety	*Number and rate of work-related fatalities which occurred in each of the past three years including the reporting year.* *Lost days due to work injury.* *Description of occupational health and safety measures adopted, and how they are implemented and monitored.*
	Development and training	*The percentage of employees trained by gender and employee category (eg, senior management, middle management).* *The average training hours completed per employee by gender and employee category.*
	Labour standards	*Description of measures to review employment practices to avoid child and forced labour.* *Description of steps taken to eliminate such practices when discovered.*
Operating practices	*Supply chain management*	*Number of suppliers by geographical region.* *Description of practices relating to engaging suppliers, number of suppliers where the practices are being implemented, and how they are implemented and monitored.* *Description of practices used to identify environmental and social risks along the supply chain, and how they are implemented and monitored.* *Description of practices used to promote environmentally preferable products and services when selecting suppliers, and how they are implemented and monitored.*

Category	Aspect	Disclosure
	Product responsibility	*Percentage of total products sold or shipped subject to recalls for safety and health reasons.* *Number of products and service related complaints received and how they are dealt with.* *Description of practices relating to observing and protecting intellectual property rights.* *Description of quality assurance process and recall procedures.* *Description of consumer data protection and privacy policies, and how they are implemented and monitored.*
	Anti-corruption	*Number of concluded legal cases regarding corrupt practices brought against the issuer or its employees during the reporting period and the outcomes of the cases.* *Description of preventive measures and whistle-blowing procedures, and how they are implemented and monitored.* *Description of anti-corruption training provided to directors and staff.*
Community	*Community investment*	*Focus areas of contribution (eg, education, environmental concerns, labour needs, health, culture, sport).* *Resources contributed (eg, money or time) to the focus area.*

*Companies may seek **independent assurance** to strengthen the credibility of the ESG information disclosed. Where independent assurance is obtained, a company should describe the level, scope and processes adopted for the assurance given clearly in the ESG report.*

(HKEX, 2023)

5 Implications for assurance services

Section overview

Environmental and social issues provide an opportunity for the auditor to provide other assurance services.

5.1 *ESG assurance*

The content of sustainability reports varies and may include environmental, social, and governance (ESG) matters. As discussed earlier in these materials, at the time of writing there is still no issued assurance framework to follow, although you should stay alert to developments in all of the following areas:

- *The ISSB standards IFRS S1 and S2*
- *The TCFD and SECR approaches followed in the UK*
- *The EU's CSRD*
- *The US SEC proposals on climate-related disclosures*
- *The IAASB project on assurance for sustainability reporting (Proposed International Standard on Sustainability Assurance (ISSA) 5000 was issued in 2023 and is expected to be finalised in late 2024)*

However, in the absence of anything formal, there are still a number of voluntary frameworks available to auditors when reviewing ESG performance.



Context example: The benefits and drawbacks of ESG assurance

It is likely that at some stage in your studies, you will have considered something like this:

'What are the benefits and drawbacks of deciding to pay for some form of assurance on published information?'

Common points that could be made in relation to this question include the following:

Benefits of assurance	***Drawbacks of assurance***
Increased credibility of the information from a review conducted by an independent expert leading to improved decision-making. *Enhanced reputation of the organisation and its management in the eyes of key stakeholders such as customers, investors and regulators.* *The process might identify areas where improvements could be made in current systems and procedures.* *Should assurance be required in the future, the necessary systems will already be in place.*	*The cost of paying for the assurance on something that may be working fine as it is.* *The cost of setting up systems that are required to produce the information under scrutiny.* *The time taken to understand the required layout and format of the information under scrutiny and to prepare it accordingly.*

Implicit in this discussion is the fact that if assurance is a choice, would you choose to have it done? That's why this discussion is valid for companies that are exempt from audit but may still wish to have one. What about ESG information – we are agreed that reporting such information is desirable but can we also assume that it should be subject to some form of assurance?

The World Business Council for Sustainable Development (WBCSD) is an organisation that represents the interests of companies across the world and believes that assurance should be sought on ESG information. In 2019, WBCSD published a report in conjunction with ICAEW called 'A buyer's guide to assurance on non-financial information'. The executive summary states the following:

'Independent assurance can enhance the credibility of, and trust in, information that organizations disclose in their corporate reports. By providing external validation of disclosures and of the processes undertaken in producing those disclosures, assurance can increase the confidence of capital providers and other stakeholders using non-financial information to guide their decision-making.'

The key words are 'credibility', 'trust', 'validation', 'confidence' and 'decision-making' which reiterates the benefits of assurance as stated above. So why is ESG assurance not yet mandatory? As well as reasons to do with time and money, we have already discussed earlier in

these materials the fact that (at the time of writing at least) there are no defined standards for providing assurance on ESG information and as such, assurance providers might find the process hard to implement due to having no systematic process to support their work in the same way as they have with ISAs and ISAEs.

However, such work is undertaken in Italy, France and Germany and along with the imminent launch in the US of mandatory ESG reporting as part of the audited financial statements, it is surely only a matter of time before assurance on ESG becomes a legal requirement in the UK. At the time of writing, there is an IAASB project on 'Assurance on Sustainability Reporting' which itself can draw on the experiences of providing assurance under the Extended External Reporting (EER) umbrella – auditors are used to reviewing the audited financial statements in the context of other information using ISA 720 The Auditor's Responsibilities Relating to Other Information: should the reporting landscape adapt to combine financial and non-financial information in one place, the auditor will no doubt adapt as well, making ongoing dialogue between auditors and ESG experts essential.

(WBCSD, 2019)

5.2 Types of service

5.2.1 Assurance on sustainability reporting

Auditors can provide a variety of assurance services in respect of environmental and social issues. We have looked at assurance engagements in detail in Chapter 25, therefore in this chapter we will consider engagements specifically related to sustainability issues.

If directors issue an environmental and social report, it may contain figures and statements that are verifiable.

The earlier sections of this chapter have highlighted the growing importance of environmental and sustainability reporting. The credibility of this information can be enhanced by an assurance process. In the same way that there is no one generally accepted set of rules for environmental and sustainability reporting, there is currently no specific standard that applies to the related assurance

assignments. However, ISAE 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information* is relevant and firms may also make use of the assurance standard AA1000AS (*Assurance Standard)*, issued by AccountAbility.

AccountAbility is a global non-profit network that works with businesses and governments to promote accountability innovations that advance sustainable development. In 2018 it revised its reporting standard, AA1000 *Accountability Principles,* which establishes four principles for sustainability reporting.

Inclusivity	For an organisation that accepts its accountability to those on whom it has an impact and who have an impact on it, inclusivity is the participation of stakeholders in developing and achieving an accountable and strategic response to sustainability.
Materiality	Materiality is determining the relevance and significance of an issue to an organisation and its stakeholders. A material issue is an issue that will influence the decisions, actions and performance of an organisation or its stakeholders.

Responsiveness	Responsiveness is an organisation's response to stakeholder issues that affect its sustainability performance and is realised through decisions, actions and performance, as well as communication with stakeholders.
Impact	Impact is the effect of behaviour, performance and/or outcomes, on the part of individuals or an organisation, on the economy, the environment, society, stakeholders or the organisation itself. Material topics have potential direct and indirect impacts – which may be positive or negative, intended or unintended, expected or realised, and short, medium or long term.

Much of the guidance in the AA1000AS standard is very similar to ISAE 3000 (Revised), but there are areas where it gives more specific guidance:

- The **objective of the engagement** is to evaluate and provide conclusions on:
  - the nature and extent of adherence to the AA1000 principles; and, if within the scope agreed with the reporting company
  - the quality of publicly disclosed information on sustainability performance.
- Any **limitation in the scope** of the disclosures on sustainability, the assurance engagement or the evidence gathering shall be addressed in the assurance statement and reflected in the report to management if one is prepared.
- There is no set wording for the assurance statement but the following is listed as the minimum information required:
  - Intended users of the assurance statement
  - The responsibility of the reporting organisation and of the assurance provider
  - Assurance standard(s) used, including reference to AA1000AS (2008)
  - Description of the scope, including the type of assurance provided
  - Description of disclosures covered
  - Description of methodology
  - Any limitations
  - Reference to criteria used
  - Statement of level of assurance
  - Findings and conclusions concerning adherence to the AA1000 *Accountability Principles* of Inclusivity, Materiality, Responsiveness and Impact (in all instances)
  - Findings and conclusions concerning the reliability of specified performance information (for Type 2 assurance only)
  - Observations and/or recommendations
  - Notes on competencies and independence of the assurance provider
  - Name of the assurance provider
  - Date and place

Note: *There are differences in the way this information can be reported:*

- *Type 1 reports – The assurance provider evaluates the nature and extent of an organisation's adherence to the four AA1000 Accountability Principles. The focus here is on providing stakeholders with assurance over the way an organisation manages sustainability performance and communicates this in its sustainability reporting, without verifying the reliability of the reporting information. As such, the assurance provider focuses on the systems and processes the organisation has in place to ensure it adheres to the Principles for sustainability reporting.*

- *Type 2 reports – The assurance provider evaluates the nature and extent of an organisation's adherence to the Principles but also evaluates the reliability of specified sustainability performance information.*

Professional skills focus: Concluding, recommending and communicating

Although there are obvious differences in the type of engagement undertaken here and the way the statement is laid out, you should note the similarities to the auditor's report (such as the use of conclusions, methodology and responsibilities) which underlines the importance of being able to explain your findings whatever the circumstances.

Interactive question 3: Assurance services

Your audit client, Naturascope Ltd, is a health food and homeopathic remedies retailer, with a strong marketing emphasis on the 'natural' elements of the products and the fact that they do not contain artificial preservatives.

The directors have decided that it would benefit the company's public image to produce a social and environmental report as part of their annual report. There are three key assertions which they wish to make as part of this report:

(1) Goods/ingredients of products for sale in Naturascope have not been tested on animals.

(2) None of Naturascope's overseas suppliers use child labour (regardless of local laws).

(3) All Naturascope's packaging uses recycled materials.

The directors have asked the audit engagement partner whether the firm would be able to produce a verification report in relation to the social and environmental report.

Requirements

3.1 Identify and explain the matters the audit engagement partner should consider in relation to whether the firm can accept the engagement to report on the social and environmental report.

3.2 Comment on the matters to consider and the evidence to seek in relation to the three assertions.

See **Answer** at the end of this chapter.

5.3 Due diligence and sustainability

Due diligence engagements were covered earlier but this is another area where there is an increasing emphasis on environmental and other corporate responsibility issues.

6 Integrated reporting

Section overview

Integrated reporting is borne out of an increasing demand for companies to disclose a more holistic view of how a company creates value. The Integrated Reporting Framework seeks to determine value creation through the communication of qualitative and quantitative

performance measures. However, since the creation of the ISSB in 2021, the concept of integrated reporting is now part of the TCFD approach used in the UK and beyond.

6.1 *Rise of integrated reporting*

In recent years there has been increasing demand for senior management in large organisations to provide greater detail on how they use the resources at their disposal to create value. Traditional corporate reporting which focuses on financial performance can only tell part of the story. ***Integrated reporting*** *is concerned with conveying a* ***wider message*** *of an entity's performance. It is not solely centred on profit or the organisation's financial position but instead explains how its activities interact to* ***create value*** *over the short, medium and long term.*

Integrated reporting (<IR>) was introduced in 2010 by the International Integrated Reporting Council (IIRC). The <IR> framework refers to an organisation's resources as 'capitals'. Capitals are used to assess value creation. Increases or decreases in these capitals indicate the level of value created or lost over a period. Capitals cover various types of ***resources*** *found in a standard organisation. These may include financial capitals, such as the entity's financial reserves, through to its intellectual capital which is concerned with intellectual property and staff knowledge. These are covered in more detail in the next section.*

In 2016, Deloitte undertook research into 100 UK listed companies and published its findings in the report A clear vision: Annual report insights. The report found that 12 companies specifically referred to Integrated Reporting in their annual reports in 2016, compared to seven the previous year, while four companies, up from only two the year before, indicated that their annual reports were prepared in line with the Principles of the Integrated Reporting Framework. By 2020, the IIRC reported as part of its ten-year celebrations that <IR> had been embedded by over 2,500 companies in more than 70 countries, with over 40 stock exchanges referring to it in their guidance.

Since then, there have been many ***developments*** *in the area of <IR>. You will have seen in an earlier chapter that in 2021 the IIRC merged with the Sustainability Accounting Standards Board (SASB) to form the Value Reporting Foundation (VRF), which along with the Climate Disclosure Standards Board (CDSB) was consolidated to become the ISSB following COP 26 in 2021. However, the underpinning IIRC principles of both sustaining and creating value live on through the TCFD framework.*

(Deloitte, 2016; IIRC, 2020)

6.2 Types of capital

The integrated reporting framework classifies the capitals as:

Capital	Comment
Financial capital	The pool of funds that is: • available to an organisation for use in the production of goods or the provision of services; and • obtained through financing, such as debt, equity or grants, or generated through operations or investments.
Manufactured capital	Manufactured physical objects (as distinct from natural physical objects) that are available to an organisation for use in the production of goods or the provision of services. Manufactured capital is often created by other organisations, but includes assets manufactured by the reporting

	organisation for sale or when they are retained for its own use
Intellectual capital	Organisational knowledge-based intangibles
Human capital	People's competencies, capabilities and experience, and their motivations to innovate
Natural capital	All environment resources and processes that support the prosperity of an organisation
Social and relationship capital	The institutions and the relationships within and between communities, groups of stakeholders and other networks, and the ability to share information to enhance individual and collective wellbeing

(IFRS Foundation, 2024)

6.2.1 Natural Capital Committee

Since 2012, the UK Government has called on the services of the Natural Capital Committee (NCC) for advice regarding the natural capital of the UK.

(UK Government, 2020)



Definition

Natural capital: This is defined by the NCC in terms of forests, rivers, mountains, minerals, fish populations and even oceans.

The NCC advises the UK Government on the sustainable use of its natural capital and also attempts to quantify the benefits derived by the nation from its natural assets, such as food, recreation, clean water, hazard protection and clean air. These benefits are reported by the Office for National Statistics in its annual UK natural capital accounts. Extracts from the 2021 release include the following:

- natural capital asset values were estimated as almost £1.2 trillion
- UK land-use emits more greenhouse gases than it removes
- renewable power generation is 21 times larger in 2020 than it was in 2003

The authors of the accounts conclude their findings by explaining their methodology and observing that their approach is based on a number of estimates and guidelines used by the United Nations. There is no assurance provided for this data, which perhaps says more about the challenges associated with generating this kind of information in a reliable and meaningful way than anything else.

(Office for National Statistics, 2021)

6.3 Interaction of capitals

Capitals continually interact with one another, and an increase in one may result in a decrease in another. For example, a decision to purchase a new IT system would improve an entity's 'manufactured' capital while decreasing its financial capital in the form of its cash reserves.

6.4 Short term vs long term

Integrated reporting forces management to balance the organisation's short-term objectives against its longer-term plans. Business decisions which are solely dedicated to the pursuit of increasing profit (financial capital) at the expense of building good relations with key stakeholders such as customers (social capital) are likely to hinder value creation in the longer term.

6.5 Monetary values

Integrated reporting is not aimed at attaching a monetary value to every aspect of the organisation's operations. It is fundamentally concerned with evaluating value creation through the communication of qualitative and quantitative performance measures. Key performance indicators are effective in communicating performance.

6.6 Materiality

When preparing an integrated report, management should disclose matters which are likely to impact on an organisation's ability to create value. Both internal and external threats regarded as being materially important are evaluated and quantified. This provides users with an indication of how management intend to combat risks should they materialise.

6.7 Implications of introducing integrated reporting

Implications	Comment
IT costs	The introduction of integrated reporting will most likely require significant upgrades to be made to the organisation's IT and information system infrastructure. Such developments will be needed to capture KPI data. Due to the broad range of business activities reported on using integrated reporting (customer, supplier relations, finance and human resources) it is highly likely the costs of improving the infrastructure will be significant.
Time/staff costs	The process of gathering and collating the data for inclusion in the report is likely to require a significant amount of staff time. This may serve to decrease staff morale if they are expected to undertake this work in addition to existing duties. This may require additional staff to be employed.
Consultancy costs	Organisations producing their first integrated report may seek external guidance from an organisation which provides specialist consultancy on integrated reporting. Consultancy fees are likely to be significant.
Disclosure	There is a danger that organisations may volunteer more information about their operational performance than intended. Disclosure of planned strategies and key performance measures are likely to be picked up by competitors.

6.8 Auditing integrated reports

One central problem faces auditors auditing integrated reports: how to measure the effect of one variable on another, when no independent variable can be isolated? This is the problem of the **complexity** of the social world. One might, for instance, decide to measure the performance of a school in terms of the examination performances of its students. The immediate difficulty is that a student's performance is not simply the result of one variable (the school) but results from a large number of different factors, such as the student's level of education on entering the school, the educational environment in the student's home life, the amount of time available to the student for study rather than paid work (the list goes on).

It is thus necessary to take great care when designing performance measures to take into account the effect of other factors on the reported metric. In practice the auditor will often **adjust** figures to take into account the effect of other variables.

Interactive question 4: Auditing performance information

Two hospitals, North Hospital and South Hospital, are required to report information in relation to the mortality of patients undergoing cardiothoracic (heart) surgery. The following information was reported.

Hospital	Number of patients	Number of planned procedures	Number of deaths
North	763	610	23
South	549	494	19

Of the deaths experienced in North Hospital, 12 were patients who died during planned procedures (the rest were emergency procedures). At South Hospital 7 patients died during planned procedures.

Requirement

Analyse the performance of the two hospitals and identify the better performing hospital.

See **Answer** at the end of this chapter.

6.8.1 Incentives and manipulation

An important difficulty in the use of performance information is that of **manipulation** of the reported figures (indeed, this is part of the reason for this information being subject to audit in the first place). This could take the form of straightforwardly doctoring the report figures, but perhaps more damaging is the risk that those being measured change their **behaviour** in order to improve the reported figures, without actually improving performance. This is the problem of **dysfunctional behaviour**.

A simple example of this is a measure of the speed in answering letters, which is not balanced by a measure of the quality of responses. This might encourage people to answer letters quickly, but badly.

Context example: Healthcare targets

A public sector healthcare provider was set a target for the maximum length of time a patient would have to wait in emergency departments before being seen by a doctor. The target was for patients to be seen within four hours of being admitted.

The response in some departments was simply to leave non-urgent patients to wait outside in ambulances. Patients still in the ambulance were not yet technically 'admitted' to the department, so the time in the ambulance did not count towards the four-hour target even though it was clearly detrimental to patient care.

6.9 Planning and conducting the audit of performance information

The first step is to **identify** the **objectives** against which the performance of the organisation is to be evaluated. The question the auditor seeks to answer is simply: is the organisation achieving its objectives?

Objectives will usually already have been determined by the organisation itself (or by a higher level of government). The organisation itself may already have determined its own specific numerical measures (KPIs). It may then be determined whether a targeted (aimed for) or standard (minimum acceptable) level of performance has been achieved on the basis of these

measures. Alternatively, objectives can take the form of general verbal statements, such as 'to improve performance against quality indicators', from which numerical measures may then be derived by the auditor.

Having identified the objectives, the auditor plans **procedures** to test whether they have been achieved. The procedures used may include audit-type procedures, but may also involve an element of social-scientific research in the form of both quantitative and qualitative research methods.

Interactive question 5: Procedures

The Department of Transport of Proculsia is currently undertaking a large infrastructure project to build a new underground metro system in the country's second largest city, Pravus. The supreme auditor of Proculsia has been tasked with conducting a study of the Department's role in developing the project and funding it.

Considerable local media attention has been directed at the progress of the project, focusing on the report of a whistleblower who claimed that delays mean that it will not be completed on time. In response the Department has stated that the project will be completed within its budget of $14 billion, and by a deadline of five years' time.

Requirements

Identify procedures that should be performed in order to assess the following:

(a) The Department's management of its financial exposure on the project

(b) The Department's confidence that it will meet the prescribed project schedule

See **Answer** at the end of this chapter.

6.10 Concluding and reporting

The auditor expresses a conclusion on the entity's achievement of its objectives. There is no specific form of words that must be used.

The report may take the form of an **integrated report** of performance against the entity's objectives. Such a report would present the auditor's conclusion alongside the performance information itself. The conclusions of other audit processes may also be presented within the report, such as an audit conclusion on value for money.

If the auditors do not themselves produce the integrated report then it will be necessary for them to ensure that the performance information included in the report is consistent with the information on which they have given a conclusion.

Research carried out by ACCA in South Africa, where integrated reporting is mandatory for listed entities, suggests that although there is an appetite for third party assurance to be provided on integrated reports, the skills required, coupled with the associated costs and the limited areas on which assurance could actually be placed, do not suggest that this will be easy to implement (Maroun and Atkins, 2015).

Context example: National Audit Office (NAO) report on COVID-19 business grant schemes

The NAO is the UK's independent public spending watchdog, supporting Parliament in holding government to account and helping to improve public services through high quality audits. Its value for money (VfM) reports examine government expenditure in order to form a judgement on whether value for money has been achieved with public money.

In 2023, the NAO published its report on the government's COVID-19 business grant schemes. The report contains the following:

- *Background*
- *Scope*
- *Conclusions*
- *Key facts*

Background

Over the course of the COVID-19 pandemic the government put in place a series of restrictions on daily life. While the restrictions varied over time and between different parts of the country, all had an impact on businesses, many of which were forced to temporarily close or curtail their operations. The government announced in early March 2020 that it would provide grants to support smaller businesses in England. The grants were to be administered by local authorities.

Between March 2020 and December 2021 the government launched eight separate grant schemes in three cohorts. By the end of March 2022 the government had provided £26.9 billion of funding across the schemes to local authorities, of which local authorities had distributed £22.6 billion to businesses.

HM Treasury (HMT) decided the key features of each scheme, including the high-level eligibility criteria. In doing so, HMT worked with the Department for Business, Energy & Industrial Strategy (BEIS) and the Department for Levelling Up, Housing & Communities (DLUHC). BEIS was responsible for the implementation of the schemes, working through local authorities, and was accountable for the use of public money. On receipt of funding from BEIS, over 300 local authorities across England were responsible for making grant payments to businesses in their areas that met the eligibility criteria. In February 2023 the newly created Department for Business and Trade (DBT) took over responsibility from BEIS.

In November 2021, the Comptroller and Auditor General (C&AG) qualified his opinion on BEIS's 2020-21 financial statements because, in part, of concerns over the levels of error and fraud estimated in these schemes. In May 2022 the Public Accounts Committee reported its concerns regarding the estimated levels of error and fraud associated with the schemes. It questioned whether BEIS had made a robust enough assessment of the overall levels of error and fraud.

Scope

This report examines how effectively the government set up and delivered the grant schemes. Early in the pandemic ministers made decisions to accept additional risks. We have recognised in our other work on the COVID-19 response that the government needed to make urgent decisions with limited information to respond to an unprecedented public health emergency. However, even in emergency situations we expect officials to:

- *consider risks at the start, and put in place basic controls*
- *improve their understanding of risks and the effectiveness of controls over time, refining the programme accordingly*
- *when possible carry out proportionate evaluation of the programme, including identifying lessons that can be applied in the future*

This report assesses how BEIS and HMT performed against these expectations. It places particular emphasis on identifying lessons and steps the government can take to enhance its preparedness for future emergencies.

Conclusions

The government achieved its primary objective to deliver financial support to businesses quickly during the COVID-19 pandemic. Working through local authorities, BEIS distributed

£22.6 billion via 4.5 million payments to businesses in two years. It did this at a time when local authorities and BEIS were also having to deliver on other pandemic-related priorities. BEIS prioritised speed over conducting pre-payment checks for the schemes launched at the start of the pandemic, but did not then act quickly to conduct follow-up checks.

The delay in following up has made the recovery of amounts wrongly paid more difficult to achieve. DBT, which is now responsible for these schemes, has still to report on the impact of these grants, for example in terms of maintaining jobs and how much support might have been given to businesses that did not need it. Without such an assessment an overall judgement about the value for money of the schemes remains open.

BEIS's experience of working at speed with local authorities to channel financial support during the COVID-19 pandemic offers important lessons should central government ever find itself in a similar crisis situation. HMT and DBT should ensure they use the lessons identified in this report and their own reviews when updating the government contingency plans to respond to future national emergencies.

Key facts

£22.6 billion	*grants paid to businesses between March 2020 and March 2022*
484,000	*number of grant payments worth £6 billion in total paid by local authorities within a month (March 2020 to April 2020) of the first grant scheme launching*
314	*local authorities responsible for making grant payments in March 2020*
Eight	*separate grant schemes intended to support businesses through the COVID-19 pandemic*
4,529,000	*number of grant payments made via the schemes to businesses in the period March 2020 to March 2022*
£1.1 billion	*estimated losses occurring as a result of error and fraud in business grant schemes, 2020-21 and 2021-22 (just under 5% of the value of grants paid to businesses)*
£11.4 million	*of losses recovered by mid-February 2023 (around 1% of estimated losses)*
£142 million	*additional funding given to local authorities for administering the grant schemes in 2020-21 (a further £68 million has been or is expected to be given for administering grants paid out in 2021-22)*

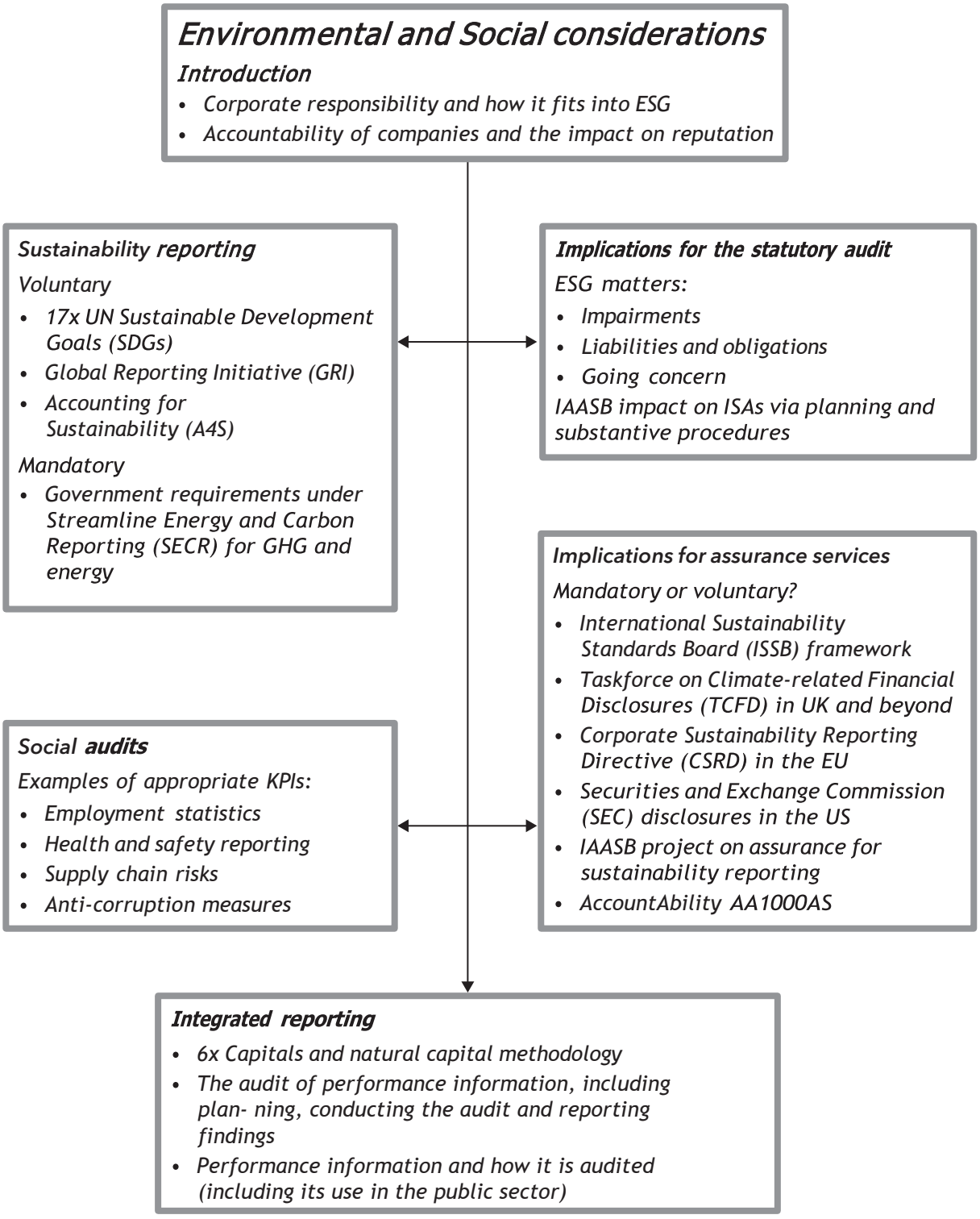
(*National Audit Office, 2023)*



Professional skills focus: Applying judgement

Reviewing performance information should have demonstrated the importance of considering both quantitative and qualitative information when trying to assess something as complicated as determining value for money.

Summary


Environmental and Social considerations
Introduction
• Corporate responsibility and how it fits into ESG
• Accountability of companies and the impact on reputation
Sustainability reporting
Voluntary
• 17x UN Sustainable Development Goals (SDGs)
• Global Reporting Initiative (GRI)
• Accounting for Sustainability (A4S)
Mandatory
• Government requirements under Streamline Energy and Carbon Reporting (SECR) for GHG and energy
Implications for the statutory audit
ESG matters:
• Impairments
• Liabilities and obligations
• Going concern
IAASB impact on ISAs via planning and substantive procedures
Implications for assurance services
Mandatory or voluntary?
• International Sustainability Standards Board (ISSB) framework
• Taskforce on Climate-related Financial Disclosures (TCFD) in UK and beyond
• Corporate Sustainability Reporting Directive (CSRD) in the EU
• Securities and Exchange Commission (SEC) disclosures in the US
• IAASB project on assurance for sustainability reporting
• AccountAbility AA1000AS
Social audits
Examples of appropriate KPIs:
• Employment statistics
• Health and safety reporting
• Supply chain risks
• Anti-corruption measures
Integrated reporting
• 6x Capitals and natural capital methodology
• The audit of performance information, including plan- ning, conducting the audit and reporting findings
• Performance information and how it is audited (including its use in the public sector)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain the term 'corporate responsibility' and why it is becoming increasingly important to companies and their stakeholders?
2.	Do you know what 'sustainability' means and can you give some examples of how an organisation might demonstrate this?
3.	What is the impact that social and environmental factors might have on a set of financial statements and what does this mean for the auditor?
4.	Social and environmental audits may be undertaken by professional firms - do you know what such audits are and how they work?
5.	Can you discuss how a firm might undertake assurance work for a client in relation to its sustainability information?
6.	Do you know what integrated reporting means and how a firm might review a set of KPIs for an organisation and its operations?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Chemico plc	This is a very typical illustration of how social and environmental matters can affect the audit and how separate reporting of such matters can be of benefit to a client. Attempting this question will help you understand how this topic could be examined.
Gooding and Brown plc	This question will also help you understand the various types of question that could be set for this topic. You will learn how to make best use of the scenario in an applied manner.
Hudson Hicks Ltd	This is an opportunity to test how well you understand the requirements of IFRS S1 and S2 and whether you can critically appraise the scenario information which claims to demonstrate compliance with these new standards.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to

introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Larousse (board proposal)	A good illustration of how social responsibility is reported and how assurance can be provided in a complex scenario.
Question	**Learning benefit from attempting this question**
Kenyon requirement (2)	This is good practice for understanding the environmental impact of a set of circumstances on the financial statements - in this case, it is a contingent liability related to a chemical leak.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

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Self-test questions

Answer the following questions.

1 Chemico plc

You are the auditor of Chemico plc, a company which produces chemicals for use in household products. You are responsible for the planning of the audit for the year ended 31 December 20X8 and have attended a meeting with the finance director during which you have obtained the following information.

- Production had to be suspended during October 20X8 due to a strike by plant workers. Their main complaints were over working hours and the adequacy of health and safety procedures. The finance director has assured you that these issues have been dealt with.
- The company has received a letter from the environmental health department dated 10 January 20X9 indicating that samples taken from a nearby river have shown traces of a chemical which is harmful to wildlife. The environmental health department believes that Chemico plc is the source. The initial complaint was made by a landowner with fishing rights on the river. Chemico plc has denied responsibility.
- One of the products made by Chemico plc is to be withdrawn from use in household products under EU law. Chemico plc will therefore cease production of this chemical by 31 December 20X8 and the company has made plans to decommission this part of the plant. The directors anticipate that there may be a number of redundancies as a result and have included a provision for the estimated redundancy costs in the financial statements for the year ended 31 December 20X8.

Requirements

1.1 Identify and explain how social and environmental matters would affect the planning of the audit of Chemico plc.

1.2 The finance director is aware that other companies in his sector are including social responsibility reports as part of their corporate reports. He has asked you to clarify the requirement to include this type of information and to explain the benefits of doing so.

2 Gooding and Brown plc

Gooding and Brown plc (GB), a listed UK clothes retailer, has recently publicised GB World, a 10-year sustainability plan for the business. It focuses on many ecological and ethical issues, including the following:

(1) Fair trade – with commitments to ensuring the following:

  (a) All raw materials used in GB materials fairly traded within six months

  (b) Supply chain 100% fair trading within two years

(2) Waste – with commitments to ensuring all of the following:

  (a) GB carrier bags are replaced by paper bags within one year

  (b) Paper waste from GB operations to be 100% recycled within five years

  (c) All waste from GB operations not to go to landfill within 10 years

(3) Climate change – with a commitment to making GB stores carbon neutral within 10 years

The board of directors intends to publish a report on the progress of the plan as part of its annual review which will be included in the document which contains the audited accounts.

The board has consulted with the audit engagement partner as to whether the firm might be able to provide a level of certification of progress with GB World annually.

Requirements

2.1 Outline whether the GB World plan will have any impact on future audits of Gooding and Brown plc.

2.2 Describe the matters the audit partner should consider in determining whether to accept an assurance engagement in relation to GB World.

2.3 Outline the evidence you would seek in respect of the commitments about waste, if such an engagement were accepted.

2.4 Discuss the current regulatory situation with regard to UK companies issuing sustainability reports.

3 *Hudson Hicks Ltd*

It is 29 August 20X6.

Hudson Hicks Ltd ('HH') is a retailer of budget household products that are popular with people who go on camping trips and other outdoor activities. Their product range includes:

- *Tea, coffee and hot chocolate in jars, packets and sachets*
- *Packaged crisps, biscuits and other dried snacks*
- *Meat and other produce for use at barbecues, such as sauces, paper plates and plastic cutlery*
- *Bags of smokeless fuel and firelighters for use in firepits and barbecues*
- *A range of still and sparkling drinks, available in bottles and cans*
- *Cleaning materials such as refuse sacks, wet wipes and washing up liquid*

Most products are obtained in bulk from external suppliers and delivered to the HH factory where there are dedicated packaging machines and storage facilities. Approximately 50% of the products purchased and the packaging used by the company comes from suppliers who are based in the UK. Each product range is then packaged using materials showing the company's familiar logo and branding.

HH is financed by Vasquez Bank ('VB'). This financing includes a revolving debt facility where the renewal of the loan and the rates on offer are based on certain performance criteria, one of which is maintaining an interest cover of 4. The senior management team of HH has just been informed that the company's financing arrangements are also now going to be dependent on the demonstration of the company's compliance with ISSB Sustainability Disclosure Standards IFRS S1 and S2.

To address this, the production manager at HH has decided to completely replace all packaging with a more sustainable solution, using a range of recycled plastic bottles, recycled paper and cardboard. The production manager is very keen to publicise this new packaging as a way of hitting the company's own environmental targets and at the same time satisfying the bank.

You work as an audit senior for Gorman LLP who have been the auditors of HH for two years. You have just received the following financial information from the HH finance manager:

	20X6/7 £'000 Forecast	*20X5/6 £'000 Actual*
Revenue	*1,801*	*1,788*
Profit before interest and tax	*361*	*356*
Finance charges	*91*	*87*
Current liabilities – Bank overdraft	*205*	*125*
Non-current liabilities – Bank loan	*2,000*	*2,000*
Interest cover	*4.0*	*4.1*

Inflation currently stands at 2.5%. The current levels of interest charged by VB are at the following rates:

- *Bank loan = 4% p.a.*
- *Bank overdraft = 5.25% p.a.*

Failure to comply with the existing covenant and the sustainability disclosure requirements would lead to an extra 50 basis points being added to the rates in operation for HH. The bank overdraft is repayable on demand.

You have also been supplied with some draft disclosures to accompany this financial information which the production manager would like you to review in order to conclude whether you believe they provide adequate disclosure under IFRS S1 and S2.

Draft sustainability information in line with IFRS S1 and S2 Governance

Proposal
Board papers are prepared by the production manager on the company's plans for sustainability and climate-related matters. For the packaging initiative, the production manager has identified which products to replace first and has lined up a series of trials for suppliers to present their proposals. The senior management team will then be asked to select their preferred supplier.

Strategy

Proposal
Risks have been costed for new packaging. *Time frames have been set.* *Drinks and food produce all contain organic* *ingredients. No child labour or human slavery in any of* *the supply chain* *Contingency plans in place for sustainability of supply chain:* • *Alternative suppliers for many products have been located based in Vietnam and could meet supply shortfalls if required* • *Some detergents could be repurposed into other products if required*

Risk management

Proposal
The senior management team will combine these risks into the main risk management system adopted by the company.

Metrics and targets

Proposal
The additional benefits of using more sustainable forms of packaging have been costed and shown in the attached financial extracts: • *Revenue and profit have risen* • *Interest cover is maintained at 4 in line with the bank covenant*

Requirement

Critically appraise the disclosure information supplied by the production manager and recommend suitable improvements where you believe the disclosures are inadequate.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

(a) ***Advantages and disadvantages of disclosing environmental matters in the company's annual report***

BTSJ Ltd is currently a medium-sized company that may grow in the future. Should the company (either now or at any point in the future) breach any two of the following thresholds:

- *Turnover of £36 million*
- *Balance sheet total of £18 million*
- *250 employees*

it will be considered a large company and will therefore be subject to comply with the government's Streamlined Energy and Carbon Reporting (SECR) requirements, meaning that the debate about whether or not to make environmental disclosures becomes moot. Consequently, seeking a stock market listing may not automatically result in such disclosures being required as we may already need to be reporting on them, although the extent of the reporting required for quoted companies under SECR is greater, which may become relevant.

However, in order to provide the board with an objective view of the current reporting landscape on such matters, the following table provides advantages and disadvantages for BTSJ disclosing its environmental matters in its annual report.

Advantages	***Disadvantages***
The process of understanding environmental issues would highlight areas where savings in energy costs and resource usage could be made.	*Being able to satisfy the requirements of the SECR regime will require setting up systems and processes that could be expensive (although as previously mentioned, the company may have no choice in the matter).*
Such reporting would improve BTSJ's reputation in the eyes of its key stakeholders and may lead to attracting customers, suppliers and staff.	*Reporting under the SECR (and any other reporting frameworks that might become mandatory if we grow) will make the process of producing the annual report more time-consuming.*
Being able to demonstrate environmental responsibility may become a pre-requisite when attempting to secure finance (indeed, so-called 'Green finance' may have more attractive rates of interest but would only be offered to companies who are considered to be environmentally responsible).	*Having the necessary data to support this and other reporting regimes may present a problem for BTSJ which could adversely affect the way the company is perceived.*

Advantages	*Disadvantages*
In an industry such as ours, the reliance on fossil fuels makes BTSJ vulnerable to risks, such as the ongoing resistance to using our products from consumers (physical risk) and the need for our business model to eventually become carbon-neutral (transition risk).	*Some of the company's stakeholders may consider the time and costs associated with environmental reporting to be a waste and would prefer BTSJ to focus on wealth-creation first and foremost (this may even be to the extent that they threaten to remove support if the company doesn't respond accordingly).*
As described above, there may be no choice, so reporting in this way will avoid the costs associated with non-compliance.	*BTSJ being open and transparent about environmental matters might cause damage to its reputation, affecting its financial performance, position and prospects.*

(b) ***Evaluation of the managing director's statements***

Taking each of these statements in turn, the founder and managing director appears to misunderstand the purpose of ***narrative reporting*** *in the company's annual report, especially if the company gains a listing on the London Stock Exchange. There are very specific listing rules that the company is legally required to follow in addition to the requirements of the Companies Act 2006 and any other reporting that is associated with being a listed entity (such as the Task Force on Climate-related Financial Disclosures and the need to disclose environmental matters in the Directors' Report).*

The founder and managing director may have mistaken the approach required for such disclosures with the 'comply or explain' approach that is central to the UK Corporate Governance Code, but even then, it is the spirit of transparency that is used in governance reporting which does not appear to be present in these views.

Although environmental reporting is not audited like the financial statements are (at the time of writing) their importance cannot be overestimated, and they are a significant part of communicating the risks and opportunities presented by sustainability issues. There is also very little scope to innovate in broad terms: initiatives such as the SECR require very specific information on things such as greenhouse gas emissions and energy usage, plus other data on matters such as water, waste and biodiversity which may be difficult for BTSJ to mould to its own purposes.

The comments would also appear to suggest that the company can convince the users of BTSJ's annual report that despite operating in the petrochemical industry, they are somehow immune to the significant structural challenges faced by all such companies. A common problem with narrative reporting of sustainability issues in this industry is that companies sometimes deliberately focus their marketing on initiatives that are considered sustainable in order to distract users from the fact that it is still only a small part of their business (for example, in 2023, the UK advertising regulator banned advertisements by Shell that made the company appear to be focused on renewable energy when renewables made up only 14% of its revenues for the year 2022).

Such practices are known as 'greenwashing' and attempt to do what the founder and managing director is suggesting – control the narrative on the company and its environmental credentials. The adoption of a robust methodology based on metrics and targets is inevitable and BTSJ will need to be able to comply with the requirements which may require significant changes to its business model.

Regarding the ***preference for the term 'shareholder' over 'stakeholder'****, again this suggests that the founder and managing director is out of step with both the commercial world and*

the real world in general. Expansion comes at a price if you are the owner of a business – extra investment usually requires something in return such as a controlling stake or at the very least, a seat around the boardroom table. Once it gains a stock market listing, the company is owned by its shareholders but they are likely to be a diverse group with varying needs, not all of which are based purely on financial returns, which is what the founder and managing director appears to value most.

Ignoring stakeholders comes with a heavy price: customers may boycott a company they perceive to be acting in an environmentally unsustainable manner; investors may not wish to inject capital into the business; employees current and prospective may not wish to work for the company if they do not agree with its standpoint. Assuming that the petrochemical industry intends to stand by its commitments to the Paris Accord of 2015 and limit emissions to 1.5C above pre-industrialised levels, the company faces an existential threat (albeit in the long term) that it cannot afford to ignore.

The single greatest stakeholder in all of this is the planet and without taking serious action right now, the future of all things appears in jeopardy.

(Hodgson, C., 2023; Shell, 2022)

Answer to Interactive question 2

Factors to consider

(1) **Recognition of a provision**

The auditor will need to determine whether the accounting treatment adopted by the company in respect of the costs of rectifying the environmental damage have been accounted for in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*.

In terms of recognition, any costs of environmental damage caused by the opening of the mine represent a current obligation as a result of a past event at the year-end date. The opening of the mine is the obligating event, so the fact that the costs do not need to be incurred until completion of mining is irrelevant. A provision should therefore be recognised.

As no mining has taken place, any environmental costs arising from the extraction of the mineral would not need to be provided for at the year-end date. Until mining actually commences there is no obligating event. Potentially management could avoid these costs by changing the entity's future operations. Instead a provision for these costs should be recognised as the mining progresses.

(2) **Measurement**

The amount of the provision recognised should represent the best estimate of the expenditure required to settle the obligation. The auditor will need to determine the basis on which management have calculated the amount of the provision and assess whether this is reasonable. Factors to consider might include:

- the expertise of those involved in estimating the costs;
- the cost of rectifying environmental damage on similar projects; and
- the reliability of previous estimates made by the company.

Answer to Interactive question 3

3.1 Acceptance considerations

There are four key things that the audit engagement partner should consider:

(1) **Impact of the new engagement on the audit**

The audit engagement partner needs to ensure that the **objectivity of the audit is not adversely affected** by accepting any other engagements from an audit client. This is of primary importance.

Factors that they will consider include the impact that any fees from the engagement will have on total fees from the client and what staff will be involved in carrying out the new engagement (ie, will they be audit staff, or could the engagement be carried out by a different department).

In favour of the engagement, they would consider that such an engagement should increase their knowledge of the business and its suppliers and systems, and might enhance the audit firm's understanding of the inherent audit risk attaching to the business.

(2) **Competence of the audit firm to carry out the assignment**

The audit engagement partner needs to consider whether the firm has the **necessary competence** to carry out the engagement in a quality manner, so as to minimise the risk of being sued for negligence. This will depend on the nature of the engagement and assurance required (see below) and on whether the auditor felt it would be cost effective to use the work of an expert, if required.

(3) **Potential liability of the firm for the report**

As the engagement is not an audit engagement, the partner should consider to whom he would be **accepting liability** in relation to this engagement, and whether the risk that that entails is worth it, in relation to the potential fees and other benefits of doing the work (such as keeping an audit client happy, and not exposing an audit client to the work of an alternative audit firm).

Unless otherwise stated, liability is unlikely to be restricted to the shareholders for an engagement such as this; indeed, it is likely to extend to all the users of the annual report. This could include the following:

- The bank
- Future investors making ethical investing decisions
- Customers and future customers making ethical buying decisions

The partner should also consider whether it might be possible to limit the liability for the engagement, and **disclaim liability** to certain parties.

(4) **Nature of the engagement/criteria/assurance being given**

Before the partner accepted any such engagement on behalf of the firm, he should **clarify** with the directors the **exact nature** of the engagement, the degree of assurance required and the criteria by which the directors expect the firm to assess the assertions. As the engagement is not an audit engagement, the audit rules of 'truth and fairness' and 'materiality' do not necessarily apply. The partner should determine whether the directors want the firm to verify that the assertions are 'absolutely correct' or 'correct in x% of cases' and also what quality of evidence would be sufficient to support the conclusions drawn – for example, confirmations from suppliers, or legal statements, or whether the auditors would have to visit suppliers and make personal verifications. This engagement might be less complex for the audit firm if they could conduct it as an 'agreed-upon procedures' engagement, rather than an assurance engagement.

3.2 Assertions

(1) Animal testing

The assertion is complex because it does not merely state that products sold have not been tested on animals, but that ingredients in the products have not been tested on animals.

This may mean a series of links have to be checked, because Naturascope's supplier who is the manufacturer of one of its products may not have tested that product on animals, but may source ingredients from several other suppliers, who may in turn source ingredients from several other suppliers, etc.

The audit firm may also find that it is a subjective issue, and that the assertion "not tested on animals" is not as clear cut as one would like to suppose. For example, the dictionary defines 'animal' as either "any living organism characterised by voluntary movement …" or "any mammal, especially man". This could suggest that the directors could make the assertion if they didn't test products on mammals, and it might still to an extent be 'true', or that products could be tested on 'animals' that, due to prior testing, were paralysed. However, neither of these practices are likely to be thought ethical by animal lovers who are trying to invest or buy ethically.

Potential sources of evidence include: assertions from suppliers, site visits at suppliers' premises and a review of any licences or other legal documents in relation to testing held by suppliers.

(2) Child labour

This assertion is less complex than the previous assertion because it is restricted to Naturascope's direct overseas suppliers.

However, it contains complexities of its own, particularly the definition of 'child labour', for example in terms of whether labour means 'any work' or 'a certain type of work' or even 'work over a set period of time', and what the definition of a child is, when other countries do not have the same legal systems and practical requirements of schooling, marriage, voting etc.

There may also be a practical difficulty of verifying how old employees actually are in certain countries, where birth records may not be maintained.

Possible sources of evidence include: assertions by the supplier and inspection by auditors.

(3) Recycled materials

This may be the simplest assertion to verify, given that it is the least specific. All the packaging must have an element of recycled materials. This might mean that the assertion is restricted to one or a few suppliers. The definition of packaging may be wide; for example, if all goods are boxed and then shrink-wrapped, it is possible that those two elements together are termed 'packaging' and so, only the cardboard element need contain recycled materials.

The sources of evidence are the same as previously – assertions from suppliers, inspections by the auditors or review of suppliers' suppliers to see what their methods and intentions are.

Answer to Interactive question 4

At first glance, North Hospital may appear to have the worse mortality rate, with 23 deaths compared with 19 at South Hospital. These absolute figures may be misleading, however, so it is necessary to calculate the **relative** mortality rates for each hospital:

North Hospital = 23 / 763 = 3.0%

South Hospital = 19 / 549 = 3.5%

On this basis, North appears to be the better performing hospital. On further investigation, however, the picture becomes more complex.

Adjusting for emergency patients

It is likely that emergency procedures carry a higher risk of death than planned procedures. An uneven distribution of emergency procedures between the two hospitals would indicate different risk profiles in each hospital's underlying patient population for the period, which would be expected to affect the mortality rate for each hospital.

At North Hospital, 12 patients died during planned procedures, which gives a mortality rate of 2.0% (12/610) for planned procedures.

At South Hospital, seven patients died during planned procedures, which gives a mortality rate of 1.4% (7/494) for planned procedures.

After adjusting for emergency procedures, it would appear that South Hospital has the lower (better) mortality rate. This appears to indicate that South Hospital is performing better for ordinary planned procedures.

It should be noted, however, that South Hospital has a much higher mortality rate for emergency procedures:

North Hospital: (23 – 12) / (763 – 610) = 11 / 153 = 7%

South Hospital: (19 – 7) / (549 – 494) = 12 / 55 = 22%

This could be indicative of problems at South Hospital in relation to emergency procedures. It may also be a sign of differences in the underlying populations. Further information on the types of patients operated on in each hospital would be needed in order to determine which performed better in emergency situations.

Answer to Interactive question 5

(a) Procedures include the following:

Review overall project expenditure and compare with budgeted expenditure

- Interview relevant management and staff to determine reasons for any variations from budget
- Interview key management and staff to identify their expectations of whether the project will be completed within budget
- Analyse the Department's business case for the project to determine whether the planned expenditures will meet the overall aims of the project

(b) Review project timetable and compare progress with planned schedule

- In relation to the whistleblower's claim, identify the delays referred to and ascertain the impact these are likely to have on the timetable
- Interview key management and staff to identify their expectations of whether the project will be completed on time, and in particular what the effect may be of any delays already experienced
- Ascertain any knock-on effects that the delays may have, and inquire of management what actions they have taken to mitigate these effects
- Review of results of any internal challenges to management in relation to the delays, ie, how management responded

Answers to Self-test questions

1 Chemico plc

1.1 Key issues

The key issues which would need to be addressed in planning the audit of Chemico plc include the following:

Understanding the entity

The chemical production industry is highly regulated and as such the business is likely to be subject to a wide range of regulation including both environmental and health and safety. The auditor would need to have an awareness of these if they are to have a good understanding of the business.

Risk assessment

The nature of the industry in which Chemico plc operates is particularly risky in terms of its compliance with regulation. This risk assessment will be affected by the following factors:

- Whether there is a history of penalties and legal proceedings against the company. A review of previous years' files should provide information together with discussions with members of staff involved in previous audits.
- The entity's attitude towards these matters. Chemico plc has experienced problems in both environmental matters and health and safety during 20X8 which may indicate poor governance.
- The likelihood of the existence of other related problems. While a number of issues have been identified there is a risk that other breaches exist which have not yet been identified, particularly if poor practice is widespread.

The impact of the strike.

Issues include the following:

- Whether the working hours complained of constituted a breach in employment law and health and safety
- Whether the lack of adequate safety procedures has resulted in any accidents leading to litigation
- Whether the issues have genuinely been resolved so that any breaches of regulations are not ongoing
- Whether the company is liable to be fined and/or sued as a result
- Whether any fines or penalties have been properly accounted for or provided for

The contamination of the river

Issues include the following:

- Whether the leak constitutes an adjusting event after the reporting period. Although the letter has been received after the year end it is likely that, if responsible, any leak from Chemico plc occurred before the year end. The financial statements would need to be adjusted for the consequences.
- The likelihood of Chemico plc being responsible for the leak. The audit plan would include procedures to review the evidence held by Chemico plc and any legal correspondence which might indicate the likely outcome.

- The potential size of any penalty including any compensation claim from the landowner, as this may have an impact on the viability of the business.

Withdrawn product

- There is a risk that items of plant may be impaired as a result of the withdrawn product. Audit procedures will be required to identify the assets affected and to ensure that they have been written down to their recoverable amount.
- If assets are to be sold they should be classified and accounted for as held for sale in accordance with IFRS 5.
- The audit plan will need to include procedures to ensure that any other costs associated with the shut-down of this part of production have been identified and provided for in accordance with IAS 37.
- Audit procedures will be required to determine whether the provision for redundancies should be recognised. If the cessation of the production constitutes a restructuring in accordance with IAS 37 and a constructive obligation exists the redundancy costs would be recognised in 20X8. In this case there is no indication of any announcement of the redundancies, in which case a provision should not be made.
- The overall impact of the withdrawal on the viability of the business will need to be considered.

1.2 There is currently no requirement in law to provide social responsibility information beyond that required in the Strategic Report under Companies Act 2006. Many companies go beyond this minimum requirement and produce a separate corporate responsibility report. There is no consensus as to what that information should contain. In practice, however, it is becoming more common with many companies following the guidance issued by the Global Reporting Initiative.

The benefits of providing this type of information include the following:

- It is an indication that the company is well run and that governance issues are taken seriously. This enhances the reputation of the company with investors, employees and the general public.
- Abuses of the environment and/or human rights can damage the reputation of the company and therefore affect the share price.
- Potential investors want to be able to measure the performance of a company in a number of different ways, not necessarily just financial performance. This information helps investors make ethical decisions.
- As this type of information becomes more common it may appear that companies who do not provide it are failing to meet social and environmental standards.

2 Gooding and Brown plc

2.1 Impact on the audit

Inclusion of statement in annual report

The GB World plan will directly affect the audit in the sense that the directors plan to report on it in each annual report and the auditors will therefore have a duty to ensure that there are no material misstatements or inconsistencies between the GB World information and audited information contained within the annual report in accordance with ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*.

Impact on financial statements

In addition, the GB World plan has the potential to impact on various aspects of the financial statements, and therefore the audit, although the degree of materiality of the impacts will differ.

(1) **Commitment to be a fair trader**

This commitment will impact on **inventory value and gross margins** (if clothing that does not meet the criteria has to be divested quickly) and on **supply systems** and chains.

Inventory at risk of becoming obsolete after six months might be sold in the normal course of business. If not, it is likely to be sold at an unusually low margin as sale items to ensure that the commitment is met, and this sale might be larger than the sales the company (and therefore) auditors are accustomed to, causing changes in sales and gross margin patterns.

A potential risk is any **legal issues** caused if GB were to break any contracts with suppliers who did not meet their ethical criteria. The longer lead time of two years is unlikely to make this happen, as they are unlikely to have such onerous contracts that they cannot be divested over a two-year period, but if contracts were changed in order to meet the six-month deadline, then the company might have to make provision for settlements in the next financial statements.

Assuming adequate controls are in place over the supply chain, any changes in supply over the longer period of two years should also not impact the financial statements unduly.

This commitment has a potential impact on **costs** too – switching to fair trade implies an increase in basic product cost. The auditors should be aware of this and assess the context in terms of whether there is shareholder expectation of certain **profit targets**, regardless of the GB World plan, as this could lead to pressure on management in respect of the results.

Lastly, the auditor should bear in mind customer expectation concerning the GB World plan and monitor the impact the plan has on operations. It is probable that the board of directors is responding to the perceived desire of its shoppers in terms of ethical and environmental friendliness. Given the possible increase in cost that these commitments entail, if the board has misjudged the desire of the consumer, the GB World plan could result in lost custom, and reduced sales. Alternatively, given the long timescale that some aspects of the GB World plan have, customers might become impatient for change and transfer loyalty to a retailer that has a similar plan but is working faster towards the same aims. In the extreme, both these situations could lead to **going concern** issues for Gooding and Brown.

(2) **Commitment to changing waste patterns**

Waste disposal is likely to impact the statement of profit or loss and other comprehensive income in the form of annual expenses. There may be some fluctuations in cost of which the auditors should be aware.

(3) **Commitment to be carbon neutral**

The issue with the largest potential impact on the financial statements is the commitment to make the company carbon neutral. It may be possible to achieve this objective simply by changing energy supply and type, but it might also be necessary to make changes to existing assets to achieve this objective. For example, the company might have to make use of solar panels and windmills, in which case there will be non-current asset additions for the auditor to consider. Alternatively, GB might own premises which it would be difficult to carbon neutralise, which might involve moving premises, hence sales of assets and possible construction of carbon neutral premises, hence construction of assets.

2.2 Matters to consider in respect of assurance engagement

(1) **Ethical**: The key issue to consider is whether it is possible to accept any other engagement in relation to Gooding and Brown and maintain audit independence. This will depend on factors such as the amount of 'other' work already carried out for Gooding and Brown, the staff and partners that would be involved in any assurance work and whether they were separated from the audit team and Gooding and Brown's status itself. With regard to the latter, for example, Gooding and Brown is a listed company therefore specific conditions within the FRC Ethical Standard must be applied.

(2) **Nature of the engagement/criteria/assurance being given**: Before the partner accepts any such engagement on behalf of the firm, he should **clarify** with the directors the **exact nature** of the engagement, the degree of assurance required and the criteria by which the directors expect the firm to assess any assertions made in the annual report. At present the commitments seem very general and vague but, if there is a more detailed underlying plan, there might be more scope for the audit firm to provide an assurance engagement.

As the engagement is not an audit engagement, the audit rules of 'truth and fairness' and 'materiality' do not necessarily apply. The partner should determine whether the directors want the firm to verify that any assertions are 'absolutely correct' or 'correct in x% of cases' and also what quality of evidence would be sufficient to support the conclusions drawn – for example, confirmations from suppliers, or legal statements, or whether the auditors would have to visit suppliers and make personal verifications.

This engagement might be less complex for the audit firm if it could conduct it as an 'agreed-upon procedures' engagement, rather than an assurance engagement.

(3) The firm also needs to consider the following:

(a) Whether the firm has the appropriate skills to undertake the work (are they experts in renewable energy?)

(b) What liability they would incur as a result of the work and to whom (this is unlikely to be limited to shareholders as a result of the number of people who have access to the annual report and the fact that there is no legal precedent for restricting liability solely to the shareholders in respect of this type of work)?

2.3 Sources of evidence

Potential sources of evidence with regard to the waste commitments:

- Contracts/invoices with waste removal companies/recycling companies
- Contracts/invoices with bag supplier(s)
- Store inspection to observe bags used in stores
- Inspection of waste disposal

2.4 Current regulatory situation with regard to sustainability reports

There is currently **no consensus** on the type of information that should be disclosed in a sustainability report. Historically, companies whose activities have the greatest social and environmental impact have been the most active in developing this type of reporting, for example companies within the oil and gas industry like Shell. In more recent years **sustainability reporting has become more common** but guidance is still developing.

An increasing number of companies are following guidance issued by the **Global Reporting Initiative** (GRI). The GRI aims to develop **transparency, accountability, reporting and sustainable development**. Its vision is that reporting on economic, environmental and social issues should become as routine and comparable as financial reporting. In addition, the Companies Act 2006 now requires most companies to include information on environmental,

employment, social and community issues in a strategic report. From October 2013 reporting on greenhouse gas emissions has been mandatory for quoted companies.

3 *Hudson Hicks Ltd*

Draft sustainability information in line with IFRS S1 and S2 – issues Governance

Proposal	***Issue***
Board papers are prepared by the production manager on the company's plans for sustainability and climate-related matters. For the packaging initiative, the production manager has identified which products to replace first and has lined up a series of trials for suppliers to present their proposals. *The senior management team will then be asked to select their preferred supplier.*	*There is no detail on the processes, structures, controls or procedures used by the senior management team at HH.* *Similarly, there is no detail on who makes the decisions on these matters (senior management team, committee or someone else) – from the scenario, it looks like it is all coming from the production manager, so it is unclear how committed HH really is from these disclosures.* *In addition, there is no detail on the skills, competence or training required for those involved in this governance role or any mention of the need for any different forms of information or monitoring (this is linked to metrics and targets below).*

Strategy

Proposal	***Issue***
Risks have been costed for new packaging. Time frames have been set. *Drinks and food produce all contain organic ingredients.* *No child labour or human slavery in any of the supply chain* *Contingency plans in place for sustainability of supply chain:* • *Back-up plans for sourcing coffee if suppliers cannot meet quality standards* • *Alternative suppliers for many products have been located based in Vietnam and could meet supply shortfalls if required* • *Some detergents could be repurposed into other products if required*	*Costings do not consider the wider impact of sustainability and climate-related risks and opportunities on the company's financial position, performance and prospects. There is also no strategic impact disclosed.* *Should legislation or regulation be introduced that affects the company in relation to packaging, that would have a significant impact on the company.* *Sustainability risks appear to be based on maintaining their supply, not the sustainability of their sources.* *There are no further details within the climate- related risks eg, physical vs transition risks, GHG emissions etc.* *No opportunities are discussed either.* *There is an incomplete evaluation of the impact on the company's business model and value chain eg, a failure to take into account the adverse impacts of many of the products listed:* • *Carbon footprint of products and packaging supplied from outside the UK* • *Methane impact from meat products*

	• *CO2 impact from smokeless fuel and firelighters* • *Risk of microplastics from recycled plastic bottles* *Adverse reputational impact from continuing to sell products with poor sustainability credentials has not been acknowledged, let alone evaluated.*

Risk management

Proposal	***Issue***
The senior management team will combine these risks into the main risk management system adopted by the company.	*It may not be appropriate to combine these risks with the rest of the risks faced by HH as the way they are to be assessed and managed may be very different. Without awareness of the magnitude of risks, their management may not be as easy.*

Metrics and targets

Proposal	***Issue***
The additional benefits of using more sustainable forms of packaging have been costed and shown in the attached financial extracts: • *Revenue and profit have risen* • *Interest cover is maintained at 4 in line with the bank covenant*	*HH has misunderstood the use of metrics and targets, which are meant to provide transparency of the risks and opportunities presented under IFRS S1 and S2 using a methodology where progress can be measured using specified KPIs and then compared against specific targets to determine progress (or otherwise).* *Examples that could be used:* • *Energy used by factory machines for each tonne of product packaged* • *GHG emissions for energy used (using Scope 1, 2 and 3 emissions)* • *A relative measure of % of plastic used per tonne of packaging* • *Proportion of packaging made up of non- recyclable materials* • *Amount of miles travelled or CO2 emitted for each tonne of product sold* *The company does not appear to have improved its financial performance in relative terms. The supplied financial metrics also do not consider the implications of not meeting the bank's criteria of meeting IFRS S1 and S2 – if this is not complied with, interest cover will drop to 3.5 (see working below) and the company will be in breach of its borrowing covenants.* *The bank overdraft may be called in and the company may not have the cash – this could lead to costly restructuring or even going concern problems.*

Workings

	20X6/7 £'000 Adjusted for new rates	*20X6/7 £'000 Forecast*	*20X5/6 £'000 Actual*	*Comparison of 20X5 with 20X6 (% change)*
Revenue	*1,801*	*1,801*	*1,788*	*0.7%*
Profit before interest and tax	*361*	*361*	*356*	*1.4%*
Finance charges	*102*	*91*	*87*	
Current liabilities – Bank overdraft	*205*	*205*	*125*	
Non-current liabilities – Bank loan	*2,000*	*2,000*	*2,000*	
Interest cover	*3.5*	*4.0*	*4.1*	

Despite inflation of 2.5%, revenue and profits have increased at rates below this, suggesting that the underlying growth disclosed is incorrect.

Should HH be in breach of its bank covenant, the bank overdraft rate would become 5.75% and the bank loan rate would be 4.5%. Interest would therefore be calculated as (205 × 5.75%) + (2,000 × 4.5%) = 102 and the interest cover would therefore deteriorate to (361/102) = 3.5.

Tutorial Note

Clearly, these disclosures have been contrived to be about as bad as they could possibly be – this is to provide you with an opportunity to apply what you know about IFRS S1 and S2 with plenty of scope. In a real exam question, you might be given something a little more nuanced to critically evaluate.

In the real world, there is a lot of 'greenwashing' that goes on and this scenario is designed to encourage you to consider whether HH is deliberately doing this or is just incompetent in its application of the requirements of IFRS S1 and S2.

Chapter 27
Internal auditing

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Role of internal audit

2 Regulation

3 Scope of internal audit

4 Internal audit assignments

5 Multi-site operations

6 Internal audit reporting

Summary

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Introduction

Learning outcomes

- Evaluate the role of internal audit and design appropriate procedures to achieve the planned objectives

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Role of internal audit** This is a recap of what you have previously learned about internal audit.	**Approach** This should be revision, but make sure it all sounds familiar before you move on. **Stop and think** Did you know that internal auditors helped to uncover the WorldCom scandal?	Should an exam question ask you to discuss the work of the internal auditor, the contents of this section are the best place to start.	**IQ1: Internal and external audit** Try this question to see if you can differentiate the work of internal and external auditors.
2	**Regulation** You may be surprised to learn that internal audit has its own form of regulation - what do you think it includes?	**Approach** Run through the various codes and standards. **Stop and think** What differences can you see between the regulatory regimes for internal and external auditors?	There is a chance that a question might ask you how to evaluate an internal audit function within a scenario, so make sure you can apply the various standards and code principles if required.	**IQ2: Ethics** This is good experience of applying ethical theories in a more practical situation.
3	**Scope of internal audit** Internal audit has a key role to play in the management of risk.	**Approach** Try and apply the knowledge in this section to what you learned in the chapter on Corporate Governance.	When answering questions on risk management as part of corporate governance, don't forget to consider the role that internal audit could play in	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		Stop and think How do you think internal auditors might combat fraud and manage risk in the real world?	promoting best practice.	
4	**Internal audit assignments** A quick recap of the various pieces of work that internal audit may be asked to perform.	**Approach** Read through each of these and consider how the internal auditor would actually perform each one. **Stop and think** Have you ever been involved in any of these types of activity?	Regardless of the scenario or the assignment given, if a question requires you to discuss this type of work, make sure you remember that it is for internal not external audit purposes and tailor your answer accordingly.	N/A
5	**Multi-site operations** Acting as internal auditor for an entity that is spread across many different locations brings its own challenges.	**Approach** To help you engage with this section, pick a suitable organisation that you are familiar with to help visualise the challenges associated with performing internal audit tasks across multiple sites. **Stop and think** Other than a retailer, what else operates over several locations?	If tested, make sure your answers consider the practical aspects associated with operating over many different sites.	**IQ3: Multi-site operations** This is a very practical illustration of how to organise a finite resource over a number of different locations.
6	**Internal audit reporting** How does internal audit make sure that its voice is heard?	**Approach** Read through this section and consider the differences in reporting between internal and external auditors. **Stop and think** Internal auditors	Remember that the report produced by internal auditors does not have to follow any set format, so it should be very practical and specific to achieve whatever the desired audit objectives are.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		could be asked to review anything, so reporting could take a number of different forms.		

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Role of internal audit



Section overview

- Internal audit helps management to achieve the corporate objectives.
- It plays a key role in assessing and monitoring internal control policies and procedures.
- There are a number of key differences between internal and external audit.

1.1 Introduction

You have already been introduced to the concept of internal audit and the use of the internal audit function by the external auditor in your earlier studies. ISA 610 (Revised), *Using the Work of Internal Auditors* was covered in Chapter 6.

At the Advanced Level you are expected to have a broader understanding of the topic and to be able to apply your knowledge to more complex situations.

You are also expected to be able to consider the role of internal audit in its own right within the business. This will be the main focus of this chapter.

1.2 Internal audit



Definition

Internal audit function: A function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes (ISA 610.14).

Internal audit departments are normally a feature of larger organisations. They help management to achieve the corporate objectives and are an essential feature of a good corporate governance structure (corporate governance including audit committees is covered in Chapter 4). The need for internal audit will depend on the following factors:

- The **scale, diversity and complexity** of the company's activities
- The **number of employees**
- **Cost-benefit considerations**
- **Changes** in the organisational structures, reporting processes or underlying information systems
- **Changes** in **key risks**
- **Problems** with **internal control systems**
- An **increased number** of **unexplained** or **unacceptable** events

Internal audit can play a key role in assessing and monitoring internal control policies and procedures.

The internal audit function can help the board in other ways as well:

- by, in effect, acting as auditors for board reports not audited by the external auditors;
- by being the experts in fields such as auditing and accounting standards in the company and helping with the implementation of new standards; and

- by liaising with external auditors, particularly where external auditors can use internal audit work and reduce the time and therefore cost of the external audit (although using internal auditors for ' direct assistance' on the external audit is **prohibited** in the UK under ISA 610.5-1). In addition, internal audit can check that external auditors are reporting back to the board everything they are required to under auditing standards.

Listed company audit committees with an internal audit function should annually monitor and review the effectiveness of this function and report to the board how it has discharged its responsibilities.

1.3 WorldCom

The importance of internal audit in achieving good corporate governance can also be seen in the role it had to play in bringing to light the WorldCom scandal.

Cynthia Cooper, who was the Vice President for internal auditing at the time, has been credited with uncovering the fraud and reporting it to the board of directors. Together with her team she uncovered that billions of dollars of operating costs had been capitalised, turning a $662 million loss into a $1.4 billion profit in 2001. This was in spite of being told by the company's auditors, Arthur Andersen and the Chief Financial Officer that there were no problems. On 12 June 2002 she revealed her findings to the head of the audit committee. Such was the magnitude of her actions that she was named *The Times* person of the year for 2002.

Note: Despite this story being over 20 years old, its resonance is still felt as corporate whistle-blowers are still too few and far between (witness the dearth of similar examples). Another whistle-blower from the time (Sherron Watkins at Enron in 2000) helped to pave the way for the Sarbanes-Oxley legislation that is still used as a key corporate control against fraud.

1.4 Objectives of internal audit

The role of the internal auditor has expanded in recent years as internal auditors seek to monitor all aspects (not just accounting) of organisations, and add value to their employers. The work of the internal auditor is still prescribed by management, but it may cover the following broad areas.

(a) **Review of the accounting and internal control systems**. The establishment of adequate accounting and internal control systems is a responsibility of management and the directors. Internal audit is often assigned specific responsibility for the following tasks.

- Reviewing the design of the systems
- Monitoring the operation of the systems by risk assessment and detailed testing
- Recommending cost-effective improvements

Review will cover both financial and non-financial controls.

(b) **Examination of financial and operating information**. This may include review of the means used to identify, measure, classify and report such information and specific inquiry into individual items, including detailed testing of transactions, balances and procedures.

(c) **Review of the economy, efficiency and effectiveness** of operations.

(d) **Review of compliance** with laws, regulations and other external requirements and with internal policies and directives and other requirements including appropriate authorisation of transactions.

(e) **Review of the safeguarding of assets**. Are valuable, portable items such as computers and cash secured, is authorisation needed for dealing in investments?

(f) **Review of the implementation of corporate objectives**. This includes review of the effectiveness of planning, the relevance of standards and policies, the organisation's

corporate governance procedures and the operation of specific procedures such as communication of information.

(g) **Identification of significant business and financial risks, monitoring the organisation's overall risk management policy** to ensure it operates effectively, and **monitoring the risk management strategies** to ensure they continue to operate effectively.

(h) **Special investigations** into particular areas, for example suspected fraud.

1.5 Differences between internal and external audit

Internal auditors are **employees** of the organisation whose work is designed to add value and who normally report to an **audit committee** where one exists and, if not, to the board of directors. External auditors are from accountancy firms and their role is to report on the financial statements to **shareholders**.

Both internal and external auditors review controls, and external auditors may place reliance on the internal auditors' work as you are aware from your previous studies.

The difference in each set of auditors' **objectives** is important however: every definition of internal audit suggests that it has a much **wider scope** than external audit, which only has the objective of considering whether the accounts give a true and fair view of the organisation's financial position.

Interactive question 1: Internal and external audit

The growing recognition by management of the benefits of good internal control, and the complexities of an adequate system of internal control, have led to the development of internal auditing as a form of control over all other internal controls. The emergence of internal auditors as specialists in internal control is the result of an evolutionary process similar in many ways to the evolution of external auditing.

Requirement

Explain why the internal and external auditors' review of internal control procedures differ in purpose.

See **Answer** at the end of this chapter.

2 Regulation

Section overview

- The Institute of Internal Auditors issue a Code of Ethics and International Standards for the Professional Practice of Internal Auditing.
- The Code of Ethics includes principles and rules of conduct.
- There are two categories of standard:
  - Attribute standards
  - Performance standards
- *An adapted version of these standards is issued in the UK by HM Treasury to give guidance to internal auditors in central government departments.*

2.1 *Institute of Internal Auditors*

Internal auditing is not regulated in the same way that statutory audit is. There are no legal requirements associated with being an internal auditor and the scope and nature of the internal auditor's work is more likely to be set by company policy than by external guidelines.

The FRC and IAASB do not issue detailed auditing standards in relation to internal audit work. Where they are applicable, the standards set out in Auditing Standards are likely to be good practice, but they are not prescriptive in the same way that they are for external auditors.

In contrast to external auditors, internal auditors are not required to be members of a professional body such as ICAEW. However, this does not mean that they cannot be, and many are. There is also a global Institute of Internal Auditors (IIA) which internal auditors may become members of. This aims to represent, promote and develop the professional practice of internal audit. Currently it has more than 10,000 members in the UK and Ireland and 245,000 members across the globe. The IIA has issued mandatory guidance in the form of its ***Code of Ethics*** *and* ***International Standards for the Professional Practice of Internal Auditing****.*

2.2 Code of Ethics

The purpose of the Code of Ethics is to promote an ethical culture in the profession of internal auditing. It includes two components:

(a) Principles

(b) Rules of conduct

2.2.1 Principles

These are defined by the IIA as follows:

Integrity	The integrity of internal auditors establishes trust and thus provides the basis for reliance on their judgement.
Objectivity	Internal auditors exhibit the highest level of professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined. Internal auditors make a balanced assessment of all the relevant circumstances and are not unduly influenced by their own interests or by others in forming judgements.
Confidentiality	Internal auditors respect the value and ownership of information they receive and do not disclose information without appropriate authority unless there is a legal or professional obligation to do so.
Competency	Internal auditors apply the knowledge, skills and experience needed in the performance of internal audit services.

2.2.2 Rules of conduct

These describe in more detail the behaviour expected of the internal auditor. The key points are as follows:

(a) **Integrity**

Internal auditors shall perform their work with honesty, diligence and responsibility. They shall observe the law and not knowingly be party to any illegal activity. The ethical objectives of the IIA should be respected.

(b) **Objectivity**

Internal auditors shall not:

- participate in any activity or relationship; or
- accept anything.

that may impair or be seen to impair their objectivity.

Any facts known to them which may distort the reporting of activities should be disclosed.

(c) **Confidentiality**

Internal auditors shall be prudent in their use of confidential information and should not use it for personal gain.

(d) **Competency**

Internal auditors shall only provide services for which they have the relevant knowledge, skills and experience and should continually strive to improve the quality of their service. Work should be performed in accordance with International Standards for the Professional Practice of Internal Auditing (see below).



Interactive question 2: Ethics

Explain the reasons why internal auditors should or should not report their findings on internal control to the following company officials:

(a) The board of directors

(b) The chief accountant

See **Answer** at the end of this chapter.

2.3 International Standards for the Professional Practice of Internal Auditing

The IIA states that the purpose of the International Standards for the Professional Practice of Internal Auditing is to:

- delineate **basic principles** that represent the practice of internal auditing;
- provide a **framework** for performing and promoting a broad range of value-added internal auditing;
- establish the **basis for the evaluation of internal audit performance**; and
- foster **improved organisational processes and operations**.

There are two categories of standard which apply to all internal audit services:

(a) **Attribute standards**

These address the **characteristics** of organisations and parties performing internal audit activities.

(b) **Performance standards**

These describe the **nature of internal audit activities** and provide quality criteria against which the performance of these services can be evaluated.

These were revised in October 2016 and are effective from January 2017. Implementation standards apply to specific types of internal audit activity.

2.3.1 Attribute standards

These are summarised as follows:

Purpose, authority and responsibility	The purpose, authority and responsibility of the internal audit activity must be formally defined in an internal audit charter, consistent with the Mission of Internal Audit, and the mandatory elements of the International Professional Practices Framework (the Core Principles for the Professional Practice of Internal Auditing, the Code of Ethics, the Standards, and the definition of Internal Auditing).
Independence and objectivity	The internal audit activity must be independent, and internal auditors must be objective in performing their work. In particular: • the chief audit executive must report to a suitably senior level within the organisation; • conflicts of interest must be avoided; and • internal auditors must refrain from assessing specific operations for which they were previously responsible.
Proficiency and due professional care	Engagements must be performed with proficiency and due professional care. • The chief audit executive must obtain competent advice and assistance if the internal auditors lack the necessary skills to perform all or part of an engagement. • Internal auditors must have sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the organisation but are not expected to be experts in detecting and investigating fraud. Internal auditors must exercise due professional care by considering the: • extent of the work needed to achieve the engagement's objectives; • relative complexity, materiality, or significance of matters to which assurance procedures are applied; • adequacy and effectiveness of governance, risk management and control processes; • probability of significant errors, fraud, or non-compliance; and • cost of assurance in relation to potential benefits.
Quality assurance and improvement programme	The chief audit executive must develop and maintain a quality assurance and improvement programme that covers all aspects of the internal audit activity. A quality assurance and improvement programme is designed to enable an evaluation of the internal audit activity's conformance with the Standards and of whether internal auditors apply the Code of Ethics. The programme also assesses the efficiency and effectiveness of the internal audit activity and identifies opportunities for improvement. The chief audit executive should encourage board oversight in the quality assurance and improvement programme. Both internal and external assessments of the performance of the internal audit activity must be conducted.

2.3.2 Performance standards

These are as follows:

Managing the internal audit activity	The chief audit executive must effectively manage the internal audit activity to ensure it adds value to the organisation. In particular: • the internal audit plan of engagement must be based on a risk assessment performed at least annually; and • these plans must be communicated to senior management and to the board for review and approval.
Nature of work	The internal audit activity must evaluate and contribute to the improvement of governance, risk management and control processes using a systematic, disciplined and risk-based approach. It must: • evaluate risk exposures relating to the organisation's governance, operations and information systems; • help and evaluate the effectiveness and efficiency of controls, promoting continuous improvement; and • assess and make recommendations regarding governance processes.
Engagement planning	Internal auditors must develop and document a plan for each engagement, including the scope, objectives, timing and resource allocations. Planning considerations must include the following: • The strategies and objectives of the activity being reviewed and the means by which the activity controls its performance • The significant risks to the activity's objectives, resources and operations and the means by which the potential impact of risk is kept to an acceptable level • The adequacy and effectiveness of the activity's governance, risk management and control processes compared to a relevant control framework or model • The opportunities for making significant improvements to the activity's risk management and control processes
Performing the engagement	Internal auditors must identify, analyse, evaluate and document sufficient information to achieve the engagement's objectives. Engagements must be properly supervised to ensure that objectives are achieved, quality is assured and staff are developed.
Communicating results	Internal auditors must communicate the engagement results. Communications must be accurate, objective, clear, concise, constructive, complete and timely. Corrected information must be circulated in instances where significant errors or omissions are identified.
Monitoring progress	The chief audit executive must establish and maintain a system to monitor the disposition of results communicated to management. There must be a follow-up process to ensure that management actions have been effectively implemented or that senior management has accepted the risk of not taking action.

Communicating the acceptance of risks	When the chief audit executive concludes that senior management has accepted a level of residual risk that may be unacceptable to the organisation, the chief audit executive must discuss the matter with senior management. If the decision regarding residual risk is not resolved, the chief audit executive must communicate the matter to the board.

3 Scope of internal audit

Section overview

- Internal audit has two key roles to play in relation to risk management:
  - Ensuring the company's risk management system operates effectively
  - Ensuring that strategies implemented in respect of business risks operate effectively
- Internal auditors may have a role in preventing and detecting fraud.

3.1 Business risk

The UK Corporate Governance Code states that the board is responsible for determining the nature and extent of the significant risks it is willing to take in achieving its strategic objectives. This will include business risks. As we have seen in Chapter 5, this is the risk inherent to the company in its operations and encompasses risk at all levels of the business.

Business risk cannot be eliminated, but it must be managed by the company.



Figure 27.1: Internal control systems for risk management

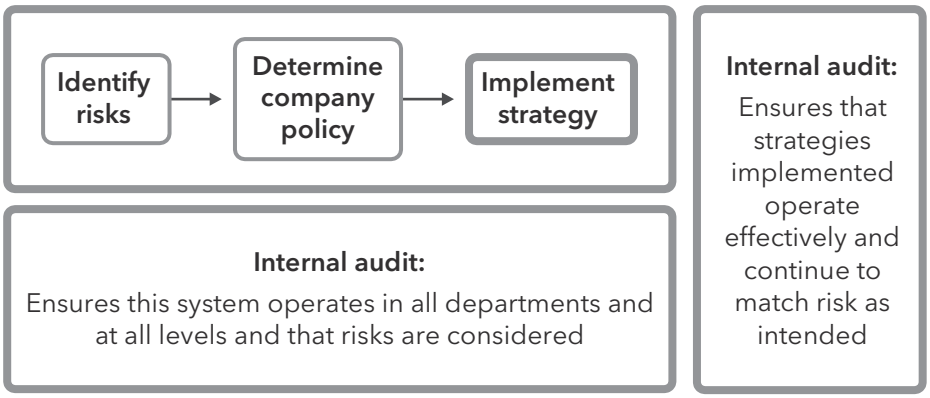
Designing and operating internal control systems is a key part of a company's risk management. This will often be done by employees in their various departments, although sometimes (particularly in the case of specialised computer systems) the company will hire external expertise to design systems.

3.2 The role of internal audit

The internal audit department has a twofold role in relation to risk management.

- It monitors the company's **overall risk management policy** to ensure it operates effectively.
- It monitors the **strategies implemented** to ensure that they continue to operate effectively.

Going back to the diagram used earlier, this can be shown as:



As a major risk management policy in companies is to implement strong internal controls in order to reduce risks, internal audit has a key role in **assessing systems and testing controls**.

Internal audit may help with the development of systems. However, its key role will be in **monitoring the overall process** and in providing assurance that the systems which the departments have designed meet objectives and operate effectively.

It is important that the internal audit function retains its **objectivity** towards these aspects of its role, which is another reason why internal audit would generally not be involved in the assessment of risks and the design of the system.

3.3 Responsibility for fraud and error

Fraud is a key business risk. It is the responsibility of the **directors** to prevent and detect fraud. As the internal auditor has a role in risk management, they are involved in the process of managing the risk of fraud.

The internal auditor can help to prevent fraud by carrying out work on assessing the adequacy and effectiveness of control systems. The internal auditor can help to detect fraud by being mindful when carrying out their work and reporting any suspicions.

The very existence of an internal audit function may act as a deterrent to fraud. The internal auditors might also be called upon to undertake special projects to investigate a suspected fraud.

Professional skills focus: Applying judgement

Being able to assess risks (including business risks) is always a good way of demonstrating that you possess sound judgement skills.

4 Internal audit assignments

Section overview

- Internal audit can be involved in many different assignments as directed by management.
- These include the following:
  - Value for money audits

- IT audits
- Best value audits
- Financial audits
- Operational audits

4.1 Value for money

Value for money (VFM) audits examine the **economy, efficiency and effectiveness** of activities and processes. These are known as the three Es of VFM audits. This topic is referred to in Audit and Assurance at the Professional Level in the context of public sector auditing. The following is a summary of the key points.

4.1.1 The three Es



Definitions

Economy: Attaining the appropriate quantity and quality of physical, human and financial resources (inputs) at lowest cost. An activity would not be economic if, for example, there was overstaffing or failure to purchase materials of requisite quality at the lowest available price.

Efficiency: This is the relationship between goods or services produced and the resources used to produce them (process). An efficient operation or process produces the maximum output for any given set of resource inputs, or it has minimum inputs for any given quantity and quality of product or service provided.

Effectiveness: This is concerned with how well an activity is doing in achieving its policy objectives or other intended effects (outputs).

The internal auditors will evaluate these three factors for any given business system or operation in the company. Value for money can often only be judged by comparison. In searching for value for money, present methods of operation and uses of resources must be compared with alternatives.

4.1.2 Selecting areas for investigation

Value for money checklists can be used. The following list identifies areas of an organisation, process or activity where there might be scope for significant value for money improvements. Each of these should be reviewed within individual organisations.

- Service delivery (the actual provision of a public service)
- Management process
- Environment

An alternative approach is to look at areas of spending. A value for money assessment of economy, efficiency and effectiveness would look at whether:

- too much money is being spent on certain items or activities to achieve the targets or objectives of the overall operation;
- money is being spent to no purpose because the spending is not helping to achieve objectives; and
- if changes could be made to improve performance.

An illustrative list is shown below of the sort of spending areas that might be looked at, and the aspects of spending where value for money might be improved.

- Employee expenses
- Premises expenses

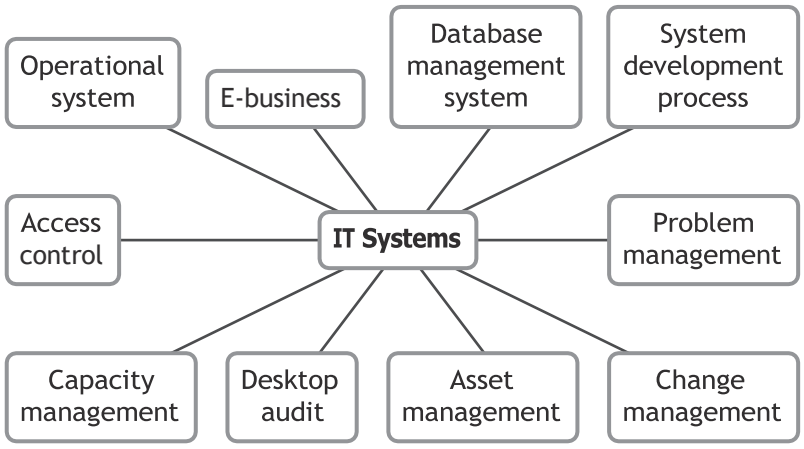
- Suppliers and services
- Establishment expenses
- Capital expenditure

4.2 Information technology

An information technology (IT) audit is a **test of control in a specific area of the business**, the computer systems. Increasingly in modern business, computers are vital to the functioning of the business, and therefore the controls over them are key to the business.

It is likely to be necessary to have an IT specialist in the internal audit team to undertake an audit of the controls, as some of them will be programmed into the computer system.

Figure 27.2: IT systems



4.3 Financial

The financial audit is internal audit's **traditional role**. It involves reviewing all the available evidence (usually the company's records) to substantiate information in management and financial reporting.

This role in many ways echoes the role of the external auditor, and is not a role in which the internal auditors can add any particular value to the business. Increasingly, it is a minor part of the function of internal audit.

4.4 Operational audits

Definition

Operational audits: Audits of the operational processes of the organisation. They are also known as management and efficiency audits. Their prime objective is the monitoring of management's performance, ensuring company policy is adhered to.

There are two aspects of an operational assignment:

- Ensure policies are **adequate**
- Ensure policies work **effectively**

In terms of adequacy, the internal auditor will have to review the policies of a particular department by:

- reading them
- discussion with members of the department

Then the auditor will have to assess whether the policies are adequate, and possibly advise the board of improvement.

The auditor will then have to examine the effectiveness of the controls by:

- observing them in operation
- testing them

This will be done on similar lines to the testing of controls discussed in Chapter 7. Specific examples of operational audits include the following:

Procurement	Procurement is the process of **purchasing** for the business. A procurement audit will therefore concentrate on the **systems** of the purchasing department(s). The internal auditor will be checking that the system achieves key objectives and that it operates according to company guidelines.
Marketing	Marketing is the **process of assessing and enhancing demand for the company's products**. Marketing and associated sales are very important for the business and also therefore for the internal auditor but, as the **associated systems do not directly impact on the financial statements**, they do not usually concern the external auditor. It is important for the internal auditor to review the marketing processes to ensure the following: • The process is managed efficiently. • Information is freely available to manage demand. • Risks are being managed correctly. An audit may be especially critical for a marketing department which may be complex with several different teams, for example: • research • advertising • promotions • after-sales It is vital to ensure that information is passed on properly within the department and that activities are streamlined.
Treasury	Treasury is a function within the finance department of a business. It **manages the funds** of a business so that cash is available when required. There are risks associated with treasury, in terms of interest rate risk and foreign currency risk, and the internal auditor must ensure that the **risk is managed in accordance with company procedures**. As with marketing audits, it is vital to ensure that **information is available** to the treasury department, so that they can **ensure funds are available when required**.

Human resources	The human resources department on one hand procures a human resource (employee) for the operation of the business and on the other supports those employees in developing the organisation. It is important to ensure that the processes in place ensure that people are available to work as the business requires them and that the overall development of the business is planned and controlled. Again, **ensuring company policies are maintained** and **information is freely available are key factors** for internal audit to assess.

4.5 Preparation and conducting of audits

As we have seen, the Code of Ethics and International Standards for the Professional Practice of Internal Auditing, published by the IIA, sets out the Ethics, Attributes and Standards for conducting audits. As each organisation uniquely develops its own structure for systems, controls and business processes, so too must the approach of internal auditing be considered on an organisation-specific basis. To do this, internal auditors will tend to adopt the following key steps in order to conduct and manage audits:

Business process objective	For the process being reviewed, consider what its purpose and objective is, as this will facilitate understanding the potential risk to the organisation.
Audit terms of reference	Prepare a Terms of Reference for the audit review. This will describe the area to be considered and the approach adopted. This is agreed with the business and approved by the Audit Manager.
Review current processes and controls	Before commencing testing, meet with functional management to understand actual processes, systems and controls in place. Contrast this with expected systems and controls expected to be in place.
Risks	Prepare a list of risks associated with the processes. This can be graded (possibly in terms of impact and frequency) to enable judgement in respect to testing to be performed. The risks can be mapped to the controls, to understand the purpose of the control and process.
Testing and results	Consider appropriate testing that can be conducted to provide evidence that the risk is being managed. Perform tests, agreeing conclusions with auditees. Observations to both effectiveness and efficiency of controls and processes should be considered.
Reporting	Drafting of report, providing details of process, testing, results and conclusion reached. Where issues are identified, recommendations for improvement should be provided and agreed with functional management. The report should be forwarded to both the function being reviewed and the senior management as agreed within the Terms of Reference.
Management actions and monitoring	Functional management should provide agreed actions to each recommendation, a target date and responsible person to undertake the action. Internal audit monitor and follow up the actions to ensure control deficiencies are rectified.

Professional skills focus: Assimilating and using information

If you are required to consider how an internal auditor might undertake a particular assignment, considering the various stages that each one includes is a great starting point. Logically, gaining visibility of particular aspects of an organisation helps you to understand and assess it.

5 Multi-site operations

Section overview

- The internal auditor needs to take into account a number of practical considerations when auditing multi-site operations.
- A number of approaches may be adopted including:
  - compliance-based audit approach; and
  - process-based audit approach.

Some organisations have several outlets which all operate the same systems. A good example of this would be a retail chain, which would have a number of shops where systems relating to inventory and cash, for example, would be the same.

The objective of audits of multi-site operations is the same as the objective of single site operations. However, as results might vary across the different locations, the internal auditor has to take a different approach. Some possible approaches to multi-site operations audits are set out below.

(a) **Compliance-based audit approach**

With a compliance-based audit approach, a master audit programme is drawn up which is used to check the compliance of the branches with the set procedures, after which the results from the branches are compared. There are two possible ways of undertaking the compliance-based approach:

(1) **Cyclical**. This approach is based on visiting all the sites within a given time frame.

(2) **Risk-based**. This alternative determines which branches are to be visited based on the risk attached to them.

(b) **Process-based audit approach**

With a process-based audit approach, the audit is planned so that specific key processes are audited. In a retail operation, for example, this could involve the important process of cash handling being audited. This approach can also be undertaken in two ways:

(1) **Cyclical**. Aims to audit all processes in a business within a set time frame.

(2) **Risk-based**. The processes to be audited are determined with reference to the risk attached to them.

5.1 Practical considerations

The practical issues to consider in relation to multi-site operations are as follows:

- Which sites to visit

- How often to visit various sites
- Whether to conduct routine or surprise visits and the mix of these types of visit

Remember that the considerations behind which sites to visit will not be the same as for external auditors. Internal auditors may consider issues (among others) such as the following:

- Size of operation
- History of systems compliance
- Quality/experience of staff on site
- Past results of testing
- Management interest in particular sites

Interactive question 3: Multi-site operations

You are the Chief Internal Auditor of Adam Ltd, which owns and operates three large department stores in Wandon, Thuringham and Tonchester. Each store has more than 22 departments.

You are at present preparing your audit plan and you are considering carrying out detailed audit tests on a rotational basis. You consider that all departments within the stores should be covered over a period of five years but that more frequent attention should be given to those where the 'audit risk' demands it.

Requirement

Describe the factors which you would consider in order to evaluate the audit risk attaching to each department.

See **Answer** at the end of this chapter.

6 Internal audit reporting

Section overview

- There are no formal reporting requirements for internal audit reports.
- This section therefore can only indicate best practice.

6.1 Objectives of reporting

The most important element of internal audit reporting is to **promote change** in the form of either **new or improved controls**. Descriptions of failings should promote change by emphasising the problems that need to be overcome and advising management on the steps needed to improve risk management strategies.

The auditors' report can emphasise the **importance of control issues** at times when other issues are being driven forward, for example new initiatives. Auditors can also help managers **assess the effect of unmitigated risk**. If auditors find that the internal control system is sound, then resources can be directed towards developing other areas.

Auditors should aim to have their **recommendations agreed by operational managers** and staff, as this should enhance the chances of their being actioned.

6.2 Forms of report

There are **no formal requirements** for internal audit reports as there are for the statutory audit. By contrast, the statutory audit report is a highly stylised document that is substantially the same for any audit. However, the following provides an indication of good practice.

The **executive summary** of an internal audit report should give the following information.

- Objectives of the assignment
- Major outcomes of the work
- Key action points
- Summary of the work left to do

The main body of the report will contain the detail; for example the audit tests carried out and their findings, full lists of action points, including details of who has responsibility for carrying them out, the future timescale and costs.

One clear way of presenting observations and findings in individual areas is as follows:

- Business objective that the manager is aiming to achieve
- Operational standard
- The risks of current practice
- Control weaknesses or lack of application of controls
- The causes of the weaknesses
- The effect of the weaknesses
- Recommendations to solve the weaknesses

The results of individual areas can be summarised in the main report:

- The existing culture of control, drawing attention to whether there is a lack of appreciation of the need for controls or good controls but a lack of ability to ensure compliance
- Overall opinion on managers' willingness to address risks and improve
- Implications of outstanding risks
- Results of control evaluations
- The causes of basic problems, including links between the problems in various areas

When drafting recommendations internal audit needs to consider the following:

- The available options, although the auditors' preferred solution needs to be emphasised
- The removal of obstacles to control. It may be most important to remove general obstacles such as poor communication or lack of management willingness to enforce controls before making specific recommendations to improve controls
- Resource issues, how much will recommendations actually cost and also the costs of poor control

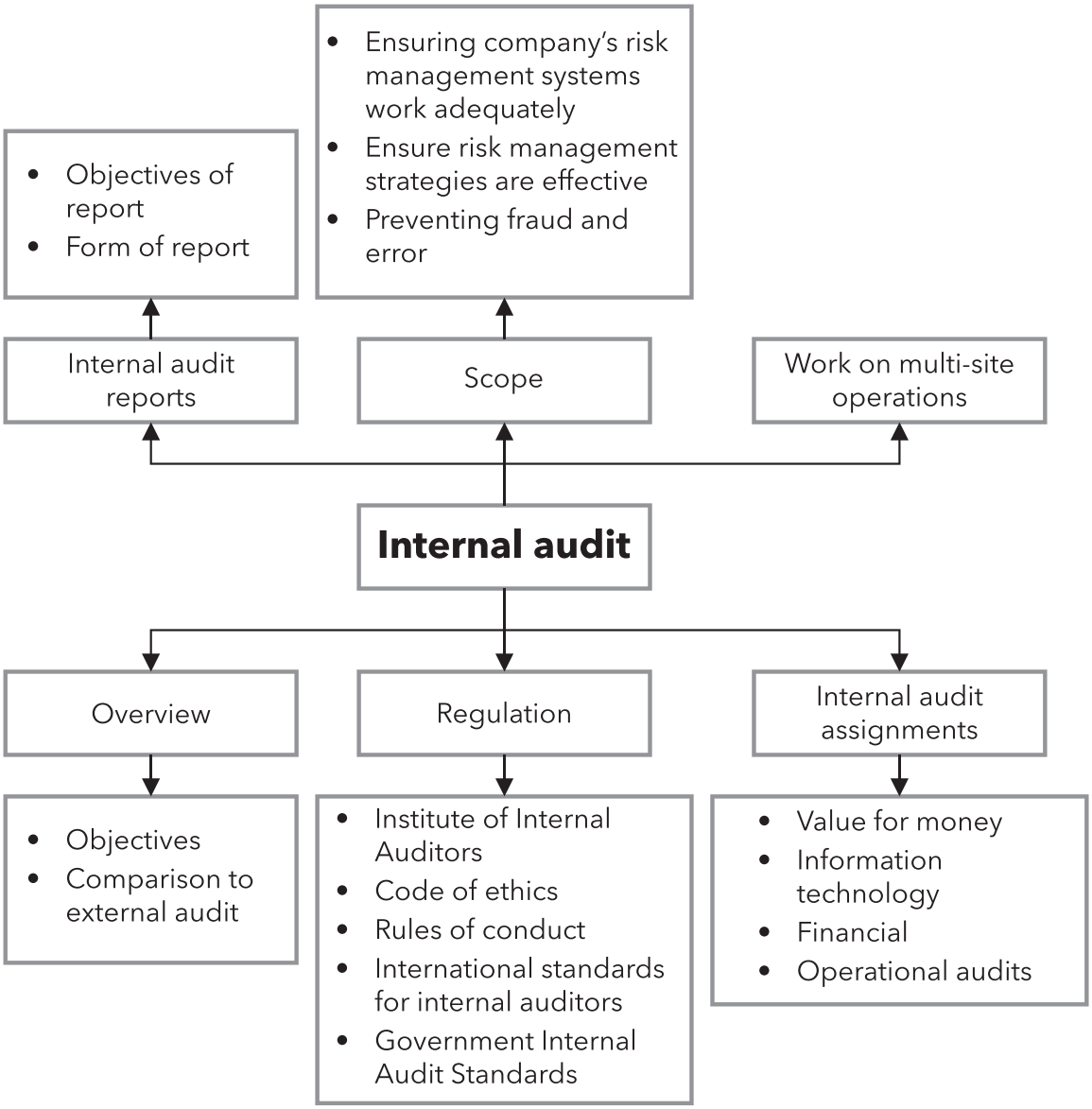
Recommendations should be linked in with the terms of reference, the audit performed and the results.



Professional skills focus: Concluding, recommending and communicating

You have already practised explaining how the external auditor concludes and recommends as part of addressing deficiencies in internal control. Now you need to be able to express similar conclusions from the perspective of the internal auditor. The key theme here is how you can get the message across, regardless of the circumstances.

Summary


Internal audit
Internal audit reports
Objectives of report
Form of report
Scope
Ensuring company's risk management systems work adequately
Ensure risk management strategies are effective
Preventing fraud and error
Work on multi-site operations
Overview
Objectives
Comparison to external audit
Regulation
Institute of Internal Auditors
Code of ethics
Rules of conduct
International standards for internal auditors
Government Internal Audit Standards
Internal audit assignments
Value for money
Information technology
Financial
Operational audits

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you remember what the internal audit function does and how it differs from external audit?
2.	Can you explain the various codes and standards in place to regulate internal auditors?
3.	Internal auditors can assist in sound governance practices by supporting risk management and combatting fraud and error. True or false?
4.	Can you list the various assignments that an internal audit function might get involved in and explain how each one would be undertaken?
5.	Are you able to explain the impact on an internal audit function if the organisation operates across several sites?
6.	Would you know how to communicate your findings if you were employed as an internal auditor?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Blackfoot Emissions Ltd	This question puts you in the position of Internal Audit manager and requires a series of practical solutions regarding how the internal audit function might address issues such as setting up an audit charter and planning a payroll audit.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Jupiter	This question demonstrates how the external auditor might be required to evaluate the impact of internal audit on their work and how much (if any) reliance can be placed upon it.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries.

You have now come to the end of this stage of your studies.

Technical references

1 Attribute standards (AS)

- Purpose, authority and responsibility – **AS 1000**
- Independence and objectivity – **AS 1100**
- Proficiency and due professional care – **AS 1200**
- Quality assurance and improvement programme – **AS 1300**

2 Performance standards (PS)

- Managing the internal audit activity – **PS 2000**
- Nature of work – **PS 2100**
- Engagement planning – **PS 2200**
- Performing the engagement – **PS 2300**
- Communicating results – **PS 2400**
- Monitoring progress – **PS 2500**
- Communicating the acceptance of risks – **PS 2600**

Self-test questions

Answer the following questions.

1 Internal auditing

Blackfoot Emissions Ltd has grown exponentially in recent years providing emissions monitoring and environmental management services to clients within the UK. All the management systems are centralised at the head office, although there exist five regional offices across the country in order to provide local response to clients' requirements. These local offices all use the corporate systems on a networked basis.

The board of directors have agreed that it is appropriate to establish an Internal Audit Function and you have been appointed as the Internal Audit Manager.

Requirements

1.1 You have been requested to recommend to the board how the function will operate. Prepare an Audit Charter.

1.2 The Finance Director has called you into his office and expressed concerns over the management of the payroll system, particularly now that the company has grown and is employing many consultants.

The Payroll department is incorporated within the Human Resources department and uses a software package called Upay. A single person has full responsibility for its operation and administers the whole process. Prepare a draft of the business process objective, and identify the key risks and appropriate controls that you would expect to find that require testing.

1.3 Draft the Terms of Reference for the Payroll Audit in preparation for circulation to senior management.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

The internal auditors review and test the system of internal control and report to management in order to improve the information received by managers and to help in their task of running the company. The internal auditors will recommend changes to the system to make sure that management receive objective information that is efficiently produced. The internal auditors will also have a duty to search for and discover fraud.

In most jurisdictions, the external auditors review the system of internal control in order to determine the extent of the substantive work required on the year-end accounts. The external auditors report to the shareholders rather than the managers or directors. It is usual, however, for the external auditors to issue a letter of weakness to the managers, laying out any control deficiencies and recommendations for improvement in the system of internal control. The external auditors report on the truth and fairness of the financial statements, not directly on the system of internal control. The external auditors do not have a specific duty to detect fraud, although they should plan the audit procedures so as to have reasonable assurance that they will detect any material misstatement in the accounts on which they give an opinion.

Answer to Interactive question 2

(a) **Board of directors**

A high level of independence is achieved by the internal auditors if they report directly to the board. There may be problems with this approach.

(1) The members of the board may not understand all the implications of the internal audit reports when accounting or technical information is required.

(2) The board may not have enough time to spend considering the reports in sufficient depth. Important recommendations might therefore remain unimplemented.

A way around these problems might be to delegate the review of internal audit reports to an audit committee, which would act as a kind of subcommittee to the main board. The audit committee might be made up largely of non-executive directors who have more time and independence from the day to day running of the company.

(b) **Chief accountant**

It would be inappropriate for internal audit to report to the chief accountant, who is in charge of running the system of internal control. It may be feasible for them to receive the report as well as the board. Otherwise, the internal audit function cannot be effectively independent, as the chief accountant could suppress unfavourable reports or could just not act on the recommendations of such reports.

Answer to Interactive question 3

Risk may be evaluated by considering:

- the probability of an event
- the potential size of the event

In the case of an audit the event concerned is undetected material error or fraud.

In evaluating risk in the context of the audit of a company owning and operating three large department stores, the factors to be considered are as follows.

Factors influencing probability

(1) Strengths and deficiencies in the system of internal control, overall and for each individual store and department in respect of all types of internal control. It would be appropriate to consider such controls under the following headings.
   - Organisation of staff
   - Segregation of staff
   - Physical controls
   - Authorisation and approval
   - Arithmetic and accounting
   - Personnel
   - Supervision
   - Management

(2) Experience derived from previous audits and the conclusion of previous audit reports

(3) Whether the prices of goods sold are fixed by head office or variable by local store or departmental managers

(4) Extent of local purchasing for each store or department

(5) The nature of the inventory (for example high unit value, attractiveness)

(6) Effectiveness of cash-handling systems

Factors influencing size

(1) Relative size of department in terms of:
   - revenue
   - number of transactions
   - average value of inventory

(2) Internal statistics of losses through shoplifting and staff theft

Other general factors

(1) Comparison among stores and among like departments in the three stores, using ratio analysis

(2) Risk of deterioration or obsolescence of inventories

(3) Rate of turnover of store staff

Answers to Self-test questions

1 Internal auditing

1.1 Internal audit charter Purpose

Internal Audit is an independent review function set up within the organisation to provide assurance to the board on the adequacy and effectiveness of business systems and controls.

Independence

Internal Audit maintains an independent stance from the activities which it audits to ensure the unbiased judgements essential to its proper conduct and impartial advice to management.

Role and scope

The main role of Internal Audit is to help management with providing assurance as to the adequacy and efficiency of its business systems and controls. It does this by understanding the key risks of the organisation and by examining and evaluating the adequacy and effectiveness of the system of risk management and internal control as operated by the organisation. Internal Audit, therefore, has unrestricted access to all activities and information undertaken in the organisation, in order to review, appraise and report on the following:

- The adequacy and effectiveness of the systems of internal control. These shall include both financial and operational systems.
- The suitability, accuracy, reliability and integrity of financial and other management information and the systems used to generate such information.
- The extent of compliance with rules and standards established by management, and with externally set laws and regulations.
- The efficient acquisition and use of assets, ensuring that they are accounted for and safeguarded from losses of all kinds arising from waste, extravagance, inefficient administration, poor value for money, fraud or other cause and that adequate business continuity plans exist.
- The integrity of processes and systems, including those under development, to ensure that controls offer adequate protection against error, fraud and loss of all kinds; and that the process aligns with the organisation's strategic goals.
- The effectiveness of the function being audited, and to ensure that services are provided in a way which is economical and efficient.
- The follow-up action taken to remedy deficiencies identified by Internal Audit review, ensuring that good practice is identified and communicated widely.
- The operation of the organisation's corporate governance arrangements.

The board shall monitor the performance of the Internal Audit Function and the Head of Internal Audit shall report annually on the function's performance.

Reporting

Internal Audit reports regularly on the results of its work to the Audit Committee, which is a Board subcommittee. The Head of Internal Audit is accountable to the Audit Committee for the following:

- Providing regular assessments of the adequacy and effectiveness of the organisation's systems of risk management and internal control based on the work of Internal Audit.
- Reporting significant control issues and potential for improving risk management and control processes.

- Periodically providing information on the status and results of the annual audit plan and the sufficiency of Internal Audit resources.

Responsibility

The Head of Internal Audit reporting to the Managing Director and Audit Committee is responsible for effective review of all aspects of risk management and control throughout the organisation's activities.

The Head of Internal Audit is responsible for the following:

- Developing an annual audit plan based on an understanding of the significant risks to which the organisation is exposed; and agreeing it with the Audit Committee
- Implementing the agreed audit plan
- Maintaining a professional audit staff with sufficient knowledge, skills and experience to carry out the plan

1.2 Business objective for Human Resources payroll function

To provide accurate, agreed and timely payment to staff, in compliance with legislative and tax requirements, while providing effective, reliable, secure and maintainable records.

Key risks and controls

Category	Risk	Control
Reliability and integrity of financial and operational management	Creation of ghost employees	Segregation of data input and activation of payroll accounts within the system.
		Limited and controlled access to the system (eg, user logins and passwords).
		Creation or changes can only be entered on receipt of authorised change forms.
	Accuracy of data input	Each employee must have an individual payroll number and personnel file containing details of employment.
		Verification of data changes within the system by a separate person.
		Information relating to new starters is authorised and passed to payroll for input.
		Advances, loans and additional payments are supported by managerial authorisation, and separately identified within the system.
	Timely input of information	Regular system report to detail changes for comparison to employee files.
		Leavers are promptly removed or suspended within the system, as accepted within the agreed notice period.
		Payroll verifies to the business that input has occurred.
	Accuracy of payment data	Payment report generated and reviewed in advance of payment date.
		Payment run report and exception report are generated detailing data changes from previous period.

Category	Risk	Control
		This is authorised by an independent person before transfer of payments.
		Overtime payments are based on authorised timesheets.
	Inaccurate financial reporting	Payment report reconciled to bank statement and general ledger by independent person.
	Insecure and unreliable IT systems	Access to IT systems and network is limited to authorised personnel only.
	Payroll system Upay access is restricted by user login and secure password restrictions.	
	Adequate back-up and recovery processes are established and tested on a regular basis.	
	Insecure personnel files	Personnel files are held securely, with restricted access.
		Personnel information management systems are registered with the Information Commissioner's Office.
Effectiveness and efficiency of operation	Payroll department inadequately resourced	Payroll department has been established with clearly defined objectives and adequate resources.
	Potential for inconsistent processes and practices	Policies and procedures are in place to give guidance on the use and control of the system and business processes.
	Amendments to IT systems and processes are conducted in a controlled and authorised manner.	
Safeguarding of assets	Aggravation of staff	Ensure efficient operation of process within the key controls identified.
Compliance with legislation, codes and law	Inexperienced payroll staff	Payroll personnel are suitably experienced and qualified. They have information feeds that keep them abreast of changes to legislation and requirements.
	Tax Office communications are not passed to the Payroll function	Changes to tax codes are only actioned on receipt of formal notification from HMRC.
	Inability to produce legally required reports	Procedures exist for the generation of legally required documents such as P60, P45 and P11D.

Category	Risk	Control
	Reports generated late	Diary system operated to ensure that payment of all tax liabilities meets the requirements of statutory authority.
	Inaccurate or late payment of tax and National Insurance	Tax and National Insurance are collected by the system, reconciled on a monthly basis and paid over in accordance with Revenue guidelines and timescales.
	Data is not secure in compliance with Data Protection Act requirements	Payroll system access is restricted, and users have agreed to operate within an agreed 'Code of Conduct'.
		Information and reports generated are issued on controlled circulation listing.

1.3 **Draft terms of reference**

Subject Payroll

Managers responsible Head of HR, Payroll Manager

Audit scope

The audit will review the adequacy of controls and processes in existence over the administration and management of the payroll system. In particular the audit will review the following factors:

- System security arrangements for both IT and paper information
- Data security arrangements and compliance with the Data Protection Act
- Controls over the timely creation of new employees
- Amendment of data within the system
- Monthly reporting and reconciliation processes
- Segregation and approvals
- Conformance with statutory requirements

Management reporting

Any issues identified by the review will be discussed at the close out meeting and raised with the appropriate manager, and a draft report prepared. The draft report will be issued to relevant staff for comment and responses to recommendations. The final report will be circulated to the distribution list below.

Target dates for issue of the reports are:

- issue of draft report within seven days of the audit; and
- the business to agree a final report within 21 days of the draft report being issued.

Audit report distribution

The final report will be addressed to the Managing Director. Copies shall be issued to:

- Finance Director
- Operations Director
- Technical Director
- Head of Human Resources

Resources and timescales

Auditors: Doug Deeper

Timescale: Fieldwork commencing 1 July 20X8, for 2 weeks

Chapter 28

Audit Standards and Practices in the Public Sector

Introduction

Learning outcomes

Syllabus links

Chapter overview

Learning topics

1 Legal framework of public sector auditing

2 Types of public sector auditing & practices

3 Types of Auditing

4 Practices in Bangladesh

5 Audit standard and practices

6 INTOSAI framework of professional pronouncements

7 Legal Framework of supreme audit institution (SAI) in Bangladesh

Summary

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Additional Exercise



Learning outcomes

It is expected that after completing the chapter students will be able -

- Understand the legal framework of public sector auditing
- Specify the types of public sector audit
- Narrate the internal control process and auditing
- Narrate the external control process and auditing
- Explain the public sector auditing standard and practices
- Demonstrate the application of INTOSAI.

Syllabus Links

The material in this chapter is linked to the previous course in the Certificate Level module of Accounting.

Examination Context

Questions on topics in this chapter will be descriptive and conceptual/mathematical. In the exam you may be required to:

- State the legal framework of public sector auditing
- Explain the types of public sector audit.
- Explain the internal control process and audit
- Explain the external control process and audit
- Use the international standards for public sector audit.

Chapter overview

- Auditors provide independent assurance to principals about the activities of their agents.
- There are international standards for conducting the external audits in the public sector. The standards focus on the area, plan and scope of audit work, evidence collection procedures, sampling and analyzing process, independence of the auditor and audit reports.
- PBE auditors are more concerned with other things than whether the financial statements accurately depict the PBE's financial situation. They are likely to have more regard to issues of fraud, waste and extravagance and to give an opinion on value for money.

1 Legal Framework of Public Sector Auditing

The Supreme Audit Institution (SAI) is the authority of a country for Public sector auditing. SAIs are national bodies responsible for the independent audit of government revenue and expenditures. In most countries the SAI has a close relationship with but remains independent of the legislature. In general terms the SAI's role is to provide an objective report to the public and the legislature on the legal and proper management of the public finances. The International Organization of Supreme Audit Institutions (INTOSAI), which is the recognized international body representing most SAIs, describes the management of public finances as a trust held by elected officials (who are thus accountable to the public for the exercise of this trust) and external audit as part of a regulatory system whose aim is to reveal deviations from accepted standards of legality, economy, efficiency and effectiveness of financial management (INTOSAI 1977). However the scope of external audit work will vary depending on the legal mandate of the external auditor. The role of the SAI may be prescribed in the constitution or in legislation – in the latter case either in a public finance law or in a separate law on external audit. The legislative trend in recent years has been to develop separate audit legislation.

2 Types of Public Sector Audit and Practices

In General, public sector auditing can be categorized in two forms.

- Internal Auditing
- External Auditing

External and internal auditors can each be involved in regularity, performance and compliance audits. The major forms and the types are explained below;

2.1 Forms/structure of Auditing

1) Internal Auditing:

Internal audit (IA) is an integral part of internal management controls. It can be viewed as a managerial control that functions by reviewing, evaluating and making recommendations for improving the effectiveness of the other controls. Its role is twofold.

- First, it exists to provide the head of a government entity (whether a ministry, department or agency) with an objective and independent opinion on the soundness of the internal operations of the institution.
- Second, its findings and recommendations should provide an input to management in taking corrective action to improve the effectiveness of the organization's operations.

International Standards for the Professional Practice of Internal Auditing

The Institute of Internal Auditors (IIA) issues International Standards for the Professional Practice of Internal Auditing. The underlying principles in internal auditing are generally similar to those for external auditing. Internal auditors should act diligently, professionally and with integrity at all times. Internal auditors should protect their actual and perceived objectivity and independence and take steps to avoid or remove any actual or perceived conflicts of interest.

2) External Auditing

The Supreme Audit Institution is responsible for external audit of governmental institutions. In this general sense external auditors can reasonably be described as guardians of the public

interest, preventing or at least reporting on any misuse of public funds by the government. A well-functioning external audit institution has strong public credibility based on its independence and professional skills and the quality and relevance of its reports. External auditors have a uniquely broad overview of the operation of the PFM system, starting in some cases with budget development and approval and continuing through budget implementation and reporting. They have an important potential role as a catalyst to stimulate PFM reforms by appropriate evaluation and reporting on the operation of the PFM system and commenting on proposals by the government to modify the system of accounting and financial reporting. However SAI reporting arrangements and effectiveness also vary, reflecting both different administrative traditions and different legal frameworks.

The importance of the external audit component of the PFM system is reflected in the work of international development partners (the World Bank, the regional development banks, the IMF and bilateral aid agencies) in encouraging the development of external audit in developing and middle-income countries as part of overall improvement of their PFM system and in providing assistance in building capacity. In many such countries, lack of an adequate legal framework, inadequately transparent financial reporting by the government, and weak accounting and auditing capacity are likely to result in weak SAIs and therefore limited accountability for the management of public funds.

2.2 Major characteristics of External Audit

Detection of fraud and corruption:

As with private sector financial auditing, under auditing standards financial and compliance auditing does not have detection of fraud as its prime objective – even though the SAI may have a prosecutorial role in the case of identified financial improprieties. However, fraud may be detected or discouraged by the work of a sound SAI in reinforcing the legal and institutional arrangements of the country's PFM system. In this sense there may be an expectation gap: auditors sometimes describe themselves as a "watchdog" rather than a "bloodhound." In many countries separate public sector agencies (for example, a financial inspectorate) have a specific mandate to detect and prevent fraud and corruption.

Systems-based auditing:

It should be understood that modern financial and compliance auditing does not (and indeed cannot) check every transaction. Rather, a systems-based approach is used, under which control systems are reviewed and, based on perceived levels of risk arising from gaps or deficiencies in the system, particular transaction or types of transactions are selected for review.

Ancillary roles:

In some countries SAIs may have additional roles. For example, both the German and Russian SAIs assist the legislature in its review of the executive's proposed budget and, until the Office for Budget Responsibility was established in 2011, the U.K. National Audit Office reviewed and commented on economic and other assumptions used by the government in preparing the annual budget.

Reporting to the executive branch:

It needs to be recognized that the executive as well as the legislature potentially has a vital interest in the work of the SAI and can use it constructively in improving the PFM system. Thus, in some countries there is provision for the SAI to report both to the legislature and to the executive (head of state and/or prime minister). Indeed, in countries with a weak legislative tradition and authoritarian executive government, this may enhance the impact of the SAI's

work since it is directed at the main source of decision making, although it may also be regarded as reducing the SAI's independence from the process of decision making by the executive.

Pre-audit

The desirability of SAIs having a pre-audit role (that is, approving financial transactions before they are entered into) as well as a post-audit role (reviewing transactions after the event) is a debated issue. INTOSAI, while commenting that pre-audit is indispensible to sound public financial management and that some SAIs have this role, notes that this role may be carried out by other institutions.

Contracting out

In some countries, because of shortage of qualified auditors or as a matter of policy to provide contestability of audit services, the SAI may contract some of its work to private sector auditors, who may sign audit reports on behalf of the SAI. The auditing of sub-national government and of government businesses such as government agencies and state-owned enterprises are often contracted out. The SAI nevertheless remains responsible for the audit and must have appropriate quality-control mechanisms to govern this work.

2.3 Audit opinions in External Auditing

External auditors are required to give an opinion on the financial statements they have audited. An auditor's opinion can be either unmodified or modified. An unmodified opinion means 'the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework is often referred to as a clean audit opinion'.

The external auditor's objective relates to the absence of material errors or mistakes so the level of materiality is crucial to the auditor's opinion. The level of materiality affects both the amount of work that the auditor has to undertake to be confident about their opinion and the usefulness of the financial statements to the user.

The exact wording of opinions differ across countries. ISA 700 allows the opinion either to be whether the financial statements present fairly or give a true and fair view of the organization's finances. In this context:

- **true** means that information is factual and conforms with reality, conforms with required standards and law and the financial statements are based on data that has been correctly extracted from the financial systems; and
- **fair** means that information is free from discrimination and bias and reflects the substance of the organization's underlying transactions.

A modified opinion means that the auditor cannot affirm that the financial statements are true and fair.

There are three types of modified audit opinions according to ISA 705 Modification to the Opinion in the Independent Auditor's Report (IAASB, 804):

- qualified (either on the basis of misstatement or on the basis of an inability to obtain sufficient, appropriate audit evidence);
- adverse; and
- disclaimer.

A qualified opinion is given when the auditor concludes that the financial statements are materially misstated. This could be because they conclude the level of monetary error in a

balance was material or that the organization had failed to apply an accounting standard correctly.

Where the auditor is unable to obtain sufficient appropriate audit evidence on which to base their opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive, then they would issue a qualified opinion. In this situation the auditor would explain the circumstances of the limitation on the scope of their audit in the basis of their opinion

An adverse opinion is given when the auditor has obtained and evaluated sufficient audit evidence and 'concludes that misstatements, individually or in the aggregate, are both material and pervasive to the financial statements' (International Auditing and Assurance Standards Board (IAASB), 2020: 806).

The auditor shall disclaim an opinion when they are unable to obtain sufficient appropriate audit evidence on which to base an opinion and concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive.

2.4 External audit of public sector organizations

The external audit of a PBE might differ from the audit of a private sector organization in a number of ways. For a PBE the auditor may:

- be required to give an opinion about lawfulness of expenditure (and may have the power to declare items of expenditure as unlawful);
- place a greater emphasis on fraud and corruption (such as by carrying-out data-matching to detect frauds);
- place a greater emphasis on the value for money achieved by the organization;
- carry out audit checks on grants, on behalf of the grant givers;
- conduct special investigations; and
- may be obliged to answer questions and consider objections from members of the public about the financial statements being audited.

It is crucial that the users of accounts can rely on the opinions that auditors give and this requires the auditor to be independent of the organization that they are auditing. One particular instance where independence is critical is the audit of government itself. In that situation the auditor needs to have independence from the politicians and government that they are charged with auditing.

Interactive Question 1

When carrying out an audit, what are some warning signs that may cause an external auditor to suspect there could be fraud or irregularities in the financial statements?

See **Answer** at the end of this chapter.

3 Types of Auditing

3.1 Regularity auditing

Regularity auditing is what is seen as the traditional focus of auditing. A regularity audit is focused on financial statements or processes and the purpose is to reach an opinion about whether the statements or processes are 'regular' in the sense that they conform with

appropriate standards and conventions. Regularity auditing is sometimes referred to as financial auditing because of its focus on financial statements, or as statutory auditing, because it is the type of audit that public and private sector organizations are legally required to have in respect of their published financial statements.

Scopes of Financial audits are given below:

Table: Scope of Financial Audit

• budget preparation in accordance with instructions of the executive; • acceptable estimates; • budget structure in compliance with the law; • budget process in compliance with the law; • architecture of budget accounting system; • accounting systems and internal control; • safety, continuity, and verifiability of the budget system; • safety, continuity, and verifiability of systems in general; • efficiency of the budget system; • efficiency of systems in general; • effective budget control; • supervision structure;	• feedback systems; • timely updating of budgets; • accurate and complete collection of taxes; • feasibility and verifiability of new laws and regulations; • acceptability of commitments; • acceptability of contracts; • structure of the accounting system; • timeliness of accounting transactions; • registration of performance information; • materials management; • inventories; • efficient risk management; and • frequent screening of risk indicators.

Regularity audit is linked to the concept of stewardship. Arguably any person who is charged with using public money for some purpose (i.e., any public manager) has a responsibility to take care of it (to steward the money), but it would particularly be seen as the responsibility of the chief finance officer or treasurer of a Public benefit entity (PBE). The latter is required to produce a set of financial statements that demonstrate, inter alia, the stewardship of public money and those financial statements are subject to audit, to provide assurance to third parties that the financial statements are complete and accurate.

Regularity auditing is clearly relevant to external auditors as described earlier but internal auditors can carry out regularity audits. For example, an internal auditor might carry out an audit of the accounts payable computer system with the emphasis to ensure that all the payments made are correct and valid and the subsequent accounting entries are complete and accurate. . In fact, internal audit may undertake just this sort of regularity audit work in a coordinated programme with the external auditors so that the two auditors' resources are used most efficiently (i.e., effort is not duplicated) and there is less disruption to the organization's finance staff and managers.

Interactive Question 2

The external auditor of a public benefit entity (PBE) is auditing the income for the year. The level of materiality is set at BDT1 million. The total income is BDT50 million. Within this total, there was BDT47.5 million of government grants. All those grant claims and receipts have been checked and verified. Does the auditor need more evidence to be assured of the income figure?

See **Answer** at the end of this chapter.

3.2 Performance Auditing

Performance Auditing (PA) has been defined in various ways. Though there are variations in definition, it is common that PA will assess the performance of an entity whether tools may vary. National audit offices of countries across the world as well as the Supreme audit institution have defined the PA in various ways also. Whatever be, it is accepted that activities and results are the concern of performance auditing rather than reports or accounts (INTOSAI, 2019). INTOSAI (2019) asserts that performance audits contribute to transparency and accountability.

Following the opinions of the scholars and National audit offices of countries across the world, the contents of PA have changed over the years. The International Organization of Supreme Audit Institutions (INTOSAI) also has issued the guidelines for the contents along with the principles of PA.

Traditionally, PA focuses on the economy, efficiency and effectiveness of organizational and internal activities. These are often terms as three elements of PA **o**r 3Es. The International Standards of Supreme Audit Institutions (ISSAI) published by INTOSAI indicate the 3Es for the performance auditing. As per the ISSAI 300, Economy, Efficiency and Effectiveness are the premises of performance auditing. *The economy* emphasizes minimizing the costs of resources. Maintaining timeliness, appropriate quantity and quality at the best price can minimize the cost of resources. *Efficiency* is related to the output and the amount of input that has been used. Efficiency emphasizes maximizing the output by using the available resources regarding timeliness, quantity and quality. *Effectiveness* concerns the objective and attaining the intended results.

Interactive Question 3

If you were carrying out a performance audit of a service or project you are familiar with, what would be the main areas that you would examine? How easy or difficult would it be to measure the effectiveness of the service or project?

See **Answer** at the end of this chapter.

3.3 Compliance Audit

A compliance audit is about reviewing and checking whether an organization is carrying out a particular activity or function in line with the relevant laws or regulations. Different approaches to compliance audit can be taken depending on the organization and focus of the audit. In most cases, a specially trained auditor is assigned to work through a checklist, thus ensuring that all requirements are met, and nothing falls short of the relevant regulations.

Compliance auditing is very important in some sectors, particularly where regulations are complex and changing, such as financial services like banking and insurance. Compliance auditing is also particularly relevant where an organization needs to be accredited to carry out certain activities, such as forensic science laboratories. In these organizations the compliance audit provides assurance that they can be accredited and can continue in that activity or business.

3.4 Relationship between External and Internal Audit

Developing an effective working relationship between the bodies responsible for internal and external audit is important. Internal audit may carry out the same forms of audit as external audit (compliance, financial and performance audits) and use the same standards and methodologies but reports to top management in the executive as its "eyes and ears." As such, internal audit is a key component of the overall internal control system. Auditing standards

stress that external audit should have access to and use internal audit reports as part of its work. In practice, in many countries internal audit focuses on compliance auditing rather than financial or performance auditing.

Institutional arrangements for internal audit may vary significantly among countries. In some countries each ministry and government agency has its own internal audit unit, which reports to its top management. The heads of these units in some countries may be titled inspector-generals. In other cases there may be a central internal auditing bureau located in the ministry of finance and serving its control needs as well as or instead of the top management of individual administrative units. Such a unit may be located in the office of the prime minister or the president. In some countries central units have a strong tradition of ex-ante audit. In other countries both such institutions – a central unit based in the Ministry of Finance and the audit units in individual ministries and agencies – may coexist.

Interactive Question 4

Why is the internal audit code of ethics based on principles rather than rules?

See **Answer** at the end of this chapter.

4 Practices in Bangladesh

Office of the Comptroller and Auditor General of Bangladesh (OCAG) is the Supreme Audit Institutions (SAI) in Bangladesh. The OCAG is mandated by Article 128(1) of the Constitution of the People's Republic of Bangladesh. The OCAG is an independent audit oversight body and is known as an important pillar of the National Integrity Systems (NIS). The OCAG is responsible for auditing the receipts and expenditures of governments and give opinions on whether the money is duly accounted for under the rules and regulations of the Bangladesh government. According to section 5(1) of OCAG (Additional Functions) Act 1974, OCAG is authorized to audit the statutory public authorities, public enterprises and local governments as well.

There are 17 audit directories at OCAG. They are Civil Audit Directorate, Revenue Audit Directorate, Commercial Audit Directorate, Works Audit Directorate, Transport Audit Directorate, Foreign Aided Projects Audit Directorate, Posts, Telecommunication, Science, Information, And Technology Audit Directorate, Defense Audit Directorate, Health Audit Directorate, Education Audit Directorate, Agriculture and Environmental Audit Directorate, Local Government and Rural Development Audit Directorate, Social Security Audit Directorate, Power and Energy Audit Directorate, IT and Public Services Audit Directorate, Constitutional Bodies Audit Directorate and Mission Audit Directorate.

According to the constitution, parliament has the power to control the finances through approving the budget and assessing the audit reports. The Public Accounts Committee (PAC) which is established from the constitutional provision assesses the audit reports on public accounts. Therefore PAC plays an instrumental role on behalf of the parliament to ensure accountability.

The OCAG provides the audit reports on the accounts which are assessed by the PAC to reveal whether the funds approved by the parliament have been used for the target purpose and whether the expenditures have been incurred as per the authority and responsibility.

There are four types of public sector auditing in Bangladesh. They are -

1) Compliance Audit
2) Performance Audit
3) Special Case Audit
4) Financial Audit

5 Auditing Standard and Practices

Pronouncements and standards of external audit come from a variety of sources – two international professional organizations (INTOSAI and the International Federation of Accountants, IFAC), IFIs and the donor community and the NGO sector. Such standards are generally consistent but illustrate some difference in approach. For example as discussed below, professional standards set by INTOSAI are principles-based, whereas those developed by IFAC tend to be more rule-based. Accepted standards for external auditing are discussed below –

5.1 INTOSAI

Nearly all SAIs are members of INTOSAI, which now has some 190 member countries. As a professional body INTOSAI issues declarations, standards, guidelines and best practice statements to govern and strengthen the operations of SAIs, although it has no formal powers of enforcement. The two most significant declarations are the 1977 Lima Declaration on the Guidelines on Auditing Precepts and the 2007 Mexico Declaration on SAI Independence. The Lima Declaration covers several issues: the independence of SAIs; their relationship with the legislature and the government; their mandate and audit powers; audit methods, audit staff and international exchanges of experience; and reporting by SAIs. The Mexico Declaration sets out eight principles or pillars of SAI independence, which are discussed below. The 2010 INTOSAI Congress adopted international standards of supreme audit institutions (ISSAI). INTOSAI has also issued Guidance for Good Governance. These INTOSAI statements have wide authority and acceptance internationally, not just with SAIs but with national authorities responsible for PFM and with development partners. However, they may not always be reflected in the legal and operating frame-work established for a particular country's SAI. As a professional body INTOSAI also studies emerging issues (such as the SAI's role in program evaluation, anti-money-laundering activities and the development of "national indicators" which aim to measure "national well-being") and makes good-practice recommendations.

Apart from ISSAI, there are some other standards issued by development partners and International Financial Institutions (IFIs). These are discussed below –

5.2 PEFA assessment of SAIs

The PEFA PFM performance assessment tool (www.pefa.org) is now generally accepted as the international standard in assessing the quality of a country's PFM system. The 28 general indicators contain two on external audit and one related indicator on timelines for the preparation of financial statements. The first indicator covers the scope, nature and follow-up of external audit reports and notes. The second PEFA indicator examines legislative scrutiny of external audit reports.

5.3 IMF Code of Fiscal Transparency

The IMF manual (manual on fiscal transparency) states that an SAI, which is independent of the executive, should provide timely reports for the legislature and public on the financial integrity of government accounts. It notes that their essential function is to uphold and promote public accountability. It states that it is important that the SAI report directly to the legislature and that there should be a presumption that reports are publicly available once submitted to the legislature. The manual also stresses the importance of remedial action in response to adverse audit findings and that the executive branch should not be able to make the SAI ineffective by denying it adequate funding, controlling its staffing or delaying consideration of its reports. It considers that standards of external audit practice should be consistent with international standards, such as those issued by INTOSAI.

5.4 International Federation of Accountants (IFAC)

IFAC is an international professional body bringing together accounting and auditing organizations of 129 countries, both developed and developing, to achieve international harmonization and to improve accounting and auditing practices. IFAC has no formal powers to enforce adherence to its standards, and many countries have their own national standards – which may not be fully consistent with the international standards. However, member organizations are required to use their "best endeavors" to achieve adherence to international standards. The issue of international standards and guidance on good practices is a key component of IFAC's work, in which two main subsidiary bodies are involved. First, the International Auditing and Assurance Standards Board (IAASB) has issued some 36 international standards on auditing (ISAs) and one international standard on quality control (ISQC). While these professional auditing standards are considered generally applicable to government auditing, separate INTOSAI standards provide some clarification and modification to reflect the government environment. These auditing standards cover issues such as audit planning, quality control, assessing materiality and risk, assessing evidence, analytical work and audit sampling. Many countries have their own national auditing standards, which may differ from the international standards, and work on the convergence of national with international standards is ongoing. Second, the International Public Sector Accounting Standards Board (IPASB) has issued over 50 professional standards and pronouncements to govern financial reporting by governments and their component bodies, which are significant in terms of the SAIs role in auditing government financial statements. As with auditing standards, many countries have their own national standards for government financial reporting, and so the harmonization of national with international standards is a developing issue.

5.5 Practice in Bangladesh

The Office of the Comptroller and Auditor General of Bangladesh has taken INTOSAI and their standards for public sector auditing.

5.5.1 Framework of Controller General of Bangladesh

To understand the audit independence, it is required to assess the framework of the Controller General of Accounts (CGA). CGA is the Supreme Audit Institution (SAI) in Bangladesh. The public institution (central government) in Bangladesh has been shaped by the Westminster model, emphasizing the effective functioning of representative democracy and accountability. Therefore, in the Constitution of Bangladesh, the independence of the auditor has been tried to ensure. The framework of SAI in Bangladesh is presented below -
The governance framework of CAG (Comptroller and Auditor General) comprises two distinct frameworks: 1) the legal framework and 2) the operational framework.
The legal framework includes the mandate of the CAG and the statutory principle. The boundaries between the auditor and the auditee are established by the legal fra mework. All the relevant auditing standards, instructions, and guidance that have to be followed sequentially are included in the operational framework.

5.5.2 Legal Framework:

The Act of Parliament and the Bangladeshi Constitution mandate CAG to conduct audits. A person designated by CAG is legally permitted to evaluate all earnings and outlays. In order to ensure the accountability and transparency of public funds, he or she can examine all records, documents, stamps, securities, cash, and any government property that is in the possession of a person or organization in order to evaluate the revenues and expenses.
Legal Framework stands on three pillars – Constitutional mandate, statutory mandate and Audit code (Rules).

(1) ***Constitutional Mandate:*** The Bangladesh Constitution's Articles 127 through 132 confirms to CAG's auditing duties for the republic's public accounts. In accordance with the constitutional obligation, CAG audits all consolidated fund's income and expenditures as well as all receipts and payments of public accounts of the republic. Before delivering the reports to the parliament, CAG submits them to the president.

(2) ***Statutory Mandate:*** Article 128(3) of the Constitution has assigned additional responsibilities to the CAG through enacting Comptroller and Auditor General (Additional Functions) Act 1974 by the Parliament. As per the act, the CAG is the auditor for the statutory public authorities, public enterprises and local authorities.

(3) ***Audit code (Rules):*** CAG provides necessary directions, auditing principles and guide for auditing process through the audit roles under the Audit Code.

Operational Framework: The application of auditing within the established framework is the main emphasis of the operational framework. The CAG's operational framework contains standards, detailed guidelines, appropriate instructions, and practice notes. The following sections discuss the operational framework's components:

(1) ***Auditing Standards:*** CAG adopts and adheres to the International Standards on Supreme Audit Institutions (ISSAIs) for the auditing standards. Government Auditing Standards of Bangladesh (GASB) are created by CAG based on ISSAIs. As a result, CAG finally adopted INTOSAI for the auditing procedures in Bangladesh.

(2) ***Audit Guidelines:*** CAG has provided audit guidelines for three distinct auditing streams in accordance with the requirements. These are: 1) guidelines for compliance audits; 2) guidelines for financial audits; and 3) guidelines for performance audits. According to CAG's perspectives, the rules have been created taking into account both the local situation and global best practices. These guidelines are not particular to any one audit office, but rather general guidelines for all audit offices, according to CAG.

(3) ***Audit Instruction:*** CAG issue audit instruction to address the specific matters that are not covered by the general audit guidelines. CAG provides these instructions time to time.

(4) ***Practice Notes:*** CAG provides practice notes to explain the implementation of audit guidance in a special case.

(5) ***Manuals:*** In addition to audit guidelines, CAG offers office-specific and subject-specific materials. Both the auditor and the auditee can use these manuals as supplemental tools.

(6) ***Handbook:*** Considering the practical aspect and day to day requirements CAG may provide handbook focusing on the specific technical know-how.

Interactive Question 5

Suppose you have been hired by the Office of the Comptroller and Auditor General of Bangladesh (OCAG) to conduct financial audit of ministry of education.

Requirement

Mention the standard you would like to follow to conduct the audit.

See **Answer** at the end of this chapter.

6 INTOSAI Framework of Professional Pronouncements (IFPP)

INTOSAI Professional Pronouncements are the formal and authoritative announcements or declarations of the INTOSAI Community. They draw on the collective professional expertise of INTOSAI's members and provide INTOSAI's official statements on audit-related matters. All the pronouncements are organized and numbered according to their status and purpose in a single framework.

This framework –The INTOSAI Framework of Professional Pronouncements (IFPP) – contains three categories of professional pronouncements:

6.1 The INTOSAI Principles (INTOSAI-P)

The INTOSAI Principles consist of founding principles and core principles. The founding principles have historical significance and specify the role and functions, which SAIs should aspire to. These principles may be informative to Governments and Parliaments, as well as SAIs and the wider public and may be used as reference in establishing national mandates for SAIs.

The core principles support the founding principles for an SAI, clarifying the SAI's role in society as well as high level prerequisites for its proper functioning and professional conduct.

6.2 International standards of supreme audit institutions (ISSAI)

The ISSAIs are the authoritative international standards on public sector auditing. The ISSAIs are comprised of:

- The basic set of concepts and principles that define public sector auditing and the different types of engagements supported by the ISSAIs.
- The fundamental principles which INTOSAI have defined as universally applicable professional standards. The auditing practices of all SAIs as well as any national standards for public sector auditing should be aligned to these.
- The organizational level requirements which the SAI and the engagement level requirements which the auditor must comply with if they state compliance with the ISSAIs (rather than national standards)
- Application material that is relevant to ensure that the fundamental principles and requirements are understood and applied as relevant in the circumstances of the individual engagement.

The purpose of the ISSAIs is to:

- Ensure the quality of the audits conducted.
- Strengthen the credibility of the audit reports for users
- Enhance transparency of the audit process
- Specify the auditor's responsibility in relation to the other parties involved.
- Define the different types of audit engagements and the related set of concepts that
- Provides a common language for public sector auditing.

ISSAI 100 'The Fundamental Principles of Public Sector Auditing' operationalizes the INTOSAI principles into standards at both the organizational level and at the engagement level. ISSAI 100 defines the authority of the ISSAIs and defines how an auditor can claim ISSAI compliance in an audit report.

Interactive Question 6

What are the objectives of ISSAI?

See **Answer** at the end of this chapter.

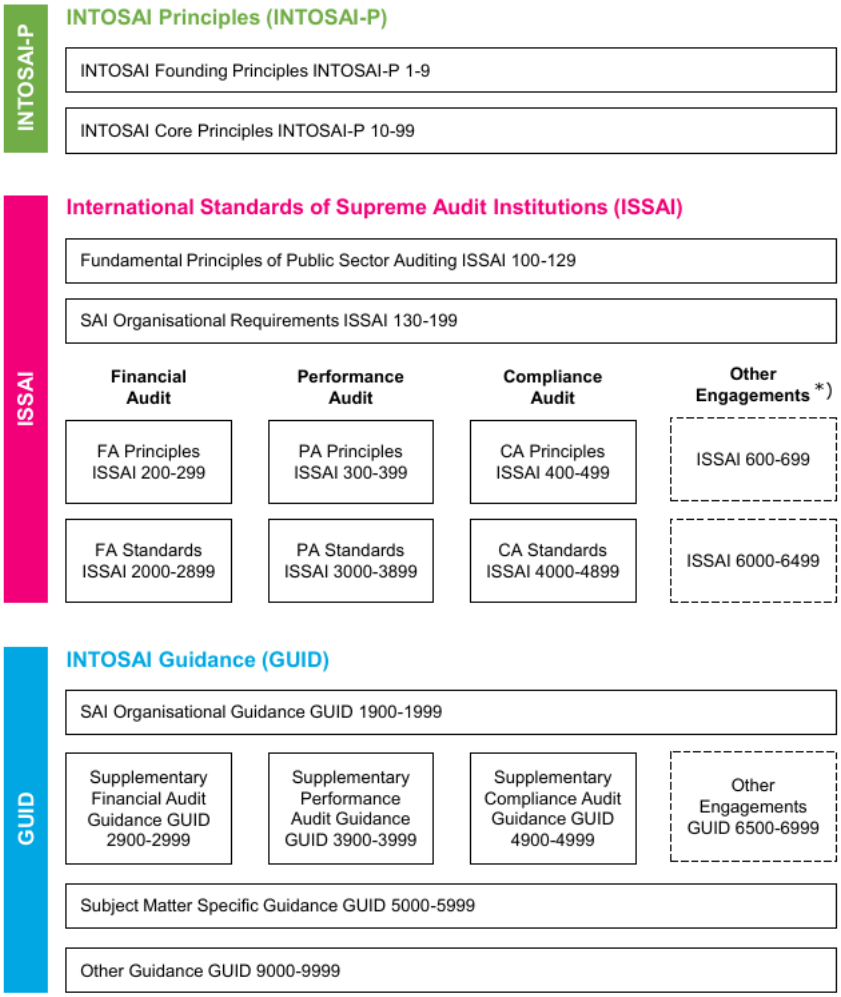
6.3 The INTOSAI Guidance (GUID)

The guidance is developed by INTOSAI in order to support the SAI and individual auditors in:

- How to apply the ISSAIs in practice in the financial, performance or compliance audit processes
- How to apply the ISSAIs in practice in other engagements
- Understanding a specific subject matter and the application of the relevant ISSAIs

The INTOSAI framework of professional announcement can be presented by figure. The figure is given below -

Figure - The INTOSAI Framework of Professional Pronouncements



**) The numbers 600-6999 are reserved for future development relating to other engagements based on ISSAI 100. Until the relevant pronouncements have been developed the three boxes representing these numbers may not appear on issai.org or other representations of the IFPP.*

6.4 Classification of INTOSAI Professional Pronouncements

The Forum for INTOSAI Professional Pronouncements (FIPP) has decided to use the following criteria to classify and number INTOSAI pronouncements in connection with FIPP's decisions on approval of project proposals, exposure drafts and endorsement versions.

CATEGORY NUMBER	CATEGORY	CLASSIFICATION CRITERIA
INTOSAI P1-9	INTOSAI founding principles	Founding historical principles specifying the role and functions that SAIs should aspire to. These principles may be informative to Governments and Parliaments, as well as SAIs and the wider public and maybe used as reference in establishing national mandates for SAIs.
INTOSAI P10-99	INTOSAI core principles	Core principles that support the founding principles for an SAI, clarifying issues in relation to the SAI's role in society as well as high level aspirations for the proper functioning and professional conduct of an SAI.
ISSAI 100-129	Fundamental principles of public sector auditing	Defines basic set of concepts and principles that defines public sector auditing and the different types of engagements supported by the ISSAIs.
ISSAI 130-199	SAI organizational requirements (SAI level)	Requirements for organizational functions of an SAI that are designed to enhance the performance of quality audits.
ISSAI 200-299	Financial audit principles	These define the elements and principles of financial auditing, with reference to the fundamental principles of public sector auditing.
ISSAI 300-399	Performance audit principles	These define the elements and principles of performance auditing, with reference to the fundamental principles of public sector auditing.
ISSAI 400-499	Compliance audit principles	These define the elements and principles of compliance auditing, with reference to the fundamental principles of public sector auditing.
ISSAI 2000-2899	Financial audit standards	Standards for financial auditing, in conformity with the financial audit principles.
ISSAI 3000-3899	Performance audit standards	Standards for performance auditing, in conformity with the performance audit principles.
ISSAI 4000-4899	Compliance audit standards	Standards for compliance auditing, in conformity with the compliance audit principles.

CATEGORY NUMBER	CATEGORY	CLASSIFICATION CRITERIA
GUID 1900-1999	SAI organizational guidance	Guidance that supports the SAI in enhancing organisational performance in practice related to the organizational requirements and ISSAI implementation.
GUID 2900-2999	Supplementary financial audit guidance	Guidance that supports the auditor in the financial audit process on how to apply the ISSAIs in practice.
GUID 3900-3999	Supplementary performance audit guidance	Guidance that supports the auditor in the performance audit process on how to apply the ISSAIs in practice.
GUID 4900-4999	Supplementary compliance audit guidance	Guidance that supports the auditor in the compliance audit process on how to apply the ISSAIs in practice.
GUID 5000-5999	Subject matter specific guidance	Guidance that supports the auditor in understanding a specific subject matter and the application of the relevant ISSAIs.
GUID 9000-9999	Other guidance	Other guidance that supports the auditor.
Reserved for future development based on ISSAI 100		
ISSAI 600-699	Principles for other engagements	These define the elements and principles of other engagements, with reference to the fundamental principles of public sector auditing.
ISSAI 6000-6499	Standards for other engagements	Standards for other engagements in conformity with the fundamental principles of public sector auditing. This may include other INTOSAI audit types or standards developed by other recognized standard setters and adopted by INTOSAI.
GUID 6500-6999	Supplementary guidance on other engagements	Guidance that supports the auditor in other engagements on how to apply the ISSAIs in practice.
7000-8999		Available for any future needs

7 Legal Framework of Supreme Audit Institution (SAI) in Bangladesh

To understand the audit independence, it is required to assess the framework of the Controller General of Accounts (CGA). CGA is the Supreme Audit Institution (SAI) in Bangladesh. The public institution (central government) in Bangladesh has been shaped by the Westminster model, emphasizing the effective functioning of representative democracy and accountability. Therefore, in the Constitution of Bangladesh, the independence of the auditor has been tried to ensure. The framework of SAI in Bangladesh is presented below -

The governance framework of CAG (Comptroller and Auditor General) comprises two distinct frameworks: 1) the legal framework and 2) the operational framework.

The legal framework includes the mandate of the CAG and the statutory principle. The boundaries between the auditor and the auditee are established by the legal fra mework. All the relevant auditing standards, instructions, and guidance that have to be followed sequentially are included in the operational framework.

Legal Framework:

The Act of Parliament and the Bangladeshi Constitution mandate CAG to conduct audits. A person designated by CAG is legally permitted to evaluate all earnings and outlays. In order to ensure the accountability and transparency of public funds, he or she can examine all records, documents, stamps, securities, cash, and any government property that is in the possession of a person or organization in order to evaluate the revenues and expenses.

Legal Framework stands on three pillars – Constitutional mandate, statutory mandate and Audit code (Rules).

(4) ***Constitutional Mandate:*** *The Bangladesh Constitution's Articles 127 through 132 confirms to CAG's auditing duties for the republic's public accounts. In accordance with the constitutional obligation, CAG audits all consolidated fund's income and expenditures as well as all receipts and payments of public accounts of the republic. Before delivering the reports to the parliament, CAG submits them to the president.*

(5) ***Statutory Mandate:*** *Article 128(3) of the Constitution has assigned additional responsibilities to the CAG through enacting Comptroller and Auditor General (Additional Functions) Act 1974 by the Parliament. As per the act, the CAG is the auditor for the statutory public authorities, public enterprises and local authorities.*

(6) ***Audit code (Rules):*** *CAG provides necessary directions, auditing principles and guide for auditing process through the audit roles under the Audit Code.*

Operational Framework: *The application of auditing within the established framework is the main emphasis of the operational framework. The CAG's operational framework contains standards, detailed guidelines, appropriate instructions, and practice notes. The following sections discuss the operational framework's components:*

(7) ***Auditing Standards:*** *CAG adopts and adheres to the International Standards on Supreme Audit Institutions (ISSAIs) for the auditing standards. Government Auditing Standards of Bangladesh (GASB) are created by CAG based on ISSAIs. As a result, CAG finally adopted INTOSAI for the auditing procedures in Bangladesh.*

(8) ***Audit Guidelines:*** *CAG has provided audit guidelines for three distinct auditing streams in accordance with the requirements. These are: 1) guidelines for compliance audits; 2)*

guidelines for financial audits; and 3) guidelines for performance audits. According to CAG's perspectives, the rules have been created taking into account both the local situation and global best practices. These guidelines are not particular to any one audit office, but rather general guidelines for all audit offices, according to CAG.

(9) ***Audit Instruction:*** *CAG issue audit instruction to address the specific matters that are not covered by the general audit guidelines. CAG provides these instructions time to time.*

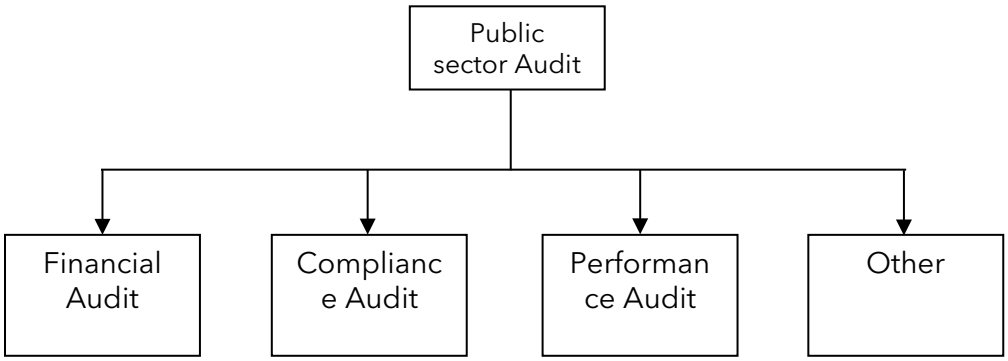
(10) ***Practice Notes:*** *CAG provides practice notes to explain the implementation of audit guidance in a special case.*

(11) ***Manuals:*** *In addition to audit guidelines, CAG offers office-specific and subject-specific materials. Both the auditor and the auditee can use these manuals as supplemental tools.*

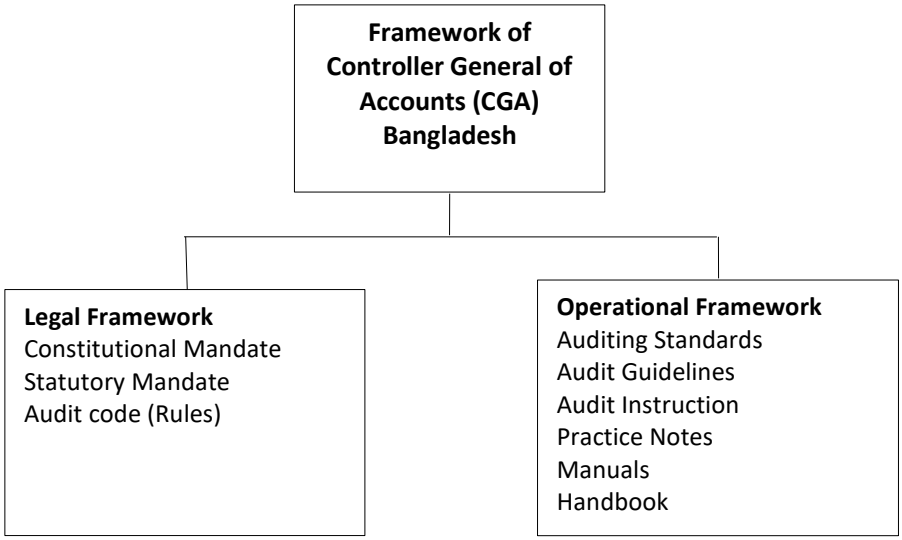
(12) ***Handbook:*** *Considering the practical aspect and day to day requirements CAG may provide handbook focusing on the specific technical know-how.*

Summary

1) Types of Public Sector Auditing



2) Framework of Controller General of Accounts (CGA) of Bangladesh



Technical References

1	International standards of supreme audit institutions (ISSAI)	INTOSAI

Self-test questions

1. Internal Audit is carried out by?

a. The Institute of Internal Auditors
b. National Audit Department
c. Internal Audit Unit
d. National Audit Department of Internal Audit Unit

2. What are the nature and scope of audit work?

a. Reasonable precautions to safeguard collection and custody of public money.
b. Payments made with proper authority supported by sufficient vouchers
c. Due care has been taken into account for proper use, control, maintenance and disposal of all public stores.
d. All of the above

3. Which one is a NOT type of audits?

a. Financial Audit
b. External Audit
c. Compliance Audit
d. Performance Audit

4. External audit for public sector aims –

a. To achieve high level of public accountability
b. To have clear understanding about the organization's strategic directions and objectives
c. To maintain or improve the efficiency and effectiveness of internal control and governance.
d. All of the above

5. Which one is not the duty of public sector organizations?

a. Maintain proper accounting system and practice.
b. Perform record keeping.
c. Review statement and provide any related comments.
d. Prepare financial statements at the end of the day.

6. Which one of these are the powers of Audit General?

a. Have powers to call upon any person for explanation and information for all records, vouchers, documents and properties subject to audit.
b. Have powers to add or remove the details in the financial statements.
c. Have powers not to obtain the advice of law office upon legal matters.
d. None of the above.

7. Which one is Not a key challenge of public sector auditing?

a. Increase use of technology

b. Receive a demand for new types of audits.

c. Inadequate number and relative competence of Audit Personnel

d. Transitional method: Straight line and Reducing balance.

8. Which is the function of compliance audit?

a. To determine the true and fair view of the annual financial statement

b. To determine and examine evidence whether a financial or operating activity confirms to specified conditions, rules or regulations.

c. To assess or examine the extent to which an activity, programme or public institution operates efficiently and effectively.

d. All of the above .

9. Who will present the audit report to the PAC?

a. Public sector organizations

b. Auditor general department

c. Public accounts committee

d. None of the above

10. INTOSAI stands for –

a. The International Organization of Supreme Audit Institutions

b. International Organization of Audit

c. International Organization of Public Audit

d. International Organization of Public sector Audit

Answers to Interactive questions

Interactive Question 1

There are many indicators that could raise an auditor's suspicions but none of them are proof that fraud is taking place. The auditor would have to conduct suitable tests to find evidence that either confirms or negates their suspicions.

The signals could include:

- lack of records
- weak or non-existent internal controls
- poor or non-existent segregation of duties
- auditor has difficulty obtaining source documentation (because this could indicate such records have been destroyed or concealed)
- unsatisfactory explanations given to queries raised
- defensive attitude by staff, such as being unwilling to answer reasonable questions
- unusual payments in terms of amounts, frequency or nature, being made
- staff with lifestyles beyond the level commensurate with salary
- fragile accounting systems
- problems with the organization's bankers, solicitors and previous auditors
- staff who work long hours and never take a holiday because this might suggest they are worried others will discover discrepancies

Interactive Question 2

The auditor has verified 95 per cent of the BDT50 million income. This is good but there is no evidence of the remaining BDT2.5 million of income that is from other sources and there is potential for that to be materially mis-stated (that is, be wrong by BDT1 million or more). Some extra evidence should be sought to confirm the total income is BDT50 million.

Interactive Question 3

Performance Audit (PA) has been defined in various ways. Though there are variations in definition, it is common that PA will assess the performance of an entity whether tools may vary. National audit offices of countries across the world as well as the Supreme audit institution have defined the PA in various ways also. Whatever be, it is accepted that activities and results are the concern of performance auditing rather than reports or accounts. INTOSAI (2019) asserts that performance audits contribute to transparency and accountability. Therefore, SAI guidelines as well as practices of a country will define the measurement of PA. However, International Standards of Supreme Audit Institutions (ISSAI) 3000 to 3899 can provides a brief guidelines if the SAI follows INTOSAI.

Interactive Question 4

The advantage of principles over rules is the flexibility. All internal audit teams, whether in the public or in the private sector, can adopt processes and practices that comply with the principles whilst also fitting their context. Principles can also be written concisely because they do not have to be explicit about all the possible variations in circumstances. A rules-based approach would have the problem of either having simple rules, which do not fit every circumstance, or having very long and complicated rules, which cover (almost) every circumstance.

Principles-based codes usually operate on the basis of 'comply or explain'. Generally, an internal auditor is expected to comply with the principles but perhaps there are occasions where they choose not to comply because that would be in the best interests of stakeholders (not the internal auditor). In such situations the internal auditor could write down their reasons for non-compliance with the code.

The disadvantage of principles-based codes is that the subjective nature of principles may make it harder to judge when an internal auditor is in breach of them.

Interactive Question 5

As the Office of the Comptroller and Auditor General of Bangladesh (OCAG) is a member of INTOSAI and follows ISSAI, ISSAI 2000 – 2899 are applicable for the ministry of education for the financial audit.

Interactive Question 6

The purpose of the ISSAIs is to:

- Ensure the quality of the audits conducted.
- Strengthen the credibility of the audit reports for users
- Enhance transparency of the audit process
- Specify the auditor's responsibility in relation to the other parties involved.
- Define the different types of audit engagements and the related set of concepts that
- Provides a common language for public sector auditing.

Answers to Self-test questions

No.	Ans.	Details
1	c	Internal Audit Unit National audit department do not perform the internal audit activity. It is duty of internal audit unit of an organization.
2	d	All of the above. Nature and scope of audit work include - reasonable precautions to safeguard collection and custody of public money, Payments made with proper authority supported by sufficient vouchers and due care has been taken into account for proper use, control, maintenance and disposal of all public stores.
3	b	External Audit. External and internal auditors can each be involved in different types of audit, e.g., regularity, performance and compliance audits.
4	a	To achieve high level of public accountability. External audit is conduct to ensure the accountability of public money. It is not conducted to check the organization strategy or efficiency.
5	c	Review statement and provide any related comments. Reviewing statement is the activity of an audit not an activity of accounting.
6	a	Have powers to call upon any person for explanation and information for all records, vouchers, documents and properties subject to audit. Audit general do not add or remove the details in the financial statement.
7	d	Transitional method: Straight line and Reducing balance. Public sector auditing is facing a number of challenges like use of technology, demand for new types of audits and lack of adequate skill personnel.
8	b	To determine and examine evidence whether a financial or operating activity confirms to specified conditions, rules or regulations. Financial audit determine the true and fair view of the annual financial statement. Performance audit assesses or examines the extent to which an activity, programme or public institution operates efficiently and effectively.
9	b	Audit or general department presents the audit report to the public accounts committee. Public sector organizations can not present to the public audit committee directly.
10	a	The International Organization of Supreme Audit Institutions (***INTOSAI***)

Additional exercise

Additional exercise 1

What are some of the distinguishing characteristics between government and private sector accountability?

Management is accountable for its action in both government and private sectors. Also, the Standards for the Professional Practice of Internal Auditing apply to internal auditors for both the government and private sectors, but the Government Auditing Standards only applies to federal auditors. Listed below are some of the distinguishing characteristics between government and private sector accountability.

1. Governmental sector's purpose is to carry out governmental functions by promoting the general welfare. Private sector's primary purpose is to benefit and financially enrich one or more specific individuals, through operating the entity in a manner to increase the value of their assets. This means that the primary beneficiaries of the governmental entity are the public while the primary beneficiaries of the private entity are its owner(s). Governmental sectors regulate the private sectors within its jurisdiction to make sure that certain standards are upheld for the well-being of the public.
2. The balance sheet and income statement are powerful tools of accountability for the private sector because they are operating for profit. The government's set goals and how they can be successfully reached are the government's powerful tools of accountability.
3. A private sector business will go out of business once it is not profitable. Once a government program outlives its usefulness, they are cancelled. Because of this, auditors serve several purposes in the accountability process, such as ensuring appropriate internal controls are successfully in place, reporting to the public on activities of government managers, reporting to other levels of government on use of funds, and reporting on the results of operations and financial position of the government.
4. Private sectors do not have any particular geographic constraints or commitments like governmental sectors do. A private entity can relocate their business to a different state or country while bringing the assets, jobs, and revenue with them to the new site.
5. Private sectors usually operate with objectives that can be clearly measured in a model of economic efficiency. The government sector cannot always do this because certain goals cannot always be measured based on establishing one program or factor. However, the government has an annual performance report review to see if the performance goals were or were not met and the reasoning. Each year these results areas compared to the goals and the results from the three previous years.
6. The private sector operates without the checks and balances of the government sector, but the SEC requires them to disclose financial and other information to the public to provide investors of knowledge for making judgment on the risk of investment.
7. Government entities are lawfully required to conduct their business through open, transparent processes to ensure accountability to the citizens.

Additional exercise 2

What are the differences between the internal audit and external audit in public sector?

Answer: Do yourself from this chapter of workbook.

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Glossary of terms



12-month expected credit losses:

The portion of lifetime expected credit losses which represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Accounting estimate: A monetary amount for which the measurement, in accordance with the requirements of the applicable financial reporting framework, is subject to estimation uncertainty.

Accrual accounting: The effects of transactions and other events and circumstances on a reporting entity's economic resources and claims are recognised in the periods in which they occur, even if the resulting cash receipts and payments occur in a different period. (*Conceptual Framework*: para 1.17)

Actuarial risk: This is the risk that the actuarial assumptions such as those on employee turnover, life expectancy or future salaries vary significantly from what actually happens.

Agricultural activity: Defined as the management of the biological transformation of biological assets for sale, into agricultural produce, or into additional biological assets.

Agricultural activities include, for example, raising livestock, forestry and cultivating orchards and plantations.

In its simplest form a biological transformation is the process of growing something such as a crop, although it also incorporates the production of agricultural produce such as wool and milk.

Agricultural produce: The harvested produce of an entity's biological assets.

Amortised cost: The amount at which the financial asset or liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

Antidilution: An increase in earnings per share or a reduction in loss per share resulting from the assumption that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of specified conditions.

Artificial intelligence (AI): Technology to help improve decisions made by machines, based on machine learning, in an attempt to make better decisions than humans can. AI requires pattern recognition and learning, rather than relying on a series of complex rules, so is not the same as expert systems, which failed to grasp the complexities of the real world and were unable to adapt to dynamic situations. AI systems use complex programming to know how to behave in certain situations, while machine learning promotes automatic learning without being prompted.

Assertions: The representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatement that may occur.

Asset: A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits. (*Conceptual Framework, para. 4.2*)

Assurance engagement: An assurance engagement is one in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of

confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

Audit risk: The risk that auditors may give an inappropriate audit opinion when the financial statements are materially misstated. Audit risk has two key components: **risks of material**

misstatement in the financial statements and the risk of the auditor not detecting material misstatements in the financial statements (**detection risk**).

Audit sampling: Defined by ISA 530 *Audit Sampling* as:

"The application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population."

Auditor's expert: An individual or organisation possessing expertise in a field other than accounting and auditing, whose work in that field is used by the auditor in obtaining sufficient, appropriate audit evidence. An auditor's expert may be either an auditor's internal expert (a partner or staff of the auditor's firm, or a network firm) or an auditor's external expert.

Big data: A term that describes those "datasets whose size is beyond the ability of typical database software to capture, store, manage and analyse."*(*McKinsey Global Institute, *Big data: The next frontier for innovation, competition and productivity*, 2011*).*

Biological asset: A living plant or animal.

Biological transformation: Comprises the processes of growth, degeneration, production and procreation that cause qualitative or quantitative changes in a biological asset.

Borrowing costs: Interest and other costs incurred by an entity in connection with the borrowing of funds.

Close family: A non-dependent parent, child or sibling.

Closing rate: The spot exchange rate at the reporting date.

Compilation engagement: An engagement in which a practitioner applies accounting and financial reporting expertise to help management with the preparation and presentation of financial information of an entity in accordance with an applicable financial reporting framework, and reports as required by the relevant ISRS.

Compliance risks: Risks arising from non-compliance with laws, regulations, policies, procedures and contracts.

Examples: breach of company law, non-compliance with accounting standards; listing rules; taxation; health and safety; environmental regulations; litigation risk against client.

Component: An entity or business activity for which the group or component management prepares financial information that should be included in the group financial statements.

Component auditor: An auditor who, at the request of the group engagement team, performs work on financial information related to a component for the group audit.

Component materiality: The materiality for a component determined by the group engagement team.

Consolidated financial statements: The financial statements of a group presented as those of a single economic entity. (IFRS 10)

Control risk: The risk that a misstatement could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, **will not be prevented, or detected and corrected**, on a timely basis by the entity's system of internal control.

Corporate governance: Corporate governance involves a set of relationships between a company's management, its board, its shareholders and other stakeholders. Corporate governance also provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance are determined... providing shareholders, board members and executives as well as financial intermediaries and service providers with the right incentives to perform their roles within a framework of checks and balances (OECD, 2015).

An alternative definition is: The set of processes, customs, policies, laws and institutions affecting the way in which an entity is directed, administered or controlled. Corporate governance serves the needs of shareholders, and other stakeholders, by directing and controlling management activities towards good business practices, objectivity and integrity in order to satisfy the objectives of the entity.

Covered person: A person in a position to influence the conduct or outcome of the engagement.

Creative accounting: The active manipulation of accounting results for the purpose of creating an altered impression of the underlying financial position or performance of an enterprise by using accounting rules and guidance in a spirit other than that which was intended when the rules were written.

Credit loss: The difference between all contractual cash flows that are due to an entity in accordance with the contract and all the cash flows that the entity expects to receive discounted at the original effective interest rate.

Credit transaction: A transaction where payment is deferred (eg, goods bought from company on credit terms).

Current cost: Current cost, like historical cost, is an entry value: it reflects prices in the market in which the entity would acquire assets or incur the liability.

Current value: The price paid for an asset or the liability value will be updated to reflect any changes since it was acquired or incurred. There are three main bases recognised by the *Conceptual Framework* that make up current value:

Data analytics: The process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.

Closely linked to the term data analytics is data mining.

Data mining: The process of sorting through data to identify patterns and relationships between different items. Data mining software, using statistical algorithms to discover correlations and patterns, is frequently used on large databases. In essence, it is the process of turning raw data into useful information.

Deductible temporary differences: Temporary differences that will result in amounts that are deductible in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

Deferred tax assets: The amounts of income taxes recoverable in future periods in respect of:

- deductible temporary differences; and
- the carry forward of unused tax losses/unused tax credits.

Deferred tax liabilities: The amounts of income taxes payable in future periods in respect of taxable temporary differences.

Deficiency: A deficiency in internal control exists when:

- a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis; or
- a control necessary to prevent, or detect and correct, misstatements in the financial statements on a timely basis is missing.

Defined benefit obligation: The defined benefit obligation is the present value of all expected future payments required to settle the obligation resulting from employee service in the current and prior periods.

Derecognition: The removal of all or part of a recognised asset or liability from an entity's statement of financial position. Derecognition normally occurs when that item no longer meets the definition of an asset or liability. (*Conceptual Framework*: para. 5.26)

Detection risk: The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level **will not detect a misstatement** that exists and that could be material, either individually or when aggregated with other misstatements.

Discontinued operation: A component of an entity that has either been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

Disposal group: A group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction. (In practice a disposal group could be a subsidiary, a cash-generating unit or a single operation within an entity.)

(IFRS 5)

Dividend: An amount payable to shareholders from profits or other distributable reserves.

Economy: Attaining the appropriate quantity and quality of physical, human and financial resources (inputs) at lowest cost. An activity would not be economic if, for example, there was overstaffing or failure to purchase materials of requisite quality at the lowest available price.

Effective interest method: A method of calculating the amortised cost of a financial instrument and of allocating the interest income or interest expense over the relevant period.

Effective interest rate: The rate that exactly discounts estimated future cash payments or receipts through the expected life of the instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effectiveness: This is concerned with how well an activity is doing in achieving its policy objectives or other intended effects (outputs).

Efficiency: This is the relationship between goods or services produced and the resources used to produce them (process). An efficient operation or process produces the maximum output for any given set of resource inputs, or it has minimum inputs for any given quantity and quality of product or service provided.

Electronic commerce (e-commerce): Involves individuals and companies carrying out business transactions without paper documents, using computer and telecommunications links.

Electronic data interchange (EDI): A form of computer to computer data transfer. Information can be transferred in electronic form, avoiding the need for the information to be re-inputted somewhere else.

Electronic mail (email): A system of communicating with other connected computers or via the internet in written form.

Embedded derivative: A component of **a hybrid (combined) instrument** that also includes a **non-derivative host contract** – with the effect that some of the cash flows of the combined instrument vary in a way similar to a stand-alone derivative.

Emphasis of matter paragraph: A paragraph included in the auditor's report that refers to a matter **appropriately presented or disclosed** in the financial statements that, in the auditor's judgement, is of such importance that it is fundamental to users' understanding of the financial statements.

(ISA 706.7a)

Entity relevant to the engagement: An entity with respect to which the firm and covered persons are required to be independent. In the case of an audit engagement, the entity relevant to the engagement is the audited entity.

Equity instrument: Any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Error: An unintentional misstatement in financial statements, including the omission of an amount or a disclosure.

Estimation uncertainty: Susceptibility to an inherent lack of precision in measurement.

Exchange difference: The difference resulting from translating a given number of units of one currency into another currency at different exchange rates.

Exchange rate: The ratio of exchange for two currencies.

Expected credit losses (ECL): The weighted average of credit losses with the respective risks of the default occurring as the weights.

External confirmation: Audit evidence obtained as a direct written response to the auditor from a third party.

Fair: The financial statements reflect the commercial substance of the company's underlying transactions and the information is free from bias.

Fair value: Price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. (IFRS 13, Appendix A)

Finance lease: A lease that transfers substantially all the risks and rewards incidental to ownership of an underlying asset.

Financial asset: Any asset that is:

- cash;
- an equity instrument of another entity;
- a contractual right:
  - to receive cash or another financial asset from another entity; or
  - to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity; or
- a contract that will or may be settled in the entity's own equity instruments and which is:
  - a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments; or
  - a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

Financial capital maintenance: Under a financial concept of capital maintenance, such as invested money and invested purchasing power, capital is synonymous with the net assets or equity of the entity.

Financial instrument: Any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial liability: Any liability that is:

- a contractual obligation:
  - to deliver cash or another financial asset to another entity; or
  - to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
- a contract that will or may be settled in the entity's own equity instruments and which is:
  - a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments; or

- a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

Financial risks: Risks arising from the company's financial activities (eg, investment risks) or the financial consequences of operations (eg, receivables risks).

Examples: going concern, market risk, overtrading, credit risk, interest rate risk, currency risk, cost of capital, treasury risks.

Firm commitment: A binding agreement for the exchange of a specified quantity of resources at a specified price on a specified future date or dates.

Forecast transaction: An uncommitted but anticipated future transaction.

Foreign currency: A currency other than the functional currency of the entity.

Foreign operations: Defined as any subsidiary, associate, joint venture or branch of a reporting entity, the activities of which are based or conducted in a country or currency other than those of the reporting entity.

Forensic auditing: The process of gathering, analysing and reporting on data, in a predefined context, for the purpose of finding facts and/or evidence in the context of financial or legal disputes and/or irregularities and giving preventative advice in this area.

Forensic investigation: Undertaking a financial investigation in response to a particular event, where the findings of the investigation may be used as evidence in court or to otherwise help resolve disputes.

Forgivable loans: Loans which the lender undertakes to waive repayment of under certain prescribed conditions.

Forward contract: A commitment to undertake a future transaction at a set time and at a set price.

Fraud: An intentional act by one or more individuals among management, those charged with governance, employees or third parties, involving the use of deception to obtain an unjust or illegal advantage.

Fraud risk factors: Events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. (ISA 240.12)

Functional currency: The currency of the primary economic environment in which the entity operates.

Future: This represents a **commitment** to an **additional transaction** in the future that limits the risk of existing commitments.

Gains: Increases in economic benefits. As such, they are no different in nature from revenue.

Going concern: Financial statements are normally prepared on the assumption that the reporting

entity is a going concern, and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the necessity of liquidation nor the need to cease trading.

(*Conceptual Framework*: para. 3.9)

Goodwill: Any excess of the cost of the acquisition over the acquirer's interest in the fair value of the identifiable assets and liabilities acquired as at the date of the exchange transaction.

Governance: The term used to describe the role of persons with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process. Those charged with governance may include management only when it performs such functions. (In the UK, those charged with governance include the directors (executive and non-executive) and members of the audit committee. In the UK, management will not normally include non-executive directors.)

Government assistance: Action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria.

Government grants: Assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

Grant date: The date at which the entity and other party agree to the share-based payment arrangement. At this date the entity agrees to pay cash, other assets or equity instruments to the other party, provided that specified **vesting conditions**, if any, are met. If the agreement is subject to shareholder approval, then the approval date becomes the grant date.

Grants related to assets: Government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets. Subsidiary conditions may also be attached restricting the type or location of the assets or the periods during which they are to be acquired or held.

Grants related to income: Government grants other than those related to assets.

Greenhouse gas statement: A statement setting out constituent elements and quantifying an entity's greenhouse gas emissions for a period (sometimes known as an emissions inventory) and, where applicable, comparative information and explanatory notes including a summary of significant quantification and reporting policies.

Greenhouse gases (GHGs): Carbon dioxide (CO_2) and any other gases required by the applicable criteria to be included in the GHG statement, such as: methane; nitrous oxide; sulphur hexafluoride; hydrofluorocarbons; perfluorocarbons; and chlorofluorocarbons.

Gross investment in the lease: The sum of:

(a) the lease payments receivable by the lessor under a finance lease; and

(b) any unguaranteed residual value accruing to the lessor.

Group: A parent and all its subsidiaries.

Group audit: The audit of the group financial statements.

Group engagement partner: The partner or other person in the firm who is responsible for the group audit engagement and its performance and for the auditor's report on the group financial statements that is issued on behalf of the firm.

Group engagement team: Partners, including the group engagement partner, and staff who establish the overall group audit strategy, communicate with component auditors, perform work on the consolidation process, and evaluate the conclusions drawn from the audit evidence as the basis for forming an opinion on the group financial statements.

Hedge ratio: The relationship between the quantity of the hedging instrument and the quantity of the hedged item in terms of their relative weighting.

Hedged item: An asset, liability, firm commitment, highly probable forecast transaction or net investment in a foreign operation that:

- exposes the entity to risk of changes in fair value or future cash flows; and
- is designated as being hedged.

Historical cost: The price paid for an asset or for the event which gave rise to the liability. The price will not change.

Independence: Freedom from conditions and relationships which, in the context of an engagement, would compromise the integrity or objectivity of the firm or covered persons.

Inherent risk: The **susceptibility** of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Inquiry: Consists of seeking information of knowledgeable persons both financial and non-financial within the entity or outside the entity.

Inspection: Means the examination of records, documents or tangible assets.

Insurance contract: A contract between two parties, where one party, the insurer, agrees to compensate the other party, the policyholder, if it is adversely affected by an uncertain future event.

Insurance risk: A risk that is not a financial risk. The risk in an insurance contract is whether an event will occur (rather than arising from a change in something), for example a theft, damage against property, or product or professional liability.

Integrity: Being trustworthy, straightforward, honest, fair and candid; complying with the spirit as well as the letter of the applicable ethical principles, laws and regulations; behaving so as to maintain the public's trust in the auditing profession; and respecting confidentiality except where disclosure is in the public interest or is required to adhere to legal and professional responsibilities.

Interim financial report: A financial report containing either a complete set of financial statements (as described in IAS 1) or a set of condensed financial statements (as described in this standard) for an interim period.

Interim period: A financial reporting period shorter than a full financial year.

Internal audit function: A function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes (ISA (UK) 610.14).

Internal control: A process designed, implemented and maintained by those charged with governance, management, and other personnel to provide reasonable assurance about the achievement of the entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations and compliance with applicable laws and regulations. It follows that internal control is designed and implemented to address identified business risks that threaten the achievement of any of these objectives.

Investment circular: Any document issued by an entity pursuant to statutory or regulatory requirements relating to securities on which it is intended that a third party should make an investment decision, including a prospectus, listing particulars, a circular to shareholders or similar document.

Investment property: Property (land or a building – or part of a building – or both) held (by the owner or by the entity as a right-of-use asset) to earn rentals or for capital appreciation or both, rather than for:

- use in the production or supply of goods or services or for administrative purposes; or
- sale in the ordinary course of business.

Investment risk: This is the risk that, due to poor investment performance, there will be insufficient funds in the plan to meet the expected benefits.

Joint arrangement: An arrangement of which two or more parties have joint control.

Joint control: The contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Joint operation: A joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement.

Joint venture: A joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement. (IFRS 11, Appendix A)

Key audit matters (KAMs): Those matters, that in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period. KAMs are selected from matters communicated with those charged with governance. In the UK, these include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditor, including those that had the greatest effect on:

- the overall audit strategy;
- the allocation of resources in the audit; and
- directing the efforts of the engagement team.

(ISA 701.8 & .A8-1)

ISA 701 identifies the purpose of including this information as being to:

- enhance the communicative value of the auditor's report;
- provide additional information to intended users; and
- assist users in understanding significant audit matters and the judgments involved.

(ISA 701.2)

Lease: A contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time, in exchange for consideration.

Lease payments: Payments made by a lessee to a lessor in order to use an underlying asset during the lease term, less any lease incentives.

IFRS 16 requires lease payments to also include the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, and any penalty payments for terminating the lease.

Lifetime expected credit losses: Those that result from all possible default events over the expected life of a financial instrument.

Loan: A sum of money lent for a time to be returned in money or money's worth.

Losses: Decreases in economic benefits. As such, they are no different in nature from other expenses.

Management commentary: A **narrative report** that provides a context within which to interpret the financial position, financial performance and cash flows of an entity. It also provides management with an opportunity to explain **its objectives and its strategies** for achieving those objectives. (IFRS Practice Statement)

Management's expert: An individual or organisation possessing expertise in a field other than accounting or auditing whose work in that field is used by the entity to assist the entity in preparing financial statements.

Material: Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. In other words, materiality is an entity-specific aspect of relevance based on the nature or magnitude, or both, of the items to which the information relates in the context of an individual entity's financial report.' (IAS 1: para. 7)

Materiality: Information is material if omitting it, or misstating or obscuring it could influence decisions that users make on the basis of financial information about a specific reporting entity. (IAS 1, para 7)

Measurement: Elements recognised in the financial statements are quantified in monetary terms. This requires the selection of a measurement basis. (*Conceptual Framework*: para. 6.1)

This involves the selection of a particular basis of measurement. A number of these are used to different degrees and in varying combinations in financial statements. They include the following.

Measuring units current at the reporting date: This is a unit of local currency with a purchasing power as at the reporting date, in terms of a general prices index.

Misstatement of the other information: This exists when the other information is incorrectly stated or otherwise misleading (including because it omits or obscures information necessary for a proper understanding of a matter disclosed in the other information).

A misstatement of other information also exists when the statutory other information has not been prepared in accordance with the legal and regulatory requirements applicable.

(ISA 720.12 and Appendix 1)

Monetary items: Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

Natural capital: This is defined by the NCC in terms of forests, rivers, mountains, minerals, fish populations and even oceans.

Net investment in a foreign operation: The amount of the reporting entity's interest in the net assets of that operation.

Net investment in the lease: The gross investment in the lease discounted at the interest rate implicit in the lease.

Non-compliance: Refers to acts of omission or commission by the entity, either intentional or unintentional, which are contrary to the prevailing laws or regulations. Such acts include transactions entered into by, or in the name of, the entity, or on its behalf, by those charged with governance, management or employees. Non-compliance does **not** include personal misconduct (unrelated to the business activities of the entity) by those charged with governance, management or employees of the entity. (ISA (Revised) 250A.12)

Objectivity: Acting and making decisions and judgments impartially, fairly and on merit (having regard to all considerations relevant to the task in hand but no other), without discrimination, bias, or compromise because of commercial or personal self-interest, conflicts of interest or the undue influence of others, and having given due consideration to the best available evidence.

Obligation: A duty or responsibility that the entity has no practical ability to avoid.

A present obligation exists as a result of past events if the entity has already obtained economic benefits or taken an action, and as a consequence, the entity will or may have to transfer an economic resource that it would not otherwise have had to transfer.

Observation: Consists of looking at a procedure or process being performed by others.

Operating lease: A lease that does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset.

Operating risks: Risks arising from the operations of the business.

Examples: loss of orders; loss of key personnel; physical damage to assets; poor brand management; technological change; stock-outs; business processes unaligned to objectives.

Operating segment: This is a component of an entity:

- that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);

- whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and
- for which discrete financial information is available.

The term 'chief operating decision maker' identifies a function, not necessarily a manager with a specific title. That function is to allocate resources and to assess the performance of the entity's operating segments.

Operational audits: Audits of the operational processes of the organisation. They are also known as management and efficiency audits. Their prime objective is the monitoring of management's performance, ensuring company policy is adhered to.

Option: This represents a commitment by a seller to undertake a future transaction, where the buyer has the option of not undertaking the transaction.

Options and warrants: Financial instruments that give the holder the right to purchase ordinary shares.

Other entity of public interest (OEPI): An entity which does not meet the definition of a Public Interest Entity, but nevertheless is of significant public interest to stakeholders (these are not straightforward to define but include insurance syndicates, pension schemes and smaller AIM listed entities)

Other information: Financial and non-financial information (**other than** financial statements and the auditor's report) included in an entity's annual report (such as summaries of key financial results, explanations of critical accounting estimates and financial measures or ratios).

Other long-term employee benefits: Employee benefits (other than post-retirement benefit plans and termination benefits) which do not fall due wholly within 12 months after the end of the period in which the employees render the service.

Other matter paragraph: A paragraph included in the auditor's report that refers to a matter **other than those presented or disclosed in the financial statements** that, in the auditor's judgement, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

(ISA 706.7b)

Person closely associated: This is:

(a) a spouse, or partner considered to be equivalent to a spouse in accordance with national law;

(b) a dependent child;

(c) a relative who has lived in the same household as the person with whom they are associated for at least one year;

(d) a firm whose managerial responsibilities are discharged by, or which is directly or indirectly controlled by, the firm/person with whom they are associated, or by any person mentioned in (a), (b) or (c) or in which the firm or any such person has a beneficial or other substantially equivalent economic interest; or

(e) a trust whose managerial responsibilities are discharged by, or which is directly or indirectly controlled by, or which is set up for the benefit of, or whose economic interests are substantially equivalent to, the firm/person with whom they are associated or any person mentioned in (a), (b) or (c).

Persons connected with a director: These include:

- directors' spouses, minor (including step) children

- a company with which a director is associated (ie, controls > 20% voting power)
- trustee of a trust whose beneficiaries include the director or connected person
- partner of the director or connected person

Pervasive effects: Pervasive effects on the financial statements are those that, in the auditor's judgement:

- are not confined to specific elements, accounts or items of the financial statements;
- if so confined, represent or could represent a substantial proportion of the financial statements; or
- in relation to disclosures, are fundamental to users' understanding of the financial statements.

(ISA (UK) 705.5)

Physical capital maintenance: Under a physical concept of capital, such as operating capability, capital is regarded as the productive capacity of the entity based on, eg, units of output per day.

Plan assets: Those assets held by a long-term benefit fund and those insurance policies which are held by an entity, where the fund/entity is legally separate from the employer and assets/policies can only be used to fund employee benefits.

Post-employment benefits: Employee benefits (other than termination benefits) which are payable after the completion of employment. The benefit plans may have been set up under formal or informal arrangements.

Potential to produce economic benefit: An economic resource is a right that has the potential to produce economic benefits. *(Conceptual Framework,* para.4.14)

Presentation currency: The currency in which the financial statements are presented.

Professional scepticism: An attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

Profits available for distribution: Accumulated realised profits (which have not been distributed or capitalised) less accumulated realised losses (which have not been previously written off in a reduction or reorganisation of capital).

Provision: A liability where there is uncertainty over its timing or the amount at which it will be settled.

Public interest entity:

- An issuer whose transferable securities are admitted to trading on a regulated market (
- A credit institution (in the UK, a bank or building society)
- An insurance undertaking

Qualifying asset: An asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

Quasi-loan: The company agrees to pay a third party on behalf of the director, who later reimburses the company (eg, personal goods bought with company credit card).

Rate regulation: A framework for establishing the prices that can be charged to customers for goods and services and that framework is subject to oversight and/or approval by a rate regulator.

Rate regulator: An authorised body that is empowered by statute or regulation to establish the rate or range of rates that bind an entity.

Reasonable and informed third party: Consideration of whether the ethical outcomes required by the overarching principles and supporting ethical provisions have been met should be evaluated by reference to the perspective of an objective, reasonable and informed third party (sometimes referred to as the 'Third Party Test') (FRC Ethical Standard, Introduction section I14).

Recalculation: Consists of checking the arithmetical accuracy of source documents and accounting records.

Recognition: The process of capturing for inclusion in the statement of financial position or statement(s) of profit or loss and other comprehensive income an item that meets the definition of one of the elements of financial statements – an asset, a liability, equity, income or expenses. (*Conceptual Framework*: para. 5.1)

An asset or liability should be recognised if it will be both:

- Relevant; and
- Provide users of the financial statements with a faithful representation of the transactions of that entity

Regulatory deferral account balance: The balance of any expense (or income) account that would not be recognised as an asset or a liability in accordance with other Standards, but that qualifies for deferral because it is included, or is expected to be included, by the rate regulator in establishing the rate(s) that can be charged to customers.

Related party: A party that is either:

(a) a related party as defined in the applicable financial reporting framework; or

(b) where the applicable financial reporting framework establishes minimal or no related party requirements:

(1) a person or other entity that has control or significant influence, directly or indirectly through one or more intermediaries, over the reporting entity;

(2) another entity over which the reporting entity has control or significant influence, directly or indirectly through one or more intermediaries; or

(3) another entity that is under common control with the reporting entity through having:

- common controlling ownership;
- owners who are close family members; or
- common key management.

However, entities that are under common control by a state (ie, a national, regional or local government) are not considered related unless they engage in significant transactions or share resources to a significant extent with one another.

(ISA 550.10)

Related party transaction: A transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

Reperformance: Means the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control.

Reporting entity: An entity that is required, or chooses, to prepare financial statements. A reporting entity can be a single entity or a portion of an entity or can comprise more than one entity. A reporting entity is not necessarily a legal entity (para. 3.10).

Retirement benefit plans: Arrangements whereby an entity provides benefits for its employees on or after termination of service (either in the form of an annual income or as a lump sum), when such benefits, or the employer's contributions towards them, can be determined or estimated in advance of retirement from the provisions of a document or from the entity's practices.

Return on plan assets: Defined as interest, dividends and other revenue derived from plan assets together with realised and unrealised gains or losses on the plan assets, less any costs of administering the plan and less any tax payable by the plan itself.

Right-of-use asset: An asset that represents a lessee's right to use an underlying asset for the lease term.

Risks of material misstatement: According to ISA 200, risks of material misstatement exist at two levels: the overall **financial statement level** (affecting many assertions) and the **assertion level** for classes of transactions, account balances and disclosures. Risks of material misstatement at the assertion level consist of **inherent risk** and **control risk**.

Scalability: Auditors should apply the requirements of an ISA to all entities regardless of their complexity, nature and circumstances.

Service organisation: A third-party organisation that provides services to user entities that are part of those entities' information systems relevant to financial reporting.

Short-term compensated absences: Compensated absences are periods of absence from work for which the employee receives some form of payment and which are expected to occur within 12 months of the end of the period in which the employee renders the services.

Short-term employee benefits: Employee benefits (other than termination benefits) that fall due within 12 months from the end of the period in which the employees provide their services.

Significant component: A component identified by the group engagement team: (a) that is of individual significance to the group, or (b) that, due to its specific nature or circumstances, is likely to include significant risks of material misstatement of the group financial statements (ISA 600.9).

Significant deficiency in internal control: Those which in the auditor's professional judgement are of sufficient importance to merit the attention of those charged with governance.

Spot exchange rate: The exchange rate for immediate delivery.

Statutory other information: This includes the directors' report, the strategic report and the separate corporate governance statement, all of which is relevant here.

Structured entity: An entity that has been designed so that **voting or similar rights** are **not the dominant factor** in **deciding who controls** the entity, such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements.

(IFRS 12, Appendix A)

Sustainability: Meeting the needs of the present without compromising the ability of future generations to meet their own needs (UN, 2021).

Tax base: The amount attributed to an asset or liability for tax purposes.

Taxable temporary differences: Temporary differences that will result in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

Termination benefits: Employee benefits payable on the termination of employment, through voluntary redundancy or as a result of a decision made by the employer to terminate employment before the normal retirement date.

Those charged with governance: The person(s) or organisation(s) (for example, a corporate trustee) with responsibility **for overseeing the strategic direction** of the entity and obligations related to the **accountability** of the entity. This includes overseeing the financial reporting process. For some entities in some jurisdictions, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager.

Those charged with governance include executive and non-executive directors and the members of the audit committee.

Transnational audit: An audit of financial statements which are or may be relied upon outside the audited entity's home jurisdiction for purposes of significant lending, investment or regulatory decisions; this will include audits of all financial statements of companies with listed equity or debt and other public interest entities which attract particular public attention because of their size, products or services provided.

True: The information in the financial statements is not false and conforms to reality.

Type 1 report: A report that comprises both of the following:

- A description, prepared by management of the service organisation, of the service organisation's system, control objectives and related controls that have been designed and implemented as at a specified date
- A report by the service auditor with the objective of conveying reasonable assurance that includes the service auditor's opinion on the description of the service organisation's system, control objectives and related controls and the suitability of the design of the controls to achieve the specified control objectives

Type 2 report: A report that comprises both of the following:

- A description, as in a Type 1 report of the system and controls, of their design and implementation as at a specified date or throughout a specified period and, in some cases, their operating effectiveness throughout a specified period
- A report by the service auditor with the objective of conveying reasonable assurance that includes:
  - the service auditor's opinion on the description of the service organisation's system, control objectives and related controls, the suitability of the design of the controls to achieve the specified control objectives, and the operating effectiveness of the controls; and
  - a description of the service auditor's tests of the controls and the results thereof.

Unavoidable costs: Unavoidable costs of meeting an obligation are the lower of:

- the cost of fulfilling the contract; and
- any penalties from failure to fulfil the contract

Underlying asset: An asset that is the subject of a lease, for which the right to use that asset has been provided by a lessor to a lessee.

Unearned finance income: The difference between:

(a) the gross investment in the lease; and

(b) the net investment in the lease.

Unguaranteed residual value: That portion of the residual value of the underlying asset, the realisation of which by the lessor is not assured or is guaranteed solely by a party related to the lessor.

User auditor: An auditor who audits and reports on the financial statements of a user entity.

Value in use: The present value of the cash flows, or other economic benefits, that an entity expects to derive from the use of an asset and its ultimate disposal (*Conceptual Framework*, para.6.17).

Vesting conditions: The conditions that must be satisfied for the other party to become entitled to receive the share-based payment.

Vesting date: The date on which all vesting conditions have been met and the employee/third party becomes entitled to the share-based payment.

Vesting period: The period during which the vesting conditions are to be satisfied.

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